

AGENT*****

5502705

MARSHALL & STERLING
UPSTATE, INC.
P.O. BOX 2909
GLENVILLE NY 12325

AGENT*****

ZBS D215008 08

**Citizens Insurance Company of America (A Stock Company)
808 North Highlander Way, Howell, MI 48843-1070
Commercial Line Policy
Common Declarations**

AE

Policy Number	Policy Period		Coverage is Provided in the:	Agency Code
	From	To		
ZBS D215008 08	04/01/2025	04/01/2026	Citizens Insurance Company of America	5502705

Named Insured and Address :

Agent :

NEC CARE INC 12 MOUNTAIN LEDGE DR, STE 3 GANSEVOORT NY 12831	MARSHALL & STERLING UPSTATE, INC. P.O.BOX 2909 GLENNVILLE NY 12325
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Branch : New York Region: Upstate
Policy Period : From 04/01/2025 To 04/01/2026
 12:01 A.M. Standard Time at Your Mailing Address Shown Above.
Business Description: HOME HEALTH CARE
Legal Entity: Corporation

In Consideration of the premium, insurance is provided the Named Insured with respect to those premises described in the attached schedule(s) for which a specific limit of insurance is shown. This is subject to all terms of this policy including Common Policy Conditions. Coverage Parts, Forms and Endorsements may be subject to adjustment and/or a policy minimum premium.

Commercial Property Coverage	\$1,028.00
Commercial General Liability Coverage	\$11,197.00
Professional Liability Coverage	Included
Commercial Inland Marine Coverage	Not Covered
Commercial Crime Coverage	Not Covered
Commercial Auto Coverage	Not Covered
Total Surcharges Premium	\$0.73
Additional Premium For Policy Minimum	N/A
** Total	\$12,225.73

**INCLUDES PREMIUM, IF ANY, FOR TERRORISM; REFER TO DISCLOSURE NOTICE

Countersigned _____ By _____

Equal Monthly



NEC CARE INC

ZBS D215008 08

MARSHALL & STERLING

Group Number ZGS



NEC CARE INC

ZBS D215008 08

MARSHALL & STERLING

Commercial Lines Surcharges

State: New York

New York Fire Fee Premium: \$0.73

Total New York Surcharge Premium: \$0.73

NEC CARE INC

ZBS D215008 08

MARSHALL & STERLING

Additional Named Insured

DBA HOME INSTEAD SENIOR
CARE #341

Locations of All Premises You Own, Rent or Occupy

Location: 1

12 MOUNTAIN LEDGE DR, STE 3
Gansevoort NY
12831

Forms Applicable to all Coverage Parts:

*Asterisk denotes new or changed form

<u>Form Number</u>	<u>Edition Date</u>	<u>Description</u>
* 231-0862	11/23	Consumer Privacy Notice
401-1337	02/16	Trade Or Economic Sanctions Endorsement
401-1374	12/20	Disclosure Pursuant To Terrorism Risk Insurance Act
401-1501	01/20	Exclusion - Certified Acts Of Terrorism
401-1525	06/20	Company Address Listing
IL 00 17	11/98	Common Policy Conditions
IL 01 83	08/08	New York Changes - Fraud
IL 02 68	01/14	New York Changes - Cancellation and Nonrenewal
IL 09 35	07/02	Exclusion of Certain Computer-Related Losses
IL 09 53	01/15	Exclusion of Certified Acts of Terrorism
SIG 11 00	11/17	Signature Page

NEC CARE INC

ZBS D215008 08
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Commercial Property Coverage Part Declaration

Total Property Premium \$1,028.00

Coverages Provided:

Insurance at the Described Premises applies only for the coverage shown below:

<u>LOC</u>	<u>BLDG</u>			
1	1	Occupancy:	Building or Premises - Office - Other than Not for profit - Office	
		Territory:	460	
		Construction:	Frame	
		Protection Class:	5	
<u>LOC</u>	<u>BLDG</u>	<u>Coverage:</u>	<u>Cause of Loss:</u>	<u>Premiums:</u>
1	1	Contents All Inclusive	Special	\$182.00
		Limit Of Insurance:	\$59,511.00	
		Replacement Cost		
		Coinsurance:	90%	
<u>LOC</u>	<u>BLDG</u>	<u>Coverage:</u>	<u>Cause of Loss:</u>	<u>Premiums:</u>
1	1	Business Income	Special	\$93.00
		Limit Of Insurance:	\$100,000.00	
		Coinsurance	80%	
		Extended Period of Indemnity	60 Days Included	
		Business Income Time Deductible	72 Hours	
<u>LOC</u>	<u>BLDG</u>	<u>DED BY LOC</u>	<u>APPLICABLE DEDUCTIBLE</u>	
1	1		Windstorm/Hail Deductible	\$1,000.00
			Theft Deductible:	\$1,000.00
			Other Deductible:	\$1,000.00

NEC CARE INC

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Commercial Property Coverage Part Declaration

Additional Premium for Property Minimum : N/A

<u>Miscellaneous/Optional Property Coverages:</u>	<u>PREMIUM</u>
Data Breach	\$50.00
Boiler / Machinery / Equipment Breakdown (Equipment Breakdown Sublimit : \$100,000)	\$83.00
Terrorism Premium	\$1.00
Gold Property Broadening Endorsement	\$619.00

NEC CARE INC

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Forms Applicable to Property Coverage Parts:

*Asterisk denotes new or changed form

<u>Form Number</u>	<u>Edition Date</u>	<u>Description</u>
411-0669	01/15	Data Breach Coverage Form
411-0679	04/10	Associates And Family Members Additional Coverage Endorsement
411-0681	12/09	Identity Theft Resolution Services
411-0793	02/23	Gold Property Broadening Endorsement
411-0827	04/22	New York Changes - Property
411-0929	01/15	New York Changes - Data Breach Coverage Form
451-0038	11/16	Equipment Breakdown Coverage (Including Electronic Circuitry Impairment)
* 451-0039	11/16	Commercial Property Coverage Part Equipment Breakdown Coverage Schedule
451-0052	11/16	New York Changes - Equipment Breakdown
CP 00 10	10/12	Building and Personal Property Coverage Form
CP 00 30	10/12	Business Income (And Extra Expense) Coverage Form
CP 00 90	07/88	Commercial Property Conditions
CP 01 33	05/18	New York Changes
CP 01 64	09/17	New York Changes - Fungus, Wet Rot And Dry Rot
CP 01 78	08/08	New York - Exclusion Of Loss Due To Virus or Bacteria
CP 10 30	09/17	Causes Of Loss - Special Form
CP 12 18	10/12	Loss Payable Provisions

NEC CARE INC

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Property Schedule of Additional Interest

Location: 1

Loss Payable
Pitney Bowes Global
Financial Services
27 Waterview Drive
Shelton CT 06484
0041301502

NEC CARE INC

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Commercial General Liability Coverage Part Declaration

Audit Frequency: Not Auditable

Limits of Insurance:

General Aggregate Limit	\$3,000,000
Products-Completed Operations are Included in the General Aggregate Limit	
Each Occurrence Limit	\$1,000,000
Personal and Advertising Injury Limit	\$1,000,000
Damage to Premises Rented to You Limit	\$100,000
Medical Expense Limit, Any One Person	\$10,000
General Liability Deductible:	
Total Advance Commercial General Liability Premium	\$11,197.00

THIS POLICY CONTAINS AGGREGATE LIMITS; REFER TO SECTION III - LIMITS OF INSURANCE FOR DETAILS

Forms Applicable to General Liability Coverage Parts:

*Asterisk denotes new or changed form

Form Number	Edition Date	Description
* 421-0017	06/89	Employee Benefits Liability Insurance
421-0022	12/90	Asbestos Liability Exclusion
421-0307	10/03	Change Endorsement Form
421-0366	07/16	Abuse or Molestation Exclusion
421-1065	06/10	Scope Of Licensure Endorsement
421-1070	06/10	Punitive Damages Exclusion
421-1539	07/16	New York Physical Abuse, Sexual Misconduct Or Sexual Molestation Liability Coverage (Occurrence - Sublimit)
421-2294	08/14	Building Cleaning and Maintenance Contractors General Liability Broad Form Endorsement
421-2318	04/20	Professional Liability Coverage Endorsement - Separate Limits Of Insurance (Occurrence)
421-2319	04/20	Professional Services Exclusion, With The Exception Of Medical Professional Liability Endorsements
421-2369	01/12	New York Changes - Commercial General Liability Coverage Form
421-2915	06/15	Commercial General Liability Broadening Endorsement
421-2919	04/20	Commercial General Liability Enhancement Endorsement - Healthcare
421-2922	12/14	Commercial General Liability Enhancement Endorsement - Manufactured Housing
421-2929	04/20	New York Amendatory Endorsement
421-4836	04/20	Miscellaneous Medical and Professional Services Definition - Broad Form
421-4928	04/20	New York Changes - Healthcare
CG 00 01	04/13	Commercial General Liability Coverage Form - Occurrence
CG 01 04	12/04	New York Changes - Premium Audit
* CG 20 29	04/13	Additional Insured - Grantor of Franchise

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Forms Applicable to General Liability Coverage Parts:

*Asterisk denotes new or changed form

<u>Form Number</u>	<u>Edition Date</u>	<u>Description</u>
CG 21 06	05/14	Exclusion - Access or Disclosure of Confidential or Personal Information and Data-Related Liability - With Limited Bodily Injury Exception
CG 21 47	12/07	Employment - Related Practices Exclusion
CG 21 65	12/04	Total Pollution Exclusion With A Building Heating, Cooling And Dehumidifying Equipment Exception And A Hostile Fire Exception
CG 21 73	01/15	Exclusion of Certified Acts of Terrorism
CG 26 21	10/91	New York Changes - Transfer Of Duties When A Limit Of Insurance Is Used Up
IL 00 23	07/02	Nuclear Energy Liability Exclusion Endorsement



NEC CARE INC

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Commercial General Liability Classification Schedule Declaration

<u>LOC</u>	<u>ST</u>	<u>TERR</u>	<u>CODE</u>	<u>SUBLINE</u>	<u>PREMIUM BASIS</u>	<u>PER</u> 1000 of Total Area	<u>RATE</u>	<u>ADVANCE PREMIUM</u>
1	NY	017	86617	334	1287 Area		121.989	\$157.00
Products – Completed Operations are Included in the General Aggregate Limit								
DME/HHC Office								

Miscellaneous/Optional General Liability Coverages

Advance Premium

Employee Benefits Coverage	\$496.00
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421-2294 Building Cleaning and Maintenance Contractors GL Broad Form Endorsement	\$300.00
CGL Enhancement - Healthcare	\$275.00
Physical Abuse, Sexual Misconduct or Sexual Molestation Liability - Occurrence - Sublimit	\$448.00

Additional Premium for Coverage Minimum:	N/A
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Total Advance General Liability Premium	\$11,197.00
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NEC CARE INC

ZBS D215008 08

MARSHALL & STERLING

Commercial General Liability Classification Schedule Declaration

Subline 334

Premises and Operations

**The Hanover Insurance Group
Consumer Privacy Notice**

FACTS	WHAT DOES THE HANOVER DO WITH YOUR PERSONAL INFORMATION?
Why?	At The Hanover Insurance Group (“The Hanover”), we are committed to protecting the privacy of the personal information that we collect or maintain. Financial companies choose how they share your personal information. Federal and state law gives consumers the right to limit some but not all sharing. Federal and state law also requires us to tell you how we collect, share, and protect your personal information. Please read this notice carefully to understand what we do.
What?	The types of personal information we collect and may share to provide products services to you include: ▪ Information you provide to us in your application ▪ Insurance claim history ▪ Information contained in consumer reports to the extent permitted by law. We may share information we collect for permissible purposes.
How?	All financial companies need to share customers’ personal information for permissible purposes to run their everyday business. When The Hanover shares personal information with a trusted service provider, The Hanover requires the service provider to have processes and procedures in place to protect the information. In the section below, we list the reasons financial companies can share their customers’ personal information; the reasons The Hanover chooses to share; and whether you can limit this sharing.

Reasons we can share your personal information	Does The Hanover share?	Can you limit this sharing?
For our everyday business purposes— such as to process your transactions, maintain your account(s), respond to court orders and legal investigations, or report to credit bureaus	Yes	No
For our marketing purposes— to offer our products and services to you	Yes	No
For joint marketing with other financial companies (for products and services not offered by The Hanover)	No	We don’t share
For our affiliates’ everyday business purposes to provide coverage and services to you— information about your transactions and experiences	Yes	No
For our affiliates’ everyday business purposes to provide coverage and services to you— information about your creditworthiness	No	We don’t share
For our affiliates to market to you	No	We don’t share
For nonaffiliates to market to you	No	We don’t share

The Hanover Insurance Group
Consumer Privacy Notice

Questions?	Call [toll-free] 1-800-446-8379 or write to privacy@hanover.com
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Who we are	
Who is providing this notice	This notice is being provided on behalf of the following Hanover Companies: The Hanover Insurance Group, Inc. - AIX Specialty Insurance Company - Allmerica Financial Alliance Insurance Company - Allmerica Financial Benefit Insurance Company - Allmerica Plus Insurance Agency, Inc. - Campmed Casualty & Indemnity Company, Inc. - Citizens Insurance Company of America - Citizens Insurance Company of Illinois - Citizens Insurance Company of the Midwest - Citizens Insurance Company of Ohio - Educators Insurance Agency, Inc. - Hanover Specialty Insurance Brokers, Inc. - The Hanover American Insurance Company – The Hanover Atlantic Insurance Company Ltd - The Hanover Casualty Company - The Hanover Insurance Company – The Hanover National Insurance Company - Massachusetts Bay Insurance Company - NOVA Casualty Company - Opus Investment Management, Inc. - Verlan Fire Insurance Company.

What we do	
How does The Hanover protect my personal information?	To protect your personal information from unauthorized access and use, we use security measures that comply with federal and state laws. These measures include computer and systems safeguards, secured files and buildings, firewall technology and the use of detection software. We have implemented processes and procedures to strengthen protection of our customer information. We limit access to your information to those employees who need access to do their job.
How does The Hanover collect my personal information?	We collect your personal information, for example, when you: ▪ Apply for insurance ▪ Pay insurance premiums or file insurance claims ▪ Provide account information ▪ Access our website We also collect your personal information from third parties, such as consumer reporting agencies and various state department of motor vehicles or similar agencies.
Why can't I limit all sharing?	Federal and state laws give you the right to limit only: ▪ Sharing for affiliates' everyday business purposes- information about your credit worthiness ▪ Affiliates from using your information to market to you ▪ Sharing for nonaffiliates to market to you State laws may give you additional rights to limit sharing. See below for more on your rights under state laws.
What happens when I limit sharing for an account I hold jointly with someone else?	Where "limit the sharing" is available, your choices will apply to everyone on your account.

The Hanover Insurance Group Consumer Privacy Notice

Definitions	
Affiliates	Companies related by common ownership or control. They can be financial or nonfinancial companies. ▪ The Hanover affiliates are listed in this Consumer Privacy Notice.
Nonaffiliates	Companies not related by common ownership or control. They can be financial or nonfinancial companies. ▪ The Hanover does not share with nonaffiliates so they can market to you.
Joint marketing	A formal agreement between nonaffiliated financial companies that together market financial products or services to you. ▪ The Hanover does not jointly market.

Other important information
California: California residents can review our Privacy Policy for California Residents located at https://www.hanover.com/legal-and-compliance/privacy-center/privacy-policy-california-residents. New York: New York Insurance Law §2612 provides certain rights to victims of domestic violence, including privacy protections and protections from discrimination, each of which is described in the policy located at https://www.hanover.com/legal-and-compliance/privacy-policy/notice-protections-victims-domestic-violence-under-ss2612-new. As mentioned above, The Hanover may share your personal information for our everyday business purposes— such as to process your transactions and claims, maintain your account(s), respond to court orders and legal investigations, or report to credit bureaus. The term “Information” means information we collect during an insurance transaction or other interactions you may have with us. We may share your Information with nonaffiliates without your prior authorization as permitted or required by law: for example, we may share your Information with insurance regulatory authorities, law enforcement, and re-insurers and consumer reporting agencies, among other insurance support organizations. Information we obtain from a report prepared by an insurance-support organization may be retained by that insurance-support organization and disclosed to others. To request access to or deletion of your personal information, send a written letter to: The Hanover Insurance Group, Inc., c/o Chief Privacy Officer, 440 Lincoln Street N435, Worcester, MA 01653. Include your name, address, and your policy, contract, or account number, and describe the information you wish to access or delete. You may correct inaccurate personal information by visiting Hanover.com or calling your agent. We will respond to your request within the statutory timeline under your state statute. We can’t change information other companies, like credit agencies, provide to us. You’ll need to ask them to change it.

**The Hanover Insurance Group
Consumer Privacy Notice**

Property Inspection for Valuation and Underwriting

Your professional insurance agent is dedicated to working with you to help make sure that you have the appropriate amount of coverage for your property. From time to time, we may order an inspection of your property to assist with the determination of whether the coverage on your property is adequate. We may also order an inspection to assist us in our underwriting process. Our inspection process may involve discussions with your agent, a phone discussion with you, inspecting and taking pictures of your property by third party service provider, a computerized analysis using a set of cost factors including labor and construction materials in your region, or a combination of these or other measures to help determine whether you have the appropriate amount of coverage for your property. It is necessary that you cooperate with us when we make a property inspection request. It is important to understand that the market value of your property and the replacement cost may differ significantly for many reasons, including that construction costs may differ significantly from region to region. We utilize third party vendors to provide us with inflation trend information for your region. We will also periodically apply automatic inflation adjustments to your coverage amounts to keep pace with regional inflation trends. If you have questions about the amount of your coverage compared to the replacement cost of your property, you should contact your agent. Also, if you made changes to your property during the policy period, or have information which you feel we should be aware of, such as the installation of upgraded fixtures or other changes or additions to the property which may have bearing on its value, you should contact your agent or us directly to provide such information. Although the responsibility for making sure your property is properly insured to its value rests with you, our property inspection and coverage evaluation program has been designed to assist you and your agent with this evaluation and to assist us in our underwriting process. Please refer to your issued policy for the coverage you are afforded.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

TRADE OR ECONOMIC SANCTIONS ENDORSEMENT

This insurance does not apply to the extent that trade or economic sanctions or other laws or regulations prohibit us from providing insurance, including, but not limited to, the payment of claims.

ALL OTHER TERMS, CONDITIONS, AND EXCLUSIONS REMAIN UNCHANGED.

THIS NOTICE IS PROVIDED IN RESPONSE TO THE DISCLOSURE REQUIREMENTS OF THE TERRORISM RISK INSURANCE ACT. THIS NOTICE DOES NOT GRANT COVERAGE OR CHANGE THE TERMS AND CONDITIONS OF COVERAGE UNDER THE POLICY. IF THERE IS A CONFLICT BETWEEN THIS NOTICE AND THE POLICY, THE PROVISIONS OF THE POLICY SHALL APPLY.

DISCLOSURE PURSUANT TO TERRORISM RISK INSURANCE ACT

SCHEDULE

DISCLOSURE OF PREMIUM:

Total Terrorism Premium	\$ 56
Fire Following Premium	\$ 1
Other than Fire Following Premium	\$ 55

Disclosure of Terrorism Coverage Available

You are hereby notified that under the Terrorism Risk Insurance Act, as amended, you have a right to purchase insurance coverage for losses resulting from "acts of terrorism" defined in Section 102(1) of the Act as follows:

Any act or acts that are certified by the Secretary of the Treasury, in accordance with the provisions of the federal Terrorism Risk Insurance Act, to be an act of terrorism; to be a violent act or an act that is dangerous to human life, property, or infrastructure; to have resulted in damage within the United States, or outside the United States in the case of certain air carriers or vessels or the premises of a United States mission; and to have been committed by an individual or individuals, as part of an effort to coerce the civilian population of the United States or to influence the policy or affect the conduct of the United States Government by coercion.

The premium charged for this coverage is provided in the **SCHEDULE** above and does not include any charges for the portion of loss that may be covered by the Federal Government as described below. This premium has been added to your policy and unless this form is signed and returned to us to reject terrorism coverage, coverage for Certified Acts of Terrorism is provided by your policy.

Your policy may contain other exclusions which could affect your coverage, such as an exclusion for Nuclear Events or Pollution. **Please read your policy carefully.**

Note for Commercial Property or Commercial Inland Marine Policyholders in Standard Fire States:

In Standard Fire states, terrorism exclusions make an exception for (and therefore provide coverage for) fire losses resulting from an act of terrorism. Any policyholder with a location that we insure in a Standard Fire State that rejects our offer of terrorism coverage in this form will still have coverage with us for fire losses resulting from an act of terrorism.

Explanation of Premium

If a dollar amount is shown for Fire Following Premium in the **SCHEDULE** above that means we insure a location of yours in a Standard Fire State. Fire Following Premium is shown in the **SCHEDULE** above regardless of whether a policyholder with a location that we insure in a Standard Fire State accepts or rejects terrorism coverage with us. Fire Following Premium represents the charge for the coverage we provide for fire losses resulting from acts of terrorism. Fire Following Premium does not include Other Than Fire Following Premium. All Other Than Fire Following Premium is shown in the Other Than Fire Following Premium field in the **SCHEDULE** above.

If a dollar amount is shown for Other Than Fire Following Premium in the **SCHEDULE** above that means you have accepted terrorism coverage with us. Other Than Fire Following Premium represents the charge for terrorism coverage. Other Than Fire Following Premium does not include Fire Following Premium. If applicable, all Fire Following Premium is shown in the Fire Following Premium field in the **SCHEDULE** above.

The dollar amount shown for Total Terrorism Premium in the **SCHEDULE** above represents the sum of premium for Fire Following Premium and Other Than Fire Following Premium.

Disclosure of Federal Participation in Payment of Terrorism Losses

The United States Government, Department of the Treasury, will pay a share of terrorism losses insured under the federal program. The federal share equals 80% of that portion of the amount of such insured losses that exceeds the applicable insurer retention. However, if aggregate insured losses attributable to terrorist acts certified under the Terrorism Risk Insurance Act exceed \$100 billion in a calendar year, the Treasury shall not make any payment for any portion of the amount of such losses that exceeds \$100 billion.

Cap on Insurer Participation in Payment of Terrorism Losses

If aggregate insured losses attributable to terrorist acts certified under the Terrorism Risk Insurance Act exceed \$100 billion in a calendar year and we have met our insurer deductible under the Terrorism Risk Insurance Act, we shall not be liable for the payment of any portion of the amount of such losses that exceeds \$100 billion, and in such case insured losses up to that amount are subject to pro rata allocation in accordance with procedures established by the Secretary of the Treasury.

Rejection of Terrorism Insurance Coverage*

I decline to purchase terrorism coverage for certified acts of terrorism. I understand that I will have no coverage for losses resulting from certified acts of terrorism.

Applicant/Policyholder Signature

Citizens Insurance Company Of America

Insurance Company

Print Name

ZBS D215008 08

Quote or Policy Number

Date

*If this policy is a renewal and:

- a. You have previously submitted a signed Rejection, you are not required to submit an additional Rejection at this time; or
- b. You have previously accepted coverage and now wish to reject, you are required to complete and sign the Rejection of Terrorism Insurance Coverage above.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

EXCLUSION – CERTIFIED ACTS OF TERRORISM

This endorsement modifies insurance provided under the following:

CONDOMINIUM, CO OP AND ASSOCIATION DIRECTORS AND OFFICERS LIABILITY
CYBER LIABILITY COVERAGE PART
DATA BREACH COVERAGE PART
EMPLOYEE BENEFITS LIABILITY COVERAGE FORM
EMPLOYMENT PRACTICES LIABILITY
RELIGIOUS INSTITUTIONS DIRECTORS, OFFICERS AND TRUSTEES LIABILITY COVERAGE PART
SCHOOL AND EDUCATORS LEGAL LIABILITY COVERAGE PART

A. The following definitions are added:

"Certified act of terrorism" means an act that is certified by the Secretary of the Treasury, in accordance with the provisions of the federal Terrorism Risk Insurance Act, to be an act of terrorism pursuant to such Act. The criteria contained in the Terrorism Risk Insurance Act for a "certified act of terrorism" requires that the act must result in insured losses in excess of \$5,000,000 in the aggregate, attributable to all types of insurance subject to the Terrorism Risk Insurance Act. The criteria also requires that the act must be a violent act or an act that is dangerous to human life, property or infrastructure and is committed by an individual or individuals as part of an effort to coerce the civilian population of the United States or to influence the policy or affect the conduct of the United States Government by coercion.

"Any injury or damage" means any injury or damage covered under any Coverage Form to which this endorsement is applicable, and includes but is not limited to "bodily injury", "property damage" or "personal and advertising injury" as may be defined in any applicable Coverage Form.

B. The terms and limitations of any terrorism exclusion, or the inapplicability or omission of a terrorism exclusion, do not serve to create coverage for loss or injury or damage that is otherwise excluded under this Policy.

C. The following exclusion is added:

Certified Act of Terrorism

We will not pay for "any injury or damage" caused directly or indirectly by a "certified act of terrorism". Such loss or damage is excluded regardless of any other cause or event that contributes concurrently or in any sequence to the loss.

ALL OTHER TERMS, CONDITIONS, AND EXCLUSIONS REMAIN UNCHANGED.

IMPORTANT INFORMATION ABOUT YOUR INSURANCE COMPANY

The Home Office address for the Insurance Company shown on the policy Declarations page is:

Allmerica Financial Alliance Insurance Company

(A Stock Company)

440 Lincoln Street
Worcester, MA 01653-0002

The Hanover American Insurance Company

(A Stock Company)

440 Lincoln Street
Worcester, MA 01653-0002

Allmerica Financial Benefit Insurance Company

(A Stock Company)

440 Lincoln Street
Worcester, MA 01653-0002

The Hanover Insurance Company

(A Stock Company)

440 Lincoln Street
Worcester, MA 01653-0002

Campmed Casualty & Indemnity Company, Inc.

(A Stock Company)

440 Lincoln Street
Worcester, MA 01653-0002

Massachusetts Bay Insurance Company

(A Stock Company)

440 Lincoln Street
Worcester, MA 01653-0002

Citizens Insurance Company of America

(A Stock Company)

808 North Highlander Way
Howell, MI 48843-1070

Nova Casualty Company

(A Stock Company)

440 Lincoln Street
Worcester, MA 01653-0002

COMMON POLICY CONDITIONS

All Coverage Parts included in this policy are subject to the following conditions.

A. Cancellation

1. The first Named Insured shown in the Declarations may cancel this policy by mailing or delivering to us advance written notice of cancellation.
2. We may cancel this policy by mailing or delivering to the first Named Insured written notice of cancellation at least:
 - a. 10 days before the effective date of cancellation if we cancel for nonpayment of premium; or
 - b. 30 days before the effective date of cancellation if we cancel for any other reason.
3. We will mail or deliver our notice to the first Named Insured's last mailing address known to us.
4. Notice of cancellation will state the effective date of cancellation. The policy period will end on that date.
5. If this policy is cancelled, we will send the first Named Insured any premium refund due. If we cancel, the refund will be pro rata. If the first Named Insured cancels, the refund may be less than pro rata. The cancellation will be effective even if we have not made or offered a refund.
6. If notice is mailed, proof of mailing will be sufficient proof of notice.

B. Changes

This policy contains all the agreements between you and us concerning the insurance afforded. The first Named Insured shown in the Declarations is authorized to make changes in the terms of this policy with our consent. This policy's terms can be amended or waived only by endorsement issued by us and made a part of this policy.

C. Examination Of Your Books And Records

We may examine and audit your books and records as they relate to this policy at any time during the policy period and up to three years afterward.

D. Inspections And Surveys

1. We have the right to:
 - a. Make inspections and surveys at any time;

- b. Give you reports on the conditions we find; and

- c. Recommend changes.

2. We are not obligated to make any inspections, surveys, reports or recommendations and any such actions we do undertake relate only to insurability and the premiums to be charged. We do not make safety inspections. We do not undertake to perform the duty of any person or organization to provide for the health or safety of workers or the public. And we do not warrant that conditions:

- a. Are safe or healthful; or

- b. Comply with laws, regulations, codes or standards.

3. Paragraphs 1. and 2. of this condition apply not only to us, but also to any rating, advisory, rate service or similar organization which makes insurance inspections, surveys, reports or recommendations.

4. Paragraph 2. of this condition does not apply to any inspections, surveys, reports or recommendations we may make relative to certification, under state or municipal statutes, ordinances or regulations, of boilers, pressure vessels or elevators.

E. Premiums

The first Named Insured shown in the Declarations:

1. Is responsible for the payment of all premiums; and
2. Will be the payee for any return premiums we pay.

F. Transfer Of Your Rights And Duties Under This Policy

Your rights and duties under this policy may not be transferred without our written consent except in the case of death of an individual named insured.

If you die, your rights and duties will be transferred to your legal representative but only while acting within the scope of duties as your legal representative. Until your legal representative is appointed, anyone having proper temporary custody of your property will have your rights and duties but only with respect to that property.

IL 01 83 08 08

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

NEW YORK CHANGES – FRAUD

This endorsement modifies insurance provided under the following:

CAPITAL ASSETS PROGRAM (OUTPUT POLICY) COVERAGE PART
COMMERCIAL AUTOMOBILE COVERAGE PART
COMMERCIAL INLAND MARINE COVERAGE PART
COMMERCIAL PROPERTY COVERAGE PART
EQUIPMENT BREAKDOWN COVERAGE PART
FARM COVERAGE PART – FARM PROPERTY – OTHER FARM PROVISIONS FORM – ADDITIONAL
COVERAGES, CONDITIONS, DEFINITIONS
FARM COVERAGE PART – LIVESTOCK COVERAGE FORM
FARM COVERAGE PART – MOBILE AGRICULTURAL MACHINERY AND EQUIPMENT COVERAGE
FORM

The **CONCEALMENT, MISREPRESENTATION OR FRAUD** Condition is replaced by the following:

FRAUD

We do not provide coverage for any insured ("insured") who has made fraudulent statements or engaged in fraudulent conduct in connection with any loss ("loss") or damage for which coverage is sought under this policy.

However, with respect to insurance provided under the **COMMERCIAL AUTOMOBILE COVERAGE PART**, we will provide coverage to such "insured" for damages sustained by any person who has not made fraudulent statements or engaged in fraudulent conduct if such damages are otherwise covered under the policy.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

NEW YORK CHANGES – CANCELLATION AND NONRENEWAL

This endorsement modifies insurance provided under the following:

CAPITAL ASSETS PROGRAM (OUTPUT POLICY) COVERAGE PART
COMMERCIAL GENERAL LIABILITY COVERAGE PART
COMMERCIAL INLAND MARINE COVERAGE PART
COMMERCIAL PROPERTY COVERAGE PART
CRIME AND FIDELITY COVERAGE PART
EQUIPMENT BREAKDOWN COVERAGE PART
FARM COVERAGE PART
LIQUOR LIABILITY COVERAGE PART
PRODUCTS/COMPLETED OPERATIONS LIABILITY COVERAGE PART

A. Paragraphs 1., 2., 3. and 5. of the Cancellation Common Policy Condition are replaced by the following:

1. The first Named Insured shown in the Declarations may cancel this entire policy by mailing or delivering to us advance written notice of cancellation.

2. Cancellation Of Policies In Effect

a. 60 Days Or Less

We may cancel this policy by mailing or delivering to the first Named Insured written notice of cancellation at least:

- (1) 30 days before the effective date of cancellation if we cancel for any reason not included in Paragraph **A.2.b.** below.
- (2) 15 days before the effective date of cancellation if we cancel for any of the reasons included in Paragraph **A.2.b.** below.

b. For More Than 60 Days

If this policy has been in effect for more than 60 days, or if this policy is a renewal or continuation of a policy we issued, we may cancel only for any of the reasons listed below, provided we mail the first Named Insured written notice at least 15 days before the effective date of cancellation:

- (1) Nonpayment of premium, provided however, that a notice of cancellation on this ground shall inform the first Named Insured of the amount due;

- (2) Conviction of a crime arising out of acts increasing the hazard insured against;
- (3) Discovery of fraud or material misrepresentation in the obtaining of the policy or in the presentation of a claim;
- (4) After issuance of the policy or after the last renewal date, discovery of an act or omission, or a violation of any policy condition, that substantially and materially increases the hazard insured against, and which occurred subsequent to inception of the current policy period;
- (5) Material physical change in the property insured, occurring after issuance or last annual renewal anniversary date of the policy, which results in the property becoming uninsurable in accordance with our objective, uniformly applied underwriting standards in effect at the time the policy was issued or last renewed; or material change in the nature or extent of the risk, occurring after issuance or last annual renewal anniversary date of the policy, which causes the risk of loss to be substantially and materially increased beyond that contemplated at the time the policy was issued or last renewed;
- (6) Required pursuant to a determination by the Superintendent that continuation of our present premium volume would jeopardize our solvency or be hazardous to the interest of our policyholders, our creditors or the public;

(7) A determination by the Superintendent that the continuation of the policy would violate, or would place us in violation of, any provision of the Insurance Code; or

(8) Where we have reason to believe, in good faith and with sufficient cause, that there is a probable risk of danger that the insured will destroy, or permit to be destroyed, the insured property for the purpose of collecting the insurance proceeds. If we cancel for this reason, you may make a written request to the Department of Financial Services, within 10 days of receipt of this notice, to review our cancellation decision. Also, we will simultaneously send a copy of this cancellation notice to the Department of Financial Services.

3. We will mail or deliver our notice, including the reason for cancellation, to the first Named Insured at the address shown in the policy and to the authorized agent or broker.

5. If this policy is cancelled, we will send the first Named Insured any premium refund due. If we cancel, the refund will be pro rata. If the first Named Insured cancels, the refund may be less than pro rata.

However, when the premium is advanced under a premium finance agreement, the cancellation refund will be pro rata. Under such financed policies, we will be entitled to retain a minimum earned premium of 10% of the total policy premium or \$60, whichever is greater. The cancellation will be effective even if we have not made or offered a refund.

B. The following is added to the **Cancellation** Common Policy Condition:

7. If one of the reasons for cancellation in Paragraph **A.2.b.** or **D.2.b.(2)** exists, we may cancel this entire policy, even if the reason for cancellation pertains only to a new coverage or endorsement initially effective subsequent to the original issuance of this policy.

C. The following conditions are added:

1. Nonrenewal

If we decide not to renew this policy we will send notice as provided in Paragraph **C.3.** below.

2. Conditional Renewal

If we conditionally renew this policy subject to:

a. A change of limits;

b. A change in type of coverage;

c. A reduction of coverage;

d. An increased deductible;

e. An addition of exclusion; or

f. Increased premiums in excess of 10%, exclusive of any premium increase due to and commensurate with insured value added or increased exposure units; or as a result of experience rating, loss rating, retrospective rating or audit;

we will send notice as provided in Paragraph **C.3.** below.

3. Notices Of Nonrenewal And Conditional Renewal

a. If we decide not to renew this policy or to conditionally renew this policy as provided in Paragraphs **C.1.** and **C.2.** above, we will mail or deliver written notice to the first Named Insured shown in the Declarations at least 60 but not more than 120 days before:

(1) The expiration date; or

(2) The anniversary date if this is a continuous policy.

b. Notice will be mailed or delivered to the first Named Insured at the address shown in the policy and to the authorized agent or broker. If notice is mailed, proof of mailing will be sufficient proof of notice.

c. Notice will include the specific reason(s) for nonrenewal or conditional renewal, including the amount of any premium increase for conditional renewal and description of any other changes.

d. If we violate any of the provisions of Paragraph **C.3.a., b.** or **c.** above by sending the first Named Insured an incomplete or late conditional renewal notice or a late nonrenewal notice:

(1) And if notice is provided prior to the expiration date of this policy, coverage will remain in effect at the same terms and conditions of this policy at the lower of the current rates or the prior period's rates until 60 days after such notice is mailed or delivered, unless the first Named Insured, during this 60-day period, has replaced the coverage or elects to cancel;

- (2) And if the notice is provided on or after the expiration date of this policy, coverage will remain in effect at the same terms and conditions of this policy for another policy period, at the lower of the current rates or the prior period's rates, unless the first Named Insured, during this additional policy period, has replaced the coverage or elects to cancel.
 - e. If you elect to renew on the basis of a late conditional renewal notice, the terms, conditions and rates set forth in such notice shall apply:
 - (1) Upon expiration of the 60-day period, unless Subparagraph (2) below applies; or
 - (2) Notwithstanding the provisions in Paragraphs d.(1) and d.(2), as of the renewal date of the policy if the conditional renewal notice was sent at least 30 days prior to the expiration or anniversary date of the policy.
 - f. We will not send you notice of nonrenewal or conditional renewal if you, your authorized agent or broker or another insurer of yours mails or delivers notice that the policy has been replaced or is no longer desired.
- D.** The following provisions apply when the Commercial Property Coverage Part, the Farm Coverage Part or the Capital Assets Program (Output Policy) Coverage Part is made a part of this policy:
- 1. Items **D.2.** and **D.3.** apply if this policy meets the following conditions:
 - a. The policy is issued or issued for delivery in New York State covering property located in this state; and
 - b. The policy insures:
 - (1) For loss of or damage to structures, other than hotels or motels, used predominantly for residential purposes and consisting of no more than four dwelling units; or
 - (2) For loss of or damage to personal property other than farm personal property or business property; or
 - (3) Against damages arising from liability for loss of, damage to or injury to persons or property, except liability arising from business or farming; and
 - c. The portion of the annual premium attributable to the property and contingencies described in **1.b.** exceeds the portion applicable to other property and contingencies.
2. Paragraph **2.** of the **Cancellation** Common Policy Condition is replaced by the following:
- 2. Procedure And Reasons For Cancellation**
- a. We may cancel this entire policy by mailing or delivering to the first Named Insured written notice of cancellation at least:
 - (1) 15 days before the effective date of cancellation if we cancel for nonpayment of premium, provided however, that a notice of cancellation on this ground shall inform the first Named Insured of the amount due; or
 - (2) 30 days before the effective date of cancellation if we cancel for any other reason.
 - b. But if this policy:
 - (1) Has been in effect for more than 60 days; or
 - (2) Is a renewal of a policy we issued; we may cancel this policy only for one or more of the following reasons:
 - (1) Nonpayment of premium, provided however, that a notice of cancellation on this ground shall inform the first Named Insured of the amount due;
 - (2) Conviction of a crime arising out of acts increasing the risk of loss;
 - (3) Discovery of fraud or material misrepresentation in obtaining the policy or in making a claim;
 - (4) Discovery of willful or reckless acts or omissions increasing the risk of loss;
 - (5) Physical changes in the covered property that make that property uninsurable in accordance with our objective and uniformly applied underwriting standards in effect when we:
 - (a) Issued the policy; or
 - (b) Last voluntarily renewed the policy;

- (6) The Superintendent of Financial Services' determination that continuing the policy would violate Chapter 28 of the Insurance Law; or
- (7) Required pursuant to a determination by the Superintendent of Financial Services that the continuation of our present premium volume would be hazardous to the interests of our policyholders, our creditors or the public.

3. The following are added:

a. Conditional Continuation

Instead of cancelling this policy, we may continue it on the condition that:

- (1) The policy limits be changed; or
- (2) Any coverage not required by law be eliminated.

If this policy is conditionally continued, we will mail or deliver to the first Named Insured written notice at least 20 days before the effective date of the change or elimination. We will mail or deliver our notice to the first Named Insured's last mailing address known to us. If notice is mailed, proof of mailing will be sufficient proof of notice. Delivery of the notice will be the same as mailing.

b. Nonrenewal

If, as allowed by the laws of New York State, we:

- (1) Do not renew this policy; or
- (2) Condition policy renewal upon:
 - (a) Change of limits; or
 - (b) Elimination of coverage;

we will mail or deliver written notice of nonrenewal or conditional renewal:

- (a) At least 45 days; but
- (b) Not more than 60 days;

before the expiration date of the policy. We will mail or deliver our notice to the first Named Insured's last mailing address known to us. If notice is mailed, proof of mailing will be sufficient proof of notice. Delivery of the notice will be the same as mailing.

E. The following is added to the Farm Property – Other Farm Provisions Form – Additional Coverages, Conditions, Definitions, the Commercial Property Coverage Part and the Capital Assets Program (Output Policy) Coverage Part:

When the property is subject to the Anti-arson Application in accordance with New York Department of Financial Services' Insurance Regulation No. 96, the following provisions are added:

If you fail to return the completed, signed and affirmed anti-arson application to us:

- 1. Or our broker or agent within 45 days of the effective date of a new policy, we will cancel the entire policy by giving 20 days' written notice to you and to the mortgageholder shown in the Declarations.
- 2. Before the expiration date of any policy, we will cancel the policy by giving written notice to you and to the mortgageholder shown in the Declarations at least 15 days before the effective date of cancellation.

The cancellation provisions set forth in **E.1.** and **E.2.** above supersede any contrary provisions in this policy including this endorsement.

If the notice in **E.1.** or **E.2.** above is mailed, proof of mailing will be sufficient proof of notice. Delivery of the notice will be the same as mailing.

F. The following applies to the Commercial Property Coverage Part, the Farm Coverage Part and the Capital Assets Program (Output Policy) Coverage Part:

Paragraphs **f.** and **g.** of the **Mortgageholders** Condition are replaced by the following:

f. Cancellation

- (1) If we cancel this policy, we will give written notice to the mortgageholder at least:
 - (a) 10 days before the effective date of cancellation if we cancel for your nonpayment of premium; or
 - (b) 30 days before the effective date of cancellation if we cancel for any other reason.

(2) If you cancel this policy, we will give written notice to the mortgageholder. With respect to the mortgageholder's interest only, cancellation will become effective on the later of:

- (a) The effective date of cancellation of the insured's coverage; or
- (b) 10 days after we give notice to the mortgageholder.

g. Nonrenewal

(1) If we elect not to renew this policy, we will give written notice to the mortgageholder at least 10 days before the expiration date of this policy.

(2) If you elect not to renew this policy, we will give written notice to the mortgageholder. With respect to the mortgageholder's interest only, nonrenewal will become effective on the later of:

- (a) The expiration date of the policy; or
- (b) 10 days after we give notice to the mortgageholder.

G. The following provisions apply when the following are made a part of this policy:

Commercial General Liability Coverage Part
Employment-Related Practices Liability Coverage Part
Farm Liability Coverage Form
Liquor Liability Coverage Part
Products/Completed Operations Liability Coverage Part

- 1. The aggregate limits of this policy as shown in the Declarations will be increased in proportion to any policy extension provided in accordance with Paragraph **C.3.d.** above.
- 2. The last sentence of Limits Of Insurance does not apply when the policy period is extended because we sent the first Named Insured an incomplete or late conditional renewal notice or a late nonrenewal notice.

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THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

EXCLUSION OF CERTAIN COMPUTER-RELATED LOSSES

This endorsement modifies insurance provided under the following:

COMMERCIAL INLAND MARINE COVERAGE PART
COMMERCIAL PROPERTY COVERAGE PART
CRIME AND FIDELITY COVERAGE PART
STANDARD PROPERTY POLICY

- A.** We will not pay for loss ("loss") or damage caused directly or indirectly by the following. Such loss ("loss") or damage is excluded regardless of any other cause or event that contributes concurrently or in any sequence to the loss ("loss") or damage.
- 1.** The failure, malfunction or inadequacy of:
 - a.** Any of the following, whether belonging to any insured or to others:
 - (1)** Computer hardware, including microprocessors;
 - (2)** Computer application software;
 - (3)** Computer operating systems and related software;
 - (4)** Computer networks;
 - (5)** Microprocessors (computer chips) not part of any computer system; or
 - (6)** Any other computerized or electronic equipment or components; or
 - b.** Any other products, and any services, data or functions that directly or indirectly use or rely upon, in any manner, any of the items listed in Paragraph **A.1.a.** of this endorsement;

due to the inability to correctly recognize, process, distinguish, interpret or accept one or more dates or times. An example is the inability of computer software to recognize the year 2000.
 - 2.** Any advice, consultation, design, evaluation, inspection, installation, maintenance, repair, replacement or supervision provided or done by you or for you to determine, rectify or test for, any potential or actual problems described in Paragraph **A.1.** of this endorsement.
- B.** If an excluded Cause of Loss as described in Paragraph **A.** of this endorsement results:
- 1.** In a Covered Cause of Loss under the Crime and Fidelity Coverage Part, the Commercial Inland Marine Coverage Part or the Standard Property Policy; or
 - 2.** Under the Commercial Property Coverage Part:
 - a.** In a "Specified Cause of Loss", or in elevator collision resulting from mechanical breakdown, under the Causes of Loss – Special Form; or
 - b.** In a Covered Cause of Loss under the Causes Of Loss – Basic Form or the Causes Of Loss – Broad Form;

we will pay only for the loss ("loss") or damage caused by such "Specified Cause of Loss", elevator collision, or Covered Cause of Loss.
- C.** We will not pay for repair, replacement or modification of any items in Paragraphs **A.1.a.** and **A.1.b.** of this endorsement to correct any deficiencies or change any features.

POLICY NUMBER: ZBS D215008 08

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THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**EXCLUSION OF CERTIFIED ACTS OF TERRORISM**

This endorsement modifies insurance provided under the following:

BOILER AND MACHINERY COVERAGE PART
 COMMERCIAL INLAND MARINE COVERAGE PART
 COMMERCIAL PROPERTY COVERAGE PART
 CRIME AND FIDELITY COVERAGE PART
 EQUIPMENT BREAKDOWN COVERAGE PART
 FARM COVERAGE PART
 STANDARD PROPERTY POLICY

SCHEDULE

The **Exception Covering Certain Fire Losses** (Paragraph **C**) applies to property located in the following state(s), if covered under the indicated Coverage Form, Coverage Part or Policy:

State(s)	Coverage Form, Coverage Part or Policy
Information required to complete this Schedule, if not shown above, will be shown in the Declarations.	

- A.** The following definition is added with respect to the provisions of this endorsement:

"Certified act of terrorism" means an act that is certified by the Secretary of the Treasury, in accordance with the provisions of the federal Terrorism Risk Insurance Act, to be an act of terrorism pursuant to such Act. The criteria contained in the Terrorism Risk Insurance Act for a "certified act of terrorism" include the following:

1. The act resulted in insured losses in excess of \$5 million in the aggregate, attributable to all types of insurance subject to the Terrorism Risk Insurance Act; and
2. The act is a violent act or an act that is dangerous to human life, property or infrastructure and is committed by an individual or individuals as part of an effort to coerce the civilian population of the United States or to influence the policy or affect the conduct of the United States Government by coercion.

- B.** The following exclusion is added:

CERTIFIED ACT OF TERRORISM EXCLUSION

We will not pay for loss or damage caused directly or indirectly by a "certified act of terrorism". Such loss or damage is excluded regardless of any other cause or event that contributes concurrently or in any sequence to the loss.

- C. Exception Covering Certain Fire Losses**

The following exception to the exclusion in Paragraph **B.** applies only if indicated and as indicated in the Schedule of this endorsement.

If a "certified act of terrorism" results in fire, we will pay for the loss or damage caused by that fire. Such coverage for fire applies only to direct loss or damage by fire to Covered Property. Therefore, for example, the coverage does not apply to insurance provided under Business Income and/or Extra Expense coverage forms or endorsements which apply to those forms, or to the Legal Liability Coverage Form or the Leasehold Interest Coverage Form.

If aggregate insured losses attributable to terrorist acts certified under the Terrorism Risk Insurance Act exceed \$100 billion in a calendar year and we have met our insurer deductible under the Terrorism Risk Insurance Act, we shall not be liable for the payment of any portion of the amount of such losses that exceeds \$100 billion, and in such case insured losses up to that amount are subject to pro rata allocation in accordance with procedures established by the Secretary of the Treasury

D. Application Of Other Exclusions

The terms and limitations of any terrorism exclusion, or the inapplicability or omission of a terrorism exclusion, do not serve to create coverage for any loss which would otherwise be excluded under this Coverage Part or Policy, such as losses excluded by the Nuclear Hazard Exclusion or the War And Military Action Exclusion.

THE ONLY SIGNATURES APPLICABLE TO THIS POLICY ARE THOSE REPRESENTING THE COMPANY NAMED ON THE FIRST PAGE OF THE DECLARATIONS.

In Witness Whereof, this company has caused this policy to be signed by its President and Secretary and countersigned on the declarations page, where required, by a duly authorized agent of the company.

A handwritten signature in black ink, appearing to read "John C. Roche". The signature is fluid and cursive, with the first letter of each name being capitalized and prominent.

John C. Roche
President

A handwritten signature in black ink, appearing to read "Charles F. Cronin". The signature is fluid and cursive, with the first letter of each name being capitalized and prominent.

Charles Frederick Cronin
Secretary

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

DATA BREACH COVERAGE FORM

Various provisions in this Coverage Form restrict coverage. Read the entire Coverage Form carefully to determine rights, duties and what is and is not covered.

Throughout this coverage form the words "we", "us" and "our" refer to the Company providing this insurance. The words "you" and "your" refer to the Named Insured shown in the Declarations. Other words and phrases that appear in quotation marks have special meaning. Refer to **SECTION F – DEFINITIONS**.

SCHEDULE

Data Breach Coverage Aggregate Limit of Insurance	\$ 10,000
Data Breach Expense Coverages Aggregate Sublimit of Insurance	\$ 10,000
Additional Expense Coverages Aggregate Sublimit of Insurance	\$ 10,000
Data Breach Coverage Deductible	\$ 1,000
Cyber Business Interruption Waiting Period Deductible	24 Hours
Premium:	\$ 50

SECTION A – COVERAGES

We will provide Data Breach Services, Data Breach Expense Coverages and Additional Expense Coverages as described below if you have a "data breach" that:

- a. Is discovered during the "policy period" of this Data Breach Coverage Form; and
- b. Is reported to us within 30 days of your discovery of the "data breach".

1. Data Breach Services, Data Breach Expense Coverages, Additional Expense Coverages

a. Data Breach Services

(1) Consulting Services

If you contact our Designated Service Provider, they will provide Consulting Services to assist you with:

- (a) Notification requirements pursuant to "breach notice laws";
- (b) Drafting your notification letters; and
- (c) Media interface and press release drafting.

(2) Help Line

Provide a toll-free telephone line for "potentially-identified persons" with questions about the "data breach".

(3) Fraud Alert

A "potentially-identified person" who contacts our Designated Service Provider can place a Fraud Alert on his or her credit file(s) with the main

credit bureaus warning potential credit grantors to check with the "potentially-identified person" before extending credit in his or her name or on his or her behalf.

(4) Identity Restoration Case Management

An "identified person" who contacts our Designated Service Provider will be assisted by an identity restoration professional to help to correct his or her credit and other records and to restore control over his or her personal identity.

These Data Breach Services will be provided by our Designated Service Provider, as described in Paragraphs **15. and 16. of Section E. Conditions**, for a period of one year from the date the Data Breach Services are initiated.

Data Breach Services are only available if the jurisdiction or country where the "potentially-identified person" resides maintains "breach notice law" and, in the case of Fraud Alert, an operative credit monitoring service.

b. Data Breach Expense Coverages

We will pay your reasonable and necessary expenses incurred for the following Covered Expenses up to the limits of insurance described in **Section C – Limits of Insurance**:

(1) Notification to Potentially-Identified Persons – expenses to provide

notification of the "data breach" to "potentially-identified persons":

- (a) As required by applicable "breach notice law"; or
- (b) If reasonably necessary to maintain your business.

Covered expenses include the printing, postage and handling of notification letters or other means of disclosing the breach to "potentially-identified persons".

- (2) **Forensic Analysis** – expenses to assess:

- (a) The severity of the "data breach";
- (b) The nature and extent of the "data breach";

Forensic Analysis expenses do not include the cost of restoration.

- (3) **Proactive Monitoring Services Expense Coverage** – Expenses for "proactive monitoring services" provided to "potentially-identified persons" in jurisdictions or countries with operative credit monitoring services as provided through our Designated Service Provider.

Under this coverage we will only pay for expenses that you incur through our Designated Service Provider.

Services provided for Covered Expenses provided in **b.(1), b.(2) and b.(3)** above must be approved by us as described in **SECTION E – CONDITIONS, Paragraph 15. Service Providers.**

- (4) **Breach Restoration Expenses**

We will pay "Breach Restoration Expenses" directly resulting from a "data breach" which is first discovered during the "policy period" and which results in the damage, deletion or destruction of "data" owned by you or for which you are legally liable.

- (5) **Cyber Business Interruption and Extra Expense**

We will pay actual loss of "business income" and additional "extra expense" incurred by you during the "period of restoration" directly resulting from a "data breach" which is first discovered during the "policy period" and which results in an actual impairment or denial of service of

"business operations" during the "policy period".

c. **Additional Expense Coverages**

We will pay your reasonable and necessary expenses incurred for the following Additional Expense Coverages. These expenses are subject to the limits of insurance described in **Section C – Limits of Insurance.**

- (1) **Legal Services** – expenses incurred within the first six months following the discovery and reporting of a "data breach" as provided in this Section for approved outside professional legal counsel review and recommendations as to how you should respond to it, including final legal review of the proposed breach notification letter(s). However, we will not pay for expenses for legal counsel to review any third party liability litigation or notification of potential litigation.

- (2) **Public Relations** – expenses incurred within the first six months following the discovery and reporting of a "data breach" as provided in this Section for approved outside public relations firm or crisis management firm recommendations for restoring the confidence of your customers and investors in the security of your company and its systems.

- (3) **Third Party "Data Breach"** – expenses for notification to "potentially-identified persons" with whom you have a direct relationship when a "data breach" is sustained by a third party to whom you have sent "private personal data" to be under that third party's care, custody and control. This includes a "data breach" that occurs while transmitting or transporting the data to that third party. Covered expenses for this Additional Covered Expense are limited to the printing, postage and handling of notification letters to "potentially-identified persons".

Service providers for Additional Expense Coverage provided in paragraphs **c.(1), c.(2) and c.(3)** must be approved by us as described in **SECTION E – CONDITIONS, Paragraph 15. Service Providers.**

- (4) **Data Breach Ransom Coverage** – monies extorted from and paid by you because or a threat or connected

series of threats to commit an intentional attack on your computer systems that if so committed, would result in a "data breach". This Data Breach Ransom Coverage is subject to the following conditions:

- (a) You must receive approval from us prior to the payment of any monies;
 - (b) Any monies paid must only be to terminate or end the threat;
 - (c) The threat must be one which, if carried out, would have led to a "data breach" that would have been covered under this Coverage Form had the monies not been paid;
 - (d) The threat must have been made during the coverage period of this Data Breach Coverage Form;
 - (e) The applicable Federal, state and/or local law enforcement authority was notified of the threat prior to any payment you make for which you are seeking reimbursement under this Additional Expense Coverage;
 - (f) The threat must not have been committed by any of your employees or former employees, vendors or independent contractors hired by you;
 - (g) You must make every reasonable effort not to divulge the existence of this Data Breach Ransom Coverage; and
 - (h) You agree to keep confidential any amounts paid under this Data Breach Ransom Coverage except for any disclosure we approve in advance of that disclosure.
- (5) Data Breach Reward Coverage –** monies you pay for information leading to the arrest and conviction of any individual(s) who committed an illegal act(s) related to a "data breach" covered under this Coverage Form. However, we will not pay for information that was provided by:
- (a) You;
 - (b) Your internal or external auditors;
 - (c) Any vendor or independent contractor hired by you;

- (d) Any individual or firm hired by you to investigate the illegal act described above; or
- (e) Any individual(s) with supervisory or management responsibility of any of the individual(s) described above.

(6) Data Breach Investigations

We will pay "defense expenses" directly resulting from a "regulatory investigation" regarding a "data breach" first discovered by you during the "policy period".

(7) Data Breach Theft

We will pay for loss resulting directly from your transfer, payment, or delivery of funds due to the fraudulent input of "data" directly into your "system" or through a "network" into your "system". Loss must first be discovered by you during the "policy period".

SECTION B – EXCLUSIONS

1. The following exclusions apply to Data Breach Services, Data Breach Expense Coverages and Additional Expense Coverages.

This insurance does not apply to:

a. Costs to Research or Correct Deficiencies

Any costs to research any deficiency, except as specifically provided under **SECTION A – COVERAGES**, Paragraph **1.b.(2) Forensic Analysis**, or any costs to correct any deficiency.

This includes, but is not limited to, any deficiency in your systems, procedures or physical security that may have contributed to a "data breach".

b. Criminal Investigation or Proceedings

Any costs arising out of criminal investigations or proceedings.

c. Fines, Penalties or Assessments

Any "fines, penalties, fees or assessments". This includes but is not limited to fees or surcharges from financial institutions.

d. Defense or Legal Liability

Any fees, costs, settlements, judgments, or liability of any kind arising in the course of, or as a result of a claim for damages, lawsuit, administrative proceedings, or governmental investigation against or involving you, except as provided under **SECTION A – COVERAGES**, Paragraph **1.c.(6) Data Breach Investigations**.

e. Other Economic Costs

Any other costs or expenses not expressly provided for under Data Breach Services, Data Breach Expense Coverages and Additional Expense Coverages provided in Paragraphs **1.a.** through **1.c.** Costs or expenses that we do not cover include but are not limited to expense to reissue credit or debit cards.

f. Consequential Loss

Any costs, or any other loss, caused by or resulting from delay, loss of use, loss of existing or prospective markets or any other consequential loss. This exclusion does not apply to **SECTION A – COVERAGES**, Paragraph **1.b.(5) Cyber Business Interruption and Extra Expense**.

g. Contractually Assumed Liability

Legal obligations arising by reason of assumption of liability in a contract or agreement.

h. Victim Expenses or Losses

Costs or losses incurred by a victim of "data breach" or fraud activity except as provided for under Data Breach Services, Data Breach Expense Coverages and Additional Expenses Coverages provided in Paragraphs **1.a.** through **1.c.**

i. Alternative Travel Arrangements or Fees

Payment of alternative travel arrangements or additional fees.

j. Psychological Counseling

Psychological counseling for victims of a "data breach" or fraud activity.

k. Legal Advice or Services

Legal advice or other legal services, except as provided by the Legal Services Additional Expense Coverage, Paragraph **1.c.(1)**.

l. Information Recapture

Any costs or losses for the recapture of lost, stolen or destroyed information.

m. Dishonesty

Any criminal, fraudulent or dishonest act, error or omission, or any intentional or knowing violation of law by you, any of your partners, directors or trustees:

- (1) Acting alone or in collusion with others; or
- (2) Whether or not occurring during the hours of employment.

n. Governmental Action

Seizure or destruction of property by order of governmental authority. Such loss or damage

is excluded regardless of any other cause or event that contributes concurrently or in any sequence to the loss. This exclusion applies whether or not the loss event results in widespread damage or affects a substantial area.

o. Intentional or Willful Complicity

Your intentional or willful complicity in a "data breach".

p. Prior Discovery

Any "data breach" discovered prior to the inception of this Data Breach Coverage Form.

q. Threats, Extortion or Blackmail

Any threat, extortion or blackmail including but not limited to, ransom payments and private security assistance except as provided in the Data Breach Ransom Coverage Additional Expense Coverage under Paragraph **1.(c)(4)**.

r. Nuclear Hazard

Nuclear reaction or radiation, or radioactive contamination, however caused.

s. War and Military Action

- (1) War, including undeclared or civil war;
- (2) Warlike action by a military force, including action in hindering or defending against an actual or expected attack, by any government, sovereign or other authority using military personnel or other agents; or
- (3) Insurrection, rebellion, revolution, usurped power, or action taken by governmental authority in hindering or defending against any of these.

2. The following exclusions apply to Breach Restoration Expenses, Cyber Business Interruption and Extra Expense, Data Breach Investigations, and Data Breach Theft only.

This insurance does not apply to:

a. Investigations

Costs, fees or expenses incurred or paid by you in establishing the existence of, or amount of loss, damage or expense.

b. Non-monetary Relief

Costs of compliance with any order for, grant of or agreement to provide non-monetary relief, including injunctive relief.

c. Potential Income

Potential income including interest and dividends not realized by you; however, this Exclusion shall not apply to loss of "business income" as provided under **SECTION A –**

COVERAGES, Paragraph 1.b.(5) Cyber Business Interruption and Extra Expense.

d. Return of Payments

Return of fees, charges, commissions or other compensation paid to you.

e. System Changes

Costs or "expenses" incurred to replace, upgrade, update, improve, or maintain a "system".

f. Uniform Commercial Code

Loss, damage, costs or "expenses" you agree to incur or incur on behalf of another natural person or entity when you are not obligated to incur such loss, costs or "expenses" under the Uniform Commercial Code or any other law, statute, rule or code anywhere in the world, including the rules or codes of any clearing or similar entity. This Exclusion does not apply to **SECTION A – COVERAGES, Paragraph 1.b.(5) Cyber Business Interruption and Extra Expense.**

SECTION C – LIMITS OF INSURANCE

1. The most we will pay for all Data Breach Expense Coverages and Additional Expense Coverages combined is the Data Breach Coverage Aggregate Limit of Insurance shown in the **SCHEDULE** of this Data Breach Coverage Form. The Data Breach Coverage Aggregate Limit of Insurance is an annual aggregate limit and is the most we will pay for the total of the covered losses and expenses for all "data breach" events discovered by you during the current "policy period" regardless of the number of "data breach" events.
2. The Data Breach Expense Coverages Aggregate Sublimit of Insurance shown in the **SCHEDULE** of this Data Breach Coverage Form is the most we will pay under all Data Breach Expense Coverages combined for the total of all covered losses and expenses arising out of all "data breach" events during the "policy period" regardless of the number of "data breach" events. The Data Breach Expense Coverage Aggregate Sublimit of Insurance is part of, and not in addition to, the Data Breach Coverage Aggregate Limit of Insurance
3. The Additional Expense Coverages Aggregate Sublimit of Insurance shown in the **SCHEDULE** of this Data Breach Coverage Form is the most we will pay under all Additional Expense Coverages combined for the total of all covered losses and expenses for all "data breach" events during the "policy period" regardless of the number of "data breach" events. The Additional Expense Coverages Aggregate Sublimit of Insurance is part of, and not in addition to, the Data Breach Coverage Aggregate Limit of Insurance.

4. Regardless of the number of years this Data Breach Coverage Form remains in force or the number of premiums paid, no limits of insurance cumulate from this "policy period" to subsequent "policy periods".

5. Discovery Policy Period Limits Apply

A "data breach" may be first discovered by you in one "policy period", but cause covered loss or expenses in one or more subsequent "policy periods". If so, all covered loss or expenses for the "data breach" will be limited to the Data Breach Coverage Aggregate Limit of Insurance, the Data Breach Expense Coverages Aggregate Sublimit of Insurance and the Additional Expense Coverages Aggregate Sublimit of Insurance described respectively in Paragraphs **1., 2. and 3.** above that are applicable to the "policy period" when the "data breach" was first discovered by you.

6. Time Limits

- a. You must report a "data breach", to us on or within 30 days of your discovery of the "data breach".
- b. You have up to one year from the date of reporting a "data breach", to initiate the services afforded to you.
- c. A "potentially-identified person" has up to one year from the date he or she receives notification of a "data breach" to initiate the services afforded to him or her.
- d. Once initiated, the services afforded to a "potentially-identified person" will continue for one year.
- e. Data Breach Services under **Section A – Coverages, Paragraph 1.a.** will be provided by our Designated Service Provider for a period one year from the date the Data Breach Services are initiated.

SECTION D – DEDUCTIBLE

The Data Breach Expense Coverages and Additional Expense Coverages provided under this Coverage Form are subject to the Data Breach Coverage Deductible shown in the **SCHEDULE** of this Coverage Form. The Data Breach Coverage Deductible applies to covered loss and expense arising out of each "data breach". Our obligation to make payments under Data Breach Expense Coverages and Additional Expense Coverages applies only to that part of covered loss and expense arising out of a single "data breach" event which is in excess of the Data Breach Coverage Deductible.

The Data Breach Coverage Deductible does not apply to **SECTION A –COVERAGES, paragraph 1.b.(6) Cyber Business Interruption and Extra Expense.** Losses payable under Cyber Business Interruption and Extra Expense are subject to the Cyber Business

Interruption Waiting Period Deductible shown on the **SCHEDULE** of this Coverage Form.

SECTION E – CONDITIONS

1. Duties in the Event of a Data Breach.

You must see that the following are done in the event of a “data breach”:

- a. Notify the police if a law may have been broken.
- b. Give us prompt notice of the “data breach”. As stated in **SECTION A – COVERAGES**, paragraph **b.**, you must report the “data breach” to us within 30 days of the date you first discover it.
- c. As soon as possible, give us, and/or our Designated Service Provider, a description of how, when and where the “data breach” occurred, including all of the following information as it becomes known to you:
 - (1) The method of “data breach”;
 - (2) The approximate date and time of the “data breach”;
 - (3) The approximate number of “potentially-identified persons” compromised as a result of the “data breach”;
 - (4) A detailed description of the type and nature of the information that was compromised;
 - (5) Whether or not the information was encrypted, and, if so, the level of encryption;
 - (6) Whether or not law enforcement has been notified;
 - (7) If available, the states in which the “potentially-identified persons” are domiciled;
 - (8) If available, who received the “private personal data” as a result of the “data breach”; and any other access, information or documentation we reasonably require to investigate or adjust your claim.
- d. Take all reasonable steps to protect “private personal data” remaining in your care, custody or control.
- e. Preserve all evidence of the “data breach”.
- f. Permit us to inspect the property and records proving the “data breach”.
- g. If requested, permit us to question you under oath at such times as may be reasonably required about any matter relating to this insurance or your claim, including your books and records. In such event, your answers must be signed.

- h. Send us a signed, sworn statement containing the information we request to investigate the claim. You must do this within 30 days after our request. We will supply you with the necessary forms.

- i. Cooperate with us in the investigation or settlement of the claim.

2. Concealment, Misrepresentation or Fraud

This coverage is void in any case of fraud by you as it relates to this Data Breach Coverage Form. It is also void if you intentionally conceal or misrepresent a material fact concerning this Coverage Form or a claim under this Coverage Form.

3. Control of Property

Any act or neglect of any person other than you beyond your direction or control will not affect this insurance.

The breach of any condition of this Coverage Form at any one or more locations will not affect coverage at any location where, at the time of loss or damage, the breach of condition does not exist.

4. Two or More Coverage Parts, Forms, Endorsements or Policies Issued By Us

It is our stated intent that the various coverage parts, forms, endorsements or policies issued to you by us or any company affiliated with us do not provide any duplication or overlap of coverage for the same loss, damage, expense or “data breach”. If this coverage form and any other coverage part, form, endorsement or policy issued to you by us or any company affiliated with us apply to the same loss, damage, expense, or “data breach”; the maximum Limit of Insurance under all such coverage parts, forms, endorsements or policies combined shall not exceed the highest applicable Limit of Insurance under any one coverage part, form, endorsement or policy.

If two or more of the coverages provided under this coverage form apply to the same loss, damage, expense or “data breach”; we will not pay more than the actual amount of the loss, damage or expense.

5. Legal Action Against Us

No one may bring a legal action against us under this insurance unless:

- a. There has been full compliance with all of the terms of this insurance; and
- b. The action is brought within two years after the date of the “data breach” is first discovered by you.

6. Liberalization

If we adopt any revision that would broaden the coverage under this Data Breach Coverage Form

without additional premium within 45 days prior to or during the “policy period”, the broadened coverage will immediately apply to this coverage form.

7. No Benefit to Bailee

No person or organization, other than you, having custody of Covered Property will benefit from this insurance.

8. Other Insurance

- a. If you may have other insurance subject to the same plan, terms, conditions and provisions as the insurance under this Data Breach Coverage Form, we will pay only our share of the covered loss, damage or expense. Our share is the proportion that the applicable Limit of Insurance under this Coverage Form bears to the Limits of Insurance of all insurance covering on the same basis.
- b. If there is other insurance covering the same “data breach”, other than that described in a. above, we will pay only for the amount for Data Breach Services, Data Breach Expense Coverages, and Additional Expense Coverages in excess of the amount due from that other insurance. We will not pay more than the applicable Limit of Insurance shown in the **SCHEDULE**.

9. Policy Period, Coverage Territory

Under this Endorsement:

a. Policy Period

This policy applies only to “data breaches” that are first discovered by you during the “policy period”.

b. Coverage Territory

Coverage applies anywhere in the world, provided that no trade or economic sanction, embargo, insurance or other laws or regulations prohibit the “insurer” from covering the loss. The “data breach” must involve “private personal data” that was within your care, custody or control.

Data Breach Services are only available in jurisdictions or countries that maintain “breach notice law” and, in the case of Fraud Alert, an operative credit monitoring service.

10. Transfer Of Rights Of Recovery Against Others To Us

If any person or organization to or for whom we make payment under this Coverage Form has rights to recover damages from another, those rights are transferred to us to the extent of our payment. That person or organization must do everything necessary to secure our rights and must do nothing after loss to impair them. But you

may waive your rights against another party in writing:

- a. Prior to a loss.
- b. After a loss only if, at time of loss, that party is one of the following:
 - (1) Someone insured by this insurance;
 - (2) A business firm:
 - (a) Owned or controlled by you; or
 - (b) That owns or controls you; or
- c. Your tenant.

This will not restrict your insurance.

11. Cancellation

With regard to the cancellation of this policy, the provisions outlined in the Common Policy Conditions, Businessowners Coverage Part, Technology Professional Advantage, the Technology Professional Advantage Plus, whichever are included in the policy, shall apply and will automatically include the non-renewal or cancellation of this coverage form. You agree that no further notice regarding termination of this Coverage Form will be required.

12. Due Diligence

You agree to use due diligence to prevent and mitigate loss covered under this Coverage Form. This includes, but is not limited to, complying with reasonable and industry-accepted protocols for providing and maintaining the following:

- a. Physical security for your premises, computer systems and hard copy files;
- b. “Computer” and Internet security;
- c. Periodic backups of computer data;
- d. Protection, including but not limited to, encryption of data, for transactions such as processing credit card, debit card and check payments; and
- e. Disposal of files containing “personal private data”, including but not limited to shredding hard copy files and destroying physical media used to store “data”.

13. No Legal Advice Provided

We are not your legal advisor and do not provide legal counsel to you. None of the services we provide under this Coverage Form constitute legal advice to you by us. Our determination of what is or is not covered under this Coverage Form does not represent legal advice or counsel from us about what you should or should not do.

14. Pre-Notification Consultation

You agree to consult with us prior to the issuance of notification to “potentially-identified persons”. We assume no responsibility under this Coverage

Form for any services promised to “potentially-identified persons” without our prior agreement. You must provide the following at our pre-notification consultation with you:

- a. The exact list of “potentially-identified persons” to be notified, including contact information.
- b. Information about the “data breach” that may appropriately be communicated with “potentially-identified persons”.

15. Service Providers

- a. We will only provide Data Breach Services through our Designated Service Provider(s). Any such services that are provided by any other individual or entity will not be covered by this Coverage Form.
- b. We will only pay Data Breach Expense Coverages and Additional Expense Coverages (except for Data Breach Ransom Coverage and Data Breach Reward Coverage) that are provided by service providers approved by us prior to the start of any of these services. If we suggest a service provider(s) but you prefer to use an alternative service provider(s), our coverage is subject to the following limitations:
 - (1) Such alternate service provider(s) must be approved by us; and
 - (2) Our payment for services provided by any alternative service provider(s) will not exceed the amount that we would have paid using the service provider we had suggested.
- c. You will have a direct relationship with any service provider, including our Designated Service Provider, paid for in whole or in part under this Coverage Form. All service providers work for you.

16. Data Breach Services

The following conditions apply with respect to any data breach services provided to you or to any “potentially-identified person” or “identified person” by our designees or any service firm paid for under this Data Breach Coverage Form:

- a. The effectiveness of data breach services depends on your cooperation and assistance.
- b. All data breach services may not be available or applicable to all “potentially identified persons” or “identified persons”. For example, “potentially identified persons” who are minors or foreign nationals may not have credit records that can be provided or monitored.
- c. We do not warrant or guarantee that the data breach services paid for in whole or in part by this Coverage Form will end or eliminate all

problems associated with a covered “data breach”.

- d. We are not liable for any act or omission by any Designated Service Provider who is not our employee nor the employee of a third party provider of the data breach services described in this Coverage Form. We cannot be held responsible for failure to provide or for the delay in providing services when such failure or delay is caused by conditions beyond our control
- e. Data Breach Services are only available in jurisdictions or countries that maintain “breach notice law” and, in the case of Fraud Alert, an operative credit monitoring service.

17. Cooperation

You agree to cooperate with and provide full disclosure of the circumstances surrounding a “data breach” to applicable federal or state regulators, law enforcement personnel, to us, and to our Designated Service Provider(s).

If you fail to cooperate, we will not be obliged under this contract for any services and expenses that cannot be provided due to your failure to cooperate.

18. Appraisal

If we and you disagree on the amount of net income, operating expense or loss, either may make written demand for an appraisal of the loss. In this event, each party will select a competent and impartial appraiser. The two appraisers will select an umpire. If they cannot agree, either may request that selection be made by a judge of a court having jurisdiction. The appraisers will state separately the amount of the net income, operating expense and loss. If they fail to agree, they will submit their differences to the umpire. A decision agreed to by any two will be binding. Each party will:

- a. Pay its chosen appraiser; and
- b. Bear the other expenses of the appraisal and umpire equally.

If there is an appraisal, we will still retain our right to deny the claim.

SECTION F – DEFINITIONS

1. Account Takeover

“Account takeover” means the takeover by a third party of one or more existing deposit accounts, credit card accounts, debit card accounts, ATM cards, or lines of credit in the name of an “identified person”.

2. Breach Notice Law

“Breach Notice Law” means any federal, state, local or foreign privacy legislation, regulation and

their functional equivalent that requires an entity to provide notice to affected natural persons or data protection authorities regarding any actual or potential unauthorized access to "private personal data".

3. Breach Restoration Expenses

"Breach Restoration Expenses" means the reasonable cost of the blank "media" and the reasonable cost of labor for the actual transcription or copying of "data" or "media" in order to reproduce such "data" or replace such "media" from "data" and/or media of comparable kind or quality.

4. Business Income

"Business Income" means your:

- a. Net Income (Net Profit or Loss before income taxes) that would have been earned or incurred if there had been no impairment or denial of "business operations" due to a covered "data breach" and
- b. Continuing normal operating expenses incurred, including payroll.

"Business income" does not include interest or investment income.

5. Business Operations

"Business Operations" means your usual and regular business activities.

6. Computer

"Computer" means a device or group of hardware devices on which software, applications, script, code and "computer" programs containing "data" can be operated and viewed.

7. Cyber Attack

"Cyber Attack" means the transmission of fraudulent or unauthorized "data" that is intended to and successfully modifies, alters, damages, destroys, deletes, records, transmits, or consumes information within a "system" without authorization, including "data" that is self-replicating or self-propagating, and which causes the disruption of the normal operation of a "system".

8. Data

"Data" means a representation of information, knowledge, facts, concepts or instructions which are being processed or have been processed in a "computer".

9. Data Breach

"Data breach" means:

- a. The loss, theft, accidental release or accidental publication of "private personal data" entrusted to you as respects one or more "potentially-identified persons" if such loss, theft, accidental release or accidental

publication has or could reasonably result in the fraudulent use of such information;

- b. Failure to protect "private personal data" including a "Cyber Attack" on your "system" or the actions of a "rogue employee" which directly results in the unauthorized disclosure of "private personal data";
- c. The theft or negligent loss of hardware, "media", "system output", "data" or other documents owned or controlled by you, or on your behalf, on which "private personal data" is stored or recorded;
- d. The failure or violation of the security of your "system" including the impairment or denial of access to your "system", including a "Cyber Attack" or unauthorized acts or omissions by a "rogue employee" which damages or harms your "system" or the "system" of a third party for whom you provide "services" for a fee;
- e. The theft or loss of hardware or "media" controlled by you, or on your behalf, on which "data" is stored;
- f. Disposal or abandonment of "private personal data" without appropriate safeguards such as shredding or destruction, subject to the following provisions:
 - (1) Your failure to use appropriate safeguards must be accidental and not intentional, reckless or deliberate and not in violation of your Due Diligence obligations under Paragraph 2. **Additional Conditions**, Paragraph a.;
 - (2) Such disposal or abandonment must take place during the time period for which this Data Breach Coverage Form is effective; or
- g. The failure to disclose an event described in a. thru f. above which violates any "breach notice law".

All incidents of "data breach" that are discovered at the same time or arise from the same cause or from a series of similar causes would be considered one "data breach". All theft of "private personal data" caused by any person or in which that person is involved, whether the result of a single act or series of related acts, is considered a single incident of "data breach".

10. Defense Expenses

"Defense Expenses" means the reasonable and necessary legal fees and expenses including attorney fees and expert fees incurred by us or by you (other than regular or overtime wages, salaries, fees or benefits of you or your employees) in the investigation, defense, settlement and appeal of a claim, including but not

limited to cost of consultants and witnesses, premiums for appeal, injunction, attachment or supersedes bonds regarding such claim.

11. Electronic Data

"Electronic data" means information, facts or computer programs stored as or on, created or used on, or transmitted to or from software (including systems and applications software), on hard or floppy disks, CD-ROMs, tapes, drives, cells, data processing devices or any other repositories of computer software which are used with electronically controlled equipment. The term computer programs means a set of related electronic instructions which direct the operations and functions of a computer or device connected to it, which enable the computer or device to receive, process, store, retrieve or send data.

12. Expense

"Expense" means "Business Income", "Extra Expense", "Breach Restoration Expenses", and loss payable under the Data Breach Theft coverage incurred by you.

13. Extra Expense

"Extra Expense" means the reasonable and necessary expenses you incur during the "period of restoration" in an attempt to continue "business operations" that have been interrupted due to a "data breach" and that are over and above the expenses such you would have incurred if no loss had occurred. "Extra expense" does not include any costs of updating, upgrading or remediation of your "system" that are not otherwise covered under this Coverage Part.

14. Fines, Penalties or Assessments

"Fines, penalties or assessments" means any fines, assessments, surcharges, attorneys' fees, court costs or other penalties which you shall be required to pay as a result of a "data breach" or pursuant to any contract, law, regulation or order.

15. Identified Person

"Identified person" means a "potentially-identified person" who is or appears to be a victim of "identity theft" or "account takeover" that may reasonably have arisen from a covered "data breach".

16. Identity Theft

"Identity theft" means the fraudulent use of "private personal data". This includes the fraudulent use of such information to establish credit accounts, secure loans, enter into contracts or commit crimes.

"Identity theft" does not include the fraudulent use of a business name, d/b/a or any other method of identifying a business activity.

"Identity theft" does not include the use of a valid credit card, credit account or bank account. However, "identity theft" does include the fraudulent alteration of account profile information, such as the address to which statements are sent.

17. Media

"Media" means electronic applications, software, scripts and programs on which "data" is stored so that it can be collected, read, retrieved or processed by a "computer". "Media" does not mean paper, or other tangible property, money, debt, equity, instruments, accounts, bonds, bills, records, abstracts, deeds or manuscripts

18. Network

"Network" means any services provided by or through the facilities of any electronic or "computer" communication system, allowing the input, output, examination, visualization or transfer of "data" or programs from one "computer" to your "computer". "Network" includes any shared networks, Internet access facilities, or other similar facilities for such systems, in which you participate.

19. Period of Restoration

"Period of Restoration" means:

- a. The period of time that begins:
 - (1) For "Extra Expenses", immediately after the actual or potential impairment or denial of "business operations" occurs; and
 - (2) For the loss of "Business Income", after 24 hours or the number of hours shown as the Cyber Business Interruption Waiting Period Deductible in the **SCHEDULE** on this Coverage Forms, whichever is greater, immediately following the time the actual impairment or denial of "business operations" first occurs.
- b. The "Period of Restoration" ends on the earlier of the following:
 - (1) The date "business operations" are restored, with due diligence and dispatch, to the condition that would have existed had there been no impairment or denial; or
 - (2) Sixty (60) days after the date the actual impairment or denial of "business operations" first occurs;

The expiration date of this Policy or Coverage Part will not cut short the "period of restoration".

20. Policy Period

"Policy Period" means the period of time from the inception date shown the Declarations to the earlier of the expiration date shown in the

Declarations or the effective date of termination of the Policy or Data Breach Coverage Form.

21. Potentially-Identified Person

"Potentially-identified person" means any person who is your current, former or prospective customer, employee, client, member, or patient and whose "private personal data" is lost, stolen, accidentally released or accidentally published by a "data breach" covered under this Coverage Form.

"Potentially-identified person" does not include any business or organization. Only an individual person may be a "potentially-identified person".

A "potentially-identified person" may reside anywhere in the world.

22. Private Personal Data

"Private Personal Data" means a natural person's first name or first initial and last name in combination with:

- a. Non-public personally identifiable information, as defined in applicable federal, state, local or foreign legislation or regulations including, social security number, driver's license number or other personal identification number (including an employee identification number or student identification number);
- b. Financial account number (including a bank account number, retirement account number or healthcare spending account number);
- c. Credit, debit or payment card numbers;
- d. Information related to employment by you;
- e. Individually identifiable information considered nonpublic personal information pursuant to Title V of the Gramm-Leach Bliley Act of 1999, as amended; or
- f. Individually identifiable information considered protected health information pursuant to the Health Insurance Portability and Accountability Act of 1996 (HIPAA), as amended;

which is intended to be accessible only by natural persons or entities you have specifically authorized to have such access.

"Private personal data" does not mean or include information that is otherwise available to the public, such as names and addresses with no

correlated Social Security numbers or account numbers.

23. Proactive Monitoring Services

"Proactive monitoring services" means the following services if you offer to provide them to "potentially-identified persons" who contact our Designated Service Provider:

- a. A credit report;
- b. credit monitoring; and or
- c. fraud/public records monitoring service or services.

24. Regulatory Investigation

"Regulatory Investigation" means a formal request for information, civil investigative demand or civil proceeding, including requests for information related thereto, brought by or on behalf of a state Attorney General, the Federal Trade Commission, the Federal Communications Commission or any other federal, state, local or foreign governmental agency.

25. Rogue Employee

"Rogue Employee" means a permanent employee of yours, other than an "executive", who has gained unauthorized access or has exceeded authorized access to a "system" or "private personal data" owned or controlled by you or an entity that is authorized by you to hold, process or store "private personal data" for your exclusive benefit.

26. Services

"Services" means "computer" time, data processing, storage functions or other uses of your "system".

27. System

"System" means a "computer", "media" and all input, output, processing storage and communication devices controlled, supervised or accessed by operating software that is proprietary to, or licensed to, the owner of the "computer".

28. System Output

"System Output" means a tangible substance on which "private personal data" is printed from a "System".

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

ASSOCIATES AND FAMILY MEMBERS ADDITIONAL COVERAGE ENDORSEMENT

This endorsement modifies insurance provided under the following:

DATA BREACH COVERAGE FORM

The following Additional Coverage is added to **SECTION A – COVERAGES** of the Data Breach Coverage Form:

A. ASSOCIATES AND FAMILY MEMBERS ADDITIONAL COVERAGE

As described in Paragraphs 1. and 2. below, we will extend certain **Data Breach Covered Services** to your “associates” and to their “family members” following loss of their “private personal data” under the circumstances described below. This Additional Coverage does not apply to a “data breach” involving information owned or controlled by you.

1. An “associate” or “family member” whose “private personal data” is lost or stolen by circumstances such as the loss of a credit card, debit card, ATM card, checkbook, driver’s license, or passport; or the loss of a wallet, purse, or briefcase containing any of the foregoing, may contact our Designated Service Provider for the Fraud Alert service described in **Section A – Coverages**, paragraph 1.a.(3) of the Data Breach Coverage Form.
2. An “associate” or “family member” who, as a result of loss or theft of “private personal data” described in Paragraph 1. above, becomes a victim of “identity theft” or “account takeover”, may contact our Designated Service Provider for the Identity Restoration Case Management services described in **Section A – Coverages**, paragraph 1.a.(4) of the Data Breach Coverage Form.

We will provide these services for a period of one year following the date we are notified of the initial loss of “private personal data”.

B. DEFINITIONS

Under **Section F – Definitions**, Paragraph

1. Account Takeover is replaced with the following:

1. Account Takeover

“Account takeover”, as respects “associates” or “family members”, means the takeover by a third party of one or more existing deposit accounts, credit card accounts, debit card accounts, ATM cards, or lines of credit in the name of an “associate” or “family member”.

“Account takeover”, as respects “associates” or “family members”, includes the unauthorized takeover of one or more of the “associate’s” existing deposit accounts, credit card accounts, debit card accounts, ATM cards, or lines of credit by a “family member”.

Under **Section F – Definitions**, the following Definitions are added:

1. “Associate” means an employee of the business insured under this policy.
2. “Family Member” means:
 - a. an “associate’s” spouse, or Registered Domestic Partner, or the legal equivalent thereof; or
 - b. a relative under 23 years of age who is a dependent of the “associate.”

IDENTITY THEFT RESOLUTION SERVICES (POWERED BY IDENTITY THEFT 911)

Are you or your resident family members at risk for identity theft? Do you need expert assistance with an identity-related concern? IDENTITY THEFT RESOLUTION SERVICES from Identity Theft 911 give you one-on-one assistance in the following situations:

Access Phone Number: 800-628-0250

If you or a resident family member suffer the loss or theft of private personal data, contact Identity Theft 911 for proactive guidance that can include Fraud Alert service. If you wish, a fraud specialist can assist and place a free fraud alert on your credit file to reduce the risk of fraudulent accounts opened in your name. This service also includes additional preventative measures and one-on-one assistance, depending on the risk.

If you or a resident family member suffer the loss or theft of private passenger data, contact Identity Theft 911 for Identity Restoration Case Management services. A fraud specialist will guide you through the process of restoring your identity and handle all of the work, including completed documentation and notification assistance. Victims also receive one year of credit monitoring, as well as free fraud monitoring of over 1,000 public databases.

Learn How to Protect Your Identity

We recommend that you regularly visit The Hanover Insurance Group and Identity Theft 911 comprehensive resource and knowledge library – www.hanover-identitytheft911.com – for the latest media alerts, identity theft tips, in-depth newsletters and much more.

Keep this access information handy in case you ever need help with an identity-related problem.

Access Phone Number: 800-628-0250

The Hanover Insurance Group makes no guarantee of results and assumes no liability in connection with either the information or assistance provided by Identity Theft 911. Any and all external Websites or sources referred to herein are for informational purposes only.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

GOLD PROPERTY BROADENING ENDORSEMENT

This endorsement modifies insurance provided under the following:

BUILDING AND PERSONAL PROPERTY COVERAGE FORM
CONDOMINIUM COMMERCIAL UNIT – OWNERS COVERAGE FORM
CAUSES OF LOSS – SPECIAL FORM
BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM
BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM – ACTUAL LOSS SUSTAINED

The first two above-referenced forms are Coverage Forms. One of these two Coverage Forms is attached to your policy and will hereafter be collectively referred to as “your applicable Coverage Form”. Terms in quotation marks have special meanings that are explained in this endorsement or within a form modified by this endorsement. If a loss is covered by more than one coverage in this policy, only one coverage is applicable and the most we will pay is the Limit of Insurance for the coverage that is applied, regardless of whether or not it is specified in any of the coverages included in this policy. The coverages provided by this endorsement are subject to the provisions of this policy except where amended within this endorsement. There is no coverage for Business Income and Extra Expense for the coverages provided by this endorsement unless specifically stated within section III. **COVERAGES** of this endorsement, and then only to the extent provided for within the applicable coverage provision.

I. SCHEDULE

A. Scheduled Coverages

Scheduled Coverages	Limits of Insurance	Amended Limits of Insurance	Page
1. Back up or Overflow of a Sewer, Drain or Sump	Included	N/A	4
2. Brands and Labels	Included	N/A	4
3. Broadened Building Coverage	Included	N/A	4
4. Broadened Business Personal Property	Included	N/A	5
5. Business Income and Extra Expense – Dependent Properties	\$150,000	\$	5
6. Business Income and Extra Expense – Lease Cancellation	\$50,000	\$	6
7. Business Income and Extra Expense – Transit	\$75,000	\$	7
8. Business Personal Property In Storage Units	Included	N/A	7
9. Business Personal Property In Transit	\$100,000	\$	7
10. Business Personal Property Off Premises	\$250,000	\$	8
11. Catastrophe Allowance	\$50,000	N/A	8
12. Computer and Funds Transfer Fraud	\$50,000	\$	9
13. Consequential Loss to Stock	Included	N/A	10
14. Contract Penalties	\$50,000	\$	10
15. Debris Removal	\$250,000	\$	10
16. Denial of Access to Premises	30 Days 72 Hour Waiting Period	N/A	11
17. E-Commerce	\$50,000	\$	11

18. Electronic Data Processing Equipment	Included	N/A	12
19. Employee Theft including ERISA Compliance	\$250,000	\$	13
20. Employee Tools and Work Clothing	\$25,000	\$	15
21. Expediting Expense	\$50,000	\$	16
22. Extended Business Income	180 Days	N/A	16
23. Extended Coverage on Property – within 2,000 feet	Included	N/A	16
24. Extra Expense	\$300,000	\$	17
25. Fire Protection Equipment Recharge	Included	N/A	18
26. Food Contamination – Additional Advertising Expense	\$25,000 \$3,000	\$ \$	18
27. Forgery or Alteration	\$100,000	\$	19
28. Foundations and Underground Pipes	Included	N/A	19
29. International Air Shipments	\$50,000	\$	20
30. Inventory and Loss Appraisal	\$250,000	\$	20
31. Key Replacement and Lock Repair	\$20,000	\$	20
32. Leasehold Interest	\$150,000	\$	21
33. Lessor's Tenant Move Expenses	\$50,000	\$	21
34. Marring and Scratching	Included	N/A	22
35. Money and Securities	\$50,000	\$	22
36. Money Orders and Counterfeit Money	\$50,000	\$	23
37. Newly Acquired or Constructed Property – Building – Business Personal Property	\$2,000,000 \$1,000,000	\$ \$	24 24
38. Newly Acquired Locations – Business Income and Extra Expense	\$250,000	\$	25
39. Non-Owned Detached Trailers	\$25,000	\$	25
40. Ordinance or Law – Coverage A – Coverage B and C	Included \$500,000	N/A \$	25 26 26
41. Pollutant Clean-Up and Removal	\$100,000	\$	28
42. Preservation of Property	90 Days	N/A	29
43. Preservation of Property – Expenses	\$50,000	\$	29
44. Prototypes	Included	N/A	29
45. Rewards	\$75,000	\$	29
46. Sales Representative Samples	\$25,000	\$	29
47. Soft Costs	\$25,000	\$	30
48. Temporary Relocation of Property	\$100,000	\$	30
49. Theft Damage to Building	Included	N/A	30
50. Undamaged Tenants Improvements and Betterments	\$50,000	\$	31
51. Underground Water Seepage	\$50,000	N/A	31
52. Unintentional Property Reporting Errors	\$500,000	N/A	32
53. Unnamed Locations	\$150,000	\$	32
54. Utility Services – Direct Damage	\$100,000	\$	32

Utility Services – Business Income and Extra Expense	\$100,000	\$	33
55. Voluntary Parting	\$50,000	\$	33
56. Water Damage, Other Liquids, Powder or Molten Material Damage	\$50,000	\$	34
57. Windblown Debris	\$10,000	\$	34
58. Worldwide Business Personal Property Off Premises	\$75,000	\$	34

B. Blanket Coverages

Blanket Limit of Insurance \$500,000

The Blanket Limit of Insurance applies for each occurrence to all Scheduled Blanket Coverages shown below unless an Amended Limit of Insurance is shown. At the time of loss, you may apportion the Blanket Limit of Insurance to any combination of the Scheduled Blanket Coverages without an Amended Limit of Insurance, but under no circumstances will the aggregate apportionment be permitted to exceed the Blanket Limit of Insurance. When an Amended Limit of Insurance is shown for any of the Scheduled Blanket Coverages, those coverages are not included within the Blanket Limit of Insurance and the Amended Limit of Insurance is the most we will pay for those coverages.

Scheduled Blanket Coverages	Amended Limits of Insurance	Page
1. Accounts Receivable	\$	34
2. Deferred Payments	\$	35
3. Fine Arts	\$	35
4. Fire Department Service Charge	\$	36
5. Movement of Property	\$	36
6. Outdoor Property	\$	36
7. Personal Effects and Property of Others	\$	37
8. Research and Development Documentation	\$	37
9. Valuable Papers and Records	\$	38

II. DEDUCTIBLE

- A. We will not pay for loss or damage in any one occurrence until the amount of loss or damage exceeds the Deductible shown in the Declarations. We will then pay the amount of loss or damage in excess of the Deductible, up to the Limit of Insurance for all applicable coverages listed under section I. **SCHEDULE** except as shown in paragraph B. below.
- B. No Deductible applies to the following coverages:
1. ERISA Compliance;
 2. Extra Expense;
 3. Fire Department Service Charge;
 4. Fire Protection Equipment Recharge;
 5. Forgery or Alteration;
 6. Inventory and Loss Appraisal;
 7. Key Replacement and Lock Repair;
 8. Personal Effects and Property of Others; and
 9. Rewards

III. COVERAGES

A. Scheduled Coverages

1. Back up or Overflow of a Sewer, Drain or Sump

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 4. Additional Coverages:**

Back up or Overflow of a Sewer, Drain or Sump

- (1) We will pay for direct physical loss of or damage to Covered Property at the described premises when solely caused by or resulting from the following:
 - (a) Water or waterborne material that backs up through or overflows or is otherwise discharged from a sewer or drain. With respect to this Additional Coverage, the term drain includes a roof drain and related fixtures.
 - (b) Water or waterborne material that overflows or is otherwise discharged from a sump, sump pump or related equipment.
- (2) This Additional Coverage includes Business Income and Extra Expense coverage. Business Income and Extra Expense losses are subject to the terms of BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM CP 00 30, BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM – ACTUAL LOSS SUSTAINED 411-0581 or Additional Coverage – Extra Expense of this endorsement.
- (3) With respect to CAUSES OF LOSS – SPECIAL FORM CP 10 30, **B. Exclusions, 1.g. Water**, paragraph (3) is deleted.
- (4) Payment under this Additional Coverage is included within the applicable Limit of Insurance for Covered Property at the location where the loss or damage occurred.
- (5) **Back up or Overflow of a Sewer, Drain or Sump Special Exclusion**

We will not pay for loss or damage from water or other materials that back up or overflow from any sewer or drain, sump, sump pump or related equipment when it is caused by or results from any “flood”, regardless of the proximity of the back up or overflow to the “flood” condition.

2. Brands and Labels

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 5. Coverage Extensions:**

Brands and Labels

- (1) The insurance that applies to Business Personal Property is extended to apply to brands or labels that are damaged by a Covered Cause of Loss when we elect to take all or any part of the damaged property at an agreed or appraised value. We will:
 - (a) Pay expenses you incur to:
 - (i) Remove the brand or label and then relabel the damaged property to comply with any applicable law; or
 - (ii) Label or stamp the damaged property Salvage, if doing so will not physically damage the property.
 - (b) Cover any reduction in the salvage value of the damaged property as a result of the removal of the brand or label.
- (2) Payment under this Coverage Extension is included within the Limit of Insurance shown in the Declarations for Business Personal Property.

3. Broadened Building Coverage

With respect to BUILDING AND PERSONAL PROPERTY COVERAGE FORM CP 00 10, the following is added to **A. Coverage, 1. Covered Property, a. Building:**

- (1) Foundations of machinery, tanks and their component parts including all connections which are below:
 - (a) The lowest basement floor; or
 - (b) The surface of the ground, if there is no basement.
- (2) Your Business Personal Property in apartments or rooms furnished by you as landlord;
- (3) The following property if it is located on or within 2,000 feet of a covered building or structure:
 - (a) Exterior lighting fixtures or poles;
 - (b) Yard fixtures;
 - (c) Fences; and
 - (d) Retaining walls whether or not attached to the building.

- (4) Signs, whether or not they are attached to covered buildings or structures;
- (5) Building glass, including encasement frames, lettering, artwork, ornamentation, sensors or other items permanently affixed to, or a part of, building glass;
- (6) Your new buildings while being built on or within 2,000 feet of the described premises; and
- (7) Driveways, walks and patios.

4. Broadened Business Personal Property

- a. With respect to BUILDING AND PERSONAL PROPERTY COVERAGE FORM CP0010, the following is added to A. Coverage, 1. Covered Property,
- b. Your Business Personal Property** and with respect to CONDOMINIUM COMMERCIAL UNIT – OWNERS COVERAGE FORM CP 00 18, , the following is added to **A. Coverage, 1. Covered Property, a. Your Business Personal Property**:

- (1) Property of others that is in your care, custody or control;
- (2) “Scientific and professional equipment”;
- (3) Tenant Glass
 - (a) Glass in a building you occupy but do not own that you, as a tenant, have a contractual responsibility to insure, including encasement frames, lettering, artwork, ornamentation, sensors or other items permanently affixed to, or a part of, building glass;
 - (b) Glass must be in your care, custody or control and repairs must be made at your expense;
 - (c) We will also pay for necessary:
 - (i) Expenses incurred to put up temporary plates or board up openings when repair or replacement of the damaged glass is delayed;
 - (ii) Expenses incurred to remove or replace obstructions to repair or replace the damaged glass.

This does not include the cost of removing, replacing or rebuilding window displays.

- (d) With respect to Tenant Glass, CAUSES OF LOSS SPECIAL FORM CP 10 30, **B. Exclusions** do not apply to Tenant Glass except for paragraphs:

- (i) **1.b. Earth Movement**;
- (ii) **1. C. Governmental Action**;
- (iii) **1.d. Nuclear Hazard**;
- (iv) **1.f. War and Military Action**; and
- (v) **1.g. Water**.

- (e) We will not pay for loss or damage caused by or resulting from:

- (i) Wear and tear;
- (ii) Hidden or latent defect;
- (iii) Corrosion; or
- (iv) Rust;

Whatever its origin or cause.

- (4) “Installation, tools and equipment property”;

- (5) Patterns, dies, molds and forms; and

- (6) Signs that are:

- (a) Owned by you; or
- (b) Owned by others but in your care, custody or control;

when you are a tenant in a building you occupy but do not own, whether or not the signs are attached to such building.

- b. With respect to BUILDING AND PERSONAL PROPERTY COVERAGE FORM CP 00 10, **A. Coverage, 1. Covered Property, c. Personal Property of Others** and with respect to CONDOMINIUM COMMERCIAL UNIT – OWNERS COVERAGE FORM CP 00 18, **A. Coverage, 1. Covered Property, b. Personal Property of Others** is deleted.

5. Business Income and Extra Expense - Dependent Properties

With respect to BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM CP 00 30 and BUSINESS INCOME (AND

EXTRA EXPENSE) COVERAGE FORM – ACTUAL LOSS SUSTAINED 411-0581, the following is added to **A. Coverage, 5. Additional Coverages:**

Business Income and Extra Expense – Dependent Properties

- (1) We will pay the actual loss of business income you sustain due to the necessary “suspension” of your “operations” during the “dependent property period of restoration”. The “suspension” must be caused by direct physical loss of or damage to “dependent property” caused by or resulting from a Covered Cause of Loss.
- (2) We will pay the actual and necessary Extra Expense you incur due to direct physical loss of or damage to “dependent property” caused by or resulting from a Covered Cause of Loss.
- (3) With respect to this Additional Coverage, the meaning of Extra Expense is replaced with the following:
Extra Expense means necessary expenses you incur during the “dependent property period of restoration” that you would not have incurred if there had been no direct physical loss or damage to the premises of any “dependent property” caused by or resulting from a Covered Cause of Loss:
 - (a) To avoid or minimize the “suspension” of business and to continue “operations”; or
 - (b) To minimize the “suspension” of business if you cannot continue “operations”.
- (4) For Business Income coverage under this Additional Coverage, the Coverage Territory for “dependent property” is expanded to all parts of the world except any country or jurisdiction that is subject to trade sanction or other economic sanction or embargo by the United States of America.
- (5) We will reduce the amount of your:
 - (a) Business income loss, other than Extra Expense, to the extent you can resume “operations” in whole or in part by using any other available:
 - (i) Source of materials; or

(ii) Outlet for your products

- (b) Extra Expense loss to the extent you can return “operations” to normal and discontinue such extra expense.

- (6) Regardless of the number of “dependent properties” involved, the most we will pay under this Additional Coverage is \$150,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.

6. Business Income and Extra Expense – Lease Cancellation

With respect to BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM CP 00 30 and BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM – ACTUAL LOSS SUSTAINED 411-0581, the following is added to **A. Coverage, 5. Additional Coverages:**

Business Income and Extra Expense – Lease Cancellation

- (1) We will pay for the actual loss of Business Income you sustain and necessary Extra Expense you incur due to the cancellation of a lease by your tenant, who occupies a building covered under this policy, because of untenability as a result of direct physical loss of or damage to that building from a Covered Cause of Loss.

This Additional Coverage only applies:

- (a) If, at the time of loss, the building was occupied and business was being conducted by the tenant canceling the lease or their sub-lessee; or

- (b) If the lease was signed but the building was not yet occupied by the tenant.

- (2) We will pay for the actual loss of Business Income you sustain after tenantability is restored until the earlier of:

- (a) The date the premises is leased to another tenant; or

- (b) 12 months immediately following the “period of restoration”.

- (3) Regardless of the number of tenants canceling a lease at the described premises, the most we will pay under this Additional Coverage is \$50,000 unless a higher Amended Limit of

Insurance is shown in the above **SCHEDULE**.

(4) Business Income and Extra Expense – Lease Cancellation Special Exclusions

We will not pay when:

- (a)** A lease is cancelled after the “period of restoration”;
- (b)** A lease is cancelled, suspended or allowed to lapse by you;
- (c)** There is a return of prepaid rent or security and other deposits made by the tenant; or
- (d)** A lease is cancelled at the normal expiration date.

7. Business Income and Extra Expense – Transit

With respect to BUSINESS INCOME AND EXTRA EXPENSE COVERAGE FORM CP 00 30 and BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM – ACTUAL LOSS SUSTAINED 411-0581, the following is added to **A. Coverage, 5. Additional Coverages**:

Business Income and Extra Expense – Transit

- (1)** We will pay for the actual loss of Business Income you sustain and necessary Extra Expense you incur due to direct physical loss of or damage to Covered Property while “in transit”. This includes the property of others. The loss or damage must be caused by or result from a Covered Cause of Loss.
- (2)** With respect to this Additional Coverage, CAUSES OF LOSS – SPECIAL FORM CP 10 30, **B. Exclusions, 1.b. Earth Movement** and **1.g. Water** do not apply.
- (3)** The most we will pay under this Additional Coverage is \$75,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.

8. Business Personal Property In Storage Units

With respect to BUILDING AND PERSONAL PROPERTY COVERAGE FORM CP 00 10, **A. Coverage, 5. Coverage Extensions, g. Business Personal Property Temporarily In Portable Storage Units** is replaced by the following:

g. Business Personal Property In Storage Units

- (1)** The insurance that applies to Business Personal Property is extended to apply to direct physical loss of or damage to Business Personal Property stored in a storage unit (including a detached trailer) located within 2,000 feet of the buildings or structures described in the Declarations or within 2,000 feet of the described premises, whichever distance is greater. The loss or damage must be caused by or result from a Covered Cause of Loss.
- (2)** Payment under this Coverage Extension is included within the Limit of Insurance shown in the Declarations for Business Personal Property. However a loss resulting from “theft” is limited to \$50,000.
- (3)** This Coverage Extension does not apply to loss or damage to the storage unit itself.
- (4) Business Personal Property In Storage Units Special Exclusion**

We will not pay for loss of or damage to Business Personal Property in storage units caused by or resulting from rain, snow, sleet, ice, sand or dust, whether driven by wind or not, unless:

- (a)** The storage unit first sustains damage by a Covered Cause of Loss to its roof or walls through which the rain, snow, sleet, ice, sand or dust enters; or
- (b)** The loss or damage is caused by or resulting from thawing of snow, sleet or ice on the storage unit.

9. Business Personal Property In Transit

With respect to CAUSES OF LOSS – SPECIAL FORM CP 10 30, **F. Additional Coverage Extensions, 1. Property in Transit** is replaced by the following:

1. Business Personal Property In Transit

- a.** The insurance that applies to Business Personal Property is extended to apply to direct physical loss of or damage to Business

Personal Property while "in transit". The loss or damage must be caused by or result from a Covered Cause of Loss.

- b. The insurance that applies to Business Personal Property is extended to apply to direct physical loss of or damage to outgoing shipments that have been rejected, while in due course of transit back to you or while awaiting return shipment to you. The loss or damage must be caused by or result from a Covered Cause of Loss.
- c. This Coverage Extension applies to the property while:
 - (1) In a vehicle owned, leased or operated by you; or
 - (2) In the custody of a common carrier, contract carrier or carrier for hire.
- d. With respect to this Coverage Extension, CAUSES OF LOSS – SPECIAL FORM CP 10 30, **B. Exclusions, 1.b. Earth Movement** and **1.g. Water** do not apply.
- e. The most we will pay under this Coverage Extension is \$100,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.
- f. **Business Personal Property In Transit Special Exclusions**
This Coverage Extension does not apply to:
 - (1) Property that belongs to others that you are responsible for as a common carrier, contract carrier or carrier for hire;
 - (2) Sales Representative Samples; or
 - (3) Loss to "perishable stock" resulting from a breakdown of refrigeration equipment on any vehicle owned, leased or operated by you or while in the custody of a common carrier, contract carrier or carrier for hire.

10. Business Personal Property Off Premises

With respect to your applicable Coverage Form, **A. Coverage, 5. Coverage Extensions, d. Property Off-premises** is replaced by the following:

d. Business Personal Property Off Premises

- (1) The insurance that applies to Business Personal Property is extended to apply to direct physical loss of or damage to Business Personal Property while:
 - (a) At a location you do not own, lease or operate;
 - (b) In storage at a location you lease, provided the lease was executed after the beginning of the current policy; or
 - (c) At any fair, trade show or exhibition.

The loss or damage must be caused by or result from a Covered Cause of Loss.

- (2) Regardless of the number of storage units involved, the most we will pay for loss or damage to Business Personal Property is \$250,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.

(3) Business Personal Property Off Premises Special Exclusion

This Coverage Extension does not apply to property:

- (a) In or on a vehicle; or
- (b) In the care, custody or control of your sales representatives, unless the property is in such care, custody or control at a fair, trade show or exhibition.

11. Catastrophe Allowance

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 5. Coverage Extensions:**

Catastrophe Allowance

- (1) This Coverage Extension applies when the direct physical loss of or damage to Covered Property is the result of an event for which Property Claims Service (PCS) has publicly designated a catastrophe number to the event.
- (2) This Coverage Extension applies when the Limits of Insurance for Building and Business Personal Property, as shown

in the Declarations, are insufficient to compensate you for covered loss or damage you incur as a result of the catastrophe event.

- (3) This Coverage Extension cannot be applied to the Deductible amount of this policy or any other policy. It also may not be used to cover any loss or damage that would not be covered under this policy.
- (4) The most we will pay under this Coverage Extension in any one occurrence and any one Policy Period is \$50,000.

12. Computer and Funds Transfer Fraud

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 4. Additional Coverages:**

Computer and Funds Transfer Fraud

- (1) We will pay for the following:

- (a) Loss resulting directly from a fraudulent:
 - (i) Entry of "electronic data" or "computer program" into; or
 - (ii) Change of "electronic data" or "computer program" within;
any "computer equipment" owned, leased or operated by you, provided that such fraudulent entry or such fraudulent change causes (with respect to **(1)(a)(i)** and **(1)(a)(ii)** in the above paragraph):
 - (iii) "Money", "securities" or "other property" to be transferred, paid or delivered; or
 - (iv) Your account at a "financial institution" to be debited or deleted.

- (b) Loss resulting directly from a "fraudulent instruction" directing a "financial institution" to debit your "transfer account" and to transfer, pay or deliver "money" or "securities" from that account.

- (2) As used in paragraph **(1)(a)** above, fraudulent entry or fraudulent change of "electronic data" or "computer program" shall include such entry or change made by an "employee" acting, in good faith, upon a "fraudulent instruction" received from a computer "software" contractor who has a written agreement with you to design, implement or service "computer

programs" for "computer equipment" covered under this Additional Coverage. This is the only coverage provided under this Additional Coverage regardless of any other circumstance including any other "social engineering".

- (3) The most we will pay under this Additional Coverage is \$50,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.

- (4) With respect to this Additional Coverage, all loss:

- (a) Caused by one or more persons; and
- (b) Involving a single act or series of acts;

is considered one occurrence.

(5) Computer and Funds Transfer Fraud Special Exclusions

- (a) We will not pay for loss or damage committed by you or any of your partners, "members", "employees", "managers", directors, trustees or authorized representatives:

- (i) Whether acting alone or in collusion with other persons; or
- (ii) While performing services for you or otherwise.

- (b) Loss that is an indirect result of an occurrence covered by this Additional Coverage, including, but not limited to, loss resulting from the following:

- (i) Your inability to realize income that you would have realized had there been no loss of or damage to "money", "securities" or "other property";

- (ii) Payment of damages of any type for which you are legally liable. However, we will pay compensatory damages arising directly from a loss covered under this Additional Coverage; or

- (iii) Payment of costs, fees or other expenses you incur in establishing either the existence or the amount of loss under this Additional Coverage.

- (c) Fees, costs and expenses incurred by you, which are related to any legal action.
- (d) Loss involving virtual currency of any kind, by whatever name known, whether actual or fictitious including, but not limited to, digital currency, crypto currency or any other type of electronic currency.
- (e) Loss resulting from fraudulent:
 - (i) Entry of "electronic data" or "computer program" into; or
 - (ii) Change of "electronic data" or "computer program" within; any "computer equipment" owned, leased or operated by you by a person or organization with authorized access to that "computer equipment", except as covered under paragraph (2) of this Additional Coverage.
- (f) Loss resulting from the use or purported use of credit, debit, charge, access, convenience, identification, stored-value or other cards or the information contained on such cards.
- (g) Loss resulting from the giving or surrendering of property in any exchange or purchase.
- (h) Loss resulting from an "employee" or "financial institution" acting upon any instruction:
 - (i) To transfer, pay or deliver "money", "securities" or "other property"; or
 - (ii) To debit or delete your account; which instruction proves to be fraudulent, except when covered under paragraphs (1)(b) and (2) of this Additional Coverage.
- (i) Loss, or that part of any loss, the proof of which as to its existence or amount is dependent upon an inventory computation or a profit and loss computation.

13. Consequential Loss to Stock

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 5. Coverage Extensions:**
Consequential Loss to Stock

- (1) The insurance that applies to Business Personal Property is extended to apply to the reduction in value of the remaining parts of "stock" in process of manufacture that are physically undamaged but are unmarketable as a complete product because of direct physical loss or damage from a Covered Cause of Loss to other parts of covered "stock" in process of manufacture at the described premises.
- (2) Should it be determined that such "stock" retains only a salvage value, we retain the option of paying the full value of the "stock" as agreed within this policy and taking the damaged property for salvage purposes.
- (3) Payment under this Coverage Extension is included within the Limit of Insurance shown in the Declarations for Business Personal Property.

14. Contract Penalties

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 4. Additional Coverages:**

Contract Penalties

- (1) We will pay for contractual penalties you are required to pay due to your failure to provide your product or service according to contract terms because of direct physical loss of or damage to Covered Property by or resulting from a Covered Cause of Loss.
- (2) Regardless of the number of contracts involved, the most we will pay for all contract penalties under this Additional Coverage is \$50,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.

15. Debris Removal

- a. With respect to your applicable Coverage Form, **A. Coverage, 4. Additional Coverages, a. Debris Removal**, paragraph (4) is replaced by the following:
 - (4) We will pay up to an additional \$250,000 for debris removal expense, for each location, in any one occurrence of physical loss of or damage to Covered Property, if one or both of the following circumstances apply:

- (a) The total of the actual debris removal expense plus the amount we pay for direct physical loss or damage exceeds the Limit of Insurance on the Covered Property that has sustained loss or damage.
- (b) The actual debris removal expense exceeds 25% of the sum of the deductible plus the amount that we pay for direct physical loss or damage to the Covered Property that has sustained loss or damage.

Therefore, if (4)(a) or (4)(b) above apply, our total payment for direct physical loss or damage and debris removal expense may reach but will never exceed the Limit of Insurance on the Covered Property that has sustained loss or damage, plus \$250,000 or the higher Amended Limit of Insurance shown in the above **SCHEDULE**.

- b. With respect to BUILDING AND PERSONAL PROPERTY COVERAGE FORM CP 00 10, **A. Coverage, 4. Additional Coverages, a. Debris Removal**, paragraph (5) is deleted.

16. Denial of Access to Premises

With respect to BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM CP 00 30 and BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM – ACTUAL LOSS SUSTAINED 411-0581, the following is added to **A. Coverage, 5. Additional Coverages**:

Denial of Access to Premises

- (1) We will pay for the actual loss of Business Income you sustain and necessary Extra Expense you incur when ingress to or egress from the described premises is prevented, due to direct physical loss of or damage to property that is away from but within 2,000 feet of the described premises, when such loss or damage is caused by or resulting from any Covered Cause of Loss.
- (2) We will not pay for any loss of Business Income you sustain until after the first 72 hours that immediately follows the time of loss or damage to the premises that causes the denial of access. Coverage applies for a period of up to

30 consecutive days after coverage begins.

However, this Additional Coverage does not extend beyond the time when ingress to or egress from the described premises is no longer prevented.

- (3) The coverage for Extra Expense will begin immediately after the time of loss or damage to the premises that causes the denial of access and will end:

- (a) 30 consecutive days after coverage begins; or

- (b) When your Business Income coverage ends;

whichever is earlier.

However, this Additional Coverage does not extend beyond the time when ingress to or egress from the described premises is no longer prevented.

17. E-Commerce

- a. With respect to your applicable Coverage Form, the following is added to **A. Coverage, 4. Additional Coverages**:

E-Commerce

(1) Electronic Vandalism

We will pay for direct physical loss of or damage to “computer equipment” at the described premises caused by “electronic vandalism”.

- (2) With respect to this Additional Coverage, BUILDING AND PERSONAL PROPERTY COVERAGE FORM CP 00 10, **A. Coverage, 2. Property Not Covered**, paragraph n. is deleted and CONDOMINIUM COMMERCIAL UNIT – OWNERS COVERAGE FORM CP 00 18, **A. Coverage, 2. Property Not Covered**, paragraph h. is deleted.

- (3) With respect to this Additional Coverage, BUILDING AND PERSONAL PROPERTY COVERAGE FORM CP 00 10, **A. Coverage, 4. Additional Coverages, f. Electronic Data** is deleted and CONDOMINIUM COMMERCIAL UNIT – OWNERS COVERAGE FORM CP 00 18, **A. Coverage, 4. Additional Coverages, e. Electronic Data** is deleted.

- b. With respect to BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM CP 00 30, and BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE – ACTUAL LOSS SUSTAINED 411-0581, **A. Coverage, 5. Additional Coverages, d. Interruption of Computer Operations** is replaced by the following:

d. Interruption of Computer Operations

- (1) We will pay for the actual loss of Business Income you sustain and necessary Extra Expense you incur due to the necessary "suspension" of your "operations" at the described premises that is caused by an interruption in your computer "operations" at the described premises due to destruction or corruption of your "electronic data" that is stored within your "computer equipment" at the described premises. The loss or damage must be caused by or result from "electronic vandalism".
- (2) However, there is no coverage for an interruption related to manipulation of a computer system (including "electronic data") by any "employee", including a temporary or leased "employee", or by an entity retained by you, or for you, to inspect, design, install, modify, maintain, repair or replace that system.
- (3) If this policy is endorsed to add a Covered Cause of Loss, the additional Covered Cause of Loss does not apply.
- (4) With respect to this Additional Coverage, BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM CP 00 30 and BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE – ACTUAL LOSS SUSTAINED 411-0581, **A. Coverage, 4. Additional Limitation – Interruption of Computer Operations** is deleted.

- (5) The Additional Coverage for **Extended Business Income** does not apply to the **Interruption of Computer Operations**.

- c. The destruction or corruption of your "electronic data" can originate from a person located anywhere in the world.
- d. The most we will pay in any one Policy Period under this Additional Coverage is \$50,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.

e. E-Commerce Special Exclusions

- (1) With respect to the Additional Coverages in paragraphs **a.** and **b.** above, **CAUSES OF LOSS – SPECIAL FORM CP 10 30, B. Exclusions, 4. Special Exclusions**, paragraph **a.(3)** applies.
- (2) We do not cover:
 - (a) Loss of proprietary use of any "electronic data" or "proprietary programs" that have been copied, scanned, or altered;
 - (b) Loss of or reduction in economic or market value of any "electronic data" or "proprietary programs" that have been copied, scanned, or altered; and
 - (c) "Theft" from your "electronic data" or "proprietary programs" of confidential information through the observation of the "electronic data" or "proprietary programs" by accessing covered "computer equipment" without any alteration or other physical loss of or damage to the records or programs. Confidential information includes, but is not limited to, "employee" information, customer information, processing methods, or trade secrets.

18. Electronic Data Processing Equipment

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 4. Additional Coverages: Electronic Data Processing Equipment**

- (1) We will pay for direct physical loss or damage to the following Covered Property which is your property or property in your care, custody or control:

- (a) "Computer equipment"; and
- (b) Programming documentation and instruction manuals

caused by or resulting from a Covered Cause of Loss.

- (2) We will also pay the necessary Extra Expense you incur to avoid or minimize the "suspension" of business and to continue "operations" due to direct physical loss of or damage to Covered Property described in paragraph (1) above.

All of the provisions of the Additional Coverage for **Extra Expense** in this endorsement and BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM CP 00 30 or BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE – ACTUAL LOSS SUSTAINED 411-0581 in this policy are applicable to this Additional Coverage except the following:

- (a) There is no requirement that a loss occur at the described premises or within 2,000 feet of the described premises; and
 - (b) Continuing normal operating expenses that you incur, including payroll, are not included under this Additional Coverage
- (3) Payment under this Additional Coverage is included within the Limit of Insurance shown in the Declarations for Business Personal Property, except as described in paragraph (4) directly below.
- (4) In the event of loss of or damage to "computer equipment", we will pay your costs to modify or replace undamaged "hardware" or "software" when it:
- (a) Was dependent on the damaged "hardware" or "software" prior to the covered loss; and
 - (b) Is not compatible with the "hardware" or "software" that is replacing the property that was involved in the covered loss.

We will only pay for your costs to modify or replace undamaged

"hardware" or "software" at the described premises.

The most we will pay for your costs is \$10,000. Payment of these costs is included within the Limit of Insurance shown in the Declarations for Business Personal Property.

- (5) With respect to this Additional Coverage, CAUSES OF LOSS – SPECIAL FORM CP 10 30, **B. Exclusions, 1.b. Earth Movement** and **1.g. Water** do not apply.

- (6) We will not pay for any loss to the following property:

- (a) Property you rent, loan or lease to others while it is away from the described premises; or
- (b) Property you hold for sale, distribute or manufacture.

- (7) If we provide Building coverage only, we will only pay for loss to "computer equipment" that service building "operations" at the described premises and are located at the described premises.

(8) Electronic Data Processing Equipment Special Exclusions

We do not cover:

- (a) Any expense caused by an error or omission in programming or incorrect instructions to "hardware"; or
- (b) Direct physical loss to Covered Property caused by:
 - (i) Electrical disturbance;
 - (ii) "Power supply disturbance";
 - (iii) "Computer virus"; or
 - (iv) "Computer hacking".

19. Employee Theft including ERISA Compliance

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 4. Additional Coverages:**

Employee Theft including ERISA Compliance

- (1) We will pay for loss or damage to "money", "securities" and "other property" resulting directly from "theft" committed by an "employee" or volunteer who you have the right to direct and control while performing services for you, whether identified or

not, acting alone or in collusion with other persons.

With respect to this Additional Coverage, "theft" shall also include "forgery".

- (2) This Additional Coverage terminates as to any "employee" as soon as:

- (a) You; or
- (b) Any of your partners, "members", "managers", officers, directors or trustees not in collusion with the "employee";

"discovered" the "theft" or any other dishonest act committed by the "employee" whether before or after becoming employed by you.

- (3) With respect to this Additional Coverage, all loss:

- (a) Caused by one or more persons; and
- (b) involving a single act or series of acts;

is considered one occurrence.

- (4) We will pay only for loss you sustain through acts committed or events occurring anytime which is "discovered" by you:

- (a) During the Policy Period; or
- (b) No later than one year from the date of termination or cancellation of this insurance. However, this extended period to "discover" loss terminates immediately upon the effective date of any other insurance obtained by you, whether from us or another insurer, replacing in whole or in part the coverage afforded under this Additional Coverage, whether or not such other insurance provides coverage for loss sustained prior to its effective date.

- (5) Coverage is extended to apply to loss caused by any "employee" while temporarily outside the Coverage Territory for a period of not more than 90 consecutive days.

- (6) The most we will pay under this Additional Coverage is \$250,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**. Regardless of the number of years this policy remains in force or the number of premiums paid,

no Limit of Insurance cumulates from year to year.

(7) Employee Theft Special Exclusions

We will not pay for the following:

- (a) Loss resulting from "theft" or any other dishonest act committed:

- (i) By you; or
- (ii) By any of your partners or "members";

whether acting alone or in collusion with other persons.

- (b) Loss caused by an "employee" if the "employee" has also committed "theft" or any other dishonest act prior to the effective date of this policy and you or any of your partners, "members", "managers", officers, directors or trustees, not in collusion with the "employee", learned of such "theft" or dishonest act prior to the Policy Period shown in the Declarations.

- (c) Loss resulting from the following:

- (i) The disclosure or use of another person's or organization's confidential or personal information; or
- (ii) The disclosure of your confidential or personal information. However, this paragraph, (7)(c)(ii), does not apply to loss otherwise covered under this insurance that results directly from the use of your confidential or personal information.

- (d) Fees, costs, fines, penalties and other expenses incurred by you which are related to the access to or disclosure of another person's or organization's confidential or personal information including, but not limited to, patents, trade secrets, processing methods, customer lists, financial information, credit card information, health information or any other type of nonpublic information.

- (e) Loss that is an indirect result of an occurrence covered by this Additional Coverage, including, but not limited to, loss resulting from the following:

- (i) Your inability to realize income that you would have realized had there been no loss of or damage to “money”, “securities” or “other property”;
 - (ii) Payment of damages of any type for which you are legally liable. However, we will pay compensatory damages arising directly from a loss covered under this Additional Coverage; or
 - (iii) Payment of costs, fees or other expenses you incur in establishing either the existence or the amount of loss under this Additional Coverage.
- (f) Fees, costs and expenses incurred by you which are related to any legal action.
- (g) Loss involving virtual currency of any kind, by whatever name known, whether actual or fictitious including, but not limited to, digital currency, crypto currency or any other type of electronic currency.
- (h) Loss or that part of any loss, the proof of which as to its existence or amount is dependent upon
- (i) An inventory computation; or
 - (ii) A profit and loss computation.
- However, where you establish wholly apart from such computations that you have sustained a loss, then you may offer your inventory records and actual physical count of inventory in support of the amount of loss claimed.
- (i) Loss resulting from trading, whether in your name or in a genuine or fictitious account.
 - (j) Loss resulting from fraudulent or dishonest signing, issuing, canceling or failing to cancel, a warehouse receipt or any papers connected with it.
- (8) Welfare and Pension Plan ERISA Compliance**
- (a) “Employee Benefit Plans” (hereafter referred to as Plan or Plans) are included as insureds under this Additional Coverage, subject to the following:
- (b) If any Plan is insured jointly with any other entity under this Additional Coverage, you or the Plan Administrator are responsible for selecting a Limit of Insurance for this Additional Coverage that is sufficient to provide a Limit of Insurance for each Plan that is at least equal to that required under ERISA as if each Plan were separately insured.
 - (c) With respect to loss sustained or “discovered” by any such Plan, this Additional Coverage is replaced by the following:

We will pay for loss of or damage to “money”, “securities” and “other property” resulting directly from fraudulent or dishonest acts committed by an “employee”, whether identified or not, acting alone or in collusion with other persons.
 - (d) If the first Named Insured is an entity other than a Plan, any payment we make for loss sustained by any Plan will be made to the Plan sustaining the loss.
 - (e) If two or more Plans are insured under this Additional Coverage, any payment we make for loss:
 - (i) Sustained by two or more Plans; or
 - (ii) Of commingled “money”, “securities” or “other property” of two or more Plans;
 resulting from an occurrence, will be made to each Plan sustaining loss in the proportion that the Limit of Insurance required under ERISA for each Plan bears to the total of those Limits.
 - (f) The Deductible does not apply to this Additional Coverage.
- 20. Employee Tools and Work Clothing**
- With respect to your applicable Coverage Form, the following is added to **A. Coverage, 5. Coverage Extension: Employee Tools and Work Clothing**
- (1) The insurance that applies to Business Personal Property is extended to apply to direct physical loss of or damage to tools, equipment and work clothing belonging to your “employees” while

such tools, equipment and work clothing are:

- (a) At the described premises;
- (b) At your job sites; or
- (c) "In transit" to and from your job sites.

The loss or damage must be caused by or result from a Covered Cause of Loss.

- (2) With respect to this Coverage Extension, CAUSES OF LOSS – SPECIAL FORM CP 10 30, **B. Exclusions, 1.b. Earth Movement and 1.g. Water** do not apply.
- (3) The most we will pay under this Coverage Extension is \$25,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**, but not more than \$500 for any one tool, piece of equipment or item of clothing.
- (4) The Coinsurance Condition does not apply to this Coverage Extension.

21. Expediting Expense

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 4. Additional Coverages**:

Expediting Expense

- (1) When a Covered Cause of Loss occurs to Covered Property, we will pay for the reasonable and necessary additional expenses you incur:
 - (a) To make temporary repairs;
 - (b) To expedite permanent repair or replacement of damaged property; or
 - (c) To provide training on replacement machines or equipment.
- (2) The most we will pay under this Additional Coverage is \$50,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.

22. Extended Business Income

With respect to BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM CP 00 30 and BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM – ACTUAL LOSS SUSTAINED 411-0581, **A. Coverage, 5. Additional Coverages, c. Extended Business Income, (1) Business Income Other Than Rental Value, paragraph (b) and (2) Rental Value, paragraph (b)** are replaced by the following:

(1) Business Income Other Than Rental Value

(b) Ends on the earlier of:

- (i) The date you could restore your "operations", with reasonable speed, to the level which would generate the business income amount that would have existed if no direct physical loss or damage had occurred; or
- (ii) 180 consecutive days after the date determined in BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM CP 00 30 and BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM – ACTUAL LOSS SUSTAINED 411-0581, **A. Coverage, 5. Additional Coverages, c. Extended Business Income, (1) Business Income Other Than Rental Value, paragraph (a).**

(2) Rental Value

(b) Ends on the earlier of:

- (i) The date you could restore tenant occupancy, with reasonable speed, to the level which would generate the "Rental Value" that would have existed if no direct physical loss or damage had occurred; or
- (ii) 180 consecutive days after the date determined in BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM CP 00 30 and BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM – ACTUAL LOSS SUSTAINED 411-0581, **A. Coverage, 5. Additional Coverages, c. Extended Business Income, (2) Rental Value, paragraph (a).**

23. Extended Coverage on Property – within 2,000 feet

With respect to BUILDING AND PERSONAL PROPERTY COVERAGE FORM CP 00 10, CONDOMINIUM COMMERCIAL UNIT-OWNERS

COVERAGE FORM CP 00 18, BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM CP 00 30 and BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM – ACTUAL LOSS SUSTAINED 411-0581, all references that state the location of property must be within 100 feet of a described premise are replaced with within 2,000 feet of a described premise.

24. Extra Expense

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 4. Additional Coverages:**

Extra Expense

- (1) We will pay the necessary Extra Expense you incur during the "period of restoration" that you would not have incurred if there had been no direct physical loss or damage to property at the described premises. The loss or damage must be caused by or result from a Covered Cause of Loss. With respect to loss of or damage to personal property in the open or personal property in a vehicle, the described premises includes the area within 2,000 feet of such premises.

With respect to the requirements set forth in the preceding paragraph, if you occupy only part of a building, your described premises means:

- (a) The portion of the building, which you rent, lease or occupy;
 - (b) The area within 2,000 feet of the building or within 2,000 feet of the premises described in the Declarations, whichever distance is greater (with respect to loss of or damage to personal property in the open or personal property in a vehicle); and
 - (c) Any area within the building or at the described premises, if that area services, or is used to gain access to, the portion of the building, which you rent, lease or occupy.
- (2) Extra Expense means necessary expense incurred (other than the expense to repair or replace property):
- (a) To avoid or minimize the "suspension" of business and to continue "operations":
 - (i) At the described premises; or

- (ii) At replacement premises or at temporary locations, including relocation expenses, and costs to equip and operate the replacement or temporary locations.

- (b) To minimize the "suspension" of business if you cannot continue "operations".

- (c) To repair or replace any property, but only to the extent it reduces the amount of loss that otherwise would have been payable under this Additional Coverage or the Additional Coverage for Business Income. We will not pay for any portion of the ordinary and expected cost to actually repair or replace property; or

- (d) To research, replace or restore the lost information on damaged "valuable papers and records".

- (3) The most we will pay under this Additional Coverage is \$300,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.

- (4) We will reduce the amount of your Extra Expense loss payment to the extent you can return "operations" to normal and discontinue such Extra Expense.

- (5) If you do not resume "operations", or do not resume "operations" as quickly as possible, we will pay based on the length of time it would have taken to resume "operations" as quickly as possible.

(6) Extra Expense Special Exclusions

We will not pay for the following:

- (a) Any Extra Expense caused by or resulting from the following:

- (i) Delay in rebuilding, repairing or replacing the property or resuming "operations", due to interference at the location of the rebuilding, repair or replacement by strikers or other persons;

- (ii) Temporary cessation, lapse or cancellation of any license, lease or contract. But if the temporary cessation, lapse or cancellation is directly caused by the "suspension" of

“operations”, we will cover such loss that affects your Business Income during the “period of restoration” in accordance with the terms described in paragraphs **(2)(a)** and **(2)(b)** of this Additional Coverage; or

(iii) Any other consequential loss.

- (b) Coverage for Extra Expense does not apply when a “suspension” of “operations” is caused by destruction or corruption of “electronic data”, or any loss or damage to “electronic data”. However, this exclusion does not apply to coverage for Extra Expense included in the Additional Coverage for **Electronic Data Processing Equipment** of this endorsement.

25. Fire Protection Equipment Recharge

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 4. Additional Coverages**:

Fire Protection Equipment Recharge

- (1) We will pay:
- (a) The cost of recharging or replacing, whichever is less, your fire extinguishers and fire extinguishing systems (including hydrostatic testing if needed) if they are discharged on or within 2,000 feet of the described premises:
 - (i) To prevent or control loss;
 - (ii) Accidentally; or
 - (iii) As a result of malfunction of the equipment.
 - (b) For loss or damage to Covered Property if such loss or damage is the result of an accidental discharge of chemicals from a fire extinguisher or a fire extinguishing system.
- (2) No coverage will apply if the fire extinguishing system is discharged during installation or testing.
- (3) Payment under this Additional Coverage is included within the applicable Limit of Insurance shown in the Declarations.

26. Food Contamination

With respect to BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM CP 00 30 and BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM – ACTUAL LOSS SUSTAINED 411-0581 the following is added to **A. Coverage, 5. Additional Coverages**:

Food Contamination

- (1) If your “operations” at the described premises is ordered closed by the Board of Health or any other governmental authority as a result of the discovery or suspicion of “food contamination”, we will pay:
- (a) Your expense to clean your equipment as required by the Board of Health or any other governmental authority;
 - (b) Your cost to replace food which is, or is suspected by the Board of Health or any other governmental authority, to be contaminated;
 - (c) Your expense to provide necessary medical tests or vaccinations for your “employees” (including temporary or leased “employees”) who are potentially infected by “food contamination”. However, we will not pay for any expense that is otherwise covered under a Workers’ Compensation Policy;
 - (d) The loss of Business Income you sustain due to the necessary “suspension” of your “operations” as a result of the “food contamination”. The coverage for Business Income will begin 24 hours after you receive notice of closing from the Board of Health or any other governmental authority; and
 - (e) Additional Advertising expenses you incur to restore your reputation.
- (2) The most we will pay for all loss under paragraphs **(1)(a)** through **(1)(d)** above is \$25,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.
- The most we will pay for all loss under paragraph **(1)(e)** above is \$3,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.

(3) Food Contamination Special Exclusion

We will not pay any fines or penalties levied against you by the Board of Health or any other governmental authority as a result of the discovery or suspicion of "food contamination" at the described premises.

27. Forgery or Alteration

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 4. Additional Coverages:**

Forgery or Alteration

- (1) We will pay for loss resulting directly from "forgery" or alteration of checks, drafts, promissory notes, or similar written promises, orders or directions to pay a sum certain in "money" that are:

- (a) Made or drawn by or drawn upon you; or
- (b) Made or drawn by one acting as your agent;

or that are purported to have been made or drawn.

With respect to this Additional Coverage, a substitute check as defined in the Check Clearing for the 21st Century Act, shall be treated the same as the original it replaced.

- (2) If you are sued for refusing to pay the check, draft, promissory note, bill of exchange or similar written promises of payment in "money" on the basis that it has been forged or altered, and you have our written consent to defend against the suit, we will pay for any reasonable legal expenses that you incur in that defense.
- (3) The most we will pay, including legal expenses, under this Additional Coverage is \$100,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.
- (4) With respect to this Additional Coverage, all loss:
- (a) Caused by one or more persons; and
 - (b) Involving a single act or series of related acts;
- is considered one occurrence.
- (5) **Forgery or Alteration Special Exclusion**

We will not pay for the following:

- (a) Loss that is an indirect result of an occurrence covered by this Additional Coverage, including, but not limited to, loss resulting from the following:
- (i) Your inability to realize income that you would have realized had there been no loss of or damage to "money", "securities" or "other property";
 - (ii) Payment of damages of any type for which you are legally liable. However, we will pay compensatory damages arising directly from a loss covered under this Additional Coverage; or
 - (iii) Payment of costs, fees or other expenses you incur in establishing either the existence or the amount of loss under this Additional Coverage.
- (b) Fees, costs and expenses incurred by you, which are related to any legal action.

28. Foundations and Underground Pipes

- a. With respect to BUILDING AND PERSONAL PROPERTY COVERAGE FORM CP 00 10, the following is added to **A. Coverage, 5. Coverage Extensions:**

Foundations and Underground Pipes

- (1) The insurance that applies to Buildings is extended to include:
- (a) Foundations of buildings, structures, machinery or boilers if their foundations are below:
 - (i) The lowest basement floor; or
 - (ii) The surface of the ground, if there is no basement;
 - (b) Underground pipes, flues and drains; and
 - (c) The cost of excavating, grading, backfilling or filling;
- when such loss or damage is caused by a Covered Cause of Loss.

- (2) The most we will pay under this Coverage Extension is the applicable Building Limit of Insurance shown in the Declarations.

b. With respect to BUILDING AND PERSONAL PROPERTY COVERAGE FORM CP 00 10, **A. Coverage, 2.** Property Not Covered, paragraphs **f.**, **g.**, and **m.** do not apply to this Coverage Extension.

29. International Air Shipments

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 5. Coverage Extensions:**

International Air Shipments

- (1) The insurance that applies to Business Personal Property is extended to apply to Business Personal Property while being shipped by air:
 - (a) Anywhere within the Coverage Territory to or from a location outside of the coverage territory; or
 - (b) Between locations outside of the coverage territory;
- (2) This Coverage Extension only applies to the shipment of Business Personal Property which originates and terminates at a location specified in the air waybill.
- (3) The most we will pay under this Coverage Extension is \$50,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.
- (4) **International Air Shipments Special Condition**

This Coverage Extension does not apply to Business Personal Property if there is other insurance in force covering the same loss.

30. Inventory and Loss Appraisal

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 5. Coverage Extensions:**

Inventory and Loss Appraisal

- (1) The insurance that applies to Business Personal Property is extended to apply to all reasonable expenses you incur at our request to assist us with the following:
 - (a) The investigation of a claim;
 - (b) The determination of the amount of loss, such as taking inventory; or

- (c) The cost of preparing specific loss documents and other supporting exhibits.

- (2) Expenses you incur include costs charged to you by others, including auditors, accountants, architects, engineers and Property Managers, acting on your behalf to assist us with items shown in paragraph (1) above.
- (3) Regardless of the number of premises involved, the most we will pay under this Coverage Extension is \$250,000 unless a higher Limit of Insurance is shown in the above **SCHEDULE**.

(4) Inventory and Loss Appraisal Special Exclusion

We will not pay for expenses:

- (a) Incurred to perform your duties in the event of loss under **E. Loss Conditions**;
- (b) To prove that loss or damage is covered;
- (c) Billed by and payable to independent or public adjusters, attorneys or any of their affiliated or associated entities;
- (d) To prepare claims not covered by this policy; or
- (e) Incurred under any Appraisal provisions within the policy.

31. Key Replacement and Lock Repair

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 5. Coverage Extensions:**

Key Replacement and Lock Repair

- (1) Your insurance is extended to apply to the reasonable and necessary expense you incur due to a covered "theft" for:
 - (a) Replacement of keys if they are stolen;
 - (b) Lock repair; or
 - (c) Rekeying, replacing or reprogramming undamaged locks to accept new keys or entry codes when the building security has been compromised.
- (2) The most we will pay under this Coverage Extension is \$20,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.

32. Leasehold Interest

With respect BUILDING AND PERSONAL PROPERTY COVERAGE FORM CP 00 10, the following is added to **A. Coverage, 4. Additional Coverages:**

Leasehold Interest

- (1) If your lease is cancelled due to direct physical loss of or damage to property at the described premises, caused by or resulting from a Covered Cause of Loss, we will pay the net loss you sustain due to the following:

- (a) Increased rent under a replacement lease if your lease is cancelled and either:
- (i) The building owner allows you to continue to use your premises under a new lease not to exceed the prevailing lease rate; or
 - (ii) You relocate to other permanent premises and enter into a new lease.

For the duration of the lease in effect at the time of the loss, we will pay the increase in rent between what you were paying at the time of loss and the rent you will be required to pay for equivalent premises under the replacement lease; and

- (b) Loss of the unused pro-rata portion of prepaid rent based on the period of time remaining in your lease.

- (2) Regardless of the number of leases involved, the most we will pay under this Additional Coverage is \$150,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.

(3) Leasehold Interest Special Conditions

- (a) If the lease in effect at the time of the loss contains a renewal option, the expiration date of the renewal option period will replace the expiration of the current lease. Existence of a renewal option will not increase the applicable Limit of Insurance.
- (b) If the lease has no end date (open-ended), we will pay the difference in rent for a period of no more than 24 months after the date of loss or damage.

- (c) There is no coverage under this Additional Coverage unless a written or legally binding lease is in place at the time of loss or damage.

(4) Leasehold Interest Special Exclusions

We will not pay:

- (a) If the unit or suite rented or leased to you has been vacant more than 60 consecutive days before the loss or damage occurs, and you have not entered into an agreement to sublease the unit or suite. Buildings under construction or renovation are not considered vacant when customary "operations" cannot be conducted as a direct result of the construction or renovation;
- (b) If the lease is cancelled, suspended or allowed to lapse by you; or
- (c) If the lease is cancelled at the normal expiration date.

33. Lessor's Tenant Move Expenses

With respect to BUILDING AND PERSONAL PROPERTY COVERAGE FORM CP 00 10, the following is added to **A. Coverage, 4. Additional Coverages:**

Lessor's Tenant Move Expenses

- (1) In the event that your tenants must temporarily vacate the covered Building at the described premises due to untenability as a result of direct physical loss of or damage to property at the described premises, and such loss or damage is caused by or resulting from a Covered Cause of Loss, we will pay the expenses, as described in paragraph (2) directly below, you incur to move those tenants out of and back into your covered Building.
- (2) We will only pay for the following expenses:
- (a) Packing, transporting and unpacking your tenant's personal property including the cost of insuring the move out and back and any necessary disassembly and reassembly or setup of furniture and equipment; and
 - (b) The net cost to discontinue and re-establish the tenants' utility and

telephone services, after any refunds due the tenants.

- (3) We will only pay for your incurred expenses up to a period of 60 consecutive days after your building has been repaired or rebuilt.
- (4) Regardless of the number of tenants involved, the most we will pay under this Additional Coverage is \$50,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.

34. Marring and Scratching

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 5. Coverage Extensions:**

Marring and Scratching

- (1) The insurance that applies to Business Personal Property is extended to apply to damage caused directly by sudden and accidental marring and scratching at the described premises to the following:
 - (a) Your "stock";
 - (b) Your printing plates; or
 - (c) Property of others that is in your care, custody or control.
- (2) This Coverage Extension does not apply to:
 - (a) Property at other than the described premises; or
 - (b) Property "in transit".
- (3) Payment under this Coverage Extension is included within the Limit of Insurance shown in the Declarations for Business Personal Property.
- (4) With respect to this Coverage Extension, CAUSES OF LOSS – SPECIAL FORM CP 10 30, **B. Exclusions**, paragraph **2.d.(7)(c)** does not apply.

35. Money and Securities

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 4. Additional Coverages:**

Money and Securities

- (1) We will pay for loss of "money" and "securities":
 - (a) Inside a building at the described premises or "financial institution" resulting directly from "theft"

committed by a person physically inside such building;

- (b) Inside a building at the described premises or "financial institution" resulting directly from disappearance or destruction; or
 - (c) Outside of a building at or away from the described premises in the care and custody of a "messenger" or an armored motor vehicle company resulting directly from "theft", disappearance or destruction.
- (2) With respect to this Additional Coverage, all loss:
 - (a) Caused by one or more persons; and
 - (b) Involving a single act or series of related acts;is considered one occurrence.
 - (3) You must keep records of all "money" and "securities" so we can verify the amount of loss or damage.
 - (4) The most we will pay under this Additional Coverage is \$50,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.
 - (5) **Money and Securities Special Exclusions**

We will not pay for the following:

 - (a) Loss resulting from "theft" or any other dishonest act committed by:
 - (i) You; or
 - (ii) Any of your partners or "members";whether acting alone or in collusion with other persons.
 - (b) Loss resulting from "theft" or any other dishonest act committed by any of your "employees", "managers", directors, trustees or authorized representatives:
 - (i) Whether acting alone or in collusion with other persons; or
 - (ii) While performing services for you or otherwise.
 - (c) Loss that is an indirect result of an occurrence covered by this Additional Coverage, including, but not limited to, loss resulting from the following:

- i) Your inability to realize income that you would have realized had there been no loss of or damage to "money", "securities" or "other property";
- (ii) Payment of damages of any type for which you are legally liable. However, we will pay compensatory damages arising directly from a loss covered under this Additional Coverage; or
- (iii) Payment of costs, fees or other expenses you incur in establishing either the existence or the amount of loss under this Additional Coverage.
- (d) Fees, costs and expenses incurred by you, which are related to any legal action.
- (e) Loss involving virtual currency of any kind, by whatever name known, whether actual or fictitious including, but not limited to, digital currency, crypto currency or any other type of electronic currency.
- (f) Loss resulting from accounting or arithmetical errors or omissions.
- (g) Loss resulting from giving or surrendering of property in any exchange or purchase.
- (h) Loss of "money" and "securities" contained in any "money"-operated device unless the amount of "money" deposited in it is recorded by a continuous recording instrument in the device.
- (i) Loss or damage to "money" and "securities" following and directly related to the use of any computer to fraudulently cause a transfer of that property.
- (j) Loss of or damage to "money" and "securities" after it has been transferred or surrendered to a person or place outside the described premises or "financial institution" premises on the basis of unauthorized instructions. However, this exclusion does not apply to loss of "money" and "securities" while in the care and custody of a "messenger".

36. Money Orders and Counterfeit Money

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 4. Additional Coverages:**

Money Orders and Counterfeit Money

- (1) We will pay for loss resulting directly from your having accepted in good faith, in exchange for merchandise, "money" or services:
 - (a) Money orders issued by any post office, express company or "financial institution" that are not paid upon presentation; or
 - (b) "Counterfeit money" that is acquired during the regular course of business.
- (2) With respect to this Additional Coverage, all loss:
 - (a) Caused by one or more persons; and
 - (b) Involving a single act or series of related acts;
 is considered one occurrence.
- (3) The most we will pay under this Additional Coverage is \$50,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.
- (4) **Money Orders and Counterfeit Money Special Exclusions**
We will not pay for the following:
 - (a) Loss that is an indirect result of an occurrence covered by this Additional Coverage, including, but not limited to, loss resulting from the following:
 - (i) Your inability to realize income that you would have realized had there been no loss of or damage to "money", "securities" or "other property";
 - (ii) Payment of damages of any type for which you are legally liable. However, we will pay compensatory damages arising directly from a loss covered under this Additional Coverage; or
 - (iii) Payment of costs, fees or other expenses you incur in establishing either the existence or the amount of loss under this Additional Coverage.

- (b) Fees, costs and expenses incurred by you, which are related to any legal action.

37. Newly Acquired or Constructed Property

With respect to your applicable Coverage Form, **A. Coverage, 5. Coverage Extensions**, paragraph **a.** is replaced by the following:

a. Newly Acquired or Constructed Property

(1) Buildings

- (a) The insurance that applies to Buildings is extended to apply to direct physical loss or damage caused by or resulting from a Covered Cause of Loss:
 - (i) To your new buildings while being built on the described premises; and
 - (ii) To buildings you acquire at premises, other than the one described, intended for the following:
 - 1) Similar use as the building described in the Declarations; or
 - 2) Used as a warehouse.
- (b) The most we will pay under this Coverage Extension for each newly acquired or constructed Building is \$2,000,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.

(2) Business Personal Property

- (a) The insurance that applies to Business Personal Property is extended to apply to direct physical loss or damage caused by or resulting from a Covered Cause of Loss:
 - (i) To Business Personal Property, including such property that you newly acquire, at any location you acquire other than at fairs, trade shows or exhibitions; and
 - (ii) To Business Personal Property, including such property that you newly acquire, located at your

newly constructed or acquired buildings at the location described in the Declarations.

- (b) This Coverage Extension does not apply to the following:

- (i) Personal property of others that is temporarily in your possession in the course of installing or performing work on such property;
- (ii) Personal property of others that is temporarily in your possession in the course of your manufacturing or wholesaling activities; and
- (iii) Personal property you acquire as part of your usual customary business dealings whether or not such acquisition was related to anticipated seasonal demands. Under the terms of this Coverage Extension, such property is not considered newly acquired, but falls within the provisions for Business Personal Property.

- (c) The most we will pay under this Coverage Extension for newly acquired Business Personal Property at each location is \$1,000,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.

(3) Period of Coverage

With respect to insurance provided under this Coverage Extension, coverage will end when any of the following first occurs:

- (a) This policy expires;
- (b) 180 days after you acquire the property or begin construction of that part of the building that would qualify as Covered Property; or
- (c) You report values to us.

We will charge you additional premium for values reported from the date you acquire the property

or begin construction of that part of the building that would qualify as Covered Property.

38. Newly Acquired Locations – Business Income and Extra Expense

With respect to BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM CP 00 30 and BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM – ACTUAL LOSS SUSTAINED 411-0581, **A. Coverage, 6. Coverage Extension, Newly Acquired Locations** is replaced by the following:

Newly Acquired Locations

- a. The insurance that applies to Business Income and Extra Expense is extended to apply to property at any location you acquire other than fairs or exhibitions.
- b. The most we will pay under this Coverage Extension at each premises is \$250,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.
- c. With respect to insurance provided under this Coverage Extension, coverage will end when any of the following first occurs:
 - (1) This policy expires;
 - (2) 180 days expire after you acquire the property or begin construction of that part of the building that would qualify as Covered Property; or
 - (3) You report values to us.

We will charge you additional premium for values reported from the date you acquire the property or begin construction of that part of the building that would qualify as Covered Property.

39. Non-Owned Detached Trailers

With respect to your applicable Coverage Form, **A. Coverage, 5. Coverage Extensions, f. Non-Owned Detached Trailers**, paragraph (3) is replaced by the following:

- (3) The most we will pay under this Coverage Extension is \$25,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.

40. Ordinance or Law

With respect to BUILDING AND PERSONAL PROPERTY COVERAGE

FORM CP 00 10, the following is added to

A. Coverage, 4. Additional Coverages:

Ordinance or Law

- (1) This Additional Coverage applies only to buildings which are insured on a Replacement Cost basis.

(2) Application of Coverage

The coverages provided under this Additional Coverage apply only if paragraphs (a) and (b) below are satisfied and are then subject to the qualifications in (c).

(a) The ordinance or law:

- (i) Regulates the demolition, construction or repair of buildings or establishes zoning or land use requirements at the described premises;
- (ii) Requires the demolition of undamaged parts of a covered building or structure that is damaged or destroyed by a Covered Cause of Loss; and
- (iii) Is in force at the time of loss.

However, coverage under this Additional Coverage applies only in response to the minimum requirements of the ordinance or law. Losses and costs incurred in complying with recommended actions or standards that exceed actual requirements are not covered under this Additional Coverage.

(b) The building sustains only direct physical damage:

- (i) That is covered under this policy and, as a result of such damage, you are required to comply with the ordinance or law; or
- (ii) That is covered under this policy and direct physical damage that is not covered under this policy, and as a result of the building damage in its entirety, you are required to comply with the ordinance or law.

However, there is no coverage under this Additional Coverage if the building sustains direct physical damage that is not covered under this policy and such

damage is the subject of the ordinance or law, even if the building has also sustained covered direct physical damage.

- (c) In the situation described in paragraph (b)(ii) above, we will not pay the full amount of loss otherwise payable under the terms of coverages for Loss to the Undamaged Portion of the Building, Demolition Cost Coverage or Increased Cost of Construction Coverage. Instead, we will pay a proportion of such loss, meaning the proportion that the covered direct physical damage bears to the total direct physical damage. Paragraph (6) of this Additional Coverage provides an example of this procedure.

However, if the covered direct physical damage alone would have resulted in a requirement to comply with the ordinance or law, then we will pay the full amount of the loss otherwise payable under the terms of coverages for Loss to the Undamaged Portion of the Building, Demolition Cost Coverage or Increased Cost of Construction Coverage under this Additional Coverage.

- (3) We will not pay under this Additional Coverage for the following:
- (a) Enforcement of or compliance with any ordinance or law which requires the demolition, repair, replacement, reconstruction, remodeling or remediation of property due to contamination by "pollutants" or due to the presence, growth, proliferation, spread or any activity of "fungus", wet or dry rot or bacteria;
 - (b) The costs associated with the enforcement of or compliance with any ordinance or law which requires any insured or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of "pollutants", "fungus", wet or dry rot or bacteria; or
 - (c) Any loss in value or any cost incurred due to an ordinance or law that you were required to comply

with before the time of the current loss, even in the absence of building damage, if you failed to comply.

(4) Coverage

(a) Coverage A – Coverage for Loss to the Undamaged Portion of the Building

With respect to the building that has sustained covered direct physical damage; we will pay for the loss in value of the undamaged portion of the building as a consequence of a requirement to comply with an ordinance or law that requires demolition of undamaged parts of the same building. Coverage for Loss to the Undamaged Portion of the Building is included within the Limit of Insurance shown in the Declarations as applicable to the covered building. Coverage for Loss to the Undamaged Portion of the Building does not increase the Limit of Insurance.

(b) Coverage B – Demolition Cost Coverage

With respect to the building that has sustained covered direct physical damage, we will pay the cost to demolish and clear the site of the undamaged parts of the same building, as a consequence of a requirement to comply with an ordinance or law that requires demolition of such undamaged property.

The Coinsurance Additional Condition does not apply to Demolition Cost Coverage.

(c) Coverage C – Increased Cost of Construction

With respect to the building that has sustained covered direct physical damage, we will pay the increased cost:

- (i) To repair or reconstruct damaged portions of that buildings; or
- (ii) To reconstruct or remodel undamaged portions of that building, whether or not demolition is required;

when the increased cost is a consequence of a requirement to comply with the minimum standards of the ordinance or law.

However:

(iii) This coverage applies only if the restored or remodeled property is intended for similar occupancy as the current property, unless such occupancy is not permitted by zoning or land use ordinance or law.

(iv) We will not pay for the increased cost of construction if the building is not repaired, reconstructed or remodeled.

The Coinsurance Additional Condition does not apply to Increased Cost of Construction Coverage.

(5) Loss Payment

(a) Loss payment provisions **(b)**, **(c)** and **(d)** below are subject to the apportionment procedure set forth in paragraph **(2)(c)** of this Additional Coverage.

(b) When there is a loss in value of an undamaged portion of the building to which Coverage A – Coverage for Loss to the Undamaged Portion of the Building applies, the loss payment for that building, including damaged and undamaged portions, will be determined as follows:

(i) If the Replacement Cost Option applies and such building is being repaired or replaced on the same or another premises, we will not pay more than the lesser of the following:

- 1)** The amount you actually spend to repair, rebuild or reconstruct such building, but not for more than the amount it would cost to restore the building on the same premises and to the same height, floor area, style and comparable quality of the original property insured; or
- 2)** The Limit of Insurance applicable to such building

shown in the Declarations or addressed elsewhere in this policy. (If this policy is endorsed to cover Earth Movement or Flood as a Covered Cause of Loss, the Limit of Insurance applicable to the building in the event of damage by such Covered Cause of Loss may be lower than the Limit of Insurance that otherwise would apply).

(ii) If the Replacement Cost Coverage Option applies and such building is not repaired or replaced, or if the Replacement Cost Coverage Option does not apply, we will not pay more than the lesser of the following:

- 1)** The actual cash value of the building at the time of loss; or
- 2)** The Limit of Insurance applicable to such building as shown in the Declarations or addressed elsewhere in this policy. (If this policy is endorsed to cover Earth Movement or Flood as a Covered Cause of Loss, the Limit of Insurance applicable to the building in the event of damage by such Covered Cause of Loss may be lower than the Limit of Insurance that otherwise would apply.)

(c) The most we will pay for the total of all covered losses for Coverage B – Demolition Cost Coverage and Coverage C – Increased Cost of Construction is the Limit of Insurance shown in paragraph **(5)(d)** below, subject to the following loss payment provisions:

- (i)** For Coverage B – Demolition Cost Coverage, we will not pay for more than the amount you actually spend to demolish and clear the site of the described premises.
- (ii)** For Coverage C – Increased Cost of Construction Coverage, we will not pay for

the increased cost of construction:

- 1) Until the property is actually repaired or replaced, at the same or another premises; and
- 2) Unless the repair or replacement is made as soon as reasonably possible after the loss or damage, not to exceed two years. We may extend this period in writing during the two years.

(iii) If the building is repaired or replaced at the same premises, or if you elect to rebuild at another premises, the most we will pay for the increased cost of construction is the increased cost of construction at the same premises.

(iv) If the ordinance or law requires relocation to another premises, the most we will pay for the increased cost of construction is the increased cost of construction at the new premises.

(d) The most we will pay for the total of all covered losses under Coverage B – Demolition Cost Coverage and Coverage C – Increased Cost of Construction Coverage for each building described in the Declarations is \$500,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**. When buildings are covered under a Blanket Limit of Insurance then this paragraph, (d), also applies for each damaged building.

(6) Example of Proportionate Loss Payment for Ordinance or Law Coverage losses; procedures as set forth in paragraph (2)(c) of this Additional Coverage.

Assume:

- Wind is a Covered Cause of Loss; Flood is an excluded Cause of Loss;
- The building has value of \$200,000;

- The total direct physical damage to the building: \$100,000;
- The ordinance or law in this jurisdiction is enforced when building damage equals or exceeds 50% of the building's value;
- Portion of direct physical damage that is covered (caused by wind): \$30,000;
- Portion of direct physical damage that is not covered (caused by "flood"): \$70,000; and
- Loss under Increased Cost of Construction: \$60,000

Step 1: Determine the proportion that the covered direct physical damage bears to the total direct physical damage.

$$\$30,000 \text{ divided by } \$100,000 = .30$$

Step 2: Apply that portion to the Ordinance or Law loss.

$$\$60,000 \times .30 = \$18,000$$

In this example, the most we will pay under this Additional Coverage for the Increased Cost of Construction loss is \$18,000, subject to the applicable Limit of Insurance and any other applicable provisions.

Note: The same procedure applies to losses under Loss to the Undamaged Portion of the Building and Demolition Cost of this Additional Coverage.

41. Pollutant Clean-Up and Removal

With respect to your applicable Coverage Form, **A. Coverage, 4. Additional Coverages, d. Pollutant Clean-Up and Removal** is replaced by the following:

d. Pollutant Clean-Up and Removal

- (1) We will pay your expense to extract "pollutants" from land or water at the described premises if the discharge, dispersal, seepage, migration, release or escape of the "pollutants" is caused by or results from a Covered Cause of Loss that occurs during the Policy Period. The expenses will be paid only if they are reported to us in writing within 180 days of the date on

which the Covered Cause of Loss occurs.

- (2) This Additional Coverage does not apply to costs to test for, monitor or assess the existence, concentration or effects of "pollutants". However, we will pay for testing, which is performed in the course of extracting the "pollutants" from the land or water.
- (3) The most we will pay for each location under this Additional Coverage is \$100,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**, for the sum of all covered expenses arising out of Covered Causes of Loss occurring during each separate 12 month period of this policy.

42. Preservation of Property

With respect to your applicable Coverage Form, **A. Coverage, 4. Additional Coverage, b. Preservation of Property** is replaced by the following:

a. Preservation of Property

If it is necessary to move property covered under this policy from the described premises to preserve it from loss or damage by a Covered Cause of Loss, we will pay for any direct physical loss of or damage to that property:

- (1) While it is being moved or while temporarily stored at another location; and
- (2) Only if the loss or damage occurs within 90 days after the property is first moved.

43. Preservation of Property - Expenses

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 4. Additional Coverages**:

Preservation of Property – Expenses

- (1) If it is necessary to move property covered under this policy from the described premises to preserve it from loss or damage by a Covered Cause of Loss, we will pay your expenses to move or store such property.
- (2) This coverage applies for 90 days after the property is first moved but does not extend past the date on which this policy expires.

- (3) The most we will pay under this Additional Coverage is \$50,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.

44. Prototypes

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 5. Coverage Extensions**:

Prototypes

- (1) The insurance that applies to Business Personal Property is extended to apply to direct physical loss of or damage to "prototypes" related to your "research and development operations" that:
 - (a) You own; or
 - (b) Are owned by others and in your care, custody or control;while at a described premises. The loss or damage must be caused by or result from a Covered Cause of Loss.
- (2) We will not pay for loss or damage to "prototypes" until you actually repair or replicate such property. Repairs or replication must be made as soon as reasonably possible after the loss or damage, but in no event later than two years after the loss or damage unless we grant an extension in writing prior to the expiration of the two year period.
- (3) Payment under this Coverage Extension is included within the Limit of Insurance shown in the Declarations for Business personal Property.

45. Rewards

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 4. Additional Coverages**:

Rewards

- (1) We will reimburse you for payment of any reward offered on your behalf and for information that leads to the arrest and conviction of the person or persons responsible for:
 - (a) Arson;
 - (b) "Theft"; or
 - (c) Vandalismto Covered Property.
- (2) The arrest and conviction must involve a covered loss caused by arson, "theft" or vandalism.
- (3) Regardless of the number of persons involved in providing the information,

the most we will pay under this Additional Coverage is \$75,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.

46. Sales Representative Samples

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 4. Additional Coverages:**

Sales Representative Samples

- (1) We will pay for direct physical loss of or damage to samples of your "stock" in trade (including containers) caused by or resulting from a Covered Cause of Loss while:
 - (a) In the custody of your sales representative, agent or any "employee" who travels with sales samples;
 - (b) In your custody while acting as a sales representative; or
 - (c) "In transit" between the described premises and your sales representatives.
- (2) With respect to this Additional Coverage, CAUSES OF LOSS – SPECIAL FORM CP 10 30, **B. Exclusions, 1.b. Earth Movement** and **1.g. Water** do not apply.
- (3) The most we will pay under this Additional Coverage is \$25,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.
- (4) We will not pay for loss to the following property:
 - (a) Property which has been sold;
 - (b) Jewelry, precious or semiprecious stones, gold, silver, platinum or other precious metals or alloys;
 - (c) Fur, fur garments and garments trimmed with fur; or
 - (d) Any property while waterborne.

47. Soft Costs

With respect to BUILDING AND PERSONAL PROPERTY COVERAGE FORM CP 00 10, the following is added to **A. Coverage, 5. Coverage Extensions:**

Soft Costs

- (1) The insurance that applies to Buildings is extended to apply to the actual "soft cost expenses" that arise out of a delay in the construction, erection or fabrication of a Covered Building, as described in BUILDING AND

PERSONAL PROPERTY COVERAGE FORM CP 00 10, **A. Coverage, 1. Covered Property**, paragraph **a.(5)**, due to direct physical loss of or damage to that Covered Building caused by or resulting from a Covered Cause of Loss.

- (2) We will only pay the necessary "soft cost expenses" that are over and above those costs that would have been incurred had there been no delay.
- (3) The most we will pay under this Coverage Extension is \$25,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.
- (4) This Coverage Extension is excess to any other valid and collectible insurance.

48. Temporary Relocation of Property

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 4. Additional Coverages:**

Temporary Relocation of Property

- (1) We will pay for direct physical loss of or damage to Covered Property caused by or resulting from a Covered Cause of Loss while such property is away from the described premises and being stored temporarily at a location you do not own, lease or operate while the described premises is being renovated or remodeled.
- (2) This Additional Coverage applies for 90 days after the property is first moved but does not extend past the date on which this policy expires.
- (3) The most we will pay under this Additional Coverage is \$100,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.

49. Theft Damage to Building

With respect to BUILDING AND PERSONAL PROPERTY COVERAGE FORM CP 00 10, the following is added to **A. Coverage, 5. Coverage Extensions:**

Theft Damage to Building

- (1) The insurance that applies to Business Personal Property is extended to apply to direct physical damage to a building leased to you or damage to non-owned equipment when the damage is caused by or results from "theft" or attempted "theft", burglary or robbery of your

Business Personal Property. This Coverage Extension does not apply when the “theft” or attempted “theft” is of a building component or non-owned equipment.

- (2) Payment under this Coverage Extension is included within the Limit of Insurance shown in the Declarations for Business Personal Property.

50. Undamaged Tenants Improvements and Betterments

With respect to BUILDING AND PERSONAL PROPERTY COVERAGE FORM CP 00 10, the following is added to **A. Coverage, 5. Coverage Extensions:**

Undamaged Tenants Improvements and Betterments

- (1) The insurance that applies to Business Personal Property is extended to apply to your use as a tenant in the undamaged portion of Improvements and Betterments:
 - (a) Made part of the building or structure you occupy but do not own; and
 - (b) You acquired but cannot legally remove due to cancellation of your written lease. The cancellation must result from direct physical loss of or damage to a building at the described premises caused by or resulting from a Covered Cause of Loss. This Coverage Extension does not apply if you do not have a written lease in place at the time of loss.
- (2) We will determine the proportionate value of Undamaged Tenants Improvements and Betterments as follows:
 - (a) Multiply the original cost by the number of days from the loss or damage to the expiration of the lease; and
 - (b) Divide the amount determined in paragraph (a) directly above by the number of days from the installation of improvements to the expiration of the lease.

If your lease contains a renewal option, the expiration of the renewal option period will replace the expiration of the lease in this procedure.
- (3) The most we will pay under this Coverage Extension is \$50,000 unless

a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.

51. Underground Water Seepage

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 4. Additional Coverages:**

Underground Water Seepage

- (1) We will pay for direct physical loss of or damage to Covered Property at the described premises caused by or resulting from water under the ground surface pressing on, or flowing or seeping through:
 - (a) Foundations, walls, floors or paved surfaces;
 - (b) Basements, whether paved or not; or
 - (c) Doors, windows or other openings in any building or other structure.
- (2) With respect to CAUSES OF LOSS – SPECIAL FORM CP 10 30, **B. Exclusions, 1.g. Water**, paragraph (4) is deleted.
- (3) This Additional Coverage includes Business Income and Extra Expense coverage. Business Income and Extra Expense losses are subject to the terms in BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM CP 00 30 and BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM – ACTUAL LOSS SUSTAINED 411-0581, **A. Coverage, 1. Business Income** and **2. Extra Expense**.
- (4) The most we will pay under this Additional Coverage is \$50,000.
- (5) **THIS IS NOT FLOOD INSURANCE OR PROTECTION FROM AN INUNDATION OF SURFACE WATER, HOWEVER CAUSED.**

This Additional Coverage provides coverage for physical loss of or damage to Covered Property caused by or resulting from subterranean water when such event is a localized incident and not a part of a general, widespread “flood”, regardless of the proximity of the “flood” event.

We will not pay for loss or damage to property when the subterranean water causing the Underground Water Seepage is itself caused by any “flood” or general “flood” conditions including,

but not limited to, those enumerated under CAUSES OF LOSS – SPECIAL FORM CP 10 30, **B. Exclusions, 1.g. Water.**

52. Unintentional Property Reporting Errors

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 4. Additional Coverages:**

Unintentional Property Reporting Errors

- (1)** If you unintentionally fail to report or describe a location to us, coverage provided by this policy will not be invalid. However, you must report such error or omission to us in writing as soon as you identify them. You also agree to pay the additional premium that would have been earned by us if the location was correctly reported or described to us.
- (2)** This Additional Coverage only applies to direct loss or damage caused by or resulting from a Covered Cause of Loss at the omitted location and does not include any coverage for Flood or Earth Movement even if Flood and Earth Movement coverage are purchased for this or another policy.
- (3)** You must provide reasonable documentation and clear and convincing evidence explaining the cause of the oversight.
- (4)** For any location you have failed to correctly report or describe to us, this coverage will end when any of the following first occurs:
 - (a)** This policy expires; or
 - (b)** You report values or provide correct descriptions to us.
- (5)** Regardless of the number of occurrences of reporting or description errors or omissions, the most we will pay in any one Policy Period under this Additional Coverage is \$500,000.
- (6)** This Additional Coverage does not apply to a loss that is covered under the **Newly Acquired or Constructed Property Coverage Extension.**

53. Unnamed Locations

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 5. Coverage Extensions:**

Unnamed Locations

- (1)** The insurance that applies to Business Personal Property is extended to apply

to direct physical loss of or damage to Business Personal Property or personal property of others that is in your care, custody or control while it is at other than a described premises located within the Coverage Territory. The loss or damage must be caused by or result from a Covered Cause of Loss.

(2) Unnamed Locations Special Exclusions

This Coverage Extension does not apply to:

- (a)** Loss or damage caused directly or indirectly by "Flood" or Earth Movement, even when coverage for Flood and Earth Movement Coverage are purchased for this or another policy.
- (b)** Loss or damage covered under the following coverages:
 - (i)** Additional Coverage – Business Personal Property in Transit;
 - (ii)** Additional Coverage – Sales Representatives Samples; or
 - (iii)** Property on exhibition.
- (3)** Regardless of the number of unnamed locations, the most we will pay under this Coverage Extension is \$150,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE.**

54. Utility Services

- a.** With respect to your applicable Coverage Form, the following is added to **A. Coverage, 4. Additional Coverages:**

Utility Services – Direct Damage

We will pay for loss of or damage to Covered Property caused by an interruption in service to the described premises. The interruption must result from direct physical loss or damage by a Covered Cause of Loss to property not on the described premises that provides the services shown below in paragraph **c.**

The most we will pay at each described premises under this Additional Coverage is \$100,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE.**

- b. With respect to BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM CP 00 30 and BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM – ACTUAL LOSS SUSTAINED 411-0581, the following is added to **A. Coverage, 5. Additional Coverages:**

Utility Services – Business Income and Extra Expense

We will pay for the actual loss of Business Income you sustain and necessary Extra Expense you incur caused by the interruption of service at the described premises. The interruption must result from direct physical loss or damage that is caused by or resulting from a Covered Cause of Loss to property not at the described premises that provides the services shown below in paragraph c.

We will only pay for loss you sustain after the first 24 hours following the loss or damage.

The most we will pay under this Additional Coverage for Business Income and Extra Expense combined at each described premises is \$100,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.

- c. Services:

- (1) Water Supply Services, meaning the following types of property supplying water to the described premises:
 - (a) Pumping stations; and
 - (b) Water mains.
- (2) Communication Supply Services, meaning the following types of property supplying communication services, including but not limited to telephone, radio, microwave, television services, internet access or access to any electronic, cellular or satellite “network” to the described premises, such as:
 - (a) Communication transmission lines, including optic fiber transmission lines;
 - (b) Coaxial cables; and
 - (c) Microwave radio relays except satellites.

- (3) Power Supply Services, meaning the following types of property supplying electricity, steam or gas to the described premises:

- (a) Utility generating plants;
- (b) Switching stations;
- (c) Substations;
- (d) Transformers; and
- (e) Transmission lines.

- d. Services under this Additional Coverage do not include overhead transmission lines that deliver utility services to you. Overhead transmission lines include, but are not limited to:

- (1) Overhead transmission and distribution lines;
- (2) Overhead transformers and similar equipment; and
- (3) Supporting poles and towers.

- e. As used in this Additional Coverage, the term transmission lines includes all lines which serve to transmit communication service or power, including lines which may be identified as distribution lines.

- f. Coverage under this Additional Coverage for loss or damage to Covered Property does not apply to loss or damage to “electronic data”, including destruction or corruption of “electronic data”.

g. Utility Services Special Exclusion

Coverage under this Additional Coverage does not include loss of “perishable stock” due to spoilage that results from:

- (1) Complete or partial lack of electrical power; or
- (2) Fluctuation of electrical current.

55. Voluntary Parting

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 4. Additional Coverages:**

Voluntary Parting

- (1) We will pay for loss of or damage to Covered Property when you or your “employees” are fraudulently induced to part with such property to or by:
 - (a) Persons who falsely represent themselves as the proper persons to receive the property; or

- (b) Acceptance of fraudulent bills of lading or shipping receipts.
- (2) The most we will pay under this Additional Coverage is \$50,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.
- (3) This Additional Coverage does not include the items described in **A. Coverage, 2. Property Not Covered** of your applicable Coverage Form, even if coverage is granted for such items elsewhere in this policy.

56. Water Damage, Other Liquids, Powder or Molten Material Damage

With respect to CAUSES OF LOSS – SPECIAL FORM CP 10 30, F. Additional Coverage Extensions, **2. Water Damage, Other Liquids, Powder or Molten Material Damage** is replaced by the following:

2. Water Damage, Other Liquids, Powder or Molten Material Damage

- a. If loss or damage caused by or resulting from covered water damage or other liquid, powder or molten material damage loss occurs, we will also pay the cost to tear out and replace any part of the building or structure to repair damage to the system or appliance from which the water or other substance escapes. We will also pay the cost to tear out and replace lawns, shrubs and paved areas to repair damage to underground pipes from which the water or other substance escapes.
- b. Payment under this Coverage Extension is included within the applicable Limit of Insurance. However, the maximum we will pay for loss or damage to lawns, shrubs or paved areas is \$50,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.

THIS IS NOT FLOOD INSURANCE OR PROTECTION FROM AN INUNDATION OF SURFACE WATER, HOWEVER CAUSED.

57. Windblown Debris

With respect to BUILDING AND PERSONAL PROPERTY COVERAGE FORM CP 00 10, the following is added to **A. Coverage, 5. Coverage Extensions**:

Windblown Debris

- (1) Your insurance is extended to apply to your reasonable expenses to remove windblown debris (including trees) from the described premises, if such debris is blown to the described premises from the premises of others by wind.
- (2) The most we will pay in total for the removal of all windblown debris under this Coverage Extension is \$10,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.

58. Worldwide Business Personal Property Off Premises

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 5. Coverage Extensions**:

Worldwide Business Personal Property Off Premises

- (1) The insurance that applies to Business Personal Property and personal property of others is extended to apply to your Business Personal Property while it is temporarily outside the Coverage Territory if it is:
 - (a) Temporarily at a location you do not own, lease or operate;
 - (b) Temporarily on display or exhibit at any fair, trade show or exhibition;
 - (c) Samples of your “stock” in trade in the custody of your sales representatives; or
 - (d) While “in transit” between the described premises and a location described in paragraphs (a), (b) or (c) above.
- (2) The most we will pay under this Coverage Extension is \$75,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.

B. Blanket Coverages

1. Accounts Receivable

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 4. Additional Coverages**:

Accounts Receivable

- (1) We will pay for loss of or damage to accounts receivable when such loss or damage is caused by or results from a Covered Cause of Loss. We will pay:

- (a) All amounts due from your customers that you are unable to collect;
- (b) Interest charges on any loan required to offset amounts you are unable to collect pending our payment of these amounts;
- (c) Collection expenses in excess of your normal collection expenses that are made necessary by loss or damage; and
- (d) Other reasonable expenses that you incur to re-establish your records of accounts receivable.

(2) Accounts Receivable Special Exclusions

- (a) With respect to CAUSES OF LOSS – SPECIAL FORM CP 10 30, B. Exclusions do not apply to this Additional Coverage except for paragraphs:
 - (i) **1.c. Governmental Action;**
 - (ii) **1.d. Nuclear Hazard;**
 - (iii) **1.f. War And Military Action;**
 - (iv) **2.h.;**
 - (v) **2.i.;** and
 - (vi) **3.**
- (b) We will not pay for the following:
 - (i) Loss or damage caused by or resulting from alteration, falsification, concealment or destruction of records of accounts receivable done to conceal the wrongful giving, taking or withholding of “money”, “securities” or “other property”.
This exclusion applies only to the extent of the wrongful giving, taking or withholding.
 - (ii) Loss or damage caused by or resulting from bookkeeping, accounting or billing errors or omissions.
 - (iii) Any loss or damage that requires any audit of records or any inventory computation to prove its factual existence.

2. Deferred Payments

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 4. Additional Coverages**:

Deferred Payments

- (1) When a Business Personal Property Limit of insurance is shown in the Declarations, we will pay for your interest in lost or damaged personal property sold by you under a conditional sale or trust agreement or any installment or deferred payment plan after delivery to buyers. The loss or damage must be caused by a Covered Cause of Loss.
- (2) In the event of a total loss to such property, deferred payments are valued on the amount shown on your books as due from the buyer.

When a partial loss to that property occurs and the buyer refuses to continue payment, forcing you to repossess the property, deferred payments are valued as follows:

- (a) If the realized value of the repossessed property is greater than or equal to the amount shown on your books as due from the buyer, we will make no payment; but
- (b) If the realized value of the repossessed property is less than the amount shown on your books as due from the buyer, we will pay the difference.

- (3) When loss occurs and the buyer continues to pay you, there will be no loss payment.

3. Fine Arts

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 4. Additional Coverages**:

Fine Arts

- (1) We will pay for direct physical loss of or damage to “fine arts” which are your property or the property of others in your care, custody or control while on the described premises. We also cover your “fine arts” while temporarily on display or exhibit away from the described premises or while “in transit” between the described premises and a location where the “fine arts” will be temporarily on display or exhibit. Loss or damage must be caused by or result from a Covered Cause of Loss.
- (2) With respect to this Additional Coverage, CAUSES OF LOSS – SPECIAL FORM CP 10 30, **B.**

Exclusions, 1.b. Earth Movement and 1.g. Water do not apply.

(3) Fine Arts Special Exclusion

We will not pay for any loss caused by or resulting from:

(a) Breakage of statuary, glassware, bric-a-brac, marble, porcelain and similar fragile property. But we will pay if the loss or damage is caused directly by Flood or Earth Movement or one of the “specified causes of loss”; and

(b) Any repairing, restoration or retouching of the “fine arts”.

4. Fire Department Service Charge

With respect to your applicable Coverage Form, **A. Coverage, 4. Additional Coverages, c. Fire Department Service Charge** is replaced by the following:

c. Fire Department Service Charge

(1) When the fire department is called to save or protect Covered Property from a Covered Loss, we will pay your incurred expenses for your liability for fire department service charges at each described premises.

(2) This Additional Coverage applies to your liability for fire department service charges:

(a) Assumed by contract or agreement prior to loss; or

(b) Required by local ordinance.

(3) The applicable Limit of Insurance is the most we will pay regardless of the number of responding fire departments or fire units, and regardless of the number or type of services performed.

5. Movement of Property

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 5. Coverage Extensions:**

Movement of Property

(1) Your insurance is extended to apply to direct physical loss or damage from a Covered Cause of Loss to your Business Personal Property from an insured location which has been deleted from this policy if:

(a) You moved Covered Property from the deleted location to a new premises;

(b) A Limit of Insurance for the new premises has been added to this policy; and

(c) The direct physical loss or damage occurs to Covered Property at the prior insured location before the movement of property to the new premises is completed.

(2) Insurance under this Coverage Extension will end when any of the following first occurs:

(a) The movement of property to the new premises is completed; or

(b) 30 days after the effective date of the endorsement adding the new premises.

6. Outdoor Property

With respect to your applicable Coverage Form, **A. Coverage, 5. Coverage Extensions, e. Outdoor Property** is replaced by the following:

e. Outdoor Property

(1) Your insurance is extended to apply to direct physical loss of or damage to your fences, radio and television antennas (including satellite dishes), trees, shrubs, plants and lawns (other than trees, shrubs or plants which are “stock” or are a part of a vegetated roof), including debris removal expense, caused by or resulting from any of the following causes of loss:

(a) Fire;

(b) Windstorm;

(c) Ice, snow, sleet and hail;

(d) Lightning;

(e) Explosion;

(f) Riot or Civil Commotion;

(g) Vandalism;

(h) Aircraft or Vehicles;

(i) “Theft”; or

(j) Falling Objects.

(2) This Coverage Extension does not apply:

(a) To property held for sale by you;

(b) In the situation in which you are a tenant and such property is owned by the landlord of the described premises; or

(c) When there is a Building Limit shown in the Declarations for the premises where a loss that involves damage to a fence has occurred.

(3) We will not pay more than \$1,000 for loss or damage to any one tree, shrub or plant under this Coverage Extension.

7. Personal Effects and Property of Others

With respect to your applicable Coverage Form, **A. Coverage, 5. Coverage Extensions, b. Personal Effects and Property of Others** is replaced by the following:

b. Personal Effects and Property of Others

(1) The insurance that applies to Business Personal Property is extended to apply to direct physical loss or damage:

(a) To personal effects owned by you, your officers, your partners or "members", your "managers", your directors, your trustees or your "employees"; and

(b) To personal property of others in your care, custody or control.

when such loss or damage is caused by or resulting from a Covered Cause of Loss.

(2) We will not pay more than \$5,000 for any one person, in any one occurrence. Our payment for loss or damage to personal property of others will only be for the account of the owner of the property.

8. Research and Development Documentation

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 5. Coverage Extensions:**

Research and Development Documentation

(1) The insurance that applies to Business Personal Property is extended to apply to direct physical loss of or damage to "research and development documentation" that you own or that is in your care, custody or control at a described premises. The loss or

damage must be caused by or result from a Covered Cause of Loss.

(2) With respect to CAUSES OF LOSS – SPECIAL FORM CP 10 30, **B. Exclusions** do not apply to this Coverage Extension, except for:

(a) **1.c. Governmental Action;**

(b) **1.d. Nuclear Hazard;**

(c) **1.f. War and Military Action;**

(d) **2.h.;**

(e) **2.i.;** and

(f) **3.**

(3) This Coverage Extension does not apply to loss or damage caused by or resulting from:

(a) Electrical or magnetic injury, disturbance or erasure of electronic recordings that is caused by or results from:

(i) Programming errors or faulty machine instructions; or

(ii) Faulty installation or maintenance of data processing equipment or component parts.

(b) Errors or omissions in processing or copying. But if errors or omissions in processing or copying results in fire or explosion, we will pay for the direct loss or damage caused by the fire or explosion;

(c) Erasure of "research and development documentation"; or

(d) Unauthorized instructions to transfer property to any person or place.

(4) This Coverage Extension does not apply to "research and development documentation" which exist as "electronic data".

(5) We will not pay for loss or damage to "research and development documentation" until you actually replicate such documentation. Repairs or replication must be made as soon as reasonably possible after the loss or damage, but in no event later than two years after the loss or damage unless we grant an extension in writing prior to the expiration of the two-year period.

(6) We will not pay for loss or damage to "research and development documentation" applicable to:

- (a) Products that are obsolete;
- (b) Existing products you have withdrawn from the market; or
- (c) Existing products you have not sold in the last twelve months prior to the loss.

9. Valuable Papers and Records

With respect to your applicable Coverage Form, **A. Coverage, 5. Coverage Extensions, c. Valuable Papers and Records (Other Than Electronic Data)** is replaced by the following:

c. Valuable Papers and Records

- (1) The insurance that applies to Business Personal Property is extended to apply to direct physical loss of or damage to “valuable papers and records” that you own, or that are in your care, custody or control when caused by or resulting from a Covered Cause of Loss. This Coverage Extension includes the cost to research, replace or restore the lost information that previously existed on “valuable papers and records” for which duplicates do not exist.
- (2) This Coverage Extension does not apply:
 - (a) To property held as samples or for delivery after sale; or
 - (b) To property in storage away from the premises shown in the Declarations;
- (3) With respect to CAUSES OF LOSS – SPECIAL FORM CP 10 30, B. Exclusions do not apply to this Coverage Extension except for paragraphs:
 - (a) **1.c. Governmental Action;**
 - (b) **1.d. Nuclear Hazard;**
 - (c) **1.f. War And Military Action;**
 - (d) **2.h.;**
 - (e) **2.i.;**
 - (f) **3.;** and
 - (g) **5. Additional Exclusion**

However, this paragraph, (3), does not include loss or damage to “valuable papers and records” that are “electronic data”, as described in the definition of “valuable papers and records” in **VII. DEFINITIONS** of this endorsement. For such

“electronic data”, CAUSES OF LOSS – SPECIAL FORM CP 10 30, **B. Exclusions, 1.b. Earth Movement** and **1.g. Water** do not apply.

IV. LIMITATIONS

With respect to CAUSES OF LOSS – SPECIAL FORM CP 10 30, **C. Limitations**, paragraph **3.** is replaced by the following:

- 3. The special limits for each category shown below are the total limits for all property in that category. The special limits apply to any one occurrence of “theft”, regardless of the types or number of articles that are lost or damaged in that occurrence. The special limits are:
 - a. \$10,000 for furs, fur garments and garments trimmed in fur.
 - b. \$10,000 for jewelry, watches, watch movements, jewels and pearls. This limit does not apply to jewelry and watches worth \$500 or less per item.
 - c. \$35,000 for precious and semi-precious stones, bullion, gold, silver, platinum and other precious alloys or metals.
 - d. \$5,000 for patterns, dies, molds and forms owned by others. This special limit does not apply to those patterns, dies, molds and forms owned by you or for which you have a written contractual responsibility to insure.
 - e. \$1,000 for tickets, including lottery tickets held for sale, and letters of credit.

These special limits are part of, not in addition to, the Limit of Insurance applicable to the Covered Property.

This limitation, C.3., does not apply to Business Income coverages or to Extra Expense coverages.

V. LIMITS OF INSURANCE

With respect to your applicable Coverage Form, **C. Limits of Insurance** is replaced by the following:

C. Limits of Insurance

- 1. The most we will pay for loss or damage in any one occurrence is the applicable Limit of Insurance.
- 2. Limits of Insurance for Additional Coverages and Coverage Extensions:
 - a. Apply to any one occurrence; and
 - b. Are additional Limits of Insurance; unless stated otherwise.
- 3. **Building Limit Increase**

When a Building Limit of Insurance is shown in the Declarations, we will pay either the actual cash value or the replacement cost value, based on the Valuation method shown in the Declarations, of the damaged portion of the building at the time of loss, but not more than 115% of the Limit of Insurance for Building if:

- a. The amount of loss to a building covered by this policy exceeds the Limit of Insurance shown in the Declarations for Building; and
- b. The repair or replacement is completed within one year of the date of loss.

If damaged buildings are covered under a Blanket Limit of Insurance and the Blanket Limit of Insurance applies to more than one building or item of property, the amount we pay for the damaged portion of the building will be based on the statement of values on file with us at the time of loss.

4. Business Personal Property Limit – Seasonal Increase

- a. The Limit of Insurance for Business Personal Property will increase by 25% to provide for seasonal variations.
- b. This increase will apply only if the Limit of Insurance shown in the Declarations for Business Personal Property is at least 100% of your average monthly values during the lesser of the following:
 - (1) The 12 months immediately preceding the date the loss or damage occurs; or
 - (2) The period of time you have been in business as of the date the loss or damage occurs.

VI. VALUATION

- A. With respect to BUILDING and PERSONAL PROPERTY COVERAGE FORM CP 00 10, **E. Loss Conditions, 7. Valuation**, paragraph b. is replaced by the following:
 - b. If the Limit of Insurance for Building satisfies the Additional Condition, Coinsurance, and the cost to repair or replace the damaged building property is \$2,500 or less, we will pay the cost of building repairs or replacement.

The cost of building repairs or replacement does not include the increased cost attributable to enforcement of any ordinance or law regulating the construction, use or repair of any property.

However, the following property will be valued at the actual cash value even when attached to the building:

- (1) Awnings or floor coverings;
- (2) Appliances for refrigerating, ventilating, cooking, dishwashing or laundering;
- (3) Outdoor equipment or furniture; or
- (4) Retaining walls.

- B. With respect to BUILDING AND PERSONAL PROPERTY COVERAGE FORM CP 00 10, the following is added to **E. Loss Conditions, 7. Valuation** and with respect to CONDOMINIUM UNIT – OWNERS COVERAGE FORM CP 00 18, the following is added to **E. Loss Conditions, 8. Valuation**:

- a. “Valuable papers and records” at the cost of restoration or replacement, including the cost of data entry, re-programming, computer consultation services and the “media” on which the data or programs reside. To the extent that the contents of the “valuable papers and records” are not replaced or restored, the “valuable papers and records” will be valued at the cost of blank materials for reproducing the records and the labor to transcribe or copy the records when there is a duplicate.
- b. “Money” at its face value.
- c. “Securities” at their value at the close of business on the day you become aware of the loss.
- d. Accounts Receivable:
 - (1) If you cannot accurately establish the amount of accounts receivable outstanding as of the time of loss or damage:
 - (a) We will determine the total of the average monthly amounts of accounts receivable for the 12 months preceding the month in which loss or damage occurs; and
 - (b) We will adjust that total for any normal fluctuations in the amount of accounts receivable for the month in which the loss or damage occurred or for any demonstrated variance from the average for that month.
 - (2) The following will be deducted from the total amount of accounts receivable, regardless of how that amount is established:
 - (a) The amount of the accounts for which there is no loss or damage;

- (b) The amount of the accounts that you are able to re-establish or collect;
 - (c) An amount to allow for probable bad debts that you are normally unable to collect; and
 - (d) All unearned interest and service charges.
- e. Property that is being shipped while “in transit” (other than “stock” you have sold) at the amount of invoice, including your prepaid or advanced freight charges and other charges which may have accrued or become legally due since the shipment. If you have no invoice, actual cash value will apply.
- f. “Hardware”:
 - (1) “Hardware” that is replaced will be at the cost of replacing the “hardware” with new equipment that is functionally comparable to the “hardware” that is being replaced.
 - (2) “Hardware” that is not replaced will be at actual cash value at the time of loss.
 - (3) In no event will we pay more than the reasonable cost of restoring partially damaged “hardware” to its condition directly prior to the damage.
- g. “Software”:
 - (1) “Programs and applications” will be at the cost to reinstall the “programs and applications” from the licensed discs that were originally used to install the programs or applications.
If the original licensed discs are lost, damaged, or can no longer be obtained, the value of “programs and applications” will be based on the cost of the most current version of the “programs or applications”.
 - (2) “Proprietary programs” will be at the cost of reproduction from duplicate copies. The cost of reproduction includes, but is not limited to, the cost of labor to copy or transcribe from duplicate copies.
If duplicate copies do not exist, the value of “proprietary programs” will be based on the cost of research or other expenses necessary to reproduce, replace, or restore lost “proprietary programs”.
 - (3) “Electronic data” will be at the cost of reproduction from duplicate copies.

The cost of reproduction includes, but is not limited to, the cost of labor to copy or transcribe from duplicate copies.

If duplicate copies do not exist, the value of “electronic data” will be based on the cost of research or other expenses necessary to reproduce, replace, or restore lost files, documents and records.

- (4) “Media” will be at the cost to repair or replace the “media” with material of the same kind or quality.
- h. “Fine Arts”
We will pay the lesser of:
 - (1) The market value at the time of loss or damage;
 - (2) The reasonable cost of repair or restoration to the condition immediately before the covered loss or damage; or
 - (3) The cost of replacement with substantially identical property.
 For pairs or sets, we will either:
 - (4) Repair or replace any part to restore the value and condition of the pair or set to that immediately before the covered loss or damage; or
 - (5) Pay the difference between the value of the pair or set before and after the covered loss or damage.
- i. Personal property of others will be at replacement cost when Replacement Cost Valuation is shown in the Declarations. Our payment for loss of or damage to personal property of others will only be for the account of the owners of the property. We may adjust losses with the owners of lost or damaged property if other than you. If we pay the owners, such payments will satisfy your claims against us for the owners’ property. With respect to BUILDING AND PERSONAL PROPERTY COVERAGE FORM CP 00 10, **G. Optional Coverages, 3. Replacement Cost, paragraph b.(1)** is deleted.
- j. We may elect to defend you against suits arising from claims of owners or property. We will do this at our expense.
- k. Labor, materials and services that you furnish or arrange on personal property of others are valued based on the actual cost of the labor, materials and services.

- l.** “Finished stock” you manufactured at the selling price less discounts and expenses you otherwise would have had.

m. “Prototypes”

We will not pay more than the lesser of the following amounts:

- (1)** The replacement cost of such property used for the same product, but only if replacement cost is shown as applicable to Personal Property in the Declarations.

However, when replacement with identical property is impossible or unnecessary, the amount of loss will be based on the cost to replace with similar property used to perform the same functions. Property of others will be valued in the same manner, but we will not pay more than the amount for which you are legally liable; or

- (2)** The amount you actually spend to repair or replace lost or damaged “prototypes” used for the same purpose.

n. “Research and development documentation”:

We will not pay more than the least of the following amounts:

- (1)** Your cost actually spent to reproduce lost or damaged “research and development documentation” from back-up files or original source documents;

- (2)** The reasonable cost necessary to research, repair, restore, recreate, reconstitute, reproduce or replace “research and development documentation”, used for the same product, to their condition immediately before the loss or damage;

- (3)** If identical “research and development documentation” cannot be purchased, the cost to purchase such documentation of comparable kind, functionality and quality; or

- (4)** The amount you actually spend to research, repair, restore, recreate, reconstitute, reproduce or replace “research and development documentation”, used for the same-product.

But we will not pay more than the cost to restore “research and development documentation” to its condition immediately prior to the loss.

VII. DEFINITIONS

With respect to this endorsement, the following Definitions are added:

- 1.** “Antique” means an object having value because its:

- a.** Craftsmanship is in the style or fashion of former times; and
b. Age is 100 years or older.

- 2.** “Computer equipment” means:

- a.** “Hardware” and related component parts owned by you or in your care, custody or control. Component parts include but are not limited to modems, routers, printers, keyboards, monitors, and scanners;

- b.** “Software”; or

- c.** “Protection and control equipment”.

“Computer equipment” does not mean “computer equipment” used to operate production-type machinery or equipment.

- 3.** “Computer hacking” means an unauthorized intrusion by an individual or group of individuals, whether employed by you or not, into “hardware” or “software”, a Web site, or a computer “network” and that results in but is not limited to the following:

- a.** Deletion, destruction, generation, or modification of “software”;

- b.** Alteration, contamination, corruption, degradation, or destruction of the integrity, quality or performance of “software”;

- c.** Observation, scanning, or copying of “electronic data”, “programs and applications”, and “proprietary programs”;

- d.** Damage, destruction, inadequacy, malfunction, degradation, or corruption of any “hardware” or “media” used with “hardware”; or

- e.** Denial of access to or denial of services from “hardware”, “software”, computer “network”, or Web site including related “software”.

- 4.** “Computer program” or “computer programs” means a set of related electronic instructions, which direct the operation and function of a computer or devices connected to it, which enable the computer or devices to receive, process, store or send “electronic data”.

- 5.** “Computer virus” means the introduction into “hardware”, “software”, computer “network”, or Web site of any malicious, self-replicating “electronic data” processing code or other code and that is intended to result in, but is not limited to the following:

- a. Deletion, destruction, generation, or modification of “software”;
 - b. Alteration, contamination, corruption, degradation, or destruction of the integrity, quality, or performance of “software”;
 - c. Damage, destruction, inadequacy, malfunction, degradation, or corruption of any “hardware” or “media” used with “hardware”; or
 - d. Denial of access to or denial of services from “hardware”, “software”, computer “network”, or Web site including related “software”.
6. “Counterfeit money” means an imitation of “money” that is intended to deceive and to be taken as genuine.
7. “Denial of service attack” means the malicious direction or a high volume of worthless inquiries to website or e-mail destinations, effectively denying or limiting legitimate access regardless of whether or not damage to “computer equipment” results.
8. “Dependent property” or “dependent properties” means property operated by others whom you depend on:
- a. To deliver materials or services directly to you, or directly to others for your account. However, any property that delivers any of the following services is not a “dependent property”:
 - (1) Water supply services, including wastewater removal services;
 - (2) Power supply services; or
 - (3) Communication supply services, including but not limited to, internet related services or any services related to a “network”;
 - b. To directly accept your products or services;
 - c. To manufacture products for direct delivery to your customers under contract of sale; or
 - d. To attract customers directly to your business.

“Dependent property” or “dependent properties” does not include or extend to any secondary dependencies meaning any properties or locations that a “dependent property” or “dependent properties” depends on in any manner.

9. “Dependent property period of restoration” means the period of time that:

- a. Begins 72 hours after the time of direct physical loss or damage at the premises of the “dependent property”; and
- b. Ends on the date when the property at the premises of the “dependent property” should be repaired, rebuilt or replaced with reasonable speed and similar quality.

“Dependent property period of restoration” does not include any increased period required due to the enforcement of any ordinance or law that:

- c. Regulates the construction, use or repair, or requires the tearing down, of any property; or
- d. Requires any insured or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to or assess the effects of “pollutants”.

The expiration date of this policy will not cut short the “dependent property period of restoration”.

10. “Discover” or “discovered” means:

- a. The time when you first become aware of facts which would cause a reasonable person to assume that a loss of a type covered by this policy has been or will be incurred, regardless of when the act or acts causing or contributing to such loss occurred, even though the exact amount or details may not be known.
- b. “Discover” or “discovered” also means the time when you first receive notice of an actual or potential claim in which it is alleged that you are liable to a third party under circumstances which, if true, would constitute a loss under this insurance.

11. “Electronic data” means information, facts or “computer programs” stored as or on, created or used on, or transmitted to or from computer “software” (including systems and applications “software”), on hard or floppy disks, CD-ROMs, tapes, drives, cells, data processing devices or any other repositories of computer “software”, which are used with electronically controlled equipment.

12. “Electronic vandalism” means “computer hacking”, “computer virus”, “denial of service attacks” or “ransom”. “Electronic vandalism” does not include the “theft” of any property or services.

13. “Employee” or “employees”:

- a. Means:
 - (1) Any natural person:

- (a) While in your service and for the first 30 days immediately after termination of service;
 - (b) Who you compensate directly by salary, wages or commissions; and
 - (c) Who you have the right to direct and control while performing services for you;
- (2) Any natural person who is furnished temporarily to you:
- (a) To substitute for a permanent "employee" as defined in paragraph (1) directly above, who is on leave; or
 - (b) To meet seasonal or short-term workload conditions;
- while that person is subject to your direction and control and performing services for you;
- (3) Any natural person who is leased to you under a written agreement between you and a labor leasing firm, to perform duties related to the conduct of your business, but does not mean a temporary "employee" as defined in paragraph (2) directly above;
- (4) Any natural person who is:
- (a) A trustee, officer, "employee", administrator or "manager", except an administrator or "manager" who is an independent contractor, of any Plan; or
 - (b) Your director or trustee while that person is engaged in handling "funds" or "other property" of any Plan;
- (5) Any natural person who is a former "employee", partner, "member", "manager", director or trustee retained as a consultant while performing services for you;
- (6) Any natural person who is a guest student or intern pursuing studies or duties;
- (7) Any natural person employed by an entity merged or consolidated with you prior to the effective date of this insurance; or
- (8) Any natural person who is your "manager", director or trustee while:
- (a) Performing acts within the scope of the usual duties of an "employee"; or
 - (b) Acting as a "member" of any committee duly elected or appointed by resolution of your board of directors or board of trustees to perform specific, as distinguished from general, directorial acts on your behalf.
- b. Does not mean:
- Any agent, broker, factor, commission merchant, consignee, independent contractor or representative of the same general character not specified in paragraph a. directly above.
14. "Employee benefit plans" means any welfare or pension benefit plan that you sponsor and that is subject to the Employee Retirement Income Security Act of 1974 (ERISA) and any amendments thereto.
15. "Financial institution" means:
- a. With respect to the Additional Coverage for **Money and Securities** of this endorsement:
 - (1) A bank, savings bank, savings and loan association, trust company, credit union or similar depository institution; or
 - (2) An insurance company.
 - b. With respect to the Additional Coverage for **Computer and Funds Transfer Fraud** of this endorsement:
 - (1) A bank, savings bank, savings and loan association, trust company, credit union or similar depository institution;
 - (2) An insurance company; or
 - (3) A stock brokerage firm or investment company.
 - c. Other than the Additional Coverages for **Money and Securities** and **Computer and Funds Transfer Fraud**, any "financial institution" identified in paragraphs a. and b. directly above.
16. "Fine arts" means paintings, etchings, pictures, tapestries, rare art glass, art glass windows, valuable rugs, statuary, sculptures, "antique" furniture, "antique" jewelry, bric-a-brac, porcelains and similar property of rarity, historical value or artistic merit. If you are an Architect or Engineer, "fine arts" also means architectural models.
17. "Finished stock" means "stock" you have manufactured. "Finished stock" also includes whiskey and alcoholic products being aged, unless there is a Coinsurance percentage shown in the Declarations.

"Finished stock" does not include "stock" you have manufactured that is held for sale on the premises of any retail outlet under this Commercial Property Coverage Part.

18. "Flood" means a general and temporary condition of partial or complete inundation of normally dry land areas due to the following:
- a. Surface water or waves, tides, tidal waves, tsunami, overflow of any body of water or their spray, all whether driven by wind or not (including storm surge).
 - b. The unusual or rapid accumulation of runoff of surface waters from any source.
 - c. Mudslides or mudflows which are caused by "flood" water. A mudslide or mudflow involves a river of liquid and flowing mud on the surface of normally dry land areas as when earth is carried by a current of water and deposited along the path of the current.
 - d. The release of water impounded by a dam, levee, dike, seawall or "flood" control device, whether driven by wind or not (including storm surge).

When a "flood" is a continuous or protracted event, it will constitute a single "flood" occurrence.

19. "Food contamination" means an incidence of food poisoning or food-related illness of one or more persons as a result of:
- a. Tainted food you distributed or purchased; or
 - b. Food which has been improperly processed, stored, handled or prepared in the course of your "operations".
20. "Forgery" means the signing of the name of another person or organization with intent to deceive; it does not mean a signature which consists in whole or in part of one's own name signed with or without authority, in any capacity, for any purpose.
21. "Fraudulent instruction" means:
- a. With respect to the Additional Coverage for **Computer and Funds Transfer Fraud**, paragraph (1)(b) of this endorsement:
 - (1) A computer, telefacsimile, telephone or other electronic instruction directing a "financial institution" to debit your "transfer account" and to transfer, pay or deliver "money" or "securities" from the "transfer account", which instruction purports to have been issued by you, but which in fact was fraudulently issued by someone else without your knowledge or consent; or

- (2) A written instruction, other than those covered under the Additional Coverage for **Forgery or Alteration** of this endorsement, issued to a "financial institution" directing the "financial institution" to debit your "transfer account" and to transfer, pay or deliver "money" or "securities" from that "transfer account", through an electronic funds transfer system at specified times or under specified conditions, which instruction purports to have been issued by you, but which in fact was issued, forged or altered by someone else without your knowledge or consent.

- b. With respect to the Additional Coverage for **Computer and Funds Transfer Fraud**, paragraph (2) of this endorsement:

A computer, telefacsimile, telephone or other electronic, written or voice instruction directing an "employee" to enter or change "electronic data" or "computer programs" within "computer equipment", which instruction in fact was fraudulently issued by your computer "software" contractor.

22. "Funds" means "money" and "securities".

23. "Hardware":

- a. Means a system of electronic machine components (microprocessors) capable of accepting instructions and information, processing the information according to the instructions, and producing desired results. "Hardware" includes but is not limited to the following:
 - (1) Mainframe and mid-range computers and servers;
 - (2) Personal computers and workstations;
 - (3) Portable electronic devices. Portable electronic devices include laptops, tablets, readers, smartphones or other lightweight, hand-held or wearable devices capable of storing, retrieving and processing data; and
 - (4) Peripheral data processing equipment, including but not limited to, printers, keyboards, monitors, and modems.
- b. Does not mean:
 - (1) Diagnostic equipment;
 - (2) Electronic items that contain a computer to perform functions other than "hardware"; and

- (3) Peripheral data processing equipment with a value more than the "hardware" itself.
- Electronic items that are not similar to the items described in paragraph **a.** above are not "hardware".
24. "Installation, tools and equipment property" means:
- a. Materials, supplies, machinery, fixtures and equipment that will become a permanent part of your installation while:
 - (1) Located at the site of installation;
 - (2) "In transit" by you to or from the described premises and the job site; or
 - (3) While in temporary storage awaiting installation.
 - b. Commercial tools and equipment usual to your business and used in your installation which are:
 - (1) Your property; or
 - (2) The property of others in your care, custody or control.

Commercial tools and equipment does not include:

 - (3) Aircraft or watercraft;
 - (4) Any property while waterborne, airborne or underground;
 - (5) Property you have loaned, rented or leased to others;
 - (6) Property that is permanently mounted to a vehicle; or
 - (7) Property held for sale.
25. "In transit" means Covered Property being carried by vehicle for the purpose of your business.
- "In transit" includes:
- a. Temporary stops or delays, incidental to the business destination;
 - b. Outgoing shipments that have been rejected, while in due course of transit or while awaiting return shipment; and
 - c. Covered Property while in a vehicle owned, leased or operated:
 - (1) By you; or
 - (2) By a common carrier or contract carrier, to the extent you are legally liable.
26. "Manager" or "managers" means a person or persons serving in a directorial capacity for a limited liability company (LLC).
27. "Media" means an instrument that is used with "hardware" and on which "electronic data", "programs and applications", and "proprietary programs" can be recorded or stored. "Media" includes, but is not limited to, films, tapes, cards, discs, drums, cartridges, cells, DVDs, CD-ROMs or other portable data devices.
28. "Member" or "members" means an owner of a limited liability company (LLC) represented by its membership interest who, if a natural person, may also serve as a "manager".
29. "Messenger" means you, or your relative, or any of your partners or "members", or any "employee".
30. "Money" means:
- a. Currency, coins and bank notes in current use and having a face value;
 - b. Traveler's checks and money orders held for sale to the public; and
 - c. In addition, includes:
 - (1) With respect to the Additional Coverages for **Employee Theft including ERISA Compliance and Forgery or Alteration** of this endorsement, deposits in your account at any "financial institution"; and
 - (2) With respect to the Additional Coverage for **Computer and Funds Transfer Fraud** of this endorsement, deposits in your account at a "financial institution" as defined in paragraph **b.** of the definition for "financial institution".
31. "Network" or "networks" means any services provided by or through the facilities of any electronic or computer communication system, including any shared "networks", internet access facilities or other similar facilities for such systems.
32. "Operations" means:
- a. Your business activities occurring at the described premises; and
 - b. With respect to "Rental Value", the tenantability of the described premises.
33. "Other property" means tangible property other than "money" and "securities" that has intrinsic value. "Other property" does not include "computer programs", "electronic data" or any property specifically excluded under this policy.
34. "Period of restoration":
- a. Means the period of time that:
 - (1) Begins:

- (a) 72 hours after the time of direct physical loss or damage for Business Income Coverage; or
 - (b) Immediately after the time of direct physical loss or damage for Extra Expense Coverage;

caused by or resulting from any Covered Cause of Loss; and
- (2) Ends on the earlier of the following:
 - (a) The date when the property at the described premises should be repaired, rebuilt or replaced with reasonable speed and similar quality; or
 - (b) The date when business is resumed at a new permanent location.
- b. Does not include any increased period required due to the enforcement of or compliance with any ordinance or law:
 - (1) That regulates the construction, use or repair, or requires the tearing down of any property; or
 - (2) That requires any insured or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to or assess the effects of "pollutants".

The expiration date of this policy will not cut short the "period of restoration".
- 35. "Perishable stock" means personal property:
 - a. Maintained under controlled temperature or humidity conditions for preservation; and
 - b. Susceptible to loss or damage if the controlled temperature or humidity conditions change.
- 36. "Power supply disturbance" means interruption of power supply, power surge, blackout, or brownout.
- 37. "Programs and applications" means operating "programs and applications" that you purchase and that are:
 - a. Stored on "media"; or
 - b. Pre-installed and stored in "hardware".

Applications include, but are not limited to, programs for word processing, spreadsheet calculations, and graphic design.
- 38. "Proprietary programs" means proprietary operating "programs and applications" that you developed or that you had developed specifically for use in your "operations" and that are:
 - a. Stored on "media"; or
 - b. Installed and stored in "hardware".
- 39. "Protection and control equipment" means:
 - a. Air conditioning equipment used exclusively in the operation of the "hardware";
 - b. Fire protection equipment used for the protection of the "hardware", including automatic and manual fire suppression equipment and smoke and heat detectors; and
 - c. Uninterruptible power supply system, line conditioner, and voltage regulator.
- 40. "Prototypes" means an original version of a newly designed product that is an outcome of your "research and development operations". "Prototypes" include sample designs, experimental models or displays that are associated with or integral to the manufacture of the original version of a newly designed product.
- 41. "Ransom" means monies extorted from and paid by you because of a threat or connected series of threats to commit an intentional attack on your "computer equipment" that if so committed, would result in direct physical loss of or damage to your "computer equipment".
- 42. "Rental Value" means Business Income that consists of the following:
 - a. Net Income (Net Profit or Loss before income taxes) that would have been earned or incurred as rental income from tenant occupancy of the premises described in the Declarations as furnished and equipped by you, including fair "Rental Value" of any portion of the described premises which is occupied by you; and
 - b. Continuing normal operating expenses incurred in connection with that premises, including:
 - (1) Payroll; and
 - (2) The amount of charges, which are the legal obligation of the tenant but would otherwise be your obligations.
- 43. "Research and development documentation" means written evidence of facts, information, processes, concepts or formulas that are directly related to the development of new products or enhancement of existing products. Written evidence includes written papers, plans, manuscripts, written or inscribed documents or plans. "Research and development documentation" does not include "valuable papers and

records", accounts receivable or "media", software" or "electronic data".

44. "Research and development operations" means your business activities that are directly related to the development of new products or the enhancement of existing products.
45. "Scientific and professional equipment" means medical, engineering, veterinary, measurement, recording, analyzing or similar equipment.
46. "Securities" means negotiable and nonnegotiable instruments or contracts representing either "money" or property and includes:
- a. Tokens, tickets, revenue and other stamps (whether represented by actual stamps or unused value in a meter) in current use; and
 - b. Evidences of debt issued in connection with credit or charge cards, which cards are not issued by you.
- but does not include "money".
47. "Social engineering" means a scheme that intentionally misleads you or an "employee" into voluntarily parting with "money", "securities" and "other property", based on fraudulent information.
48. "Soft cost expenses" means additional:
- a. Realty taxes and other assessments that you incur for the period of time that construction has been extended beyond the projected completion date;
 - b. Interest on money borrowed to finance construction, remodeling, renovation or repair; and
 - c. Advertising, public relations and promotional expenses.
49. "Software" means:
- a. "Media";
 - b. "Electronic data";
 - c. "Programs and applications"; and
 - d. "Proprietary programs".
50. "Suspension" means:

- a. The slowdown or cessation of your business activities; or
- b. With respect to "Rental Value", that part or all of the described premises is rendered untenable.

51. "Theft" means the unlawful taking of property to the deprivation of the insured.
52. "Transfer account" means an account maintained by you at a "financial institution" from which you can initiate the transfer, payment or delivery of "money" and "securities" by means of the following:
- a. Computer, telefacsimile, telephone or other electronic instructions; or
 - b. Written instructions, other than those covered under the Additional Coverage for **Forgery or Alteration** of this endorsement, establishing the conditions under which such transfers are to be initiated by such "financial institution" through an electronic funds transfer system.
53. "Valuable papers and records":
- a. Means tangible property that is inscribed, printed or written:
 - (1) Documents;
 - (2) Manuscripts; and
 - (3) Recordsincluding abstracts, books, deeds, drawings, films, maps or mortgages;
 - b. If you are a printer, publisher or graphic artist by trade, "valuable papers and records" also means tangible property that are negatives, positives, artwork, separations, plates, dies, molds, forms, stock manuscripts and other similar property usual to the graphic arts, printing or publishing industry.
 - c. Means "electronic data" of the items described in paragraphs a. and b. directly above but only if the "electronic data" was originally tangible property and then converted and stored as "electronic data".
 - d. Does not mean "money" or "securities".

ALL OTHER TERMS, CONDITIONS, AND EXCLUSIONS REMAIN UNCHANGED.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

NEW YORK CHANGES – PROPERTY

This endorsement modifies insurance provided under the following:

BRONZE PROPERTY BROADENING ENDORSEMENT
SILVER PROPERTY BROADENING ENDORSEMENT
GOLD PROPERTY BROADENING ENDORSEMENT
PLATINUM PROPERTY BROADENING ENDORSEMENT
CONDOMINIUM PROPERTY BROADENING ENDORSEMENT

- A. With respect to BRONZE PROPERTY BROADENING ENDORSEMENT 411-0791, **III. COVERAGES, A. Scheduled Coverages, 11. Contract Penalties**, with respect to SILVER PROPERTY BROADENING ENDORSEMENT 411-0792, GOLD PROPERTY BROADENING ENDORSEMENT 411-0793 and PLATINUM PROPERTY BROADENING ENDORSEMENT 411-0794, **III. COVERAGES, A. Scheduled Coverages, 14. Contract Penalties**, and with respect to CONDOMINIUM PROPERTY BROADENING ENDORSEMENT 411-0795, **III. COVERED PROPERTY, A. Scheduled Coverages, 17. Contract Penalties** is deleted in its entirety.
- B. With respect to BRONZE PROPERTY BROADENING ENDORSEMENT 411-0791, **III. COVERAGES, A. Scheduled Coverages, 40. Rewards**, with respect to SILVER PROPERTY BROADENING ENDORSEMENT 411-0792, GOLD PROPERTY BROADENING ENDORSEMENT 411-0793 and PLATINUM PROPERTY BROADENING ENDORSEMENT 411-0794, **III. COVERAGES, A. Scheduled Coverages, 45. Rewards**, and with respect to CONDOMINIUM PROPERTY BROADENING ENDORSEMENT 411-0795, **III. COVERED PROPERTY, A. Scheduled Coverages, 51. Rewards** is deleted in its entirety.
- C. With respect to BRONZE PROPERTY BROADENING ENDORSEMENT 411-0791, **III. COVERAGES, A. Scheduled Coverages, 16. Employee Theft including ERISA, (7) Employee Theft Special Exclusions**, paragraph (b), with respect to SILVER PROPERTY BROADENING ENDORSEMENT 411-0792, GOLD PROPERTY BROADENING ENDORSEMENT 411-0793 and PLATINUM PROPERTY BROADENING ENDORSEMENT 411-0794, **III. COVERAGES, A. Scheduled Coverages, 19. Employee Theft including ERISA, (7) Employee Theft Special Exclusions**, paragraph (b), and with respect to CONDOMINIUM PROPERTY BROADENING

ENDORSEMENT 411-0795, **III. COVERED PROPERTY, A. Scheduled Coverages, 23. Employee Theft including ERISA, (7) Employee Theft Special Exclusions**, paragraph (b) is replaced by the following:

- (b) Loss caused by an "employee" if the "employee" has also committed "theft" or any other dishonest act prior to the effective date of this policy and you or any of your partners, "members", "managers", officers, directors or trustees, not in collusion with the "employee", learned of such "theft" or dishonest act prior to the Policy Period shown in the Declarations.

However, this paragraph, **(7)(b)**, does not apply to an "employee" who was convicted of one or more criminal offenses in this state or any other jurisdiction prior to becoming employed by you if, after learning about the "employee's" past criminal conviction or convictions, you made a determination to hire or retain the "employee" utilizing the factors set out in New York Correction Law Article 23-A.

- D. With respect to BRONZE PROPERTY BROADENING ENDORSEMENT 411-0791, SILVER PROPERTY BROADENING ENDORSEMENT 411-0792, GOLD PROPERTY BROADENING ENDORSEMENT 411-0793, PLATINUM PROPERTY BROADENING ENDORSEMENT 411-0794, and CONDOMINIUM PROPERTY BROADENING ENDORSEMENT 411-0795, the following is added to **VII. DEFINITIONS**:
1. "Communicable disease" means a bacterial micro-organism transmitted through human contact with food.
- E. With respect to BRONZE PROPERTY BROADENING ENDORSEMENT 411-0791, **VII. DEFINITIONS, 17. "Food contamination"** is replaced by the following:

17. "Food contamination" means an incidence of food poisoning or food-related illness of one or more persons as a result of:

- a. Tainted food you distributed or purchased; or
- b. Food which has been improperly processed, stored, handled or prepared in the course of your "operations"; or
- c. A "communicable disease" transmitted through one or more of your "employees".

F. With respect to SILVER PROPERTY BROADENING ENDORSEMENT 411-0792, GOLD PROPERTY BROADENING ENDORSEMENT 411-0793, PLATINUM PROPERTY BROADENING ENDORSEMENT

411-0794, and CONDOMINIUM PROPERTY BROADENING ENDORSEMENT 411-0795, **VII. DEFINITIONS**, 19. "Food contamination" is replaced by the following:

19. "Food contamination" means an incidence of food poisoning or food-related illness of one or more persons as a result of:

- a. Tainted food you distributed or purchased; or
- b. Food which has been improperly processed, stored, handled or prepared in the course of your "operations"; or
- c. A "communicable disease" transmitted through one or more of your "employees".

ALL OTHER TERMS, CONDITIONS, AND EXCLUSIONS REMAIN UNCHANGED.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

NEW YORK CHANGES – DATA BREACH COVERAGE FORM

This endorsement modifies insurance under the following:

DATA BREACH COVERAGE FORM

A. SECTION E – CONDITIONS, paragraph **11.** is replaced by the following:

11. Cancellation, Non-Renewal And Conditional Renewal

a. Cancellation

You may cancel this Coverage Form at any time by mailing or delivering to us or any of our authorized agents advance written notice of cancellation stating when such cancellation will be effective. We will retain the standard short rate proportion of the premium and refund any excess to you.

We may cancel this Coverage Form if it is not a renewal and has been in effect for less than 60 days by mailing to you and the agent of record at their last known addresses, written notice stating the reason(s) for cancellation not less than 20 days before the effective date of cancellation or not less than 15 days before the effective date of cancellation if the cancellation is for any reason listed in (1) thru (7) below.

If the Coverage Form has been in effect for 60 days or more, we may cancel it by mailing notice of cancellation stating the actual reason(s) for cancellation, by certified mail to the you and the agent of record, with postage fully prepaid, at the address last known to the us not less than 15 days prior to the proposed effective date of cancellation for only one or more of the following reasons:

- (1) Nonpayment of premium, which notice will clearly state the amount due;
- (2) Conviction of a crime arising out of acts increasing the hazard insured against;
- (3) Discovery of fraud or material misrepresentation in the obtaining of the Coverage Form or in the presentation of a claim thereunder;
- (4) Discovery of an act or omission or a violation of any policy condition, that

substantially and materially increases the hazard insured against, and which occurred subsequent to inception of the current "policy period";

- (5) Material change in the nature or extent of the risk, occurring after issuance or last annual renewal anniversary date of the Coverage Form, which causes the risk of loss to be substantially and materially increased beyond that contemplated at the time the Coverage Form was issued or last renewed;
- (6) Determination by the New York State Superintendent of Insurance that continuation of our present premium volume would jeopardize our solvency or be hazardous to the interests of its policyholders, creditors or the public; or
- (7) Determination by the New York State Superintendent of Insurance that the continuation of the Coverage Form would violate, or would place the us in violation of any provision of the New York Insurance Law.

The unearned portion of the premium you paid to us will be calculated on a pro rata basis and paid to you.

b. Nonrenewal

If we decide not to renew this Coverage Form, it will mail written notice stating the reason(s) for nonrenewal to you at the last address known to us and to the agent of record at least 60 days but not more than 120 days before the expiration date. The notice will contain the date of the notice and the policy number, and will state the expiration date of the Coverage Form. Changes in the terms available on renewal will not be considered a nonrenewal of this Coverage Form. The mailing by certified mail will be sufficient proof of notice.

If the notice of nonrenewal is mailed in less than the time required but prior to the Coverage Form expiration date, the

coverage will remain in effect at the same terms and conditions of the expiring Coverage Form and at the lower of the current rates or the prior period's rates until 60 days after such notice has been mailed or delivered, unless you have replaced the coverage or elects to cancel, in which event such cancellation shall be on a pro rata premium basis.

The annual aggregate limit of the expiring Coverage Form will be increased in proportion to the Coverage Form extension resulting from a late notice.

If the notice of nonrenewal is mailed on or after the Coverage Form expiration date, coverage will remain in effect at the same terms and conditions of the expiring Coverage Form for another "policy period", and at the lower of the current rates or the prior period's rates unless you during the additional required "policy period" has replaced the coverage or elects to cancel, in which event such cancellation shall be on a pro rata premium basis.

c. Conditional Renewal

We will send a written notice of conditional renewal indicating its intention to condition the renewal on a change of limits, type of coverage, reduction of coverage, increased deductible or addition of exclusion, or an increase in premiums in excess of 10% (exclusive of any premium increase as a result of increased exposure units). We will provide written notice at least 60 days but not more than 120 days prior to the expiration of the Coverage Form to you at the last address known to us and to the agent of record.

If we cannot determine whether it will renew or conditionally renew this Coverage Form, we will send an alternative notice to you at the last address known to us and to the agent of record. The alternative notice will advise you that as soon as possible we will send a second notice to you indicating its intention and that the coverage under this Coverage Form will continue on the same terms, conditions and rates as the expiring Coverage Form until the later of the expiration date or 60 days after the alternative notice is sent. Such alternative notice will also state the availability of loss information which we will furnish within 20 days of its receipt of such written request.

The annual aggregate limit of the expiring Coverage Form will be increased in

proportion to the Coverage Form extension resulting from a late notice.

If the you elect to renew on the basis of the renewal notice, then terms, conditions and rates shall govern the Coverage Form upon expiration of such 60 day period unless such notice was provided at least 30 days prior to the expiration date of the Coverage Form, in which event the terms, conditions, and rates set forth in the renewal notice shall apply as of the renewal date.

If notice of nonrenewal, conditional renewal or alternative renewal is mailed, proof of mailing will be sufficient proof of notice.

- B.** The following is added with respect to any Condition of this Coverage Form which requires you to notify us of loss or to notify us of a "data breach".

1. Notice given by or on your behalf; or
2. Written notice by or on behalf of any claimant; to any of our agents in New York State, which adequately identifies you, will be the same as notice to us.

- C. SECTION E- CONDITIONS, Paragraph 18.** is replaced by the following:

18. Appraisal

- a. If we and you disagree on the amount of Net Income and operating expense or the amount of loss, either may make written demand for an appraisal of the loss. In this event, each party will select a competent and impartial appraiser and notify the other of the appraiser selected within 20 days of such demand.
- b. If we or you fail to proceed with the appraisal of the covered loss after a written demand is made by either party, then either party may apply to a court having jurisdiction for an order directing the party that failed to proceed with the appraisal to comply with the demand for the appraisal of the loss. In this event, each party will select a competent and impartial appraiser and notify the other of the appraiser selected within 20 days of such order.
- c. The two appraisers will select an umpire. If they cannot agree within 15 days upon such umpire, either may request that selection be made by a judge of a court having jurisdiction. The appraisers will state separately the amount of Net Income and operating expense and the amount of

loss. If they fail to agree, they will submit their differences to the umpire. A decision agreed to by any two will be binding.

If there is an appraisal, we will still retain our right to deny the claim

d. Each party will:

D. SECTION B – EXCLUSION, Paragraph 1., subparagraph r. **Nuclear Hazard** is deleted.

- (1) Pay its chosen appraiser; and
- (2) Bear the other expenses of the appraisal and umpire equally.

ALL OTHER TERMS, CONDITIONS, AND EXCLUSIONS REMAIN UNCHANGED.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

EQUIPMENT BREAKDOWN COVERAGE (INCLUDING ELECTRONIC CIRCUITRY IMPAIRMENT)

This endorsement modifies insurance provided under the following:

BUILDING AND PERSONAL PROPERTY COVERAGE FORM
CONDOMINIUM ASSOCIATION COVERAGE FORM
CONDOMINIUM COMMERCIAL UNIT-OWNERS COVERAGE FORM
CAUSES OF LOSS – BASIC FORM
CAUSES OF LOSS – BROAD FORM
CAUSES OF LOSS – SPECIAL FORM

A. COVERAGE

The following is added as an Additional Coverage to the Causes of Loss – Basic Form, Broad Form and Special Form:

Additional Coverage – Equipment Breakdown

The term Covered Cause of Loss includes the Additional Coverage Equipment Breakdown as described and limited below. Without an “accident” or “electronic circuitry impairment”, there is no Equipment Breakdown Coverage.

1. We will pay for direct physical damage to Covered Property that is the direct result of an “accident” or “electronic circuitry impairment”. We will consider “electronic circuitry impairment” to be physical damage to “covered equipment”.
2. Unless otherwise shown in the “schedule”, the following coverages also apply to the direct result of an “accident” or “electronic circuitry impairment”. However, with respect to coverage **2.i. Service Interruption** below and any Dependent Properties coverage provided by this coverage part, coverage will apply only to the direct result of an “accident” and will not apply to the direct result of “electronic circuitry impairment”. These coverages do not provide additional amounts of insurance.

a. Business Income and Extra Expense

- (1) Any insurance provided under the coverage part for Business Income or Extra Expense is extended to the coverage provided by this endorsement. However, if a deductible is shown in the “schedule”, then with respect to this endorsement only, the “period of restoration” will begin immediately after the “accident” or “electronic circuitry impairment”, and

the deductible shown in the “schedule” will apply.

- (2) The most we will pay for loss or expense under this coverage is the applicable limit for Business Income and Extra Expense, unless otherwise shown in the “schedule”.

b. Data Restoration

- (1) We will pay for your reasonable and necessary cost to research, replace and restore lost “data”.
- (2) The most we will pay for loss or expense under this coverage, including actual loss of Business Income you sustain and necessary Extra Expense you incur, if shown as covered, is \$100,000 unless otherwise shown in the “schedule”.

c. Expediting Expenses

- (1) With respect to your damaged Covered Property, we will pay the reasonable extra cost to:
 - (a) Make temporary repairs; and
 - (b) Expedite permanent repairs or permanent replacement.
- (2) The most we will pay for loss or expense under this coverage is \$100,000 unless otherwise shown in the “schedule”.

d. Fungus, Wet Rot, Dry Rot and Bacteria

- (1) We will pay your additional cost to repair or replace Covered Property because of contamination by “fungus”, wet rot, dry rot or bacteria. This includes the additional costs to clean up or dispose of such property. This does not include spoilage of personal property that is “perishable goods” to

the extent that such spoilage is covered under Spoilage coverage.

- (2) As used in this coverage, additional costs mean those beyond what would have been payable under this Equipment Breakdown Coverage had no "fungus", wet rot, dry rot or bacteria been involved.
- (3) We will also pay the cost of testing performed after repair or replacement of the damaged Covered Property is completed only to the extent that there is reason to believe there is the presence of "fungus", wet rot, dry rot or bacteria.
- (4) This coverage does not apply to lawns, trees, shrubs or plants which are part of a vegetated roof.
- (5) The most we will pay in any "one equipment breakdown" for loss, damage or expense under this coverage, including actual loss of Business Income you sustain and necessary Extra Expense you incur, if shown as covered, is \$15,000 even if the "fungus", wet rot, dry rot or bacteria continues to be present or active or recurs in a later policy period.

e. Hazardous Substances

- (1) We will pay your additional cost to repair or replace Covered Property because of contamination by a "hazardous substance". This includes the additional expenses to clean up or dispose of such property.
- (2) This does not include contamination of "perishable goods" by refrigerant, including but not limited to ammonia, which is addressed in **2.j.(1)(b)** below. As used in this coverage, additional costs mean those beyond what would have been payable under this Equipment Breakdown Coverage had no "hazardous substance" been involved.
- (3) The most we will pay for loss, damage or expense under this coverage, including actual loss of Business Income you sustain and necessary Extra Expense you incur, if shown as covered, is \$100,000 unless otherwise shown in the "schedule".

f. Off Premises Equipment Breakdown

- (1) We will pay for physical damage to transportable "covered equipment" that, at the time of the "accident" or "electronic circuitry impairment", is not at a covered location. As respects this Off Premises Equipment Breakdown coverage only, the "accident" or "electronic circuitry impairment" may occur in any country except one in which the United States has imposed sanctions, embargoes or similar restrictions on the provision of insurance.
- (2) We will also pay for your reasonable and necessary cost to research, replace and restore lost "data" contained within "covered equipment" as described under **f.(1)** above. This amount may not exceed the limit applicable to Data Restoration coverage.
- (3) The most we will pay for loss, damage or expense under this coverage, including actual loss of Business Income you sustain and necessary Extra Expense you incur, if shown as covered, and Data Restoration as described in **f.(2)** above is the limit for Property Off Premises Coverage Extension shown in your policy.

g. Public Relations

- (1) This coverage only applies if you have sustained an actual loss of Business Income covered under this endorsement.
- (2) We will pay for your reasonable costs for professional services to create and disseminate communications, when the need for such communications arises directly from the interruption of your business. This communication must be directed to one or more of the following:
 - (a) The media;
 - (b) The public; or
 - (c) Your customers, clients or members.
- (3) Such costs must be incurred during the "period of restoration" or up to 30 days after the "period of restoration" has ended.
- (4) The most we will pay for loss or expense under this coverage is \$5,000.

h. Scientific Animals

We will pay for loss or damage to “scientific animals” resulting from an “accident” to “covered equipment” when the Life Science Property Broadening Endorsement is included in the policy. The most we will pay for loss, damage or expense under this coverage is the lesser of the limit shown in the Life Science Property Broadening Endorsement or \$100,000, unless otherwise shown in the “schedule”.

i. Service Interruption

- (1) Any insurance provided for Business Income, Extra Expense, Data Restoration or Spoilage is extended to apply to your loss, damage or expense caused by a failure or disruption of service. The failure or disruption of service must be caused by an “accident” to equipment, including overhead transmission lines, that is owned by a utility, landlord, a landlord’s utility or other supplier who provides you with any of the following services: electrical power, waste disposal, air conditioning, refrigeration, heating, natural gas, compressed air, water, steam, internet access, telecommunications services, “cloud computing services”, wide area networks or data transmission. The equipment must meet the definition of “covered equipment” except that it is not Covered Property.
- (2) “Cloud computing services” must be provided by a professional provider with whom you have a contract.
- (3) With respect to the Data Restoration portion of this Service Interruption coverage, coverage will also apply to “data” stored in the equipment of a provider of “cloud computing services”.
- (4) Unless otherwise shown in the “schedule”, Service Interruption coverage will not apply unless the failure or disruption of service exceeds 24 hours immediately following the “accident”. If the interruption exceeds 24 hours, coverage will begin at the time of the disruption, and the applicable deductible will apply.
- (5) The most we will pay in any “one equipment breakdown” for loss, damage or expense under this coverage is the applicable limit for Business Income, Extra Expense,

Data Restoration or Spoilage, except that if a limit is shown in the “schedule” for Service Interruption, that limit will apply to Business Income and Extra Expense loss under this coverage.

j. Spoilage

(1) We will pay for:

- (a) Physical damage to “perishable goods” due to spoilage;
- (b) Physical damage to “perishable goods” due to contamination from the release of refrigerant, including but not limited to ammonia;
- (c) Any necessary expenses you incur to reduce the amount of loss under this coverage to the extent that they do not exceed the amount of loss that otherwise would have been payable under this coverage.

- (2) If you are unable to replace the “perishable goods” before its anticipated sale, the amount of our payment will be determined on the basis of the sales price of the “perishable goods” at the time of the “accident” or “electronic circuitry impairment”, less discounts and expenses you otherwise would have had. Otherwise our payment will be determined in accordance with the Valuation condition.

- (3) The most we will pay for loss, damage or expense under this coverage is \$100,000 unless otherwise shown in the “schedule”.

B. EXCLUSIONS

All exclusions in the applicable Causes of Loss form apply except as modified below and to the extent that coverage is specifically provided by this endorsement.

1. The following exclusions are modified:

- a. If the Causes of Loss – Basic Form or Causes of Loss – Broad Form apply, the following is added to **Exclusion B.2.:**

Depletion, deterioration, corrosion, erosion, wear and tear, or other gradually developing conditions. However, if an “accident” or “electronic circuitry impairment” results, we will pay for the resulting loss, damage or expense caused by that “accident” or “electronic circuitry impairment”.

- b. If the Causes of Loss – Special Form applies, with respect to this endorsement only, the last paragraph of **Exclusion B.2.d.** is replaced by the following:

But if an excluded cause of loss that is listed in **2.d.(1)** through **(7)** results in an “accident” or “electronic circuitry impairment”, we will pay for the loss, damage or expense caused by that “accident” or “electronic circuitry impairment”.

2. The following exclusions are added to the Building and Personal Property Coverage Form, the Condominium Association Coverage Form, the Condominium Commercial Unit-Owners Coverage Form, the Causes Of Loss – Basic Form, the Causes Of Loss – Broad Form, and the Causes Of Loss – Special Form:

- a. We will not pay for loss, damage or expense caused directly or indirectly by any of the following, whether or not caused by or resulting from an “accident” or “electronic circuitry impairment”:

- (1) Fire, including smoke from a fire;
- (2) Explosion of gas or unconsumed fuel within the furnace of any boiler or fired vessel or within the passages from that furnace to the atmosphere;
- (3) Any other explosion, except as specifically covered under this endorsement;
- (4) Any earth movement, including but not limited to earthquake, subsidence, sinkhole collapse, landslide, earth sinking, tsunami or volcanic action;
- (5) Flood, surface water, waves, tides, tidal waves, overflow of any body of water, or their spray, all whether driven by wind or not; mudslide or mudflow; or water that backs up or overflows from a sewer, drain or sump. However, if electrical “covered equipment” requires drying out because of the above, we will pay for the direct expenses of such drying out subject to the applicable Limit of Insurance and deductible for Building or Business Personal Property, whichever applies; or

- (6) Vandalism.

- b. Coverage under this endorsement does not apply to an “accident” or “electronic circuitry impairment” caused by or resulting from:

- (1) Lightning;
- (2) Windstorm or hail. However this exclusion does not apply when:

- (a) “Covered equipment” located within a building or structure suffers an “accident” or “electronic circuitry impairment” that results from wind-blown rain, snow, sand or dust; and

- (b) The building or structure did not first sustain wind or hail damage to its roof or walls through which the rain, snow or dust entered.

- (3) Smoke; aircraft or vehicles; riot or civil commotion; sprinkler leakage; elevator collision;

- (4) Breakage of glass; falling objects; weight of snow, ice or sleet; freezing (caused by cold weather); collapse or molten material;

- (5) A hydrostatic, pneumatic or gas pressure test of any boiler or pressure vessel, or an electrical insulation breakdown test of any type of electrical equipment; or

- (6) Water or other means used to extinguish a fire.

- c. With respect to Business Income, Extra Expense and Service Interruption coverages, we will also not pay for any increase in loss resulting from an agreement between you and your customer or supplier.

- d. Except as specifically provided under **A.2.d. Fungus, Wet Rot, Dry Rot and Bacteria** coverage we will not pay for loss, damage or expense caused directly or indirectly by the following, whether or not caused by or resulting from an “accident” or “electronic circuitry impairment”: Any “fungus”, wet rot, dry rot or bacteria, including any presence, growth, proliferation, spread or any activity of “fungus”, wet rot, dry rot or bacteria. This includes, but is not limited to, costs arising from clean up, removal, or abatement of such “fungus”, wet rot, dry rot or bacteria. However, this exclusion does not apply to spoilage of personal property that is “perishable goods”, to the extent that such spoilage is covered under Spoilage coverage.

- e. Except as specifically provided under **A.2.h. Scientific Animals** coverage, we

will not pay for any loss or damage to animals.

3. Exclusions 2.b.(1), 2.b.(2), 2.b.(3), and 2.b.(4) above shall not apply if:

- a. The excluded cause of loss occurs away from any covered location and causes an electrical surge or other electrical disturbance;
- b. Such surge or disturbance is transmitted through utility service transmission lines to the covered location and results in an "accident" or "electronic circuitry impairment"; and
- c. The loss, damage or expense caused by such surge or disturbance is not covered elsewhere under the policy.

4. Any cause of loss set forth in Exclusion 2.b.(4) above that is not a Covered Cause of Loss in this coverage part shall be excluded only as respects Service Interruption coverage.

C. DEFINITIONS

For the purpose of this endorsement only, the following definitions are added:

1. "Accident"

- a. "Accident" means a fortuitous event that causes direct physical damage to "covered equipment". The event must be one of the following:

- (1) Mechanical breakdown, including rupture or bursting caused by centrifugal force;
- (2) Artificially generated electrical current, including electric arcing, that disturbs electrical devices, appliances or wires;
- (3) Explosion of steam boilers, steam pipes, steam engines or steam turbines owned or leased by you, or operated under your control;
- (4) Loss or damage to steam boilers, steam pipes, steam engines or steam turbines caused by or resulting from any condition or event inside such equipment; or
- (5) Loss or damage to hot water boilers or other water heating equipment caused by or resulting from any condition or event inside such boilers or equipment.

- b. None of the following is an "accident":

- (1) Defect, programming error, programming limitation, computer virus, malicious code, loss of "data",

loss of access, loss of use, loss of functionality or other condition within or involving "data" or "media" of any kind; or

- (2) Misalignment, miscalibration, tripping off-line, or any condition which can be corrected by resetting, tightening, adjusting or cleaning, or by the performance of maintenance.

However, if an "accident" results, we will pay for the resulting loss, damage or expense caused by that "accident".

2. "Boilers and vessels" means:

- a. Any boiler, including attached steam, condensate and feedwater piping; and
- b. Any fired or unfired pressure vessel subject to vacuum or internal pressure other than the static pressure of its contents.

This term does not appear elsewhere in this endorsement, but may appear in the "schedule".

- 3. "Cloud computing services" means** professional, on-demand, self-service data storage or data processing services provided through the internet or over telecommunications lines. This includes services known as IaaS (infrastructure as a service), PaaS (platform as a service), SaaS (software as a service) and NaaS (network as a service). This includes business models known as public clouds, community clouds and hybrid clouds. "Cloud computing services" include private clouds if such services are owned and operated by a third party.

4. "Covered equipment"

- a. "Covered equipment" means, unless otherwise specified in the "schedule", Covered Property:

- (1) That generates, transmits or utilizes energy; or
- (2) Which, during normal usage, operates under vacuum or pressure, other than the weight of its contents.

"Covered equipment" may utilize conventional design and technology or new or newly commercialized design and technology.

- b. None of the following is "covered equipment":

- (1) Structure, foundation, cabinet or compartment;
- (2) Insulating or refractory material;

- (3) Sewer piping, buried vessels or piping, or piping forming a part of a sprinkler or fire suppression system;
 - (4) Water piping other than boiler feedwater piping, boiler condensate return piping or water piping forming a part of a refrigerating or air conditioning system;
 - (5) "Vehicle" or any equipment mounted on a "vehicle";
 - (6) Satellite, spacecraft or any equipment mounted on a satellite or spacecraft;
 - (7) Dragline, excavation or construction equipment; or
 - (8) Equipment manufactured by you for sale.
5. "Data" means information or instructions stored in digital code capable of being processed by machinery.
6. "Electronic circuitry" means microelectronic components, including but not limited to circuit boards, integrated circuits, computer chips and disk drives.
7. "Electronic circuitry impairment"
- a. "Electronic circuitry impairment" means a fortuitous event involving "electronic circuitry" within "covered equipment" that causes the "covered equipment" to suddenly lose its ability to function as it had been functioning immediately before such event. This definition is subject to the conditions specified in **b.**, **c.** and **d.** below.
 - b. We shall determine that the reasonable and appropriate remedy to restore such "covered equipment's" ability to function is the replacement of one or more "electronic circuitry" components of the "covered equipment".
 - c. The "covered equipment" must be owned or leased by you, or operated under your control.
 - d. None of the following is "electronic circuitry impairment":
 - (1) Any condition that can be reasonably remedied by:
 - (a) Normal maintenance, including but not limited to replacing expendable parts, recharging batteries or cleaning;
 - (b) Rebooting, reloading or updating software or firmware; or
 - (c) Providing necessary power or supply.
 - (2) Any condition caused by or related to:
 - (a) Incompatibility of the "covered equipment" with any software or equipment installed, introduced or networked within the prior 30 days;
 - (b) Insufficient size, capability or capacity of the "covered equipment"; or
 - (c) Exposure to adverse environmental conditions, including but not limited to change in temperature or humidity, unless such conditions result in an observable loss of functionality. Loss of warranty shall not be considered an observable loss of functionality.
8. "Hazardous substance" means any substance that is hazardous to health or has been declared to be hazardous to health by a governmental agency.
9. "Media" means material on which "data" is recorded, such as solid state drives, hard disks, optical disks, flash drives, magnetic tapes or floppy disks.
10. "One equipment breakdown" means: If an initial "accident" or "electronic circuitry impairment" causes other "accidents" or "electronic circuitry impairments", all will be considered "one equipment breakdown". All "accidents" or "electronic circuitry impairments" that are the result of the same "accident" or "electronic circuitry impairment" will be considered "one equipment breakdown".
11. "Perishable goods" means personal property maintained under controlled conditions for its preservation, and susceptible to loss or damage if the controlled conditions change.
12. "Production machinery" means any machine or apparatus that processes or produces a product intended for eventual sale. This includes all component parts of such machine or apparatus and any other equipment used exclusively with such machine or apparatus. However, "production machinery" does not mean any boiler, or fired or unfired pressure vessel.
- This term does not appear elsewhere in this endorsement, but may appear in the "schedule".
13. "Schedule" means the Equipment Breakdown Coverage Schedule.

14. "Vehicle" means, as respects this endorsement only, any machine or apparatus that is used for transportation or moves under its own power. "Vehicle" includes, but is not limited to: car, truck, bus, trailer, train, aircraft, watercraft, forklift, bulldozer, tractor or harvester.

However, any property that is stationary, permanently installed at a covered location and that receives electrical power from an external power source will not be considered a "vehicle".

D. DEDUCTIBLE

The Building and Personal Property Coverage Form is modified as follows:

The deductible in the Declarations applies unless a separate Equipment Breakdown deductible is shown in the "schedule". If a separate Equipment Breakdown deductible is shown, the following applies.

Only in regards to Equipment Breakdown Coverage, provision **D. DEDUCTIBLE** in the Building and Personal Property Coverage Form, the Condominium Association Coverage Form, the Condominium Commercial Unit-Owners Coverage Form, the Causes Of Loss – Basic Form, the Causes Of Loss – Broad Form, and the Causes Of Loss – Special Form: is replaced by the following:

1. Deductibles for Each Coverage

- a. Unless the "schedule" indicates that your deductible is combined for all coverages, multiple deductibles may apply to any "one equipment breakdown".
- b. We will not pay for loss, damage or expense under any coverage until the amount of the covered loss, damage or expense exceeds the deductible amount indicated for that coverage in the "schedule". We will then pay the amount of loss, damage or expense in excess of the applicable deductible amount, subject to the applicable limit.
- c. If deductibles vary by type of "covered equipment" and more than one type of "covered equipment" is involved in any "one equipment breakdown", only the highest deductible for each coverage will apply.

2. Direct and Indirect Coverages

- a. Direct Coverages Deductibles and Indirect Coverages Deductibles may be indicated in the "schedule".
- b. Unless more specifically indicated in the "schedule":
 - (1) Indirect Coverages Deductibles apply to Business Income and Extra Expense loss; and
 - (2) Direct Coverages Deductibles apply to all remaining loss, damage or expense covered by this endorsement.

3. Application of Deductibles

a. Dollar Deductibles

We will not pay for loss, damage or expense resulting from any "one equipment breakdown" until the amount of loss, damage or expense exceeds the applicable deductible shown in the "schedule". We will then pay the amount of loss, damage or expense in excess of the applicable deductible or deductibles, up to the applicable Limit of Insurance.

b. Time Deductible

If a time deductible is shown in the "schedule", we will not be liable for any loss occurring during the specified number of hours or days immediately following the "accident" or "electronic circuitry impairment". If a time deductible is expressed in days, each day shall mean twenty-four consecutive hours.

c. Multiple of Average Daily Value (ADV)

If a deductible is expressed as a number times ADV, that amount will be calculated as follows:

The ADV (Average Daily Value) will be the Business Income (as defined in any Business Income coverage that is part of this policy) that would have been earned during the period of interruption of business had no "accident" or "electronic circuitry impairment" occurred, divided by the number of working days in that period. No reduction shall be made for the Business Income not being earned, or in the number of working days, because of the "accident" or "electronic circuitry impairment" or any other scheduled or unscheduled shutdowns during the period of interruption. The ADV applies to the Business Income value of the entire location, whether or not the loss affects the entire location. If more than one location is included in the valuation of the loss, the ADV will be the combined value of all affected locations. For purposes of this calculation, the period of interruption may not extend beyond the "period of restoration". The number indicated in the "schedule" will be multiplied by the ADV as

determined above. The result shall be used as the applicable deductible.

d. Percentage of Loss Deductibles

If a deductible is expressed as a percentage of loss, we will not be liable for the indicated percentage of the gross amount of loss, damage or expense (prior to any applicable deductible or coinsurance) insured under the applicable coverage. If the dollar amount of such percentage is less than the indicated minimum deductible, the minimum deductible will be the applicable deductible.

E. CONDITIONS

1. The following conditions are added to the Conditions in the Building and Personal Property Coverage Form, the Condominium Association Coverage Form, the Condominium Commercial Unit-Owners Coverage Form, the Commercial Property Conditions and the Common Policy Conditions:

a. Suspension

Whenever "covered equipment" is found to be in, or exposed to, a dangerous condition, any of our representatives may immediately suspend the insurance against loss from an "accident" or "electronic circuitry impairment" to that "covered equipment". This can be done by mailing or delivering a written notice of suspension to:

- (1) Your last known address; or
- (2) The address where the "covered equipment" is located.

Once suspended in this way, your insurance can be reinstated only by an endorsement for that "covered equipment". If we suspend your insurance, you will get a pro rata refund of premium for that "covered equipment" for the period of suspension. But the suspension will be effective even if we have not yet made or offered a refund.

b. Jurisdictional Inspections

If any property that is "covered equipment" under this endorsement requires inspection to comply with state or municipal boiler and pressure vessel regulations, we agree to perform such inspection on your behalf. We do not warrant that conditions are safe or healthful.

c. Coinsurance

If a coinsurance percentage is shown in the "schedule" for specified coverages, the following condition applies.

We will not pay for the full amount of your loss if the applicable limit is less than the product of the specified coinsurance percentage times the value of the property subject to the coverage at the time of the loss. Instead, we will determine what percentage this calculated product is compared to the applicable limit and apply that percentage to the gross amount of loss. We will then subtract the applicable deductible. The resulting amount, or the applicable limit, is the most we will pay. We will not pay for the remainder of the loss. Coinsurance applies separately to each insured location.

2. For the purpose of this endorsement only, **E. Loss Conditions, 7. Valuation** in the Building and Personal Property Coverage Form is replaced by the following:

7. Valuation

We will determine the value of Covered Property as follows:

- a. Except as specified otherwise, our payment for damaged Covered Property will be the smallest of:

- (1) The cost to repair the damaged property;
- (2) The cost to replace the damaged property on the same site; or
- (3) The amount you actually spend that is necessary to repair or replace the damaged property.

- b. Except as described in c. below, you must pay the extra cost of replacing damaged property with property of a better kind or quality or of a different size or capacity.

c. Environmental, Safety and Efficiency Improvements

If "covered equipment" requires replacement due to an "accident" or "electronic circuitry impairment", we will pay your additional cost to replace with equipment that is better for the environment, safer for people or more energy or water efficient than the equipment being replaced. However, we will not pay to increase the size or capacity of the equipment and we will not pay more than 150% of what the cost would have been to replace with

- like kind and quality. This provision does not apply to the replacement of component parts or to any property to which Actual Cash Value applies and does not increase any of the applicable limits.
- d. The following property will be valued on an Actual Cash Value basis:
- (1) Any property that does not currently serve a useful or necessary function for you;
 - (2) Any Covered Property that you do not repair or replace within 24 months after the date of the "accident" or "electronic circuitry impairment"; and
 - (3) Any Covered Property for which Actual Cash Value coverage is specified in a "schedule", Actual Cash Value includes deductions for depreciation.
- e. If any one of the following conditions is met, property held for sale by you will be valued at the sales price as if no loss or damage had occurred, less any discounts and expenses that otherwise would have applied:
- (1) The property was manufactured by you;
 - (2) The sales price of the property is less than the replacement cost of the property; or
 - (3) You are unable to replace the property before its anticipated sale.
- f. Except as specifically provided for under Data Restoration coverage, "data" and "media" will be valued on the following basis:
- (1) For mass-produced and commercially available software, at the replacement cost.
 - (2) For all other "data" and "media", at the cost of blank "media" for reproducing the records. We will not pay for "data" representing financial records based on the face value of such records.
- The most we will pay for loss, damage or expense under this endorsement arising from any "one equipment breakdown" is the applicable Limit of Insurance in the Declarations unless otherwise shown in the "schedule". Coverage provided under this endorsement does not provide an additional amount of insurance.

ALL OTHER TERMS, CONDITIONS, AND EXCLUSIONS REMAIN UNCHANGED.

COMMERCIAL PROPERTY COVERAGE PART EQUIPMENT BREAKDOWN COVERAGE SCHEDULE

Equipment Breakdown is subject to the Limits of Insurance shown in the Declarations except as specifically shown below.

These coverages apply to all locations covered on the policy, unless otherwise specified.

Coverages	Limits
Equipment Breakdown Limit	\$159,511
Business Income	\$100,000
Extra Expense	\$Included
Data Restoration	\$100,000
Expediting Expenses	\$100,000
Hazardous Substances	\$100,000
Scientific Animals	\$0
Service Interruption	\$Included in Business Income, Extra Expense and/or Spoilage Limit
Spoilage	\$100,000

	Deductibles
Combined, All Coverages	\$Not Applicable
Direct Coverages	\$100,000
Indirect Coverages	72 hours
Spoilage	\$1,000

Other Conditions

Service Interruption - 24 hour waiting period.
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THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

NEW YORK CHANGES – EQUIPMENT BREAKDOWN

This endorsement modifies insurance provided under the following:

EQUIPMENT BREAKDOWN COVERAGE (INCLUDING ELECTRONIC CIRCUITRY IMPAIRMENT)

Section **A. COVERAGE**, paragraph **2.d. Fungus, Wet Rot, Dry Rot and Bacteria** is deleted.

Section **B. EXCLUSIONS**, paragraph **2.d.** is deleted.

ALL OTHER TERMS, CONDITIONS, AND EXCLUSIONS REMAIN UNCHANGED.

COMMERCIAL PROPERTY
CP 00 10 10 12

BUILDING AND PERSONAL PROPERTY COVERAGE FORM

Various provisions in this policy restrict coverage. Read the entire policy carefully to determine rights, duties and what is and is not covered.

Throughout this policy, the words "you" and "your" refer to the Named Insured shown in the Declarations. The words "we", "us" and "our" refer to the company providing this insurance.

Other words and phrases that appear in quotation marks have special meaning. Refer to Section H. Definitions.

A. Coverage

We will pay for direct physical loss of or damage to Covered Property at the premises described in the Declarations caused by or resulting from any Covered Cause of Loss.

1. Covered Property

Covered Property, as used in this Coverage Part, means the type of property described in this section, **A.1.**, and limited in **A.2.** Property Not Covered, if a Limit Of Insurance is shown in the Declarations for that type of property.

a. Building, meaning the building or structure described in the Declarations, including:

- (1) Completed additions;
- (2) Fixtures, including outdoor fixtures;
- (3) Permanently installed:
 - (a) Machinery; and
 - (b) Equipment;
- (4) Personal property owned by you that is used to maintain or service the building or structure or its premises, including:
 - (a) Fire-extinguishing equipment;
 - (b) Outdoor furniture;
 - (c) Floor coverings; and
 - (d) Appliances used for refrigerating, ventilating, cooking, dishwashing or laundering;
- (5) If not covered by other insurance:
 - (a) Additions under construction, alterations and repairs to the building or structure;
 - (b) Materials, equipment, supplies and temporary structures, on or within 100 feet of the described premises, used for making additions, alterations or repairs to the building or structure.

b. Your Business Personal Property

consists of the following property located in or on the building or structure described in the Declarations or in the open (or in a vehicle) within 100 feet of the building or structure or within 100 feet of the premises described in the Declarations, whichever distance is greater:

- (1) Furniture and fixtures;
- (2) Machinery and equipment;
- (3) "Stock";
- (4) All other personal property owned by you and used in your business;
- (5) Labor, materials or services furnished or arranged by you on personal property of others;
- (6) Your use interest as tenant in improvements and betterments. Improvements and betterments are fixtures, alterations, installations or additions:
 - (a) Made a part of the building or structure you occupy but do not own; and
 - (b) You acquired or made at your expense but cannot legally remove;
- (7) Leased personal property for which you have a contractual responsibility to insure, unless otherwise provided for under Personal Property Of Others.

c. Personal Property Of Others that is:

- (1) In your care, custody or control; and
- (2) Located in or on the building or structure described in the Declarations or in the open (or in a vehicle) within 100 feet of the building or structure or within 100 feet of the premises described in the Declarations, whichever distance is greater.

However, our payment for loss of or damage to personal property of others will only be for the account of the owner of the property.

2. Property Not Covered

Covered Property does not include:

- a. Accounts, bills, currency, food stamps or other evidences of debt, money, notes or securities. Lottery tickets held for sale are not securities;
- b. Animals, unless owned by others and boarded by you, or if owned by you, only as "stock" while inside of buildings;
- c. Automobiles held for sale;
- d. Bridges, roadways, walks, patios or other paved surfaces;
- e. Contraband, or property in the course of illegal transportation or trade;
- f. The cost of excavations, grading, backfilling or filling;
- g. Foundations of buildings, structures, machinery or boilers if their foundations are below:
 - (1) The lowest basement floor; or
 - (2) The surface of the ground, if there is no basement;
- h. Land (including land on which the property is located), water, growing crops or lawns (other than lawns which are part of a vegetated roof);
- i. Personal property while airborne or waterborne;
- j. Bulkheads, pilings, piers, wharves or docks;
- k. Property that is covered under another coverage form of this or any other policy in which it is more specifically described, except for the excess of the amount due (whether you can collect on it or not) from that other insurance;
- l. Retaining walls that are not part of a building;
- m. Underground pipes, flues or drains;
- n. Electronic data, except as provided under the Additional Coverage, Electronic Data. Electronic data means information, facts or computer programs stored as or on, created or used on, or transmitted to or from computer software (including systems and applications software), on hard or floppy disks, CD-ROMs, tapes, drives, cells, data processing devices or any other repositories of computer software which are used with electronically controlled equipment. The term computer programs, referred to in the foregoing description of electronic data, means a set of related electronic instructions which direct the operations and functions of a computer or device connected to it, which enable the computer or device to receive, process, store, retrieve or send data. This paragraph, **n.**, does not apply to your "stock" of prepackaged software, or to electronic data which is integrated in and operates or controls the building's elevator, lighting, heating, ventilation, air conditioning or security system;
- o. The cost to replace or restore the information on valuable papers and records, including those which exist as electronic data. Valuable papers and records include but are not limited to proprietary information, books of account, deeds, manuscripts, abstracts, drawings and card index systems. Refer to the Coverage Extension for Valuable Papers And Records (Other Than Electronic Data) for limited coverage for valuable papers and records other than those which exist as electronic data;
- p. Vehicles or self-propelled machines (including aircraft or watercraft) that:
 - (1) Are licensed for use on public roads; or
 - (2) Are operated principally away from the described premises.

This paragraph does not apply to:

 - (a) Vehicles or self-propelled machines or autos you manufacture, process or warehouse;

- (b) Vehicles or self-propelled machines, other than autos, you hold for sale;
 - (c) Rowboats or canoes out of water at the described premises; or
 - (d) Trailers, but only to the extent provided for in the Coverage Extension for Non-owned Detached Trailers; or
- q. The following property while outside of buildings:
- (1) Grain, hay, straw or other crops;
 - (2) Fences, radio or television antennas (including satellite dishes) and their lead-in wiring, masts or towers, trees, shrubs or plants (other than trees, shrubs or plants which are "stock" or are part of a vegetated roof), all except as provided in the Coverage Extensions.

3. Covered Causes Of Loss

See applicable Causes Of Loss form as shown in the Declarations.

4. Additional Coverages

a. Debris Removal

- (1) Subject to Paragraphs (2), (3) and (4), we will pay your expense to remove debris of Covered Property and other debris that is on the described premises, when such debris is caused by or results from a Covered Cause of Loss that occurs during the policy period. The expenses will be paid only if they are reported to us in writing within 180 days of the date of direct physical loss or damage.
 - (2) Debris Removal does not apply to costs to:
 - (a) Remove debris of property of yours that is not insured under this policy, or property in your possession that is not Covered Property;
 - (b) Remove debris of property owned by or leased to the landlord of the building where your described premises are located, unless you have a contractual responsibility to insure such property and it is insured under this policy;
 - (c) Remove any property that is Property Not Covered, including property addressed under the Outdoor Property Coverage Extension;
 - (d) Remove property of others of a type that would not be Covered Property under this Coverage Form;
 - (e) Remove deposits of mud or earth from the grounds of the described premises;
 - (f) Extract "pollutants" from land or water; or
 - (g) Remove, restore or replace polluted land or water.
- (3) Subject to the exceptions in Paragraph (4), the following provisions apply:
- (a) The most we will pay for the total of direct physical loss or damage plus debris removal expense is the Limit of Insurance applicable to the Covered Property that has sustained loss or damage.
 - (b) Subject to (a) above, the amount we will pay for debris removal expense is limited to 25% of the sum of the deductible plus the amount that we pay for direct physical loss or damage to the Covered Property that has sustained loss or damage. However, if no Covered Property has sustained direct physical loss or damage, the most we will pay for removal of debris of other property (if such removal is covered under this Additional Coverage) is \$5,000 at each location.
- (4) We will pay up to an additional \$25,000 for debris removal expense, for each location, in any one occurrence of physical loss or damage to Covered Property, if one or both of the following circumstances apply:
- (a) The total of the actual debris removal expense plus the amount we pay for direct physical loss or damage exceeds the Limit of Insurance on the Covered Property that has sustained loss or damage.
 - (b) The actual debris removal expense exceeds 25% of the sum of the deductible plus the amount that we pay for direct physical loss or damage to the Covered Property that has sustained loss or damage.

Therefore, if **(4)(a)** and/or **(4)(b)** applies, our total payment for direct physical loss or damage and debris removal expense may reach but will never exceed the Limit of Insurance on the Covered Property that has sustained loss or damage, plus \$25,000.

(5) Examples

The following examples assume that there is no Coinsurance penalty.

Example 1

Limit of Insurance:	\$ 90,000
Amount of Deductible:	\$ 500
Amount of Loss:	\$ 50,000
Amount of Loss Payable:	\$ 49,500
	(\$50,000 – \$500)
Debris Removal Expense:	\$ 10,000
Debris Removal Expense Payable:	\$ 10,000
	(\$10,000 is 20% of \$50,000.)

The debris removal expense is less than 25% of the sum of the loss payable plus the deductible. The sum of the loss payable and the debris removal expense (\$49,500 + \$10,000 = \$59,500) is less than the Limit of Insurance. Therefore, the full amount of debris removal expense is payable in accordance with the terms of Paragraph **(3)**.

Example 2

Limit of Insurance:	\$ 90,000
Amount of Deductible:	\$ 500
Amount of Loss:	\$ 80,000
Amount of Loss Payable:	\$ 79,500
	(\$80,000 – \$500)
Debris Removal Expense:	\$ 40,000
Debris Removal Expense Payable	
Basic Amount:	\$ 10,500
Additional Amount:	\$ 25,000

The basic amount payable for debris removal expense under the terms of Paragraph **(3)** is calculated as follows: \$80,000 (\$79,500 + \$500) x .25 = \$20,000, capped at \$10,500. The cap applies because the sum of the loss payable (\$79,500) and the basic amount payable for debris removal expense (\$10,500) cannot exceed the Limit of Insurance (\$90,000).

The additional amount payable for debris removal expense is provided in accordance with the terms of Paragraph **(4)**, because the debris removal expense (\$40,000) exceeds 25% of the loss payable plus the deductible (\$40,000 is 50% of \$80,000), and because the sum of the loss payable and debris removal expense (\$79,500 + \$40,000 = \$119,500) would exceed the Limit of Insurance (\$90,000). The additional amount of covered debris removal expense is \$25,000, the maximum payable under Paragraph **(4)**. Thus, the total payable for debris removal expense in this example is \$35,500; \$4,500 of the debris removal expense is not covered.

b. Preservation Of Property

If it is necessary to move Covered Property from the described premises to preserve it from loss or damage by a Covered Cause of Loss, we will pay for any direct physical loss or damage to that property:

- (1)** While it is being moved or while temporarily stored at another location; and
- (2)** Only if the loss or damage occurs within 30 days after the property is first moved.

c. Fire Department Service Charge

When the fire department is called to save or protect Covered Property from a Covered Cause of Loss, we will pay up to \$1,000 for service at each premises described in the Declarations, unless a higher limit is shown in the Declarations. Such limit is the most we will pay regardless of the number of responding fire departments or fire units, and regardless of the number or type of services performed.

This Additional Coverage applies to your liability for fire department service charges:

- (1)** Assumed by contract or agreement prior to loss; or
- (2)** Required by local ordinance.

No Deductible applies to this Additional Coverage.

d. Pollutant Clean-up And Removal

We will pay your expense to extract "pollutants" from land or water at the described premises if the discharge, dispersal, seepage, migration, release or escape of the "pollutants" is caused by or results from a Covered Cause of Loss that occurs during the policy period. The expenses will be paid only if they are reported to us in writing within 180 days of the date on which the Covered Cause of Loss occurs.

This Additional Coverage does not apply to costs to test for, monitor or assess the existence, concentration or effects of "pollutants". But we will pay for testing which is performed in the course of extracting the "pollutants" from the land or water.

The most we will pay under this Additional Coverage for each described premises is \$10,000 for the sum of all covered expenses arising out of Covered Causes of Loss occurring during each separate 12-month period of this policy.

e. Increased Cost Of Construction

- (1) This Additional Coverage applies only to buildings to which the Replacement Cost Optional Coverage applies.
- (2) In the event of damage by a Covered Cause of Loss to a building that is Covered Property, we will pay the increased costs incurred to comply with the minimum standards of an ordinance or law in the course of repair, rebuilding or replacement of damaged parts of that property, subject to the limitations stated in **e.(3)** through **e.(9)** of this Additional Coverage.
- (3) The ordinance or law referred to in **e.(2)** of this Additional Coverage is an ordinance or law that regulates the construction or repair of buildings or establishes zoning or land use requirements at the described premises and is in force at the time of loss.
- (4) Under this Additional Coverage, we will not pay any costs due to an ordinance or law that:
 - (a) You were required to comply with before the loss, even when the building was undamaged; and
 - (b) You failed to comply with.

- (5) Under this Additional Coverage, we will not pay for:

- (a) The enforcement of or compliance with any ordinance or law which requires demolition, repair, replacement, reconstruction, remodeling or remediation of property due to contamination by "pollutants" or due to the presence, growth, proliferation, spread or any activity of "fungus", wet or dry rot or bacteria; or
- (b) Any costs associated with the enforcement of or compliance with an ordinance or law which requires any insured or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of "pollutants", "fungus", wet or dry rot or bacteria.

- (6) The most we will pay under this Additional Coverage, for each described building insured under this Coverage Form, is \$10,000 or 5% of the Limit of Insurance applicable to that building, whichever is less. If a damaged building is covered under a blanket Limit of Insurance which applies to more than one building or item of property, then the most we will pay under this Additional Coverage, for that damaged building, is the lesser of \$10,000 or 5% times the value of the damaged building as of the time of loss times the applicable Coinsurance percentage.

The amount payable under this Additional Coverage is additional insurance.

- (7) With respect to this Additional Coverage:

- (a) We will not pay for the Increased Cost of Construction:
 - (i) Until the property is actually repaired or replaced at the same or another premises; and
 - (ii) Unless the repair or replacement is made as soon as reasonably possible after the loss or damage, not to exceed two years. We may extend this period in writing during the two years.

- (b) If the building is repaired or replaced at the same premises, or if you elect to rebuild at another premises, the most we will pay for the Increased Cost of Construction, subject to the provisions of **e.(6)** of this Additional Coverage, is the increased cost of construction at the same premises.
- (c) If the ordinance or law requires relocation to another premises, the most we will pay for the Increased Cost of Construction, subject to the provisions of **e.(6)** of this Additional Coverage, is the increased cost of construction at the new premises.
- (8) This Additional Coverage is not subject to the terms of the Ordinance Or Law Exclusion to the extent that such Exclusion would conflict with the provisions of this Additional Coverage.
- (9) The costs addressed in the Loss Payment and Valuation Conditions and the Replacement Cost Optional Coverage, in this Coverage Form, do not include the increased cost attributable to enforcement of or compliance with an ordinance or law. The amount payable under this Additional Coverage, as stated in **e.(6)** of this Additional Coverage, is not subject to such limitation.

f. Electronic Data

- (1) Under this Additional Coverage, electronic data has the meaning described under Property Not Covered, Electronic Data. This Additional Coverage does not apply to your "stock" of prepackaged software, or to electronic data which is integrated in and operates or controls the building's elevator, lighting, heating, ventilation, air conditioning or security system.
- (2) Subject to the provisions of this Additional Coverage, we will pay for the cost to replace or restore electronic data which has been destroyed or corrupted by a Covered Cause of Loss. To the extent that electronic data is not replaced or restored, the loss will be valued at the cost of replacement of the media on which the electronic data was stored, with blank media of substantially identical type.

- (3) The Covered Causes of Loss applicable to Your Business Personal Property apply to this Additional Coverage, Electronic Data, subject to the following:

- (a) If the Causes Of Loss – Special Form applies, coverage under this Additional Coverage, Electronic Data, is limited to the "specified causes of loss" as defined in that form and Collapse as set forth in that form.
- (b) If the Causes Of Loss – Broad Form applies, coverage under this Additional Coverage, Electronic Data, includes Collapse as set forth in that form.
- (c) If the Causes Of Loss form is endorsed to add a Covered Cause of Loss, the additional Covered Cause of Loss does not apply to the coverage provided under this Additional Coverage, Electronic Data.
- (d) The Covered Causes of Loss include a virus, harmful code or similar instruction introduced into or enacted on a computer system (including electronic data) or a network to which it is connected, designed to damage or destroy any part of the system or disrupt its normal operation. But there is no coverage for loss or damage caused by or resulting from manipulation of a computer system (including electronic data) by any employee, including a temporary or leased employee, or by an entity retained by you or for you to inspect, design, install, modify, maintain, repair or replace that system.

- (4) The most we will pay under this Additional Coverage, Electronic Data, is \$2,500 (unless a higher limit is shown in the Declarations) for all loss or damage sustained in any one policy year, regardless of the number of occurrences of loss or damage or the number of premises, locations or computer systems involved. If loss payment on the first occurrence does not exhaust this amount, then the balance is available for subsequent loss or damage sustained in but not after that policy year. With respect to an occurrence which begins in one policy year and continues or results in additional loss or damage in a subsequent policy year(s), all loss or damage is deemed to be sustained in the policy year in which the occurrence began.

5. Coverage Extensions

Except as otherwise provided, the following Extensions apply to property located in or on the building described in the Declarations or in the open (or in a vehicle) within 100 feet of the described premises.

If a Coinsurance percentage of 80% or more, or a Value Reporting period symbol, is shown in the Declarations, you may extend the insurance provided by this Coverage Part as follows:

a. Newly Acquired Or Constructed Property

(1) Buildings

If this policy covers Building, you may extend that insurance to apply to:

- (a) Your new buildings while being built on the described premises; and
- (b) Buildings you acquire at locations, other than the described premises, intended for:
 - (i) Similar use as the building described in the Declarations; or
 - (ii) Use as a warehouse.

The most we will pay for loss or damage under this Extension is \$250,000 at each building.

(2) Your Business Personal Property

- (a) If this policy covers Your Business Personal Property, you may extend that insurance to apply to:
 - (i) Business personal property, including such property that you newly acquire, at any location you acquire other than at fairs, trade shows or exhibitions; or
 - (ii) Business personal property, including such property that you newly acquire, located at your newly constructed or acquired buildings at the location described in the Declarations.

The most we will pay for loss or damage under this Extension is \$100,000 at each building.

- (b) This Extension does not apply to:
 - (i) Personal property of others that is temporarily in your possession in the course of installing or performing work on such property; or
 - (ii) Personal property of others that is temporarily in your possession in the course of your manufacturing or wholesaling activities.

(3) Period Of Coverage

With respect to insurance provided under this Coverage Extension for Newly Acquired Or Constructed Property, coverage will end when any of the following first occurs:

- (a) This policy expires;
- (b) 30 days expire after you acquire the property or begin construction of that part of the building that would qualify as covered property; or
- (c) You report values to us.

We will charge you additional premium for values reported from the date you acquire the property or begin construction of that part of the building that would qualify as covered property.

b. Personal Effects And Property Of Others

You may extend the insurance that applies to Your Business Personal Property to apply to:

- (1) Personal effects owned by you, your officers, your partners or members, your managers or your employees. This Extension does not apply to loss or damage by theft.
- (2) Personal property of others in your care, custody or control.

The most we will pay for loss or damage under this Extension is \$2,500 at each described premises. Our payment for loss of or damage to personal property of others will only be for the account of the owner of the property.

c. Valuable Papers And Records (Other Than Electronic Data)

- (1) You may extend the insurance that applies to Your Business Personal Property to apply to the cost to replace or restore the lost information on valuable papers and records for which duplicates do not exist. But this Extension does not apply to valuable papers and records which exist as electronic data. Electronic data has the meaning described under Property Not Covered, Electronic Data.
- (2) If the Causes Of Loss – Special Form applies, coverage under this Extension is limited to the "specified causes of loss" as defined in that form and Collapse as set forth in that form.
- (3) If the Causes Of Loss – Broad Form applies, coverage under this Extension includes Collapse as set forth in that form.
- (4) Under this Extension, the most we will pay to replace or restore the lost information is \$2,500 at each described premises, unless a higher limit is shown in the Declarations. Such amount is additional insurance. We will also pay for the cost of blank material for reproducing the records (whether or not duplicates exist) and (when there is a duplicate) for the cost of labor to transcribe or copy the records. The costs of blank material and labor are subject to the applicable Limit of Insurance on Your Business Personal Property and, therefore, coverage of such costs is not additional insurance.

d. Property Off-premises

- (1) You may extend the insurance provided by this Coverage Form to apply to your Covered Property while it is away from the described premises, if it is:
 - (a) Temporarily at a location you do not own, lease or operate;
 - (b) In storage at a location you lease, provided the lease was executed after the beginning of the current policy term; or
 - (c) At any fair, trade show or exhibition.
- (2) This Extension does not apply to property:
 - (a) In or on a vehicle; or
 - (b) In the care, custody or control of your salespersons, unless the property is in such care, custody or control at a fair, trade show or exhibition.
- (3) The most we will pay for loss or damage under this Extension is \$10,000.

e. Outdoor Property

You may extend the insurance provided by this Coverage Form to apply to your outdoor fences, radio and television antennas (including satellite dishes), trees, shrubs and plants (other than trees, shrubs or plants which are "stock" or are part of a vegetated roof), including debris removal expense, caused by or resulting from any of the following causes of loss if they are Covered Causes of Loss:

- (1) Fire;
- (2) Lightning;
- (3) Explosion;
- (4) Riot or Civil Commotion; or
- (5) Aircraft.

The most we will pay for loss or damage under this Extension is \$1,000, but not more than \$250 for any one tree, shrub or plant. These limits apply to any one occurrence, regardless of the types or number of items lost or damaged in that occurrence.

Subject to all aforementioned terms and limitations of coverage, this Coverage Extension includes the expense of removing from the described premises the debris of trees, shrubs and plants which are the property of others, except in the situation in which you are a tenant and such property is owned by the landlord of the described premises.

f. Non-owned Detached Trailers

- (1) You may extend the insurance that applies to Your Business Personal Property to apply to loss or damage to trailers that you do not own, provided that:
 - (a) The trailer is used in your business;
 - (b) The trailer is in your care, custody or control at the premises described in the Declarations; and
 - (c) You have a contractual responsibility to pay for loss or damage to the trailer.
- (2) We will not pay for any loss or damage that occurs:
 - (a) While the trailer is attached to any motor vehicle or motorized conveyance, whether or not the motor vehicle or motorized conveyance is in motion;
 - (b) During hitching or unhitching operations, or when a trailer becomes accidentally unhitched from a motor vehicle or motorized conveyance.
- (3) The most we will pay for loss or damage under this Extension is \$5,000, unless a higher limit is shown in the Declarations.
- (4) This insurance is excess over the amount due (whether you can collect on it or not) from any other insurance covering such property.

g. Business Personal Property Temporarily In Portable Storage Units

- (1) You may extend the insurance that applies to Your Business Personal Property to apply to such property while temporarily stored in a portable storage unit (including a detached trailer) located within 100 feet of the building or structure described in the Declarations or within 100 feet of the premises described in the Declarations, whichever distance is greater.

- (2) If the applicable Covered Causes of Loss form or endorsement contains a limitation or exclusion concerning loss or damage from sand, dust, sleet, snow, ice or rain to property in a structure, such limitation or exclusion also applies to property in a portable storage unit.
- (3) Coverage under this Extension:
 - (a) Will end 90 days after the business personal property has been placed in the storage unit;
 - (b) Does not apply if the storage unit itself has been in use at the described premises for more than 90 consecutive days, even if the business personal property has been stored there for 90 or fewer days as of the time of loss or damage.
- (4) Under this Extension, the most we will pay for the total of all loss or damage to business personal property is \$10,000 (unless a higher limit is indicated in the Declarations for such Extension) regardless of the number of storage units. Such limit is part of, not in addition to, the applicable Limit of Insurance on Your Business Personal Property. Therefore, payment under this Extension will not increase the applicable Limit of Insurance on Your Business Personal Property.
- (5) This Extension does not apply to loss or damage otherwise covered under this Coverage Form or any endorsement to this Coverage Form or policy, and does not apply to loss or damage to the storage unit itself.

Each of these Extensions is additional insurance unless otherwise indicated. The Additional Condition, Coinsurance, does not apply to these Extensions.

B. Exclusions And Limitations

See applicable Causes Of Loss form as shown in the Declarations.

C. Limits Of Insurance

The most we will pay for loss or damage in any one occurrence is the applicable Limit Of Insurance shown in the Declarations.

The most we will pay for loss or damage to outdoor signs, whether or not the sign is attached to a building, is \$2,500 per sign in any one occurrence.

The amounts of insurance stated in the following Additional Coverages apply in accordance with the terms of such coverages and are separate from the Limit(s) Of Insurance shown in the Declarations for any other coverage:

1. Fire Department Service Charge;
2. Pollutant Clean-up And Removal;
3. Increased Cost Of Construction; and
4. Electronic Data.

Payments under the Preservation Of Property Additional Coverage will not increase the applicable Limit of Insurance.

D. Deductible

In any one occurrence of loss or damage (hereinafter referred to as loss), we will first reduce the amount of loss if required by the Coinsurance Condition or the Agreed Value Optional Coverage. If the adjusted amount of loss is less than or equal to the Deductible, we will not pay for that loss. If the adjusted amount of loss exceeds the Deductible, we will then subtract the Deductible from the adjusted amount of loss and will pay the resulting amount or the Limit of Insurance, whichever is less.

When the occurrence involves loss to more than one item of Covered Property and separate Limits of Insurance apply, the losses will not be combined in determining application of the Deductible. But the Deductible will be applied only once per occurrence.

Example 1

(This example assumes there is no Coinsurance penalty.)

Deductible:	\$ 250
Limit of Insurance – Building 1:	\$ 60,000
Limit of Insurance – Building 2:	\$ 80,000
Loss to Building 1:	\$ 60,100
Loss to Building 2:	\$ 90,000

The amount of loss to Building 1 (\$60,100) is less than the sum (\$60,250) of the Limit of Insurance applicable to Building 1 plus the Deductible.

The Deductible will be subtracted from the amount of loss in calculating the loss payable for Building 1:

\$ 60,100
<u>– 250</u>
\$ 59,850 Loss Payable – Building 1

The Deductible applies once per occurrence and therefore is not subtracted in determining the amount of loss payable for Building 2. Loss payable for Building 2 is the Limit of Insurance of \$80,000.

Total amount of loss payable:

$$\$59,850 + \$80,000 = \$139,850$$

Example 2

(This example, too, assumes there is no Coinsurance penalty.)

The Deductible and Limits of Insurance are the same as those in Example 1.

Loss to Building 1:	\$ 70,000
(Exceeds Limit of Insurance plus Deductible)	
Loss to Building 2:	\$ 90,000
(Exceeds Limit of Insurance plus Deductible)	
Loss Payable – Building 1:	\$ 60,000
(Limit of Insurance)	
Loss Payable – Building 2:	\$ 80,000
(Limit of Insurance)	
Total amount of loss payable:	\$ 140,000

E. Loss Conditions

The following conditions apply in addition to the Common Policy Conditions and the Commercial Property Conditions:

1. Abandonment

There can be no abandonment of any property to us.

2. Appraisal

If we and you disagree on the value of the property or the amount of loss, either may make written demand for an appraisal of the loss. In this event, each party will select a competent and impartial appraiser. The two appraisers will select an umpire. If they cannot agree, either may request that selection be made by a judge of a court having jurisdiction. The appraisers will state separately the value of the property and amount of loss. If they fail to agree, they will submit their differences to the umpire. A decision agreed to by any two will be binding. Each party will:

- a. Pay its chosen appraiser; and
- b. Bear the other expenses of the appraisal and umpire equally.

If there is an appraisal, we will still retain our right to deny the claim.

3. Duties In The Event Of Loss Or Damage

- a. You must see that the following are done in the event of loss or damage to Covered Property:

- (1) Notify the police if a law may have been broken.

- (2) Give us prompt notice of the loss or damage. Include a description of the property involved.
 - (3) As soon as possible, give us a description of how, when and where the loss or damage occurred.
 - (4) Take all reasonable steps to protect the Covered Property from further damage, and keep a record of your expenses necessary to protect the Covered Property, for consideration in the settlement of the claim. This will not increase the Limit of Insurance. However, we will not pay for any subsequent loss or damage resulting from a cause of loss that is not a Covered Cause of Loss. Also, if feasible, set the damaged property aside and in the best possible order for examination.
 - (5) At our request, give us complete inventories of the damaged and undamaged property. Include quantities, costs, values and amount of loss claimed.
 - (6) As often as may be reasonably required, permit us to inspect the property proving the loss or damage and examine your books and records.

Also, permit us to take samples of damaged and undamaged property for inspection, testing and analysis, and permit us to make copies from your books and records.
 - (7) Send us a signed, sworn proof of loss containing the information we request to investigate the claim. You must do this within 60 days after our request. We will supply you with the necessary forms.
 - (8) Cooperate with us in the investigation or settlement of the claim.
- b. We may examine any insured under oath, while not in the presence of any other insured and at such times as may be reasonably required, about any matter relating to this insurance or the claim, including an insured's books and records. In the event of an examination, an insured's answers must be signed.

4. Loss Payment

- a. In the event of loss or damage covered by this Coverage Form, at our option, we will either:
 - (1) Pay the value of lost or damaged property;
 - (2) Pay the cost of repairing or replacing the lost or damaged property, subject to **b.** below;
 - (3) Take all or any part of the property at an agreed or appraised value; or
 - (4) Repair, rebuild or replace the property with other property of like kind and quality, subject to **b.** below.

We will determine the value of lost or damaged property, or the cost of its repair or replacement, in accordance with the applicable terms of the Valuation Condition in this Coverage Form or any applicable provision which amends or supersedes the Valuation Condition.
- b. The cost to repair, rebuild or replace does not include the increased cost attributable to enforcement of or compliance with any ordinance or law regulating the construction, use or repair of any property.
- c. We will give notice of our intentions within 30 days after we receive the sworn proof of loss.
- d. We will not pay you more than your financial interest in the Covered Property.
- e. We may adjust losses with the owners of lost or damaged property if other than you. If we pay the owners, such payments will satisfy your claims against us for the owners' property. We will not pay the owners more than their financial interest in the Covered Property.
- f. We may elect to defend you against suits arising from claims of owners of property. We will do this at our expense.
- g. We will pay for covered loss or damage within 30 days after we receive the sworn proof of loss, if you have complied with all of the terms of this Coverage Part, and:
 - (1) We have reached agreement with you on the amount of loss; or
 - (2) An appraisal award has been made.

- h.** A party wall is a wall that separates and is common to adjoining buildings that are owned by different parties. In settling covered losses involving a party wall, we will pay a proportion of the loss to the party wall based on your interest in the wall in proportion to the interest of the owner of the adjoining building. However, if you elect to repair or replace your building and the owner of the adjoining building elects not to repair or replace that building, we will pay you the full value of the loss to the party wall, subject to all applicable policy provisions including Limits of Insurance, the Valuation and Coinsurance Conditions and all other provisions of this Loss Payment Condition. Our payment under the provisions of this paragraph does not alter any right of subrogation we may have against any entity, including the owner or insurer of the adjoining building, and does not alter the terms of the Transfer Of Rights Of Recovery Against Others To Us Condition in this policy.

5. Recovered Property

If either you or we recover any property after loss settlement, that party must give the other prompt notice. At your option, the property will be returned to you. You must then return to us the amount we paid to you for the property. We will pay recovery expenses and the expenses to repair the recovered property, subject to the Limit of Insurance.

6. Vacancy

a. Description Of Terms

- (1)** As used in this Vacancy Condition, the term building and the term vacant have the meanings set forth in **(1)(a)** and **(1)(b)** below:
- (a)** When this policy is issued to a tenant, and with respect to that tenant's interest in Covered Property, building means the unit or suite rented or leased to the tenant. Such building is vacant when it does not contain enough business personal property to conduct customary operations.

- (b)** When this policy is issued to the owner or general lessee of a building, building means the entire building. Such building is vacant unless at least 31% of its total square footage is:

- (i)** Rented to a lessee or sublessee and used by the lessee or sublessee to conduct its customary operations; and/or
- (ii)** Used by the building owner to conduct customary operations.

- (2)** Buildings under construction or renovation are not considered vacant.

b. Vacancy Provisions

If the building where loss or damage occurs has been vacant for more than 60 consecutive days before that loss or damage occurs:

- (1)** We will not pay for any loss or damage caused by any of the following, even if they are Covered Causes of Loss:
- (a)** Vandalism;
 - (b)** Sprinkler leakage, unless you have protected the system against freezing;
 - (c)** Building glass breakage;
 - (d)** Water damage;
 - (e)** Theft; or
 - (f)** Attempted theft.
- (2)** With respect to Covered Causes of Loss other than those listed in **b.(1)(a)** through **b.(1)(f)** above, we will reduce the amount we would otherwise pay for the loss or damage by 15%.

7. Valuation

We will determine the value of Covered Property in the event of loss or damage as follows:

- a.** At actual cash value as of the time of loss or damage, except as provided in **b.**, **c.**, **d.** and **e.** below.
- b.** If the Limit of Insurance for Building satisfies the Additional Condition, Coinsurance, and the cost to repair or replace the damaged building property is \$2,500 or less, we will pay the cost of building repairs or replacement.

The cost of building repairs or replacement does not include the increased cost attributable to enforcement of or compliance with any ordinance or law regulating the construction, use or repair of any property.

However, the following property will be valued at the actual cash value, even when attached to the building:

- (1) Awnings or floor coverings;
- (2) Appliances for refrigerating, ventilating, cooking, dishwashing or laundering; or
- (3) Outdoor equipment or furniture.
- c. "Stock" you have sold but not delivered at the selling price less discounts and expenses you otherwise would have had.
- d. Glass at the cost of replacement with safety-glazing material if required by law.
- e. Tenants' Improvements and Betterments at:
 - (1) Actual cash value of the lost or damaged property if you make repairs promptly.
 - (2) A proportion of your original cost if you do not make repairs promptly. We will determine the proportionate value as follows:
 - (a) Multiply the original cost by the number of days from the loss or damage to the expiration of the lease; and
 - (b) Divide the amount determined in (a) above by the number of days from the installation of improvements to the expiration of the lease.

If your lease contains a renewal option, the expiration of the renewal option period will replace the expiration of the lease in this procedure.

- (3) Nothing if others pay for repairs or replacement.

F. Additional Conditions

The following conditions apply in addition to the Common Policy Conditions and the Commercial Property Conditions:

1. Coinsurance

If a Coinsurance percentage is shown in the Declarations, the following condition applies:

- a. We will not pay the full amount of any loss if the value of Covered Property at the time of loss times the Coinsurance percentage shown for it in the Declarations is greater than the Limit of Insurance for the property.

Instead, we will determine the most we will pay using the following steps:

- (1) Multiply the value of Covered Property at the time of loss by the Coinsurance percentage;
- (2) Divide the Limit of Insurance of the property by the figure determined in Step (1);
- (3) Multiply the total amount of loss, before the application of any deductible, by the figure determined in Step (2); and
- (4) Subtract the deductible from the figure determined in Step (3).

We will pay the amount determined in Step (4) or the Limit of Insurance, whichever is less. For the remainder, you will either have to rely on other insurance or absorb the loss yourself.

Example 1 (Underinsurance)

When:	The value of the property is:	\$ 250,000
	The Coinsurance percentage for it is:	80%
	The Limit of Insurance for it is:	\$ 100,000
	The Deductible is:	\$ 250
	The amount of loss is:	\$ 40,000

Step (1): $\$250,000 \times 80\% = \$200,000$
(the minimum amount of insurance to meet your Coinsurance requirements)

Step (2): $\$100,000 \div \$200,000 = .50$

Step (3): $\$40,000 \times .50 = \$20,000$

Step (4): $\$20,000 - \$250 = \$19,750$

We will pay no more than \$19,750. The remaining \$20,250 is not covered.

Example 2 (Adequate Insurance)

When:	The value of the property is:	\$ 250,000
	The Coinsurance percentage for it is:	80%
	The Limit of Insurance for it is:	\$ 200,000
	The Deductible is:	\$ 250
	The amount of loss is:	\$ 40,000

The minimum amount of insurance to meet your Coinsurance requirement is \$200,000 ($\$250,000 \times 80\%$). Therefore, the Limit of Insurance in this example is adequate, and no penalty applies. We will pay no more than \$39,750 (\$40,000 amount of loss minus the deductible of \$250).

- b. If one Limit of Insurance applies to two or more separate items, this condition will apply to the total of all property to which the limit applies.

Example 3

When: The value of the property is:

Building at Location 1:	\$ 75,000
Building at Location 2:	\$ 100,000
Personal Property at Location 2:	<u>\$ 75,000</u>
	\$ 250,000

The Coinsurance percentage for it is: 90%

The Limit of Insurance for Buildings and Personal Property at Locations 1 and 2 is: \$ 180,000

The Deductible is: \$ 1,000

The amount of loss is:

Building at Location 2: \$ 30,000

Personal Property at Location 2:	<u>\$ 20,000</u>
	\$ 50,000

Step (1): $\$250,000 \times 90\% = \$225,000$
(the minimum amount of insurance to meet your Coinsurance requirements and to avoid the penalty shown below)

Step (2): $\$180,000 \div \$225,000 = .80$

Step (3): $\$50,000 \times .80 = \$40,000$

Step (4): $\$40,000 - \$1,000 = \$39,000$

We will pay no more than \$39,000. The remaining \$11,000 is not covered.

2. Mortgageholders

- The term mortgageholder includes trustee.
- We will pay for covered loss of or damage to buildings or structures to each mortgageholder shown in the Declarations in their order of precedence, as interests may appear.
- The mortgageholder has the right to receive loss payment even if the mortgageholder has started foreclosure or similar action on the building or structure.
- If we deny your claim because of your acts or because you have failed to comply with the terms of this Coverage Part, the mortgageholder will still have the right to receive loss payment if the mortgageholder:
 - Pays any premium due under this Coverage Part at our request if you have failed to do so;

- Submits a signed, sworn proof of loss within 60 days after receiving notice from us of your failure to do so; and

- Has notified us of any change in ownership, occupancy or substantial change in risk known to the mortgageholder.

All of the terms of this Coverage Part will then apply directly to the mortgageholder.

- e. If we pay the mortgageholder for any loss or damage and deny payment to you because of your acts or because you have failed to comply with the terms of this Coverage Part:

- The mortgageholder's rights under the mortgage will be transferred to us to the extent of the amount we pay; and

- The mortgageholder's right to recover the full amount of the mortgageholder's claim will not be impaired.

At our option, we may pay to the mortgageholder the whole principal on the mortgage plus any accrued interest. In this event, your mortgage and note will be transferred to us and you will pay your remaining mortgage debt to us.

- f. If we cancel this policy, we will give written notice to the mortgageholder at least:

- 10 days before the effective date of cancellation if we cancel for your nonpayment of premium; or

- 30 days before the effective date of cancellation if we cancel for any other reason.

- g. If we elect not to renew this policy, we will give written notice to the mortgageholder at least 10 days before the expiration date of this policy.

G. Optional Coverages

If shown as applicable in the Declarations, the following Optional Coverages apply separately to each item:

1. Agreed Value

- The Additional Condition, Coinsurance, does not apply to Covered Property to which this Optional Coverage applies. We will pay no more for loss of or damage to that property than the proportion that the Limit of Insurance under this Coverage Part for the property bears to the Agreed Value shown for it in the Declarations.

- b. If the expiration date for this Optional Coverage shown in the Declarations is not extended, the Additional Condition, Coinsurance, is reinstated and this Optional Coverage expires.
- c. The terms of this Optional Coverage apply only to loss or damage that occurs:
 - (1) On or after the effective date of this Optional Coverage; and
 - (2) Before the Agreed Value expiration date shown in the Declarations or the policy expiration date, whichever occurs first.

2. Inflation Guard

- a. The Limit of Insurance for property to which this Optional Coverage applies will automatically increase by the annual percentage shown in the Declarations.
- b. The amount of increase will be:
 - (1) The Limit of Insurance that applied on the most recent of the policy inception date, the policy anniversary date, or any other policy change amending the Limit of Insurance, times
 - (2) The percentage of annual increase shown in the Declarations, expressed as a decimal (example: 8% is .08), times
 - (3) The number of days since the beginning of the current policy year or the effective date of the most recent policy change amending the Limit of Insurance, divided by 365.

Example

If: The applicable Limit of Insurance is: \$ 100,000
 The annual percentage increase is: 8%
 The number of days since the beginning of the policy year (or last policy change) is: 146
 The amount of increase is:
 $\$100,000 \times .08 \times 146 \div 365 =$ \$ 3,200

3. Replacement Cost

- a. Replacement Cost (without deduction for depreciation) replaces Actual Cash Value in the Valuation Loss Condition of this Coverage Form.
- b. This Optional Coverage does not apply to:
 - (1) Personal property of others;
 - (2) Contents of a residence;
 - (3) Works of art, antiques or rare articles, including etchings, pictures, statuary, marbles, bronzes, porcelains and bric-a-brac; or

- (4) "Stock", unless the Including "Stock" option is shown in the Declarations.

Under the terms of this Replacement Cost Optional Coverage, tenants' improvements and betterments are not considered to be the personal property of others.

- c. You may make a claim for loss or damage covered by this insurance on an actual cash value basis instead of on a replacement cost basis. In the event you elect to have loss or damage settled on an actual cash value basis, you may still make a claim for the additional coverage this Optional Coverage provides if you notify us of your intent to do so within 180 days after the loss or damage.
- d. We will not pay on a replacement cost basis for any loss or damage:
 - (1) Until the lost or damaged property is actually repaired or replaced; and
 - (2) Unless the repair or replacement is made as soon as reasonably possible after the loss or damage.

With respect to tenants' improvements and betterments, the following also apply:

- (3) If the conditions in d.(1) and d.(2) above are not met, the value of tenants' improvements and betterments will be determined as a proportion of your original cost, as set forth in the Valuation Loss Condition of this Coverage Form; and
- (4) We will not pay for loss or damage to tenants' improvements and betterments if others pay for repairs or replacement.
- e. We will not pay more for loss or damage on a replacement cost basis than the least of (1), (2) or (3), subject to f. below:
 - (1) The Limit of Insurance applicable to the lost or damaged property;
 - (2) The cost to replace the lost or damaged property with other property:
 - (a) Of comparable material and quality; and
 - (b) Used for the same purpose; or
 - (3) The amount actually spent that is necessary to repair or replace the lost or damaged property.

If a building is rebuilt at a new premises, the cost described in e.(2) above is limited to the cost which would have been incurred if the building had been rebuilt at the original premises.

- f. The cost of repair or replacement does not include the increased cost attributable to enforcement of or compliance with any ordinance or law regulating the construction, use or repair of any property.

4. Extension Of Replacement Cost To Personal Property Of Others

- a. If the Replacement Cost Optional Coverage is shown as applicable in the Declarations, then this Extension may also be shown as applicable. If the Declarations show this Extension as applicable, then Paragraph **3.b.(1)** of the Replacement Cost Optional Coverage is deleted and all other provisions of the Replacement Cost Optional Coverage apply to replacement cost on personal property of others.
- b. With respect to replacement cost on the personal property of others, the following limitation applies:

If an item(s) of personal property of others is subject to a written contract which governs your liability for loss or damage to that item(s), then valuation of that item(s) will be based on the amount for which you are liable under such contract, but not to exceed the lesser of the replacement cost of the property or the applicable Limit of Insurance.

H. Definitions

- 1. "Fungus" means any type or form of fungus, including mold or mildew, and any mycotoxins, spores, scents or by-products produced or released by fungi.
- 2. "Pollutants" means any solid, liquid, gaseous or thermal irritant or contaminant, including smoke, vapor, soot, fumes, acids, alkalis, chemicals and waste. Waste includes materials to be recycled, reconditioned or reclaimed.
- 3. "Stock" means merchandise held in storage or for sale, raw materials and in-process or finished goods, including supplies used in their packing or shipping.

COMMERCIAL PROPERTY
CP 00 30 10 12

BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM

Various provisions in this policy restrict coverage. Read the entire policy carefully to determine rights, duties and what is and is not covered.

Throughout this policy, the words "you" and "your" refer to the Named Insured shown in the Declarations. The words "we", "us" and "our" refer to the company providing this insurance.

Other words and phrases that appear in quotation marks have special meaning. Refer to Section F. Definitions.

A. Coverage

1. Business Income

Business Income means the:

- a. Net Income (Net Profit or Loss before income taxes) that would have been earned or incurred; and
- b. Continuing normal operating expenses incurred, including payroll.

For manufacturing risks, Net Income includes the net sales value of production.

Coverage is provided as described and limited below for one or more of the following options for which a Limit Of Insurance is shown in the Declarations:

- (1) Business Income Including "Rental Value".
- (2) Business Income Other Than "Rental Value".
- (3) "Rental Value".

If option (1) above is selected, the term Business Income will include "Rental Value". If option (3) above is selected, the term Business Income will mean "Rental Value" only.

If Limits of Insurance are shown under more than one of the above options, the provisions of this Coverage Part apply separately to each.

We will pay for the actual loss of Business Income you sustain due to the necessary "suspension" of your "operations" during the "period of restoration". The "suspension" must be caused by direct physical loss of or damage to property at premises which are described in the Declarations and for which a Business Income Limit Of Insurance is shown in the Declarations. The loss or damage must be caused by or result from a Covered Cause of Loss. With respect to loss of or damage to personal property in the open or personal property in a vehicle, the described premises include the area within 100 feet of such premises.

With respect to the requirements set forth in the preceding paragraph, if you occupy only part of a building, your premises means:

- (a) The portion of the building which you rent, lease or occupy;
- (b) The area within 100 feet of the building or within 100 feet of the premises described in the Declarations, whichever distance is greater (with respect to loss of or damage to personal property in the open or personal property in a vehicle); and
- (c) Any area within the building or at the described premises, if that area services, or is used to gain access to, the portion of the building which you rent, lease or occupy.

2. Extra Expense

- a. Extra Expense Coverage is provided at the premises described in the Declarations only if the Declarations show that Business Income Coverage applies at that premises.
- b. Extra Expense means necessary expenses you incur during the "period of restoration" that you would not have incurred if there had been no direct physical loss or damage to property caused by or resulting from a Covered Cause of Loss.

We will pay Extra Expense (other than the expense to repair or replace property) to:

- (1) Avoid or minimize the "suspension" of business and to continue operations at the described premises or at replacement premises or temporary locations, including relocation expenses and costs to equip and operate the replacement location or temporary location.

- (2) Minimize the "suspension" of business if you cannot continue "operations".

We will also pay Extra Expense to repair or replace property, but only to the extent it reduces the amount of loss that otherwise would have been payable under this Coverage Form.

3. Covered Causes Of Loss, Exclusions And Limitations

See applicable Causes Of Loss form as shown in the Declarations.

4. Additional Limitation – Interruption Of Computer Operations

- a. Coverage for Business Income does not apply when a "suspension" of "operations" is caused by destruction or corruption of electronic data, or any loss or damage to electronic data, except as provided under the Additional Coverage, Interruption Of Computer Operations.
- b. Coverage for Extra Expense does not apply when action is taken to avoid or minimize a "suspension" of "operations" caused by destruction or corruption of electronic data, or any loss or damage to electronic data, except as provided under the Additional Coverage, Interruption Of Computer Operations.
- c. Electronic data means information, facts or computer programs stored as or on, created or used on, or transmitted to or from computer software (including systems and applications software), on hard or floppy disks, CD-ROMs, tapes, drives, cells, data processing devices or any other repositories of computer software which are used with electronically controlled equipment. The term computer programs, referred to in the foregoing description of electronic data, means a set of related electronic instructions which direct the operations and functions of a computer or device connected to it, which enable the computer or device to receive, process, store, retrieve or send data.
- d. This Additional Limitation does not apply when loss or damage to electronic data involves only electronic data which is integrated in and operates or controls a building's elevator, lighting, heating, ventilation, air conditioning or security system.

5. Additional Coverages

a. Civil Authority

In this Additional Coverage, Civil Authority, the described premises are premises to which this Coverage Form applies, as shown in the Declarations.

When a Covered Cause of Loss causes damage to property other than property at the described premises, we will pay for the actual loss of Business Income you sustain and necessary Extra Expense caused by action of civil authority that prohibits access to the described premises, provided that both of the following apply:

- (1) Access to the area immediately surrounding the damaged property is prohibited by civil authority as a result of the damage, and the described premises are within that area but are not more than one mile from the damaged property; and
- (2) The action of civil authority is taken in response to dangerous physical conditions resulting from the damage or continuation of the Covered Cause of Loss that caused the damage, or the action is taken to enable a civil authority to have unimpeded access to the damaged property.

Civil Authority Coverage for Business Income will begin 72 hours after the time of the first action of civil authority that prohibits access to the described premises and will apply for a period of up to four consecutive weeks from the date on which such coverage began.

Civil Authority Coverage for Extra Expense will begin immediately after the time of the first action of civil authority that prohibits access to the described premises and will end:

- (1) Four consecutive weeks after the date of that action; or
 - (2) When your Civil Authority Coverage for Business Income ends;
- whichever is later.

b. Alterations And New Buildings

We will pay for the actual loss of Business Income you sustain and necessary Extra Expense you incur due to direct physical loss or damage at the described premises caused by or resulting from any Covered Cause of Loss to:

- (1) New buildings or structures, whether complete or under construction;
- (2) Alterations or additions to existing buildings or structures; and
- (3) Machinery, equipment, supplies or building materials located on or within 100 feet of the described premises and:
 - (a) Used in the construction, alterations or additions; or
 - (b) Incidental to the occupancy of new buildings.

If such direct physical loss or damage delays the start of "operations", the "period of restoration" for Business Income Coverage will begin on the date "operations" would have begun if the direct physical loss or damage had not occurred.

c. Extended Business Income

(1) Business Income Other Than "Rental Value"

If the necessary "suspension" of your "operations" produces a Business Income loss payable under this policy, we will pay for the actual loss of Business Income you incur during the period that:

- (a) Begins on the date property (except "finished stock") is actually repaired, rebuilt or replaced and "operations" are resumed; and
- (b) Ends on the earlier of:
 - (i) The date you could restore your "operations", with reasonable speed, to the level which would generate the business income amount that would have existed if no direct physical loss or damage had occurred; or
 - (ii) 60 consecutive days after the date determined in (1)(a) above.

However, Extended Business Income does not apply to loss of Business Income incurred as a result of unfavorable business conditions caused by the impact of the Covered Cause of Loss in the area where the described premises are located.

Loss of Business Income must be caused by direct physical loss or damage at the described premises caused by or resulting from any Covered Cause of Loss.

(2) "Rental Value"

If the necessary "suspension" of your "operations" produces a "Rental Value" loss payable under this policy, we will pay for the actual loss of "Rental Value" you incur during the period that:

- (a) Begins on the date property is actually repaired, rebuilt or replaced and tenantability is restored; and
- (b) Ends on the earlier of:
 - (i) The date you could restore tenant occupancy, with reasonable speed, to the level which would generate the "Rental Value" that would have existed if no direct physical loss or damage had occurred; or
 - (ii) 60 consecutive days after the date determined in (2)(a) above.

However, Extended Business Income does not apply to loss of "Rental Value" incurred as a result of unfavorable business conditions caused by the impact of the Covered Cause of Loss in the area where the described premises are located.

Loss of "Rental Value" must be caused by direct physical loss or damage at the described premises caused by or resulting from any Covered Cause of Loss.

d. Interruption Of Computer Operations

- (1) Under this Additional Coverage, electronic data has the meaning described under Additional Limitation – Interruption Of Computer Operations.

- (2) Subject to all provisions of this Additional Coverage, you may extend the insurance that applies to Business Income and Extra Expense to apply to a "suspension" of "operations" caused by an interruption in computer operations due to destruction or corruption of electronic data due to a Covered Cause of Loss. However, we will not provide coverage under this Additional Coverage when the Additional Limitation – Interruption Of Computer Operations does not apply based on Paragraph **A.4.d.** therein.
 - (3) With respect to the coverage provided under this Additional Coverage, the Covered Causes of Loss are subject to the following:
 - (a) If the Causes Of Loss – Special Form applies, coverage under this Additional Coverage, Interruption Of Computer Operations, is limited to the "specified causes of loss" as defined in that form and Collapse as set forth in that form.
 - (b) If the Causes Of Loss – Broad Form applies, coverage under this Additional Coverage, Interruption Of Computer Operations, includes Collapse as set forth in that form.
 - (c) If the Causes Of Loss form is endorsed to add a Covered Cause of Loss, the additional Covered Cause of Loss does not apply to the coverage provided under this Additional Coverage, Interruption Of Computer Operations.
 - (d) The Covered Causes of Loss include a virus, harmful code or similar instruction introduced into or enacted on a computer system (including electronic data) or a network to which it is connected, designed to damage or destroy any part of the system or disrupt its normal operation. But there is no coverage for an interruption related to manipulation of a computer system (including electronic data) by any employee, including a temporary or leased employee, or by an entity retained by you or for you to inspect, design, install, maintain, repair or replace that system.
 - (4) The most we will pay under this Additional Coverage, Interruption Of Computer Operations, is \$2,500 (unless a higher limit is shown in the Declarations) for all loss sustained and expense incurred in any one policy year, regardless of the number of interruptions or the number of premises, locations or computer systems involved. If loss payment relating to the first interruption does not exhaust this amount, then the balance is available for loss or expense sustained or incurred as a result of subsequent interruptions in that policy year. A balance remaining at the end of a policy year does not increase the amount of insurance in the next policy year. With respect to any interruption which begins in one policy year and continues or results in additional loss or expense in a subsequent policy year(s), all loss and expense is deemed to be sustained or incurred in the policy year in which the interruption began.
 - (5) This Additional Coverage, Interruption Of Computer Operations, does not apply to loss sustained or expense incurred after the end of the "period of restoration", even if the amount of insurance stated in (4) above has not been exhausted.
- 6. Coverage Extension**
- If a Coinsurance percentage of 50% or more is shown in the Declarations, you may extend the insurance provided by this Coverage Part as follows:
- Newly Acquired Locations**
- a. You may extend your Business Income and Extra Expense Coverages to apply to property at any location you acquire other than fairs or exhibitions.
 - b. The most we will pay under this Extension, for the sum of Business Income loss and Extra Expense incurred, is \$100,000 at each location, unless a higher limit is shown in the Declarations.
 - c. Insurance under this Extension for each newly acquired location will end when any of the following first occurs:
 - (1) This policy expires;

(2) 30 days expire after you acquire or begin to construct the property; or

(3) You report values to us.

We will charge you additional premium for values reported from the date you acquire the property.

The Additional Condition, Coinsurance, does not apply to this Extension.

B. Limits Of Insurance

The most we will pay for loss in any one occurrence is the applicable Limit Of Insurance shown in the Declarations.

Payments under the following coverages will not increase the applicable Limit of Insurance:

1. Alterations And New Buildings;
2. Civil Authority;
3. Extra Expense; or
4. Extended Business Income.

The amounts of insurance stated in the Interruption Of Computer Operations Additional Coverage and the Newly Acquired Locations Coverage Extension apply in accordance with the terms of those coverages and are separate from the Limit(s) Of Insurance shown in the Declarations for any other coverage.

C. Loss Conditions

The following conditions apply in addition to the Common Policy Conditions and the Commercial Property Conditions:

1. Appraisal

If we and you disagree on the amount of Net Income and operating expense or the amount of loss, either may make written demand for an appraisal of the loss. In this event, each party will select a competent and impartial appraiser.

The two appraisers will select an umpire. If they cannot agree, either may request that selection be made by a judge of a court having jurisdiction. The appraisers will state separately the amount of Net Income and operating expense or amount of loss. If they fail to agree, they will submit their differences to the umpire. A decision agreed to by any two will be binding. Each party will:

- a. Pay its chosen appraiser; and
- b. Bear the other expenses of the appraisal and umpire equally.

If there is an appraisal, we will still retain our right to deny the claim.

2. Duties In The Event Of Loss

a. You must see that the following are done in the event of loss:

- (1) Notify the police if a law may have been broken.
- (2) Give us prompt notice of the direct physical loss or damage. Include a description of the property involved.
- (3) As soon as possible, give us a description of how, when and where the direct physical loss or damage occurred.
- (4) Take all reasonable steps to protect the Covered Property from further damage, and keep a record of your expenses necessary to protect the Covered Property, for consideration in the settlement of the claim. This will not increase the Limit of Insurance. However, we will not pay for any subsequent loss or damage resulting from a cause of loss that is not a Covered Cause of Loss. Also, if feasible, set the damaged property aside and in the best possible order for examination.
- (5) As often as may be reasonably required, permit us to inspect the property proving the loss or damage and examine your books and records.

Also permit us to take samples of damaged and undamaged property for inspection, testing and analysis, and permit us to make copies from your books and records.
- (6) Send us a signed, sworn proof of loss containing the information we request to investigate the claim. You must do this within 60 days after our request. We will supply you with the necessary forms.
- (7) Cooperate with us in the investigation or settlement of the claim.
- (8) If you intend to continue your business, you must resume all or part of your "operations" as quickly as possible.

b. We may examine any insured under oath, while not in the presence of any other insured and at such times as may be reasonably required, about any matter relating to this insurance or the claim, including an insured's books and records. In the event of an examination, an insured's answers must be signed.

3. Loss Determination

- a. The amount of Business Income loss will be determined based on:
- (1) The Net Income of the business before the direct physical loss or damage occurred;
 - (2) The likely Net Income of the business if no physical loss or damage had occurred, but not including any Net Income that would likely have been earned as a result of an increase in the volume of business due to favorable business conditions caused by the impact of the Covered Cause of Loss on customers or on other businesses;
 - (3) The operating expenses, including payroll expenses, necessary to resume "operations" with the same quality of service that existed just before the direct physical loss or damage; and
 - (4) Other relevant sources of information, including:
 - (a) Your financial records and accounting procedures;
 - (b) Bills, invoices and other vouchers; and
 - (c) Deeds, liens or contracts.
- b. The amount of Extra Expense will be determined based on:
- (1) All expenses that exceed the normal operating expenses that would have been incurred by "operations" during the "period of restoration" if no direct physical loss or damage had occurred. We will deduct from the total of such expenses:
 - (a) The salvage value that remains of any property bought for temporary use during the "period of restoration", once "operations" are resumed; and
 - (b) Any Extra Expense that is paid for by other insurance, except for insurance that is written subject to the same plan, terms, conditions and provisions as this insurance; and
 - (2) Necessary expenses that reduce the Business Income loss that otherwise would have been incurred.

c. Resumption Of Operations

We will reduce the amount of your:

- (1) Business Income loss, other than Extra Expense, to the extent you can resume your "operations", in whole or in part, by using damaged or undamaged property (including merchandise or stock) at the described premises or elsewhere.
 - (2) Extra Expense loss to the extent you can return "operations" to normal and discontinue such Extra Expense.
- d. If you do not resume "operations", or do not resume "operations" as quickly as possible, we will pay based on the length of time it would have taken to resume "operations" as quickly as possible.

4. Loss Payment

We will pay for covered loss within 30 days after we receive the sworn proof of loss, if you have complied with all of the terms of this Coverage Part, and:

- a. We have reached agreement with you on the amount of loss; or
- b. An appraisal award has been made.

D. Additional Condition

COINSURANCE

If a Coinsurance percentage is shown in the Declarations, the following condition applies in addition to the Common Policy Conditions and the Commercial Property Conditions.

We will not pay the full amount of any Business Income loss if the Limit of Insurance for Business Income is less than:

1. The Coinsurance percentage shown for Business Income in the Declarations; times
2. The sum of:
 - a. The Net Income (Net Profit or Loss before income taxes), and
 - b. Operating expenses, including payroll expenses,that would have been earned or incurred (had no loss occurred) by your "operations" at the described premises for the 12 months following the inception, or last previous anniversary date, of this policy (whichever is later).

Instead, we will determine the most we will pay using the following steps:

- Step (1):** Multiply the Net Income and operating expense for the 12 months following the inception, or last previous anniversary date, of this policy by the Coinsurance percentage;
- Step (2):** Divide the Limit of Insurance for the described premises by the figure determined in Step (1); and
- Step (3):** Multiply the total amount of loss by the figure determined in Step (2).

We will pay the amount determined in Step (3) or the limit of insurance, whichever is less. For the remainder, you will either have to rely on other insurance or absorb the loss yourself.

In determining operating expenses for the purpose of applying the Coinsurance condition, the following expenses, if applicable, shall be deducted from the total of all operating expenses:

- (1) Prepaid freight – outgoing;
- (2) Returns and allowances;
- (3) Discounts;
- (4) Bad debts;
- (5) Collection expenses;
- (6) Cost of raw stock and factory supplies consumed (including transportation charges);
- (7) Cost of merchandise sold (including transportation charges);
- (8) Cost of other supplies consumed (including transportation charges);
- (9) Cost of services purchased from outsiders (not employees) to resell, that do not continue under contract;
- (10) Power, heat and refrigeration expenses that do not continue under contract (if Form **CP 15 11** is attached);
- (11) All payroll expenses or the amount of payroll expense excluded (if Form **CP 15 10** is attached); and
- (12) Special deductions for mining properties (royalties unless specifically included in coverage; actual depletion commonly known as unit or cost depletion – not percentage depletion; welfare and retirement fund charges based on tonnage; hired trucks).

Example 1 (Underinsurance)

When: The Net Income and operating expenses for the 12 months following the inception, or last previous anniversary date, of this policy at the described premises would have been: \$ 400,000
The Coinsurance percentage is: 50%
The Limit of Insurance is: \$ 150,000
The amount of loss is: \$ 80,000

Step (1): $\$400,000 \times 50\% = \$200,000$
(the minimum amount of insurance to meet your Coinsurance requirements)

Step (2): $\$150,000 \div \$200,000 = .75$

Step (3): $\$80,000 \times .75 = \$60,000$

We will pay no more than \$60,000. The remaining \$20,000 is not covered.

Example 2 (Adequate Insurance)

When: The Net Income and operating expenses for the 12 months following the inception, or last previous anniversary date, of this policy at the described premises would have been: \$ 400,000
The Coinsurance percentage is: 50%
The Limit of Insurance is: \$ 200,000
The amount of loss is: \$ 80,000

The minimum amount of insurance to meet your Coinsurance requirement is \$200,000 ($\$400,000 \times 50\%$). Therefore, the Limit of Insurance in this example is adequate and no penalty applies. We will pay no more than \$80,000 (amount of loss).

This condition does not apply to Extra Expense Coverage.

E. Optional Coverages

If shown as applicable in the Declarations, the following Optional Coverages apply separately to each item.

1. Maximum Period Of Indemnity

- a. The Additional Condition, Coinsurance, does not apply to this Coverage Form at the described premises to which this Optional Coverage applies.

b. The most we will pay for the total of Business Income loss and Extra Expense is the lesser of:

- (1) The amount of loss sustained and expenses incurred during the 120 days immediately following the beginning of the "period of restoration"; or
- (2) The Limit Of Insurance shown in the Declarations.

2. Monthly Limit Of Indemnity

- a. The Additional Condition, Coinsurance, does not apply to this Coverage Form at the described premises to which this Optional Coverage applies.
- b. The most we will pay for loss of Business Income in each period of 30 consecutive days after the beginning of the "period of restoration" is:
 - (1) The Limit of Insurance, multiplied by
 - (2) The fraction shown in the Declarations for this Optional Coverage.

Example

When:	The Limit of Insurance is:	\$ 120,000
	The fraction shown in the Declarations for this Optional Coverage is:	1/4
	The most we will pay for loss in each period of 30 consecutive days is:	\$ 30,000
	(\$120,000 x 1/4 = \$30,000)	
	If, in this example, the actual amount of loss is:	
	Days 1–30:	\$ 40,000
	Days 31–60:	\$ 20,000
	Days 61–90:	\$ 30,000
		\$ 90,000
	We will pay:	
	Days 1–30:	\$ 30,000
	Days 31–60:	\$ 20,000
	Days 61–90:	\$ 30,000
		\$ 80,000

The remaining \$10,000 is not covered.

3. Business Income Agreed Value

- a. To activate this Optional Coverage:
 - (1) A Business Income Report/Work Sheet must be submitted to us and must show financial data for your "operations":
 - (a) During the 12 months prior to the date of the Work Sheet; and

(b) Estimated for the 12 months immediately following the inception of this Optional Coverage.

(2) The Declarations must indicate that the Business Income Agreed Value Optional Coverage applies, and an Agreed Value must be shown in the Declarations. The Agreed Value should be at least equal to:

- (a) The Coinsurance percentage shown in the Declarations; multiplied by
- (b) The amount of Net Income and operating expenses for the following 12 months you report on the Work Sheet.

b. The Additional Condition, Coinsurance, is suspended until:

- (1) 12 months after the effective date of this Optional Coverage; or
- (2) The expiration date of this policy; whichever occurs first.

c. We will reinstate the Additional Condition, Coinsurance, automatically if you do not submit a new Work Sheet and Agreed Value:

- (1) Within 12 months of the effective date of this Optional Coverage; or
- (2) When you request a change in your Business Income Limit of Insurance.

d. If the Business Income Limit of Insurance is less than the Agreed Value, we will not pay more of any loss than the amount of loss multiplied by:

- (1) The Business Income Limit of Insurance; divided by
- (2) The Agreed Value.

Example

When:	The Limit of Insurance is:	\$ 100,000
	The Agreed Value is:	\$ 200,000
	The amount of loss is:	\$ 80,000

Step (1): $\$100,000 \div \$200,000 = .50$

Step (2): $.50 \times \$80,000 = \$40,000$

We will pay \$40,000. The remaining \$40,000 is not covered.

4. Extended Period Of Indemnity

Under Paragraph A.5.c., **Extended Business Income**, the number 60 in Subparagraphs (1)(b) and (2)(b) is replaced by the number shown in the Declarations for this Optional Coverage.

F. Definitions

1. "Finished stock" means stock you have manufactured.

"Finished stock" also includes whiskey and alcoholic products being aged, unless there is a Coinsurance percentage shown for Business Income in the Declarations.

"Finished stock" does not include stock you have manufactured that is held for sale on the premises of any retail outlet insured under this Coverage Part.

2. "Operations" means:
 - a. Your business activities occurring at the described premises; and
 - b. The tenantability of the described premises, if coverage for Business Income Including "Rental Value" or "Rental Value" applies.
3. "Period of restoration" means the period of time that:
 - a. Begins:
 - (1) 72 hours after the time of direct physical loss or damage for Business Income Coverage; or
 - (2) Immediately after the time of direct physical loss or damage for Extra Expense Coverage;

caused by or resulting from any Covered Cause of Loss at the described premises; and
 - b. Ends on the earlier of:
 - (1) The date when the property at the described premises should be repaired, rebuilt or replaced with reasonable speed and similar quality; or
 - (2) The date when business is resumed at a new permanent location.

"Period of restoration" does not include any increased period required due to the enforcement of or compliance with any ordinance or law that:

- (1) Regulates the construction, use or repair, or requires the tearing down, of any property; or

- (2) Requires any insured or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of "pollutants".

The expiration date of this policy will not cut short the "period of restoration".

4. "Pollutants" means any solid, liquid, gaseous or thermal irritant or contaminant, including smoke, vapor, soot, fumes, acids, alkalis, chemicals and waste. Waste includes materials to be recycled, reconditioned or reclaimed.
5. "Rental Value" means Business Income that consists of:
 - a. Net Income (Net Profit or Loss before income taxes) that would have been earned or incurred as rental income from tenant occupancy of the premises described in the Declarations as furnished and equipped by you, including fair rental value of any portion of the described premises which is occupied by you; and
 - b. Continuing normal operating expenses incurred in connection with that premises, including:
 - (1) Payroll; and
 - (2) The amount of charges which are the legal obligation of the tenant(s) but would otherwise be your obligations.
6. "Suspension" means:
 - a. The slowdown or cessation of your business activities; or
 - b. That a part or all of the described premises is rendered untenable, if coverage for Business Income Including "Rental Value" or "Rental Value" applies.

COMMERCIAL PROPERTY

COMMERCIAL PROPERTY CONDITIONS

This Coverage Part is subject to the following conditions, the Common Policy Conditions and applicable Loss Conditions and Additional Conditions in Commercial Property Coverage Forms.

A. CONCEALMENT, MISREPRESENTATION OR FRAUD

This Coverage Part is void in any case of fraud by you as it relates to this Coverage Part at any time. It is also void if you or any other insured, at any time, intentionally conceal or misrepresent a material fact concerning:

1. This Coverage Part;
2. The Covered Property;
3. Your interest in the Covered Property; or
4. A claim under this Coverage Part.

B. CONTROL OF PROPERTY

Any act or neglect of any person other than you beyond your direction or control will not affect this insurance.

The breach of any condition of this Coverage Part at any one or more locations will not affect coverage at any location where, at the time of loss or damage, the breach of condition does not exist.

C. INSURANCE UNDER TWO OR MORE COVERAGES

If two or more of this policy's coverages apply to the same loss or damage, we will not pay more than the actual amount of the loss or damage.

D. LEGAL ACTION AGAINST US

No one may bring a legal action against us under this Coverage Part unless:

1. There has been full compliance with all of the terms of this Coverage Part; and
2. The action is brought within 2 years after the date on which the direct physical loss or damage occurred.

E. LIBERALIZATION

If we adopt any revision that would broaden the coverage under this Coverage Part without additional premium within 45 days prior to or during the policy period, the broadened coverage will immediately apply to this Coverage Part.

F. NO BENEFIT TO BAILEE

No person or organization, other than you, having custody of Covered Property will benefit from this insurance.

G. OTHER INSURANCE

1. You may have other insurance subject to the same plan, terms, conditions and provisions as the insurance under this Coverage Part. If you do, we will pay our share of the covered loss or damage. Our share is the proportion that the applicable Limit of Insurance under this Coverage Part bears to the Limits of Insurance of all insurance covering on the same basis.
2. If there is other insurance covering the same loss or damage, other than that described in 1. above, we will pay only for the amount of covered loss or damage in excess of the amount due from that other insurance, whether you can collect on it or not. But we will not pay more than the applicable Limit of Insurance.

H. POLICY PERIOD, COVERAGE TERRITORY

Under this Coverage Part:

1. We cover loss or damage commencing:
 - a. During the policy period shown in the Declarations; and
 - b. Within the coverage territory.
2. The coverage territory is:
 - a. The United States of America (including its territories and possessions);
 - b. Puerto Rico; and
 - c. Canada.

**I. TRANSFER OF RIGHTS OF RECOVERY
AGAINST OTHERS TO US**

If any person or organization to or for whom we make payment under this Coverage Part has rights to recover damages from another, those rights are transferred to us to the extent of our payment. That person or organization must do everything necessary to secure our rights and must do nothing after loss to impair them. But you may waive your rights against another party in writing:

1. Prior to a loss to your Covered Property or Covered Income.
2. After a loss to your Covered Property or Covered Income only if, at time of loss, that party is one of the following:
 - a. Someone insured by this insurance;
 - b. A business firm:
 - (1) Owned or controlled by you; or
 - (2) That owns or controls you; or
 - c. Your tenant.

This will not restrict your insurance.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

NEW YORK CHANGES

This endorsement modifies insurance provided under the following:

COMMERCIAL PROPERTY COVERAGE PART

A. If this policy covers the interest of the owner of any of the following types of buildings or structures:

1. Residential, except owner-occupied single-family or owner-occupied two-family buildings or structures;
2. Commercial; or
3. Industrial;

the following provision is added:

Before payment to you for loss or damage to the above buildings or structures caused by or resulting from fire, we will:

- (1) Deduct from your payment the claim of any tax district that issues a certificate of lien in accordance with the Insurance Law; and
- (2) Pay directly to the tax district the amount of the claim.

When we pay that claim, we will have no obligation to pay the amount of that claim to you. Our payment of that claim within 30 days of our receipt of the certificate of lien will be a conclusive presumption that the claim was valid and properly paid.

B. The following is added with respect to any Condition of this Coverage Part which requires you to notify us of loss or to notify us of an accident, claim or "suit":

1. Notice given by or on your behalf; or
2. Written notice by or on behalf of any claimant; to any of our agents in New York State, which adequately identifies you, will be the same as notice to us.

C. Legal Action Against Us

1. The **Legal Action Against Us** Loss Condition in the Legal Liability Coverage Form is replaced by the following:

No person or organization has a right under this Coverage Form:

- a. To join us as a party or otherwise bring us into a "suit" asking for damages from you; or
- b. To sue us on this Coverage Form unless all of its terms have been fully complied with.

A person or organization may sue us to recover on an agreed settlement or on a final judgment against you; but we will not be liable for damages that are not payable under the terms of this Coverage Form or that are in excess of the Limit of Insurance. An agreed settlement means a settlement and release of liability signed by us, you and the claimant or the claimant's legal representative.

2. Paragraph **b.** of Additional Condition **H.5. Legal Action Against Us** in the Mortgageholders Errors And Omissions Coverage Form is replaced by the following:

b. No person or organization has a right under Coverages **C** and **D**:

- (1) To join us as a party or otherwise bring us into a "suit" asking for damages from you; or
- (2) To sue us on this Coverage Form unless all of its terms have been fully complied with.

A person or organization may sue us to recover on an agreed settlement or on a final judgment against you; but we will not be liable for damages that are not payable under the terms of this Coverage Form or that are in excess of the Limit of Insurance. An agreed settlement means a settlement and release of liability signed by us, you and the claimant or the claimant's legal representative.

- D. The Examination Of Your Books And Records**
Common Policy Condition is replaced by the following:

Examination Of Your Books And Records

1. Except as provided in 2. below, we may examine and audit your books and records as they relate to this policy at any time during the policy period and up to three years afterward.
2. We will conduct an audit to determine the final premium due or to be refunded, for coverage for which an advance or deposit premium was paid based on estimated exposure. But the audit may be waived if:
 - a. The total annual premium attributable to the auditable exposure base is not reasonably expected to exceed \$1,500; or
 - b. The policy requires notification to the insurer with the specific identification of any additional exposure units (e.g., buildings) for which coverage is requested.

If the audit is not waived, it must be completed within 180 days after:

- a. The expiration date of the policy; or
- b. The anniversary date, if this is a continuous policy or a policy written for a term longer than one year.

- E. The following sentence is deleted from Paragraph A. in the Legal Liability Coverage Form:**

We will have the right and duty to defend any "suit" seeking those damages.

The following sentence is added to Paragraph A. in the Legal Liability Coverage Form:

We will have the right and duty to defend any "suit" seeking those damages even if the allegations of the "suit" are groundless, false or fraudulent.

- F. The following sentence is deleted from Paragraph A.3. in the Mortgageholders Errors And Omissions Coverage Form:**

We will have the right and duty to defend any "suit" seeking those damages.

The following is added to Paragraph A.3. in the Mortgageholders Errors And Omissions Coverage Form:

We will have the right and duty to defend any "suit" seeking those damages even if the allegations of the "suit" are groundless, false or fraudulent.

- G. The following Condition is added to Paragraph D. of the Legal Liability Coverage Form and Paragraph F.4. of the Mortgageholders Errors And Omissions Coverage Form:**

Transfer Of Duties When A Limit Of Insurance Is Used Up

1. If we conclude that, based on claims or "suits" which have been reported to us and to which this insurance may apply, a Limit of Insurance is likely to be used up in the payment of judgments or settlements, we will notify the first Named Insured, in writing, to that effect.
2. When the Limit of Insurance has actually been used up in the payment of judgments or settlements:
 - a. We will notify the first Named Insured, in writing, as soon as practicable, that:
 - (1) Such a limit has actually been used up; and
 - (2) Our duty to defend "suits" seeking damages subject to that limit has also ended.
 - b. We will initiate, and cooperate in, the transfer of control, to any appropriate insured, of all claims and "suits" seeking damages which are subject to that limit and which are reported to us before that limit is used up. That insured must cooperate in the transfer of control of said claims and "suits".

We agree to take such steps, as we deem appropriate, to avoid a default in, or continue the defense of, such "suits" until such transfer is completed, provided the appropriate insured is cooperating in completing such transfer.

We will take no action whatsoever with respect to any claim or "suit" seeking damages that would have been subject to that limit, had it not been used up, if the claim or "suit" is reported to us after that limit of insurance has been used up.

- c. The first Named Insured, and any other insured involved in a "suit" seeking damages subject to that limit, must arrange for the defense of such "suit" within such time period as agreed to between the appropriate insured and us. Absent any such agreement, arrangements for the defense of such "suit" must be made as soon as practicable.

- 3. The first Named Insured will reimburse us for expenses we incur in taking those steps we deem appropriate in accordance with Paragraph 2.b. above.

The duty of the first Named Insured to reimburse us will begin on:

- a. The date on which the applicable limit of insurance is used up, if we sent notice in accordance with Paragraph 1. above; or
- b. The date on which we sent notice in accordance with Paragraph 2.a. above, if we did not send notice in accordance with Paragraph 1. above.

- 4. The exhaustion of any limit of insurance by the payments of judgments or settlements, and the resulting end of our duty to defend, will not be affected by our failure to comply with any of the provisions of this Condition.

- H. Except as provided in I. below, the **Appraisal** Condition is replaced by the following:

Appraisal

- 1. If we and you disagree on the value of the property, the extent of the loss or damage or the amount of the loss or damage, either may make written demand for an appraisal of the loss. In this event, each party will select a competent and impartial appraiser and notify the other of the appraiser selected within 20 days of such demand.
- 2. If we or you fail to proceed with the appraisal of the covered loss after a written demand is made by either party, then either party may apply to a court having jurisdiction for an order directing the party that failed to proceed with the appraisal to comply with the demand for the appraisal of the loss. In this event, each party will select a competent and impartial appraiser and notify the other of the appraiser selected within 20 days of such order.

- 3. The two appraisers will select an umpire. If they cannot agree within 15 days upon such umpire, either may request that selection be made by a judge of a court having jurisdiction. The appraisers will state separately the value of the property, the extent of the loss or damage and the amount of the loss or damage. If they fail to agree, they will submit their differences to the umpire. A decision agreed to by any two will be binding.

- 4. Each party will:

- a. Pay its chosen appraiser; and
- b. Bear the other expenses of the appraisal and umpire equally.

If there is an appraisal, we will still retain our right to deny the claim.

- I. The **Appraisal** Condition in:

- 1. Business Income (And Extra Expense) Coverage Form **CP 00 30**; and
- 2. Business Income (Without Extra Expense) Coverage Form **CP 00 32**;

is replaced by the following:

Appraisal

- 1. If we and you disagree on the amount of Net Income and operating expense, the extent of the loss or damage or the amount of the loss or damage, either may make written demand for an appraisal of the loss. In this event, each party will select a competent and impartial appraiser and notify the other of the appraiser selected within 20 days of such demand.
- 2. If we or you fail to proceed with the appraisal of the covered loss after a written demand is made by either party, then either party may apply to a court having jurisdiction for an order directing the party that failed to proceed with the appraisal to comply with the demand for the appraisal of the loss. In this event, each party will select a competent and impartial appraiser and notify the other of the appraiser selected within 20 days of such order.
- 3. The two appraisers will select an umpire. If they cannot agree within 15 days upon such umpire, either may request that selection be made by a judge of a court having jurisdiction. The appraisers will state separately the amount of Net Income and operating expense, the extent of the loss or damage and the amount of the loss or damage. If they fail to agree, they will submit their differences to the umpire. A decision agreed to by any two will be binding.

4. Each party will:

- a. Pay its chosen appraiser; and
- b. Bear the other expenses of the appraisal and umpire equally.

If there is an appraisal, we will still retain our right to deny the claim.

J. The following provision is added to the Commercial Property Coverage Part:

Estimation Of Claims

Upon request, we will furnish you or your representative with a written estimate of damages to real property specifying all deductions, provided such an estimate has been prepared by us or has been prepared on our behalf for our own purposes. This estimate will be provided within 30 days after your request or its preparation, whichever is later.

K. The following provision is added to the Legal Liability Coverage Form and supersedes any provision to the contrary:

Failure to give prompt notice to us, as required under this Coverage Form, shall not invalidate any claim made by you or any other claimant, unless the failure to provide such timely notice has prejudiced us. However, no claim made by you or any other claimant will be invalidated if it shall be shown not to have been reasonably possible to give such timely notice and that notice was given as soon as was reasonably possible thereafter.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

NEW YORK CHANGES – FUNGUS, WET ROT AND DRY ROT

This endorsement modifies insurance provided under the following:

COMMERCIAL PROPERTY COVERAGE PART

- A.** In the Causes Of Loss – Basic Form, Causes Of Loss – Broad Form, Causes Of Loss – Special Form, and Mortgageholders Errors And Omissions Coverage Form, the exclusion titled **"Fungus", Wet Rot, Dry Rot And Bacteria** and the **Additional Coverage – Limited Coverage For "Fungus", Wet Rot, Dry Rot And Bacteria** are deleted. Under these forms, the following exclusion is added:
- We will not pay for loss or damage caused by or resulting from "fungus", wet rot or dry rot. However, this exclusion does not apply when "fungus", wet rot or dry rot results from a Covered Cause of Loss.
- B.** In the Building And Personal Property Coverage Form and the Condominium Association Coverage Form, under the Additional Coverage – Increased Cost Of Construction, Paragraph **A.4.e.(5)** is replaced by the following:
- (5) Under this Additional Coverage, we will not pay for:
- (a) The enforcement of or compliance with any ordinance or law which requires demolition, repair, replacement, reconstruction, remodeling or remediation of property due to contamination by "pollutants"; or
- (b) Any costs associated with the enforcement of or compliance with an ordinance or law which requires any insured or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of "pollutants".
- C.** Paragraph **B.6.** of Ordinance Or Law Coverage Endorsement **CP 04 05** is replaced by the following:
6. We will not pay under this endorsement for:
- a. Enforcement of or compliance with any ordinance or law which requires the demolition, repair, replacement, reconstruction, remodeling or remediation of property due to contamination by "pollutants"; or
- b. The costs associated with the enforcement of or compliance with any ordinance or law which requires any insured or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of "pollutants".
- D.** Paragraph **B.6.** of Ordinance Or Law Coverage For Tenant's Interest In Improvements And Betterments (Tenant's Policy) Endorsement **CP 04 26** is replaced by the following:
6. We will not pay under this endorsement for:
- a. Enforcement of or compliance with any ordinance or law which requires the demolition, repair, replacement, reconstruction, remodeling or remediation of property due to contamination by "pollutants"; or
- b. The costs associated with the enforcement of or compliance with any ordinance or law which requires any insured or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of "pollutants".

E. Paragraph **E.3.** of Functional Building Valuation Endorsement **CP 04 38** is replaced by the following:

3. We will not pay under this endorsement for:

- a. Enforcement of or compliance with any ordinance or law which requires the demolition, repair, replacement, reconstruction, remodeling or remediation of property due to contamination by "pollutants"; or

- b. The costs associated with the enforcement of or compliance with any ordinance or law which requires any insured or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of "pollutants".

**COMMERCIAL PROPERTY
CP 01 78 08 08**

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

**NEW YORK – EXCLUSION OF LOSS
DUE TO VIRUS OR BACTERIA**

This endorsement modifies insurance provided under the following:

COMMERCIAL PROPERTY COVERAGE PART

- A.** The exclusion set forth in Paragraph **B.** applies to all coverage under all forms and endorsements that comprise this Coverage Part, including but not limited to forms or endorsements that cover property damage to buildings or personal property and forms or endorsements that cover business income, extra expense or action of civil authority.
- B.** We will not pay for loss or damage caused by or resulting from any virus, bacterium or other micro-organism that induces or is capable of inducing physical distress, illness or disease.

However, this exclusion does not apply to loss or damage caused by or resulting from "fungus", wet rot or dry rot. Such loss or damage is addressed in a separate exclusion in this Coverage Part.

- C.** The terms of the exclusion in Paragraph **B.**, or the inapplicability of this exclusion to a particular loss, do not serve to create coverage for any loss that would otherwise be excluded under this Coverage Part.

CAUSES OF LOSS – SPECIAL FORM

Words and phrases that appear in quotation marks have special meaning. Refer to Section **G**. Definitions.

A. Covered Causes Of Loss

When Special is shown in the Declarations, Covered Causes of Loss means direct physical loss unless the loss is excluded or limited in this policy.

B. Exclusions

1. We will not pay for loss or damage caused directly or indirectly by any of the following. Such loss or damage is excluded regardless of any other cause or event that contributes concurrently or in any sequence to the loss.

a. Ordinance Or Law

The enforcement of or compliance with any ordinance or law:

- (1) Regulating the construction, use or repair of any property; or
- (2) Requiring the tearing down of any property, including the cost of removing its debris.

This exclusion, Ordinance Or Law, applies whether the loss results from:

- (a) An ordinance or law that is enforced even if the property has not been damaged; or
- (b) The increased costs incurred to comply with an ordinance or law in the course of construction, repair, renovation, remodeling or demolition of property, or removal of its debris, following a physical loss to that property.

b. Earth Movement

- (1) Earthquake, including tremors and aftershocks and any earth sinking, rising or shifting related to such event;
- (2) Landslide, including any earth sinking, rising or shifting related to such event;
- (3) Mine subsidence, meaning subsidence of a man-made mine, whether or not mining activity has ceased;

- (4) Earth sinking (other than sinkhole collapse), rising or shifting including soil conditions which cause settling, cracking or other disarrangement of foundations or other parts of realty. Soil conditions include contraction, expansion, freezing, thawing, erosion, improperly compacted soil and the action of water under the ground surface.

But if Earth Movement, as described in **b.(1)** through **(4)** above, results in fire or explosion, we will pay for the loss or damage caused by that fire or explosion.

- (5) Volcanic eruption, explosion or effusion. But if volcanic eruption, explosion or effusion results in fire, building glass breakage or Volcanic Action, we will pay for the loss or damage caused by that fire, building glass breakage or Volcanic Action.

Volcanic Action means direct loss or damage resulting from the eruption of a volcano when the loss or damage is caused by:

- (a) Airborne volcanic blast or airborne shock waves;
- (b) Ash, dust or particulate matter; or
- (c) Lava flow.

With respect to coverage for Volcanic Action as set forth in **(5)(a)**, **(5)(b)** and **(5)(c)**, all volcanic eruptions that occur within any 168-hour period will constitute a single occurrence.

Volcanic Action does not include the cost to remove ash, dust or particulate matter that does not cause direct physical loss or damage to the described property.

This exclusion applies regardless of whether any of the above, in Paragraphs **(1)** through **(5)**, is caused by an act of nature or is otherwise caused.

c. Governmental Action

Seizure or destruction of property by order of governmental authority.

But we will pay for loss or damage caused by or resulting from acts of destruction ordered by governmental authority and taken at the time of a fire to prevent its spread, if the fire would be covered under this Coverage Part.

d. Nuclear Hazard

Nuclear reaction or radiation, or radioactive contamination, however caused.

But if nuclear reaction or radiation, or radioactive contamination, results in fire, we will pay for the loss or damage caused by that fire.

e. Utility Services

The failure of power, communication, water or other utility service supplied to the described premises, however caused, if the failure:

- (1) Originates away from the described premises; or
- (2) Originates at the described premises, but only if such failure involves equipment used to supply the utility service to the described premises from a source away from the described premises.

Failure of any utility service includes lack of sufficient capacity and reduction in supply.

Loss or damage caused by a surge of power is also excluded, if the surge would not have occurred but for an event causing a failure of power.

But if the failure or surge of power, or the failure of communication, water or other utility service, results in a Covered Cause of Loss, we will pay for the loss or damage caused by that Covered Cause of Loss.

Communication services include but are not limited to service relating to Internet access or access to any electronic, cellular or satellite network.

f. War And Military Action

- (1) War, including undeclared or civil war;

- (2) Warlike action by a military force, including action in hindering or defending against an actual or expected attack, by any government, sovereign or other authority using military personnel or other agents; or

- (3) Insurrection, rebellion, revolution, usurped power, or action taken by governmental authority in hindering or defending against any of these.

g. Water

- (1) Flood, surface water, waves (including tidal wave and tsunami), tides, tidal water, overflow of any body of water, or spray from any of these, all whether or not driven by wind (including storm surge);

- (2) Mudslide or mudflow;

- (3) Water that backs up or overflows or is otherwise discharged from a sewer, drain, sump, sump pump or related equipment;

- (4) Water under the ground surface pressing on, or flowing or seeping through:

- (a) Foundations, walls, floors or paved surfaces;

- (b) Basements, whether paved or not; or

- (c) Doors, windows or other openings; or

- (5) Waterborne material carried or otherwise moved by any of the water referred to in Paragraph (1), (3) or (4), or material carried or otherwise moved by mudslide or mudflow.

This exclusion applies regardless of whether any of the above, in Paragraphs (1) through (5), is caused by an act of nature or is otherwise caused. An example of a situation to which this exclusion applies is the situation where a dam, levee, seawall or other boundary or containment system fails in whole or in part, for any reason, to contain the water.

But if any of the above, in Paragraphs (1) through (5), results in fire, explosion or sprinkler leakage, we will pay for the loss or damage caused by that fire, explosion or sprinkler leakage (if sprinkler leakage is a Covered Cause of Loss).

h. "Fungus", Wet Rot, Dry Rot And Bacteria

Presence, growth, proliferation, spread or any activity of "fungus", wet or dry rot or bacteria.

But if "fungus", wet or dry rot or bacteria result in a "specified cause of loss", we will pay for the loss or damage caused by that "specified cause of loss".

This exclusion does not apply:

- (1) When "fungus", wet or dry rot or bacteria result from fire or lightning; or
- (2) To the extent that coverage is provided in the Additional Coverage, Limited Coverage For "Fungus", Wet Rot, Dry Rot And Bacteria, with respect to loss or damage by a cause of loss other than fire or lightning.

Exclusions B.1.a. through B.1.h. apply whether or not the loss event results in widespread damage or affects a substantial area.

2. We will not pay for loss or damage caused by or resulting from any of the following:

a. Artificially generated electrical, magnetic or electromagnetic energy that damages, disturbs, disrupts or otherwise interferes with any:

- (1) Electrical or electronic wire, device, appliance, system or network; or
- (2) Device, appliance, system or network utilizing cellular or satellite technology.

For the purpose of this exclusion, electrical, magnetic or electromagnetic energy includes but is not limited to:

- (a) Electrical current, including arcing;
- (b) Electrical charge produced or conducted by a magnetic or electromagnetic field;
- (c) Pulse of electromagnetic energy; or
- (d) Electromagnetic waves or microwaves.

But if fire results, we will pay for the loss or damage caused by that fire.

- b. Delay, loss of use or loss of market.**
- c. Smoke, vapor or gas from agricultural smudging or industrial operations.**

d.(1) Wear and tear;

(2) Rust or other corrosion, decay, deterioration, hidden or latent defect or any quality in property that causes it to damage or destroy itself;

(3) Smog;

(4) Settling, cracking, shrinking or expansion;

(5) Nesting or infestation, or discharge or release of waste products or secretions, by insects, birds, rodents or other animals.

(6) Mechanical breakdown, including rupture or bursting caused by centrifugal force. But if mechanical breakdown results in elevator collision, we will pay for the loss or damage caused by that elevator collision.

(7) The following causes of loss to personal property:

- (a) Dampness or dryness of atmosphere;
- (b) Changes in or extremes of temperature; or
- (c) Marring or scratching.

But if an excluded cause of loss that is listed in 2.d.(1) through (7) results in a "specified cause of loss" or building glass breakage, we will pay for the loss or damage caused by that "specified cause of loss" or building glass breakage.

- e. Explosion of steam boilers, steam pipes, steam engines or steam turbines owned or leased by you, or operated under your control. But if explosion of steam boilers, steam pipes, steam engines or steam turbines results in fire or combustion explosion, we will pay for the loss or damage caused by that fire or combustion explosion. We will also pay for loss or damage caused by or resulting from the explosion of gases or fuel within the furnace of any fired vessel or within the flues or passages through which the gases of combustion pass.**
- f. Continuous or repeated seepage or leakage of water, or the presence or condensation of humidity, moisture or vapor, that occurs over a period of 14 days or more.**

- g.** Water, other liquids, powder or molten material that leaks or flows from plumbing, heating, air conditioning or other equipment (except fire protective systems) caused by or resulting from freezing, unless:
 - (1)** You do your best to maintain heat in the building or structure; or
 - (2)** You drain the equipment and shut off the supply if the heat is not maintained.
- h.** Dishonest or criminal act (including theft) by you, any of your partners, members, officers, managers, employees (including temporary employees and leased workers), directors, trustees or authorized representatives, whether acting alone or in collusion with each other or with any other party; or theft by any person to whom you entrust the property for any purpose, whether acting alone or in collusion with any other party.

This exclusion:

- (1)** Applies whether or not an act occurs during your normal hours of operation;
- (2)** Does not apply to acts of destruction by your employees (including temporary employees and leased workers) or authorized representatives; but theft by your employees (including temporary employees and leased workers) or authorized representatives is not covered.
- i.** Voluntary parting with any property by you or anyone else to whom you have entrusted the property if induced to do so by any fraudulent scheme, trick, device or false pretense.
- j.** Rain, snow, ice or sleet to personal property in the open.
- k.** Collapse, including any of the following conditions of property or any part of the property:
 - (1)** An abrupt falling down or caving in;
 - (2)** Loss of structural integrity, including separation of parts of the property or property in danger of falling down or caving in; or
 - (3)** Any cracking, bulging, sagging, bending, leaning, settling, shrinkage or expansion as such condition relates to **(1)** or **(2)** above.

But if collapse results in a Covered Cause of Loss at the described premises, we will pay for the loss or damage caused by that Covered Cause of Loss.

This exclusion, **k.**, does not apply:

- (a)** To the extent that coverage is provided under the Additional Coverage, Collapse; or
 - (b)** To collapse caused by one or more of the following:
 - (i)** The "specified causes of loss";
 - (ii)** Breakage of building glass;
 - (iii)** Weight of rain that collects on a roof; or
 - (iv)** Weight of people or personal property.
 - l.** Discharge, dispersal, seepage, migration, release or escape of "pollutants" unless the discharge, dispersal, seepage, migration, release or escape is itself caused by any of the "specified causes of loss". But if the discharge, dispersal, seepage, migration, release or escape of "pollutants" results in a "specified cause of loss", we will pay for the loss or damage caused by that "specified cause of loss".
- This exclusion, **l.**, does not apply to damage to glass caused by chemicals applied to the glass.
- m.** Neglect of an insured to use all reasonable means to save and preserve property from further damage at and after the time of loss.
- 3.** We will not pay for loss or damage caused by or resulting from any of the following, **3.a.** through **3.c.** But if an excluded cause of loss that is listed in **3.a.** through **3.c.** results in a Covered Cause of Loss, we will pay for the loss or damage caused by that Covered Cause of Loss.
- a.** Weather conditions. But this exclusion only applies if weather conditions contribute in any way with a cause or event excluded in Paragraph **1.** above to produce the loss or damage.
 - b.** Acts or decisions, including the failure to act or decide, of any person, group, organization or governmental body.
 - c.** Faulty, inadequate or defective:
 - (1)** Planning, zoning, development, surveying, siting;
 - (2)** Design, specifications, workmanship, repair, construction, renovation, remodeling, grading, compaction;
 - (3)** Materials used in repair, construction, renovation or remodeling; or
 - (4)** Maintenance;

of part or all of any property on or off the described premises.

4. Special Exclusions

The following provisions apply only to the specified Coverage Forms:

a. Business Income (And Extra Expense) Coverage Form, Business Income (Without Extra Expense) Coverage Form, Or Extra Expense Coverage Form

We will not pay for:

- (1) Any loss caused by or resulting from:
 - (a) Damage or destruction of "finished stock"; or
 - (b) The time required to reproduce "finished stock".

This exclusion does not apply to Extra Expense.
- (2) Any loss caused by or resulting from direct physical loss or damage to radio or television antennas (including satellite dishes) and their lead-in wiring, masts or towers.
- (3) Any increase of loss caused by or resulting from:
 - (a) Delay in rebuilding, repairing or replacing the property or resuming "operations", due to interference at the location of the rebuilding, repair or replacement by strikers or other persons; or
 - (b) Suspension, lapse or cancellation of any license, lease or contract. But if the suspension, lapse or cancellation is directly caused by the "suspension" of "operations", we will cover such loss that affects your Business Income during the "period of restoration" and any extension of the "period of restoration" in accordance with the terms of the Extended Business Income Additional Coverage and the Extended Period Of Indemnity Optional Coverage or any variation of these.
- (4) Any Extra Expense caused by or resulting from suspension, lapse or cancellation of any license, lease or contract beyond the "period of restoration".
- (5) Any other consequential loss.

b. Leasehold Interest Coverage Form

- (1) Paragraph **B.1.a.**, Ordinance Or Law, does not apply to insurance under this Coverage Form.
- (2) We will not pay for any loss caused by:
 - (a) Your cancelling the lease;
 - (b) The suspension, lapse or cancellation of any license; or
 - (c) Any other consequential loss.

c. Legal Liability Coverage Form

- (1) The following exclusions do not apply to insurance under this Coverage Form:
 - (a) Paragraph **B.1.a.** Ordinance Or Law;
 - (b) Paragraph **B.1.c.** Governmental Action;
 - (c) Paragraph **B.1.d.** Nuclear Hazard;
 - (d) Paragraph **B.1.e.** Utility Services; and
 - (e) Paragraph **B.1.f.** War And Military Action.
- (2) The following additional exclusions apply to insurance under this Coverage Form:

(a) Contractual Liability

We will not defend any claim or "suit", or pay damages that you are legally liable to pay, solely by reason of your assumption of liability in a contract or agreement. But this exclusion does not apply to a written lease agreement in which you have assumed liability for building damage resulting from an actual or attempted burglary or robbery, provided that:

- (i) Your assumption of liability was executed prior to the accident; and
- (ii) The building is Covered Property under this Coverage Form.

(b) Nuclear Hazard

We will not defend any claim or "suit", or pay any damages, loss, expense or obligation, resulting from nuclear reaction or radiation, or radioactive contamination, however caused.

5. Additional Exclusion

The following provisions apply only to the specified property:

Loss Or Damage To Products

We will not pay for loss or damage to any merchandise, goods or other product caused by or resulting from error or omission by any person or entity (including those having possession under an arrangement where work or a portion of the work is outsourced) in any stage of the development, production or use of the product, including planning, testing, processing, packaging, installation, maintenance or repair. This exclusion applies to any effect that compromises the form, substance or quality of the product. But if such error or omission results in a Covered Cause of Loss, we will pay for the loss or damage caused by that Covered Cause of Loss.

C. Limitations

The following limitations apply to all policy forms and endorsements, unless otherwise stated:

1. We will not pay for loss of or damage to property, as described and limited in this section. In addition, we will not pay for any loss that is a consequence of loss or damage as described and limited in this section.
 - a. Steam boilers, steam pipes, steam engines or steam turbines caused by or resulting from any condition or event inside such equipment. But we will pay for loss of or damage to such equipment caused by or resulting from an explosion of gases or fuel within the furnace of any fired vessel or within the flues or passages through which the gases of combustion pass.
 - b. Hot water boilers or other water heating equipment caused by or resulting from any condition or event inside such boilers or equipment, other than an explosion.
 - c. The interior of any building or structure, or to personal property in the building or structure, caused by or resulting from rain, snow, sleet, ice, sand or dust, whether driven by wind or not, unless:
 - (1) The building or structure first sustains damage by a Covered Cause of Loss to its roof or walls through which the rain, snow, sleet, ice, sand or dust enters; or
 - (2) The loss or damage is caused by or results from thawing of snow, sleet or ice on the building or structure.
- d. Building materials and supplies not attached as part of the building or structure, caused by or resulting from theft.

However, this limitation does not apply to:

 - (1) Building materials and supplies held for sale by you, unless they are insured under the Builders Risk Coverage Form; or
 - (2) Business Income Coverage or Extra Expense Coverage.
- e. Property that is missing, where the only evidence of the loss or damage is a shortage disclosed on taking inventory, or other instances where there is no physical evidence to show what happened to the property.
- f. Property that has been transferred to a person or to a place outside the described premises on the basis of unauthorized instructions.
- g. Lawns, trees, shrubs or plants which are part of a vegetated roof, caused by or resulting from:
 - (1) Dampness or dryness of atmosphere or of soil supporting the vegetation;
 - (2) Changes in or extremes of temperature;
 - (3) Disease;
 - (4) Frost or hail; or
 - (5) Rain, snow, ice or sleet.
2. We will not pay for loss of or damage to the following types of property unless caused by the "specified causes of loss" or building glass breakage:
 - a. Animals, and then only if they are killed or their destruction is made necessary.
 - b. Fragile articles such as statuary, marbles, chinaware and porcelains, if broken. This restriction does not apply to:
 - (1) Glass; or
 - (2) Containers of property held for sale.
 - c. Builders' machinery, tools and equipment owned by you or entrusted to you, provided such property is Covered Property.

However, this limitation does not apply:

 - (1) If the property is located on or within 100 feet of the described premises, unless the premises is insured under the Builders Risk Coverage Form; or

(2) To Business Income Coverage or to Extra Expense Coverage.

3. The special limit shown for each category, **a.** through **d.**, is the total limit for loss of or damage to all property in that category. The special limit applies to any one occurrence of theft, regardless of the types or number of articles that are lost or damaged in that occurrence. The special limits are (unless a higher limit is shown in the Declarations):

- a.** \$2,500 for furs, fur garments and garments trimmed with fur.
- b.** \$2,500 for jewelry, watches, watch movements, jewels, pearls, precious and semiprecious stones, bullion, gold, silver, platinum and other precious alloys or metals. This limit does not apply to jewelry and watches worth \$100 or less per item.
- c.** \$2,500 for patterns, dies, molds and forms.
- d.** \$250 for stamps, tickets, including lottery tickets held for sale, and letters of credit.

These special limits are part of, not in addition to, the Limit of Insurance applicable to the Covered Property.

This limitation, **C.3.**, does not apply to Business Income Coverage or to Extra Expense Coverage.

4. We will not pay the cost to repair any defect to a system or appliance from which water, other liquid, powder or molten material escapes. But we will pay the cost to repair or replace damaged parts of fire-extinguishing equipment if the damage:

- a.** Results in discharge of any substance from an automatic fire protection system; or
- b.** Is directly caused by freezing.

However, this limitation does not apply to Business Income Coverage or to Extra Expense Coverage.

D. Additional Coverage – Collapse

The coverage provided under this Additional Coverage, Collapse, applies only to an abrupt collapse as described and limited in **D.1.** through **D.7.**

1. For the purpose of this Additional Coverage, Collapse, abrupt collapse means an abrupt falling down or caving in of a building or any part of a building with the result that the building or part of the building cannot be occupied for its intended purpose.

2. We will pay for direct physical loss or damage to Covered Property, caused by abrupt collapse of a building or any part of a building that is insured under this Coverage Form or that contains Covered Property insured under this Coverage Form, if such collapse is caused by one or more of the following:

- a.** Building decay that is hidden from view, unless the presence of such decay is known to an insured prior to collapse;
- b.** Insect or vermin damage that is hidden from view, unless the presence of such damage is known to an insured prior to collapse;
- c.** Use of defective material or methods in construction, remodeling or renovation if the abrupt collapse occurs during the course of the construction, remodeling or renovation.
- d.** Use of defective material or methods in construction, remodeling or renovation if the abrupt collapse occurs after the construction, remodeling or renovation is complete, but only if the collapse is caused in part by:

- (1) A cause of loss listed in **2.a.** or **2.b.**;
- (2) One or more of the "specified causes of loss";
- (3) Breakage of building glass;
- (4) Weight of people or personal property; or
- (5) Weight of rain that collects on a roof.

3. This **Additional Coverage – Collapse** does not apply to:

- a.** A building or any part of a building that is in danger of falling down or caving in;
- b.** A part of a building that is standing, even if it has separated from another part of the building; or
- c.** A building that is standing or any part of a building that is standing, even if it shows evidence of cracking, bulging, sagging, bending, leaning, settling, shrinkage or expansion.

4. With respect to the following property:

- a.** Outdoor radio or television antennas (including satellite dishes) and their lead-in wiring, masts or towers;

- b. Awnings, gutters and downspouts;
 - c. Yard fixtures;
 - d. Outdoor swimming pools;
 - e. Fences;
 - f. Piers, wharves and docks;
 - g. Beach or diving platforms or appurtenances;
 - h. Retaining walls; and
 - i. Walks, roadways and other paved surfaces;
- if an abrupt collapse is caused by a cause of loss listed in **2.a.** through **2.d.**, we will pay for loss or damage to that property only if:

- (1) Such loss or damage is a direct result of the abrupt collapse of a building insured under this Coverage Form; and
- (2) The property is Covered Property under this Coverage Form.

5. If personal property abruptly falls down or caves in and such collapse is **not** the result of abrupt collapse of a building, we will pay for loss or damage to Covered Property caused by such collapse of personal property only if:
- a. The collapse of personal property was caused by a cause of loss listed in **2.a.** through **2.d.**;
 - b. The personal property which collapses is inside a building; and
 - c. The property which collapses is not of a kind listed in **4.**, regardless of whether that kind of property is considered to be personal property or real property.

The coverage stated in this Paragraph **5.** does not apply to personal property if marring and/or scratching is the only damage to that personal property caused by the collapse.

6. This Additional Coverage, Collapse, does not apply to personal property that has not abruptly fallen down or caved in, even if the personal property shows evidence of cracking, bulging, sagging, bending, leaning, settling, shrinkage or expansion.
7. This Additional Coverage, Collapse, will not increase the Limits of Insurance provided in this Coverage Part.
8. The term Covered Cause of Loss includes the Additional Coverage, Collapse, as described and limited in **D.1.** through **D.7.**

E. Additional Coverage – Limited Coverage For "Fungus", Wet Rot, Dry Rot And Bacteria

1. The coverage described in **E.2.** and **E.6.** only applies when the "fungus", wet or dry rot or bacteria are the result of one or more of the following causes that occur during the policy period and only if all reasonable means were used to save and preserve the property from further damage at the time of and after that occurrence:

- a. A "specified cause of loss" other than fire or lightning; or
- b. Flood, if the Flood Coverage Endorsement applies to the affected premises.

This Additional Coverage does not apply to lawns, trees, shrubs or plants which are part of a vegetated roof.

2. We will pay for loss or damage by "fungus", wet or dry rot or bacteria. As used in this Limited Coverage, the term loss or damage means:
- a. Direct physical loss or damage to Covered Property caused by "fungus", wet or dry rot or bacteria, including the cost of removal of the "fungus", wet or dry rot or bacteria;
 - b. The cost to tear out and replace any part of the building or other property as needed to gain access to the "fungus", wet or dry rot or bacteria; and
 - c. The cost of testing performed after removal, repair, replacement or restoration of the damaged property is completed, provided there is a reason to believe that "fungus", wet or dry rot or bacteria are present.

3. The coverage described under **E.2.** of this Limited Coverage is limited to \$15,000. Regardless of the number of claims, this limit is the most we will pay for the total of all loss or damage arising out of all occurrences of "specified causes of loss" (other than fire or lightning) and Flood which take place in a 12-month period (starting with the beginning of the present annual policy period). With respect to a particular occurrence of loss which results in "fungus", wet or dry rot or bacteria, we will not pay more than a total of \$15,000 even if the "fungus", wet or dry rot or bacteria continue to be present or active, or recur, in a later policy period.

4. The coverage provided under this Limited Coverage does not increase the applicable Limit of Insurance on any Covered Property. If a particular occurrence results in loss or damage by "fungus", wet or dry rot or bacteria, and other loss or damage, we will not pay more, for the total of all loss or damage, than the applicable Limit of Insurance on the affected Covered Property.

If there is covered loss or damage to Covered Property, not caused by "fungus", wet or dry rot or bacteria, loss payment will not be limited by the terms of this Limited Coverage, except to the extent that "fungus", wet or dry rot or bacteria cause an increase in the loss. Any such increase in the loss will be subject to the terms of this Limited Coverage.

5. The terms of this Limited Coverage do not increase or reduce the coverage provided under Paragraph F.2. (Water Damage, Other Liquids, Powder Or Molten Material Damage) of this Causes Of Loss form or under the Additional Coverage, Collapse.
6. The following, 6.a. or 6.b., applies only if Business Income and/or Extra Expense Coverage applies to the described premises and only if the "suspension" of "operations" satisfies all terms and conditions of the applicable Business Income and/or Extra Expense Coverage Form:
- a. If the loss which resulted in "fungus", wet or dry rot or bacteria does not in itself necessitate a "suspension" of "operations", but such "suspension" is necessary due to loss or damage to property caused by "fungus", wet or dry rot or bacteria, then our payment under Business Income and/or Extra Expense is limited to the amount of loss and/or expense sustained in a period of not more than 30 days. The days need not be consecutive.
 - b. If a covered "suspension" of "operations" was caused by loss or damage other than "fungus", wet or dry rot or bacteria but remediation of "fungus", wet or dry rot or bacteria prolongs the "period of restoration", we will pay for loss and/or expense sustained during the delay (regardless of when such a delay occurs during the "period of restoration"), but such coverage is limited to 30 days. The days need not be consecutive.

F. Additional Coverage Extensions

1. Property In Transit

This Extension applies only to your personal property to which this form applies.

- a. You may extend the insurance provided by this Coverage Part to apply to your personal property (other than property in the care, custody or control of your salespersons) in transit more than 100 feet from the described premises. Property must be in or on a motor vehicle you own, lease or operate while between points in the coverage territory.
- b. Loss or damage must be caused by or result from one of the following causes of loss:
 - (1) Fire, lightning, explosion, windstorm or hail, riot or civil commotion, or vandalism.
 - (2) Vehicle collision, upset or overturn. Collision means accidental contact of your vehicle with another vehicle or object. It does not mean your vehicle's contact with the roadbed.
 - (3) Theft of an entire bale, case or package by forced entry into a securely locked body or compartment of the vehicle. There must be visible marks of the forced entry.
- c. The most we will pay for loss or damage under this Extension is \$5,000.

This Coverage Extension is additional insurance. The Additional Condition, Coinsurance, does not apply to this Extension.

2. Water Damage, Other Liquids, Powder Or Molten Material Damage

If loss or damage caused by or resulting from covered water or other liquid, powder or molten material damage loss occurs, we will also pay the cost to tear out and replace any part of the building or structure to repair damage to the system or appliance from which the water or other substance escapes. This Coverage Extension does not increase the Limit of Insurance.

3. Glass

- a. We will pay for expenses incurred to put up temporary plates or board up openings if repair or replacement of damaged glass is delayed.
- b. We will pay for expenses incurred to remove or replace obstructions when repairing or replacing glass that is part of a building. This does not include removing or replacing window displays.

This Coverage Extension **F.3.** does not increase the Limit of Insurance.

G. Definitions

1. "Fungus" means any type or form of fungus, including mold or mildew, and any mycotoxins, spores, scents or by-products produced or released by fungi.
2. "Specified causes of loss" means the following: fire; lightning; explosion; windstorm or hail; smoke; aircraft or vehicles; riot or civil commotion; vandalism; leakage from fire-extinguishing equipment; sinkhole collapse; volcanic action; falling objects; weight of snow, ice or sleet; water damage.
 - a. Sinkhole collapse means the sudden sinking or collapse of land into underground empty spaces created by the action of water on limestone or dolomite. This cause of loss does not include:
 - (1) The cost of filling sinkholes; or
 - (2) Sinking or collapse of land into man-made underground cavities.
 - b. Falling objects does not include loss or damage to:
 - (1) Personal property in the open; or
 - (2) The interior of a building or structure, or property inside a building or structure, unless the roof or an outside wall of the building or structure is first damaged by a falling object.
 - c. Water damage means:
 - (1) Accidental discharge or leakage of water or steam as the direct result of the breaking apart or cracking of a plumbing, heating, air conditioning or other system or appliance (other than a sump system including its related equipment and parts), that is located on the described premises and contains water or steam; and

- (2) Accidental discharge or leakage of water or waterborne material as the direct result of the breaking apart or cracking of a water or sewer pipe caused by wear and tear, when the pipe is located off the described premises and is connected to or is part of a potable water supply system or sanitary sewer system operated by a public or private utility service provider pursuant to authority granted by the state or governmental subdivision where the described premises are located.

But water damage does not include loss or damage otherwise excluded under the terms of the Water Exclusion. Therefore, for example, there is no coverage under this policy in the situation in which discharge or leakage of water results from the breaking apart or cracking of a pipe which was caused by or related to weather-induced flooding, even if wear and tear contributed to the breakage or cracking. As another example, and also in accordance with the terms of the Water Exclusion, there is no coverage for loss or damage caused by or related to weather-induced flooding which follows or is exacerbated by pipe breakage or cracking attributable to wear and tear.

To the extent that accidental discharge or leakage of water falls within the criteria set forth in **c.(1)** or **c.(2)** of this definition of "specified causes of loss," such water is not subject to the provisions of the Water Exclusion which preclude coverage for surface water or water under the surface of the ground.

POLICY NUMBER:ZBS D215008 08

COMMERCIAL PROPERTY
CP 12 18 10 12**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.****LOSS PAYABLE PROVISIONS**

This endorsement modifies insurance provided under the following:

BUILDERS' RISK COVERAGE FORM
BUILDING AND PERSONAL PROPERTY COVERAGE FORM
CONDOMINIUM ASSOCIATION COVERAGE FORM
CONDOMINIUM COMMERCIAL UNIT-OWNERS COVERAGE FORM
STANDARD PROPERTY POLICY

SCHEDULE

Location Number:	Building Number:	Applicable Clause (Enter C.1., C.2., C.3. or C.4.):
Description Of Property:		
Loss Payee Name:		
Loss Payee Address:		
Information required to complete this Schedule, if not shown above, will be shown in the Declarations.		

- A.** When this endorsement is attached to the Standard Property Policy **CP 00 99**, the term Coverage Part in this endorsement is replaced by the term Policy.
- B.** Nothing in this endorsement increases the applicable Limit of Insurance. We will not pay any Loss Payee more than their financial interest in the Covered Property, and we will not pay more than the applicable Limit of Insurance on the Covered Property.
- C.** The following is added to the **Loss Payment** Loss Condition, as indicated in the Declarations or in the Schedule:

1. Loss Payable Clause

For Covered Property in which both you and a Loss Payee shown in the Schedule or in the Declarations have an insurable interest, we will:

- a.** Adjust losses with you; and
- b.** Pay any claim for loss or damage jointly to you and the Loss Payee, as interests may appear

2. Lender's Loss Payable Clause

- a.** The Loss Payee shown in the Schedule or in the Declarations is a creditor, including a mortgageholder or trustee, whose interest in Covered Property is established by such written instruments as:

- (1)** Warehouse receipts;
- (2)** A contract for deed;
- (3)** Bills of lading;
- (4)** Financing statements; or
- (5)** Mortgages, deeds of trust, or security agreements.

- b.** For Covered Property in which both you and a Loss Payee have an insurable interest:

- (1)** We will pay for covered loss or damage to each Loss Payee in their order of precedence, as interests may appear.
- (2)** The Loss Payee has the right to receive loss payment even if the Loss Payee has started foreclosure or similar action on the Covered Property.

- (3)** If we deny your claim because of your acts or because you have failed to comply with the terms of the Coverage Part, the Loss Payee will still have the right to receive loss payment if the Loss Payee:

- (a)** Pays any premium due under this Coverage Part at our request if you have failed to do so;
- (b)** Submits a signed, sworn proof of loss within 60 days after receiving notice from us of your failure to do so; and
- (c)** Has notified us of any change in ownership, occupancy or substantial change in risk known to the Loss Payee.

All of the terms of this Coverage Part will then apply directly to the Loss Payee.

- (4)** If we pay the Loss Payee for any loss or damage and deny payment to you because of your acts or because you have failed to comply with the terms of this Coverage Part:

- (a)** The Loss Payee's rights will be transferred to us to the extent of the amount we pay; and
- (b)** The Loss Payee's rights to recover the full amount of the Loss Payee's claim will not be impaired.

At our option, we may pay to the Loss Payee the whole principal on the debt plus any accrued interest. In this event, you will pay your remaining debt to us.

- c.** If we cancel this policy, we will give written notice to the Loss Payee at least:

- (1)** 10 days before the effective date of cancellation if we cancel for your nonpayment of premium; or
- (2)** 30 days before the effective date of cancellation if we cancel for any other reason.

- d.** If we elect not to renew this policy, we will give written notice to the Loss Payee at least 10 days before the expiration date of this policy.

3. Contract Of Sale Clause

- a. The Loss Payee shown in the Schedule or in the Declarations is a person or organization you have entered into a contract with for the sale of Covered Property.
- b. For Covered Property in which both you and the Loss Payee have an insurable interest, we will:
 - (1) Adjust losses with you; and
 - (2) Pay any claim for loss or damage jointly to you and the Loss Payee, as interests may appear.
- c. The following is added to the **Other Insurance** Condition:

For Covered Property that is the subject of a contract of sale, the word "you" includes the Loss Payee.

4. Building Owner Loss Payable Clause

- a. The Loss Payee shown in the Schedule or in the Declarations is the owner of the described building in which you are a tenant.
- b. We will adjust losses to the described building with the Loss Payee. Any loss payment made to the Loss Payee will satisfy your claims against us for the owner's property.
- c. We will adjust losses to tenants' improvements and betterments with you, unless the lease provides otherwise.

POLICY NUMBER: ZBS D215008 08

EMPLOYEE BENEFITS LIABILITY INSURANCE**THIS ENDORSEMENT PROVIDES CLAIMS-MADE
COVERAGE. PLEASE READ IT CAREFULLY.**

**This endorsement modifies insurance provided under the following:
COMMERCIAL GENERAL LIABILITY COVERAGE PART**

LIMITS OF INSURANCE		
Aggregate Limit		\$1,000,000
Each Claim Limit		\$1,000,000
Deductible Amount: \$1,000		
SCHEDULE		
Estimated Number of Employees	Rate per Employee:	Advance Premium
107		496.

A. The following replaces COVERAGE A;
COVERAGE B and COVERAGE C under
SECTION I - COVERAGES.

1. Insuring Agreement

- a. We will pay those sums the insured becomes legally obligated to pay as damages sustained by an employee, former employee or any of their beneficiaries or legal representatives because of any "wrongful acts" committed in the "administration" of the insured's "employee benefit program" by the insured or any other person, if the insured is legally responsible for the conduct of that person and which occur within the "coverage territory". We will have the right and duty to defend any "suit" seeking those damages. But:

- (1) The amount we will pay for damages is limited as described in SECTION III - LIMITS OF INSURANCE;

- (2) We may investigate or settle any claim or "suit" at our discretion: and

- (3) Our right and duty to defend end when we have used up the applicable limit of insurance in the payment of judgments and settlements.

No other obligation or liability to pay sums or perform acts or services is covered unless explicitly provided for under **SUPPLEMENTARY PAYMENTS.**

b. This insurance applies to "wrongful acts" only if:

- (1) The "wrongful act" takes place in the "coverage territory";
- (2) The "wrongful act" did not take place before the effective date or after the expiration date of this endorsement;

and

- (3) A claim for damages because of the “wrongful act” is made against any insured in accordance with paragraph c. below, during the period this endorsement is in effect.

Paragraph (2) does not apply to a “wrongful act” occurring before the effective date if the insured had no knowledge of such act, could not reasonably foresee any circumstances which might result in a claim or “suit” and does not have any other applicable insurance.

The period in which a claim can be made for a “wrongful act” as stated in Paragraph (3) will automatically be extended, if this endorsement is cancelled or non renewed, for a period of one year from the date of the cancellation or non renewal. This extended reporting period does not extend the policy period or change the scope of coverage in any way.

- c. A claim by a person or organization seeking damages will be deemed to have been made when notice of such claim is received by any insured or by us, whichever come first.
- d. Our obligation to pay damages on your behalf applies only to the amount of damages in excess of a \$1,000 deductible which will be applied as follows:
 - 1. The deductible will apply to all damages sustained by one person or organization as the result of any one claim.
 - 2. The limits of insurance applicable to each claim will be reduced by the amount of such deductible.
 - 3. The aggregate limit shall not be reduced by the deductible amount.

2. Exclusions

This insurance does not apply to:

- a. Any dishonest, fraudulent, criminal or malicious act, libel, slander, discrimination or humiliation.

- b. Bodily injury, sickness or disease sustained by any person including death resulting from any of these.
 - c. Physical injury to tangible property, including all resulting loss of use of that property and the loss of use of tangible property that is not physically injured.
 - d. Any claim arising out of the failure of performance of contract by any insurer, group administrator or health maintenance organization including failure of any “employee benefit program”.
 - e. Any obligation of the insured under a workers compensation, disability benefits or unemployment compensation law or similar law.
 - f. Any claim arising out of:
 - (1) Failure of stock to perform as represented by the insured;
 - (2) Advice given by an insured to an employee to participate or not participate in stock subscription plans;
 - (3) The investment or non investment of funds;
 - (4) The payment or non payment of benefits under any “employee benefit program”.
 - g. Any violation(s) of any civil rights law.
 - h. Any violation(s) of any provision(s) of the Employee Retirement Income Security Act of 1974 or any amendments to that act.
 - i. An insufficiency of funds to meet any obligation under any “employee benefit program”.
 - j. Any fiduciary liability imposed by the Employee Retirement Income Security Act of 1974 or any amendments to that act.
- B. SUPPLEMENTARY PAYMENTS under SECTION I - COVERAGE is amended as follows:
- 1. Paragraph 2 is deleted.

C. SECTION II - WHO IS INSURED is amended as follows:

1. Paragraph 2 is replaced by the following
 2. Your employees are also insureds provided those employees are authorized by you to act in the "administration" of your "employee benefit program".
 2. Paragraphs 3 and 4 are deleted.
- D. SECTION III - LIMITS OF INSURANCE is replaced by the following:
1. The limit of insurance shown in the schedule for each claim is the most we will pay for the sum of damages from any one "wrongful act", regardless of the number of:
 - a. Insureds;
 - b. Claims made or "suits" brought; or
 - c. Persons or organizations making claims or bringing "suits".
 2. The aggregate limit is the most we will pay for the sum of all damages from all "wrongful acts".

The limits of this endorsement apply separately to each consecutive policy period as stated in the declarations.

For the purposes of determining limits of insurance if this endorsement is cancelled or nonrenewed the additional reporting period will be deemed to be part of that portion of the last policy period during which this endorsement was in effect for cancellations or the last preceding policy period for nonrenewals.

E. SECTION IV - CONDITIONS is amended as follows:

1. Conditions 2, 4 and 5 are replaced by the following:
2. Duties In The Event Of A Negligent Act, Error, Omission, Breach Of Duty, Claim Or Suit
 - a. You must see to it that we are notified as soon as practicable of any negligent act, error, omission or breach of duty which may result in

a claim. The notice should include:

- (1) How, when and where the act, error, omission or breach of duty took place.
 - (2) The names and addresses of any persons who sustain damages and any witnesses.
- b. If a claim is made or a "suit" is brought against us you must:
- (1) Immediately send us copies of any demands, notices, summonses or legal papers received in connection with the claim or "suit".
 - (2) Authorize us to obtain records and other information;
 - (3) Cooperate with us in the investigation, settlement or defense of the claim or "suit" and;
 - (4) Assist us, upon request, in the enforcement of any right against any person or organization which may be liable to the "insured" because of injury or damage to which this insurance may also apply.
- c. No "insured" will, except at their own cost, voluntarily make a payment, assume any obligation or incur any expense, without our consent.
4. Premiums
- The premium shown on the schedule is an estimated premium only. At the end of the policy period you shall, upon our request, furnish us with a statement of any personnel changes since the effective date of this coverage. We will then compute the earned premium based on our rules and rates. If the earned premium exceeds the estimated premium you shall pay the excess to us; if it is less we will return the difference to you.
5. Other Insurance
- If other valid and collectable insurance is available to the insured our obligations are limited as follows:

- a. The insurance provided by this endorsement is primary except when b. below applies. If this insurance is primary our obligations are not affected unless any of the other insurance is also primary. Then, we will share with all that other insurance by the method described in c. below.
 - b. The insurance provided by this endorsement is excess over any of the other insurance, whether primary, excess, contingent or on any other basis, that is effective prior to our continues after the effective date of this endorsement and that applies on other than a claims-made basis.
 - c. If all the other insurance permits contribution by equal shares, we will follow this method also. Under this approach each insurer contributes equal amounts until it has paid its applicable limit of insurance or none of the loss remains, whichever comes first.

If any of the other insurance does not permit contribution by equal shares we will contribute by limits. Under this method, each insurer's share is based on the ratio of its applicable limit of insurance to the total applicable limits of insurance of all insurers.
- 2. "Coverage territory" means the United States of America (including its territories and possessions), Puerto Rico and Canada.
 - 3. "Employee benefit program" means Group Life Insurance, Group Health Insurance, Profit Sharing Plans, Employee Stock Subscription Plans, Workers Compensation Insurance, Unemployment Compensation Insurance, Disability Benefits Insurance, Pension Plans, Social Security and Travel, Savings or Vacation Plans.
 - 4. "Suit" means a civil proceeding in which damages to which this insurance applies are alleged. "Suit" includes an arbitration proceeding alleging such damages to which you must submit or do submit with our consent or any other alternative dispute resolution proceeding in which such damages are claimed and to which you submit with our consent.
 - 5. "Wrongful act" means any negligent act, error, omission or breach of duty committed by an insured in the "administration" of the insured's "employee benefit program".

F. SECTION V - DEFINITIONS is replaced by the following:

- 1. "Administration" means the following provided these acts are authorized by you:
 - a. Counseling employees with respect to the "employee benefit program".
 - b. Interpreting the "employee benefit program".
 - c. Record-keeping in connection with the "employee benefit program".
 - d. Enrollment, termination or cancellation of employees under the "employee benefit program".

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

ASBESTOS LIABILITY EXCLUSION

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS POLICY COMMERCIAL GENERAL LIABILITY COVERAGE PART

This insurance does not apply to “bodily injury”, “property damage”, “personal injury” or “advertising injury” arising out of any actual or alleged:

1. Inhaling, ingesting or prolonged physical exposure by any person to asbestos or asbestos fibers or goods or products containing asbestos; or
2. Use of asbestos in constructing or manufacturing any good, product or structure; or
3. Intentional or accidental removal including encapsulation, dispersal, sealing or disposal of asbestos or asbestos fibers from any good, product or structure; or
4. Manufacture, transportation, storage or disposal of asbestos or goods or products containing asbestos; or
5. Product manufactured, sold, handled or distributed by or on behalf of the insured which contain asbestos; or
6. Acts or omissions of the insured in connection with the general supervision of any job involving the removal, enclosure, encapsulation, dispersal, sealing or disposal of asbestos, asbestos fibers or products containing asbestos.

General supervision includes the rendering of or failure to render any instructions, recommendations, warnings or advice.

It is hereby understood and agreed that the following forms do not apply to the 04-01-20 through 04-01-21 term:

421-2318 04 20 Professional Liability Coverage Endorsement - Separate Limits Of Insurance (Occurrence)

421-2319 04 20 Professional Services Exclusion, With The Exception Of Medical Professional Liability Endorsements

421-2919 04 20 Commercial General Liability Enhancement Endorsement - Healthcare

421-2922 04 20 Important Notice To Policyholders Durable Medical Equipment Home Health Care Exclusions and Changes

421-4836 04 20 Miscellaneous Medical and Professional Services Definition - Broad Form

421-4928 04 20 New York Changes - Healthcare

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

EXCLUSION – ABUSE OR MOLESTATION

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

The following exclusion is added to **SECTION I – COVERAGES, COVERAGE A – BODILY INJURY AND PROPERTY DAMAGE LIABILITY, 2. Exclusions** and **COVERAGE B – PERSONAL AND ADVERTISING INJURY LIABILITY, 2. Exclusions**:

Abuse or Molestation

This insurance does not apply to "bodily injury", "property damage" or "personal and advertising injury" arising out of:

- (1) The actual or threatened abuse or molestation by anyone of any person, whether or not the abuse or molestation was specifically intended or resulted from negligent conduct, or whether or not any insured subjectively intended the injury or damage for which a claim is made; or
- (2) The negligent:

- (a) Employment;
- (b) Investigation;
- (c) Supervision;
- (d) Reporting to the proper authorities, or failure to so report; or
- (e) Retention;
of a person for whom any insured is or ever was legally responsible and whose conduct would be excluded by Paragraph 1. above.

This exclusion applies except to the extent insurance is available under any endorsement providing physical abuse, sexual misconduct or sexual molestation liability coverage.

ALL OTHER TERMS, CONDITIONS, AND EXCLUSIONS REMAIN UNCHANGED.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

SCOPE OF LICENSURE ENDORSEMENT

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

This insurance does not apply to "bodily injury", "property damage" or "personal and advertising injury" arising out of an "occurrence" when the Named Insured or any insured listed under **Section II – Who Is An Insured:**

1. does not have; or
2. has had revoked; or
3. has had suspended, or

4. has been required to surrender; or
5. has had terminated in any way

the required license needed for the admission and subsequent treatment or care of a patient and/or resident, or the required license needed for the performance of duties within the scope of employment by the Named Insured.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

Punitive Damages Exclusion

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

This insurance does not apply to any sum awarded for punitive damages, exemplary damages, multiplied damages, fines, penalties or liquidated damages. Any adjustments to fees or government payments are also excluded.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

NEW YORK PHYSICAL ABUSE, SEXUAL MISCONDUCT OR SEXUAL MOLESTATION LIABILITY COVERAGE (OCCURRENCE – SUBLIMIT)

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

SCHEDULE

"Physical Abuse, Sexual Misconduct or Sexual Molestation" Each Incident Limit:	\$300,000
"Physical Abuse, Sexual Misconduct or Sexual Molestation" Aggregate Limit:	\$300,000

(If no entry appears above, information required to complete this endorsement will be shown in the Declarations as applicable to this endorsement.)

Except for the insurance provided by this endorsement, the Coverage Part to which this endorsement is attached does not apply to any claim or "suit" seeking damages arising out of any actual or alleged "physical abuse, sexual misconduct or sexual molestation incident".

A. For the purpose of coverage provided by this endorsement, the following is added to **SECTION I – COVERAGES, COVERAGE A – BODILY INJURY AND PROPERTY DAMAGE LIABILITY**:

PHYSICAL ABUSE, SEXUAL MISCONDUCT AND SEXUAL MOLESTATION

a. We will pay those sums the insured becomes legally obligated to pay as damages because of "injury" arising out of a "physical abuse, sexual misconduct or sexual molestation incident" to which this insurance applies. We will have the right and duty to defend the insured against any "suit" seeking those damages even if the allegations of the "suit" are groundless, false, or fraudulent. However, we will have no duty to defend the insured against any "suit" seeking damages for "injury" to which this insurance does not apply. We may, at our discretion, investigate any "physical abuse, sexual misconduct or sexual molestation incident" and settle any claim or "suit" that may result. But:

- (1) The amount we will pay for damages is limited as described in **SECTION III – LIMITS OF INSURANCE** as modified below; and
- (2) Our right and duty to defend ends when we have used up the applicable limit of insurance in the payment of judgments or settlements.

No other obligation or liability to pay sums or perform acts or services is covered unless expressly provided for under

SUPPLEMENTARY PAYMENTS – COVERAGES A AND B.

b. This insurance applies to "injury" only if:

- (1) The "injury" arises out of a "physical abuse, sexual misconduct or sexual molestation incident" that takes place in the "coverage territory";
- (2) The first act of a "physical abuse, sexual misconduct or sexual molestation incident" occurs during the policy period; and
- (3) Prior to the policy period no insured listed under **SECTION II – WHO IS AN INSURED** Paragraph 1. and no "employee" authorized by you to give or receive notice of a "physical abuse, sexual misconduct or sexual molestation incident" or claim knew that the "physical abuse, sexual misconduct or sexual molestation incident" had occurred, in whole or in part. If such a listed insured or authorized "employee" knew prior to the policy period that the "physical abuse, sexual misconduct or sexual molestation incident" occurred, then any multiple, continuous, related or repeated acts of such "physical abuse, sexual misconduct or sexual molestation incident" during or after the policy period will be deemed to have been known prior to the policy period.

c. A "physical abuse, sexual misconduct or sexual molestation incident" which occurs during the policy period and was not, prior to the policy period, known to have occurred by any insured listed under **SECTION II – WHO**

IS AN INSURED Paragraph 1. or any "employee" authorized by you to give or receive notice of a "physical abuse, sexual misconduct or sexual molestation incident" or claim, includes any multiple, continuous, related or repeated acts of such "physical abuse, sexual misconduct or sexual molestation incident" after the end of the policy period.

- d. A "physical abuse, sexual misconduct or sexual molestation incident" will be deemed to have been known to have occurred at the earliest time when any insured listed under **SECTION II – WHO IS AN INSURED**, Paragraph 1. or any "employee" authorized by you to give or receive notice of a "physical abuse, sexual misconduct or sexual molestation incident" or claim:

- (1) Reports all or any part of the "physical abuse, sexual misconduct or sexual molestation incident" to us or any other insurer;
- (2) Receives a written or verbal demand or claim for damages because of the "physical abuse, sexual misconduct or sexual molestation incident"; or
- (3) Becomes aware by any other means that the "physical abuse, sexual misconduct or sexual molestation incident" has occurred or has begun to occur.

- B. For the purpose of coverage provided by this endorsement, **SECTION I – COVERAGES, COVERAGE A – BODILY INJURY AND PROPERTY DAMAGE LIABILITY, 2. Exclusions** is replaced by the following:

2. Exclusions

The insurance provided under this endorsement does not apply to:

a. Participating In or Knowingly Allowing "Physical Abuse, Sexual Misconduct or Sexual Molestation"

Any person who participated in, knowingly allowed or directed any "physical abuse, sexual misconduct or sexual molestation incident".

b. Dishonest, Fraudulent, Criminal, Wrongful or Malicious Act

"Injury" arising out of any intentional, dishonest, fraudulent, criminal, wrongful or malicious act committed by, knowingly allowed, or directed by the insured, including the willful or reckless violation of any statute or law.

This exclusion applies even if:

- (1) The insured or the person causing the "injury" lacks the mental capacity to control or govern his or her own conduct; or
- (2) The insured or the person causing the "injury" temporarily lacks the capacity to control or govern his or her own conduct or is temporarily unable to form any intent to cause harm.

This exclusion applies regardless whether the insured or the person causing the "injury" is actually charged with or convicted of a crime.

c. Sex Discrimination

"Injury" arising out of sex discrimination.

d. Contractual

Liability assumed by any insured under any contract or agreement. This exclusion does not apply to liability for damages that the insured would have in the absence of the contract or agreement.

e. Workers Compensation

Any obligation of any insured under a workers' compensation, disability benefits, or unemployment compensation law or any similar law.

f. Employer's Liability

Any claim made by or on behalf of:

- (1) Any "employee" of the insured arising out of and in the course of employment by any insured; or
- (2) Any person as a consequence of (1) above.

This exclusion applies:

- (3) Whether any insured may be liable as an employer or in any other capacity; and
- (4) To any obligation to share damages with or repay someone else who must pay damages because of "injury".

g. Employment-Related Practices

Any "claim" by or on behalf of:

- (1) A person arising out of any:
 - (a) Refusal to employ that person;
 - (b) Termination of that person's employment; or
 - (c) Employment-related practices, policies, acts or omissions, such as coercion, demotion, evaluation, reassignment, discipline, defamation, harassment,

humiliation or discrimination directed at that person; or

- (2) Any person as a consequence of "injury" to that person at whom any of the employment-related practices described in paragraphs (a), (b), or (c) above is directed.

This exclusion applies:

- (3) Whether the insured may be liable as an employer or in any other capacity; and
- (4) To any obligation to share damages with or repay someone else who must pay damages because of the "injury".

h. Punitive or Exemplary Damages

Any sum awarded for punitive, exemplary, or multiplied damages, taxes, fines or penalties arising out of any "physical abuse, sexual misconduct or sexual molestation incident".

i. "Injury", "Property Damage", "Personal and Advertising Injury"

- (1) "Injury" for which insurance is provided by other insurance, or which would have been provided but for the exhaustion of limits; or
- (2) "Property damage"; or
- (3) "Personal and advertising injury", except to the extent provided in this endorsement.

j. Prior Incident

"Injury" that results from a "physical abuse, sexual misconduct or molestation incident" that first commenced prior to the beginning of the policy period for this insurance.

C. For the purpose of coverage provided by this endorsement, the following is added to **SECTION II – WHO IS AN INSURED:**

However, none of the following is an insured for the purpose of coverage provided by this endorsement:

1. Any person who participated in, knowingly allowed or directed a "physical abuse, sexual misconduct or sexual molestation incident"; or
2. Any person who knew of a "physical abuse, sexual misconduct or sexual molestation incident" and failed to comply with any applicable federal, state or local laws, ordinances or regulations which require the reporting of such incident.

D. For the purpose of the coverage provided by this endorsement, **SECTION III – LIMITS OF INSURANCE is replaced by the following:**

SECTION III – LIMITS OF INSURANCE

1. The Limits of Insurance shown in the Schedule above and the rules below fix the most we will pay regardless of the number of:
 - a. Insureds;
 - b. Claims made or "suits" brought; or
 - c. Persons or organizations making claims or bringing "suits".
2. The "Physical Abuse, Sexual Misconduct or Sexual Molestation" Aggregate Limit is the most we will pay for all damages because or arising in any way out of "physical abuse, sexual misconduct or sexual molestation" to which this insurance applies.
3. Subject to the "Physical Abuse, Sexual Misconduct or Sexual Molestation" Aggregate Limit, the "Physical Abuse, Sexual Misconduct or Sexual Molestation" Each Incident Limit is the most we will pay for all damages sustained in any one "physical abuse, sexual misconduct or sexual molestation incident".
4. The "Physical Abuse, Sexual Misconduct or Sexual Molestation" Each Incident Limit is included within and not in addition to the Each Occurrence Limit of the Commercial General Liability Coverage Part. The "Physical Abuse, Sexual Misconduct or Sexual Molestation" Aggregate Limit is included within and not in addition to the General Aggregate Limit of the Commercial General Liability Coverage Part.
5. The Limits of Insurance of this endorsement apply separately to each consecutive annual period and to any remaining period of less than 12 months, starting with the beginning of the policy period shown in the Declarations, unless the policy period is extended after issuance for an additional period of less than 12 months. In that case, the additional period annual Physical Abuse, Sexual Misconduct or Sexual Molestation Aggregate Limit will be increased in proportion to the policy period extension.

E. For the purpose of coverage provided by this endorsement, **SECTION IV – COMMERCIAL GENERAL LIABILITY CONDITIONS, 2. Duties in the Event of an Act, Error, Omission, Claim or "Suit", paragraph a. is replaced by the following:**

2. **Duties in the Event of an Act, Error, Incident, Omission, Claim or "Suit"**
 - a. You must see to it that we are notified as soon as practicable of a "physical abuse, sexual misconduct or sexual molestation

incident" or an act, error, incident, omission, claim or "suit" which may result in a claim. Notice should include:

- (1) How, when and where the "physical abuse, sexual misconduct or sexual molestation incident" or act, error or omission took place;
- (2) The names and addresses of any injured persons and witnesses; and
- (3) The nature of any "injury" arising out of the "physical abuse, sexual misconduct or sexual molestation incident" or act, error or omission.

F. For the purpose of coverage provided by this endorsement, the following is added to **SECTION IV – GENERAL LIABILITY CONDITIONS:**

Transfer of Duties When a Limit of Insurance Is Used Up

- a.** If we conclude that, based on "physical abuse, sexual misconduct or sexual molestation incidents", claims or "suits" which have been reported to us and to which this insurance may apply, the:

- (1) "Physical Abuse, Sexual Misconduct or Sexual Molestation" Aggregate Limit; or
- (2) "Physical Abuse, Sexual Misconduct or Sexual Molestation" Each Incident Limit

is likely to be used up in the payment of judgments or settlements, we will notify the first Named Insured, in writing, to that effect.

- b.** When a limit of insurance described in paragraph **a.** above has actually been used up in the payment of judgments or settlements:

- (1) We will notify the first Named Insured, in writing, as soon as practicable, that:
 - (a) Such a limit has actually been used up; and
 - (b) Our duty to defend "suits" seeking damages subject to that limit has also ended.
- (2) We will initiate, and cooperate in, the transfer of control, to any appropriate insured, of all claims and "suits" seeking damages which are subject to that limit and which are reported to us before that limit is used up. That insured must cooperate in the transfer of control of said claims and "suits".

We agree to take such steps, as we deem appropriate, to avoid a default in, or continue the defense of, such "suits" until such transfer is completed, provided the appropriate insured is cooperating in completing such transfer.

We will take no action whatsoever with respect to any claim or "suit" seeking damages that would have been subject to that limit, had it not been used up, if the claim or "suit" is reported to us after that limit of insurance has been used up.

- (3) The first Named Insured, and any other insured involved in a "suit" seeking damages subject to that limit, must arrange for the defense of such "suit" within such time period as agreed to between the appropriate insured and us. Absent any such agreement, arrangements for the defense of such "suit" must be made as soon as practicable.

- c.** The first Named Insured will reimburse us for expenses we incur in taking those steps we deem appropriate in accordance with paragraph **b.(2)** above.

The duty of the first Named Insured to reimburse us will begin on:

- (1) The date on which the applicable limit of insurance is used up, if we sent notice in accordance with paragraph **a.** above; or
- (2) The date on which we sent notice in accordance with paragraph **b.(1)** above, if we did not send notice in accordance with paragraph **a.** above.

- d.** The exhaustion of any limit of insurance by the payments of judgments or settlements, and the resulting end of our duty to defend, will not be affected by our failure to comply with any of the provisions of this Condition.

G. For the purpose of coverage provided by this endorsement, the following are added to **SECTION V – DEFINITIONS:**

1. "Injury" means

- a.** "Bodily injury";
- b.** Mental anguish or emotional distress;
- c.** Oral, written or electronic publication of material that slanders or libels a person or organization;
- d.** Oral, written or electronic publication of material that violates a person's right of privacy; or
- e.** Wrongful entry into, or invasion of the right of private occupancy of a room, dwelling or premises that a person occupies, committed by or on behalf of its owner, landlord or lessor;

caused by a "physical abuse, sexual misconduct or sexual molestation incident".

2. "Physical abuse, sexual misconduct or sexual molestation" means actual or alleged physical abuse, sexual misconduct or sexual molestation arising out of a single, continuous or repeated exposure of one or more persons to acts of a physical abuse or sexual nature committed by:

- a. One person; or
- b. Two or more persons acting together or in related acts or series of acts.

However, "physical abuse, sexual misconduct or sexual molestation" does not include employment-related sexual harassment.

3. "Physical abuse, sexual misconduct or sexual molestation incident" means an act or multiple, continuous, related or repeated acts of "physical abuse, sexual misconduct or sexual molestation" by one person or two or more persons acting together. All acts of "physical abuse, sexual misconduct or sexual molestation" by any one person, or two or

more persons acting together will be deemed as one incident. The "physical abuse, sexual misconduct or sexual molestation incident" will be deemed to occur when the first "physical abuse, sexual misconduct or sexual molestation incident" takes place regardless of:

- a. The number of persons injured;
- b. The time period over which the "injury" took place;
- c. The number of such acts; or
- d. Whether each such person participated in each act.

All "physical abuse, sexual misconduct or sexual molestation incidents" by one person, or two or more persons acting together will be considered one "physical abuse, sexual misconduct or sexual molestation incident".

ALL OTHER TERMS AND CONDITIONS OF THE POLICY REMAIN UNCHANGED.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

BUILDING CLEANING AND MAINTENANCE CONTRACTORS GENERAL LIABILITY BROAD FORM ENDORSEMENT

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

SUMMARY OF COVERAGES

Coverage	Limit	Deductible
Lost Key Occurrence Limit		
Property in your Care, Custody or Control Occurrence Limit		
Theft of Customer Property Aggregate Limit		

If "none" or no Limit or Deductible is entered in the Schedule, the coverage has not been purchased and is not available.

A. LOST KEY COVERAGE

For the purpose of Lost Key Coverage provided by this endorsement:

1. The following exception is added to exclusion j. **Damage To Property** in Paragraph 2. **Exclusions** of **SECTION I – COVERAGES, COVERAGE A – BODILY INJURY AND PROPERTY DAMAGE LIABILITY**:

Paragraph (3) and (4) do not apply to the legal liability of any insured for the loss of a customer's keys in the course of your building cleaning or maintenance services.

The insurance provided by this provision applies only to:

- a. The actual cost of the keys that are lost;
 - b. The cost to adjust locks to accept new keys; and
 - c. The cost of new locks, including the cost of their installation.
2. The following exclusion is added to Paragraph 2. **Exclusions** of **SECTION I – COVERAGES, COVERAGE A – BODILY INJURY AND PROPERTY DAMAGE LIABILITY**:

Theft by an Insured:

With respect to the insurance provided under **Section A. Lost Key Coverage**, this insurance does not apply to theft committed by, or aided or abetted by, any insured.

3. The following is added to **SECTION II – WHO IS AN INSURED**, Paragraph 2.a.(2):

Your "employees" and "volunteer workers" are insureds, but only with respect to the insurance provided under **Section A. Lost Key Coverage**.

4. The following is added to **SECTION III – LIMITS OF INSURANCE**:

a. Lost Key Occurrence Limit

If a limit is shown in the schedule above for Lost Key Occurrence Limit, the Limit shown is the most we will pay for the sum of damages under **Section A. Lost Key Coverage** arising out of any one "occurrence".

The **Lost Key Occurrence Limit**:

- (1) Is subject to the General Aggregate Limit described in Paragraph 2. General Aggregate Limit of **Section III – Limits of Insurance**; and
- (2) Is not subject to the Each Occurrence Limit described in Paragraph 5. Each Occurrence Limit of **Section III – Limits of Insurance**.

b. Lost Key Deductible

Our obligation under **Section A. Lost Key Coverage** to pay damages on your behalf applies only to the amount of damages in excess of the deductible amount shown in the Schedule above or in the Declarations as applicable to such coverage.

- (1) The deductible amounts stated in the Schedule above or in the Declarations apply to all damages because of

"property damage" resulting from any one "occurrence", regardless of the number of persons or organizations who sustain damages because of that "occurrence".

(2) We may pay any part or all of the deductible amount to effect settlement of any claim or "suit" and, upon notification of the action taken, you shall promptly reimburse us for such part of the deductible amount that as has been paid by us.

(3) The terms of this insurance apply irrespective of the application of the deductible amount, including those terms with respect to:

(a) Our right and duty to defend any "suits" seeking those damages; and

(b) Your duties in the event of an "occurrence", claim or "suit"

B. PROPERTY IN YOUR CARE, CUSTODY OR CONTROL COVERAGE

For the purpose of Property in Your Care, Custody or Control Coverage provided by this endorsement:

1. **SECTION I – COVERAGES, COVERAGE A BODILY INJURY AND PROPERTY DAMAGE LIABILITY**, Paragraph 1. **Insuring Agreement** applies only to "property damage" arising out of your building cleaning and maintenance services operations.

2. The following exceptions are added to **SECTION I – COVERAGES, COVERAGE A – BODILY INJURY AND PROPERTY DAMAGE LIABILITY**, Paragraph 2. **Exclusions**, exclusion j. **Damage To Property**:

a. Paragraph (3) does not apply to property loaned to you, but only while being used in the performance of your building cleaning or maintenance services;

b. Paragraph (4) does not apply to personal property in the care, custody or control of an insured, but only when such insured is acting within the scope of performing your building cleaning or maintenance services;

c. Paragraph (5) does not apply to that particular part of real property on which you or any contractors or subcontractors working directly or indirectly on your behalf are performing building cleaning or

maintenance services, if the "property damage" arises out of such operations; or

d. Paragraph (6) does not apply to that particular part of any property that must be restored, repaired or replaced because "your work" related to your building cleaning or maintenance services was incorrectly performed on it.

3. The following exclusion is added to Paragraph 2. **Exclusions of SECTION I – COVERAGES, COVERAGE A – BODILY INJURY AND PROPERTY DAMAGE LIABILITY**:

This insurance does not apply to:

a. Lost Keys

(1) The actual cost of the keys that are lost;

(2) The cost to adjust locks to accept new keys; and

(3) The cost of new locks, including the cost of their installation.

b. Theft of Customer Property

Loss arising out of the theft of your customer's property.

4. The following is added to **SECTION II – WHO IS AN INSURED**, Paragraph 2.a.(2):

Your "employees" and "volunteer workers" are insureds, but only with respect to the insurance provided under **Section B – Property in your Care Custody or Control Coverage**.

5. The following is added to **SECTION III – LIMITS OF INSURANCE**:

a. Property in Your Care, Custody or Control Occurrence Limit

If a limit is shown in the schedule above for Property in Your Care Custody or Control Occurrence Limit, the Limit shown is the most we will pay for the sum of all damages under **Section B – Property in Your Care, Custody or Control Coverage** arising out of any one "occurrence".

The **Property in Your Care, Custody or Control Occurrence Limit**:

(1) Is subject to, and not in addition to, the General Aggregate Limit described in Paragraph 2. General Aggregate Limit of **Section III – Limits of Insurance**; and

- (2) Is subject to, and not in addition to, the Each Occurrence Limit described in Paragraph 5. Each Occurrence Limit of **Section III – Limits of Insurance.**

b. Property in Your Care, Custody or Control Deductible

Our obligation under **Section B. Property in Your Care Custody or Control Coverage** to pay damages on your behalf applies only to the amount of damages in excess of the deductible amount shown in the Schedule above or in the Declarations as applicable to such coverage.

- (1) The deductible amounts stated in the Schedule above or in the Declarations apply to all damages because of “property damage” as the result of any one “occurrence” regardless of the number of persons or organizations who sustain damages because of that “occurrence”.
- (2) We may pay any part or all of the deductible amount to effect settlement of any claim or “suit” and, upon notification of the action taken, you shall promptly reimburse us for such part of the deductible amount that as has been paid by us.
- (3) The terms of this insurance apply irrespective of the application of the deductible amount, including those terms with respect to:
- (a) Our right and duty to defend any “suits” seeking those damages; and
- (b) Your duties in the event of an “occurrence”, claim or “suit”

C. THEFT OF CUSTOMER PROPERTY – LEGAL LIABILITY COVERAGE

For the purpose of Theft of Customer Property – Legal Liability Coverage provided by this endorsement:

1. **SECTION I – COVERAGES, COVERAGE A BODILY INJURY AND PROPERTY DAMAGE LIABILITY**, Paragraph 1. **Insuring Agreement** applies only to your legal liability for theft of your customer’s tangible property arising out of your building cleaning or maintenance services operations.
2. The definition of “property damage” in **SECTION V – DEFINITIONS** is replaced by the following:

17. “Property Damage” means:

Theft of your customer’s tangible property, including all resulting loss of use of that property. All such loss of use shall be deemed to occur at the time of the “occurrence” that caused it.

As used in this definition, theft includes burglary, robbery and mysterious disappearance. For the purposes of this definition only, theft of your customer’s tangible property is deemed to be caused by an “occurrence”.

3. The following exclusions are added to Paragraph 2. **Exclusions of SECTION I – COVERAGES, COVERAGE A – BODILY INJURY AND PROPERTY DAMAGE LIABILITY:**

This insurance does not apply to:

a. Lost Keys

- (1) the actual cost of the keys that are lost;
- (2) the cost to adjust locks to accept new keys; and
- (3) the cost of new locks, including the cost of their installation.

b. Theft by an Insured

Loss arising out of theft committed by, or aided or abetted by, any insured.

3. The following is added to **SECTION III - LIMITS OF INSURANCE:**

a. Theft of Customer Property Aggregate Limit

If a limit is shown in the Schedule above for Theft of Customer Property Aggregate Limit the Aggregate Limit shown is the most we will pay for the sum of all damages under **Section C. Theft of Customer Property Coverage (Legal Liability).**

The Theft of Customer Property Aggregate Limit:

- (1) Is not subject to the General Aggregate Limit described in Paragraph 2. General Aggregate Limit of **Section III – Limits of Insurance**; and
- (2) Is not subject to the Each Occurrence Limit described in Paragraph 5. Each Occurrence Limit of **Section III – Limits of Insurance**

b. Theft of Customer Property Deductible

Our obligation under **Section C. Theft of Customer Property Coverage (Legal Liability)** to pay damages on your behalf applies only to the amount of damages in excess of the deductible amount shown in the Schedule above or in the Declarations as applicable to such coverage.

- (1) The deductible amounts stated in the Schedule above or in the Declarations apply to all damages because of "property damage" as the result of any one "occurrence" regardless of the number of persons or organizations who sustain damages because of that "occurrence".
- (2) We may pay any part or all of the deductible amount to effect settlement of any claim or "suit" and, upon notification of the action taken, you shall promptly reimburse us for such part of the deductible amount that as has been paid by us.
- (3) The terms of this insurance apply irrespective of the application of the deductible amount, including those terms with respect to:

- (a) Our right and duty to defend any "suits" seeking those damages; and
- (b) Your duties in the event of an "occurrence", claim or "suit"

D. Applicable to each coverage provided by this endorsement, the following is added:

It is our stated intent that the various coverage parts, forms, endorsements or policies issued to the named insured by us, or any company affiliated with us, do not provide any duplication or overlap of coverage for the same claim or "suit". If this endorsement and any other coverage part, form, endorsement or policy issued to the named insured by us, or any company affiliated with us, apply to the same claim, "suit", occurrence, offense, accident, negligent act, error or omission, or loss, the maximum Limit of Insurance under all such coverage parts, forms, endorsements or policies combined shall not exceed the highest applicable Limit of Insurance under any one coverage part, form, endorsement or policy.

This condition does not apply to any Excess or Umbrella Policy issued by us specifically to apply as excess insurance over this policy.

ALL OTHER TERMS, CONDITIONS, AND EXCLUSIONS REMAIN UNCHANGED.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

PROFESSIONAL LIABILITY COVERAGE ENDORSEMENT - SEPARATE LIMITS OF INSURANCE (OCCURRENCE) – BROAD FORM

This endorsement modifies the insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

SCHEDULE – PROFESSIONAL LIABILITY LIMITS OF INSURANCE

Professional Liability Each Occurrence Limit:	\$ 1,000,000
Professional Liability Aggregate Limit:	\$ 3,000,000

(If no entry appears above, information required to complete this endorsement will be shown in the Declarations as applicable to this endorsement.)

A. For the purposes of coverage provided by this endorsement, the following is added to **SECTION I – COVERAGES, COVERAGE A BODILY INJURY AND PROPERTY DAMAGE LIABILITY, Paragraph 1. Insuring Agreement:**

f. “Bodily injury” arising out of providing or failing to provide “Miscellaneous Medical and Professional Services” shall be deemed to be caused by an “occurrence”.

B. For the purposes of coverage provided by this endorsement, the following exclusions are added to **SECTION I – COVERAGES, COVERAGE A BODILY INJURY AND PROPERTY DAMAGE LIABILITY, Paragraph 2. Exclusions:**

This insurance does not apply to:

Medical Professional Services

Any claim arising out of providing or failing to provide medical professional services by any physician, surgeon, physicians assistant, nurse practitioner, medical intern, medical resident, dentist, psychiatrist or chiropractor.

Unlicensed Professional Services

Any medical or professional service performed by any individual who is not properly licensed for such service in the state where such service is performed.

Dishonest or Criminal Acts

Any claim arising out of any dishonest, fraudulent, criminal, or malicious act or omission or any willful violation of law by the insured.

Medical Institution or Business

Liability of the insured as:

a. Owner, superintendent, administrator, director, trustee, or manager of any hospital, sanitarium, medical clinic, nursing home, or surgery center; or

b. Owner, superintendent, administrator, director, trustee, or manager of any other institution or business which provides medical services, except for “Miscellaneous Medical and Professional Services” related to the conduct of your business.

Management or Administration

Any claim arising out of acts, errors or omissions of a managerial or administrative nature.

C. For the purposes of coverage provided by this endorsement, **SECTION II – WHO IS AN INSURED, Paragraph 2.a.(1)(d)** is replaced by the following:

(d) Arising out of his or her providing or failing to provide professional health care services. This exception does not apply to:

1. “Bodily injury” arising out of providing or failing to provide “Miscellaneous Medical and Professional Services”; or
2. “Bodily injury” for which the insured may be held liable arising from supervision of Miscellaneous Medical and Professional Services”.

D. For the purposes of coverage provided by this endorsement, the following is added to **SECTION II – WHO IS AN INSURED:**

No person or organization is an insured for “bodily injury” arising out of providing or failing to provide professional health care services which are not “Miscellaneous Medical and Professional Services” related to the conduct of your business.

E. For the purposes of coverage provided by this endorsement, the following is added to **SECTION III – LIMITS OF INSURANCE:**

Professional Liability Limits of Insurance

1. The Professional Liability Limits of Insurance shown in the Schedule or Declarations and the rules below fix the most that we will pay regardless of the number of:
 - a. Insureds;
 - b. Claims made or "suits" brought; or
 - c. Persons or organizations making claims or bringing "suits".
2. The Professional Liability Each Occurrence Limit is the most that we will pay under the Professional Liability Endorsement for the sum of all damages for all claims arising out of a single "occurrence".
3. The Professional Liability Aggregate Limit is the most that we will pay under the Professional Liability Endorsement for the sum of all damages arising out of all "occurrences" during the policy period.
4. The Professional Liability Limits of Insurance of this endorsement apply separately to each consecutive annual period and to any remaining period of less than 12 months, starting with the beginning of the policy period shown in the Declarations, unless the policy period is extended after issuance for an additional period of less than 12 months. In that case, the additional period will be deemed part of the last preceding period for purposes of determining the Professional Liability Limits of Insurance.
5. For the purpose of determining the limits of insurance for the coverage provided by this endorsement, all claims arising out of a single act or omission, or a series of acts and omissions, in the providing of or failure to provide "Miscellaneous Medical and Professional Services" will be considered one single "occurrence".
6. The General Aggregate Limit, the Products – Completed Operations Aggregate Limit, the Each Occurrence Limit and the Medical Expense Limit do not apply to any damages because of "bodily injury" arising out of providing or failing to provide "Miscellaneous Medical and Professional Services".

- F. For the purposes of coverage provided by this endorsement, the following is added to **SECTION IV – COMMERCIAL GENERAL LIABILITY CONDITIONS**, Paragraph 4. **Other Insurance, b. Excess Insurance (1)**:

This insurance is excess over:

- (c) Any other valid and collectible insurance, whether primary, excess, contingent or on any other basis:
 - (i) That is available to your "employee" or "volunteer worker" who has other insurance covering his or her professional liability; or
 - (ii) That you have purchased from a company other than us or a company affiliated with us which is more specific than this insurance.

- G. For the purposes of coverage provided by this endorsement, the following definition is added to **SECTION V – DEFINITIONS** :

"Miscellaneous Medical and Professional Services" means medical and other professional health care services incidental to:

- a. The sale or rental of medical products and medical gas, including demonstrating, furnishing, installing, adjusting or providing instruction regarding medical or surgical equipment or appliances;
- b. Orthotic and prosthetic services, including design, manufacture, fabrication, supply and practice of orthotic or prosthetic services;
- c. Home health care, hospice, home infusion, physical therapy, occupational therapy, speech therapy or respiratory therapy services;
- d. Pharmacy services, including consultation and administration of flu shots. Pharmacy services include compounding drugs, but do not include manufacturing drugs;
- e. Diagnostic testing and medical laboratory services, including mobile diagnostic testing centers and mobile medical laboratory services;
- f. Sleep study services, excluding interpretation of sleep studies; or
- g. Optometry or optician services.

Except as modified in this endorsement, all other terms and conditions of the policy to which this endorsement is attached will apply.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

PROFESSIONAL SERVICES EXCLUSION, WITH THE EXCEPTION OF MEDICAL PROFESSIONAL LIABILITY ENDORSEMENTS

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART (CLAIMS-MADE)
COMMERCIAL GENERAL LIABILITY COVERAGE PART (OCCURRENCE)

A. The following is added to SECTION I – COVERAGES, COVERAGE A – BODILY INJURY AND PROPERTY DAMAGE LIABILITY, 2. Exclusions:

Miscellaneous Medical and Professional Services

“Bodily injury” arising out of providing or failing to provide “miscellaneous medical and professional services”:

- (1) By any insured;
- (2) On behalf of any insured; or
- (3) For which the insured assumed liability by reason of a contract or agreement.
- (4) For which any insured may be held liable arising from supervision of professional health care services.

This exclusion does not apply to the extent that coverage for “bodily injury” arising out of providing or failing to provide “miscellaneous medical and professional services” is provided under any of the following endorsements:

- (5) A Professional Liability Coverage Endorsement that is applicable to this policy;
- (6) An Additional Insured - Automatic Status for Medical Independent Contractors or Subcontractors endorsement that is applicable to this policy; or
- (7) An Additional Insured - Designated Medical Independent Contractors or Subcontractors endorsement that is applicable to this policy.

Medical Professional Services

“Bodily injury” arising out of providing or failing to provide medical professional services by any physician, surgeon, physician assistant, nurse practitioner, medical intern, medical resident, dentist, psychiatrist or chiropractor or other licensed health care professional.

This exclusion does not apply to the extent that coverage for “bodily injury” arising out of providing or failing to provide “miscellaneous medical and

professional services” is provided under any of the following endorsements:

- (1) A Professional Liability Coverage Endorsement that is applicable to this policy;
- (2) An Additional Insured - Automatic Status for Medical Independent Contractors or Subcontractors endorsement that is applicable to this policy; or
- (3) An Additional Insured - Designated Medical Independent Contractors or Subcontractors endorsement that is applicable to this policy.

B. The following is added to SECTION I – COVERAGES, COVERAGE B – PERSONAL AND ADVERTISING INJURY LIABILITY, 2. Exclusions:

Miscellaneous Medical and Professional Services

“Personal and advertising injury” arising out of providing or failing to provide “miscellaneous medical and professional services”:

- (1) By any insured;
- (2) On behalf of any insured; or
- (3) For which the insured assumed liability by reason of a contract or agreement.
- (4) For which any insured may be held liable arising from supervision of professional health care services.

This exclusion does not apply to the extent that coverage for “personal and advertising injury” arising out of providing or failing to provide “miscellaneous medical and professional services” is provided under any of the following endorsements:

- (5) A Professional Liability Coverage Endorsement that is applicable to this policy;
- (6) An Additional Insured - Automatic Status for Medical Independent Contractors or Subcontractors endorsement that is applicable to this policy; or

- (7) An Additional Insured - Designated Medical Independent Contractors or Subcontractors endorsement that is applicable to this policy.

Medical Professional Services

"Personal and advertising injury" arising out of providing or failing to provide medical professional services by any physician, surgeon, physician assistant, nurse practitioner, medical intern, medical resident, dentist, psychiatrist or chiropractor or other licensed health care professional.

This exclusion does not apply to the extent that coverage for "personal and advertising injury" arising out of providing or failing to provide "miscellaneous medical and professional services" is provided under any of the following endorsements:

- (1) A Professional Liability Coverage Endorsement that is applicable to this policy;
- (2) An Additional Insured - Automatic Status for Medical Independent Contractors or Subcontractors endorsement that is applicable to this policy; or
- (3) An Additional Insured - Designated Medical Independent Contractors or Subcontractors endorsement that is applicable to this policy.

- C. The following is added to **SECTION I - COVERAGES, COVERAGE A – BODILY INJURY AND PROPERTY DAMAGE LIABILITY, 2. Exclusions** and **COVERAGE B – PERSONAL AND ADVERTISING INJURY LIABILITY, 2. Exclusions**:

Professional Services

"Bodily injury", "property damage", or "personal and advertising injury" caused by providing or failing to provide any professional service, advice or instruction:

- (1) By any insured;
- (2) On your behalf; or
- (3) For which the insured assumed liability by reason of a contract or agreement;

Regardless of whether or not such service, advice or instruction is ordinary to any insured's profession, including but not limited to:

- (4) Legal services;
- (5) Accounting services;
- (6) Advertising services;
- (7) Notary services;
- (8) Title abstract services;
- (9) Tax preparation services;
- (10) Real estate services;
- (11) Stockbroker services;
- (12) Publishing services;
- (13) Insurance services;
- (14) Architecture services; or
- (15) Engineering services.

This exclusion does not apply to liability for damages caused by providing or failing to provide professional health care services.

This exclusion applies regardless of whether such service requires certification or licensing.

ALL OTHER TERMS, CONDITIONS, AND EXCLUSIONS REMAIN UNCHANGED.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

NEW YORK CHANGES – COMMERCIAL GENERAL LIABILITY COVERAGE FORM

This endorsement modifies the insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART (OCCURRENCE)

A. Paragraph 1. Insuring Agreement of SECTION I – COVERAGE A BODILY INJURY AND PROPERTY DAMAGE LIABILITY is replaced by the following:

1. Insuring Agreement

a. We will pay those sums that the insured becomes legally obligated to pay as damages because of "bodily injury" or "property damage" to which this insurance applies. We will have the right and duty to defend the insured against any "suit" seeking those damages even if the allegations of the "suit" are groundless, false or fraudulent. However, we will have no duty to defend the insured against any "suit" seeking damages for "bodily injury" or "property damage" to which this insurance does not apply. We may, at our discretion, investigate any "occurrence" and settle any claim or "suit" that may result. But:

- (1) The amount we will pay for damages is limited as described in **SECTION III – LIMITS OF INSURANCE**; and
- (2) Our right and duty to defend end when we have used up the applicable limit of insurance in the payment of judgments or settlements under Coverages **A** or **B** or medical expenses under Coverage **C**.

No other obligation or liability to pay sums or perform acts or services is covered unless explicitly provided for under **SUPPLEMENTARY PAYMENTS – COVERAGES A AND B**.

b. This insurance applies to "bodily injury" and "property damage" only if:

- (1) The "bodily injury" or "property damage" is caused by an "occurrence" that takes place in the "coverage territory";
- (2) The "bodily injury" or "property damage" occurs during the policy period; and
- (3) Prior to the policy period, no insured listed under Paragraph 1. of **SECTION**

II – WHO IS AN INSURED and no "employee" authorized by you to give or receive notice of an "occurrence" or claim, knew that the "bodily injury" or "property damage" had occurred, in whole or in part. If such a listed insured or authorized "employee" knew, prior to the policy period, that the "bodily injury" or "property damage" occurred, then any continuation, change or resumption of such "bodily injury" or "property damage" during or after the policy period will be deemed to have been known prior to the policy period.

- c. "Bodily injury" or "property damage" which occurs during the policy period and was not, prior to the policy period, known to have occurred by any insured listed under Paragraph 1. of **SECTION II – WHO IS AN INSURED** or any "employee" authorized by you to give or receive notice of an "occurrence" or claim, includes any continuation, change or resumption of that "bodily injury" or "property damage" after the end of the policy period.
- d. "Bodily injury" or "property damage" will be deemed to have been known to have occurred at the earliest time when any insured listed under Paragraph 1. of **SECTION II – WHO IS AN INSURED** or any "employee" authorized by you to give or receive notice of an "occurrence" or claim:
 - (1) Reports all, or any part, of the "bodily injury" or "property damage" to us or any other insurer;
 - (2) Receives a written or verbal demand or claim for damages because of the "bodily injury" or "property damage"; or
 - (3) Becomes aware by any other means that "bodily injury" or "property damage" has occurred or has begun to occur.
- e. Damages because of "bodily injury" include damages claimed by any person

or organization for care, loss of services or death resulting at any time from the "bodily injury".

B. Paragraph 1.a. of SECTION I – COVERAGE B PERSONAL AND ADVERTISING INJURY LIABILITY is replaced by the following:

1. Insuring Agreement

a. We will pay those sums that the insured becomes legally obligated to pay as damages because of "personal and advertising injury" to which this insurance applies. We will have the right and duty to defend the insured against any "suit" seeking those damages even if the allegations of the "suit" are groundless, false or fraudulent. However, we will have no duty to defend the insured against any "suit" seeking damages for "personal and advertising injury" to which this insurance does not apply. We may, at our discretion, investigate any offense and settle any claim or "suit" that may result. But:

- (1) The amount we will pay for damages is limited as described in **SECTION III – LIMITS OF INSURANCE**; and
- (2) Our right and duty to defend end when we have used up the applicable limit of insurance in the payment of judgments or settlements under Coverages **A** and **B** or medical expenses under Coverage **C**.

C. The following is added as Paragraph e. to the Duties In The Event Of Occurrence, Offense, Claim Or Suit Condition (Paragraph 2. of SECTION IV – COMMERCIAL GENERAL LIABILITY CONDITIONS):

e. Notice given by or on behalf of the insured, or written notice by or on behalf of the injured person or any other claimant, to any agent of ours in New York State, with particulars sufficient to identify the insured, shall be considered to be notice to us.

D. Paragraph 3. of SECTION IV – COMMERCIAL GENERAL LIABILITY CONDITIONS is replaced by the following:

3. Legal Action Against Us

a. Except as provided in Paragraph 3.b., no person or organization has a right under this Coverage Part:

- (1) To join us as a party or otherwise bring us into a "suit" asking for damages from an insured; or

- (2) To sue us on this Coverage Part unless all of its terms have been fully complied with.

A person or organization may sue us to recover on an agreed settlement or on a final judgment against an insured; but we will not be liable for damages that are not payable under the terms of this Coverage Part or that are in excess of the applicable limit of insurance. An agreed settlement means a settlement and release of liability signed by us, the insured and the claimant or the claimant's legal representative.

- b. With respect to all claims except "property damage" claims, if we deny coverage or do not admit liability because an insured or the injured person, someone acting for the injured person or other claimant fails to give us written notice as soon as practicable, then the injured person, someone acting for the injured person or other claimant may bring an action against us, provided the sole question is whether the denial of coverage or nonadmission of liability is based on the failure to provide timely notice.

However, the injured person, someone acting for the injured person or other claimant may not bring an action if within 60 days after we deny coverage or do not admit liability, we or an insured:

- (1) Brings an action to declare the rights of the parties under the policy; and
- (2) Names the injured person, someone acting for the injured person or other claimant as a party to the action.

E. The following provision is added and supersedes any provision to the contrary:

Failure to give notice to us as required under each Coverage Part shall not invalidate any claim made by the insured, injured person or any other claimant, unless the failure to provide such timely notice has prejudiced us. However, no claim made by the insured, injured person or other claimant will be invalidated if it shall be shown not to have been reasonably possible to give such timely notice and that notice was given as soon as was reasonably possible thereafter.

F. The definition of "loading or unloading" in the DEFINITIONS Section does not apply.

Except as modified in this endorsement, all other terms and conditions of the policy to which this endorsement is attached will apply.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

COMMERCIAL GENERAL LIABILITY BROADENING ENDORSEMENT

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

SUMMARY OF COVERAGES

1.	Additional Insured by Contract, Agreement or Permit	Included
2.	Additional Insured – Primary and Non-Contributory	Included
3.	Blanket Waiver of Subrogation	Included
4.	Bodily Injury Redefined	Included
5.	Broad Form Property Damage – Borrowed Equipment, Customers Goods & Use of Elevators	Included
6.	Knowledge of Occurrence	Included
7.	Liberalization Clause	Included
8.	Medical Payments – Extended Reporting Period	Included
9.	Newly Acquired or Formed Organizations - Covered until end of policy period	Included
10.	Non-owned Watercraft	51 ft.
11.	Supplementary Payments Increased Limits	
	- Bail Bonds	\$2,500
	- Loss of Earnings	\$1000
12.	Unintentional Failure to Disclose Hazards	Included
13.	Unintentional Failure to Notify	Included

This endorsement amends coverages provided under the Commercial General Liability Coverage Part through new coverages, higher limits and broader coverage grants.

1. Additional Insured by Contract, Agreement or Permit

The following is added to **SECTION II – WHO IS AN INSURED**:

Additional Insured by Contract, Agreement or Permit

- a. Any person or organization with whom you agreed in a written contract, written agreement or permit that such person or organization to add an additional insured on your policy is an additional insured only with respect to liability for "bodily injury", "property damage", or "personal and advertising injury" caused, in whole or in part, by your acts or omissions, or the acts or omissions of those acting on your behalf, but only with respect to:

- (1) "Your work" for the additional insured(s) designated in the contract, agreement or permit;

- (2) Premises you own, rent, lease or occupy; or

- (3) Your maintenance, operation or use of equipment leased to you.

- b. The insurance afforded to such additional insured described above:

- (1) Only applies to the extent permitted by law; and

- (2) Will not be broader than the insurance which you are required by the contract, agreement or permit to provide for such additional insured.

- (3) Applies on a primary basis if that is required by the written contract, written agreement or permit.
 - (4) Will not be broader than coverage provided to any other insured.
 - (5) Does not apply if the "bodily injury", "property damage" or "personal and advertising injury" is otherwise excluded from coverage under this Coverage Part, including any endorsements thereto.
- c. This provision does not apply:
- (1) Unless the written contract or written agreement was executed or permit was issued prior to the "bodily injury", "property damage", or "personal injury and advertising injury".
 - (2) To any person or organization included as an insured by another endorsement issued by us and made part of this Coverage Part.
 - (3) To any lessor of equipment:
 - (a) After the equipment lease expires; or
 - (b) If the "bodily injury", "property damage", "personal and advertising injury" arises out of sole negligence of the lessor
 - (4) To any:
 - (a) Owners or other interests from whom land has been leased which takes place after the lease for the land expires; or
 - (b) Managers or lessors of premises if:
 - (i) The occurrence takes place after you cease to be a tenant in that premises; or
 - (ii) The "bodily injury", "property damage", "personal injury" or "advertising injury" arises out of structural alterations, new construction or demolition operations performed by or on behalf of the manager or lessor.
 - (5) To "bodily injury", "property damage" or "personal and advertising injury" arising out of the rendering of or the failure to render any professional services.
- This exclusion applies even if the claims against any insured allege negligence or other wrongdoing in the supervision, hiring, employment, training or monitoring of others by that insured, if the "occurrence" which caused the "bodily injury" or "property damage" or the offense which caused the "personal and

advertising injury" involved the rendering of or failure to render any professional services by or for you.

- d. With respect to the insurance afforded to these additional insureds, the following is added to **SECTION III – LIMITS OF INSURANCE**:

The most we will pay on behalf of the additional insured for a covered claim is the lesser of the amount of insurance:

- 1. Required by the contract, agreement or permit described in Paragraph a.; or
- 2. Available under the applicable Limits of Insurance shown in the Declarations.

This endorsement shall not increase the applicable Limits of Insurance shown in the Declarations.

2. Additional Insured – Primary and Non-Contributory

The following is added to **SECTION IV – COMMERCIAL GENERAL LIABILITY CONDITIONS**, Paragraph 4. Other insurance:

Additional Insured – Primary and Non-Contributory

If you agree in a written contract, written agreement or permit that the insurance provided to any person or organization included as an Additional Insured under **SECTION II – WHO IS AN INSURED**, is primary and non-contributory, the following applies:

If other valid and collectible insurance is available to the Additional Insured for a loss covered under Coverages **A** or **B** of this Coverage Part, our obligations are limited as follows:

a. Primary Insurance

This insurance is primary to other insurance that is available to the Additional Insured which covers the

Additional Insured as a Named Insured. We will not seek contribution from any other insurance available to the Additional Insured except:

- (1) For the sole negligence of the Additional Insured;
- (2) When the Additional Insured is an Additional Insured under another primary liability policy; or
- (3) when b. below applies.

If this insurance is primary, our obligations are not affected unless any of the other insurance is also primary. Then, we will share with all that other insurance by the method described in c. below.

b. Excess Insurance

(1) This insurance is excess over any of the other insurance, whether primary, excess, contingent or on any other basis:

- (a) That is Fire, Extended Coverage, Builder's Risk, Installation Risk or similar coverage for "your work";
- (b) That is Fire insurance for premises rented to the Additional Insured or temporarily occupied by the Additional Insured with permission of the owner;
- (c) That is insurance purchased by the Additional Insured to cover the Additional Insured's liability as a tenant for "property damage" to premises rented to the Additional Insured or temporarily occupied by the Additional Insured with permission of the owner; or

(d) If the loss arises out of the maintenance or use of aircraft, "autos" or watercraft to the extent not subject to Exclusion g. of **SECTION I – COVERAGE A – BODILY INJURY AND PROPERTY DAMAGE LIABILITY**.

(2) When this insurance is excess, we will have no duty under Coverages **A** or **B** to defend the insured against any "suit" if any other insurer has a duty to defend the insured against that "suit". If no other insurer defends, we will undertake to do so, but we will be entitled to the insured's rights against all those other insurers.

(3) When this insurance is excess over other Insurance, we will pay only our share of the amount of the loss, if any, that exceeds the sum of:

- (a) The total amount that all such other insurance would pay for the loss in the absence of this insurance; and
- (b) The total of all deductible and self insured amounts under all that other insurance.

We will share the remaining loss, if any, with any other insurance that is not described in this Excess Insurance provision and was not bought specifically to apply in excess of the Limits of Insurance shown in the Declarations of this Coverage Part.

c. Method Of Sharing

If all of the other insurance permits contribution by equal shares, we will follow this method also. Under this approach each

insurer contributes equal amounts until it has paid its applicable limit of insurance or none of the loss remains, whichever comes first. If any of the other insurance does not permit contribution by equal shares, we will contribute by limits. Under this method, each insurer's share is based on the ratio of its applicable limit of insurance to the total applicable limits of insurance of all insurers

3. Blanket Waiver of Subrogation

The following is added to **SECTION IV – COMMERCIAL GENERAL LIABILITY CONDITIONS**, Paragraph 8. **Transfer Of Rights Of Recovery Against Others To Us:**

We waive any right of recovery we may have against any person or organization with whom you have a written contract that requires such waiver because of payments we make for damage under this coverage form. The damage must arise out of your activities under a written contract with that person or organization. This waiver applies only to the extent that subrogation is waived under a written contract executed prior to the "occurrence" or offense giving rise to such payments.

4. Bodily Injury Redefined

SECTION V – DEFINITIONS, Definition 3. "bodily injury" is replaced by the following:

3. "Bodily injury" means bodily injury, sickness or disease sustained by a person including death resulting from any of these at any time. "Bodily injury" includes mental anguish or other mental injury resulting from "bodily injury".

5. Broad Form Property Damage – Borrowed Equipment, Customers Goods, Use of Elevators

a. **SECTION I – COVERAGES, COVERAGE A – BODILY INJURY AND PROPERTY DAMAGE LIABILITY**, Paragraph 2. **Exclusions** subparagraph j. is amended as follows:

Paragraph (4) does not apply to "property damage" to borrowed equipment while at a jobsite and not being used to perform operations.

Paragraphs (3), (4) and (6) do not apply to "property damage" to "customers goods" while on your premises nor do they apply to the use of elevators at premises you own, rent, lease or occupy.

b. The following is added to **SECTION V – DEFINITIONS:**

24. "Customers goods" means property of your customer on your premises for the purpose of being:

- a. worked on; or
- b. used in your manufacturing process.
- c. The insurance afforded under this provision is excess over any other valid and collectible property insurance (including deductible) available to the insured whether primary, excess, contingent

6. Knowledge of Occurrence

The following is added to **SECTION IV – COMMERCIAL GENERAL LIABILITY CONDITIONS**, Paragraph 2. **Duties in the Event of Occurrence, Offense, Claim or Suit:**

- e. Notice of an "occurrence", offense, claim or "suit" will be considered knowledge of the insured if reported to an individual named insured, partner, executive officer or an "employee" designated by you to give us such a notice.

7. Liberalization Clause

The following is added to **SECTION IV – COMMERCIAL GENERAL LIABILITY CONDITIONS:**

Liberalization Clause

If we adopt any revision that would broaden the coverage under this Coverage Form without additional premium, within 45 days prior to or during the policy period, the broadened coverage will immediately apply to this Coverage Part.

8. Medical Payments – Extended Reporting Period

- a. **SECTION I – COVERAGES, COVERAGE C – MEDICAL PAYMENTS**, Paragraph 1. **Insuring Agreement**, subparagraph a.(3)(b) is replaced by the following:
 - (b) The expenses are incurred and reported to us within three years of the date of the accident; and
- b. This coverage does not apply if **COVERAGE C – MEDICAL PAYMENTS** is excluded either by the provisions of the Coverage Part or by endorsement.

9. Newly Acquired Or Formed Organizations

SECTION II – WHO IS AN INSURED, Paragraph 3.a. is replaced by the following:

- a. Coverage under this provision is afforded until the end of the policy period.

10. Non-Owned Watercraft

SECTION I – COVERAGES, COVERAGE A BODILY INJURY AND PROPERTY DAMAGE LIABILITY, Paragraph 2. **Exclusions**, subparagraph g.(2) is replaced by the following:

g. Aircraft, Auto Or Watercraft

- (2) A watercraft you do not own that is:

- (a) Less than 51 feet long; and
- (b) Not being used to carry persons or property for a charge;

This provision applies to any person who, with your consent, either uses or is responsible for the use of a watercraft.

11. Supplementary Payments Increased Limits

SECTION I – SUPPLEMENTARY PAYMENTS COVERAGES A AND B, Paragraphs 1.b. and 1.d. are replaced by the following:

- 1.b. Up to \$2,500 for cost of bail bonds required because of accidents or traffic law violations arising out of the use of any vehicle to which the Bodily Injury Liability Coverage applies. We do not have to furnish these bonds.

- 1.d. All reasonable expenses incurred by the insured at our request to assist us in the investigation or defense of the claim or "suit", including actual loss of earnings up to \$1000 a day because of time off from work.

12. Unintentional Failure to Disclose Hazards

The following is added to **SECTION IV – COMMERCIAL GENERAL LIABILITY CONDITIONS**, Paragraph 6. **Representations:**

We will not disclaim coverage under this Coverage Part if you fail to disclose all hazards existing as of the inception date of the policy provided such failure is not intentional.

13. Unintentional Failure to Notify

The following is added to **SECTION IV – COMMERCIAL GENERAL LIABILITY CONDITIONS**, Paragraph 2. **Duties in the Event of Occurrence, Offense, Claim or Suit:**

Your rights afforded under this policy shall not be prejudiced if you fail to give us notice of an "occurrence", offense, claim or "suit", solely due to your reasonable and documented belief that the "bodily injury" or "property damage" is not covered under this policy.

ALL OTHER TERMS, CONDITIONS, AND EXCLUSIONS REMAIN UNCHANGED.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

COMMERCIAL GENERAL LIABILITY ENHANCEMENT ENDORSEMENT – HEALTHCARE

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART (CLAIMS-MADE)
COMMERCIAL GENERAL LIABILITY COVERAGE PART (OCCURRENCE)

SUMMARY OF COVERAGES

1.	Additional Insured – Broad Form Vendors	Included
2.	Extended Property Damage	Included
3.	Innocent Party Defense Coverage for Employees	\$ 25,000
4.	Medical Director as Insured	Included
5.	Mobile Equipment Redefined	Included
6.	Personal Injury – Abuse of Process	Included
7.	Property Damage Legal Liability – Broad Form - Fire, Lightning, Explosion, Smoke and Leakage from Fire Protective Systems Damage Limit	\$1,000,000
8.	Extended Property Damage for Home Health Care	
	Home Health Care Property Damage Aggregate Limit	\$50,000
	Home Health Care Property Damage Each Occurrence Limit	\$25,000
	Home Health Care Property Damage Deductible	\$500
9.	Public Relations Expenses Coverage	
	Public Relations Expenses Each Incident Limit	\$10,000
	Public Relations Expenses Aggregate Limit	\$10,000
10.	Theft of Clients' Property	
	Clients' Property Aggregate Limit	\$50,000
	Clients' Property Each Occurrence Limit	\$25,000

This endorsement amends coverages provided under the Commercial General Liability Coverage Part through new coverages, higher limits or broader coverage grants.

1. Additional Insured – Broad Form Vendors

The following is added to **SECTION II – WHO IS AN INSURED**:

Additional Insured – Broad Form Vendors

- a. Any person or organization that is a vendor with whom you agreed in a written contract or written agreement to include as an additional insured under this Coverage Part is an insured, but only with respect to liability for “bodily injury” or “property damage” caused in whole or in part by “your products” which are distributed or sold in the regular course of the vendor’s business.

- b. The insurance afforded to such vendor described above:

- (1) Only applies to the extent permitted by law;
- (2) Will not be broader than the insurance which you are required by the contract or agreement to provide for such vendor;
- (3) Will not be broader than coverage provided to any other insured; and
- (4) Does not apply if the “bodily injury”, “property damage” or “personal and advertising injury” is otherwise excluded from coverage under this Coverage Part, including any endorsements thereto.

- c. With respect to insurance afforded to such vendors, the following additional exclusions apply:

The insurance afforded to the vendor does not apply to:

- (1) "Bodily injury" or "property damage" for which the vendor is obligated to pay damages by reasons of the assumption of liability in a contract or agreement. This exclusion does not apply to liability for damages that the insured would have in the absence of the contract or agreement;
- (2) Any express warranty unauthorized by you;
- (3) Any physical or chemical change in the product made intentionally by the vendor;
- (4) Repackaging, unless unpacked solely for the purpose of inspection, demonstration, testing, or the substitution of parts under instruction from the manufacturer, and then repackaged in the original container;
- (5) Any failure to make such inspection, adjustments, tests or servicing as the vendor has agreed to make or normally undertakes to make in the usual course of business in connection with the sale of the product;
- (6) Demonstration, installation, servicing or repair operations, except such operations performed at the vendor's premises in connection with the sale of the product;
- (7) Products which, after distribution or sale by you, have been labeled or relabeled or used as a container, part or ingredient of any other thing or substance by or for the vendor;
- (8) "Bodily injury" or "property damage" arising out of the sole negligence of the vendor for its own acts or omissions or those of its employees or anyone else acting on its behalf. However, this exclusion does not apply to:
 - (a) The exceptions contained within the exclusion in sub-paragraphs (4) or (6) above; or
 - (b) Such inspections, adjustments, tests or servicing as the vendor has agreed to make or normally undertakes to make in the usual course of business, in connection with the distribution or sale of the products.
- (9) "Bodily injury" or "property damage" arising out of an "occurrence" that took place before you have signed the contract or agreement with the vendor.

- (10) To any person or organization included as an insured by another endorsement issued by us and made part of this Coverage Part.

- (11) Any insured person or organization, from whom you have acquired such products, or any ingredient, part or container, entering into, accompanying or containing such products.

- d. With respect to the insurance afforded to these vendors, the following is added to **SECTION III – LIMITS OF INSURANCE:**

The most we will pay on behalf of the vendor for a covered claim is the lesser of the amount of insurance:

1. Required by the contract or agreement described in Paragraph a.; or
2. Available under the applicable Limits of Insurance shown in the Declarations;

This endorsement shall not increase the applicable Limits of Insurance shown in the Declarations.

2. Extended Property Damage

SECTION I – COVERAGES, COVERAGE A – BODILY INJURY AND PROPERTY DAMAGE LIABILITY, Paragraph 2. Exclusions, subparagraph a. is replaced by the following:

a. Expected or intended Injury

"Bodily injury" or "property damage" expected or intended from the standpoint of the insured. This exclusion does not apply to "bodily injury" or "property damage" resulting from the use of reasonable force to protect persons or property.

3. Innocent Party Defense Coverage for Employees

The following is added to **SUPPLEMENTARY PAYMENTS- COVERAGES A AND B:**

Innocent Party Defense Coverage for Employees

- a. At your request, we will reimburse you for the sums that you voluntarily pay to an "employee" of yours for the reasonable and necessary defense costs incurred by that "employee" to defend criminal charges brought against that "employee", but this Supplementary Payment only applies if:
 - (1) The acts out of which such criminal charges arise are alleged to have:
 - (a) Arisen out of and in the course of your employment of the "employee"; and
 - (b) Been committed by your "employee" against your client; and

(c) Taken place during that period of time that the "employee" was employed by you; and

(d) Taken place during the policy period and in the "coverage territory"; and

(2) All the criminal charges are either dismissed with prejudice or your "employee" is found not guilty of all criminal charges by a court of law.

b. We will not reimburse you for any sums that you voluntarily pay to your "employee" for the reasonable and necessary defense costs that employee incurs to defend the criminal charges made against that "employee":

(1) For any criminal charge(s) arising out of the ownership, maintenance, use or entrustment to others of any aircraft, "auto" or watercraft;

(2) For any criminal charge(s) where your "employee" receives anything less than either a complete dismissal with prejudice or a not guilty verdict on all charges, including without limitation, any deferred adjudication or similar finding of guilt that is held in abeyance for any reason, pending the completion of any remedial activity such as community service or counseling; or

(3) For any fines or penalties whatsoever.

The most will pay under this provision is \$25,000 during the policy period regardless of the number of requests for reimbursement made by you.

4. Medical Director as Insured

The following is added to **SECTION II – WHO IS AN INSURED**:

Medical Director as Insured

Your Medical Director is an insured, but only while:

a. Acting within the scope and during the course of his or her duties as your Medical Director; and

b. While maintaining professional liability insurance compliant with all applicable Federal, state and local insurance regulations and requirements.

However, your Medical Director is not an insured for providing or failing to provide professional services as a physician, surgeon, dentist or psychiatrist or other medical professional in the treatment or direction of treatment of any patient.

5. Mobile Equipment Redefined

Definition 12., Paragraph f.(1) "Mobile Equipment" of the **DEFINITIONS** section does not apply to

self-propelled vehicles of less than 1,000 pounds gross vehicle weight.

6. Personal Injury – Abuse of Process

Definition 14., Paragraph b. "Personal and advertising injury" of the **DEFINITIONS** section is replaced by the following:

b. Malicious prosecution or abuse of process;

7. Property Damage Legal Liability- Broad Form

a. **SECTION I – COVERAGES, COVERAGE A – BODILY INJURY AND PROPERTY DAMAGE LIABILITY**, the last paragraph (after the exclusions) is replaced by the following:

Exclusions c. through n. do not apply to damage by fire, lightning, explosion, smoke or leakage from fire protective systems to premises while rented to you or temporarily occupied by you with the permission of the owner. A separate limit of insurance applies to this coverage as described in **SECTION III – LIMITS OF INSURANCE**.

b. **SECTION III – LIMITS OF INSURANCE**, Paragraph 6. is replaced by the following:

6. Subject to Paragraph 5. above, The Damage to Premises Rented to You Limit is the most we will pay under **COVERAGE A** for damages because of "property damage" to any one premises, while rented to you or temporarily occupied by you with permission of the owner, from fire, lightning, explosion, smoke and leakage from fire protective systems.

The Damage to Premises Rented to You Limit is the higher of:

a. \$1,000,000; or

b. The Damage to Premises Rented to You Limit shown in the Declarations.

This limit will apply to all damage caused by the same event, whether such damage results from fire, lightning, explosion, smoke, leakage from fire protective systems or any combination of any of these.

c. **SECTION IV – COMMERCIAL GENERAL LIABILITY CONDITIONS**, Paragraph 4. **Other Insurance**, subparagraph b. **Excess Insurance**, item (1)(a)(ii) is replaced by the following:

(ii) That is fire, lightning, explosion, smoke or leakage from fire protective systems insurance for premises rented to you or temporarily occupied by you with permission of the owner; or

d. Definition 9. "Insured contract", Paragraph a. of the **DEFINITIONS** section is replaced by the following:

a. A contract for a lease of premises. However, that portion of the contract for a lease of premises that indemnifies any person or organization for damage by fire, lightning, explosion, smoke or leakage from fire protective systems to premises while rented to you or temporarily occupied by you with permission of the owner is not an "insured contract".

e. This coverage does not apply if Damage to Premises Rented to You is excluded either by the provisions of the Coverage Part or by endorsement.

8. Extended Property Damage for Home Health Care

a. For the purposes of coverage provided by this endorsement only, **SECTION I – COVERAGES, COVERAGE A – BODILY INJURY AND PROPERTY DAMAGE LIABILITY, 2. Exclusions, j. Damage To Property** is replaced by the following:

j. Damage to Property

"Property damage" to:

- (1) Property you own, rent, or occupy, including any costs or expenses incurred by you, or any other person, organization or entity, for repair, replacement, enhancement, restoration or maintenance of such property for any reason, including prevention of injury to a person or damage to another's property;
- (2) Premises you sell, give away or abandon, if the "property damage" arises out of any part of those premises;
- (3) Property loaned to you;
- (4) Personal property in the care, custody or control of the insured;
- (5) That particular part of real property on which you or any contractors or subcontractors working directly or indirectly on your behalf are performing operations, if the "property damage" arises out of those operations; or
- (6) That particular part of any property that must be restored, repaired or replaced because "your work" was incorrectly performed on it.

Paragraphs (1), (3) and (4) of this exclusion do not apply to "property damage" (other than "property damage" by fire) to premises, including the contents of such premises, rented to you for a period of seven or fewer consecutive days. A separate limit of insurance applies to Damage To Premises Rented To You as described in **SECTION III – LIMITS OF INSURANCE**.

Paragraph (2) of this exclusion does not apply if the premises are "your work" and were never occupied, rented or held for rental by you.

Paragraphs (3), (4), (5) and (6) of this exclusion do not apply to liability assumed under a sidetrack agreement.

Paragraph (4) of this exclusion does not apply to property owned by anyone receiving your home health care services or their family, but only if the "property damage" arises from providing or failing to provide your services.

Paragraph (6) of this exclusion does not apply to "property damage" included in the "products-completed operations hazard".

b. For the purposes of coverage provided by this Paragraph 8. only, the following is added to **SECTION III – LIMITS OF INSURANCE**:

The Home Health Care Property Damage Aggregate Limit of \$50,000 is the most we will pay for all "property damage" to personal property in the care, custody or control of the insured which is owned by anyone receiving your services or their family.

Subject to the Home Health Care Property Damage Aggregate Limit, the Home Health Care Property Damage Each Occurrence Limit of \$25,000 is the most we will pay for all "property damage" to personal property in the care, custody or control of the insured which is owned by anyone receiving your services or their family which arises out of any one "occurrence". The Home Health Care Property Damage Each Occurrence Limit is subject to a \$500 deductible.

The Home Health Care Property Damage Each Incident Limit is included within and not in addition to the Each Occurrence Limit of the Commercial General Liability Coverage Part. The Home Health Care Property Damage Aggregate Limit is included within and not in addition to the General Aggregate Limit of the Commercial General Liability Coverage Part.

9. Public Relations Expenses Coverage

- a. We will reimburse you for reasonable "public relations expenses" resulting from a "public relations incident" that commences and is reported after the policy effective date, and before the end of the policy period.
- b. The insurance provided by this Paragraph 9. does not apply to any expenses for any "public relations incident":
 - (1) Arising out of any conspiracy on your part with another person or organization;
 - (2) Arising out of a criminal investigation, complaint or indictment initiated by any insured, for any reason;
 - (3) Arising out of a formal administrative proceeding initiated by any insured, for any reason;
 - (4) Arising out of:
 - (a) Any access to or disclosure of any person's or organization's confidential or personal information, including:
 - (i) Patents;
 - (ii) Trade secrets;
 - (iii) Processing methods;
 - (iv) Customer lists;
 - (v) Financial information;
 - (vi) Credit card information;
 - (vii) Health information; or
 - (viii) Any other type of nonpublic information; or
 - (b) The loss of, loss of use of, damage to, corruption of, inability to access, or inability to manipulate "electronic data"; or
 - (5) Which is covered by another policy issued by a company that is an affiliate of The Hanover Insurance Group, Inc.
- c. The Public Relations Expenses Aggregate Limit of \$10,000 is the most we will pay for "public relations expenses" for all "public relations incidents" during the policy period.
 Subject to the Public Relations Expenses Aggregate Limit, the Public Relations Expenses Each Incident Limit of \$10,000 is the most we will pay for "public relations expenses" for each "public relations incident".
 If the policy period is extended after issuance so that the policy period is more than 12 months, no additional **Limits of Insurance** will be provided as a result of the extension.
- d. For the purposes of coverage provided under this Paragraph 9. only, **SECTION IV –**

COMMERCIAL GENERAL LIABILITY CONDITIONS, 2. Duties In The Event Of Occurrence, Offense, Claim Or Suit is replaced by the following:

2. Duties In The Event of a "Public Relations Incident"

- a. You must see to it that we are given written notice as soon as practicable of an incident or circumstance which may result in a "public relations incident". To the extent possible, notice should include:
 - (1) The specific act or omission;
 - (2) How, when and where the incident or circumstance took place;
 - (3) The names and addresses of any injured persons and witnesses;
 - (4) The consequences which may have resulted or may result from such incident or circumstance;
 - (5) The nature and location of any injury or damages arising out of the incident or circumstance;
 - (6) The nature of the potential monetary amounts or non-monetary relief which may be sought in consequence of such incident or circumstance; and
 - (7) The method by which the insured first became aware of the possible "public relations incident".
- b. If a "public relations incident" occurs, you must:
 - (1) Immediately record the specifics of the "public relations incident" and the date you became aware of it; and
 - (2) Notify us as soon as practicable.
 You must see to it that we receive written notice of the "public relations incident" as soon as practicable.
- c. You and any other involved insured must:
 - (1) Immediately send us copies of any demands, notices, summonses, legal papers or other documents received in connection with the "public relations incident", incident or circumstance;
 - (2) Authorize us to obtain records and other information;
 - (3) Fully cooperate with us in the investigation of the "public

relations incident", incident or circumstance; and

- (4) Assist us in the enforcement of any right of contribution or indemnity against any person or organization which may be liable to the insured for "public relations expenses" because of the "public relations incident" to which this insurance may also apply.

- d. No insured will, except at that insured's own cost, voluntarily make any payment, assume any obligation, or incur any expense without our consent.
- e. For the purposes of coverage provided under this Paragraph 9. only, the following paragraph is added to **SECTION IV – COMMERCIAL GENERAL LIABILITY CONDITIONS**:

Claim File, Claim Number or Claim Reserve

In order to pay "public relations expenses" under this Paragraph 9., we may establish a claim file or a claim number, or set a claim reserve, in connection with the "public relations incident". The establishment of a claim file or a claim number, or the setting of a claim reserve, does not indicate acceptance of the "public relations incident" as a claim under Coverage A or Coverage B of any Commercial General Liability policy or Professional Liability policy issued to you by us.

- f. For the purposes of coverage provided under this Paragraph 9. only, the following definitions are added to the **DEFINITIONS** section:

"Activities of daily living" are basic self-care activities, including eating, bathing, dressing, toileting, personal hygiene and grooming, transferring (walking) and continence.

"Contaminated" or "contamination" means unfit for use by the introduction of unwholesome or undesirable elements.

"Covered Illness" means only the following:

- (1) Bacterial microorganisms transmitted through human contact with food;
- (2) Hepatitis virus;
- (3) Legionnaire's disease; and
- (4) Noroviruses;

As defined by the United States Center for Disease Control.

"Covered Illness" does not include any other type of illness, bacteria, "microbe", virus or disease.

"Covered Location" means:

- (1) That part of a premises you occupy which is listed on the Common Policy Declarations, including the area within 1,000 feet of that premises.
- (2) If you have more than one "covered location" under Paragraph (1), the term "covered location" means only the location at which the "public relations incident" occurred.
- (3) If you occupy only part of the site at a "covered location", this phrase is further defined as:
 - (a) The portion of the building which you rent, lease or occupy; and
 - (b) Any area within the building or on the site at which the described premises are located, if that area services, or is used to gain access to, the described premises.

"Electronic data" means information, facts or programs stored as or on, created or used on, or transmitted to or from computer software, including systems and applications software, hard or floppy disks, CD-ROMs, tapes, drives, cells, data processing devices or any other media which are used with electronically controlled equipment.

"Fungi" means any type or form of fungus, including but not limited to fungus, mildew, mold or resulting spores and byproducts, including mycotoxins, or allergens. However, "fungi" does not include "fungi" on food for human consumption.

"Home health care services" means health-related services that are provided in a residential setting, including medical services, nursing services and mental health services. "Home health care services" include the furnishing of food, beverages, medications or appliances in connection with such services. "Home health care services" also include providing assistance to your client with the "activities of daily living". "Home health care services" do not include housekeeping services.

"Microbe" means any non-fungal microorganism or non-fungal, colony-form

organism that causes infection or disease. "Microbe" includes any spores, mycotoxins, odors, or any other substances, products, or byproducts produced by, released by, or arising out of the current or past presence of "microbes". However, "microbe" does not mean "microbes" that were transmitted directly from person to person.

"Miscellaneous medical and professional services" is deemed to have the same definition used in the applicable Miscellaneous Medical Professional Services Definition endorsement attached to the policy.

If no Miscellaneous Medical Professional Services Definition endorsement is attached to the policy, then "miscellaneous medical and professional services" means the service, repair and installation of durable medical equipment, or the provision of "home health care services".

"Public relations expenses" means the reasonable and necessary charges and fees incurred by you to manage the "public relations incident", including but not limited to fees and charges for third party consultants. All "public relations expenses" must be incurred within six (6) months of a covered "public relations incident".

"Public relations incident" means:

(1) Contaminated Food or Beverage

- (a) Necessary closure of all or part of your "covered location" by order of the governing Board of Health because of discovery or suspicion that "contaminated" food or beverage has been served to patrons at your "covered location"; or
- (b) Necessary announcement by you or any governmental body warning the public of a health hazard at your "covered location" because "contaminated" food or beverage has been served to your patrons.

(2) Other Emergency Incidents

Any one of the following events occurring at your "covered location":

- (a) Explosion;
- (b) Fire;
- (c) Construction accident;
- (d) Equipment failure; or

(e) Workplace accident;

Which results in injury or damage to person(s) or property, and adverse regional or national news media coverage of your business or operations.

(3) "Miscellaneous medical and professional services" incident:

(a) Includes:

- (i) A criminal investigation, complaint or indictment against an insured arising out of the rendering of or failure to render "miscellaneous medical and professional services";
- (ii) A formal administrative proceeding against an insured arising out of the rendering of or failure to render "miscellaneous medical and professional services"; or
- (iii) A civil complaint or claim arising out of the rendering of or failure to render "miscellaneous medical and professional services" by an insured; and

- (b) Must result from an actual or alleged violation or infringement of any federal, state or local statute or regulation regarding "miscellaneous medical and professional services".

(4) Premises Contamination

- (a) Necessary closure of all or part of your "covered location" due to any sudden and accidental "contamination" or impairment of the "covered location" which results in clear, visible, identifiable, internal or external symptoms of bodily injury, illness, or death of any person(s).
- (b) This includes a "covered location" "contaminated" by "covered illness", but does not include "contamination" of the "covered location", in whole or part, by other "pollutants", "fungi" or "microbes" except as provided under "covered illness".
- (c) Confirmation of both the existence of the "covered illness", and "covered location" that the

"covered illness" has "contaminated" must be confirmed by a qualified expert or experts and reliable laboratory testing.

(5) Specified Felonies

The following felonies, whether committed, attempted, or threatened on your "covered location":

(a) Child Abduction or Kidnapping

The wrongful and illegal seizure of a child under age sixteen (16) at your "covered location" by someone other than the child's biological, adoptive or foster parents or guardians;

(b) Employee or Customer Abduction

Stalking and abduction of one or more of your employees or customers by other than a relative;

(c) Sexual assault;

(d) Felonious use of a firearm, other weapon or device designed to cause significant harm or damage.

(6) Violent Acts

(a) A violent act at your "covered location", committed with malicious intent by one or more individuals against a person(s) or entity(s), which results in physical injury or death to such targeted person(s) or bystanders.

This does not include violent acts committed by you, or any of your partners, directors, officers or trustees.

(b) An attempt or threat of a violent act to be committed at your "covered location", made with malicious intent by one or more individuals against a person(s) or entity(s), which is likely to result in physical injury or death to such targeted person(s) or bystander(s).

(i) This does not include an attempt or threat of a violent act made by you, or any of your partners, directors, officers or trustees.

(ii) For coverage to apply, such attempts or threats must be

credible, plausible and reported to law enforcement.

(c) A violent act at your "covered location", committed with malicious intent by one or more individuals against any person(s) or entity(s), which results in direct physical loss or damage to your premises or the property of others at the "covered location".

This does not include a violent act committed by you, or any of your partners, directors, officers or trustees.

(d) An attempt or threat of a violent act to be committed on your "covered location", made with malicious intent by one or more individuals against any person(s) or entity(s), which is likely to result in direct physical loss or damage to your premises or the property of others at the "covered location".

(i) This does not include an attempt or threat of a violent act made by you, or any of your partners, directors, officers or trustees.

(ii) For coverage to apply, such attempts or threats must be credible, plausible and reported to law enforcement.

10. Theft of Clients' Property

a. We will pay for loss of or damage to "money", "securities" and "other property" sustained by your "client" resulting directly from "theft" committed by an identified "employee", acting alone or in collusion with other persons. This Paragraph 10. only applies if the "theft" is "discovered" and reported during the policy period.

(1) The property covered under this endorsement is limited to property that your "client":

(a) Owns or leases; or

(b) Holds for others whether or not your "client" is legally liable for the loss of such property.

However, this insurance is for your benefit only. It provides no rights or benefits or benefits to any other person or organization, including your "client". Any claim for loss that is covered under this endorsement must be presented by you.

- b. The Clients' Property Aggregate Limit of \$50,000 is the most we will pay for all loss of or damage to "money", "securities" and "other property" sustained by your "client" resulting directly from "theft" committed by an identified "employee".

Subject to the Clients' Property Aggregate Limit, the Clients' Property Each Occurrence Limit of \$25,000 is the most we will pay for all loss under this coverage that arises out of any one "occurrence".

- c. The insurance provided under this Paragraph 10. does not apply to:

(1) Loss of or damage to "money", "securities" and "other property" sustained by your "client" resulting from voluntary parting with any property by you, your "employee" or anyone else to whom you have entrusted the property if induced to do so by any fraudulent scheme, trick, device or false pretense.

(2) Loss caused by an "employee" if the "employee" had also committed "theft" or any other dishonest act prior to the effective date of this insurance and you or any of your partners, members (if you are a partnership or joint venture), managers, officers, directors or trustees, not in collusion with the "employee", learned of that "theft" or dishonest act prior to the Policy Period shown in the Declarations.

- d. For the purposes of coverage provided under this Paragraph 10. only, **SECTION IV – COMMERCIAL GENERAL LIABILITY CONDITIONS, 2. Duties In The Event Of Occurrence, Offense, Claim or Suit** is replaced by the following:

2. Duties in the Event of Loss

- a. You must see that the following are done in the event of loss or damage to Covered Property:

- (1) Notify us as soon as possible.
- (2) Produce for our examination all pertinent records.
- (3) Give us a detailed, sworn proof of loss within 120 days of "discovery" of the "theft".
- (4) Cooperate with us in the investigation and settlement of any claim.

- e. For the purposes of coverage provided under this Paragraph 10. only, the following Paragraph is added to **SECTION IV – COMMERCIAL GENERAL LIABILITY CONDITIONS**:

Valuation – Settlement

The value of any loss for purposes of coverage under this insurance shall be determined as follows:

(1) "Money"

Loss of "money", but only up to and including its face value. We will, at your option, pay for loss of "money" issued by any country other than the United States of America:

- (a) At face value in the "money" issued by that country; or
- (b) In the United States of America dollar equivalent, determined by the rate of exchange published in The Wall Street Journal on the day the "theft" was "discovered".

(2) "Securities"

Loss of "securities" but only up to and including their value at the close of business on the day the "theft" was "discovered". We may, at our option:

- (a) Pay the market value of such "securities" or replace them in kind, in which event you must assign to us all your rights, title and interest in and to those "securities"; or
- (b) Pay the cost of any Lost Securities Bond required in connection with issuing duplicates of the "securities". However, we will be liable only for the payment of so much of the cost of the bond as would be charged for a bond having a penalty not exceeding the lesser of the:
 - (i) Market value of the "securities" at the close of business on the day the "theft" was "discovered"; or
 - (ii) The Limit of Insurance applicable to the "securities".

(3) Property Other Than Money and Securities

- (a) Loss of "other property" for the replacement cost of the "other property" without deduction for depreciation. However, we will not pay more than the least of the following:
 - (i) The Limit of Insurance applicable to the "other property";
 - (ii) The cost to replace the "other property" with property of comparable material and quality and used for the same purpose; or

- (iii) The amount you actually spend that is necessary to repair or replace the lost or damaged property.
 - (b) We will not pay on a replacement cost basis for any loss of "other property" covered under Paragraph (a) above:
 - (i) Until the lost "other property" is actually replaced; and
 - (ii) Unless the replacement is made as soon as reasonably possible after the loss.
 - (c) Any "other property" that we pay for or replace becomes our property.
- f. For the purposes of coverage provided under this Paragraph 10. only, the following definitions are added to the **DEFINITIONS** section:
 - "Client" means any entity for whom you perform services under a contract.
 - "Discovered" means the time when you first become aware of facts which would cause a reasonable person to assume that a loss of a type covered by this insurance has been or will be incurred, regardless of when the act or acts causing or contributing to such loss occurred, even though the exact amount or details of loss may not then be known.
 - "Money" means:
 - (1) Currency, coins and bank notes in current use and having a face value; and
 - (2) Travelers checks, register checks and money orders held for sale to the public.
 - "Money" does not include Bitcoin or other virtual currency.
 - "Other property" means any tangible property other than "money" and "securities" that has

intrinsic value. "Other property" does not include computer programs, electronic data or any property specifically excluded under this policy.

"Other property" does not include Bitcoin or other virtual currency.

"Securities" means negotiable and nonnegotiable instruments or contract representing either "money" or property and includes:

- (1) Tokens, tickets, revenue and other stamps (whether represented by actual stamps or unused value in a meter) in current use; and
- (2) Evidence of debt issued in connection with credit or charge cards, which cards are not issued by you;

But does not include "money", Bitcoin or other virtual currency.

"Theft" means the unlawful taking of property to the deprivation of your "client".

- e. For the purposes of coverage provided under this Paragraph 10. only, Paragraph 13. of the **DEFINITIONS** section is replaced by the following:

13. "Occurrence" means:

- (1) An individual act of "theft";
- (2) The combined total of all separate acts of "theft" whether or not related; or
- (3) A series of acts of "theft" whether or not related;

Committed by an "employee", acting alone or in collusion with other persons, during the Policy Period shown in the Declarations.

ALL OTHER TERMS, CONDITIONS, AND EXCLUSIONS REMAIN UNCHANGED.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

COMMERCIAL GENERAL LIABILITY ENHANCEMENT ENDORSEMENT – MANUFACTURED HOUSING

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

SUMMARY OF COVERAGES

1.	Aggregate Limit per Location	Included
2.	Alienated Premises	Included
3.	Broad Form Named Insured	Included
4.	Extended Property Damage	Included
5.	Incidental Malpractice (Employed Nurses, EMT's & Paramedics)	Included
6.	Property Injury – Broad Form	Included
7.	Property Damage Legal Liability – Broad Form - Fire, Lightning, Explosion, Smoke and Leakage from Fire Protective Systems Damage Limit	\$1,000,000

This endorsement amends coverages provided under the Commercial General Liability Coverage Part through new coverages, higher limits and broader coverage grants.

1. Aggregate Limit Per Location

- a. **SECTION III – LIMITS OF INSURANCE**, the General Aggregate Limit applies separately to each of your "locations" owned by or rented to you.
- b. For purpose of this coverage only, the following is added to **SECTION V – DEFINITIONS**:
"Location" means premises involving the same or connecting lots, or premises whose connection is interrupted only by a street, roadway, waterway or right-of-way of a railroad.

2. Alienated Premises

SECTION I – COVERAGES, COVERAGE A – BODILY INJURY AND PROPERTY DAMAGE LIABILITY, Paragraph 2. **Exclusions**, subparagraph j.(2) is replaced by the following:

- (2) Premises you sell, give away or abandon, if the "property damage" arises out of any part of those premises and occurred from hazards that were known by you, or should have reasonably been known by you, at the time the property was transferred or abandoned.

3. Broad Form Named Insured

If you are designated in the Declarations as anything other than an individual, then any organization:

- a. Over which you maintained a combined ownership interest of more than 50% on the effective date of this policy;
- b. That is not a partnership, joint venture or limited liability company; and
- c. That is not excluded by any endorsement to this policy, will qualify as a Named Insured if there is no other similar insurance available to that organization, or that would be available but for exhaustion of its limits.

Any such organization will cease to qualify as a Named Insured as of the date during the policy period when the combined ownership interest of the Named Insureds in the organization equals or falls below 50%.

4. Extended Property Damage

SECTION I – COVERAGES, COVERAGE A – BODILY INJURY AND PROPERTY DAMAGE LIABILITY, Paragraph 2. **Exclusions**, subparagraph a. is replaced by the following:

a. Expected or Intended Injury

Bodily injury" or "property damage" expected or intended from the standpoint of the insured. This exclusion does not apply to "bodily injury" or "property damage" resulting from the use of reasonable force to protect persons or property.

5. Incidental Malpractice – Employed Nurses, EMT's and Paramedics

Under **SECTION II – WHO IS AN INSURED**, Paragraph **2.a.(1)(d)** does not apply to a nurse, emergency medical technician or paramedic employed by you if you are not engaged in the business or occupation of providing medical, paramedical, surgical, dental, x-ray or nursing services.

6. Personal Injury – Broad Form

a. **SECTION I – COVERAGES, COVERAGE B – PERSONAL AND ADVERTISING INJURY LIABILITY**, Paragraph **2. Exclusions**, subparagraph **e.** is deleted.

b. **SECTION V – DEFINITIONS**, Definition **14**, "Personal and advertising injury" subparagraph **b.** is replaced by the following:

b. Malicious prosecution or abuse of process.

c. The following is added to **SECTION V – DEFINITIONS**, Definition **14**. "Personal and advertising injury":

"Discrimination" (unless insurance thereof is prohibited by law) that results in injury to the feelings or reputation of a natural person, but only if such "discrimination" is:

(1) Not done intentionally by or at the direction of:

(a) The insured;

(b) Any officer of the corporation, director, stockholder, partner or member of the insured; and

(2) Not directly or indirectly related to an "employee", not to the employment, prospective employment or termination of any person or persons by an insured.

d. The following is added to **SECTION V – DEFINITIONS**:

"Discrimination" means the unlawful treatment of individuals based upon race, color, ethnic origin, gender, religion, age, or sexual preference. "Discrimination" does not include the unlawful treatment of individuals based upon developmental, physical, cognitive, mental, sensory or emotional impairment or any combination of these.

e. This coverage does not apply if **COVERAGE B – PERSONAL AND ADVERTISING INJURY LIABILITY** is excluded either by the provisions of the Coverage Form or by endorsement.

7. Property Damage Legal Liability – Broad Form

a. **SECTION I – COVERAGES, COVERAGE A – BODILY INJURY AND PROPERTY DAMAGE LIABILITY**, the last paragraph (after the exclusions) is replaced by the following:

Exclusions **c.** through **n.** do not apply to damage by fire, lightning, explosion, smoke or leakage from fire protective systems to premises while rented to you or temporarily occupied by you with the permission of the owner. A separate limit of insurance applies to this coverage as described in **SECTION III – LIMITS OF INSURANCE**.

b. **SECTION III – LIMITS OF INSURANCE**, Paragraph **6.** is replaced by the following:

6. Subject to Paragraph **5.** above, The Damage to Premises Rented to You Limit is the most we will pay under **COVERAGE A** for damages because of "property damage" to any one premises from fire, lightning, explosion, smoke and leakage from fire protective systems to premises, while rented to you or temporarily occupied by you with permission of the owner.

The Damage to Premises Rented to You Limit is the higher of:

a. \$1,000,000; or

b. The Damage to Premises Rented to You Limit shown in the Declarations.

This limit will apply to all damage caused by the same event, whether such damage results from fire, lightning, explosion, smoke, leakage from fire protective systems or any combination of any of these.

c. **SECTION IV – COMMERCIAL GENERAL LIABILITY CONDITIONS**, Paragraph **4. Other Insurance**, subparagraph **b. Excess Insurance**, item **(a)(ii)** is replaced by the following:

(ii) That is fire, lightning, explosion, smoke or leakage from fire protective systems insurance for premises rented to you or temporarily occupied by you with permission of the owner; or

d. **SECTION V – DEFINITIONS**, Definition **9**. "Insured contract", Paragraph **a.** is replaced by the following:

a. A contract for a lease of premises. However, that portion of the contract for a lease of premises that indemnifies any person or organization for damage by fire, lightning, explosion, smoke or leakage from fire protective systems to premises while rented to you or temporarily

occupied by you with permission of the owner is not an "insured contract".

- e. This coverage does not apply if Damage to Premises Rented to You is excluded either by the provisions of the Coverage Part or by endorsement.

ALL OTHER TERMS, CONDITIONS, AND EXCLUSIONS REMAIN UNCHANGED.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

NEW YORK AMENDATORY ENDORSEMENT

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY BROADENING ENDORSEMENT
COMMERCIAL GENERAL LIABILITY ENHANCEMENT ENDORSEMENT
COMMERCIAL GENERAL LIABILITY ENHANCEMENT ENDORSEMENT – HEALTHCARE
COMMERCIAL GENERAL LIABILITY ENHANCEMENT ENDORSEMENT – LIFE SCIENCES

**A. The following changes are made to the
COMMERCIAL GENERAL LIABILITY
BROADENING ENDORSEMENT:**

Coverage **13. Unintentional Failure to Notify** is replaced by the following:

13. Unintentional Failure to Notify

The following is added to **SECTION IV – COMMERCIAL GENERAL LIABILITY CONDITIONS**, Paragraph **2. Duties in the Event of Occurrence, Offense, Claim or Suit**:

Your rights afforded under this policy shall not be prejudiced if you fail to give us notice of an "occurrence", offense, claim or "suit", solely due to your reasonable belief that the "bodily injury" or "property damage" is not covered under this policy.

**B. The following changes are made to the
COMMERCIAL GENERAL LIABILITY
ENHANCEMENT ENDORSEMENT or
COMMERCIAL GENERAL LIABILITY
ENHANCEMENT ENDORSEMENT – LIFE
SCIENCES:**

1. If these Coverages are included in the Endorsement, the Coverages are deleted:

- a. **Mobile Equipment Redefined**
- b. **Accidental Death Benefit**
- c. **Innocent Party Defense Coverage for Employees**

2. If this Coverage is included in the Endorsement, the following changes are made to the Coverage **Personal Injury –Broad Form**:

- a. Where it appears in this Coverage the term abuse of process is replaced by abuse of legal process.
- b. The following is added to Paragraph **c.**:
(3) Not prohibited by or held in violation of law, public policy, legislation, court decision or administrative ruling.

With respect to claims, subject to New York Law, we shall not be liable to make any payment for damages in connection with a claim brought against you for harassment, intentional discrimination or civil rights violations of any law, rule or statute of New York, if a final adjudication determines that such harassment, intentional discrimination or civil right violation by you actually occurred; provided, however, that the actions of any insured that are employment related shall not be imputed to any other insured for the purposes of determining the applicability of the foregoing exclusion. Discrimination coverage is only provided for disparate impact and vicarious liability. Coverage is not provided for disparate treatment.

3. If this Coverage is included in the Endorsement, the following changes are made to the Coverage **Product Recall Expense**:

a. Paragraph **c.** is replaced by the following:

c. For the purposes of this endorsement only, the following is added to **SECTION III – LIMITS OF INSURANCE**:

Product Recall Expense Limits of Insurance

- 1. The Limits of Insurance shown in the SUMMARY OF COVERAGES of this endorsement and rules stated below fix the most we will pay under this Product Recall Expense Coverage regardless of the number of:
 - a. Insureds:
 - b. "Covered Recalls" initiated: or
 - c. Number of "your products" withdrawn.

2. The Product Recall Expense Aggregate Limit is the most we will pay for the sum of all "product recall expenses" incurred for all "covered recalls" initiated during the policy period.
3. The Product Recall Expense Each Occurrence Limit is the most we will pay in connection with any one defect or deficiency.
4. All "product recall expenses" in connection with substantially the same general harmful condition will be deemed to arise out of the same defect or deficiency and considered one "occurrence".
5. Any amount we pay for "product recall expenses" in connection with any one "occurrence" will reduce the amount of the Product Recall Expense Aggregate Limit available for payment of "product recall expenses" in connection with any other defect or deficiency.
6. If the Product Recall Expense Aggregate Limit has been reduced by payment of "product recall expenses" to an amount that is less than the Product Recall Expense Each Occurrence Limit, the remaining Product Recall Expense Aggregate Limit is the most that will be available for payment of "product recall expenses" in connection with any other defect or deficiency.
7. **Product Recall Deductible**

We will only pay for the amount of "product recall expenses" which are in excess of the \$500 Product Recall Deductible. The Product Recall Deductible applies separately to each "covered recall". The limits of insurance will not be reduced by the amount of this deductible.

We may, or will if required by law, pay all or any part of any deductible amount, if applicable. Upon notice of our payment of a deductible amount, you shall promptly repay us for the part of the deductible amount we paid.

The Product Recall Expense Limits of Insurance apply separately to each consecutive annual period. However, if

an alternative notice or a late conditional renewal notice results in an extension of this endorsement beyond the expiration date of the policy, the applicable limits of the expiring policy shall be increased in proportion to the policy extension.

- b. Paragraph d., subparagraph (1) is replaced by the following:

(1) As soon as practicable, give us notice of any discovery or notification that "your product" must be withdrawn or recalled, including a description of "your product" and the reason for the withdrawal or recall; and

- c. Paragraph e., subparagraph b. of the definition "product recall expense" is deleted.

4. If the Coverage **Wage Loss** is included in the Endorsement, it is replaced by the following:

12. Wage Loss

The following changes are made under **SECTION I – COVERAGES, COVERAGE C – MEDICAL PAYMENTS:**

- a. The following is added to Paragraph 1. **Insuring Agreement**, subparagraph b.:

We will pay "Wage loss" on behalf on the insured if the "bodily injury" results in time away from work as directed by a physician.

This coverage does not apply if Medical Expenses of **COVERAGE C** is excluded either by the provisions of the Coverage Form or by endorsement.

- b. The following is added to Paragraph 2. **Exclusions:**

The following additional exclusions apply to "wage loss":

- a. **Speculative "Wage Loss"**

That is not documented or which is speculative in nature.

- b. **Return to Work**

For time away from work by an injured person unless required by a physician, or time away from work after a physician has given approval for the injured person to return to work.

- c. **Other Coverage**

For that portion of "wage loss" that is paid or payable by another policy, endorsement, program or plan of any kind.

- d. **Assisted Living and Nursing Homes**

To a resident in a nursing home, assisted living facility, apartment building, condominium, or other similar living facility that is owned by you; or

e. Workers Compensation and Similar Sources

For that portion of "wage loss" that is paid or payable by a workers' compensation policy, unemployment compensation, short or long-term disability plans, sick leave, medical leave, or family leave.

c. The following is added to SECTION III – LIMITS OF INSURANCE:

Wage Loss Limit

1. We will pay two-thirds of the "wage loss" sustained by an injured person. In the event another policy, endorsement, program or plan pays a portion of the "wage loss", but less than two-thirds of the "wage loss", then we will pay the difference between that portion and two-thirds of the "wage loss".
2. The most we will pay for all "wage loss" during the policy period is \$5,000, regardless of the number of accidents or the number of injured persons sustaining "wage loss".
3. The **Wage Loss** is included within and not in addition to the Medical Expense Limit of insurance shown in the Declarations.

d. The following is added to SECTION IV – GENERAL LIABILITY CONDITIONS:

Proof of "wage loss" must be provided in writing by the employer of the person sustaining the "wage loss". If a person to whom coverage applies under this extension is self-employed, then such person must provide tax returns and any other necessary records to document their "wage loss".

e. For the purpose of this coverage only, the following definition is added to SECTION V – DEFINITIONS:

"Wage loss" means loss of actual gross income, but only to the extent that such income was being paid on the date that "bodily injury" caused by an accident occurred. "Wage Loss" does not include potential income that may have been received from bonuses, commission from sales, overtime hours, on-call pay, or other similar types of compensation. "Wage Loss" also does not include compensation

for paid sick leave, paid vacation days, short-term disability days, long-term disability days, or family leave that was used as a result of the "bodily injury."

5. If the Coverage Aircraft – Nonowned Hired, Chartered or Loaned with Paid Crew is included in the Endorsement, it is replaced with the following:

4. Aircraft – Nonowned Hired, Chartered or Loaned with Paid Crew

The following is added to **SECTION I – COVERAGES, COVERAGE A BODILY INJURY AND PROPERTY DAMAGE LIABILITY**, Paragraph 2. Exclusions, subparagraph g.:

This exclusion does not apply to:

g. Aircraft, Auto or Watercraft

An aircraft you do not own that is hired, chartered or loaned with a paid crew.

Insurance provided under this exception will be excess of any other valid or collectible insurance available to the insured for "bodily injury" or "property damage" liability covered under this provision.

C. The following is added to the COMMERCIAL GENERAL LIABILITY ENHANCEMENT ENDORSEMENT – HEALTHCARE, 8. Extended Property Damage for Home Health Care:

The Home Health Care Property Damage Aggregate Limit does not apply in New York.

D. The following changes are made to the COMMERCIAL GENERAL LIABILITY ENHANCEMENT ENDORSEMENT – HEALTHCARE, 9. Public Relations Expenses Coverage:

1. Paragraph a. is replaced by the following:

- a. We pay on your behalf reasonable "public relations expenses" resulting from a "public relations incident" that occurs after the policy effective date, and before the end of the policy period.

2. Paragraph b.(5) is deleted.

3. Paragraph c. is deleted and replaced by:

The Public Relations Expenses Aggregate Limit of \$10,000 is the most we will pay for "public relations expenses" for all "public relations incidents" during the policy period.

Subject to the Public Relations Expenses Aggregate Limit, the Public Relations Expenses Each Incident Limit of \$10,000 is the most we will pay for "public relations expenses" for each "public relations incident".

If the policy period is extended after issuance so that the policy period is more than 12 months, the additional annual Public Relations Aggregate Limit of the expiring policy will be increased in proportion to the policy extension.

4. Paragraph **e.** is deleted and replaced by:
- e.** For the purposes of coverage provided under this Paragraph **9.** only, the following paragraph is added to **SECTION IV – COMMERCIAL GENERAL LIABILITY CONDITIONS:**

Claim File, Claim Number or Claim Reserve

In order to pay “public relations expenses” under this Paragraph **9.**, we will establish a claim file or a claim number, or set a claim reserve, in connection with the “public relations incident”. The establishment of a claim file or a claim number, or the setting of a claim reserve, does not indicate acceptance of the “public relations incident” as a claim under Coverage **A** or Coverage **B** of any Commercial General Liability policy or Professional Liability policy issued to you by us.

5. Paragraph **f.** is amended as follows:

1. The definitions of “fungi” and “microbe” are deleted in their entirety.
2. The following sentence is deleted from the definition of “covered illness”:

“Covered Illness” does not include any type of illness, bacteria, “microve”, virus or disease.

3. Subparagraph (4)(b) is deleted and replaced by:

(b) This includes a “covered location” “contaminated” by “covered illness”, but does not include “contamination” of the “covered location”, in whole or part, by other “pollutants”, except as provided under “covered illness”.

- E.** Paragraph **10. Theft of Clients’ Property of COMMERCIAL GENERAL LIABILITY ENHANCEMENT ENDORSEMENT – HEALTHCARE** is deleted.

ALL OTHER TERMS, CONDITIONS, AND EXCLUSIONS REMAIN UNCHANGED.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

MISCELLANEOUS MEDICAL AND PROFESSIONAL SERVICES DEFINITION – BROAD FORM

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART (CLAIMS-MADE)
COMMERCIAL GENERAL LIABILITY COVERAGE PART (OCCURRENCE)

A. The following definitions are added to the **DEFINITIONS** section:

1. "Activities of daily living" are basic self-care activities, including eating, bathing, dressing, toileting, personal hygiene and grooming, transferring (walking) and continence.
2. "Miscellaneous medical and professional services" means medical and other professional health care services in connection with:
 - a. The sale or rental of medical products and medical gas, including demonstrating, furnishing, installing, adjusting or providing instruction regarding medical or surgical equipment or appliances;
 - b. Orthotic and prosthetic services, including design, manufacture, fabrication, supply and practice of orthotic or prosthetic services;
 - c. Home health care, hospice, home infusion, physical therapy, occupational therapy, speech therapy or respiratory therapy services. Home health care services include the furnishing of food, beverages, medications or appliances in connection with such services. Home health care services also include providing assistance to your client with the "activities of daily living". Home health care services do not include housekeeping services. Hospice services include "religious counseling services";
 - d. Pharmacy services allowed by the state,

including consultations, prescriptions, health screenings and administration of immunizations. Pharmacy services include compounding drugs, but do not include manufacturing drugs;

- e. Diagnostic testing and medical laboratory services, including mobile diagnostic testing centers and mobile medical laboratory services. Diagnostic testing and medical laboratory services include providing instruction or information regarding the laboratory services that you offer;
 - f. Sleep study services, excluding interpretation of sleep studies; or
 - g. Optometry or optician services.
3. "Religious counseling services" means any therapy, guidance, instruction, or direction provided by a "religious counselor" as a part of hospice services.
 4. "Religious counselor" means any:
 - a. Ordained minister;
 - b. Pastor;
 - c. Rabbi;
 - d. Religious or clergy member; or
 - e. Lay person duly authorized by you;Hired or otherwise engaged by you to provide counseling services to an individual or group of individuals, but only while acting within the scope of his or her duties as a counselor.

ALL OTHER TERMS, CONDITIONS, AND EXCLUSIONS REMAIN UNCHANGED.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

NEW YORK CHANGES – HEALTHCARE

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE FORM (CLAIMS-MADE)
COMMERCIAL GENERAL LIABILITY COVERAGE FORM (OCCURRENCE)
PROFESSIONAL LIABILITY COVERAGE ENDORSEMENT (CLAIMS-MADE)
PROFESSIONAL LIABILITY COVERAGE ENDORSEMENT – COMBINED LIMITS OF INSURANCE (OCCURRENCE)
PROFESSIONAL LIABILITY COVERAGE ENDORSEMENT – SEPARATE LIMITS OF INSURANCE (OCCURRENCE)
SUPPLEMENTARY PAYMENTS - ADMINISTRATIVE DEFENSE COVERAGE ENDORSEMENT
HIPAA REGULATORY DEFENSE COVERAGE ENDORSEMENT

A. If the **PROFESSIONAL LIABILITY COVERAGE ENDORSEMENT** is attached to the policy, for the purposes of coverage under the **PROFESSIONAL LIABILITY COVERAGE ENDORSEMENT**, the following exclusion is added to **SECTION I – COVERAGES, COVERAGE A BODILY INJURY AND PROPERTY DAMAGE LIABILITY, 2. Exclusions** and to **SECTION I – COVERAGES, COVERAGE B – PERSONAL AND ADVERTISING INJURY LIABILITY, 2. Exclusions** of the **COMMERCIAL GENERAL LIABILITY COVERAGE FORM**:

Punitive or Exemplary Damages

Any sum awarded for punitive damages, exemplary damages, multiplied damages, fines or penalties arising out of any "miscellaneous medical and professional services".

B. If the **PROFESSIONAL LIABILITY COVERAGE ENDORSEMENT** is attached the policy, for the purposes of coverage under the **PROFESSIONAL LIABILITY COVERAGE ENDORSEMENT**, the following Condition is added to **SECTION IV – COMMERCIAL GENERAL LIABILITY CONDITIONS** of the **COMMERCIAL GENERAL LIABILITY COVERAGE FORM**:

Transfer of Duties When a Limit of Insurance Is Used Up

a. If we conclude that, based on "occurrences," offenses, claims or "suits" which have been reported to us and to which this insurance may apply, the:

- (1) Professional Liability Aggregate Limit; or
- (2) Professional Liability Each Occurrence Limit;

is likely to be used up in the payment of judgments or settlements, we will notify the first Named Insured, in writing, to that effect.

b. When a limit of insurance described in Paragraph **a.** above has actually been used up in the payment of judgments or settlements:

(1) We will notify the first Named Insured, in writing, as soon as practicable, that:

(a) Such a limit has actually been used up; and

(b) Our duty to defend "suits" seeking damages subject to that limit has also ended.

(2) We will initiate, and cooperate in, the transfer of control, to any appropriate insured, of all claims and "suits" seeking damages which are subject to that limit and which are reported to us before that limit is used up. That insured must cooperate in the transfer of control of said claims and "suits".

We agree to take such steps, as we deem appropriate, to avoid a default in, or continue the defense of, such "suits" until such transfer is completed, provided the appropriate insured is cooperating in completing such transfer.

We will take no action whatsoever with respect to any claim or "suit" seeking damages that would have been subject to that limit, had it not been used up, if the claim or "suit" is reported to us after that limit of insurance has been used up.

(3) The first Named Insured, and any other insured involved in a "suit" seeking damages subject to that limit, must arrange for the defense of such "suit" within such time period as agreed to between the appropriate insured and us. Absent any such agreement, arrangements for the

defense of such "suit" must be made as soon as practicable.

- c. The first Named Insured will reimburse us for expenses we incur in taking those steps we deem appropriate in accordance with Paragraph **b.(2)** above.

The duty of the first Named Insured to reimburse us will begin on:

- (1) The date on which the applicable limit of insurance is used up, if we sent notice in accordance with paragraph a. above; or
- (2) The date on which we sent notice in accordance with Paragraph **b.(1)** above, if we did not send notice in accordance with Paragraph a. above.

- d. The exhaustion of any limit of insurance by the payments of judgments or settlements, and the resulting end of our duty to defend, will not be affected by our failure to comply with any of the provisions of this Condition.

C. If the PROFESSIONAL LIABILITY COVERAGE ENDORSEMENT (CLAIMS-MADE) or the PROFESSIONAL LIABILITY COVERAGE ENDORSEMENT – SEPARATE LIMITS OF INSURANCE (OCCURRENCE) is attached to the policy, Paragraph G.4. is replaced by the following:

- 4. The Professional Liability Limits of Insurance of this endorsement apply separately to each consecutive annual period and to any remaining period of less than 12 months, starting with the beginning of the policy period shown in the Declarations, unless the policy period is extended after issuance for an additional period of less than 12 months. In that case, the additional annual Professional Liability Aggregate Limit of the expiring policy shall be increased in proportion to the policy extension.

D. If the PROFESSIONAL LIABILITY COVERAGE ENDORSEMENT (CLAIMS-MADE) is attached to the policy, Paragraph J. is replaced by the following:

- J. For the purposes of coverage provided by this endorsement, the following Section is added:

SECTION VI – EXTENDED REPORTING PERIODS

- 1. We will provide one or more Extended Reporting Periods, as described below, if there is a "termination of coverage". "Termination of coverage" means:
 - a. This Coverage Endorsement is canceled or not renewed, whether done by the insurer or the insured at any time; or

- b. We decrease limits, increase deductibles or self-insured retentions, add new exclusions or make any other changes in coverage that are less favorable to the insured or are a reduction in coverage.

- 2. Extended Reporting Periods do not extend the policy period or change the scope of the coverage provided. They apply only to claims because of damages arising out of providing or failing to provide "miscellaneous medical and professional services" covered by this endorsement occurring prior to "termination of coverage", but not before the Retroactive Date, if any, shown in the Schedule or Declarations.

Once in effect, Extended Reporting Periods may not be canceled.

- 3. During the claims-made relationship and any extended reporting period, a person employed or otherwise affiliated with the Named Insured and covered by this Coverage Endorsement during such affiliation, will continue to be covered by this Coverage Endorsement and any extended reporting period after such affiliation has ceased for such person's acts or omissions during such affiliation.

- 4. Upon "termination of coverage", an Automatic Extended Reporting Period will be provided without an additional premium. This period starts with "termination of coverage" and lasts for 60 days with respect to claims because of damages arising out of providing or failing to provide "miscellaneous medical and professional services" covered by this endorsement occurring prior to "termination of coverage" and not previously reported to us.

The Automatic Extended Reporting Period does not reinstate or increase the Professional Liability Limits of Insurance.

- 5. Upon "termination of coverage", you shall have the right, upon payment of an additional premium, to an Optional Extended Reporting Period. This period starts with "termination of coverage" with respect to claims because of damages arising out of providing or failing to provide "miscellaneous medical and professional services" covered by this endorsement occurring prior to "termination of coverage" and not previously reported to us.

- a. If the Optional Extended Reporting Period is in effect, we will provide the optional aggregate limits of insurance described below, but only for claims

first received and recorded during the Optional Extended Reporting Period.

The optional aggregate limits of insurance will be equal to 100% of the Professional Liability Aggregate Limit in the Schedule for this coverage endorsement.

- b. We will notify you in writing within thirty (30) days after termination of coverage of the required additional premium for the Optional Extended Reporting Period and the importance of purchasing an Optional Extended Reporting Period. If you have been insured with us for less than one year, the Optional Extended Reporting Period shall not apply upon cancellation for nonpayment of premium or fraud.
- c. You must give us a written request and pay the additional premium due for the Optional Extended Reporting Period endorsement within 60 days following the date of "termination of coverage" or thirty (30) days after the date of mailing of the Optional Reporting Period notice by us, whichever is greater. The premium for such Optional Extended Reporting Period must be paid promptly when due. The premium for the Optional Extended Reporting Period will be based on our rates and rules in effect on the date this coverage part was issued or last renewed. It will be fully earned and nonrefundable.
- d. The available Optional Extended Reporting Periods and associated additional premiums are displayed in the table below.

Optional Reporting Period	Percent of Annual Premium
One Year	100%
Two Years	150%
Three Years	200%

- 6. In the event similar insurance is in force covering claims first made during Extended Reporting Period, coverage provided by this Endorsement shall be excess over any part of any other valid and collectable insurance available to the insured, whether primary, excess, and contingent or on any other basis, whose policy period begins or continues after our policy period ends.

- 7. The Optional Extended Reporting Period will be available to any person who has been an insured under this Policy at the end of the policy period if you have been placed in liquidation or bankruptcy or permanently cease operations and you or a designated trustee does not purchase the Optional Extended Reporting Period.

- a. The Optional Extended Reporting Period will be available only if such person requests the Optional Extended Reporting Period Option within one hundred and twenty (120) days after the termination of coverage.
- b. We will have no obligation to provide notice to any such person of the availability of the Optional Extended Reporting Period Option described in this provision.
- c. We may charge the person for whom the Optional Extended Reporting Period Option is provided a premium commensurate with the exposure.

- E. If the **PROFESSIONAL LIABILITY COVERAGE ENDORSEMENT (CLAIMS-MADE)** is attached to the policy, for the purposes of coverage under the **PROFESSIONAL LIABILITY COVERAGE ENDORSEMENT (CLAIMS-MADE)**, the following condition is added:

Your Right To Claim and "Occurrence" Information

We will provide the first Named Insured shown in the Declarations the following information relating to this and any other preceding claims made Professional Liability Coverage Endorsement we have issued to you.

- 1. A list or other record of each "occurrence" of which we were notified in accordance with **SECTION IV – CONDITIONS, Paragraph 2.a. Duties in the Event of Occurrence, Offense, Claim or Suit.** We will include the date and brief description of the "occurrence" if that information was in the notice we received.
- 2. A summary by policy year of open and closed "claims" including the date, the description of the "wrongful act" and the payments made and amounts reserved, stated separately under the applicable Aggregate for Each Annual Policy Year limit.

Amounts reserved are based on our judgment. They are subject to change and should not be regarded as ultimate settlement values.

We will provide this information upon written request by the first-named insured or such insured's authorized agent or broker within 10 days of such request.

You must not disclose this information to any claimant or claimant's representative without our consent.

We compile claim and "occurrence" information for our own business purposes and exercise reasonable care in doing so. In providing this information to the first Named Insured, we make no representations or warranties to insureds, insurers, or others to whom this information is furnished by or on behalf of any insured. Cancellation or nonrenewal will be effective even if we inadvertently provide inaccurate information.

F. If SUPPLEMENTARY PAYMENTS – ADMINISTRATIVE DEFENSE COVERAGE ENDORSEMENT or the HIPAA REGULATORY DEFENSE COVERAGE ENDORSEMENT is attached to the policy, Paragraph 1. is replaced by the following:

1. We will pay on your behalf "defense costs" you may incur in the investigation and "defense" of an "action", if:

Paragraphs 1.a., 1.b. and 1.d. are unchanged.

G. If SUPPLEMENTARY PAYMENTS – ADMINISTRATIVE DEFENSE COVERAGE ENDORSEMENT or the HIPAA REGULATORY DEFENSE COVERAGE ENDORSEMENT is attached to the policy, Paragraph 1.c. is replaced by the following:

- c. The event that is the basis for the "action" occurs during the "policy period".

If the event that is the basis for the "action" started to occur prior to the "policy period", then any continuation, change or resumption of the event during or after the "policy period" will be deemed to have occurred prior to the "policy period".

H. If SUPPLEMENTARY PAYMENTS – ADMINISTRATIVE DEFENSE COVERAGE ENDORSEMENT is attached to the policy, Paragraph 2. is replaced by the following:

2. We will pay on your behalf "defense costs" you may incur as a result of a "discovery request" that you or your "employee" receives, in connection with a legal proceeding in the "coverage territory":

- a. Arising out of providing or failing to provide:

- (1) "Miscellaneous medical and professional services", but only if a Professional Liability Coverage Endorsement is attached to the policy;
 - (2) Billing for "miscellaneous medical and professional services", but only if a Professional Liability Coverage Endorsement is attached to the policy;
- or

- (3) The service, repair and installation of durable medical equipment;

- (4) Billing for the service, repair and installation of durable medical equipment; and

- b. In which you or your "employee" are not parties or expert witnesses;

if the event that is the basis for the "discovery request" occurs during the policy period.

If the event that is the basis for the "discovery request" started to occur prior to the "policy period", then any continuation, change or resumption of the event during or after the "policy period" will be deemed to have occurred prior to the "policy period".

I. If SUPPLEMENTARY PAYMENTS – ADMINISTRATIVE DEFENSE COVERAGE ENDORSEMENT is attached to the policy, Paragraph 3.b. is replaced by the following:

- b. We will not pay on your behalf any "defense costs" for any "action" or "discovery request":

Paragraphs 3.b.(1) through 3.b.(10) are unchanged.

J. If SUPPLEMENTARY PAYMENTS – ADMINISTRATIVE DEFENSE COVERAGE ENDORSEMENT is attached to the policy, Paragraph 4. is replaced by the following:

4. The **Limits of Insurance** shown in the **SCHEDULE** of this Coverage Endorsement or in the Declarations and the rules below fix the most we will pay regardless of the number of:

- a. Insureds;
- b. "Actions" brought;
- c. "Discovery requests" received; or
- d. Persons or organizations bringing "actions" or making "discovery requests".

The Aggregate Limit shown in the **SCHEDULE** above or in the Declarations is the most we will pay for "defense costs" for all "actions" and "discovery requests" combined during the policy period. If an Aggregate Limit is not listed in the **SCHEDULE** or in the Declarations, then the Aggregate Limit is deemed to be \$10,000.

Subject to the Aggregate Limit, the Each Action Limit shown in the **SCHEDULE** above or in the Declarations is the most we will pay under this provision for "defense costs" for each "action" or "discovery request". If an Each Action Limit is not listed in the **SCHEDULE** or in the Declarations, then the Each Action Limit is deemed to be \$10,000.

K. If the HIPAA REGULATORY DEFENSE COVERAGE ENDORSEMENT is attached to the

policy, the first section of Paragraph **2.b.** is replaced by the following:

- b.** We will not pay on your behalf any “defense costs” for any “action”:

Paragraphs **2.b.(1)** through **2.b.(10)** are unchanged.

- L.** If the **HIPAA REGULATORY DEFENSE COVERAGE ENDORSEMENT** is attached to the policy, Paragraph **3.** is replaced by the following:

- 3.** The **Limits of Insurance** shown in the **SCHEDULE** of this Coverage Endorsement or in the Declarations and the rules below fix the most we will pay regardless of the number of:

- a.** Insureds;
- b.** “Actions” brought; or
- c.** Persons or organizations bringing “actions”.

The HIPAA Regulatory Defense Aggregate Limit shown in the **SCHEDULE** above or in the Declarations is the most we will pay for “defense costs” for all “actions” combined during the policy period. If the HIPAA Regulatory Defense Aggregate Limit is not listed in the **SCHEDULE** or in the Declarations, then the HIPAA Regulatory Defense Aggregate Limit is deemed to be \$10,000.

Subject to the HIPAA Regulatory Defense Aggregate Limit, the HIPAA Regulatory Defense Each Action Limit shown in the **SCHEDULE** above or in the Declarations is the most we will pay for “defense costs” for each “action”. If the HIPAA Regulatory Defense Each Action Limit is not listed in the **SCHEDULE** or in the Declarations, then the HIPAA Regulatory Defense Each Action Limit is deemed to be \$10,000.

ALL OTHER TERMS, CONDITIONS, AND EXCLUSIONS REMAIN UNCHANGED.

COMMERCIAL GENERAL LIABILITY COVERAGE FORM

Various provisions in this policy restrict coverage. Read the entire policy carefully to determine rights, duties and what is and is not covered.

Throughout this policy the words "you" and "your" refer to the Named Insured shown in the Declarations, and any other person or organization qualifying as a Named Insured under this policy. The words "we", "us" and "our" refer to the company providing this insurance.

The word "insured" means any person or organization qualifying as such under Section II – Who Is An Insured.

Other words and phrases that appear in quotation marks have special meaning. Refer to Section V – Definitions.

SECTION I – COVERAGES

COVERAGE A – BODILY INJURY AND PROPERTY DAMAGE LIABILITY

1. Insuring Agreement

- a. We will pay those sums that the insured becomes legally obligated to pay as damages because of "bodily injury" or "property damage" to which this insurance applies. We will have the right and duty to defend the insured against any "suit" seeking those damages. However, we will have no duty to defend the insured against any "suit" seeking damages for "bodily injury" or "property damage" to which this insurance does not apply. We may, at our discretion, investigate any "occurrence" and settle any claim or "suit" that may result. But:

- (1) The amount we will pay for damages is limited as described in Section III – Limits Of Insurance; and
- (2) Our right and duty to defend ends when we have used up the applicable limit of insurance in the payment of judgments or settlements under Coverages A or B or medical expenses under Coverage C.

No other obligation or liability to pay sums or perform acts or services is covered unless explicitly provided for under Supplementary Payments – Coverages A and B.

- b. This insurance applies to "bodily injury" and "property damage" only if:
- (1) The "bodily injury" or "property damage" is caused by an "occurrence" that takes place in the "coverage territory";

- (2) The "bodily injury" or "property damage" occurs during the policy period; and

- (3) Prior to the policy period, no insured listed under Paragraph 1. of Section II – Who Is An Insured and no "employee" authorized by you to give or receive notice of an "occurrence" or claim, knew that the "bodily injury" or "property damage" had occurred, in whole or in part. If such a listed insured or authorized "employee" knew, prior to the policy period, that the "bodily injury" or "property damage" occurred, then any continuation, change or resumption of such "bodily injury" or "property damage" during or after the policy period will be deemed to have been known prior to the policy period.

- c. "Bodily injury" or "property damage" which occurs during the policy period and was not, prior to the policy period, known to have occurred by any insured listed under Paragraph 1. of Section II – Who Is An Insured or any "employee" authorized by you to give or receive notice of an "occurrence" or claim, includes any continuation, change or resumption of that "bodily injury" or "property damage" after the end of the policy period.

- d. "Bodily injury" or "property damage" will be deemed to have been known to have occurred at the earliest time when any insured listed under Paragraph 1. of Section II – Who Is An Insured or any "employee" authorized by you to give or receive notice of an "occurrence" or claim:

- (1) Reports all, or any part, of the "bodily injury" or "property damage" to us or any other insurer;
- (2) Receives a written or verbal demand or claim for damages because of the "bodily injury" or "property damage"; or
- (3) Becomes aware by any other means that "bodily injury" or "property damage" has occurred or has begun to occur.

- e. Damages because of "bodily injury" include damages claimed by any person or organization for care, loss of services or death resulting at any time from the "bodily injury".

2. Exclusions

This insurance does not apply to:

a. Expected Or Intended Injury

"Bodily injury" or "property damage" expected or intended from the standpoint of the insured. This exclusion does not apply to "bodily injury" resulting from the use of reasonable force to protect persons or property.

b. Contractual Liability

"Bodily injury" or "property damage" for which the insured is obligated to pay damages by reason of the assumption of liability in a contract or agreement. This exclusion does not apply to liability for damages:

- (1) That the insured would have in the absence of the contract or agreement; or
- (2) Assumed in a contract or agreement that is an "insured contract", provided the "bodily injury" or "property damage" occurs subsequent to the execution of the contract or agreement. Solely for the purposes of liability assumed in an "insured contract", reasonable attorneys' fees and necessary litigation expenses incurred by or for a party other than an insured are deemed to be damages because of "bodily injury" or "property damage", provided:
 - (a) Liability to such party for, or for the cost of, that party's defense has also been assumed in the same "insured contract"; and
 - (b) Such attorneys' fees and litigation expenses are for defense of that party against a civil or alternative dispute resolution proceeding in which damages to which this insurance applies are alleged.

c. Liquor Liability

"Bodily injury" or "property damage" for which any insured may be held liable by reason of:

- (1) Causing or contributing to the intoxication of any person;
- (2) The furnishing of alcoholic beverages to a person under the legal drinking age or under the influence of alcohol; or
- (3) Any statute, ordinance or regulation relating to the sale, gift, distribution or use of alcoholic beverages.

This exclusion applies even if the claims against any insured allege negligence or other wrongdoing in:

- (a) The supervision, hiring, employment, training or monitoring of others by that insured; or
- (b) Providing or failing to provide transportation with respect to any person that may be under the influence of alcohol;

if the "occurrence" which caused the "bodily injury" or "property damage", involved that which is described in Paragraph (1), (2) or (3) above.

However, this exclusion applies only if you are in the business of manufacturing, distributing, selling, serving or furnishing alcoholic beverages. For the purposes of this exclusion, permitting a person to bring alcoholic beverages on your premises, for consumption on your premises, whether or not a fee is charged or a license is required for such activity, is not by itself considered the business of selling, serving or furnishing alcoholic beverages.

d. Workers' Compensation And Similar Laws

Any obligation of the insured under a workers' compensation, disability benefits or unemployment compensation law or any similar law.

e. Employer's Liability

"Bodily injury" to:

- (1) An "employee" of the insured arising out of and in the course of:
 - (a) Employment by the insured; or
 - (b) Performing duties related to the conduct of the insured's business; or
- (2) The spouse, child, parent, brother or sister of that "employee" as a consequence of Paragraph (1) above.

This exclusion applies whether the insured may be liable as an employer or in any other capacity and to any obligation to share damages with or repay someone else who must pay damages because of the injury.

This exclusion does not apply to liability assumed by the insured under an "insured contract".

f. Pollution

- (1) "Bodily injury" or "property damage" arising out of the actual, alleged or threatened discharge, dispersal, seepage, migration, release or escape of "pollutants":
 - (a) At or from any premises, site or location which is or was at any time owned or occupied by, or rented or loaned to, any insured. However, this subparagraph does not apply to:
 - (i) "Bodily injury" if sustained within a building and caused by smoke, fumes, vapor or soot produced by or originating from equipment that is used to heat, cool or dehumidify the building, or equipment that is used to heat water for personal use, by the building's occupants or their guests;
 - (ii) "Bodily injury" or "property damage" for which you may be held liable, if you are a contractor and the owner or lessee of such premises, site or location has been added to your policy as an additional insured with respect to your ongoing operations performed for that additional insured at that premises, site or location and such premises, site or location is not and never was owned or occupied by, or rented or loaned to, any insured, other than that additional insured; or
 - (iii) "Bodily injury" or "property damage" arising out of heat, smoke or fumes from a "hostile fire";
 - (b) At or from any premises, site or location which is or was at any time used by or for any insured or others for the handling, storage, disposal, processing or treatment of waste;
 - (c) Which are or were at any time transported, handled, stored, treated, disposed of, or processed as waste by or for:
 - (i) Any insured; or
 - (ii) Any person or organization for whom you may be legally responsible; or
 - (d) At or from any premises, site or location on which any insured or any contractors or subcontractors working directly or indirectly on any insured's behalf are performing operations if the "pollutants" are brought on or to the premises, site or location in connection with such operations by such insured, contractor or subcontractor. However, this subparagraph does not apply to:
 - (i) "Bodily injury" or "property damage" arising out of the escape of fuels, lubricants or other operating fluids which are needed to perform the normal electrical, hydraulic or mechanical functions necessary for the operation of "mobile equipment" or its parts, if such fuels, lubricants or other operating fluids escape from a vehicle part designed to hold, store or receive them. This exception does not apply if the "bodily injury" or "property damage" arises out of the intentional discharge, dispersal or release of the fuels, lubricants or other operating fluids, or if such fuels, lubricants or other operating fluids are brought on or to the premises, site or location with the intent that they be discharged, dispersed or released as part of the operations being performed by such insured, contractor or subcontractor;
 - (ii) "Bodily injury" or "property damage" sustained within a building and caused by the release of gases, fumes or vapors from materials brought into that building in connection with operations being performed by you or on your behalf by a contractor or subcontractor; or
 - (iii) "Bodily injury" or "property damage" arising out of heat, smoke or fumes from a "hostile fire".
 - (e) At or from any premises, site or location on which any insured or any contractors or subcontractors working directly or indirectly on any insured's behalf are performing operations if the operations are to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of, "pollutants".

(2) Any loss, cost or expense arising out of any:

- (a) Request, demand, order or statutory or regulatory requirement that any insured or others test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of, "pollutants"; or
- (b) Claim or suit by or on behalf of a governmental authority for damages because of testing for, monitoring, cleaning up, removing, containing, treating, detoxifying or neutralizing, or in any way responding to, or assessing the effects of, "pollutants".

However, this paragraph does not apply to liability for damages because of "property damage" that the insured would have in the absence of such request, demand, order or statutory or regulatory requirement, or such claim or "suit" by or on behalf of a governmental authority.

g. Aircraft, Auto Or Watercraft

"Bodily injury" or "property damage" arising out of the ownership, maintenance, use or entrustment to others of any aircraft, "auto" or watercraft owned or operated by or rented or loaned to any insured. Use includes operation and "loading or unloading".

This exclusion applies even if the claims against any insured allege negligence or other wrongdoing in the supervision, hiring, employment, training or monitoring of others by that insured, if the "occurrence" which caused the "bodily injury" or "property damage" involved the ownership, maintenance, use or entrustment to others of any aircraft, "auto" or watercraft that is owned or operated by or rented or loaned to any insured.

This exclusion does not apply to:

- (1) A watercraft while ashore on premises you own or rent;
- (2) A watercraft you do not own that is:
 - (a) Less than 26 feet long; and
 - (b) Not being used to carry persons or property for a charge;
- (3) Parking an "auto" on, or on the ways next to, premises you own or rent, provided the "auto" is not owned by or rented or loaned to you or the insured;
- (4) Liability assumed under any "insured contract" for the ownership, maintenance or use of aircraft or watercraft; or

(5) "Bodily injury" or "property damage" arising out of:

- (a) The operation of machinery or equipment that is attached to, or part of, a land vehicle that would qualify under the definition of "mobile equipment" if it were not subject to a compulsory or financial responsibility law or other motor vehicle insurance law where it is licensed or principally garaged; or
- (b) The operation of any of the machinery or equipment listed in Paragraph **f.(2)** or **f.(3)** of the definition of "mobile equipment".

h. Mobile Equipment

"Bodily injury" or "property damage" arising out of:

- (1) The transportation of "mobile equipment" by an "auto" owned or operated by or rented or loaned to any insured; or
- (2) The use of "mobile equipment" in, or while in practice for, or while being prepared for, any prearranged racing, speed, demolition, or stunting activity.

i. War

"Bodily injury" or "property damage", however caused, arising, directly or indirectly, out of:

- (1) War, including undeclared or civil war;
- (2) Warlike action by a military force, including action in hindering or defending against an actual or expected attack, by any government, sovereign or other authority using military personnel or other agents; or
- (3) Insurrection, rebellion, revolution, usurped power, or action taken by governmental authority in hindering or defending against any of these.

j. Damage To Property

"Property damage" to:

- (1) Property you own, rent, or occupy, including any costs or expenses incurred by you, or any other person, organization or entity, for repair, replacement, enhancement, restoration or maintenance of such property for any reason, including prevention of injury to a person or damage to another's property;
- (2) Premises you sell, give away or abandon, if the "property damage" arises out of any part of those premises;
- (3) Property loaned to you;

- (4) Personal property in the care, custody or control of the insured;
- (5) That particular part of real property on which you or any contractors or subcontractors working directly or indirectly on your behalf are performing operations, if the "property damage" arises out of those operations; or
- (6) That particular part of any property that must be restored, repaired or replaced because "your work" was incorrectly performed on it.

Paragraphs (1), (3) and (4) of this exclusion do not apply to "property damage" (other than damage by fire) to premises, including the contents of such premises, rented to you for a period of seven or fewer consecutive days. A separate limit of insurance applies to Damage To Premises Rented To You as described in Section III – Limits Of Insurance.

Paragraph (2) of this exclusion does not apply if the premises are "your work" and were never occupied, rented or held for rental by you.

Paragraphs (3), (4), (5) and (6) of this exclusion do not apply to liability assumed under a sidetrack agreement.

Paragraph (6) of this exclusion does not apply to "property damage" included in the "products-completed operations hazard".

k. Damage To Your Product

"Property damage" to "your product" arising out of it or any part of it.

l. Damage To Your Work

"Property damage" to "your work" arising out of it or any part of it and included in the "products-completed operations hazard".

This exclusion does not apply if the damaged work or the work out of which the damage arises was performed on your behalf by a subcontractor.

m. Damage To Impaired Property Or Property Not Physically Injured

"Property damage" to "impaired property" or property that has not been physically injured, arising out of:

- (1) A defect, deficiency, inadequacy or dangerous condition in "your product" or "your work"; or
- (2) A delay or failure by you or anyone acting on your behalf to perform a contract or agreement in accordance with its terms.

This exclusion does not apply to the loss of use of other property arising out of sudden and accidental physical injury to "your product" or "your work" after it has been put to its intended use.

n. Recall Of Products, Work Or Impaired Property

Damages claimed for any loss, cost or expense incurred by you or others for the loss of use, withdrawal, recall, inspection, repair, replacement, adjustment, removal or disposal of:

- (1) "Your product";
- (2) "Your work"; or
- (3) "Impaired property";

if such product, work, or property is withdrawn or recalled from the market or from use by any person or organization because of a known or suspected defect, deficiency, inadequacy or dangerous condition in it.

o. Personal And Advertising Injury

"Bodily injury" arising out of "personal and advertising injury".

p. Electronic Data

Damages arising out of the loss of, loss of use of, damage to, corruption of, inability to access, or inability to manipulate electronic data.

However, this exclusion does not apply to liability for damages because of "bodily injury".

As used in this exclusion, electronic data means information, facts or programs stored as or on, created or used on, or transmitted to or from computer software, including systems and applications software, hard or floppy disks, CD-ROMs, tapes, drives, cells, data processing devices or any other media which are used with electronically controlled equipment.

q. Recording And Distribution Of Material Or Information In Violation Of Law

"Bodily injury" or "property damage" arising directly or indirectly out of any action or omission that violates or is alleged to violate:

- (1) The Telephone Consumer Protection Act (TCPA), including any amendment of or addition to such law;
- (2) The CAN-SPAM Act of 2003, including any amendment of or addition to such law;
- (3) The Fair Credit Reporting Act (FCRA), and any amendment of or addition to such law, including the Fair and Accurate Credit Transactions Act (FACTA); or

- (4) Any federal, state or local statute, ordinance or regulation, other than the TCPA, CAN-SPAM Act of 2003 or FCRA and their amendments and additions, that addresses, prohibits, or limits the printing, dissemination, disposal, collecting, recording, sending, transmitting, communicating or distribution of material or information.

Exclusions c. through n. do not apply to damage by fire to premises while rented to you or temporarily occupied by you with permission of the owner. A separate limit of insurance applies to this coverage as described in Section III – Limits Of Insurance.

COVERAGE B – PERSONAL AND ADVERTISING INJURY LIABILITY

1. Insuring Agreement

- a. We will pay those sums that the insured becomes legally obligated to pay as damages because of "personal and advertising injury" to which this insurance applies. We will have the right and duty to defend the insured against any "suit" seeking those damages. However, we will have no duty to defend the insured against any "suit" seeking damages for "personal and advertising injury" to which this insurance does not apply. We may, at our discretion, investigate any offense and settle any claim or "suit" that may result. But:

- (1) The amount we will pay for damages is limited as described in Section III – Limits Of Insurance; and
- (2) Our right and duty to defend end when we have used up the applicable limit of insurance in the payment of judgments or settlements under Coverages A or B or medical expenses under Coverage C.

No other obligation or liability to pay sums or perform acts or services is covered unless explicitly provided for under Supplementary Payments – Coverages A and B.

- b. This insurance applies to "personal and advertising injury" caused by an offense arising out of your business but only if the offense was committed in the "coverage territory" during the policy period.

2. Exclusions

This insurance does not apply to:

a. Knowing Violation Of Rights Of Another

"Personal and advertising injury" caused by or at the direction of the insured with the knowledge that the act would violate the rights of another and would inflict "personal and advertising injury".

b. Material Published With Knowledge Of Falsity

"Personal and advertising injury" arising out of oral or written publication, in any manner, of material, if done by or at the direction of the insured with knowledge of its falsity.

c. Material Published Prior To Policy Period

"Personal and advertising injury" arising out of oral or written publication, in any manner, of material whose first publication took place before the beginning of the policy period.

d. Criminal Acts

"Personal and advertising injury" arising out of a criminal act committed by or at the direction of the insured.

e. Contractual Liability

"Personal and advertising injury" for which the insured has assumed liability in a contract or agreement. This exclusion does not apply to liability for damages that the insured would have in the absence of the contract or agreement.

f. Breach Of Contract

"Personal and advertising injury" arising out of a breach of contract, except an implied contract to use another's advertising idea in your "advertisement".

g. Quality Or Performance Of Goods – Failure To Conform To Statements

"Personal and advertising injury" arising out of the failure of goods, products or services to conform with any statement of quality or performance made in your "advertisement".

h. Wrong Description Of Prices

"Personal and advertising injury" arising out of the wrong description of the price of goods, products or services stated in your "advertisement".

i. Infringement Of Copyright, Patent, Trademark Or Trade Secret

"Personal and advertising injury" arising out of the infringement of copyright, patent, trademark, trade secret or other intellectual property rights. Under this exclusion, such other intellectual property rights do not include the use of another's advertising idea in your "advertisement".

However, this exclusion does not apply to infringement, in your "advertisement", of copyright, trade dress or slogan.

j. Insureds In Media And Internet Type Businesses

"Personal and advertising injury" committed by an insured whose business is:

- (1) Advertising, broadcasting, publishing or telecasting;
- (2) Designing or determining content of web sites for others; or
- (3) An Internet search, access, content or service provider.

However, this exclusion does not apply to Paragraphs **14.a.**, **b.** and **c.** of "personal and advertising injury" under the Definitions section.

For the purposes of this exclusion, the placing of frames, borders or links, or advertising, for you or others anywhere on the Internet, is not by itself, considered the business of advertising, broadcasting, publishing or telecasting.

k. Electronic Chatrooms Or Bulletin Boards

"Personal and advertising injury" arising out of an electronic chatroom or bulletin board the insured hosts, owns, or over which the insured exercises control.

l. Unauthorized Use Of Another's Name Or Product

"Personal and advertising injury" arising out of the unauthorized use of another's name or product in your e-mail address, domain name or metatag, or any other similar tactics to mislead another's potential customers.

m. Pollution

"Personal and advertising injury" arising out of the actual, alleged or threatened discharge, dispersal, seepage, migration, release or escape of "pollutants" at any time.

n. Pollution-related

Any loss, cost or expense arising out of any:

- (1) Request, demand, order or statutory or regulatory requirement that any insured or others test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of, "pollutants"; or
- (2) Claim or suit by or on behalf of a governmental authority for damages because of testing for, monitoring, cleaning up, removing, containing, treating, detoxifying or neutralizing, or in any way responding to, or assessing the effects of, "pollutants".

o. War

"Personal and advertising injury", however caused, arising, directly or indirectly, out of:

- (1) War, including undeclared or civil war;
- (2) Warlike action by a military force, including action in hindering or defending against an actual or expected attack, by any government, sovereign or other authority using military personnel or other agents; or
- (3) Insurrection, rebellion, revolution, usurped power, or action taken by governmental authority in hindering or defending against any of these.

p. Recording And Distribution Of Material Or Information In Violation Of Law

"Personal and advertising injury" arising directly or indirectly out of any action or omission that violates or is alleged to violate:

- (1) The Telephone Consumer Protection Act (TCPA), including any amendment of or addition to such law;
- (2) The CAN-SPAM Act of 2003, including any amendment of or addition to such law;
- (3) The Fair Credit Reporting Act (FCRA), and any amendment of or addition to such law, including the Fair and Accurate Credit Transactions Act (FACTA); or
- (4) Any federal, state or local statute, ordinance or regulation, other than the TCPA, CAN-SPAM Act of 2003 or FCRA and their amendments and additions, that addresses, prohibits, or limits the printing, dissemination, disposal, collecting, recording, sending, transmitting, communicating or distribution of material or information.

COVERAGE C – MEDICAL PAYMENTS

1. Insuring Agreement

- a. We will pay medical expenses as described below for "bodily injury" caused by an accident:
 - (1) On premises you own or rent;
 - (2) On ways next to premises you own or rent; or
 - (3) Because of your operations;provided that:
 - (a) The accident takes place in the "coverage territory" and during the policy period;
 - (b) The expenses are incurred and reported to us within one year of the date of the accident; and
 - (c) The injured person submits to examination, at our expense, by physicians of our choice as often as we reasonably require.
- b. We will make these payments regardless of fault. These payments will not exceed the applicable limit of insurance. We will pay reasonable expenses for:
 - (1) First aid administered at the time of an accident;
 - (2) Necessary medical, surgical, X-ray and dental services, including prosthetic devices; and
 - (3) Necessary ambulance, hospital, professional nursing and funeral services.

2. Exclusions

We will not pay expenses for "bodily injury":

a. Any Insured

To any insured, except "volunteer workers".

b. Hired Person

To a person hired to do work for or on behalf of any insured or a tenant of any insured.

c. Injury On Normally Occupied Premises

To a person injured on that part of premises you own or rent that the person normally occupies.

d. Workers' Compensation And Similar Laws

To a person, whether or not an "employee" of any insured, if benefits for the "bodily injury" are payable or must be provided under a workers' compensation or disability benefits law or a similar law.

e. Athletics Activities

To a person injured while practicing, instructing or participating in any physical exercises or games, sports, or athletic contests.

f. Products-Completed Operations Hazard

Included within the "products-completed operations hazard".

g. Coverage A Exclusions

Excluded under Coverage A.

SUPPLEMENTARY PAYMENTS – COVERAGES A AND B

- 1. We will pay, with respect to any claim we investigate or settle, or any "suit" against an insured we defend:
 - a. All expenses we incur.
 - b. Up to \$250 for cost of bail bonds required because of accidents or traffic law violations arising out of the use of any vehicle to which the Bodily Injury Liability Coverage applies. We do not have to furnish these bonds.
 - c. The cost of bonds to release attachments, but only for bond amounts within the applicable limit of insurance. We do not have to furnish these bonds.
 - d. All reasonable expenses incurred by the insured at our request to assist us in the investigation or defense of the claim or "suit", including actual loss of earnings up to \$250 a day because of time off from work.
 - e. All court costs taxed against the insured in the "suit". However, these payments do not include attorneys' fees or attorneys' expenses taxed against the insured.
 - f. Prejudgment interest awarded against the insured on that part of the judgment we pay. If we make an offer to pay the applicable limit of insurance, we will not pay any prejudgment interest based on that period of time after the offer.

- g. All interest on the full amount of any judgment that accrues after entry of the judgment and before we have paid, offered to pay, or deposited in court the part of the judgment that is within the applicable limit of insurance.

These payments will not reduce the limits of insurance.

- 2. If we defend an insured against a "suit" and an indemnitee of the insured is also named as a party to the "suit", we will defend that indemnitee if all of the following conditions are met:
 - a. The "suit" against the indemnitee seeks damages for which the insured has assumed the liability of the indemnitee in a contract or agreement that is an "insured contract";
 - b. This insurance applies to such liability assumed by the insured;
 - c. The obligation to defend, or the cost of the defense of, that indemnitee, has also been assumed by the insured in the same "insured contract";
 - d. The allegations in the "suit" and the information we know about the "occurrence" are such that no conflict appears to exist between the interests of the insured and the interests of the indemnitee;
 - e. The indemnitee and the insured ask us to conduct and control the defense of that indemnitee against such "suit" and agree that we can assign the same counsel to defend the insured and the indemnitee; and
 - f. The indemnitee:
 - (1) Agrees in writing to:
 - (a) Cooperate with us in the investigation, settlement or defense of the "suit";
 - (b) Immediately send us copies of any demands, notices, summonses or legal papers received in connection with the "suit";
 - (c) Notify any other insurer whose coverage is available to the indemnitee; and
 - (d) Cooperate with us with respect to coordinating other applicable insurance available to the indemnitee; and
 - (2) Provides us with written authorization to:
 - (a) Obtain records and other information related to the "suit"; and
 - (b) Conduct and control the defense of the indemnitee in such "suit".

So long as the above conditions are met, attorneys' fees incurred by us in the defense of that indemnitee, necessary litigation expenses incurred by us and necessary litigation expenses incurred by the indemnitee at our request will be paid as Supplementary Payments. Notwithstanding the provisions of Paragraph **2.b.(2)** of Section **I – Coverage A – Bodily Injury And Property Damage Liability**, such payments will not be deemed to be damages for "bodily injury" and "property damage" and will not reduce the limits of insurance.

Our obligation to defend an insured's indemnitee and to pay for attorneys' fees and necessary litigation expenses as Supplementary Payments ends when we have used up the applicable limit of insurance in the payment of judgments or settlements or the conditions set forth above, or the terms of the agreement described in Paragraph **f.** above, are no longer met.

SECTION II – WHO IS AN INSURED

- 1. If you are designated in the Declarations as:
 - a. An individual, you and your spouse are insureds, but only with respect to the conduct of a business of which you are the sole owner.
 - b. A partnership or joint venture, you are an insured. Your members, your partners, and their spouses are also insureds, but only with respect to the conduct of your business.
 - c. A limited liability company, you are an insured. Your members are also insureds, but only with respect to the conduct of your business. Your managers are insureds, but only with respect to their duties as your managers.
 - d. An organization other than a partnership, joint venture or limited liability company, you are an insured. Your "executive officers" and directors are insureds, but only with respect to their duties as your officers or directors. Your stockholders are also insureds, but only with respect to their liability as stockholders.
 - e. A trust, you are an insured. Your trustees are also insureds, but only with respect to their duties as trustees.

2. Each of the following is also an insured:

- a. Your "volunteer workers" only while performing duties related to the conduct of your business, or your "employees", other than either your "executive officers" (if you are an organization other than a partnership, joint venture or limited liability company) or your managers (if you are a limited liability company), but only for acts within the scope of their employment by you or while performing duties related to the conduct of your business. However, none of these "employees" or "volunteer workers" are insureds for:

(1) "Bodily injury" or "personal and advertising injury":

- (a) To you, to your partners or members (if you are a partnership or joint venture), to your members (if you are a limited liability company), to a co-"employee" while in the course of his or her employment or performing duties related to the conduct of your business, or to your other "volunteer workers" while performing duties related to the conduct of your business;
- (b) To the spouse, child, parent, brother or sister of that co-"employee" or "volunteer worker" as a consequence of Paragraph (1)(a) above;
- (c) For which there is any obligation to share damages with or repay someone else who must pay damages because of the injury described in Paragraph (1)(a) or (b) above; or
- (d) Arising out of his or her providing or failing to provide professional health care services.

(2) "Property damage" to property:

- (a) Owned, occupied or used by;
- (b) Rented to, in the care, custody or control of, or over which physical control is being exercised for any purpose by;

you, any of your "employees", "volunteer workers", any partner or member (if you are a partnership or joint venture), or any member (if you are a limited liability company).

- b. Any person (other than your "employee" or "volunteer worker"), or any organization while acting as your real estate manager.

- c. Any person or organization having proper temporary custody of your property if you die, but only:

- (1) With respect to liability arising out of the maintenance or use of that property; and
- (2) Until your legal representative has been appointed.

- d. Your legal representative if you die, but only with respect to duties as such. That representative will have all your rights and duties under this Coverage Part.

3. Any organization you newly acquire or form, other than a partnership, joint venture or limited liability company, and over which you maintain ownership or majority interest, will qualify as a Named Insured if there is no other similar insurance available to that organization. However:

- a. Coverage under this provision is afforded only until the 90th day after you acquire or form the organization or the end of the policy period, whichever is earlier;
- b. Coverage **A** does not apply to "bodily injury" or "property damage" that occurred before you acquired or formed the organization; and
- c. Coverage **B** does not apply to "personal and advertising injury" arising out of an offense committed before you acquired or formed the organization.

No person or organization is an insured with respect to the conduct of any current or past partnership, joint venture or limited liability company that is not shown as a Named Insured in the Declarations.

SECTION III – LIMITS OF INSURANCE

1. The Limits of Insurance shown in the Declarations and the rules below fix the most we will pay regardless of the number of:

- a. Insureds;
- b. Claims made or "suits" brought; or
- c. Persons or organizations making claims or bringing "suits".

2. The General Aggregate Limit is the most we will pay for the sum of:

- a. Medical expenses under Coverage **C**;
- b. Damages under Coverage **A**, except damages because of "bodily injury" or "property damage" included in the "products-completed operations hazard"; and
- c. Damages under Coverage **B**.

3. The Products-Completed Operations Aggregate Limit is the most we will pay under Coverage **A** for damages because of "bodily injury" and "property damage" included in the "products-completed operations hazard".
4. Subject to Paragraph 2. above, the Personal And Advertising Injury Limit is the most we will pay under Coverage **B** for the sum of all damages because of all "personal and advertising injury" sustained by any one person or organization.
5. Subject to Paragraph 2. or 3. above, whichever applies, the Each Occurrence Limit is the most we will pay for the sum of:
 - a. Damages under Coverage **A**; and
 - b. Medical expenses under Coverage **C**
 because of all "bodily injury" and "property damage" arising out of any one "occurrence".
6. Subject to Paragraph 5. above, the Damage To Premises Rented To You Limit is the most we will pay under Coverage **A** for damages because of "property damage" to any one premises, while rented to you, or in the case of damage by fire, while rented to you or temporarily occupied by you with permission of the owner.
7. Subject to Paragraph 5. above, the Medical Expense Limit is the most we will pay under Coverage **C** for all medical expenses because of "bodily injury" sustained by any one person.

The Limits of Insurance of this Coverage Part apply separately to each consecutive annual period and to any remaining period of less than 12 months, starting with the beginning of the policy period shown in the Declarations, unless the policy period is extended after issuance for an additional period of less than 12 months. In that case, the additional period will be deemed part of the last preceding period for purposes of determining the Limits of Insurance.

SECTION IV – COMMERCIAL GENERAL LIABILITY CONDITIONS

1. Bankruptcy

Bankruptcy or insolvency of the insured or of the insured's estate will not relieve us of our obligations under this Coverage Part.

2. Duties In The Event Of Occurrence, Offense, Claim Or Suit

- a. You must see to it that we are notified as soon as practicable of an "occurrence" or an offense which may result in a claim. To the extent possible, notice should include:
 - (1) How, when and where the "occurrence" or offense took place;
 - (2) The names and addresses of any injured persons and witnesses; and

- (3) The nature and location of any injury or damage arising out of the "occurrence" or offense.
- b. If a claim is made or "suit" is brought against any insured, you must:
 - (1) Immediately record the specifics of the claim or "suit" and the date received; and
 - (2) Notify us as soon as practicable.
 You must see to it that we receive written notice of the claim or "suit" as soon as practicable.
- c. You and any other involved insured must:
 - (1) Immediately send us copies of any demands, notices, summonses or legal papers received in connection with the claim or "suit";
 - (2) Authorize us to obtain records and other information;
 - (3) Cooperate with us in the investigation or settlement of the claim or defense against the "suit"; and
 - (4) Assist us, upon our request, in the enforcement of any right against any person or organization which may be liable to the insured because of injury or damage to which this insurance may also apply.
- d. No insured will, except at that insured's own cost, voluntarily make a payment, assume any obligation, or incur any expense, other than for first aid, without our consent.

3. Legal Action Against Us

No person or organization has a right under this Coverage Part:

- a. To join us as a party or otherwise bring us into a "suit" asking for damages from an insured; or
- b. To sue us on this Coverage Part unless all of its terms have been fully complied with.

A person or organization may sue us to recover on an agreed settlement or on a final judgment against an insured; but we will not be liable for damages that are not payable under the terms of this Coverage Part or that are in excess of the applicable limit of insurance. An agreed settlement means a settlement and release of liability signed by us, the insured and the claimant or the claimant's legal representative.

4. Other Insurance

If other valid and collectible insurance is available to the insured for a loss we cover under Coverages **A** or **B** of this Coverage Part, our obligations are limited as follows:

a. Primary Insurance

This insurance is primary except when Paragraph **b.** below applies. If this insurance is primary, our obligations are not affected unless any of the other insurance is also primary. Then, we will share with all that other insurance by the method described in Paragraph **c.** below.

b. Excess Insurance

(1) This insurance is excess over:

- (a) Any of the other insurance, whether primary, excess, contingent or on any other basis:
 - (i) That is Fire, Extended Coverage, Builder's Risk, Installation Risk or similar coverage for "your work";
 - (ii) That is Fire insurance for premises rented to you or temporarily occupied by you with permission of the owner;
 - (iii) That is insurance purchased by you to cover your liability as a tenant for "property damage" to premises rented to you or temporarily occupied by you with permission of the owner; or
 - (iv) If the loss arises out of the maintenance or use of aircraft, "autos" or watercraft to the extent not subject to Exclusion **g.** of Section **I** – Coverage **A** – Bodily Injury And Property Damage Liability.
- (b) Any other primary insurance available to you covering liability for damages arising out of the premises or operations, or the products and completed operations, for which you have been added as an additional insured.

(2) When this insurance is excess, we will have no duty under Coverages **A** or **B** to defend the insured against any "suit" if any other insurer has a duty to defend the insured against that "suit". If no other insurer defends, we will undertake to do so, but we will be entitled to the insured's rights against all those other insurers.

(3) When this insurance is excess over other insurance, we will pay only our share of the amount of the loss, if any, that exceeds the sum of:

- (a) The total amount that all such other insurance would pay for the loss in the absence of this insurance; and
- (b) The total of all deductible and self-insured amounts under all that other insurance.

(4) We will share the remaining loss, if any, with any other insurance that is not described in this Excess Insurance provision and was not bought specifically to apply in excess of the Limits of Insurance shown in the Declarations of this Coverage Part.

c. Method Of Sharing

If all of the other insurance permits contribution by equal shares, we will follow this method also. Under this approach each insurer contributes equal amounts until it has paid its applicable limit of insurance or none of the loss remains, whichever comes first.

If any of the other insurance does not permit contribution by equal shares, we will contribute by limits. Under this method, each insurer's share is based on the ratio of its applicable limit of insurance to the total applicable limits of insurance of all insurers.

5. Premium Audit

- a. We will compute all premiums for this Coverage Part in accordance with our rules and rates.
- b. Premium shown in this Coverage Part as advance premium is a deposit premium only. At the close of each audit period we will compute the earned premium for that period and send notice to the first Named Insured. The due date for audit and retrospective premiums is the date shown as the due date on the bill. If the sum of the advance and audit premiums paid for the policy period is greater than the earned premium, we will return the excess to the first Named Insured.
- c. The first Named Insured must keep records of the information we need for premium computation, and send us copies at such times as we may request.

6. Representations

By accepting this policy, you agree:

- a. The statements in the Declarations are accurate and complete;

- b. Those statements are based upon representations you made to us; and
- c. We have issued this policy in reliance upon your representations.

7. Separation Of Insureds

Except with respect to the Limits of Insurance, and any rights or duties specifically assigned in this Coverage Part to the first Named Insured, this insurance applies:

- a. As if each Named Insured were the only Named Insured; and
- b. Separately to each insured against whom claim is made or "suit" is brought.

8. Transfer Of Rights Of Recovery Against Others To Us

If the insured has rights to recover all or part of any payment we have made under this Coverage Part, those rights are transferred to us. The insured must do nothing after loss to impair them. At our request, the insured will bring "suit" or transfer those rights to us and help us enforce them.

9. When We Do Not Renew

If we decide not to renew this Coverage Part, we will mail or deliver to the first Named Insured shown in the Declarations written notice of the nonrenewal not less than 30 days before the expiration date.

If notice is mailed, proof of mailing will be sufficient proof of notice.

SECTION V – DEFINITIONS

1. "Advertisement" means a notice that is broadcast or published to the general public or specific market segments about your goods, products or services for the purpose of attracting customers or supporters. For the purposes of this definition:
 - a. Notices that are published include material placed on the Internet or on similar electronic means of communication; and
 - b. Regarding web sites, only that part of a web site that is about your goods, products or services for the purposes of attracting customers or supporters is considered an advertisement.
2. "Auto" means:
 - a. A land motor vehicle, trailer or semitrailer designed for travel on public roads, including any attached machinery or equipment; or
 - b. Any other land vehicle that is subject to a compulsory or financial responsibility law or other motor vehicle insurance law where it is licensed or principally garaged.

However, "auto" does not include "mobile equipment".

3. "Bodily injury" means bodily injury, sickness or disease sustained by a person, including death resulting from any of these at any time.
4. "Coverage territory" means:
 - a. The United States of America (including its territories and possessions), Puerto Rico and Canada;
 - b. International waters or airspace, but only if the injury or damage occurs in the course of travel or transportation between any places included in Paragraph **a.** above; or
 - c. All other parts of the world if the injury or damage arises out of:
 - (1) Goods or products made or sold by you in the territory described in Paragraph **a.** above;
 - (2) The activities of a person whose home is in the territory described in Paragraph **a.** above, but is away for a short time on your business; or
 - (3) "Personal and advertising injury" offenses that take place through the Internet or similar electronic means of communication;

provided the insured's responsibility to pay damages is determined in a "suit" on the merits, in the territory described in Paragraph **a.** above or in a settlement we agree to.
5. "Employee" includes a "leased worker". "Employee" does not include a "temporary worker".
6. "Executive officer" means a person holding any of the officer positions created by your charter, constitution, bylaws or any other similar governing document.
7. "Hostile fire" means one which becomes uncontrollable or breaks out from where it was intended to be.
8. "Impaired property" means tangible property, other than "your product" or "your work", that cannot be used or is less useful because:
 - a. It incorporates "your product" or "your work" that is known or thought to be defective, deficient, inadequate or dangerous; or
 - b. You have failed to fulfill the terms of a contract or agreement;

if such property can be restored to use by the repair, replacement, adjustment or removal of "your product" or "your work" or your fulfilling the terms of the contract or agreement.

9. "Insured contract" means:

- a. A contract for a lease of premises. However, that portion of the contract for a lease of premises that indemnifies any person or organization for damage by fire to premises while rented to you or temporarily occupied by you with permission of the owner is not an "insured contract";
- b. A sidetrack agreement;
- c. Any easement or license agreement, except in connection with construction or demolition operations on or within 50 feet of a railroad;
- d. An obligation, as required by ordinance, to indemnify a municipality, except in connection with work for a municipality;
- e. An elevator maintenance agreement;
- f. That part of any other contract or agreement pertaining to your business (including an indemnification of a municipality in connection with work performed for a municipality) under which you assume the tort liability of another party to pay for "bodily injury" or "property damage" to a third person or organization. Tort liability means a liability that would be imposed by law in the absence of any contract or agreement.

Paragraph f. does not include that part of any contract or agreement:

- (1) That indemnifies a railroad for "bodily injury" or "property damage" arising out of construction or demolition operations, within 50 feet of any railroad property and affecting any railroad bridge or trestle, tracks, road-beds, tunnel, underpass or crossing;
- (2) That indemnifies an architect, engineer or surveyor for injury or damage arising out of:
 - (a) Preparing, approving, or failing to prepare or approve, maps, shop drawings, opinions, reports, surveys, field orders, change orders or drawings and specifications; or
 - (b) Giving directions or instructions, or failing to give them, if that is the primary cause of the injury or damage; or
- (3) Under which the insured, if an architect, engineer or surveyor, assumes liability for an injury or damage arising out of the insured's rendering or failure to render professional services, including those listed in (2) above and supervisory, inspection, architectural or engineering activities.

10. "Leased worker" means a person leased to you by a labor leasing firm under an agreement between you and the labor leasing firm, to perform duties related to the conduct of your business. "Leased worker" does not include a "temporary worker".

11. "Loading or unloading" means the handling of property:

- a. After it is moved from the place where it is accepted for movement into or onto an aircraft, watercraft or "auto";
- b. While it is in or on an aircraft, watercraft or "auto"; or
- c. While it is being moved from an aircraft, watercraft or "auto" to the place where it is finally delivered;

but "loading or unloading" does not include the movement of property by means of a mechanical device, other than a hand truck, that is not attached to the aircraft, watercraft or "auto".

12. "Mobile equipment" means any of the following types of land vehicles, including any attached machinery or equipment:

- a. Bulldozers, farm machinery, forklifts and other vehicles designed for use principally off public roads;
- b. Vehicles maintained for use solely on or next to premises you own or rent;
- c. Vehicles that travel on crawler treads;
- d. Vehicles, whether self-propelled or not, maintained primarily to provide mobility to permanently mounted:
 - (1) Power cranes, shovels, loaders, diggers or drills; or
 - (2) Road construction or resurfacing equipment such as graders, scrapers or rollers;
- e. Vehicles not described in Paragraph a., b., c. or d. above that are not self-propelled and are maintained primarily to provide mobility to permanently attached equipment of the following types:
 - (1) Air compressors, pumps and generators, including spraying, welding, building cleaning, geophysical exploration, lighting and well servicing equipment; or
 - (2) Cherry pickers and similar devices used to raise or lower workers;
- f. Vehicles not described in Paragraph a., b., c. or d. above maintained primarily for purposes other than the transportation of persons or cargo.

However, self-propelled vehicles with the following types of permanently attached equipment are not "mobile equipment" but will be considered "autos":

- (1) Equipment designed primarily for:
 - (a) Snow removal;
 - (b) Road maintenance, but not construction or resurfacing; or
 - (c) Street cleaning;
- (2) Cherry pickers and similar devices mounted on automobile or truck chassis and used to raise or lower workers; and
- (3) Air compressors, pumps and generators, including spraying, welding, building cleaning, geophysical exploration, lighting and well servicing equipment.

However, "mobile equipment" does not include any land vehicles that are subject to a compulsory or financial responsibility law or other motor vehicle insurance law where it is licensed or principally garaged. Land vehicles subject to a compulsory or financial responsibility law or other motor vehicle insurance law are considered "autos".

13. "Occurrence" means an accident, including continuous or repeated exposure to substantially the same general harmful conditions.

14. "Personal and advertising injury" means injury, including consequential "bodily injury", arising out of one or more of the following offenses:

- a. False arrest, detention or imprisonment;
- b. Malicious prosecution;
- c. The wrongful eviction from, wrongful entry into, or invasion of the right of private occupancy of a room, dwelling or premises that a person occupies, committed by or on behalf of its owner, landlord or lessor;
- d. Oral or written publication, in any manner, of material that slanders or libels a person or organization or disparages a person's or organization's goods, products or services;
- e. Oral or written publication, in any manner, of material that violates a person's right of privacy;
- f. The use of another's advertising idea in your "advertisement"; or
- g. Infringing upon another's copyright, trade dress or slogan in your "advertisement".

15. "Pollutants" mean any solid, liquid, gaseous or thermal irritant or contaminant, including smoke, vapor, soot, fumes, acids, alkalis, chemicals and waste. Waste includes materials to be recycled, reconditioned or reclaimed.

16. "Products-completed operations hazard":

- a. Includes all "bodily injury" and "property damage" occurring away from premises you own or rent and arising out of "your product" or "your work" except:

- (1) Products that are still in your physical possession; or

- (2) Work that has not yet been completed or abandoned. However, "your work" will be deemed completed at the earliest of the following times:

- (a) When all of the work called for in your contract has been completed.

- (b) When all of the work to be done at the job site has been completed if your contract calls for work at more than one job site.

- (c) When that part of the work done at a job site has been put to its intended use by any person or organization other than another contractor or subcontractor working on the same project.

Work that may need service, maintenance, correction, repair or replacement, but which is otherwise complete, will be treated as completed.

- b. Does not include "bodily injury" or "property damage" arising out of:

- (1) The transportation of property, unless the injury or damage arises out of a condition in or on a vehicle not owned or operated by you, and that condition was created by the "loading or unloading" of that vehicle by any insured;

- (2) The existence of tools, uninstalled equipment or abandoned or unused materials; or

- (3) Products or operations for which the classification, listed in the Declarations or in a policy Schedule, states that products-completed operations are subject to the General Aggregate Limit.

17. "Property damage" means:

- a. Physical injury to tangible property, including all resulting loss of use of that property. All such loss of use shall be deemed to occur at the time of the physical injury that caused it; or

- b. Loss of use of tangible property that is not physically injured. All such loss of use shall be deemed to occur at the time of the "occurrence" that caused it.

For the purposes of this insurance, electronic data is not tangible property.

As used in this definition, electronic data means information, facts or programs stored as or on, created or used on, or transmitted to or from computer software, including systems and applications software, hard or floppy disks, CD-ROMs, tapes, drives, cells, data processing devices or any other media which are used with electronically controlled equipment.

18. "Suit" means a civil proceeding in which damages because of "bodily injury", "property damage" or "personal and advertising injury" to which this insurance applies are alleged. "Suit" includes:

- a. An arbitration proceeding in which such damages are claimed and to which the insured must submit or does submit with our consent; or
- b. Any other alternative dispute resolution proceeding in which such damages are claimed and to which the insured submits with our consent.

19. "Temporary worker" means a person who is furnished to you to substitute for a permanent "employee" on leave or to meet seasonal or short-term workload conditions.

20. "Volunteer worker" means a person who is not your "employee", and who donates his or her work and acts at the direction of and within the scope of duties determined by you, and is not paid a fee, salary or other compensation by you or anyone else for their work performed for you.

21. "Your product":

a. Means:

- (1) Any goods or products, other than real property, manufactured, sold, handled, distributed or disposed of by:
 - (a) You;
 - (b) Others trading under your name; or
 - (c) A person or organization whose business or assets you have acquired; and
- (2) Containers (other than vehicles), materials, parts or equipment furnished in connection with such goods or products.

b. Includes:

- (1) Warranties or representations made at any time with respect to the fitness, quality, durability, performance or use of "your product"; and
- (2) The providing of or failure to provide warnings or instructions.

c. Does not include vending machines or other property rented to or located for the use of others but not sold.

22. "Your work":

a. Means:

- (1) Work or operations performed by you or on your behalf; and
- (2) Materials, parts or equipment furnished in connection with such work or operations.

b. Includes:

- (1) Warranties or representations made at any time with respect to the fitness, quality, durability, performance or use of "your work"; and
- (2) The providing of or failure to provide warnings or instructions.

COMMERCIAL GENERAL LIABILITY
CG 01 04 12 04

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

NEW YORK CHANGES – PREMIUM AUDIT

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART
LIQUOR LIABILITY COVERAGE PART
PRODUCT WITHDRAWAL COVERAGE PART
PRODUCTS/COMPLETED OPERATIONS LIABILITY COVERAGE PART

A. Paragraph **b.** of the **Premium Audit** Condition **Section IV** is replaced by the following:

PREMIUM AUDIT

- b.** Premium shown in this Coverage Part as advance premium is a deposit premium only. At the close of each audit period we will compute the earned premium for that period and send notice to the first Named Insured. The due date for audit and retrospective premiums is the date shown as the due date on the bill. An audit to determine the final premium due or to be refunded will be completed within 180 days after the expiration date of the policy. But the audit may be waived if the total annual premium attributable to the auditable exposure base is not reasonably expected to exceed \$1500. If the sum of the advance and audit premiums paid for the policy term is greater than the earned premium, we will return the excess to the first Named Insured.

B. Except as provided in Paragraph **A.** above, the **Examination Of Your Books And Records** Common Policy Condition continues to apply.

POLICY NUMBER:

COMMERCIAL GENERAL LIABILITY
CG 20 29 04 13**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.****ADDITIONAL INSURED – GRANTOR OF FRANCHISE**

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

SCHEDULE**Name Of Person(s) Or Organization(s):**

Information required to complete this Schedule, if not shown above, will be shown in the Declarations.

A. Section II – Who Is An Insured is amended to include as an additional insured the person(s) or organization(s) shown in the Schedule, but only with respect to their liability as grantor of a franchise to you.

However:

1. The insurance afforded to such additional insured only applies to the extent permitted by law; and
2. If coverage provided to the additional insured is required by a contract or agreement, the insurance afforded to such additional insured will not be broader than that which you are required by the contract or agreement to provide for such additional insured.

B. With respect to the insurance afforded to these additional insureds, the following is added to **Section III – Limits Of Insurance:**

If coverage provided to the additional insured is required by a contract or agreement, the most we will pay on behalf of the additional insured is the amount of insurance:

1. Required by the contract or agreement; or
2. Available under the applicable Limits of Insurance shown in the Declarations;

whichever is less.

This endorsement shall not increase the applicable Limits of Insurance shown in the Declarations.

COMMERCIAL GENERAL LIABILITY
CG 21 06 05 14

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

**EXCLUSION – ACCESS OR DISCLOSURE OF
CONFIDENTIAL OR PERSONAL INFORMATION AND
DATA-RELATED LIABILITY – WITH
LIMITED BODILY INJURY EXCEPTION**

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

A. Exclusion 2.p. of **Section I – Coverage A – Bodily Injury And Property Damage Liability** is replaced by the following:

2. Exclusions

This insurance does not apply to:

p. Access Or Disclosure Of Confidential Or Personal Information And Data-related Liability

Damages arising out of:

- (1) Any access to or disclosure of any person's or organization's confidential or personal information, including patents, trade secrets, processing methods, customer lists, financial information, credit card information, health information or any other type of nonpublic information; or
- (2) The loss of, loss of use of, damage to, corruption of, inability to access, or inability to manipulate electronic data.

This exclusion applies even if damages are claimed for notification costs, credit monitoring expenses, forensic expenses, public relations expenses or any other loss, cost or expense incurred by you or others arising out of that which is described in Paragraph (1) or (2) above.

However, unless Paragraph (1) above applies, this exclusion does not apply to damages because of "bodily injury".

As used in this exclusion, electronic data means information, facts or programs stored as or on, created or used on, or transmitted to or from computer software, including systems and applications software, hard or floppy disks, CD-ROMs, tapes, drives, cells, data processing devices or any other media which are used with electronically controlled equipment.

B. The following is added to Paragraph 2. **Exclusions of Section I – Coverage B – Personal And Advertising Injury Liability:**

2. Exclusions

This insurance does not apply to:

Access Or Disclosure Of Confidential Or Personal Information

"Personal and advertising injury" arising out of any access to or disclosure of any person's or organization's confidential or personal information, including patents, trade secrets, processing methods, customer lists, financial information, credit card information, health information or any other type of nonpublic information.

This exclusion applies even if damages are claimed for notification costs, credit monitoring expenses, forensic expenses, public relations expenses or any other loss, cost or expense incurred by you or others arising out of any access to or disclosure of any person's or organization's confidential or personal information.

COMMERCIAL GENERAL LIABILITY
CG 21 47 12 07

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

EMPLOYMENT-RELATED PRACTICES EXCLUSION

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

A. The following exclusion is added to Paragraph 2., Exclusions of Section I – Coverage A – Bodily Injury And Property Damage Liability:

This insurance does not apply to:

"Bodily injury" to:

- (1) A person arising out of any:
 - (a) Refusal to employ that person;
 - (b) Termination of that person's employment; or
 - (c) Employment-related practices, policies, acts or omissions, such as coercion, demotion, evaluation, reassignment, discipline, defamation, harassment, humiliation, discrimination or malicious prosecution directed at that person; or
- (2) The spouse, child, parent, brother or sister of that person as a consequence of "bodily injury" to that person at whom any of the employment-related practices described in Paragraphs (a), (b), or (c) above is directed.

This exclusion applies:

- (1) Whether the injury-causing event described in Paragraphs (a), (b) or (c) above occurs before employment, during employment or after employment of that person;
- (2) Whether the insured may be liable as an employer or in any other capacity; and
- (3) To any obligation to share damages with or repay someone else who must pay damages because of the injury.

B. The following exclusion is added to Paragraph 2., Exclusions of Section I – Coverage B – Personal And Advertising Injury Liability:

This insurance does not apply to:

"Personal and advertising injury" to:

- (1) A person arising out of any:
 - (a) Refusal to employ that person;
 - (b) Termination of that person's employment; or
 - (c) Employment-related practices, policies, acts or omissions, such as coercion, demotion, evaluation, reassignment, discipline, defamation, harassment, humiliation, discrimination or malicious prosecution directed at that person; or
- (2) The spouse, child, parent, brother or sister of that person as a consequence of "personal and advertising injury" to that person at whom any of the employment-related practices described in Paragraphs (a), (b), or (c) above is directed.

This exclusion applies:

- (1) Whether the injury-causing event described in Paragraphs (a), (b) or (c) above occurs before employment, during employment or after employment of that person;
- (2) Whether the insured may be liable as an employer or in any other capacity; and
- (3) To any obligation to share damages with or repay someone else who must pay damages because of the injury.

COMMERCIAL GENERAL LIABILITY
CG 21 65 12 04

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

**TOTAL POLLUTION EXCLUSION WITH A BUILDING
HEATING, COOLING AND DEHUMIDIFYING EQUIPMENT
EXCEPTION AND A HOSTILE FIRE EXCEPTION**

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

Exclusion f. under Paragraph 2. **Exclusions of Section I – Coverage A – Bodily Injury And Property Damage Liability** is replaced by the following:

This insurance does not apply to:

f. Pollution

- (1) "Bodily injury" or "property damage" which would not have occurred in whole or part but for the actual, alleged or threatened discharge, dispersal, seepage, migration, release or escape of "pollutants" at any time.

This exclusion does not apply to:

- (a) "Bodily injury" if sustained within a building which is or was at any time owned or occupied by, or rented or loaned to, any insured and caused by smoke, fumes, vapor or soot produced by or originating from equipment that is used to heat, cool or dehumidify the building, or equipment that is used to heat water for personal use, by the building's occupants or their guests; or
- (b) "Bodily injury" or "property damage" arising out of heat, smoke or fumes from a "hostile fire" unless that "hostile fire" occurred or originated:
- (i) At any premises, site or location which is or was at any time used by or for any insured or others for the handling, storage, disposal, processing or treatment of waste; or

- (ii) At any premises, site or location on which any insured or any contractors or subcontractors working directly or indirectly on any insured's behalf are performing operations to test for, monitor, clean up, remove, contain, treat, detoxify, neutralize or in any way respond to, or assess the effects of, "pollutants".

- (2) Any loss, cost or expense arising out of any:

- (a) Request, demand, order or statutory or regulatory requirement that any insured or others test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of, "pollutants"; or
- (b) Claim or suit by or on behalf of a governmental authority for damages because of testing for, monitoring, cleaning up, removing, containing, treating, detoxifying or neutralizing, or in any way responding to, or assessing the effects of, "pollutants".

COMMERCIAL GENERAL LIABILITY
CG 21 73 01 15

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

EXCLUSION OF CERTIFIED ACTS OF TERRORISM

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART
LIQUOR LIABILITY COVERAGE PART
OWNERS AND CONTRACTORS PROTECTIVE LIABILITY COVERAGE PART
POLLUTION LIABILITY COVERAGE PART
PRODUCTS/COMPLETED OPERATIONS LIABILITY COVERAGE PART
RAILROAD PROTECTIVE LIABILITY COVERAGE PART
UNDERGROUND STORAGE TANK POLICY

A. The following exclusion is added:

This insurance does not apply to:

TERRORISM

"Any injury or damage" arising, directly or indirectly, out of a "certified act of terrorism".

B. The following definitions are added:

1. For the purposes of this endorsement, "any injury or damage" means any injury or damage covered under any Coverage Part to which this endorsement is applicable, and includes but is not limited to "bodily injury", "property damage", "personal and advertising injury", "injury" or "environmental damage" as may be defined in any applicable Coverage Part.
2. "Certified act of terrorism" means an act that is certified by the Secretary of the Treasury, in accordance with the provisions of the federal Terrorism Risk Insurance Act, to be an act of terrorism pursuant to such Act. The criteria contained in the Terrorism Risk Insurance Act for a "certified act of terrorism" include the following:
 - a. The act resulted in insured losses in excess of \$5 million in the aggregate, attributable to all types of insurance subject to the Terrorism Risk Insurance Act; and

- b. The act is a violent act or an act that is dangerous to human life, property or infrastructure and is committed by an individual or individuals as part of an effort to coerce the civilian population of the United States or to influence the policy or affect the conduct of the United States Government by coercion.

- C. The terms and limitations of any terrorism exclusion, or the inapplicability or omission of a terrorism exclusion, do not serve to create coverage for injury or damage that is otherwise excluded under this Coverage Part.**

COMMERCIAL GENERAL LIABILITY

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

**NEW YORK CHANGES – TRANSFER OF
DUTIES WHEN A LIMIT OF INSURANCE IS USED UP**

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

The following Condition is added to COMMERCIAL GENERAL LIABILITY CONDITIONS (Section IV):

Transfer of Duties When a Limit of Insurance Is Used Up.

- a.** If we conclude that, based on "occurrences," offenses, claims or "suits" which have been reported to us and to which this insurance may apply, the:

- (1) General Aggregate Limit (other than the Products/Completed Operations Aggregate Limit);
- (2) Products/Completed Operations Aggregate Limit;
- (3) Personal and Advertising Injury Limit;
- (4) Each Occurrence Limit; or
- (5) Fire Damage Limit

is likely to be used up in the payment of judgments or settlements, we will notify the first Named Insured, in writing, to that effect.

- b.** When a limit of insurance described in paragraph **a.** above has actually been used up in the payment of judgments or settlements:

- (1) We will notify the first Named Insured, in writing, as soon as practicable, that:
 - (a) Such a limit has actually been used up; and
 - (b) Our duty to defend "suits" seeking damages subject to that limit has also ended.
- (2) We will initiate, and cooperate in, the transfer of control, to any appropriate insured, of all claims and "suits" seeking damages which are subject to that limit and which are reported to us before that limit is used up. That insured must cooperate in the transfer of control of said claims and "suits".

We agree to take such steps, as we deem appropriate, to avoid a default in, or continue the defense of, such "suits" until such transfer is completed, provided the appropriate insured is cooperating in completing such transfer.

We will take no action whatsoever with respect to any claim or "suit" seeking damages that would have been subject to that limit, had it not been used up, if the claim or "suit" is reported to us after that limit of insurance has been used up.

- (3) The first Named Insured, and any other insured involved in a "suit" seeking damages subject to that limit, must arrange for the defense of such "suit" within such time period as agreed to between the appropriate insured and us. Absent any such agreement, arrangements for the defense of such "suit" must be made as soon as practicable.

- c.** The first Named Insured will reimburse us for expenses we incur in taking those steps we deem appropriate in accordance with paragraph **b.(2)** above.

The duty of the first Named Insured to reimburse us will begin on:

- (1) The date on which the applicable limit of insurance is used up, if we sent notice in accordance with paragraph **a.** above; or
- (2) The date on which we sent notice in accordance with paragraph **b.(1)** above, if we did not send notice in accordance with paragraph **a.** above.

- d.** The exhaustion of any limit of insurance by the payments of judgments or settlements, and the resulting end of our duty to defend, will not be affected by our failure to comply with any of the provisions of this Condition.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

NUCLEAR ENERGY LIABILITY EXCLUSION ENDORSEMENT

(Broad Form)

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART
FARM COVERAGE PART
LIQUOR LIABILITY COVERAGE PART
OWNERS AND CONTRACTORS PROTECTIVE LIABILITY COVERAGE PART
POLLUTION LIABILITY COVERAGE PART
PRODUCTS/COMPLETED OPERATIONS LIABILITY COVERAGE PART
RAILROAD PROTECTIVE LIABILITY COVERAGE PART
SPECIAL PROTECTIVE AND HIGHWAY LIABILITY POLICY NEW YORK DEPARTMENT OF
TRANSPORTATION

1. The insurance does not apply:
 - A. Under any Liability Coverage, to "bodily injury" or "property damage":
 - (1) With respect to which an "insured" under the policy is also an insured under a nuclear energy liability policy issued by Nuclear Energy Liability Insurance Association, Mutual Atomic Energy Liability Underwriters, Nuclear Insurance Association of Canada or any of their successors, or would be an insured under any such policy but for its termination upon exhaustion of its limit of liability; or
 - (2) Resulting from the "hazardous properties" of "nuclear material" and with respect to which (a) any person or organization is required to maintain financial protection pursuant to the Atomic Energy Act of 1954, or any law amendatory thereof, or (b) the "insured" is, or had this policy not been issued would be, entitled to indemnity from the United States of America, or any agency thereof, under any agreement entered into by the United States of America, or any agency thereof, with any person or organization.
 - B. Under any Medical Payments coverage, to expenses incurred with respect to "bodily injury" resulting from the "hazardous properties" of "nuclear material" and arising out of the operation of a "nuclear facility" by any person or organization.
 - C. Under any Liability Coverage, to "bodily injury" or "property damage" resulting from "hazardous properties" of "nuclear material", if:
 - (1) The "nuclear material" (a) is at any "nuclear facility" owned by, or operated by or on behalf of, an "insured" or (b) has been discharged or dispersed therefrom;
 - (2) The "nuclear material" is contained in "spent fuel" or "waste" at any time possessed, handled, used, processed, stored, transported or disposed of, by or on behalf of an "insured"; or
 - (3) The "bodily injury" or "property damage" arises out of the furnishing by an "insured" of services, materials, parts or equipment in connection with the planning, construction, maintenance, operation or use of any "nuclear facility", but if such facility is located within the United States of America, its territories or possessions or Canada, this exclusion (3) applies only to "property damage" to such "nuclear facility" and any property thereat.
2. As used in this endorsement:

"Hazardous properties" includes radioactive, toxic or explosive properties.

"Nuclear material" means "source material", "Special nuclear material" or "by-product material".

"Source material", "special nuclear material", and "by-product material" have the meanings given them in the Atomic Energy Act of 1954 or in any law amendatory thereof.

"Spent fuel" means any fuel element or fuel component, solid or liquid, which has been used or exposed to radiation in a "nuclear reactor".

"Waste" means any waste material **(a)** containing "by-product material" other than the tailings or wastes produced by the extraction or concentration of uranium or thorium from any ore processed primarily for its "source material" content, and **(b)** resulting from the operation by any person or organization of any "nuclear facility" included under the first two paragraphs of the definition of "nuclear facility".

"Nuclear facility" means:

- (a)** Any "nuclear reactor";
- (b)** Any equipment or device designed or used for **(1)** separating the isotopes of uranium or plutonium, **(2)** processing or utilizing "spent fuel", or **(3)** handling, processing or packaging "waste";

- (c)** Any equipment or device used for the processing, fabricating or alloying of "special nuclear material" if at any time the total amount of such material in the custody of the "insured" at the premises where such equipment or device is located consists of or contains more than 25 grams of plutonium or uranium 233 or any combination thereof, or more than 250 grams of uranium 235;

- (d)** Any structure, basin, excavation, premises or place prepared or used for the storage or disposal of "waste";

and includes the site on which any of the foregoing is located, all operations conducted on such site and all premises used for such operations.

"Nuclear reactor" means any apparatus designed or used to sustain nuclear fission in a self-supporting chain reaction or to contain a critical mass of fissionable material.

"Property damage" includes all forms of radioactive contamination of property.

ZBS D215008 08
5502705
Original Insured

NEC CARE INC
12 MOUNTAIN LEDGE DR, STE 3

GANSEVOORT NY
12831

NEC CARE INC
12 MOUNTAIN LEDGE DR, STE 3
GANSEVOORT NY
12831

NEC CARE INC
12 MOUNTAIN LEDGE DR, STE 3

GANSEVOORT NY
12831

ZBS D215008 08

**Citizens Insurance Company of America (A Stock Company)
808 North Highlander Way, Howell, MI 48843-1070
Commercial Line Policy
Common Declarations**

AE

Policy Number	Policy Period		Coverage is Provided in the:	Agency Code
	From	To		
ZBS D215008 08	04/01/2025	04/01/2026	Citizens Insurance Company of America	5502705

Named Insured and Address :

Agent :

NEC CARE INC 12 MOUNTAIN LEDGE DR, STE 3 GANSEVOORT NY 12831	MARSHALL & STERLING UPSTATE, INC. P.O.BOX 2909 GLENNVILLE NY 12325
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Branch : New York Region: Upstate
Policy Period : From 04/01/2025 To 04/01/2026
 12:01 A.M. Standard Time at Your Mailing Address Shown Above.
Business Description: HOME HEALTH CARE
Legal Entity: Corporation

In Consideration of the premium, insurance is provided the Named Insured with respect to those premises described in the attached schedule(s) for which a specific limit of insurance is shown. This is subject to all terms of this policy including Common Policy Conditions. Coverage Parts, Forms and Endorsements may be subject to adjustment and/or a policy minimum premium.

Commercial Property Coverage	\$1,028.00
Commercial General Liability Coverage	\$11,197.00
Professional Liability Coverage	Included
Commercial Inland Marine Coverage	Not Covered
Commercial Crime Coverage	Not Covered
Commercial Auto Coverage	Not Covered
Total Surcharges Premium	\$0.73
Additional Premium For Policy Minimum	N/A
** Total	\$12,225.73

**INCLUDES PREMIUM, IF ANY, FOR TERRORISM; REFER TO DISCLOSURE NOTICE

Countersigned _____ By _____

Equal Monthly



NEC CARE INC

ZBS D215008 08

MARSHALL & STERLING

Group Number ZGS

NEC CARE INC

ZBS D215008 08

MARSHALL & STERLING

Commercial Lines Surcharges

State: New York

New York Fire Fee Premium: \$0.73

Total New York Surcharge Premium: \$0.73

NEC CARE INC

ZBS D215008 08

MARSHALL & STERLING

Additional Named Insured

DBA HOME INSTEAD SENIOR
CARE #341

Locations of All Premises You Own, Rent or Occupy

Location: 1

12 MOUNTAIN LEDGE DR, STE 3
Gansevoort NY
12831

Forms Applicable to all Coverage Parts:

*Asterisk denotes new or changed form

<u>Form Number</u>	<u>Edition Date</u>	<u>Description</u>
* 231-0862	11/23	Consumer Privacy Notice
401-1337	02/16	Trade Or Economic Sanctions Endorsement
401-1374	12/20	Disclosure Pursuant To Terrorism Risk Insurance Act
401-1501	01/20	Exclusion - Certified Acts Of Terrorism
401-1525	06/20	Company Address Listing
IL 00 17	11/98	Common Policy Conditions
IL 01 83	08/08	New York Changes - Fraud
IL 02 68	01/14	New York Changes - Cancellation and Nonrenewal
IL 09 35	07/02	Exclusion of Certain Computer-Related Losses
IL 09 53	01/15	Exclusion of Certified Acts of Terrorism
SIG 11 00	11/17	Signature Page

NEC CARE INC

ZBS D215008 08
MARSHALL & STERLING

Commercial Property Coverage Part Declaration

Total Property Premium \$1,028.00

Coverages Provided:

Insurance at the Described Premises applies only for the coverage shown below:

<u>LOC</u>	<u>BLDG</u>			
1	1	Occupancy:	Building or Premises - Office - Other than Not for profit - Office	
		Territory:	460	
		Construction:	Frame	
		Protection Class:	5	
<u>LOC</u>	<u>BLDG</u>	<u>Coverage:</u>	<u>Cause of Loss:</u>	<u>Premiums:</u>
1	1	Contents All Inclusive	Special	\$182.00
		Limit Of Insurance:	\$59,511.00	
		Replacement Cost		
		Coinsurance:	90%	
<u>LOC</u>	<u>BLDG</u>	<u>Coverage:</u>	<u>Cause of Loss:</u>	<u>Premiums:</u>
1	1	Business Income	Special	\$93.00
		Limit Of Insurance:	\$100,000.00	
		Coinsurance	80%	
		Extended Period of Indemnity	60 Days Included	
		Business Income Time Deductible	72 Hours	
<u>LOC</u>	<u>BLDG</u>	<u>DED BY LOC</u>	<u>APPLICABLE DEDUCTIBLE</u>	
1	1		Windstorm/Hail Deductible	\$1,000.00
			Theft Deductible:	\$1,000.00
			Other Deductible:	\$1,000.00

NEC CARE INC

ZBS D215008 08

MARSHALL & STERLING

Commercial Property Coverage Part Declaration

Additional Premium for Property Minimum : N/A

<u>Miscellaneous/Optional Property Coverages:</u>	<u>PREMIUM</u>
Data Breach	\$50.00
Boiler / Machinery / Equipment Breakdown (Equipment Breakdown Sublimit : \$100,000)	\$83.00
Terrorism Premium	\$1.00
Gold Property Broadening Endorsement	\$619.00

NEC CARE INC

ZBS D215008 08

MARSHALL & STERLING

Forms Applicable to Property Coverage Parts:

*Asterisk denotes new or changed form

<u>Form Number</u>	<u>Edition Date</u>	<u>Description</u>
411-0669	01/15	Data Breach Coverage Form
411-0679	04/10	Associates And Family Members Additional Coverage Endorsement
411-0681	12/09	Identity Theft Resolution Services
411-0793	02/23	Gold Property Broadening Endorsement
411-0827	04/22	New York Changes - Property
411-0929	01/15	New York Changes - Data Breach Coverage Form
451-0038	11/16	Equipment Breakdown Coverage (Including Electronic Circuitry Impairment)
* 451-0039	11/16	Commercial Property Coverage Part Equipment Breakdown Coverage Schedule
451-0052	11/16	New York Changes - Equipment Breakdown
CP 00 10	10/12	Building and Personal Property Coverage Form
CP 00 30	10/12	Business Income (And Extra Expense) Coverage Form
CP 00 90	07/88	Commercial Property Conditions
CP 01 33	05/18	New York Changes
CP 01 64	09/17	New York Changes - Fungus, Wet Rot And Dry Rot
CP 01 78	08/08	New York - Exclusion Of Loss Due To Virus or Bacteria
CP 10 30	09/17	Causes Of Loss - Special Form
CP 12 18	10/12	Loss Payable Provisions

NEC CARE INC

ZBS D215008 08

MARSHALL & STERLING

Property Schedule of Additional Interest

Location: 1

Loss Payable
Pitney Bowes Global
Financial Services
27 Waterview Drive
Shelton CT 06484
0041301502

NEC CARE INC

ZBS D215008 08

MARSHALL & STERLING

Commercial General Liability Coverage Part Declaration

Audit Frequency: Not Auditable

Limits of Insurance:

General Aggregate Limit	\$3,000,000
Products-Completed Operations are Included in the General Aggregate Limit	
Each Occurrence Limit	\$1,000,000
Personal and Advertising Injury Limit	\$1,000,000
Damage to Premises Rented to You Limit	\$100,000
Medical Expense Limit, Any One Person	\$10,000
General Liability Deductible:	
Total Advance Commercial General Liability Premium	\$11,197.00

THIS POLICY CONTAINS AGGREGATE LIMITS; REFER TO SECTION III - LIMITS OF INSURANCE FOR DETAILS

Forms Applicable to General Liability Coverage Parts:

*Asterisk denotes new or changed form

Form Number	Edition Date	Description
* 421-0017	06/89	Employee Benefits Liability Insurance
421-0022	12/90	Asbestos Liability Exclusion
421-0307	10/03	Change Endorsement Form
421-0366	07/16	Abuse or Molestation Exclusion
421-1065	06/10	Scope Of Licensure Endorsement
421-1070	06/10	Punitive Damages Exclusion
421-1539	07/16	New York Physical Abuse, Sexual Misconduct Or Sexual Molestation Liability Coverage (Occurrence - Sublimit)
421-2294	08/14	Building Cleaning and Maintenance Contractors General Liability Broad Form Endorsement
421-2318	04/20	Professional Liability Coverage Endorsement - Separate Limits Of Insurance (Occurrence)
421-2319	04/20	Professional Services Exclusion, With The Exception Of Medical Professional Liability Endorsements
421-2369	01/12	New York Changes - Commercial General Liability Coverage Form
421-2915	06/15	Commercial General Liability Broadening Endorsement
421-2919	04/20	Commercial General Liability Enhancement Endorsement - Healthcare
421-2922	12/14	Commercial General Liability Enhancement Endorsement - Manufactured Housing
421-2929	04/20	New York Amendatory Endorsement
421-4836	04/20	Miscellaneous Medical and Professional Services Definition - Broad Form
421-4928	04/20	New York Changes - Healthcare
CG 00 01	04/13	Commercial General Liability Coverage Form - Occurrence
CG 01 04	12/04	New York Changes - Premium Audit
* CG 20 29	04/13	Additional Insured - Grantor of Franchise

NEC CARE INC

ZBS D215008 08

MARSHALL & STERLING

Forms Applicable to General Liability Coverage Parts:

*Asterisk denotes new or changed form

<u>Form Number</u>	<u>Edition Date</u>	<u>Description</u>
CG 21 06	05/14	Exclusion - Access or Disclosure of Confidential or Personal Information and Data-Related Liability - With Limited Bodily Injury Exception
CG 21 47	12/07	Employment - Related Practices Exclusion
CG 21 65	12/04	Total Pollution Exclusion With A Building Heating, Cooling And Dehumidifying Equipment Exception And A Hostile Fire Exception
CG 21 73	01/15	Exclusion of Certified Acts of Terrorism
CG 26 21	10/91	New York Changes - Transfer Of Duties When A Limit Of Insurance Is Used Up
IL 00 23	07/02	Nuclear Energy Liability Exclusion Endorsement



NEC CARE INC

ZBS D215008 08

MARSHALL & STERLING

Commercial General Liability Classification Schedule Declaration

<u>LOC</u>	<u>ST</u>	<u>TERR</u>	<u>CODE</u>	<u>SUBLINE</u>	<u>PREMIUM BASIS</u>	<u>PER</u> 1000 of Total Area	<u>RATE</u>	<u>ADVANCE PREMIUM</u>
1	NY	017	86617	334	1287 Area		121.989	\$157.00
Products – Completed Operations are Included in the General Aggregate Limit								
DME/HHC Office								

Miscellaneous/Optional General Liability Coverages

Advance Premium

Employee Benefits Coverage	\$496.00
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421-2294 Building Cleaning and Maintenance Contractors GL Broad Form Endorsement	\$300.00
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CGL Enhancement - Healthcare	\$275.00
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Physical Abuse, Sexual Misconduct or Sexual Molestation Liability - Occurrence - Sublimit	\$448.00
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Additional Premium for Coverage Minimum:	N/A
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Total Advance General Liability Premium	\$11,197.00
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NEC CARE INC

ZBS D215008 08

MARSHALL & STERLING

Commercial General Liability Classification Schedule Declaration

Subline 334

Premises and Operations

**The Hanover Insurance Group
Consumer Privacy Notice**

FACTS	WHAT DOES THE HANOVER DO WITH YOUR PERSONAL INFORMATION?
Why?	At The Hanover Insurance Group (“The Hanover”), we are committed to protecting the privacy of the personal information that we collect or maintain. Financial companies choose how they share your personal information. Federal and state law gives consumers the right to limit some but not all sharing. Federal and state law also requires us to tell you how we collect, share, and protect your personal information. Please read this notice carefully to understand what we do.
What?	The types of personal information we collect and may share to provide products services to you include: ▪ Information you provide to us in your application ▪ Insurance claim history ▪ Information contained in consumer reports to the extent permitted by law. We may share information we collect for permissible purposes.
How?	All financial companies need to share customers’ personal information for permissible purposes to run their everyday business. When The Hanover shares personal information with a trusted service provider, The Hanover requires the service provider to have processes and procedures in place to protect the information. In the section below, we list the reasons financial companies can share their customers’ personal information; the reasons The Hanover chooses to share; and whether you can limit this sharing.

Reasons we can share your personal information	Does The Hanover share?	Can you limit this sharing?
For our everyday business purposes— such as to process your transactions, maintain your account(s), respond to court orders and legal investigations, or report to credit bureaus	Yes	No
For our marketing purposes— to offer our products and services to you	Yes	No
For joint marketing with other financial companies (for products and services not offered by The Hanover)	No	We don’t share
For our affiliates’ everyday business purposes to provide coverage and services to you— information about your transactions and experiences	Yes	No
For our affiliates’ everyday business purposes to provide coverage and services to you— information about your creditworthiness	No	We don’t share
For our affiliates to market to you	No	We don’t share
For nonaffiliates to market to you	No	We don’t share

The Hanover Insurance Group
Consumer Privacy Notice

Questions?	Call [toll-free] 1-800-446-8379 or write to privacy@hanover.com
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Who we are	
Who is providing this notice	This notice is being provided on behalf of the following Hanover Companies: The Hanover Insurance Group, Inc. - AIX Specialty Insurance Company - Allmerica Financial Alliance Insurance Company - Allmerica Financial Benefit Insurance Company - Allmerica Plus Insurance Agency, Inc. - Campmed Casualty & Indemnity Company, Inc. - Citizens Insurance Company of America - Citizens Insurance Company of Illinois - Citizens Insurance Company of the Midwest - Citizens Insurance Company of Ohio - Educators Insurance Agency, Inc. - Hanover Specialty Insurance Brokers, Inc. - The Hanover American Insurance Company – The Hanover Atlantic Insurance Company Ltd - The Hanover Casualty Company - The Hanover Insurance Company – The Hanover National Insurance Company - Massachusetts Bay Insurance Company - NOVA Casualty Company - Opus Investment Management, Inc. - Verlan Fire Insurance Company.

What we do	
How does The Hanover protect my personal information?	To protect your personal information from unauthorized access and use, we use security measures that comply with federal and state laws. These measures include computer and systems safeguards, secured files and buildings, firewall technology and the use of detection software. We have implemented processes and procedures to strengthen protection of our customer information. We limit access to your information to those employees who need access to do their job.
How does The Hanover collect my personal information?	We collect your personal information, for example, when you: ▪ Apply for insurance ▪ Pay insurance premiums or file insurance claims ▪ Provide account information ▪ Access our website We also collect your personal information from third parties, such as consumer reporting agencies and various state department of motor vehicles or similar agencies.
Why can't I limit all sharing?	Federal and state laws give you the right to limit only: ▪ Sharing for affiliates' everyday business purposes- information about your credit worthiness ▪ Affiliates from using your information to market to you ▪ Sharing for nonaffiliates to market to you State laws may give you additional rights to limit sharing. See below for more on your rights under state laws.
What happens when I limit sharing for an account I hold jointly with someone else?	Where "limit the sharing" is available, your choices will apply to everyone on your account.

The Hanover Insurance Group Consumer Privacy Notice

Definitions	
Affiliates	Companies related by common ownership or control. They can be financial or nonfinancial companies. ▪ The Hanover affiliates are listed in this Consumer Privacy Notice.
Nonaffiliates	Companies not related by common ownership or control. They can be financial or nonfinancial companies. ▪ The Hanover does not share with nonaffiliates so they can market to you.
Joint marketing	A formal agreement between nonaffiliated financial companies that together market financial products or services to you. ▪ The Hanover does not jointly market.

Other important information
California: California residents can review our Privacy Policy for California Residents located at https://www.hanover.com/legal-and-compliance/privacy-center/privacy-policy-california-residents. New York: New York Insurance Law §2612 provides certain rights to victims of domestic violence, including privacy protections and protections from discrimination, each of which is described in the policy located at https://www.hanover.com/legal-and-compliance/privacy-policy/notice-protections-victims-domestic-violence-under-ss2612-new. As mentioned above, The Hanover may share your personal information for our everyday business purposes— such as to process your transactions and claims, maintain your account(s), respond to court orders and legal investigations, or report to credit bureaus. The term “Information” means information we collect during an insurance transaction or other interactions you may have with us. We may share your Information with nonaffiliates without your prior authorization as permitted or required by law: for example, we may share your Information with insurance regulatory authorities, law enforcement, and re-insurers and consumer reporting agencies, among other insurance support organizations. Information we obtain from a report prepared by an insurance-support organization may be retained by that insurance-support organization and disclosed to others. To request access to or deletion of your personal information, send a written letter to: The Hanover Insurance Group, Inc., c/o Chief Privacy Officer, 440 Lincoln Street N435, Worcester, MA 01653. Include your name, address, and your policy, contract, or account number, and describe the information you wish to access or delete. You may correct inaccurate personal information by visiting Hanover.com or calling your agent. We will respond to your request within the statutory timeline under your state statute. We can’t change information other companies, like credit agencies, provide to us. You’ll need to ask them to change it.

**The Hanover Insurance Group
Consumer Privacy Notice**

Property Inspection for Valuation and Underwriting

Your professional insurance agent is dedicated to working with you to help make sure that you have the appropriate amount of coverage for your property. From time to time, we may order an inspection of your property to assist with the determination of whether the coverage on your property is adequate. We may also order an inspection to assist us in our underwriting process. Our inspection process may involve discussions with your agent, a phone discussion with you, inspecting and taking pictures of your property by third party service provider, a computerized analysis using a set of cost factors including labor and construction materials in your region, or a combination of these or other measures to help determine whether you have the appropriate amount of coverage for your property. It is necessary that you cooperate with us when we make a property inspection request. It is important to understand that the market value of your property and the replacement cost may differ significantly for many reasons, including that construction costs may differ significantly from region to region. We utilize third party vendors to provide us with inflation trend information for your region. We will also periodically apply automatic inflation adjustments to your coverage amounts to keep pace with regional inflation trends. If you have questions about the amount of your coverage compared to the replacement cost of your property, you should contact your agent. Also, if you made changes to your property during the policy period, or have information which you feel we should be aware of, such as the installation of upgraded fixtures or other changes or additions to the property which may have bearing on its value, you should contact your agent or us directly to provide such information. Although the responsibility for making sure your property is properly insured to its value rests with you, our property inspection and coverage evaluation program has been designed to assist you and your agent with this evaluation and to assist us in our underwriting process. Please refer to your issued policy for the coverage you are afforded.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

TRADE OR ECONOMIC SANCTIONS ENDORSEMENT

This insurance does not apply to the extent that trade or economic sanctions or other laws or regulations prohibit us from providing insurance, including, but not limited to, the payment of claims.

ALL OTHER TERMS, CONDITIONS, AND EXCLUSIONS REMAIN UNCHANGED.

THIS NOTICE IS PROVIDED IN RESPONSE TO THE DISCLOSURE REQUIREMENTS OF THE TERRORISM RISK INSURANCE ACT. THIS NOTICE DOES NOT GRANT COVERAGE OR CHANGE THE TERMS AND CONDITIONS OF COVERAGE UNDER THE POLICY. IF THERE IS A CONFLICT BETWEEN THIS NOTICE AND THE POLICY, THE PROVISIONS OF THE POLICY SHALL APPLY.

DISCLOSURE PURSUANT TO TERRORISM RISK INSURANCE ACT

SCHEDULE

DISCLOSURE OF PREMIUM:

Total Terrorism Premium	<u>\$ 56</u>
Fire Following Premium	<u>\$ 1</u>
Other than Fire Following Premium	<u>\$ 55</u>

Disclosure of Terrorism Coverage Available

You are hereby notified that under the Terrorism Risk Insurance Act, as amended, you have a right to purchase insurance coverage for losses resulting from "acts of terrorism" defined in Section 102(1) of the Act as follows:

Any act or acts that are certified by the Secretary of the Treasury, in accordance with the provisions of the federal Terrorism Risk Insurance Act, to be an act of terrorism; to be a violent act or an act that is dangerous to human life, property, or infrastructure; to have resulted in damage within the United States, or outside the United States in the case of certain air carriers or vessels or the premises of a United States mission; and to have been committed by an individual or individuals, as part of an effort to coerce the civilian population of the United States or to influence the policy or affect the conduct of the United States Government by coercion.

The premium charged for this coverage is provided in the **SCHEDULE** above and does not include any charges for the portion of loss that may be covered by the Federal Government as described below. This premium has been added to your policy and unless this form is signed and returned to us to reject terrorism coverage, coverage for Certified Acts of Terrorism is provided by your policy.

Your policy may contain other exclusions which could affect your coverage, such as an exclusion for Nuclear Events or Pollution. **Please read your policy carefully.**

Note for Commercial Property or Commercial Inland Marine Policyholders in Standard Fire States:

In Standard Fire states, terrorism exclusions make an exception for (and therefore provide coverage for) fire losses resulting from an act of terrorism. Any policyholder with a location that we insure in a Standard Fire State that rejects our offer of terrorism coverage in this form will still have coverage with us for fire losses resulting from an act of terrorism.

Explanation of Premium

If a dollar amount is shown for Fire Following Premium in the **SCHEDULE** above that means we insure a location of yours in a Standard Fire State. Fire Following Premium is shown in the **SCHEDULE** above regardless of whether a policyholder with a location that we insure in a Standard Fire State accepts or rejects terrorism coverage with us. Fire Following Premium represents the charge for the coverage we provide for fire losses resulting from acts of terrorism. Fire Following Premium does not include Other Than Fire Following Premium. All Other Than Fire Following Premium is shown in the Other Than Fire Following Premium field in the **SCHEDULE** above.

If a dollar amount is shown for Other Than Fire Following Premium in the **SCHEDULE** above that means you have accepted terrorism coverage with us. Other Than Fire Following Premium represents the charge for terrorism coverage. Other Than Fire Following Premium does not include Fire Following Premium. If applicable, all Fire Following Premium is shown in the Fire Following Premium field in the **SCHEDULE** above.

The dollar amount shown for Total Terrorism Premium in the **SCHEDULE** above represents the sum of premium for Fire Following Premium and Other Than Fire Following Premium.

Disclosure of Federal Participation in Payment of Terrorism Losses

The United States Government, Department of the Treasury, will pay a share of terrorism losses insured under the federal program. The federal share equals 80% of that portion of the amount of such insured losses that exceeds the applicable insurer retention. However, if aggregate insured losses attributable to terrorist acts certified under the Terrorism Risk Insurance Act exceed \$100 billion in a calendar year, the Treasury shall not make any payment for any portion of the amount of such losses that exceeds \$100 billion.

Cap on Insurer Participation in Payment of Terrorism Losses

If aggregate insured losses attributable to terrorist acts certified under the Terrorism Risk Insurance Act exceed \$100 billion in a calendar year and we have met our insurer deductible under the Terrorism Risk Insurance Act, we shall not be liable for the payment of any portion of the amount of such losses that exceeds \$100 billion, and in such case insured losses up to that amount are subject to pro rata allocation in accordance with procedures established by the Secretary of the Treasury.

Rejection of Terrorism Insurance Coverage*

I decline to purchase terrorism coverage for certified acts of terrorism. I understand that I will have no coverage for losses resulting from certified acts of terrorism.

Applicant/Policyholder Signature

Citizens Insurance Company Of America

Insurance Company

Print Name

ZBS D215008 08

Quote or Policy Number

Date

*If this policy is a renewal and:

- a. You have previously submitted a signed Rejection, you are not required to submit an additional Rejection at this time; or
- b. You have previously accepted coverage and now wish to reject, you are required to complete and sign the Rejection of Terrorism Insurance Coverage above.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

EXCLUSION – CERTIFIED ACTS OF TERRORISM

This endorsement modifies insurance provided under the following:

CONDOMINIUM, CO OP AND ASSOCIATION DIRECTORS AND OFFICERS LIABILITY
CYBER LIABILITY COVERAGE PART
DATA BREACH COVERAGE PART
EMPLOYEE BENEFITS LIABILITY COVERAGE FORM
EMPLOYMENT PRACTICES LIABILITY
RELIGIOUS INSTITUTIONS DIRECTORS, OFFICERS AND TRUSTEES LIABILITY COVERAGE PART
SCHOOL AND EDUCATORS LEGAL LIABILITY COVERAGE PART

A. The following definitions are added:

"Certified act of terrorism" means an act that is certified by the Secretary of the Treasury, in accordance with the provisions of the federal Terrorism Risk Insurance Act, to be an act of terrorism pursuant to such Act. The criteria contained in the Terrorism Risk Insurance Act for a "certified act of terrorism" requires that the act must result in insured losses in excess of \$5,000,000 in the aggregate, attributable to all types of insurance subject to the Terrorism Risk Insurance Act. The criteria also requires that the act must be a violent act or an act that is dangerous to human life, property or infrastructure and is committed by an individual or individuals as part of an effort to coerce the civilian population of the United States or to influence the policy or affect the conduct of the United States Government by coercion.

"Any injury or damage" means any injury or damage covered under any Coverage Form to which this endorsement is applicable, and includes but is not limited to "bodily injury", "property damage" or "personal and advertising injury" as may be defined in any applicable Coverage Form.

B. The terms and limitations of any terrorism exclusion, or the inapplicability or omission of a terrorism exclusion, do not serve to create coverage for loss or injury or damage that is otherwise excluded under this Policy.

C. The following exclusion is added:

Certified Act of Terrorism

We will not pay for "any injury or damage" caused directly or indirectly by a "certified act of terrorism". Such loss or damage is excluded regardless of any other cause or event that contributes concurrently or in any sequence to the loss.

ALL OTHER TERMS, CONDITIONS, AND EXCLUSIONS REMAIN UNCHANGED.

IMPORTANT INFORMATION ABOUT YOUR INSURANCE COMPANY

The Home Office address for the Insurance Company shown on the policy Declarations page is:

Allmerica Financial Alliance Insurance Company

(A Stock Company)

440 Lincoln Street
Worcester, MA 01653-0002

The Hanover American Insurance Company

(A Stock Company)

440 Lincoln Street
Worcester, MA 01653-0002

Allmerica Financial Benefit Insurance Company

(A Stock Company)

440 Lincoln Street
Worcester, MA 01653-0002

The Hanover Insurance Company

(A Stock Company)

440 Lincoln Street
Worcester, MA 01653-0002

Campmed Casualty & Indemnity Company, Inc.

(A Stock Company)

440 Lincoln Street
Worcester, MA 01653-0002

Massachusetts Bay Insurance Company

(A Stock Company)

440 Lincoln Street
Worcester, MA 01653-0002

Citizens Insurance Company of America

(A Stock Company)

808 North Highlander Way
Howell, MI 48843-1070

Nova Casualty Company

(A Stock Company)

440 Lincoln Street
Worcester, MA 01653-0002

COMMON POLICY CONDITIONS

All Coverage Parts included in this policy are subject to the following conditions.

A. Cancellation

1. The first Named Insured shown in the Declarations may cancel this policy by mailing or delivering to us advance written notice of cancellation.
2. We may cancel this policy by mailing or delivering to the first Named Insured written notice of cancellation at least:
 - a. 10 days before the effective date of cancellation if we cancel for nonpayment of premium; or
 - b. 30 days before the effective date of cancellation if we cancel for any other reason.
3. We will mail or deliver our notice to the first Named Insured's last mailing address known to us.
4. Notice of cancellation will state the effective date of cancellation. The policy period will end on that date.
5. If this policy is cancelled, we will send the first Named Insured any premium refund due. If we cancel, the refund will be pro rata. If the first Named Insured cancels, the refund may be less than pro rata. The cancellation will be effective even if we have not made or offered a refund.
6. If notice is mailed, proof of mailing will be sufficient proof of notice.

B. Changes

This policy contains all the agreements between you and us concerning the insurance afforded. The first Named Insured shown in the Declarations is authorized to make changes in the terms of this policy with our consent. This policy's terms can be amended or waived only by endorsement issued by us and made a part of this policy.

C. Examination Of Your Books And Records

We may examine and audit your books and records as they relate to this policy at any time during the policy period and up to three years afterward.

D. Inspections And Surveys

1. We have the right to:
 - a. Make inspections and surveys at any time;

- b. Give you reports on the conditions we find; and

- c. Recommend changes.

2. We are not obligated to make any inspections, surveys, reports or recommendations and any such actions we do undertake relate only to insurability and the premiums to be charged. We do not make safety inspections. We do not undertake to perform the duty of any person or organization to provide for the health or safety of workers or the public. And we do not warrant that conditions:

- a. Are safe or healthful; or

- b. Comply with laws, regulations, codes or standards.

3. Paragraphs 1. and 2. of this condition apply not only to us, but also to any rating, advisory, rate service or similar organization which makes insurance inspections, surveys, reports or recommendations.

4. Paragraph 2. of this condition does not apply to any inspections, surveys, reports or recommendations we may make relative to certification, under state or municipal statutes, ordinances or regulations, of boilers, pressure vessels or elevators.

E. Premiums

The first Named Insured shown in the Declarations:

1. Is responsible for the payment of all premiums; and
2. Will be the payee for any return premiums we pay.

F. Transfer Of Your Rights And Duties Under This Policy

Your rights and duties under this policy may not be transferred without our written consent except in the case of death of an individual named insured.

If you die, your rights and duties will be transferred to your legal representative but only while acting within the scope of duties as your legal representative. Until your legal representative is appointed, anyone having proper temporary custody of your property will have your rights and duties but only with respect to that property.

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THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

NEW YORK CHANGES – FRAUD

This endorsement modifies insurance provided under the following:

CAPITAL ASSETS PROGRAM (OUTPUT POLICY) COVERAGE PART
COMMERCIAL AUTOMOBILE COVERAGE PART
COMMERCIAL INLAND MARINE COVERAGE PART
COMMERCIAL PROPERTY COVERAGE PART
EQUIPMENT BREAKDOWN COVERAGE PART
FARM COVERAGE PART – FARM PROPERTY – OTHER FARM PROVISIONS FORM – ADDITIONAL
COVERAGES, CONDITIONS, DEFINITIONS
FARM COVERAGE PART – LIVESTOCK COVERAGE FORM
FARM COVERAGE PART – MOBILE AGRICULTURAL MACHINERY AND EQUIPMENT COVERAGE
FORM

The **CONCEALMENT, MISREPRESENTATION OR FRAUD** Condition is replaced by the following:

FRAUD

We do not provide coverage for any insured ("insured") who has made fraudulent statements or engaged in fraudulent conduct in connection with any loss ("loss") or damage for which coverage is sought under this policy.

However, with respect to insurance provided under the **COMMERCIAL AUTOMOBILE COVERAGE PART**, we will provide coverage to such "insured" for damages sustained by any person who has not made fraudulent statements or engaged in fraudulent conduct if such damages are otherwise covered under the policy.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

NEW YORK CHANGES – CANCELLATION AND NONRENEWAL

This endorsement modifies insurance provided under the following:

CAPITAL ASSETS PROGRAM (OUTPUT POLICY) COVERAGE PART
COMMERCIAL GENERAL LIABILITY COVERAGE PART
COMMERCIAL INLAND MARINE COVERAGE PART
COMMERCIAL PROPERTY COVERAGE PART
CRIME AND FIDELITY COVERAGE PART
EQUIPMENT BREAKDOWN COVERAGE PART
FARM COVERAGE PART
LIQUOR LIABILITY COVERAGE PART
PRODUCTS/COMPLETED OPERATIONS LIABILITY COVERAGE PART

A. Paragraphs 1., 2., 3. and 5. of the Cancellation Common Policy Condition are replaced by the following:

1. The first Named Insured shown in the Declarations may cancel this entire policy by mailing or delivering to us advance written notice of cancellation.

2. Cancellation Of Policies In Effect

a. 60 Days Or Less

We may cancel this policy by mailing or delivering to the first Named Insured written notice of cancellation at least:

- (1) 30 days before the effective date of cancellation if we cancel for any reason not included in Paragraph **A.2.b.** below.
- (2) 15 days before the effective date of cancellation if we cancel for any of the reasons included in Paragraph **A.2.b.** below.

b. For More Than 60 Days

If this policy has been in effect for more than 60 days, or if this policy is a renewal or continuation of a policy we issued, we may cancel only for any of the reasons listed below, provided we mail the first Named Insured written notice at least 15 days before the effective date of cancellation:

- (1) Nonpayment of premium, provided however, that a notice of cancellation on this ground shall inform the first Named Insured of the amount due;

- (2) Conviction of a crime arising out of acts increasing the hazard insured against;
- (3) Discovery of fraud or material misrepresentation in the obtaining of the policy or in the presentation of a claim;
- (4) After issuance of the policy or after the last renewal date, discovery of an act or omission, or a violation of any policy condition, that substantially and materially increases the hazard insured against, and which occurred subsequent to inception of the current policy period;
- (5) Material physical change in the property insured, occurring after issuance or last annual renewal anniversary date of the policy, which results in the property becoming uninsurable in accordance with our objective, uniformly applied underwriting standards in effect at the time the policy was issued or last renewed; or material change in the nature or extent of the risk, occurring after issuance or last annual renewal anniversary date of the policy, which causes the risk of loss to be substantially and materially increased beyond that contemplated at the time the policy was issued or last renewed;
- (6) Required pursuant to a determination by the Superintendent that continuation of our present premium volume would jeopardize our solvency or be hazardous to the interest of our policyholders, our creditors or the public;

(7) A determination by the Superintendent that the continuation of the policy would violate, or would place us in violation of, any provision of the Insurance Code; or

(8) Where we have reason to believe, in good faith and with sufficient cause, that there is a probable risk of danger that the insured will destroy, or permit to be destroyed, the insured property for the purpose of collecting the insurance proceeds. If we cancel for this reason, you may make a written request to the Department of Financial Services, within 10 days of receipt of this notice, to review our cancellation decision. Also, we will simultaneously send a copy of this cancellation notice to the Department of Financial Services.

3. We will mail or deliver our notice, including the reason for cancellation, to the first Named Insured at the address shown in the policy and to the authorized agent or broker.

5. If this policy is cancelled, we will send the first Named Insured any premium refund due. If we cancel, the refund will be pro rata. If the first Named Insured cancels, the refund may be less than pro rata.

However, when the premium is advanced under a premium finance agreement, the cancellation refund will be pro rata. Under such financed policies, we will be entitled to retain a minimum earned premium of 10% of the total policy premium or \$60, whichever is greater. The cancellation will be effective even if we have not made or offered a refund.

B. The following is added to the **Cancellation** Common Policy Condition:

7. If one of the reasons for cancellation in Paragraph **A.2.b.** or **D.2.b.(2)** exists, we may cancel this entire policy, even if the reason for cancellation pertains only to a new coverage or endorsement initially effective subsequent to the original issuance of this policy.

C. The following conditions are added:

1. Nonrenewal

If we decide not to renew this policy we will send notice as provided in Paragraph **C.3.** below.

2. Conditional Renewal

If we conditionally renew this policy subject to:

a. A change of limits;

b. A change in type of coverage;

c. A reduction of coverage;

d. An increased deductible;

e. An addition of exclusion; or

f. Increased premiums in excess of 10%, exclusive of any premium increase due to and commensurate with insured value added or increased exposure units; or as a result of experience rating, loss rating, retrospective rating or audit;

we will send notice as provided in Paragraph **C.3.** below.

3. Notices Of Nonrenewal And Conditional Renewal

a. If we decide not to renew this policy or to conditionally renew this policy as provided in Paragraphs **C.1.** and **C.2.** above, we will mail or deliver written notice to the first Named Insured shown in the Declarations at least 60 but not more than 120 days before:

(1) The expiration date; or

(2) The anniversary date if this is a continuous policy.

b. Notice will be mailed or delivered to the first Named Insured at the address shown in the policy and to the authorized agent or broker. If notice is mailed, proof of mailing will be sufficient proof of notice.

c. Notice will include the specific reason(s) for nonrenewal or conditional renewal, including the amount of any premium increase for conditional renewal and description of any other changes.

d. If we violate any of the provisions of Paragraph **C.3.a., b.** or **c.** above by sending the first Named Insured an incomplete or late conditional renewal notice or a late nonrenewal notice:

(1) And if notice is provided prior to the expiration date of this policy, coverage will remain in effect at the same terms and conditions of this policy at the lower of the current rates or the prior period's rates until 60 days after such notice is mailed or delivered, unless the first Named Insured, during this 60-day period, has replaced the coverage or elects to cancel;

- (2) And if the notice is provided on or after the expiration date of this policy, coverage will remain in effect at the same terms and conditions of this policy for another policy period, at the lower of the current rates or the prior period's rates, unless the first Named Insured, during this additional policy period, has replaced the coverage or elects to cancel.
 - e. If you elect to renew on the basis of a late conditional renewal notice, the terms, conditions and rates set forth in such notice shall apply:
 - (1) Upon expiration of the 60-day period, unless Subparagraph (2) below applies; or
 - (2) Notwithstanding the provisions in Paragraphs d.(1) and d.(2), as of the renewal date of the policy if the conditional renewal notice was sent at least 30 days prior to the expiration or anniversary date of the policy.
 - f. We will not send you notice of nonrenewal or conditional renewal if you, your authorized agent or broker or another insurer of yours mails or delivers notice that the policy has been replaced or is no longer desired.
- D.** The following provisions apply when the Commercial Property Coverage Part, the Farm Coverage Part or the Capital Assets Program (Output Policy) Coverage Part is made a part of this policy:
- 1. Items **D.2.** and **D.3.** apply if this policy meets the following conditions:
 - a. The policy is issued or issued for delivery in New York State covering property located in this state; and
 - b. The policy insures:
 - (1) For loss of or damage to structures, other than hotels or motels, used predominantly for residential purposes and consisting of no more than four dwelling units; or
 - (2) For loss of or damage to personal property other than farm personal property or business property; or
 - (3) Against damages arising from liability for loss of, damage to or injury to persons or property, except liability arising from business or farming; and
 - c. The portion of the annual premium attributable to the property and contingencies described in 1.b. exceeds the portion applicable to other property and contingencies.
2. Paragraph 2. of the **Cancellation** Common Policy Condition is replaced by the following:
- 2. Procedure And Reasons For Cancellation**
- a. We may cancel this entire policy by mailing or delivering to the first Named Insured written notice of cancellation at least:
 - (1) 15 days before the effective date of cancellation if we cancel for nonpayment of premium, provided however, that a notice of cancellation on this ground shall inform the first Named Insured of the amount due; or
 - (2) 30 days before the effective date of cancellation if we cancel for any other reason.
 - b. But if this policy:
 - (1) Has been in effect for more than 60 days; or
 - (2) Is a renewal of a policy we issued; we may cancel this policy only for one or more of the following reasons:
 - (1) Nonpayment of premium, provided however, that a notice of cancellation on this ground shall inform the first Named Insured of the amount due;
 - (2) Conviction of a crime arising out of acts increasing the risk of loss;
 - (3) Discovery of fraud or material misrepresentation in obtaining the policy or in making a claim;
 - (4) Discovery of willful or reckless acts or omissions increasing the risk of loss;
 - (5) Physical changes in the covered property that make that property uninsurable in accordance with our objective and uniformly applied underwriting standards in effect when we:
 - (a) Issued the policy; or
 - (b) Last voluntarily renewed the policy;

- (6) The Superintendent of Financial Services' determination that continuing the policy would violate Chapter 28 of the Insurance Law; or
- (7) Required pursuant to a determination by the Superintendent of Financial Services that the continuation of our present premium volume would be hazardous to the interests of our policyholders, our creditors or the public.

3. The following are added:

a. Conditional Continuation

Instead of cancelling this policy, we may continue it on the condition that:

- (1) The policy limits be changed; or
- (2) Any coverage not required by law be eliminated.

If this policy is conditionally continued, we will mail or deliver to the first Named Insured written notice at least 20 days before the effective date of the change or elimination. We will mail or deliver our notice to the first Named Insured's last mailing address known to us. If notice is mailed, proof of mailing will be sufficient proof of notice. Delivery of the notice will be the same as mailing.

b. Nonrenewal

If, as allowed by the laws of New York State, we:

- (1) Do not renew this policy; or
- (2) Condition policy renewal upon:
 - (a) Change of limits; or
 - (b) Elimination of coverage;

we will mail or deliver written notice of nonrenewal or conditional renewal:

- (a) At least 45 days; but
- (b) Not more than 60 days;

before the expiration date of the policy. We will mail or deliver our notice to the first Named Insured's last mailing address known to us. If notice is mailed, proof of mailing will be sufficient proof of notice. Delivery of the notice will be the same as mailing.

E. The following is added to the Farm Property – Other Farm Provisions Form – Additional Coverages, Conditions, Definitions, the Commercial Property Coverage Part and the Capital Assets Program (Output Policy) Coverage Part:

When the property is subject to the Anti-arson Application in accordance with New York Department of Financial Services' Insurance Regulation No. 96, the following provisions are added:

If you fail to return the completed, signed and affirmed anti-arson application to us:

- 1. Or our broker or agent within 45 days of the effective date of a new policy, we will cancel the entire policy by giving 20 days' written notice to you and to the mortgageholder shown in the Declarations.
- 2. Before the expiration date of any policy, we will cancel the policy by giving written notice to you and to the mortgageholder shown in the Declarations at least 15 days before the effective date of cancellation.

The cancellation provisions set forth in **E.1.** and **E.2.** above supersede any contrary provisions in this policy including this endorsement.

If the notice in **E.1.** or **E.2.** above is mailed, proof of mailing will be sufficient proof of notice. Delivery of the notice will be the same as mailing.

F. The following applies to the Commercial Property Coverage Part, the Farm Coverage Part and the Capital Assets Program (Output Policy) Coverage Part:

Paragraphs **f.** and **g.** of the **Mortgageholders** Condition are replaced by the following:

f. Cancellation

- (1) If we cancel this policy, we will give written notice to the mortgageholder at least:
 - (a) 10 days before the effective date of cancellation if we cancel for your nonpayment of premium; or
 - (b) 30 days before the effective date of cancellation if we cancel for any other reason.

(2) If you cancel this policy, we will give written notice to the mortgageholder. With respect to the mortgageholder's interest only, cancellation will become effective on the later of:

- (a) The effective date of cancellation of the insured's coverage; or
- (b) 10 days after we give notice to the mortgageholder.

g. Nonrenewal

(1) If we elect not to renew this policy, we will give written notice to the mortgageholder at least 10 days before the expiration date of this policy.

(2) If you elect not to renew this policy, we will give written notice to the mortgageholder. With respect to the mortgageholder's interest only, nonrenewal will become effective on the later of:

- (a) The expiration date of the policy; or
- (b) 10 days after we give notice to the mortgageholder.

G. The following provisions apply when the following are made a part of this policy:

Commercial General Liability Coverage Part
Employment-Related Practices Liability Coverage Part
Farm Liability Coverage Form
Liquor Liability Coverage Part
Products/Completed Operations Liability Coverage Part

- 1. The aggregate limits of this policy as shown in the Declarations will be increased in proportion to any policy extension provided in accordance with Paragraph **C.3.d.** above.
- 2. The last sentence of Limits Of Insurance does not apply when the policy period is extended because we sent the first Named Insured an incomplete or late conditional renewal notice or a late nonrenewal notice.

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THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

EXCLUSION OF CERTAIN COMPUTER-RELATED LOSSES

This endorsement modifies insurance provided under the following:

COMMERCIAL INLAND MARINE COVERAGE PART
COMMERCIAL PROPERTY COVERAGE PART
CRIME AND FIDELITY COVERAGE PART
STANDARD PROPERTY POLICY

- A.** We will not pay for loss ("loss") or damage caused directly or indirectly by the following. Such loss ("loss") or damage is excluded regardless of any other cause or event that contributes concurrently or in any sequence to the loss ("loss") or damage.
- 1.** The failure, malfunction or inadequacy of:
 - a.** Any of the following, whether belonging to any insured or to others:
 - (1)** Computer hardware, including microprocessors;
 - (2)** Computer application software;
 - (3)** Computer operating systems and related software;
 - (4)** Computer networks;
 - (5)** Microprocessors (computer chips) not part of any computer system; or
 - (6)** Any other computerized or electronic equipment or components; or
 - b.** Any other products, and any services, data or functions that directly or indirectly use or rely upon, in any manner, any of the items listed in Paragraph **A.1.a.** of this endorsement;

due to the inability to correctly recognize, process, distinguish, interpret or accept one or more dates or times. An example is the inability of computer software to recognize the year 2000.
 - 2.** Any advice, consultation, design, evaluation, inspection, installation, maintenance, repair, replacement or supervision provided or done by you or for you to determine, rectify or test for, any potential or actual problems described in Paragraph **A.1.** of this endorsement.
- B.** If an excluded Cause of Loss as described in Paragraph **A.** of this endorsement results:
- 1.** In a Covered Cause of Loss under the Crime and Fidelity Coverage Part, the Commercial Inland Marine Coverage Part or the Standard Property Policy; or
 - 2.** Under the Commercial Property Coverage Part:
 - a.** In a "Specified Cause of Loss", or in elevator collision resulting from mechanical breakdown, under the Causes of Loss – Special Form; or
 - b.** In a Covered Cause of Loss under the Causes Of Loss – Basic Form or the Causes Of Loss – Broad Form;

we will pay only for the loss ("loss") or damage caused by such "Specified Cause of Loss", elevator collision, or Covered Cause of Loss.
- C.** We will not pay for repair, replacement or modification of any items in Paragraphs **A.1.a.** and **A.1.b.** of this endorsement to correct any deficiencies or change any features.

POLICY NUMBER: ZBS D215008 08

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THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.**EXCLUSION OF CERTIFIED ACTS OF TERRORISM**

This endorsement modifies insurance provided under the following:

BOILER AND MACHINERY COVERAGE PART
 COMMERCIAL INLAND MARINE COVERAGE PART
 COMMERCIAL PROPERTY COVERAGE PART
 CRIME AND FIDELITY COVERAGE PART
 EQUIPMENT BREAKDOWN COVERAGE PART
 FARM COVERAGE PART
 STANDARD PROPERTY POLICY

SCHEDULE

The **Exception Covering Certain Fire Losses** (Paragraph **C**) applies to property located in the following state(s), if covered under the indicated Coverage Form, Coverage Part or Policy:

State(s)	Coverage Form, Coverage Part or Policy
Information required to complete this Schedule, if not shown above, will be shown in the Declarations.	

A. The following definition is added with respect to the provisions of this endorsement:

"Certified act of terrorism" means an act that is certified by the Secretary of the Treasury, in accordance with the provisions of the federal Terrorism Risk Insurance Act, to be an act of terrorism pursuant to such Act. The criteria contained in the Terrorism Risk Insurance Act for a "certified act of terrorism" include the following:

1. The act resulted in insured losses in excess of \$5 million in the aggregate, attributable to all types of insurance subject to the Terrorism Risk Insurance Act; and
2. The act is a violent act or an act that is dangerous to human life, property or infrastructure and is committed by an individual or individuals as part of an effort to coerce the civilian population of the United States or to influence the policy or affect the conduct of the United States Government by coercion.

B. The following exclusion is added:

CERTIFIED ACT OF TERRORISM EXCLUSION

We will not pay for loss or damage caused directly or indirectly by a "certified act of terrorism". Such loss or damage is excluded regardless of any other cause or event that contributes concurrently or in any sequence to the loss.

C. Exception Covering Certain Fire Losses

The following exception to the exclusion in Paragraph **B.** applies only if indicated and as indicated in the Schedule of this endorsement.

If a "certified act of terrorism" results in fire, we will pay for the loss or damage caused by that fire. Such coverage for fire applies only to direct loss or damage by fire to Covered Property. Therefore, for example, the coverage does not apply to insurance provided under Business Income and/or Extra Expense coverage forms or endorsements which apply to those forms, or to the Legal Liability Coverage Form or the Leasehold Interest Coverage Form.

If aggregate insured losses attributable to terrorist acts certified under the Terrorism Risk Insurance Act exceed \$100 billion in a calendar year and we have met our insurer deductible under the Terrorism Risk Insurance Act, we shall not be liable for the payment of any portion of the amount of such losses that exceeds \$100 billion, and in such case insured losses up to that amount are subject to pro rata allocation in accordance with procedures established by the Secretary of the Treasury

D. Application Of Other Exclusions

The terms and limitations of any terrorism exclusion, or the inapplicability or omission of a terrorism exclusion, do not serve to create coverage for any loss which would otherwise be excluded under this Coverage Part or Policy, such as losses excluded by the Nuclear Hazard Exclusion or the War And Military Action Exclusion.

THE ONLY SIGNATURES APPLICABLE TO THIS POLICY ARE THOSE REPRESENTING THE COMPANY NAMED ON THE FIRST PAGE OF THE DECLARATIONS.

In Witness Whereof, this company has caused this policy to be signed by its President and Secretary and countersigned on the declarations page, where required, by a duly authorized agent of the company.

A handwritten signature in black ink, appearing to read "John C. Roche". The signature is fluid and cursive, with the first name "John" being more prominent than the last name "Roche".

John C. Roche
President

A handwritten signature in black ink, appearing to read "Charles F. Cronin". The signature is cursive and somewhat stylized, with the first name "Charles" and the last name "Cronin" being clearly visible.

Charles Frederick Cronin
Secretary

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

DATA BREACH COVERAGE FORM

Various provisions in this Coverage Form restrict coverage. Read the entire Coverage Form carefully to determine rights, duties and what is and is not covered.

Throughout this coverage form the words "we", "us" and "our" refer to the Company providing this insurance. The words "you" and "your" refer to the Named Insured shown in the Declarations. Other words and phrases that appear in quotation marks have special meaning. Refer to **SECTION F – DEFINITIONS**.

SCHEDULE

Data Breach Coverage Aggregate Limit of Insurance	\$ 10,000
Data Breach Expense Coverages Aggregate Sublimit of Insurance	\$ 10,000
Additional Expense Coverages Aggregate Sublimit of Insurance	\$ 10,000
Data Breach Coverage Deductible	\$ 1,000
Cyber Business Interruption Waiting Period Deductible	24 Hours
Premium:	\$ 50

SECTION A – COVERAGES

We will provide Data Breach Services, Data Breach Expense Coverages and Additional Expense Coverages as described below if you have a "data breach" that:

- a. Is discovered during the "policy period" of this Data Breach Coverage Form; and
- b. Is reported to us within 30 days of your discovery of the "data breach".

1. Data Breach Services, Data Breach Expense Coverages, Additional Expense Coverages

a. Data Breach Services

(1) Consulting Services

If you contact our Designated Service Provider, they will provide Consulting Services to assist you with:

- (a) Notification requirements pursuant to "breach notice laws";
- (b) Drafting your notification letters; and
- (c) Media interface and press release drafting.

(2) Help Line

Provide a toll-free telephone line for "potentially-identified persons" with questions about the "data breach".

(3) Fraud Alert

A "potentially-identified person" who contacts our Designated Service Provider can place a Fraud Alert on his or her credit file(s) with the main

credit bureaus warning potential credit grantors to check with the "potentially-identified person" before extending credit in his or her name or on his or her behalf.

(4) Identity Restoration Case Management

An "identified person" who contacts our Designated Service Provider will be assisted by an identity restoration professional to help to correct his or her credit and other records and to restore control over his or her personal identity.

These Data Breach Services will be provided by our Designated Service Provider, as described in Paragraphs **15. and 16. of Section E. Conditions**, for a period of one year from the date the Data Breach Services are initiated.

Data Breach Services are only available if the jurisdiction or country where the "potentially-identified person" resides maintains "breach notice law" and, in the case of Fraud Alert, an operative credit monitoring service.

b. Data Breach Expense Coverages

We will pay your reasonable and necessary expenses incurred for the following Covered Expenses up to the limits of insurance described in **Section C – Limits of Insurance**:

(1) Notification to Potentially-Identified Persons – expenses to provide

notification of the "data breach" to "potentially-identified persons":

- (a) As required by applicable "breach notice law"; or
- (b) If reasonably necessary to maintain your business.

Covered expenses include the printing, postage and handling of notification letters or other means of disclosing the breach to "potentially-identified persons".

- (2) **Forensic Analysis** – expenses to assess:

- (a) The severity of the "data breach";
- (b) The nature and extent of the "data breach";

Forensic Analysis expenses do not include the cost of restoration.

- (3) **Proactive Monitoring Services Expense Coverage** – Expenses for "proactive monitoring services" provided to "potentially-identified persons" in jurisdictions or countries with operative credit monitoring services as provided through our Designated Service Provider.

Under this coverage we will only pay for expenses that you incur through our Designated Service Provider.

Services provided for Covered Expenses provided in **b.(1), b.(2) and b.(3)** above must be approved by us as described in **SECTION E – CONDITIONS, Paragraph 15. Service Providers.**

- (4) **Breach Restoration Expenses**

We will pay "Breach Restoration Expenses" directly resulting from a "data breach" which is first discovered during the "policy period" and which results in the damage, deletion or destruction of "data" owned by you or for which you are legally liable.

- (5) **Cyber Business Interruption and Extra Expense**

We will pay actual loss of "business income" and additional "extra expense" incurred by you during the "period of restoration" directly resulting from a "data breach" which is first discovered during the "policy period" and which results in an actual impairment or denial of service of

"business operations" during the "policy period".

c. Additional Expense Coverages

We will pay your reasonable and necessary expenses incurred for the following Additional Expense Coverages. These expenses are subject to the limits of insurance described in **Section C – Limits of Insurance.**

- (1) **Legal Services** – expenses incurred within the first six months following the discovery and reporting of a "data breach" as provided in this Section for approved outside professional legal counsel review and recommendations as to how you should respond to it, including final legal review of the proposed breach notification letter(s). However, we will not pay for expenses for legal counsel to review any third party liability litigation or notification of potential litigation.

- (2) **Public Relations** – expenses incurred within the first six months following the discovery and reporting of a "data breach" as provided in this Section for approved outside public relations firm or crisis management firm recommendations for restoring the confidence of your customers and investors in the security of your company and its systems.

- (3) **Third Party "Data Breach"** – expenses for notification to "potentially-identified persons" with whom you have a direct relationship when a "data breach" is sustained by a third party to whom you have sent "private personal data" to be under that third party's care, custody and control. This includes a "data breach" that occurs while transmitting or transporting the data to that third party. Covered expenses for this Additional Covered Expense are limited to the printing, postage and handling of notification letters to "potentially-identified persons".

Service providers for Additional Expense Coverage provided in paragraphs **c.(1), c.(2) and c.(3)** must be approved by us as described in **SECTION E – CONDITIONS, Paragraph 15. Service Providers.**

- (4) **Data Breach Ransom Coverage** – monies extorted from and paid by you because or a threat or connected

series of threats to commit an intentional attack on your computer systems that if so committed, would result in a "data breach". This Data Breach Ransom Coverage is subject to the following conditions:

- (a) You must receive approval from us prior to the payment of any monies;
 - (b) Any monies paid must only be to terminate or end the threat;
 - (c) The threat must be one which, if carried out, would have led to a "data breach" that would have been covered under this Coverage Form had the monies not been paid;
 - (d) The threat must have been made during the coverage period of this Data Breach Coverage Form;
 - (e) The applicable Federal, state and/or local law enforcement authority was notified of the threat prior to any payment you make for which you are seeking reimbursement under this Additional Expense Coverage;
 - (f) The threat must not have been committed by any of your employees or former employees, vendors or independent contractors hired by you;
 - (g) You must make every reasonable effort not to divulge the existence of this Data Breach Ransom Coverage; and
 - (h) You agree to keep confidential any amounts paid under this Data Breach Ransom Coverage except for any disclosure we approve in advance of that disclosure.
- (5) Data Breach Reward Coverage –** monies you pay for information leading to the arrest and conviction of any individual(s) who committed an illegal act(s) related to a "data breach" covered under this Coverage Form. However, we will not pay for information that was provided by:
- (a) You;
 - (b) Your internal or external auditors;
 - (c) Any vendor or independent contractor hired by you;

(d) Any individual or firm hired by you to investigate the illegal act described above; or

(e) Any individual(s) with supervisory or management responsibility of any of the individual(s) described above.

(6) Data Breach Investigations

We will pay "defense expenses" directly resulting from a "regulatory investigation" regarding a "data breach" first discovered by you during the "policy period".

(7) Data Breach Theft

We will pay for loss resulting directly from your transfer, payment, or delivery of funds due to the fraudulent input of "data" directly into your "system" or through a "network" into your "system". Loss must first be discovered by you during the "policy period".

SECTION B – EXCLUSIONS

1. The following exclusions apply to Data Breach Services, Data Breach Expense Coverages and Additional Expense Coverages.

This insurance does not apply to:

a. Costs to Research or Correct Deficiencies

Any costs to research any deficiency, except as specifically provided under **SECTION A – COVERAGES**, Paragraph **1.b.(2) Forensic Analysis**, or any costs to correct any deficiency.

This includes, but is not limited to, any deficiency in your systems, procedures or physical security that may have contributed to a "data breach".

b. Criminal Investigation or Proceedings

Any costs arising out of criminal investigations or proceedings.

c. Fines, Penalties or Assessments

Any "fines, penalties, fees or assessments". This includes but is not limited to fees or surcharges from financial institutions.

d. Defense or Legal Liability

Any fees, costs, settlements, judgments, or liability of any kind arising in the course of, or as a result of a claim for damages, lawsuit, administrative proceedings, or governmental investigation against or involving you, except as provided under **SECTION A – COVERAGES**, Paragraph **1.c.(6) Data Breach Investigations**.

e. Other Economic Costs

Any other costs or expenses not expressly provided for under Data Breach Services, Data Breach Expense Coverages and Additional Expense Coverages provided in Paragraphs **1.a.** through **1.c.** Costs or expenses that we do not cover include but are not limited to expense to reissue credit or debit cards.

f. Consequential Loss

Any costs, or any other loss, caused by or resulting from delay, loss of use, loss of existing or prospective markets or any other consequential loss. This exclusion does not apply to **SECTION A – COVERAGES**, Paragraph **1.b.(5) Cyber Business Interruption and Extra Expense**.

g. Contractually Assumed Liability

Legal obligations arising by reason of assumption of liability in a contract or agreement.

h. Victim Expenses or Losses

Costs or losses incurred by a victim of "data breach" or fraud activity except as provided for under Data Breach Services, Data Breach Expense Coverages and Additional Expenses Coverages provided in Paragraphs **1.a.** through **1.c.**

i. Alternative Travel Arrangements or Fees

Payment of alternative travel arrangements or additional fees.

j. Psychological Counseling

Psychological counseling for victims of a "data breach" or fraud activity.

k. Legal Advice or Services

Legal advice or other legal services, except as provided by the Legal Services Additional Expense Coverage, Paragraph **1.c.(1)**.

l. Information Recapture

Any costs or losses for the recapture of lost, stolen or destroyed information.

m. Dishonesty

Any criminal, fraudulent or dishonest act, error or omission, or any intentional or knowing violation of law by you, any of your partners, directors or trustees:

- (1) Acting alone or in collusion with others; or
- (2) Whether or not occurring during the hours of employment.

n. Governmental Action

Seizure or destruction of property by order of governmental authority. Such loss or damage

is excluded regardless of any other cause or event that contributes concurrently or in any sequence to the loss. This exclusion applies whether or not the loss event results in widespread damage or affects a substantial area.

o. Intentional or Willful Complicity

Your intentional or willful complicity in a "data breach".

p. Prior Discovery

Any "data breach" discovered prior to the inception of this Data Breach Coverage Form.

q. Threats, Extortion or Blackmail

Any threat, extortion or blackmail including but not limited to, ransom payments and private security assistance except as provided in the Data Breach Ransom Coverage Additional Expense Coverage under Paragraph **1.(c)(4)**.

r. Nuclear Hazard

Nuclear reaction or radiation, or radioactive contamination, however caused.

s. War and Military Action

- (1) War, including undeclared or civil war;
- (2) Warlike action by a military force, including action in hindering or defending against an actual or expected attack, by any government, sovereign or other authority using military personnel or other agents; or
- (3) Insurrection, rebellion, revolution, usurped power, or action taken by governmental authority in hindering or defending against any of these.

2. The following exclusions apply to Breach Restoration Expenses, Cyber Business Interruption and Extra Expense, Data Breach Investigations, and Data Breach Theft only.

This insurance does not apply to:

a. Investigations

Costs, fees or expenses incurred or paid by you in establishing the existence of, or amount of loss, damage or expense.

b. Non-monetary Relief

Costs of compliance with any order for, grant of or agreement to provide non-monetary relief, including injunctive relief.

c. Potential Income

Potential income including interest and dividends not realized by you; however, this Exclusion shall not apply to loss of "business income" as provided under **SECTION A –**

COVERAGES, Paragraph 1.b.(5) Cyber Business Interruption and Extra Expense.

d. Return of Payments

Return of fees, charges, commissions or other compensation paid to you.

e. System Changes

Costs or "expenses" incurred to replace, upgrade, update, improve, or maintain a "system".

f. Uniform Commercial Code

Loss, damage, costs or "expenses" you agree to incur or incur on behalf of another natural person or entity when you are not obligated to incur such loss, costs or "expenses" under the Uniform Commercial Code or any other law, statute, rule or code anywhere in the world, including the rules or codes of any clearing or similar entity. This Exclusion does not apply to **SECTION A – COVERAGES, Paragraph 1.b.(5) Cyber Business Interruption and Extra Expense.**

SECTION C – LIMITS OF INSURANCE

1. The most we will pay for all Data Breach Expense Coverages and Additional Expense Coverages combined is the Data Breach Coverage Aggregate Limit of Insurance shown in the **SCHEDULE** of this Data Breach Coverage Form. The Data Breach Coverage Aggregate Limit of Insurance is an annual aggregate limit and is the most we will pay for the total of the covered losses and expenses for all "data breach" events discovered by you during the current "policy period" regardless of the number of "data breach" events.
2. The Data Breach Expense Coverages Aggregate Sublimit of Insurance shown in the **SCHEDULE** of this Data Breach Coverage Form is the most we will pay under all Data Breach Expense Coverages combined for the total of all covered losses and expenses arising out of all "data breach" events during the "policy period" regardless of the number of "data breach" events. The Data Breach Expense Coverage Aggregate Sublimit of Insurance is part of, and not in addition to, the Data Breach Coverage Aggregate Limit of Insurance
3. The Additional Expense Coverages Aggregate Sublimit of Insurance shown in the **SCHEDULE** of this Data Breach Coverage Form is the most we will pay under all Additional Expense Coverages combined for the total of all covered losses and expenses for all "data breach" events during the "policy period" regardless of the number of "data breach" events. The Additional Expense Coverages Aggregate Sublimit of Insurance is part of, and not in addition to, the Data Breach Coverage Aggregate Limit of Insurance.

4. Regardless of the number of years this Data Breach Coverage Form remains in force or the number of premiums paid, no limits of insurance cumulate from this "policy period" to subsequent "policy periods".

5. Discovery Policy Period Limits Apply

A "data breach" may be first discovered by you in one "policy period", but cause covered loss or expenses in one or more subsequent "policy periods". If so, all covered loss or expenses for the "data breach" will be limited to the Data Breach Coverage Aggregate Limit of Insurance, the Data Breach Expense Coverages Aggregate Sublimit of Insurance and the Additional Expense Coverages Aggregate Sublimit of Insurance described respectively in Paragraphs **1., 2. and 3.** above that are applicable to the "policy period" when the "data breach" was first discovered by you.

6. Time Limits

- a. You must report a "data breach", to us on or within 30 days of your discovery of the "data breach".
- b. You have up to one year from the date of reporting a "data breach", to initiate the services afforded to you.
- c. A "potentially-identified person" has up to one year from the date he or she receives notification of a "data breach" to initiate the services afforded to him or her.
- d. Once initiated, the services afforded to a "potentially-identified person" will continue for one year.
- e. Data Breach Services under **Section A – Coverages, Paragraph 1.a.** will be provided by our Designated Service Provider for a period one year from the date the Data Breach Services are initiated.

SECTION D – DEDUCTIBLE

The Data Breach Expense Coverages and Additional Expense Coverages provided under this Coverage Form are subject to the Data Breach Coverage Deductible shown in the **SCHEDULE** of this Coverage Form. The Data Breach Coverage Deductible applies to covered loss and expense arising out of each "data breach". Our obligation to make payments under Data Breach Expense Coverages and Additional Expense Coverages applies only to that part of covered loss and expense arising out of a single "data breach" event which is in excess of the Data Breach Coverage Deductible.

The Data Breach Coverage Deductible does not apply to **SECTION A –COVERAGES, paragraph 1.b.(6) Cyber Business Interruption and Extra Expense.** Losses payable under Cyber Business Interruption and Extra Expense are subject to the Cyber Business

Interruption Waiting Period Deductible shown on the **SCHEDULE** of this Coverage Form.

SECTION E – CONDITIONS

1. Duties in the Event of a Data Breach.

You must see that the following are done in the event of a “data breach”:

- a. Notify the police if a law may have been broken.
- b. Give us prompt notice of the “data breach”. As stated in **SECTION A – COVERAGES**, paragraph **b.**, you must report the “data breach” to us within 30 days of the date you first discover it.
- c. As soon as possible, give us, and/or our Designated Service Provider, a description of how, when and where the “data breach” occurred, including all of the following information as it becomes known to you:
 - (1) The method of “data breach”;
 - (2) The approximate date and time of the “data breach”;
 - (3) The approximate number of “potentially-identified persons” compromised as a result of the “data breach”;
 - (4) A detailed description of the type and nature of the information that was compromised;
 - (5) Whether or not the information was encrypted, and, if so, the level of encryption;
 - (6) Whether or not law enforcement has been notified;
 - (7) If available, the states in which the “potentially-identified persons” are domiciled;
 - (8) If available, who received the “private personal data” as a result of the “data breach”; and any other access, information or documentation we reasonably require to investigate or adjust your claim.
- d. Take all reasonable steps to protect “private personal data” remaining in your care, custody or control.
- e. Preserve all evidence of the “data breach”.
- f. Permit us to inspect the property and records proving the “data breach”.
- g. If requested, permit us to question you under oath at such times as may be reasonably required about any matter relating to this insurance or your claim, including your books and records. In such event, your answers must be signed.

- h. Send us a signed, sworn statement containing the information we request to investigate the claim. You must do this within 30 days after our request. We will supply you with the necessary forms.

- i. Cooperate with us in the investigation or settlement of the claim.

2. Concealment, Misrepresentation or Fraud

This coverage is void in any case of fraud by you as it relates to this Data Breach Coverage Form. It is also void if you intentionally conceal or misrepresent a material fact concerning this Coverage Form or a claim under this Coverage Form.

3. Control of Property

Any act or neglect of any person other than you beyond your direction or control will not affect this insurance.

The breach of any condition of this Coverage Form at any one or more locations will not affect coverage at any location where, at the time of loss or damage, the breach of condition does not exist.

4. Two or More Coverage Parts, Forms, Endorsements or Policies Issued By Us

It is our stated intent that the various coverage parts, forms, endorsements or policies issued to you by us or any company affiliated with us do not provide any duplication or overlap of coverage for the same loss, damage, expense or “data breach”. If this coverage form and any other coverage part, form, endorsement or policy issued to you by us or any company affiliated with us apply to the same loss, damage, expense, or “data breach”; the maximum Limit of Insurance under all such coverage parts, forms, endorsements or policies combined shall not exceed the highest applicable Limit of Insurance under any one coverage part, form, endorsement or policy.

If two or more of the coverages provided under this coverage form apply to the same loss, damage, expense or “data breach”; we will not pay more than the actual amount of the loss, damage or expense.

5. Legal Action Against Us

No one may bring a legal action against us under this insurance unless:

- a. There has been full compliance with all of the terms of this insurance; and
- b. The action is brought within two years after the date of the “data breach” is first discovered by you.

6. Liberalization

If we adopt any revision that would broaden the coverage under this Data Breach Coverage Form

without additional premium within 45 days prior to or during the “policy period”, the broadened coverage will immediately apply to this coverage form.

7. No Benefit to Bailee

No person or organization, other than you, having custody of Covered Property will benefit from this insurance.

8. Other Insurance

- a. If you may have other insurance subject to the same plan, terms, conditions and provisions as the insurance under this Data Breach Coverage Form, we will pay only our share of the covered loss, damage or expense. Our share is the proportion that the applicable Limit of Insurance under this Coverage Form bears to the Limits of Insurance of all insurance covering on the same basis.
- b. If there is other insurance covering the same “data breach”, other than that described in a. above, we will pay only for the amount for Data Breach Services, Data Breach Expense Coverages, and Additional Expense Coverages in excess of the amount due from that other insurance. We will not pay more than the applicable Limit of Insurance shown in the **SCHEDULE**.

9. Policy Period, Coverage Territory

Under this Endorsement:

a. Policy Period

This policy applies only to “data breaches” that are first discovered by you during the “policy period”.

b. Coverage Territory

Coverage applies anywhere in the world, provided that no trade or economic sanction, embargo, insurance or other laws or regulations prohibit the “insurer” from covering the loss. The “data breach” must involve “private personal data” that was within your care, custody or control.

Data Breach Services are only available in jurisdictions or countries that maintain “breach notice law” and, in the case of Fraud Alert, an operative credit monitoring service.

10. Transfer Of Rights Of Recovery Against Others To Us

If any person or organization to or for whom we make payment under this Coverage Form has rights to recover damages from another, those rights are transferred to us to the extent of our payment. That person or organization must do everything necessary to secure our rights and must do nothing after loss to impair them. But you

may waive your rights against another party in writing:

- a. Prior to a loss.
- b. After a loss only if, at time of loss, that party is one of the following:
 - (1) Someone insured by this insurance;
 - (2) A business firm:
 - (a) Owned or controlled by you; or
 - (b) That owns or controls you; or
- c. Your tenant.

This will not restrict your insurance.

11. Cancellation

With regard to the cancellation of this policy, the provisions outlined in the Common Policy Conditions, Businessowners Coverage Part, Technology Professional Advantage, the Technology Professional Advantage Plus, whichever are included in the policy, shall apply and will automatically include the non-renewal or cancellation of this coverage form. You agree that no further notice regarding termination of this Coverage Form will be required.

12. Due Diligence

You agree to use due diligence to prevent and mitigate loss covered under this Coverage Form. This includes, but is not limited to, complying with reasonable and industry-accepted protocols for providing and maintaining the following:

- a. Physical security for your premises, computer systems and hard copy files;
- b. “Computer” and Internet security;
- c. Periodic backups of computer data;
- d. Protection, including but not limited to, encryption of data, for transactions such as processing credit card, debit card and check payments; and
- e. Disposal of files containing “personal private data”, including but not limited to shredding hard copy files and destroying physical media used to store “data”.

13. No Legal Advice Provided

We are not your legal advisor and do not provide legal counsel to you. None of the services we provide under this Coverage Form constitute legal advice to you by us. Our determination of what is or is not covered under this Coverage Form does not represent legal advice or counsel from us about what you should or should not do.

14. Pre-Notification Consultation

You agree to consult with us prior to the issuance of notification to “potentially-identified persons”. We assume no responsibility under this Coverage

Form for any services promised to “potentially-identified persons” without our prior agreement. You must provide the following at our pre-notification consultation with you:

- a. The exact list of “potentially-identified persons” to be notified, including contact information.
- b. Information about the “data breach” that may appropriately be communicated with “potentially-identified persons”.

15. Service Providers

- a. We will only provide Data Breach Services through our Designated Service Provider(s). Any such services that are provided by any other individual or entity will not be covered by this Coverage Form.
- b. We will only pay Data Breach Expense Coverages and Additional Expense Coverages (except for Data Breach Ransom Coverage and Data Breach Reward Coverage) that are provided by service providers approved by us prior to the start of any of these services. If we suggest a service provider(s) but you prefer to use an alternative service provider(s), our coverage is subject to the following limitations:
 - (1) Such alternate service provider(s) must be approved by us; and
 - (2) Our payment for services provided by any alternative service provider(s) will not exceed the amount that we would have paid using the service provider we had suggested.
- c. You will have a direct relationship with any service provider, including our Designated Service Provider, paid for in whole or in part under this Coverage Form. All service providers work for you.

16. Data Breach Services

The following conditions apply with respect to any data breach services provided to you or to any “potentially-identified person” or “identified person” by our designees or any service firm paid for under this Data Breach Coverage Form:

- a. The effectiveness of data breach services depends on your cooperation and assistance.
- b. All data breach services may not be available or applicable to all “potentially identified persons” or “identified persons”. For example, “potentially identified persons” who are minors or foreign nationals may not have credit records that can be provided or monitored.
- c. We do not warrant or guarantee that the data breach services paid for in whole or in part by this Coverage Form will end or eliminate all

problems associated with a covered “data breach”.

- d. We are not liable for any act or omission by any Designated Service Provider who is not our employee nor the employee of a third party provider of the data breach services described in this Coverage Form. We cannot be held responsible for failure to provide or for the delay in providing services when such failure or delay is caused by conditions beyond our control
- e. Data Breach Services are only available in jurisdictions or countries that maintain “breach notice law” and, in the case of Fraud Alert, an operative credit monitoring service.

17. Cooperation

You agree to cooperate with and provide full disclosure of the circumstances surrounding a “data breach” to applicable federal or state regulators, law enforcement personnel, to us, and to our Designated Service Provider(s).

If you fail to cooperate, we will not be obliged under this contract for any services and expenses that cannot be provided due to your failure to cooperate.

18. Appraisal

If we and you disagree on the amount of net income, operating expense or loss, either may make written demand for an appraisal of the loss. In this event, each party will select a competent and impartial appraiser. The two appraisers will select an umpire. If they cannot agree, either may request that selection be made by a judge of a court having jurisdiction. The appraisers will state separately the amount of the net income, operating expense and loss. If they fail to agree, they will submit their differences to the umpire. A decision agreed to by any two will be binding. Each party will:

- a. Pay its chosen appraiser; and
- b. Bear the other expenses of the appraisal and umpire equally.

If there is an appraisal, we will still retain our right to deny the claim.

SECTION F – DEFINITIONS

1. Account Takeover

“Account takeover” means the takeover by a third party of one or more existing deposit accounts, credit card accounts, debit card accounts, ATM cards, or lines of credit in the name of an “identified person”.

2. Breach Notice Law

“Breach Notice Law” means any federal, state, local or foreign privacy legislation, regulation and

their functional equivalent that requires an entity to provide notice to affected natural persons or data protection authorities regarding any actual or potential unauthorized access to "private personal data".

3. Breach Restoration Expenses

"Breach Restoration Expenses" means the reasonable cost of the blank "media" and the reasonable cost of labor for the actual transcription or copying of "data" or "media" in order to reproduce such "data" or replace such "media" from "data" and/or media of comparable kind or quality.

4. Business Income

"Business Income" means your:

- a. Net Income (Net Profit or Loss before income taxes) that would have been earned or incurred if there had been no impairment or denial of "business operations" due to a covered "data breach" and
- b. Continuing normal operating expenses incurred, including payroll.

"Business income" does not include interest or investment income.

5. Business Operations

"Business Operations" means your usual and regular business activities.

6. Computer

"Computer" means a device or group of hardware devices on which software, applications, script, code and "computer" programs containing "data" can be operated and viewed.

7. Cyber Attack

"Cyber Attack" means the transmission of fraudulent or unauthorized "data" that is intended to and successfully modifies, alters, damages, destroys, deletes, records, transmits, or consumes information within a "system" without authorization, including "data" that is self-replicating or self-propagating, and which causes the disruption of the normal operation of a "system".

8. Data

"Data" means a representation of information, knowledge, facts, concepts or instructions which are being processed or have been processed in a "computer".

9. Data Breach

"Data breach" means:

- a. The loss, theft, accidental release or accidental publication of "private personal data" entrusted to you as respects one or more "potentially-identified persons" if such loss, theft, accidental release or accidental

publication has or could reasonably result in the fraudulent use of such information;

- b. Failure to protect "private personal data" including a "Cyber Attack" on your "system" or the actions of a "rogue employee" which directly results in the unauthorized disclosure of "private personal data";
- c. The theft or negligent loss of hardware, "media", "system output", "data" or other documents owned or controlled by you, or on your behalf, on which "private personal data" is stored or recorded;
- d. The failure or violation of the security of your "system" including the impairment or denial of access to your "system", including a "Cyber Attack" or unauthorized acts or omissions by a "rogue employee" which damages or harms your "system" or the "system" of a third party for whom you provide "services" for a fee;
- e. The theft or loss of hardware or "media" controlled by you, or on your behalf, on which "data" is stored;
- f. Disposal or abandonment of "private personal data" without appropriate safeguards such as shredding or destruction, subject to the following provisions:
 - (1) Your failure to use appropriate safeguards must be accidental and not intentional, reckless or deliberate and not in violation of your Due Diligence obligations under Paragraph 2. **Additional Conditions**, Paragraph a.;
 - (2) Such disposal or abandonment must take place during the time period for which this Data Breach Coverage Form is effective; or
- g. The failure to disclose an event described in a. thru f. above which violates any "breach notice law".

All incidents of "data breach" that are discovered at the same time or arise from the same cause or from a series of similar causes would be considered one "data breach". All theft of "private personal data" caused by any person or in which that person is involved, whether the result of a single act or series of related acts, is considered a single incident of "data breach".

10. Defense Expenses

"Defense Expenses" means the reasonable and necessary legal fees and expenses including attorney fees and expert fees incurred by us or by you (other than regular or overtime wages, salaries, fees or benefits of you or your employees) in the investigation, defense, settlement and appeal of a claim, including but not

limited to cost of consultants and witnesses, premiums for appeal, injunction, attachment or supersedes bonds regarding such claim.

11. Electronic Data

"Electronic data" means information, facts or computer programs stored as or on, created or used on, or transmitted to or from software (including systems and applications software), on hard or floppy disks, CD-ROMs, tapes, drives, cells, data processing devices or any other repositories of computer software which are used with electronically controlled equipment. The term computer programs means a set of related electronic instructions which direct the operations and functions of a computer or device connected to it, which enable the computer or device to receive, process, store, retrieve or send data.

12. Expense

"Expense" means "Business Income", "Extra Expense", "Breach Restoration Expenses", and loss payable under the Data Breach Theft coverage incurred by you.

13. Extra Expense

"Extra Expense" means the reasonable and necessary expenses you incur during the "period of restoration" in an attempt to continue "business operations" that have been interrupted due to a "data breach" and that are over and above the expenses such you would have incurred if no loss had occurred. "Extra expense" does not include any costs of updating, upgrading or remediation of your "system" that are not otherwise covered under this Coverage Part.

14. Fines, Penalties or Assessments

"Fines, penalties or assessments" means any fines, assessments, surcharges, attorneys' fees, court costs or other penalties which you shall be required to pay as a result of a "data breach" or pursuant to any contract, law, regulation or order.

15. Identified Person

"Identified person" means a "potentially-identified person" who is or appears to be a victim of "identity theft" or "account takeover" that may reasonably have arisen from a covered "data breach".

16. Identity Theft

"Identity theft" means the fraudulent use of "private personal data". This includes the fraudulent use of such information to establish credit accounts, secure loans, enter into contracts or commit crimes.

"Identity theft" does not include the fraudulent use of a business name, d/b/a or any other method of identifying a business activity.

"Identity theft" does not include the use of a valid credit card, credit account or bank account. However, "identity theft" does include the fraudulent alteration of account profile information, such as the address to which statements are sent.

17. Media

"Media" means electronic applications, software, scripts and programs on which "data" is stored so that it can be collected, read, retrieved or processed by a "computer". "Media" does not mean paper, or other tangible property, money, debt, equity, instruments, accounts, bonds, bills, records, abstracts, deeds or manuscripts

18. Network

"Network" means any services provided by or through the facilities of any electronic or "computer" communication system, allowing the input, output, examination, visualization or transfer of "data" or programs from one "computer" to your "computer". "Network" includes any shared networks, Internet access facilities, or other similar facilities for such systems, in which you participate.

19. Period of Restoration

"Period of Restoration" means:

- a. The period of time that begins:
 - (1) For "Extra Expenses", immediately after the actual or potential impairment or denial of "business operations" occurs; and
 - (2) For the loss of "Business Income", after 24 hours or the number of hours shown as the Cyber Business Interruption Waiting Period Deductible in the **SCHEDULE** on this Coverage Forms, whichever is greater, immediately following the time the actual impairment or denial of "business operations" first occurs.
- b. The "Period of Restoration" ends on the earlier of the following:
 - (1) The date "business operations" are restored, with due diligence and dispatch, to the condition that would have existed had there been no impairment or denial; or
 - (2) Sixty (60) days after the date the actual impairment or denial of "business operations" first occurs;

The expiration date of this Policy or Coverage Part will not cut short the "period of restoration".

20. Policy Period

"Policy Period" means the period of time from the inception date shown the Declarations to the earlier of the expiration date shown in the

Declarations or the effective date of termination of the Policy or Data Breach Coverage Form.

21. Potentially-Identified Person

"Potentially-identified person" means any person who is your current, former or prospective customer, employee, client, member, or patient and whose "private personal data" is lost, stolen, accidentally released or accidentally published by a "data breach" covered under this Coverage Form.

"Potentially-identified person" does not include any business or organization. Only an individual person may be a "potentially-identified person".

A "potentially-identified person" may reside anywhere in the world.

22. Private Personal Data

"Private Personal Data" means a natural person's first name or first initial and last name in combination with:

- a. Non-public personally identifiable information, as defined in applicable federal, state, local or foreign legislation or regulations including, social security number, driver's license number or other personal identification number (including an employee identification number or student identification number);
- b. Financial account number (including a bank account number, retirement account number or healthcare spending account number);
- c. Credit, debit or payment card numbers;
- d. Information related to employment by you;
- e. Individually identifiable information considered nonpublic personal information pursuant to Title V of the Gramm-Leach Bliley Act of 1999, as amended; or
- f. Individually identifiable information considered protected health information pursuant to the Health Insurance Portability and Accountability Act of 1996 (HIPAA), as amended;

which is intended to be accessible only by natural persons or entities you have specifically authorized to have such access.

"Private personal data" does not mean or include information that is otherwise available to the public, such as names and addresses with no

correlated Social Security numbers or account numbers.

23. Proactive Monitoring Services

"Proactive monitoring services" means the following services if you offer to provide them to "potentially-identified persons" who contact our Designated Service Provider:

- a. A credit report;
- b. credit monitoring; and or
- c. fraud/public records monitoring service or services.

24. Regulatory Investigation

"Regulatory Investigation" means a formal request for information, civil investigative demand or civil proceeding, including requests for information related thereto, brought by or on behalf of a state Attorney General, the Federal Trade Commission, the Federal Communications Commission or any other federal, state, local or foreign governmental agency.

25. Rogue Employee

"Rogue Employee" means a permanent employee of yours, other than an "executive", who has gained unauthorized access or has exceeded authorized access to a "system" or "private personal data" owned or controlled by you or an entity that is authorized by you to hold, process or store "private personal data" for your exclusive benefit.

26. Services

"Services" means "computer" time, data processing, storage functions or other uses of your "system".

27. System

"System" means a "computer", "media" and all input, output, processing storage and communication devices controlled, supervised or accessed by operating software that is proprietary to, or licensed to, the owner of the "computer".

28. System Output

"System Output" means a tangible substance on which "private personal data" is printed from a "System".

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

ASSOCIATES AND FAMILY MEMBERS ADDITIONAL COVERAGE ENDORSEMENT

This endorsement modifies insurance provided under the following:

DATA BREACH COVERAGE FORM

The following Additional Coverage is added to **SECTION A – COVERAGES** of the Data Breach Coverage Form:

A. ASSOCIATES AND FAMILY MEMBERS ADDITIONAL COVERAGE

As described in Paragraphs 1. and 2. below, we will extend certain **Data Breach Covered Services** to your “associates” and to their “family members” following loss of their “private personal data” under the circumstances described below. This Additional Coverage does not apply to a “data breach” involving information owned or controlled by you.

1. An “associate” or “family member” whose “private personal data” is lost or stolen by circumstances such as the loss of a credit card, debit card, ATM card, checkbook, driver’s license, or passport; or the loss of a wallet, purse, or briefcase containing any of the foregoing, may contact our Designated Service Provider for the Fraud Alert service described in **Section A – Coverages**, paragraph 1.a.(3) of the Data Breach Coverage Form.
2. An “associate” or “family member” who, as a result of loss or theft of “private personal data” described in Paragraph 1. above, becomes a victim of “identity theft” or “account takeover”, may contact our Designated Service Provider for the Identity Restoration Case Management services described in **Section A – Coverages**, paragraph 1.a.(4) of the Data Breach Coverage Form.

We will provide these services for a period of one year following the date we are notified of the initial loss of “private personal data”.

B. DEFINITIONS

Under **Section F – Definitions**, Paragraph

1. Account Takeover is replaced with the following:

1. Account Takeover

“Account takeover”, as respects “associates” or “family members”, means the takeover by a third party of one or more existing deposit accounts, credit card accounts, debit card accounts, ATM cards, or lines of credit in the name of an “associate” or “family member”.

“Account takeover”, as respects “associates” or “family members”, includes the unauthorized takeover of one or more of the “associate’s” existing deposit accounts, credit card accounts, debit card accounts, ATM cards, or lines of credit by a “family member”.

Under **Section F – Definitions**, the following Definitions are added:

1. “Associate” means an employee of the business insured under this policy.
2. “Family Member” means:
 - a. an “associate’s” spouse, or Registered Domestic Partner, or the legal equivalent thereof; or
 - b. a relative under 23 years of age who is a dependent of the “associate.”

IDENTITY THEFT RESOLUTION SERVICES (POWERED BY IDENTITY THEFT 911)

Are you or your resident family members at risk for identity theft? Do you need expert assistance with an identity-related concern? IDENTITY THEFT RESOLUTION SERVICES from Identity Theft 911 give you one-on-one assistance in the following situations:

Access Phone Number: 800-628-0250

If you or a resident family member suffer the loss or theft of private personal data, contact Identity Theft 911 for proactive guidance that can include Fraud Alert service. If you wish, a fraud specialist can assist and place a free fraud alert on your credit file to reduce the risk of fraudulent accounts opened in your name. This service also includes additional preventative measures and one-on-one assistance, depending on the risk.

If you or a resident family member suffer the loss or theft of private passenger data, contact Identity Theft 911 for Identity Restoration Case Management services. A fraud specialist will guide you through the process of restoring your identity and handle all of the work, including completed documentation and notification assistance. Victims also receive one year of credit monitoring, as well as free fraud monitoring of over 1,000 public databases.

Learn How to Protect Your Identity

We recommend that you regularly visit The Hanover Insurance Group and Identity Theft 911 comprehensive resource and knowledge library – www.hanover-identitytheft911.com – for the latest media alerts, identity theft tips, in-depth newsletters and much more.

Keep this access information handy in case you ever need help with an identity-related problem.

Access Phone Number: 800-628-0250

The Hanover Insurance Group makes no guarantee of results and assumes no liability in connection with either the information or assistance provided by Identity Theft 911. Any and all external Websites or sources referred to herein are for informational purposes only.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

GOLD PROPERTY BROADENING ENDORSEMENT

This endorsement modifies insurance provided under the following:

BUILDING AND PERSONAL PROPERTY COVERAGE FORM
CONDOMINIUM COMMERCIAL UNIT – OWNERS COVERAGE FORM
CAUSES OF LOSS – SPECIAL FORM
BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM
BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM – ACTUAL LOSS SUSTAINED

The first two above-referenced forms are Coverage Forms. One of these two Coverage Forms is attached to your policy and will hereafter be collectively referred to as “your applicable Coverage Form”. Terms in quotation marks have special meanings that are explained in this endorsement or within a form modified by this endorsement. If a loss is covered by more than one coverage in this policy, only one coverage is applicable and the most we will pay is the Limit of Insurance for the coverage that is applied, regardless of whether or not it is specified in any of the coverages included in this policy. The coverages provided by this endorsement are subject to the provisions of this policy except where amended within this endorsement. There is no coverage for Business Income and Extra Expense for the coverages provided by this endorsement unless specifically stated within section III. **COVERAGES** of this endorsement, and then only to the extent provided for within the applicable coverage provision.

I. SCHEDULE

A. Scheduled Coverages

Scheduled Coverages	Limits of Insurance	Amended Limits of Insurance	Page
1. Back up or Overflow of a Sewer, Drain or Sump	Included	N/A	4
2. Brands and Labels	Included	N/A	4
3. Broadened Building Coverage	Included	N/A	4
4. Broadened Business Personal Property	Included	N/A	5
5. Business Income and Extra Expense – Dependent Properties	\$150,000	\$	5
6. Business Income and Extra Expense – Lease Cancellation	\$50,000	\$	6
7. Business Income and Extra Expense – Transit	\$75,000	\$	7
8. Business Personal Property In Storage Units	Included	N/A	7
9. Business Personal Property In Transit	\$100,000	\$	7
10. Business Personal Property Off Premises	\$250,000	\$	8
11. Catastrophe Allowance	\$50,000	N/A	8
12. Computer and Funds Transfer Fraud	\$50,000	\$	9
13. Consequential Loss to Stock	Included	N/A	10
14. Contract Penalties	\$50,000	\$	10
15. Debris Removal	\$250,000	\$	10
16. Denial of Access to Premises	30 Days 72 Hour Waiting Period	N/A	11
17. E-Commerce	\$50,000	\$	11

18. Electronic Data Processing Equipment	Included	N/A	12
19. Employee Theft including ERISA Compliance	\$250,000	\$	13
20. Employee Tools and Work Clothing	\$25,000	\$	15
21. Expediting Expense	\$50,000	\$	16
22. Extended Business Income	180 Days	N/A	16
23. Extended Coverage on Property – within 2,000 feet	Included	N/A	16
24. Extra Expense	\$300,000	\$	17
25. Fire Protection Equipment Recharge	Included	N/A	18
26. Food Contamination – Additional Advertising Expense	\$25,000 \$3,000	\$ \$	18
27. Forgery or Alteration	\$100,000	\$	19
28. Foundations and Underground Pipes	Included	N/A	19
29. International Air Shipments	\$50,000	\$	20
30. Inventory and Loss Appraisal	\$250,000	\$	20
31. Key Replacement and Lock Repair	\$20,000	\$	20
32. Leasehold Interest	\$150,000	\$	21
33. Lessor's Tenant Move Expenses	\$50,000	\$	21
34. Marring and Scratching	Included	N/A	22
35. Money and Securities	\$50,000	\$	22
36. Money Orders and Counterfeit Money	\$50,000	\$	23
37. Newly Acquired or Constructed Property – Building – Business Personal Property	\$2,000,000 \$1,000,000	\$ \$	24 24
38. Newly Acquired Locations – Business Income and Extra Expense	\$250,000	\$	25
39. Non-Owned Detached Trailers	\$25,000	\$	25
40. Ordinance or Law – Coverage A – Coverage B and C	Included \$500,000	N/A \$	25 26 26
41. Pollutant Clean-Up and Removal	\$100,000	\$	28
42. Preservation of Property	90 Days	N/A	29
43. Preservation of Property – Expenses	\$50,000	\$	29
44. Prototypes	Included	N/A	29
45. Rewards	\$75,000	\$	29
46. Sales Representative Samples	\$25,000	\$	29
47. Soft Costs	\$25,000	\$	30
48. Temporary Relocation of Property	\$100,000	\$	30
49. Theft Damage to Building	Included	N/A	30
50. Undamaged Tenants Improvements and Betterments	\$50,000	\$	31
51. Underground Water Seepage	\$50,000	N/A	31
52. Unintentional Property Reporting Errors	\$500,000	N/A	32
53. Unnamed Locations	\$150,000	\$	32
54. Utility Services – Direct Damage	\$100,000	\$	32

Utility Services – Business Income and Extra Expense	\$100,000	\$	33
55. Voluntary Parting	\$50,000	\$	33
56. Water Damage, Other Liquids, Powder or Molten Material Damage	\$50,000	\$	34
57. Windblown Debris	\$10,000	\$	34
58. Worldwide Business Personal Property Off Premises	\$75,000	\$	34

B. Blanket Coverages

Blanket Limit of Insurance \$500,000

The Blanket Limit of Insurance applies for each occurrence to all Scheduled Blanket Coverages shown below unless an Amended Limit of Insurance is shown. At the time of loss, you may apportion the Blanket Limit of Insurance to any combination of the Scheduled Blanket Coverages without an Amended Limit of Insurance, but under no circumstances will the aggregate apportionment be permitted to exceed the Blanket Limit of Insurance. When an Amended Limit of Insurance is shown for any of the Scheduled Blanket Coverages, those coverages are not included within the Blanket Limit of Insurance and the Amended Limit of Insurance is the most we will pay for those coverages.

Scheduled Blanket Coverages	Amended Limits of Insurance	Page
1. Accounts Receivable	\$	34
2. Deferred Payments	\$	35
3. Fine Arts	\$	35
4. Fire Department Service Charge	\$	36
5. Movement of Property	\$	36
6. Outdoor Property	\$	36
7. Personal Effects and Property of Others	\$	37
8. Research and Development Documentation	\$	37
9. Valuable Papers and Records	\$	38

II. DEDUCTIBLE

- A. We will not pay for loss or damage in any one occurrence until the amount of loss or damage exceeds the Deductible shown in the Declarations. We will then pay the amount of loss or damage in excess of the Deductible, up to the Limit of Insurance for all applicable coverages listed under section I. **SCHEDULE** except as shown in paragraph B. below.
- B. No Deductible applies to the following coverages:
1. ERISA Compliance;
 2. Extra Expense;
 3. Fire Department Service Charge;
 4. Fire Protection Equipment Recharge;
 5. Forgery or Alteration;
 6. Inventory and Loss Appraisal;
 7. Key Replacement and Lock Repair;
 8. Personal Effects and Property of Others; and
 9. Rewards

III. COVERAGES

A. Scheduled Coverages

1. Back up or Overflow of a Sewer, Drain or Sump

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 4. Additional Coverages:**

Back up or Overflow of a Sewer, Drain or Sump

- (1) We will pay for direct physical loss of or damage to Covered Property at the described premises when solely caused by or resulting from the following:
 - (a) Water or waterborne material that backs up through or overflows or is otherwise discharged from a sewer or drain. With respect to this Additional Coverage, the term drain includes a roof drain and related fixtures.
 - (b) Water or waterborne material that overflows or is otherwise discharged from a sump, sump pump or related equipment.
- (2) This Additional Coverage includes Business Income and Extra Expense coverage. Business Income and Extra Expense losses are subject to the terms of BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM CP 00 30, BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM – ACTUAL LOSS SUSTAINED 411-0581 or Additional Coverage – Extra Expense of this endorsement.
- (3) With respect to CAUSES OF LOSS – SPECIAL FORM CP 10 30, **B. Exclusions, 1.g. Water**, paragraph (3) is deleted.
- (4) Payment under this Additional Coverage is included within the applicable Limit of Insurance for Covered Property at the location where the loss or damage occurred.
- (5) **Back up or Overflow of a Sewer, Drain or Sump Special Exclusion**

We will not pay for loss or damage from water or other materials that back up or overflow from any sewer or drain, sump, sump pump or related equipment when it is caused by or results from any “flood”, regardless of the proximity of the back up or overflow to the “flood” condition.

2. Brands and Labels

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 5. Coverage Extensions:**

Brands and Labels

- (1) The insurance that applies to Business Personal Property is extended to apply to brands or labels that are damaged by a Covered Cause of Loss when we elect to take all or any part of the damaged property at an agreed or appraised value. We will:
 - (a) Pay expenses you incur to:
 - (i) Remove the brand or label and then relabel the damaged property to comply with any applicable law; or
 - (ii) Label or stamp the damaged property Salvage, if doing so will not physically damage the property.
 - (b) Cover any reduction in the salvage value of the damaged property as a result of the removal of the brand or label.
- (2) Payment under this Coverage Extension is included within the Limit of Insurance shown in the Declarations for Business Personal Property.

3. Broadened Building Coverage

With respect to BUILDING AND PERSONAL PROPERTY COVERAGE FORM CP 00 10, the following is added to **A. Coverage, 1. Covered Property, a. Building:**

- (1) Foundations of machinery, tanks and their component parts including all connections which are below:
 - (a) The lowest basement floor; or
 - (b) The surface of the ground, if there is no basement.
- (2) Your Business Personal Property in apartments or rooms furnished by you as landlord;
- (3) The following property if it is located on or within 2,000 feet of a covered building or structure:
 - (a) Exterior lighting fixtures or poles;
 - (b) Yard fixtures;
 - (c) Fences; and
 - (d) Retaining walls whether or not attached to the building.

- (4) Signs, whether or not they are attached to covered buildings or structures;
- (5) Building glass, including encasement frames, lettering, artwork, ornamentation, sensors or other items permanently affixed to, or a part of, building glass;
- (6) Your new buildings while being built on or within 2,000 feet of the described premises; and
- (7) Driveways, walks and patios.

4. Broadened Business Personal Property

- a. With respect to BUILDING AND PERSONAL PROPERTY COVERAGE FORM CP0010, the following is added to A. Coverage, 1. Covered Property, **b. Your Business Personal Property** and with respect to CONDOMINIUM COMMERCIAL UNIT – OWNERS COVERAGE FORM CP 00 18, , the following is added to **A. Coverage, 1. Covered Property, a. Your Business Personal Property**:

- (1) Property of others that is in your care, custody or control;
- (2) “Scientific and professional equipment”;
- (3) Tenant Glass
 - (a) Glass in a building you occupy but do not own that you, as a tenant, have a contractual responsibility to insure, including encasement frames, lettering, artwork, ornamentation, sensors or other items permanently affixed to, or a part of, building glass;
 - (b) Glass must be in your care, custody or control and repairs must be made at your expense;
 - (c) We will also pay for necessary:
 - (i) Expenses incurred to put up temporary plates or board up openings when repair or replacement of the damaged glass is delayed;
 - (ii) Expenses incurred to remove or replace obstructions to repair or replace the damaged glass.

This does not include the cost of removing, replacing or rebuilding window displays.

- (d) With respect to Tenant Glass, CAUSES OF LOSS SPECIAL FORM CP 10 30, **B. Exclusions** do not apply to Tenant Glass except for paragraphs:

- (i) **1.b. Earth Movement**;
- (ii) **1. C. Governmental Action**;
- (iii) **1.d. Nuclear Hazard**;
- (iv) **1.f. War and Military Action**; and
- (v) **1.g. Water**.

- (e) We will not pay for loss or damage caused by or resulting from:

- (i) Wear and tear;
- (ii) Hidden or latent defect;
- (iii) Corrosion; or
- (iv) Rust;

Whatever its origin or cause.

- (4) “Installation, tools and equipment property”;

- (5) Patterns, dies, molds and forms; and

- (6) Signs that are:

- (a) Owned by you; or
- (b) Owned by others but in your care, custody or control;

when you are a tenant in a building you occupy but do not own, whether or not the signs are attached to such building.

- b. With respect to BUILDING AND PERSONAL PROPERTY COVERAGE FORM CP 00 10, **A. Coverage, 1. Covered Property, c. Personal Property of Others** and with respect to CONDOMINIUM COMMERCIAL UNIT – OWNERS COVERAGE FORM CP 00 18, **A. Coverage, 1. Covered Property, b. Personal Property of Others** is deleted.

5. Business Income and Extra Expense - Dependent Properties

With respect to BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM CP 00 30 and BUSINESS INCOME (AND

EXTRA EXPENSE) COVERAGE FORM – ACTUAL LOSS SUSTAINED 411-0581, the following is added to **A. Coverage, 5. Additional Coverages:**

Business Income and Extra Expense – Dependent Properties

- (1) We will pay the actual loss of business income you sustain due to the necessary “suspension” of your “operations” during the “dependent property period of restoration”. The “suspension” must be caused by direct physical loss of or damage to “dependent property” caused by or resulting from a Covered Cause of Loss.
- (2) We will pay the actual and necessary Extra Expense you incur due to direct physical loss of or damage to “dependent property” caused by or resulting from a Covered Cause of Loss.
- (3) With respect to this Additional Coverage, the meaning of Extra Expense is replaced with the following:
Extra Expense means necessary expenses you incur during the “dependent property period of restoration” that you would not have incurred if there had been no direct physical loss or damage to the premises of any “dependent property” caused by or resulting from a Covered Cause of Loss:
 - (a) To avoid or minimize the “suspension” of business and to continue “operations”; or
 - (b) To minimize the “suspension” of business if you cannot continue “operations”.
- (4) For Business Income coverage under this Additional Coverage, the Coverage Territory for “dependent property” is expanded to all parts of the world except any country or jurisdiction that is subject to trade sanction or other economic sanction or embargo by the United States of America.
- (5) We will reduce the amount of your:
 - (a) Business income loss, other than Extra Expense, to the extent you can resume “operations” in whole or in part by using any other available:
 - (i) Source of materials; or

(ii) Outlet for your products

- (b) Extra Expense loss to the extent you can return “operations” to normal and discontinue such extra expense.

- (6) Regardless of the number of “dependent properties” involved, the most we will pay under this Additional Coverage is \$150,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.

6. Business Income and Extra Expense – Lease Cancellation

With respect to BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM CP 00 30 and BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM – ACTUAL LOSS SUSTAINED 411-0581, the following is added to **A. Coverage, 5. Additional Coverages:**

Business Income and Extra Expense – Lease Cancellation

- (1) We will pay for the actual loss of Business Income you sustain and necessary Extra Expense you incur due to the cancellation of a lease by your tenant, who occupies a building covered under this policy, because of untenability as a result of direct physical loss of or damage to that building from a Covered Cause of Loss.

This Additional Coverage only applies:

- (a) If, at the time of loss, the building was occupied and business was being conducted by the tenant canceling the lease or their sub-lessee; or
 - (b) If the lease was signed but the building was not yet occupied by the tenant.
- (2) We will pay for the actual loss of Business Income you sustain after tenantability is restored until the earlier of:
 - (a) The date the premises is leased to another tenant; or
 - (b) 12 months immediately following the “period of restoration”.
 - (3) Regardless of the number of tenants canceling a lease at the described premises, the most we will pay under this Additional Coverage is \$50,000 unless a higher Amended Limit of

Insurance is shown in the above **SCHEDULE**.

(4) Business Income and Extra Expense – Lease Cancellation Special Exclusions

We will not pay when:

- (a)** A lease is cancelled after the “period of restoration”;
- (b)** A lease is cancelled, suspended or allowed to lapse by you;
- (c)** There is a return of prepaid rent or security and other deposits made by the tenant; or
- (d)** A lease is cancelled at the normal expiration date.

7. Business Income and Extra Expense – Transit

With respect to BUSINESS INCOME AND EXTRA EXPENSE COVERAGE FORM CP 00 30 and BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM – ACTUAL LOSS SUSTAINED 411-0581, the following is added to **A. Coverage, 5. Additional Coverages**:

Business Income and Extra Expense – Transit

- (1)** We will pay for the actual loss of Business Income you sustain and necessary Extra Expense you incur due to direct physical loss of or damage to Covered Property while “in transit”. This includes the property of others. The loss or damage must be caused by or result from a Covered Cause of Loss.
- (2)** With respect to this Additional Coverage, CAUSES OF LOSS – SPECIAL FORM CP 10 30, **B. Exclusions, 1.b. Earth Movement** and **1.g. Water** do not apply.
- (3)** The most we will pay under this Additional Coverage is \$75,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.

8. Business Personal Property In Storage Units

With respect to BUILDING AND PERSONAL PROPERTY COVERAGE FORM CP 00 10, **A. Coverage, 5. Coverage Extensions, g. Business Personal Property Temporarily In Portable Storage Units** is replaced by the following:

g. Business Personal Property In Storage Units

- (1)** The insurance that applies to Business Personal Property is extended to apply to direct physical loss of or damage to Business Personal Property stored in a storage unit (including a detached trailer) located within 2,000 feet of the buildings or structures described in the Declarations or within 2,000 feet of the described premises, whichever distance is greater. The loss or damage must be caused by or result from a Covered Cause of Loss.
- (2)** Payment under this Coverage Extension is included within the Limit of Insurance shown in the Declarations for Business Personal Property. However a loss resulting from “theft” is limited to \$50,000.
- (3)** This Coverage Extension does not apply to loss or damage to the storage unit itself.
- (4) Business Personal Property In Storage Units Special Exclusion**

We will not pay for loss of or damage to Business Personal Property in storage units caused by or resulting from rain, snow, sleet, ice, sand or dust, whether driven by wind or not, unless:

- (a)** The storage unit first sustains damage by a Covered Cause of Loss to its roof or walls through which the rain, snow, sleet, ice, sand or dust enters; or
- (b)** The loss or damage is caused by or resulting from thawing of snow, sleet or ice on the storage unit.

9. Business Personal Property In Transit

With respect to CAUSES OF LOSS – SPECIAL FORM CP 10 30, **F. Additional Coverage Extensions, 1. Property in Transit** is replaced by the following:

1. Business Personal Property In Transit

- a.** The insurance that applies to Business Personal Property is extended to apply to direct physical loss of or damage to Business

Personal Property while "in transit". The loss or damage must be caused by or result from a Covered Cause of Loss.

- b. The insurance that applies to Business Personal Property is extended to apply to direct physical loss of or damage to outgoing shipments that have been rejected, while in due course of transit back to you or while awaiting return shipment to you. The loss or damage must be caused by or result from a Covered Cause of Loss.
- c. This Coverage Extension applies to the property while:
 - (1) In a vehicle owned, leased or operated by you; or
 - (2) In the custody of a common carrier, contract carrier or carrier for hire.
- d. With respect to this Coverage Extension, CAUSES OF LOSS – SPECIAL FORM CP 10 30, **B. Exclusions, 1.b. Earth Movement** and **1.g. Water** do not apply.
- e. The most we will pay under this Coverage Extension is \$100,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.
- f. **Business Personal Property In Transit Special Exclusions**
This Coverage Extension does not apply to:
 - (1) Property that belongs to others that you are responsible for as a common carrier, contract carrier or carrier for hire;
 - (2) Sales Representative Samples; or
 - (3) Loss to "perishable stock" resulting from a breakdown of refrigeration equipment on any vehicle owned, leased or operated by you or while in the custody of a common carrier, contract carrier or carrier for hire.

10. Business Personal Property Off Premises

With respect to your applicable Coverage Form, **A. Coverage, 5. Coverage Extensions, d. Property Off-premises** is replaced by the following:

d. Business Personal Property Off Premises

- (1) The insurance that applies to Business Personal Property is extended to apply to direct physical loss of or damage to Business Personal Property while:
 - (a) At a location you do not own, lease or operate;
 - (b) In storage at a location you lease, provided the lease was executed after the beginning of the current policy; or
 - (c) At any fair, trade show or exhibition.

The loss or damage must be caused by or result from a Covered Cause of Loss.

- (2) Regardless of the number of storage units involved, the most we will pay for loss or damage to Business Personal Property is \$250,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.

(3) Business Personal Property Off Premises Special Exclusion

This Coverage Extension does not apply to property:

- (a) In or on a vehicle; or
- (b) In the care, custody or control of your sales representatives, unless the property is in such care, custody or control at a fair, trade show or exhibition.

11. Catastrophe Allowance

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 5. Coverage Extensions:**

Catastrophe Allowance

- (1) This Coverage Extension applies when the direct physical loss of or damage to Covered Property is the result of an event for which Property Claims Service (PCS) has publicly designated a catastrophe number to the event.
- (2) This Coverage Extension applies when the Limits of Insurance for Building and Business Personal Property, as shown

in the Declarations, are insufficient to compensate you for covered loss or damage you incur as a result of the catastrophe event.

- (3) This Coverage Extension cannot be applied to the Deductible amount of this policy or any other policy. It also may not be used to cover any loss or damage that would not be covered under this policy.
- (4) The most we will pay under this Coverage Extension in any one occurrence and any one Policy Period is \$50,000.

12. Computer and Funds Transfer Fraud

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 4. Additional Coverages:**

Computer and Funds Transfer Fraud

- (1) We will pay for the following:

- (a) Loss resulting directly from a fraudulent:
 - (i) Entry of "electronic data" or "computer program" into; or
 - (ii) Change of "electronic data" or "computer program" within;
any "computer equipment" owned, leased or operated by you, provided that such fraudulent entry or such fraudulent change causes (with respect to (1)(a)(i) and (1)(a)(ii) in the above paragraph):
 - (iii) "Money", "securities" or "other property" to be transferred, paid or delivered; or
 - (iv) Your account at a "financial institution" to be debited or deleted.

- (b) Loss resulting directly from a "fraudulent instruction" directing a "financial institution" to debit your "transfer account" and to transfer, pay or deliver "money" or "securities" from that account.

- (2) As used in paragraph (1)(a) above, fraudulent entry or fraudulent change of "electronic data" or "computer program" shall include such entry or change made by an "employee" acting, in good faith, upon a "fraudulent instruction" received from a computer "software" contractor who has a written agreement with you to design, implement or service "computer

programs" for "computer equipment" covered under this Additional Coverage. This is the only coverage provided under this Additional Coverage regardless of any other circumstance including any other "social engineering".

- (3) The most we will pay under this Additional Coverage is \$50,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.

- (4) With respect to this Additional Coverage, all loss:

- (a) Caused by one or more persons; and
- (b) Involving a single act or series of acts;

is considered one occurrence.

(5) Computer and Funds Transfer Fraud Special Exclusions

- (a) We will not pay for loss or damage committed by you or any of your partners, "members", "employees", "managers", directors, trustees or authorized representatives:

- (i) Whether acting alone or in collusion with other persons; or
- (ii) While performing services for you or otherwise.

- (b) Loss that is an indirect result of an occurrence covered by this Additional Coverage, including, but not limited to, loss resulting from the following:

- (i) Your inability to realize income that you would have realized had there been no loss of or damage to "money", "securities" or "other property";

- (ii) Payment of damages of any type for which you are legally liable. However, we will pay compensatory damages arising directly from a loss covered under this Additional Coverage; or

- (iii) Payment of costs, fees or other expenses you incur in establishing either the existence or the amount of loss under this Additional Coverage.

- (c) Fees, costs and expenses incurred by you, which are related to any legal action.
- (d) Loss involving virtual currency of any kind, by whatever name known, whether actual or fictitious including, but not limited to, digital currency, crypto currency or any other type of electronic currency.
- (e) Loss resulting from fraudulent:
 - (i) Entry of "electronic data" or "computer program" into; or
 - (ii) Change of "electronic data" or "computer program" within; any "computer equipment" owned, leased or operated by you by a person or organization with authorized access to that "computer equipment", except as covered under paragraph (2) of this Additional Coverage.
- (f) Loss resulting from the use or purported use of credit, debit, charge, access, convenience, identification, stored-value or other cards or the information contained on such cards.
- (g) Loss resulting from the giving or surrendering of property in any exchange or purchase.
- (h) Loss resulting from an "employee" or "financial institution" acting upon any instruction:
 - (i) To transfer, pay or deliver "money", "securities" or "other property"; or
 - (ii) To debit or delete your account; which instruction proves to be fraudulent, except when covered under paragraphs (1)(b) and (2) of this Additional Coverage.
- (i) Loss, or that part of any loss, the proof of which as to its existence or amount is dependent upon an inventory computation or a profit and loss computation.

13. Consequential Loss to Stock

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 5. Coverage Extensions: Consequential Loss to Stock**

- (1) The insurance that applies to Business Personal Property is extended to apply to the reduction in value of the remaining parts of "stock" in process of manufacture that are physically undamaged but are unmarketable as a complete product because of direct physical loss or damage from a Covered Cause of Loss to other parts of covered "stock" in process of manufacture at the described premises.
- (2) Should it be determined that such "stock" retains only a salvage value, we retain the option of paying the full value of the "stock" as agreed within this policy and taking the damaged property for salvage purposes.
- (3) Payment under this Coverage Extension is included within the Limit of Insurance shown in the Declarations for Business Personal Property.

14. Contract Penalties

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 4. Additional Coverages:**

Contract Penalties

- (1) We will pay for contractual penalties you are required to pay due to your failure to provide your product or service according to contract terms because of direct physical loss of or damage to Covered Property by or resulting from a Covered Cause of Loss.
- (2) Regardless of the number of contracts involved, the most we will pay for all contract penalties under this Additional Coverage is \$50,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.

15. Debris Removal

- a. With respect to your applicable Coverage Form, **A. Coverage, 4. Additional Coverages, a. Debris Removal**, paragraph (4) is replaced by the following:
 - (4) We will pay up to an additional \$250,000 for debris removal expense, for each location, in any one occurrence of physical loss of or damage to Covered Property, if one or both of the following circumstances apply:

- (a) The total of the actual debris removal expense plus the amount we pay for direct physical loss or damage exceeds the Limit of Insurance on the Covered Property that has sustained loss or damage.
- (b) The actual debris removal expense exceeds 25% of the sum of the deductible plus the amount that we pay for direct physical loss or damage to the Covered Property that has sustained loss or damage.

Therefore, if (4)(a) or (4)(b) above apply, our total payment for direct physical loss or damage and debris removal expense may reach but will never exceed the Limit of Insurance on the Covered Property that has sustained loss or damage, plus \$250,000 or the higher Amended Limit of Insurance shown in the above **SCHEDULE**.

- b. With respect to BUILDING AND PERSONAL PROPERTY COVERAGE FORM CP 00 10, **A. Coverage, 4. Additional Coverages, a. Debris Removal**, paragraph (5) is deleted.

16. Denial of Access to Premises

With respect to BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM CP 00 30 and BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM – ACTUAL LOSS SUSTAINED 411-0581, the following is added to **A. Coverage, 5. Additional Coverages**:

Denial of Access to Premises

- (1) We will pay for the actual loss of Business Income you sustain and necessary Extra Expense you incur when ingress to or egress from the described premises is prevented, due to direct physical loss of or damage to property that is away from but within 2,000 feet of the described premises, when such loss or damage is caused by or resulting from any Covered Cause of Loss.
- (2) We will not pay for any loss of Business Income you sustain until after the first 72 hours that immediately follows the time of loss or damage to the premises that causes the denial of access. Coverage applies for a period of up to

30 consecutive days after coverage begins.

However, this Additional Coverage does not extend beyond the time when ingress to or egress from the described premises is no longer prevented.

- (3) The coverage for Extra Expense will begin immediately after the time of loss or damage to the premises that causes the denial of access and will end:

- (a) 30 consecutive days after coverage begins; or

- (b) When your Business Income coverage ends;

whichever is earlier.

However, this Additional Coverage does not extend beyond the time when ingress to or egress from the described premises is no longer prevented.

17. E-Commerce

- a. With respect to your applicable Coverage Form, the following is added to **A. Coverage, 4. Additional Coverages**:

E-Commerce

(1) Electronic Vandalism

We will pay for direct physical loss of or damage to “computer equipment” at the described premises caused by “electronic vandalism”.

- (2) With respect to this Additional Coverage, BUILDING AND PERSONAL PROPERTY COVERAGE FORM CP 00 10, **A. Coverage, 2. Property Not Covered**, paragraph n. is deleted and CONDOMINIUM COMMERCIAL UNIT – OWNERS COVERAGE FORM CP 00 18, **A. Coverage, 2. Property Not Covered**, paragraph h. is deleted.

- (3) With respect to this Additional Coverage, BUILDING AND PERSONAL PROPERTY COVERAGE FORM CP 00 10, **A. Coverage, 4. Additional Coverages, f. Electronic Data** is deleted and CONDOMINIUM COMMERCIAL UNIT – OWNERS COVERAGE FORM CP 00 18, **A. Coverage, 4. Additional Coverages, e. Electronic Data** is deleted.

- b. With respect to BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM CP 00 30, and BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE – ACTUAL LOSS SUSTAINED 411-0581, **A. Coverage, 5. Additional Coverages, d. Interruption of Computer Operations** is replaced by the following:

d. Interruption of Computer Operations

- (1) We will pay for the actual loss of Business Income you sustain and necessary Extra Expense you incur due to the necessary "suspension" of your "operations" at the described premises that is caused by an interruption in your computer "operations" at the described premises due to destruction or corruption of your "electronic data" that is stored within your "computer equipment" at the described premises. The loss or damage must be caused by or result from "electronic vandalism".
- (2) However, there is no coverage for an interruption related to manipulation of a computer system (including "electronic data") by any "employee", including a temporary or leased "employee", or by an entity retained by you, or for you, to inspect, design, install, modify, maintain, repair or replace that system.
- (3) If this policy is endorsed to add a Covered Cause of Loss, the additional Covered Cause of Loss does not apply.
- (4) With respect to this Additional Coverage, BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM CP 00 30 and BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE – ACTUAL LOSS SUSTAINED 411-0581, **A. Coverage, 4. Additional Limitation – Interruption of Computer Operations** is deleted.

- (5) The Additional Coverage for **Extended Business Income** does not apply to the **Interruption of Computer Operations**.

- c. The destruction or corruption of your "electronic data" can originate from a person located anywhere in the world.
- d. The most we will pay in any one Policy Period under this Additional Coverage is \$50,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.

e. E-Commerce Special Exclusions

- (1) With respect to the Additional Coverages in paragraphs **a.** and **b.** above, **CAUSES OF LOSS – SPECIAL FORM CP 10 30, B. Exclusions, 4. Special Exclusions**, paragraph **a.(3)** applies.
- (2) We do not cover:
 - (a) Loss of proprietary use of any "electronic data" or "proprietary programs" that have been copied, scanned, or altered;
 - (b) Loss of or reduction in economic or market value of any "electronic data" or "proprietary programs" that have been copied, scanned, or altered; and
 - (c) "Theft" from your "electronic data" or "proprietary programs" of confidential information through the observation of the "electronic data" or "proprietary programs" by accessing covered "computer equipment" without any alteration or other physical loss of or damage to the records or programs. Confidential information includes, but is not limited to, "employee" information, customer information, processing methods, or trade secrets.

18. Electronic Data Processing Equipment

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 4. Additional Coverages: Electronic Data Processing Equipment**

- (1) We will pay for direct physical loss or damage to the following Covered Property which is your property or property in your care, custody or control:

- (a) "Computer equipment"; and
- (b) Programming documentation and instruction manuals

caused by or resulting from a Covered Cause of Loss.

- (2) We will also pay the necessary Extra Expense you incur to avoid or minimize the "suspension" of business and to continue "operations" due to direct physical loss of or damage to Covered Property described in paragraph (1) above.

All of the provisions of the Additional Coverage for **Extra Expense** in this endorsement and BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM CP 00 30 or BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE – ACTUAL LOSS SUSTAINED 411-0581 in this policy are applicable to this Additional Coverage except the following:

- (a) There is no requirement that a loss occur at the described premises or within 2,000 feet of the described premises; and
 - (b) Continuing normal operating expenses that you incur, including payroll, are not included under this Additional Coverage
- (3) Payment under this Additional Coverage is included within the Limit of Insurance shown in the Declarations for Business Personal Property, except as described in paragraph (4) directly below.
- (4) In the event of loss of or damage to "computer equipment", we will pay your costs to modify or replace undamaged "hardware" or "software" when it:
- (a) Was dependent on the damaged "hardware" or "software" prior to the covered loss; and
 - (b) Is not compatible with the "hardware" or "software" that is replacing the property that was involved in the covered loss.

We will only pay for your costs to modify or replace undamaged

"hardware" or "software" at the described premises.

The most we will pay for your costs is \$10,000. Payment of these costs is included within the Limit of Insurance shown in the Declarations for Business Personal Property.

- (5) With respect to this Additional Coverage, CAUSES OF LOSS – SPECIAL FORM CP 10 30, **B. Exclusions, 1.b. Earth Movement** and **1.g. Water** do not apply.

- (6) We will not pay for any loss to the following property:

- (a) Property you rent, loan or lease to others while it is away from the described premises; or
- (b) Property you hold for sale, distribute or manufacture.

- (7) If we provide Building coverage only, we will only pay for loss to "computer equipment" that service building "operations" at the described premises and are located at the described premises.

(8) Electronic Data Processing Equipment Special Exclusions

We do not cover:

- (a) Any expense caused by an error or omission in programming or incorrect instructions to "hardware"; or
- (b) Direct physical loss to Covered Property caused by:
 - (i) Electrical disturbance;
 - (ii) "Power supply disturbance";
 - (iii) "Computer virus"; or
 - (iv) "Computer hacking".

19. Employee Theft including ERISA Compliance

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 4. Additional Coverages:**

Employee Theft including ERISA Compliance

- (1) We will pay for loss or damage to "money", "securities" and "other property" resulting directly from "theft" committed by an "employee" or volunteer who you have the right to direct and control while performing services for you, whether identified or

not, acting alone or in collusion with other persons.

With respect to this Additional Coverage, "theft" shall also include "forgery".

- (2) This Additional Coverage terminates as to any "employee" as soon as:

- (a) You; or
- (b) Any of your partners, "members", "managers", officers, directors or trustees not in collusion with the "employee";

"discovered" the "theft" or any other dishonest act committed by the "employee" whether before or after becoming employed by you.

- (3) With respect to this Additional Coverage, all loss:

- (a) Caused by one or more persons; and
- (b) involving a single act or series of acts;

is considered one occurrence.

- (4) We will pay only for loss you sustain through acts committed or events occurring anytime which is "discovered" by you:

- (a) During the Policy Period; or
- (b) No later than one year from the date of termination or cancellation of this insurance. However, this extended period to "discover" loss terminates immediately upon the effective date of any other insurance obtained by you, whether from us or another insurer, replacing in whole or in part the coverage afforded under this Additional Coverage, whether or not such other insurance provides coverage for loss sustained prior to its effective date.

- (5) Coverage is extended to apply to loss caused by any "employee" while temporarily outside the Coverage Territory for a period of not more than 90 consecutive days.

- (6) The most we will pay under this Additional Coverage is \$250,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**. Regardless of the number of years this policy remains in force or the number of premiums paid,

no Limit of Insurance cumulates from year to year.

(7) Employee Theft Special Exclusions

We will not pay for the following:

- (a) Loss resulting from "theft" or any other dishonest act committed:

- (i) By you; or
- (ii) By any of your partners or "members";

whether acting alone or in collusion with other persons.

- (b) Loss caused by an "employee" if the "employee" has also committed "theft" or any other dishonest act prior to the effective date of this policy and you or any of your partners, "members", "managers", officers, directors or trustees, not in collusion with the "employee", learned of such "theft" or dishonest act prior to the Policy Period shown in the Declarations.

- (c) Loss resulting from the following:

- (i) The disclosure or use of another person's or organization's confidential or personal information; or
- (ii) The disclosure of your confidential or personal information. However, this paragraph, (7)(c)(ii), does not apply to loss otherwise covered under this insurance that results directly from the use of your confidential or personal information.

- (d) Fees, costs, fines, penalties and other expenses incurred by you which are related to the access to or disclosure of another person's or organization's confidential or personal information including, but not limited to, patents, trade secrets, processing methods, customer lists, financial information, credit card information, health information or any other type of nonpublic information.

- (e) Loss that is an indirect result of an occurrence covered by this Additional Coverage, including, but not limited to, loss resulting from the following:

- (i) Your inability to realize income that you would have realized had there been no loss of or damage to “money”, “securities” or “other property”;
 - (ii) Payment of damages of any type for which you are legally liable. However, we will pay compensatory damages arising directly from a loss covered under this Additional Coverage; or
 - (iii) Payment of costs, fees or other expenses you incur in establishing either the existence or the amount of loss under this Additional Coverage.
- (f) Fees, costs and expenses incurred by you which are related to any legal action.
- (g) Loss involving virtual currency of any kind, by whatever name known, whether actual or fictitious including, but not limited to, digital currency, crypto currency or any other type of electronic currency.
- (h) Loss or that part of any loss, the proof of which as to its existence or amount is dependent upon
- (i) An inventory computation; or
 - (ii) A profit and loss computation.
- However, where you establish wholly apart from such computations that you have sustained a loss, then you may offer your inventory records and actual physical count of inventory in support of the amount of loss claimed.
- (i) Loss resulting from trading, whether in your name or in a genuine or fictitious account.
 - (j) Loss resulting from fraudulent or dishonest signing, issuing, canceling or failing to cancel, a warehouse receipt or any papers connected with it.
- (8) Welfare and Pension Plan ERISA Compliance**
- (a) “Employee Benefit Plans” (hereafter referred to as Plan or Plans) are included as insureds under this Additional Coverage, subject to the following:
- (b) If any Plan is insured jointly with any other entity under this Additional Coverage, you or the Plan Administrator are responsible for selecting a Limit of Insurance for this Additional Coverage that is sufficient to provide a Limit of Insurance for each Plan that is at least equal to that required under ERISA as if each Plan were separately insured.
 - (c) With respect to loss sustained or “discovered” by any such Plan, this Additional Coverage is replaced by the following:

We will pay for loss of or damage to “money”, “securities” and “other property” resulting directly from fraudulent or dishonest acts committed by an “employee”, whether identified or not, acting alone or in collusion with other persons.
 - (d) If the first Named Insured is an entity other than a Plan, any payment we make for loss sustained by any Plan will be made to the Plan sustaining the loss.
 - (e) If two or more Plans are insured under this Additional Coverage, any payment we make for loss:
 - (i) Sustained by two or more Plans; or
 - (ii) Of commingled “money”, “securities” or “other property” of two or more Plans;
 resulting from an occurrence, will be made to each Plan sustaining loss in the proportion that the Limit of Insurance required under ERISA for each Plan bears to the total of those Limits.
 - (f) The Deductible does not apply to this Additional Coverage.
- 20. Employee Tools and Work Clothing**
- With respect to your applicable Coverage Form, the following is added to **A. Coverage, 5. Coverage Extension: Employee Tools and Work Clothing**
- (1) The insurance that applies to Business Personal Property is extended to apply to direct physical loss of or damage to tools, equipment and work clothing belonging to your “employees” while

such tools, equipment and work clothing are:

- (a) At the described premises;
- (b) At your job sites; or
- (c) "In transit" to and from your job sites.

The loss or damage must be caused by or result from a Covered Cause of Loss.

- (2) With respect to this Coverage Extension, CAUSES OF LOSS – SPECIAL FORM CP 10 30, **B. Exclusions, 1.b. Earth Movement and 1.g. Water** do not apply.
- (3) The most we will pay under this Coverage Extension is \$25,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**, but not more than \$500 for any one tool, piece of equipment or item of clothing.
- (4) The Coinsurance Condition does not apply to this Coverage Extension.

21. Expediting Expense

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 4. Additional Coverages:**

Expediting Expense

- (1) When a Covered Cause of Loss occurs to Covered Property, we will pay for the reasonable and necessary additional expenses you incur:
 - (a) To make temporary repairs;
 - (b) To expedite permanent repair or replacement of damaged property; or
 - (c) To provide training on replacement machines or equipment.
- (2) The most we will pay under this Additional Coverage is \$50,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.

22. Extended Business Income

With respect to BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM CP 00 30 and BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM – ACTUAL LOSS SUSTAINED 411-0581, **A. Coverage, 5. Additional Coverages, c. Extended Business Income, (1) Business Income Other Than Rental Value, paragraph (b) and (2) Rental Value, paragraph (b)** are replaced by the following:

(1) Business Income Other Than Rental Value

(b) Ends on the earlier of:

- (i) The date you could restore your "operations", with reasonable speed, to the level which would generate the business income amount that would have existed if no direct physical loss or damage had occurred; or
- (ii) 180 consecutive days after the date determined in BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM CP 00 30 and BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM – ACTUAL LOSS SUSTAINED 411-0581, **A. Coverage, 5. Additional Coverages, c. Extended Business Income, (1) Business Income Other Than Rental Value, paragraph (a).**

(2) Rental Value

(b) Ends on the earlier of:

- (i) The date you could restore tenant occupancy, with reasonable speed, to the level which would generate the "Rental Value" that would have existed if no direct physical loss or damage had occurred; or
- (ii) 180 consecutive days after the date determined in BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM CP 00 30 and BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM – ACTUAL LOSS SUSTAINED 411-0581, **A. Coverage, 5. Additional Coverages, c. Extended Business Income, (2) Rental Value, paragraph (a).**

23. Extended Coverage on Property – within 2,000 feet

With respect to BUILDING AND PERSONAL PROPERTY COVERAGE FORM CP 00 10, CONDOMINIUM COMMERCIAL UNIT-OWNERS

COVERAGE FORM CP 00 18, BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM CP 00 30 and BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM – ACTUAL LOSS SUSTAINED 411-0581, all references that state the location of property must be within 100 feet of a described premise are replaced with within 2,000 feet of a described premise.

24. Extra Expense

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 4. Additional Coverages:**

Extra Expense

- (1) We will pay the necessary Extra Expense you incur during the "period of restoration" that you would not have incurred if there had been no direct physical loss or damage to property at the described premises. The loss or damage must be caused by or result from a Covered Cause of Loss. With respect to loss of or damage to personal property in the open or personal property in a vehicle, the described premises includes the area within 2,000 feet of such premises.

With respect to the requirements set forth in the preceding paragraph, if you occupy only part of a building, your described premises means:

- (a) The portion of the building, which you rent, lease or occupy;
 - (b) The area within 2,000 feet of the building or within 2,000 feet of the premises described in the Declarations, whichever distance is greater (with respect to loss of or damage to personal property in the open or personal property in a vehicle); and
 - (c) Any area within the building or at the described premises, if that area services, or is used to gain access to, the portion of the building, which you rent, lease or occupy.
- (2) Extra Expense means necessary expense incurred (other than the expense to repair or replace property):
- (a) To avoid or minimize the "suspension" of business and to continue "operations":
 - (i) At the described premises; or

- (ii) At replacement premises or at temporary locations, including relocation expenses, and costs to equip and operate the replacement or temporary locations.

- (b) To minimize the "suspension" of business if you cannot continue "operations".

- (c) To repair or replace any property, but only to the extent it reduces the amount of loss that otherwise would have been payable under this Additional Coverage or the Additional Coverage for Business Income. We will not pay for any portion of the ordinary and expected cost to actually repair or replace property; or

- (d) To research, replace or restore the lost information on damaged "valuable papers and records".

- (3) The most we will pay under this Additional Coverage is \$300,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.

- (4) We will reduce the amount of your Extra Expense loss payment to the extent you can return "operations" to normal and discontinue such Extra Expense.

- (5) If you do not resume "operations", or do not resume "operations" as quickly as possible, we will pay based on the length of time it would have taken to resume "operations" as quickly as possible.

(6) Extra Expense Special Exclusions

We will not pay for the following:

- (a) Any Extra Expense caused by or resulting from the following:

- (i) Delay in rebuilding, repairing or replacing the property or resuming "operations", due to interference at the location of the rebuilding, repair or replacement by strikers or other persons;

- (ii) Temporary cessation, lapse or cancellation of any license, lease or contract. But if the temporary cessation, lapse or cancellation is directly caused by the "suspension" of

“operations”, we will cover such loss that affects your Business Income during the “period of restoration” in accordance with the terms described in paragraphs **(2)(a)** and **(2)(b)** of this Additional Coverage; or

(iii) Any other consequential loss.

- (b) Coverage for Extra Expense does not apply when a “suspension” of “operations” is caused by destruction or corruption of “electronic data”, or any loss or damage to “electronic data”. However, this exclusion does not apply to coverage for Extra Expense included in the Additional Coverage for **Electronic Data Processing Equipment** of this endorsement.

25. Fire Protection Equipment Recharge

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 4. Additional Coverages**:

Fire Protection Equipment Recharge

- (1) We will pay:
- (a) The cost of recharging or replacing, whichever is less, your fire extinguishers and fire extinguishing systems (including hydrostatic testing if needed) if they are discharged on or within 2,000 feet of the described premises:
 - (i) To prevent or control loss;
 - (ii) Accidentally; or
 - (iii) As a result of malfunction of the equipment.
 - (b) For loss or damage to Covered Property if such loss or damage is the result of an accidental discharge of chemicals from a fire extinguisher or a fire extinguishing system.
- (2) No coverage will apply if the fire extinguishing system is discharged during installation or testing.
- (3) Payment under this Additional Coverage is included within the applicable Limit of Insurance shown in the Declarations.

26. Food Contamination

With respect to BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM CP 00 30 and BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM – ACTUAL LOSS SUSTAINED 411-0581 the following is added to **A. Coverage, 5. Additional Coverages**:

Food Contamination

- (1) If your “operations” at the described premises is ordered closed by the Board of Health or any other governmental authority as a result of the discovery or suspicion of “food contamination”, we will pay:
- (a) Your expense to clean your equipment as required by the Board of Health or any other governmental authority;
 - (b) Your cost to replace food which is, or is suspected by the Board of Health or any other governmental authority, to be contaminated;
 - (c) Your expense to provide necessary medical tests or vaccinations for your “employees” (including temporary or leased “employees”) who are potentially infected by “food contamination”. However, we will not pay for any expense that is otherwise covered under a Workers’ Compensation Policy;
 - (d) The loss of Business Income you sustain due to the necessary “suspension” of your “operations” as a result of the “food contamination”. The coverage for Business Income will begin 24 hours after you receive notice of closing from the Board of Health or any other governmental authority; and
 - (e) Additional Advertising expenses you incur to restore your reputation.
- (2) The most we will pay for all loss under paragraphs **(1)(a)** through **(1)(d)** above is \$25,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.
- The most we will pay for all loss under paragraph **(1)(e)** above is \$3,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.

(3) Food Contamination Special Exclusion

We will not pay any fines or penalties levied against you by the Board of Health or any other governmental authority as a result of the discovery or suspicion of "food contamination" at the described premises.

27. Forgery or Alteration

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 4. Additional Coverages**:

Forgery or Alteration

- (1) We will pay for loss resulting directly from "forgery" or alteration of checks, drafts, promissory notes, or similar written promises, orders or directions to pay a sum certain in "money" that are:

- (a) Made or drawn by or drawn upon you; or
- (b) Made or drawn by one acting as your agent;

or that are purported to have been made or drawn.

With respect to this Additional Coverage, a substitute check as defined in the Check Clearing for the 21st Century Act, shall be treated the same as the original it replaced.

- (2) If you are sued for refusing to pay the check, draft, promissory note, bill of exchange or similar written promises of payment in "money" on the basis that it has been forged or altered, and you have our written consent to defend against the suit, we will pay for any reasonable legal expenses that you incur in that defense.
- (3) The most we will pay, including legal expenses, under this Additional Coverage is \$100,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.
- (4) With respect to this Additional Coverage, all loss:
- (a) Caused by one or more persons; and
 - (b) Involving a single act or series of related acts;
- is considered one occurrence.
- (5) **Forgery or Alteration Special Exclusion**

We will not pay for the following:

- (a) Loss that is an indirect result of an occurrence covered by this Additional Coverage, including, but not limited to, loss resulting from the following:
- (i) Your inability to realize income that you would have realized had there been no loss of or damage to "money", "securities" or "other property";
 - (ii) Payment of damages of any type for which you are legally liable. However, we will pay compensatory damages arising directly from a loss covered under this Additional Coverage; or
 - (iii) Payment of costs, fees or other expenses you incur in establishing either the existence or the amount of loss under this Additional Coverage.
- (b) Fees, costs and expenses incurred by you, which are related to any legal action.

28. Foundations and Underground Pipes

- a. With respect to BUILDING AND PERSONAL PROPERTY COVERAGE FORM CP 00 10, the following is added to **A. Coverage, 5. Coverage Extensions**:

Foundations and Underground Pipes

- (1) The insurance that applies to Buildings is extended to include:
- (a) Foundations of buildings, structures, machinery or boilers if their foundations are below:
 - (i) The lowest basement floor; or
 - (ii) The surface of the ground, if there is no basement;
 - (b) Underground pipes, flues and drains; and
 - (c) The cost of excavating, grading, backfilling or filling;
- when such loss or damage is caused by a Covered Cause of Loss.

- (2) The most we will pay under this Coverage Extension is the applicable Building Limit of Insurance shown in the Declarations.

b. With respect to BUILDING AND PERSONAL PROPERTY COVERAGE FORM CP 00 10, **A. Coverage, 2.** Property Not Covered, paragraphs **f.**, **g.**, and **m.** do not apply to this Coverage Extension.

29. International Air Shipments

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 5. Coverage Extensions:**

International Air Shipments

- (1) The insurance that applies to Business Personal Property is extended to apply to Business Personal Property while being shipped by air:
 - (a) Anywhere within the Coverage Territory to or from a location outside of the coverage territory; or
 - (b) Between locations outside of the coverage territory;
- (2) This Coverage Extension only applies to the shipment of Business Personal Property which originates and terminates at a location specified in the air waybill.
- (3) The most we will pay under this Coverage Extension is \$50,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.
- (4) **International Air Shipments Special Condition**

This Coverage Extension does not apply to Business Personal Property if there is other insurance in force covering the same loss.

30. Inventory and Loss Appraisal

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 5. Coverage Extensions:**

Inventory and Loss Appraisal

- (1) The insurance that applies to Business Personal Property is extended to apply to all reasonable expenses you incur at our request to assist us with the following:
 - (a) The investigation of a claim;
 - (b) The determination of the amount of loss, such as taking inventory; or

- (c) The cost of preparing specific loss documents and other supporting exhibits.

- (2) Expenses you incur include costs charged to you by others, including auditors, accountants, architects, engineers and Property Managers, acting on your behalf to assist us with items shown in paragraph (1) above.
- (3) Regardless of the number of premises involved, the most we will pay under this Coverage Extension is \$250,000 unless a higher Limit of Insurance is shown in the above **SCHEDULE**.

(4) Inventory and Loss Appraisal Special Exclusion

We will not pay for expenses:

- (a) Incurred to perform your duties in the event of loss under **E. Loss Conditions**;
- (b) To prove that loss or damage is covered;
- (c) Billed by and payable to independent or public adjusters, attorneys or any of their affiliated or associated entities;
- (d) To prepare claims not covered by this policy; or
- (e) Incurred under any Appraisal provisions within the policy.

31. Key Replacement and Lock Repair

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 5. Coverage Extensions:**

Key Replacement and Lock Repair

- (1) Your insurance is extended to apply to the reasonable and necessary expense you incur due to a covered "theft" for:
 - (a) Replacement of keys if they are stolen;
 - (b) Lock repair; or
 - (c) Rekeying, replacing or reprogramming undamaged locks to accept new keys or entry codes when the building security has been compromised.
- (2) The most we will pay under this Coverage Extension is \$20,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.

32. Leasehold Interest

With respect BUILDING AND PERSONAL PROPERTY COVERAGE FORM CP 00 10, the following is added to **A. Coverage, 4. Additional Coverages:**

Leasehold Interest

- (1) If your lease is cancelled due to direct physical loss of or damage to property at the described premises, caused by or resulting from a Covered Cause of Loss, we will pay the net loss you sustain due to the following:

- (a) Increased rent under a replacement lease if your lease is cancelled and either:
- (i) The building owner allows you to continue to use your premises under a new lease not to exceed the prevailing lease rate; or
 - (ii) You relocate to other permanent premises and enter into a new lease.

For the duration of the lease in effect at the time of the loss, we will pay the increase in rent between what you were paying at the time of loss and the rent you will be required to pay for equivalent premises under the replacement lease; and

- (b) Loss of the unused pro-rata portion of prepaid rent based on the period of time remaining in your lease.

- (2) Regardless of the number of leases involved, the most we will pay under this Additional Coverage is \$150,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.

(3) Leasehold Interest Special Conditions

- (a) If the lease in effect at the time of the loss contains a renewal option, the expiration date of the renewal option period will replace the expiration of the current lease. Existence of a renewal option will not increase the applicable Limit of Insurance.
- (b) If the lease has no end date (open-ended), we will pay the difference in rent for a period of no more than 24 months after the date of loss or damage.

- (c) There is no coverage under this Additional Coverage unless a written or legally binding lease is in place at the time of loss or damage.

(4) Leasehold Interest Special Exclusions

We will not pay:

- (a) If the unit or suite rented or leased to you has been vacant more than 60 consecutive days before the loss or damage occurs, and you have not entered into an agreement to sublease the unit or suite. Buildings under construction or renovation are not considered vacant when customary "operations" cannot be conducted as a direct result of the construction or renovation;
- (b) If the lease is cancelled, suspended or allowed to lapse by you; or
- (c) If the lease is cancelled at the normal expiration date.

33. Lessor's Tenant Move Expenses

With respect to BUILDING AND PERSONAL PROPERTY COVERAGE FORM CP 00 10, the following is added to **A. Coverage, 4. Additional Coverages:**

Lessor's Tenant Move Expenses

- (1) In the event that your tenants must temporarily vacate the covered Building at the described premises due to untenability as a result of direct physical loss of or damage to property at the described premises, and such loss or damage is caused by or resulting from a Covered Cause of Loss, we will pay the expenses, as described in paragraph (2) directly below, you incur to move those tenants out of and back into your covered Building.
- (2) We will only pay for the following expenses:
- (a) Packing, transporting and unpacking your tenant's personal property including the cost of insuring the move out and back and any necessary disassembly and reassembly or setup of furniture and equipment; and
 - (b) The net cost to discontinue and re-establish the tenants' utility and

telephone services, after any refunds due the tenants.

- (3) We will only pay for your incurred expenses up to a period of 60 consecutive days after your building has been repaired or rebuilt.
- (4) Regardless of the number of tenants involved, the most we will pay under this Additional Coverage is \$50,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.

34. Marring and Scratching

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 5. Coverage Extensions:**

Marring and Scratching

- (1) The insurance that applies to Business Personal Property is extended to apply to damage caused directly by sudden and accidental marring and scratching at the described premises to the following:
 - (a) Your "stock";
 - (b) Your printing plates; or
 - (c) Property of others that is in your care, custody or control.
- (2) This Coverage Extension does not apply to:
 - (a) Property at other than the described premises; or
 - (b) Property "in transit".
- (3) Payment under this Coverage Extension is included within the Limit of Insurance shown in the Declarations for Business Personal Property.
- (4) With respect to this Coverage Extension, CAUSES OF LOSS – SPECIAL FORM CP 10 30, **B. Exclusions**, paragraph **2.d.(7)(c)** does not apply.

35. Money and Securities

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 4. Additional Coverages:**

Money and Securities

- (1) We will pay for loss of "money" and "securities":
 - (a) Inside a building at the described premises or "financial institution" resulting directly from "theft"

committed by a person physically inside such building;

- (b) Inside a building at the described premises or "financial institution" resulting directly from disappearance or destruction; or
 - (c) Outside of a building at or away from the described premises in the care and custody of a "messenger" or an armored motor vehicle company resulting directly from "theft", disappearance or destruction.
- (2) With respect to this Additional Coverage, all loss:
 - (a) Caused by one or more persons; and
 - (b) Involving a single act or series of related acts;is considered one occurrence.
 - (3) You must keep records of all "money" and "securities" so we can verify the amount of loss or damage.
 - (4) The most we will pay under this Additional Coverage is \$50,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.
 - (5) **Money and Securities Special Exclusions**

We will not pay for the following:

 - (a) Loss resulting from "theft" or any other dishonest act committed by:
 - (i) You; or
 - (ii) Any of your partners or "members";whether acting alone or in collusion with other persons.
 - (b) Loss resulting from "theft" or any other dishonest act committed by any of your "employees", "managers", directors, trustees or authorized representatives:
 - (i) Whether acting alone or in collusion with other persons; or
 - (ii) While performing services for you or otherwise.
 - (c) Loss that is an indirect result of an occurrence covered by this Additional Coverage, including, but not limited to, loss resulting from the following:

- i) Your inability to realize income that you would have realized had there been no loss of or damage to "money", "securities" or "other property";
- (ii) Payment of damages of any type for which you are legally liable. However, we will pay compensatory damages arising directly from a loss covered under this Additional Coverage; or
- (iii) Payment of costs, fees or other expenses you incur in establishing either the existence or the amount of loss under this Additional Coverage.
- (d) Fees, costs and expenses incurred by you, which are related to any legal action.
- (e) Loss involving virtual currency of any kind, by whatever name known, whether actual or fictitious including, but not limited to, digital currency, crypto currency or any other type of electronic currency.
- (f) Loss resulting from accounting or arithmetical errors or omissions.
- (g) Loss resulting from giving or surrendering of property in any exchange or purchase.
- (h) Loss of "money" and "securities" contained in any "money"-operated device unless the amount of "money" deposited in it is recorded by a continuous recording instrument in the device.
- (i) Loss or damage to "money" and "securities" following and directly related to the use of any computer to fraudulently cause a transfer of that property.
- (j) Loss of or damage to "money" and "securities" after it has been transferred or surrendered to a person or place outside the described premises or "financial institution" premises on the basis of unauthorized instructions. However, this exclusion does not apply to loss of "money" and "securities" while in the care and custody of a "messenger".

36. Money Orders and Counterfeit Money

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 4. Additional Coverages:**

Money Orders and Counterfeit Money

- (1) We will pay for loss resulting directly from your having accepted in good faith, in exchange for merchandise, "money" or services:
 - (a) Money orders issued by any post office, express company or "financial institution" that are not paid upon presentation; or
 - (b) "Counterfeit money" that is acquired during the regular course of business.
- (2) With respect to this Additional Coverage, all loss:
 - (a) Caused by one or more persons; and
 - (b) Involving a single act or series of related acts;
 is considered one occurrence.
- (3) The most we will pay under this Additional Coverage is \$50,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.

(4) Money Orders and Counterfeit Money Special Exclusions

We will not pay for the following:

- (a) Loss that is an indirect result of an occurrence covered by this Additional Coverage, including, but not limited to, loss resulting from the following:
 - (i) Your inability to realize income that you would have realized had there been no loss of or damage to "money", "securities" or "other property";
 - (ii) Payment of damages of any type for which you are legally liable. However, we will pay compensatory damages arising directly from a loss covered under this Additional Coverage; or
 - (iii) Payment of costs, fees or other expenses you incur in establishing either the existence or the amount of loss under this Additional Coverage.

- (b) Fees, costs and expenses incurred by you, which are related to any legal action.

37. Newly Acquired or Constructed Property

With respect to your applicable Coverage Form, **A. Coverage, 5. Coverage Extensions**, paragraph **a.** is replaced by the following:

a. Newly Acquired or Constructed Property

(1) Buildings

- (a) The insurance that applies to Buildings is extended to apply to direct physical loss or damage caused by or resulting from a Covered Cause of Loss:
 - (i) To your new buildings while being built on the described premises; and
 - (ii) To buildings you acquire at premises, other than the one described, intended for the following:
 - 1) Similar use as the building described in the Declarations; or
 - 2) Used as a warehouse.
- (b) The most we will pay under this Coverage Extension for each newly acquired or constructed Building is \$2,000,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.

(2) Business Personal Property

- (a) The insurance that applies to Business Personal Property is extended to apply to direct physical loss or damage caused by or resulting from a Covered Cause of Loss:
 - (i) To Business Personal Property, including such property that you newly acquire, at any location you acquire other than at fairs, trade shows or exhibitions; and
 - (ii) To Business Personal Property, including such property that you newly acquire, located at your

newly constructed or acquired buildings at the location described in the Declarations.

- (b) This Coverage Extension does not apply to the following:

- (i) Personal property of others that is temporarily in your possession in the course of installing or performing work on such property;
- (ii) Personal property of others that is temporarily in your possession in the course of your manufacturing or wholesaling activities; and
- (iii) Personal property you acquire as part of your usual customary business dealings whether or not such acquisition was related to anticipated seasonal demands. Under the terms of this Coverage Extension, such property is not considered newly acquired, but falls within the provisions for Business Personal Property.

- (c) The most we will pay under this Coverage Extension for newly acquired Business Personal Property at each location is \$1,000,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.

(3) Period of Coverage

With respect to insurance provided under this Coverage Extension, coverage will end when any of the following first occurs:

- (a) This policy expires;
- (b) 180 days after you acquire the property or begin construction of that part of the building that would qualify as Covered Property; or
- (c) You report values to us.

We will charge you additional premium for values reported from the date you acquire the property

or begin construction of that part of the building that would qualify as Covered Property.

38. Newly Acquired Locations – Business Income and Extra Expense

With respect to BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM CP 00 30 and BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM – ACTUAL LOSS SUSTAINED 411-0581, **A. Coverage, 6. Coverage Extension, Newly Acquired Locations** is replaced by the following:

Newly Acquired Locations

- a. The insurance that applies to Business Income and Extra Expense is extended to apply to property at any location you acquire other than fairs or exhibitions.
- b. The most we will pay under this Coverage Extension at each premises is \$250,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.
- c. With respect to insurance provided under this Coverage Extension, coverage will end when any of the following first occurs:
 - (1) This policy expires;
 - (2) 180 days expire after you acquire the property or begin construction of that part of the building that would qualify as Covered Property; or
 - (3) You report values to us.

We will charge you additional premium for values reported from the date you acquire the property or begin construction of that part of the building that would qualify as Covered Property.

39. Non-Owned Detached Trailers

With respect to your applicable Coverage Form, **A. Coverage, 5. Coverage Extensions, f. Non-Owned Detached Trailers**, paragraph (3) is replaced by the following:

- (3) The most we will pay under this Coverage Extension is \$25,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.

40. Ordinance or Law

With respect to BUILDING AND PERSONAL PROPERTY COVERAGE

FORM CP 00 10, the following is added to

A. Coverage, 4. Additional Coverages:

Ordinance or Law

- (1) This Additional Coverage applies only to buildings which are insured on a Replacement Cost basis.

(2) Application of Coverage

The coverages provided under this Additional Coverage apply only if paragraphs (a) and (b) below are satisfied and are then subject to the qualifications in (c).

(a) The ordinance or law:

- (i) Regulates the demolition, construction or repair of buildings or establishes zoning or land use requirements at the described premises;
- (ii) Requires the demolition of undamaged parts of a covered building or structure that is damaged or destroyed by a Covered Cause of Loss; and
- (iii) Is in force at the time of loss.

However, coverage under this Additional Coverage applies only in response to the minimum requirements of the ordinance or law. Losses and costs incurred in complying with recommended actions or standards that exceed actual requirements are not covered under this Additional Coverage.

(b) The building sustains only direct physical damage:

- (i) That is covered under this policy and, as a result of such damage, you are required to comply with the ordinance or law; or
- (ii) That is covered under this policy and direct physical damage that is not covered under this policy, and as a result of the building damage in its entirety, you are required to comply with the ordinance or law.

However, there is no coverage under this Additional Coverage if the building sustains direct physical damage that is not covered under this policy and such

damage is the subject of the ordinance or law, even if the building has also sustained covered direct physical damage.

- (c) In the situation described in paragraph (b)(ii) above, we will not pay the full amount of loss otherwise payable under the terms of coverages for Loss to the Undamaged Portion of the Building, Demolition Cost Coverage or Increased Cost of Construction Coverage. Instead, we will pay a proportion of such loss, meaning the proportion that the covered direct physical damage bears to the total direct physical damage. Paragraph (6) of this Additional Coverage provides an example of this procedure.

However, if the covered direct physical damage alone would have resulted in a requirement to comply with the ordinance or law, then we will pay the full amount of the loss otherwise payable under the terms of coverages for Loss to the Undamaged Portion of the Building, Demolition Cost Coverage or Increased Cost of Construction Coverage under this Additional Coverage.

- (3) We will not pay under this Additional Coverage for the following:
- (a) Enforcement of or compliance with any ordinance or law which requires the demolition, repair, replacement, reconstruction, remodeling or remediation of property due to contamination by "pollutants" or due to the presence, growth, proliferation, spread or any activity of "fungus", wet or dry rot or bacteria;
 - (b) The costs associated with the enforcement of or compliance with any ordinance or law which requires any insured or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of "pollutants", "fungus", wet or dry rot or bacteria; or
 - (c) Any loss in value or any cost incurred due to an ordinance or law that you were required to comply

with before the time of the current loss, even in the absence of building damage, if you failed to comply.

(4) Coverage

(a) Coverage A – Coverage for Loss to the Undamaged Portion of the Building

With respect to the building that has sustained covered direct physical damage; we will pay for the loss in value of the undamaged portion of the building as a consequence of a requirement to comply with an ordinance or law that requires demolition of undamaged parts of the same building. Coverage for Loss to the Undamaged Portion of the Building is included within the Limit of Insurance shown in the Declarations as applicable to the covered building. Coverage for Loss to the Undamaged Portion of the Building does not increase the Limit of Insurance.

(b) Coverage B – Demolition Cost Coverage

With respect to the building that has sustained covered direct physical damage, we will pay the cost to demolish and clear the site of the undamaged parts of the same building, as a consequence of a requirement to comply with an ordinance or law that requires demolition of such undamaged property.

The Coinsurance Additional Condition does not apply to Demolition Cost Coverage.

(c) Coverage C – Increased Cost of Construction

With respect to the building that has sustained covered direct physical damage, we will pay the increased cost:

- (i) To repair or reconstruct damaged portions of that buildings; or
- (ii) To reconstruct or remodel undamaged portions of that building, whether or not demolition is required;

when the increased cost is a consequence of a requirement to comply with the minimum standards of the ordinance or law.

However:

(iii) This coverage applies only if the restored or remodeled property is intended for similar occupancy as the current property, unless such occupancy is not permitted by zoning or land use ordinance or law.

(iv) We will not pay for the increased cost of construction if the building is not repaired, reconstructed or remodeled.

The Coinsurance Additional Condition does not apply to Increased Cost of Construction Coverage.

(5) Loss Payment

(a) Loss payment provisions **(b)**, **(c)** and **(d)** below are subject to the apportionment procedure set forth in paragraph **(2)(c)** of this Additional Coverage.

(b) When there is a loss in value of an undamaged portion of the building to which Coverage A – Coverage for Loss to the Undamaged Portion of the Building applies, the loss payment for that building, including damaged and undamaged portions, will be determined as follows:

(i) If the Replacement Cost Option applies and such building is being repaired or replaced on the same or another premises, we will not pay more than the lesser of the following:

- 1)** The amount you actually spend to repair, rebuild or reconstruct such building, but not for more than the amount it would cost to restore the building on the same premises and to the same height, floor area, style and comparable quality of the original property insured; or
- 2)** The Limit of Insurance applicable to such building

shown in the Declarations or addressed elsewhere in this policy. (If this policy is endorsed to cover Earth Movement or Flood as a Covered Cause of Loss, the Limit of Insurance applicable to the building in the event of damage by such Covered Cause of Loss may be lower than the Limit of Insurance that otherwise would apply).

(ii) If the Replacement Cost Coverage Option applies and such building is not repaired or replaced, or if the Replacement Cost Coverage Option does not apply, we will not pay more than the lesser of the following:

- 1)** The actual cash value of the building at the time of loss; or
- 2)** The Limit of Insurance applicable to such building as shown in the Declarations or addressed elsewhere in this policy. (If this policy is endorsed to cover Earth Movement or Flood as a Covered Cause of Loss, the Limit of Insurance applicable to the building in the event of damage by such Covered Cause of Loss may be lower than the Limit of Insurance that otherwise would apply.)

(c) The most we will pay for the total of all covered losses for Coverage B – Demolition Cost Coverage and Coverage C – Increased Cost of Construction is the Limit of Insurance shown in paragraph **(5)(d)** below, subject to the following loss payment provisions:

- (i)** For Coverage B – Demolition Cost Coverage, we will not pay for more than the amount you actually spend to demolish and clear the site of the described premises.
- (ii)** For Coverage C – Increased Cost of Construction Coverage, we will not pay for

the increased cost of construction:

- 1) Until the property is actually repaired or replaced, at the same or another premises; and
- 2) Unless the repair or replacement is made as soon as reasonably possible after the loss or damage, not to exceed two years. We may extend this period in writing during the two years.

(iii) If the building is repaired or replaced at the same premises, or if you elect to rebuild at another premises, the most we will pay for the increased cost of construction is the increased cost of construction at the same premises.

(iv) If the ordinance or law requires relocation to another premises, the most we will pay for the increased cost of construction is the increased cost of construction at the new premises.

(d) The most we will pay for the total of all covered losses under Coverage B – Demolition Cost Coverage and Coverage C – Increased Cost of Construction Coverage for each building described in the Declarations is \$500,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**. When buildings are covered under a Blanket Limit of Insurance then this paragraph, (d), also applies for each damaged building.

(6) Example of Proportionate Loss Payment for Ordinance or Law Coverage losses; procedures as set forth in paragraph (2)(c) of this Additional Coverage.

Assume:

- Wind is a Covered Cause of Loss; Flood is an excluded Cause of Loss;
- The building has value of \$200,000;

- The total direct physical damage to the building: \$100,000;
- The ordinance or law in this jurisdiction is enforced when building damage equals or exceeds 50% of the building's value;
- Portion of direct physical damage that is covered (caused by wind): \$30,000;
- Portion of direct physical damage that is not covered (caused by "flood"): \$70,000; and
- Loss under Increased Cost of Construction: \$60,000

Step 1: Determine the proportion that the covered direct physical damage bears to the total direct physical damage.

$$\$30,000 \text{ divided by } \$100,000 = .30$$

Step 2: Apply that portion to the Ordinance or Law loss.

$$\$60,000 \times .30 = \$18,000$$

In this example, the most we will pay under this Additional Coverage for the Increased Cost of Construction loss is \$18,000, subject to the applicable Limit of Insurance and any other applicable provisions.

Note: The same procedure applies to losses under Loss to the Undamaged Portion of the Building and Demolition Cost of this Additional Coverage.

41. Pollutant Clean-Up and Removal

With respect to your applicable Coverage Form, **A. Coverage, 4. Additional Coverages, d. Pollutant Clean-Up and Removal** is replaced by the following:

d. Pollutant Clean-Up and Removal

- (1) We will pay your expense to extract "pollutants" from land or water at the described premises if the discharge, dispersal, seepage, migration, release or escape of the "pollutants" is caused by or results from a Covered Cause of Loss that occurs during the Policy Period. The expenses will be paid only if they are reported to us in writing within 180 days of the date on

which the Covered Cause of Loss occurs.

- (2) This Additional Coverage does not apply to costs to test for, monitor or assess the existence, concentration or effects of "pollutants". However, we will pay for testing, which is performed in the course of extracting the "pollutants" from the land or water.
- (3) The most we will pay for each location under this Additional Coverage is \$100,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**, for the sum of all covered expenses arising out of Covered Causes of Loss occurring during each separate 12 month period of this policy.

42. Preservation of Property

With respect to your applicable Coverage Form, **A. Coverage, 4. Additional Coverage, b. Preservation of Property** is replaced by the following:

a. Preservation of Property

If it is necessary to move property covered under this policy from the described premises to preserve it from loss or damage by a Covered Cause of Loss, we will pay for any direct physical loss of or damage to that property:

- (1) While it is being moved or while temporarily stored at another location; and
- (2) Only if the loss or damage occurs within 90 days after the property is first moved.

43. Preservation of Property - Expenses

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 4. Additional Coverages**:

Preservation of Property – Expenses

- (1) If it is necessary to move property covered under this policy from the described premises to preserve it from loss or damage by a Covered Cause of Loss, we will pay your expenses to move or store such property.
- (2) This coverage applies for 90 days after the property is first moved but does not extend past the date on which this policy expires.

- (3) The most we will pay under this Additional Coverage is \$50,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.

44. Prototypes

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 5. Coverage Extensions**:

Prototypes

- (1) The insurance that applies to Business Personal Property is extended to apply to direct physical loss of or damage to "prototypes" related to your "research and development operations" that:
 - (a) You own; or
 - (b) Are owned by others and in your care, custody or control;while at a described premises. The loss or damage must be caused by or result from a Covered Cause of Loss.
- (2) We will not pay for loss or damage to "prototypes" until you actually repair or replicate such property. Repairs or replication must be made as soon as reasonably possible after the loss or damage, but in no event later than two years after the loss or damage unless we grant an extension in writing prior to the expiration of the two year period.
- (3) Payment under this Coverage Extension is included within the Limit of Insurance shown in the Declarations for Business personal Property.

45. Rewards

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 4. Additional Coverages**:

Rewards

- (1) We will reimburse you for payment of any reward offered on your behalf and for information that leads to the arrest and conviction of the person or persons responsible for:
 - (a) Arson;
 - (b) "Theft"; or
 - (c) Vandalismto Covered Property.
- (2) The arrest and conviction must involve a covered loss caused by arson, "theft" or vandalism.
- (3) Regardless of the number of persons involved in providing the information,

the most we will pay under this Additional Coverage is \$75,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.

46. Sales Representative Samples

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 4. Additional Coverages:**

Sales Representative Samples

- (1) We will pay for direct physical loss of or damage to samples of your "stock" in trade (including containers) caused by or resulting from a Covered Cause of Loss while:
 - (a) In the custody of your sales representative, agent or any "employee" who travels with sales samples;
 - (b) In your custody while acting as a sales representative; or
 - (c) "In transit" between the described premises and your sales representatives.
- (2) With respect to this Additional Coverage, **CAUSES OF LOSS – SPECIAL FORM CP 10 30, B. Exclusions, 1.b. Earth Movement and 1.g. Water** do not apply.
- (3) The most we will pay under this Additional Coverage is \$25,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.
- (4) We will not pay for loss to the following property:
 - (a) Property which has been sold;
 - (b) Jewelry, precious or semiprecious stones, gold, silver, platinum or other precious metals or alloys;
 - (c) Fur, fur garments and garments trimmed with fur; or
 - (d) Any property while waterborne.

47. Soft Costs

With respect to **BUILDING AND PERSONAL PROPERTY COVERAGE FORM CP 00 10**, the following is added to **A. Coverage, 5. Coverage Extensions:**

Soft Costs

- (1) The insurance that applies to Buildings is extended to apply to the actual "soft cost expenses" that arise out of a delay in the construction, erection or fabrication of a Covered Building, as described in **BUILDING AND**

PERSONAL PROPERTY COVERAGE FORM CP 00 10, A. Coverage, 1. Covered Property, paragraph **a.(5)**, due to direct physical loss of or damage to that Covered Building caused by or resulting from a Covered Cause of Loss.

- (2) We will only pay the necessary "soft cost expenses" that are over and above those costs that would have been incurred had there been no delay.
- (3) The most we will pay under this Coverage Extension is \$25,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.
- (4) This Coverage Extension is excess to any other valid and collectible insurance.

48. Temporary Relocation of Property

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 4. Additional Coverages:**

Temporary Relocation of Property

- (1) We will pay for direct physical loss of or damage to Covered Property caused by or resulting from a Covered Cause of Loss while such property is away from the described premises and being stored temporarily at a location you do not own, lease or operate while the described premises is being renovated or remodeled.
- (2) This Additional Coverage applies for 90 days after the property is first moved but does not extend past the date on which this policy expires.
- (3) The most we will pay under this Additional Coverage is \$100,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.

49. Theft Damage to Building

With respect to **BUILDING AND PERSONAL PROPERTY COVERAGE FORM CP 00 10**, the following is added to **A. Coverage, 5. Coverage Extensions:**

Theft Damage to Building

- (1) The insurance that applies to Business Personal Property is extended to apply to direct physical damage to a building leased to you or damage to non-owned equipment when the damage is caused by or results from "theft" or attempted "theft", burglary or robbery of your

Business Personal Property. This Coverage Extension does not apply when the “theft” or attempted “theft” is of a building component or non-owned equipment.

- (2) Payment under this Coverage Extension is included within the Limit of Insurance shown in the Declarations for Business Personal Property.

50. Undamaged Tenants Improvements and Betterments

With respect to BUILDING AND PERSONAL PROPERTY COVERAGE FORM CP 00 10, the following is added to **A. Coverage, 5. Coverage Extensions:**

Undamaged Tenants Improvements and Betterments

- (1) The insurance that applies to Business Personal Property is extended to apply to your use as a tenant in the undamaged portion of Improvements and Betterments:
 - (a) Made part of the building or structure you occupy but do not own; and
 - (b) You acquired but cannot legally remove due to cancellation of your written lease. The cancellation must result from direct physical loss of or damage to a building at the described premises caused by or resulting from a Covered Cause of Loss. This Coverage Extension does not apply if you do not have a written lease in place at the time of loss.
- (2) We will determine the proportionate value of Undamaged Tenants Improvements and Betterments as follows:
 - (a) Multiply the original cost by the number of days from the loss or damage to the expiration of the lease; and
 - (b) Divide the amount determined in paragraph (a) directly above by the number of days from the installation of improvements to the expiration of the lease.

If your lease contains a renewal option, the expiration of the renewal option period will replace the expiration of the lease in this procedure.
- (3) The most we will pay under this Coverage Extension is \$50,000 unless

a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.

51. Underground Water Seepage

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 4. Additional Coverages:**

Underground Water Seepage

- (1) We will pay for direct physical loss of or damage to Covered Property at the described premises caused by or resulting from water under the ground surface pressing on, or flowing or seeping through:
 - (a) Foundations, walls, floors or paved surfaces;
 - (b) Basements, whether paved or not; or
 - (c) Doors, windows or other openings in any building or other structure.
- (2) With respect to CAUSES OF LOSS – SPECIAL FORM CP 10 30, **B. Exclusions, 1.g. Water**, paragraph (4) is deleted.
- (3) This Additional Coverage includes Business Income and Extra Expense coverage. Business Income and Extra Expense losses are subject to the terms in BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM CP 00 30 and BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM – ACTUAL LOSS SUSTAINED 411-0581, **A. Coverage, 1. Business Income** and **2. Extra Expense**.
- (4) The most we will pay under this Additional Coverage is \$50,000.
- (5) **THIS IS NOT FLOOD INSURANCE OR PROTECTION FROM AN INUNDATION OF SURFACE WATER, HOWEVER CAUSED.**

This Additional Coverage provides coverage for physical loss of or damage to Covered Property caused by or resulting from subterranean water when such event is a localized incident and not a part of a general, widespread “flood”, regardless of the proximity of the “flood” event.

We will not pay for loss or damage to property when the subterranean water causing the Underground Water Seepage is itself caused by any “flood” or general “flood” conditions including,

but not limited to, those enumerated under CAUSES OF LOSS – SPECIAL FORM CP 10 30, **B. Exclusions, 1.g. Water.**

52. Unintentional Property Reporting Errors

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 4. Additional Coverages:**

Unintentional Property Reporting Errors

- (1)** If you unintentionally fail to report or describe a location to us, coverage provided by this policy will not be invalid. However, you must report such error or omission to us in writing as soon as you identify them. You also agree to pay the additional premium that would have been earned by us if the location was correctly reported or described to us.
- (2)** This Additional Coverage only applies to direct loss or damage caused by or resulting from a Covered Cause of Loss at the omitted location and does not include any coverage for Flood or Earth Movement even if Flood and Earth Movement coverage are purchased for this or another policy.
- (3)** You must provide reasonable documentation and clear and convincing evidence explaining the cause of the oversight.
- (4)** For any location you have failed to correctly report or describe to us, this coverage will end when any of the following first occurs:
 - (a)** This policy expires; or
 - (b)** You report values or provide correct descriptions to us.
- (5)** Regardless of the number of occurrences of reporting or description errors or omissions, the most we will pay in any one Policy Period under this Additional Coverage is \$500,000.
- (6)** This Additional Coverage does not apply to a loss that is covered under the **Newly Acquired or Constructed Property Coverage Extension.**

53. Unnamed Locations

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 5. Coverage Extensions:**

Unnamed Locations

- (1)** The insurance that applies to Business Personal Property is extended to apply

to direct physical loss of or damage to Business Personal Property or personal property of others that is in your care, custody or control while it is at other than a described premises located within the Coverage Territory. The loss or damage must be caused by or result from a Covered Cause of Loss.

(2) Unnamed Locations Special Exclusions

This Coverage Extension does not apply to:

- (a)** Loss or damage caused directly or indirectly by "Flood" or Earth Movement, even when coverage for Flood and Earth Movement Coverage are purchased for this or another policy.
- (b)** Loss or damage covered under the following coverages:
 - (i)** Additional Coverage – Business Personal Property in Transit;
 - (ii)** Additional Coverage – Sales Representatives Samples; or
 - (iii)** Property on exhibition.
- (3)** Regardless of the number of unnamed locations, the most we will pay under this Coverage Extension is \$150,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE.**

54. Utility Services

- a.** With respect to your applicable Coverage Form, the following is added to **A. Coverage, 4. Additional Coverages:**

Utility Services – Direct Damage

We will pay for loss of or damage to Covered Property caused by an interruption in service to the described premises. The interruption must result from direct physical loss or damage by a Covered Cause of Loss to property not on the described premises that provides the services shown below in paragraph **c.**

The most we will pay at each described premises under this Additional Coverage is \$100,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE.**

- b. With respect to BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM CP 00 30 and BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM – ACTUAL LOSS SUSTAINED 411-0581, the following is added to **A. Coverage, 5. Additional Coverages:**

Utility Services – Business Income and Extra Expense

We will pay for the actual loss of Business Income you sustain and necessary Extra Expense you incur caused by the interruption of service at the described premises. The interruption must result from direct physical loss or damage that is caused by or resulting from a Covered Cause of Loss to property not at the described premises that provides the services shown below in paragraph c.

We will only pay for loss you sustain after the first 24 hours following the loss or damage.

The most we will pay under this Additional Coverage for Business Income and Extra Expense combined at each described premises is \$100,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.

- c. Services:

- (1) Water Supply Services, meaning the following types of property supplying water to the described premises:
 - (a) Pumping stations; and
 - (b) Water mains.
- (2) Communication Supply Services, meaning the following types of property supplying communication services, including but not limited to telephone, radio, microwave, television services, internet access or access to any electronic, cellular or satellite “network” to the described premises, such as:
 - (a) Communication transmission lines, including optic fiber transmission lines;
 - (b) Coaxial cables; and
 - (c) Microwave radio relays except satellites.

- (3) Power Supply Services, meaning the following types of property supplying electricity, steam or gas to the described premises:

- (a) Utility generating plants;
- (b) Switching stations;
- (c) Substations;
- (d) Transformers; and
- (e) Transmission lines.

- d. Services under this Additional Coverage do not include overhead transmission lines that deliver utility services to you. Overhead transmission lines include, but are not limited to:

- (1) Overhead transmission and distribution lines;
- (2) Overhead transformers and similar equipment; and
- (3) Supporting poles and towers.

- e. As used in this Additional Coverage, the term transmission lines includes all lines which serve to transmit communication service or power, including lines which may be identified as distribution lines.

- f. Coverage under this Additional Coverage for loss or damage to Covered Property does not apply to loss or damage to “electronic data”, including destruction or corruption of “electronic data”.

g. Utility Services Special Exclusion

Coverage under this Additional Coverage does not include loss of “perishable stock” due to spoilage that results from:

- (1) Complete or partial lack of electrical power; or
- (2) Fluctuation of electrical current.

55. Voluntary Parting

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 4. Additional Coverages:**

Voluntary Parting

- (1) We will pay for loss of or damage to Covered Property when you or your “employees” are fraudulently induced to part with such property to or by:
 - (a) Persons who falsely represent themselves as the proper persons to receive the property; or

- (b) Acceptance of fraudulent bills of lading or shipping receipts.
- (2) The most we will pay under this Additional Coverage is \$50,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.
- (3) This Additional Coverage does not include the items described in **A. Coverage, 2. Property Not Covered** of your applicable Coverage Form, even if coverage is granted for such items elsewhere in this policy.

56. Water Damage, Other Liquids, Powder or Molten Material Damage

With respect to CAUSES OF LOSS – SPECIAL FORM CP 10 30, F. Additional Coverage Extensions, **2. Water Damage, Other Liquids, Powder or Molten Material Damage** is replaced by the following:

2. Water Damage, Other Liquids, Powder or Molten Material Damage

- a. If loss or damage caused by or resulting from covered water damage or other liquid, powder or molten material damage loss occurs, we will also pay the cost to tear out and replace any part of the building or structure to repair damage to the system or appliance from which the water or other substance escapes. We will also pay the cost to tear out and replace lawns, shrubs and paved areas to repair damage to underground pipes from which the water or other substance escapes.
- b. Payment under this Coverage Extension is included within the applicable Limit of Insurance. However, the maximum we will pay for loss or damage to lawns, shrubs or paved areas is \$50,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.

THIS IS NOT FLOOD INSURANCE OR PROTECTION FROM AN INUNDATION OF SURFACE WATER, HOWEVER CAUSED.

57. Windblown Debris

With respect to BUILDING AND PERSONAL PROPERTY COVERAGE FORM CP 00 10, the following is added to **A. Coverage, 5. Coverage Extensions**:

Windblown Debris

- (1) Your insurance is extended to apply to your reasonable expenses to remove windblown debris (including trees) from the described premises, if such debris is blown to the described premises from the premises of others by wind.
- (2) The most we will pay in total for the removal of all windblown debris under this Coverage Extension is \$10,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.

58. Worldwide Business Personal Property Off Premises

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 5. Coverage Extensions**:

Worldwide Business Personal Property Off Premises

- (1) The insurance that applies to Business Personal Property and personal property of others is extended to apply to your Business Personal Property while it is temporarily outside the Coverage Territory if it is:
 - (a) Temporarily at a location you do not own, lease or operate;
 - (b) Temporarily on display or exhibit at any fair, trade show or exhibition;
 - (c) Samples of your “stock” in trade in the custody of your sales representatives; or
 - (d) While “in transit” between the described premises and a location described in paragraphs (a), (b) or (c) above.
- (2) The most we will pay under this Coverage Extension is \$75,000 unless a higher Amended Limit of Insurance is shown in the above **SCHEDULE**.

B. Blanket Coverages

1. Accounts Receivable

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 4. Additional Coverages**:

Accounts Receivable

- (1) We will pay for loss of or damage to accounts receivable when such loss or damage is caused by or results from a Covered Cause of Loss. We will pay:

- (a) All amounts due from your customers that you are unable to collect;
- (b) Interest charges on any loan required to offset amounts you are unable to collect pending our payment of these amounts;
- (c) Collection expenses in excess of your normal collection expenses that are made necessary by loss or damage; and
- (d) Other reasonable expenses that you incur to re-establish your records of accounts receivable.

(2) Accounts Receivable Special Exclusions

- (a) With respect to CAUSES OF LOSS – SPECIAL FORM CP 10 30, B. Exclusions do not apply to this Additional Coverage except for paragraphs:
 - (i) **1.c. Governmental Action;**
 - (ii) **1.d. Nuclear Hazard;**
 - (iii) **1.f. War And Military Action;**
 - (iv) **2.h.;**
 - (v) **2.i.;** and
 - (vi) **3.**
- (b) We will not pay for the following:
 - (i) Loss or damage caused by or resulting from alteration, falsification, concealment or destruction of records of accounts receivable done to conceal the wrongful giving, taking or withholding of “money”, “securities” or “other property”.
This exclusion applies only to the extent of the wrongful giving, taking or withholding.
 - (ii) Loss or damage caused by or resulting from bookkeeping, accounting or billing errors or omissions.
 - (iii) Any loss or damage that requires any audit of records or any inventory computation to prove its factual existence.

2. Deferred Payments

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 4. Additional Coverages**:

Deferred Payments

- (1) When a Business Personal Property Limit of insurance is shown in the Declarations, we will pay for your interest in lost or damaged personal property sold by you under a conditional sale or trust agreement or any installment or deferred payment plan after delivery to buyers. The loss or damage must be caused by a Covered Cause of Loss.
- (2) In the event of a total loss to such property, deferred payments are valued on the amount shown on your books as due from the buyer.

When a partial loss to that property occurs and the buyer refuses to continue payment, forcing you to repossess the property, deferred payments are valued as follows:

- (a) If the realized value of the repossessed property is greater than or equal to the amount shown on your books as due from the buyer, we will make no payment; but
- (b) If the realized value of the repossessed property is less than the amount shown on your books as due from the buyer, we will pay the difference.

- (3) When loss occurs and the buyer continues to pay you, there will be no loss payment.

3. Fine Arts

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 4. Additional Coverages**:

Fine Arts

- (1) We will pay for direct physical loss of or damage to “fine arts” which are your property or the property of others in your care, custody or control while on the described premises. We also cover your “fine arts” while temporarily on display or exhibit away from the described premises or while “in transit” between the described premises and a location where the “fine arts” will be temporarily on display or exhibit. Loss or damage must be caused by or result from a Covered Cause of Loss.
- (2) With respect to this Additional Coverage, CAUSES OF LOSS – SPECIAL FORM CP 10 30, **B.**

Exclusions, 1.b. Earth Movement and 1.g. Water do not apply.

(3) Fine Arts Special Exclusion

We will not pay for any loss caused by or resulting from:

(a) Breakage of statuary, glassware, bric-a-brac, marble, porcelain and similar fragile property. But we will pay if the loss or damage is caused directly by Flood or Earth Movement or one of the “specified causes of loss”; and

(b) Any repairing, restoration or retouching of the “fine arts”.

4. Fire Department Service Charge

With respect to your applicable Coverage Form, **A. Coverage, 4. Additional Coverages, c. Fire Department Service Charge** is replaced by the following:

c. Fire Department Service Charge

(1) When the fire department is called to save or protect Covered Property from a Covered Loss, we will pay your incurred expenses for your liability for fire department service charges at each described premises.

(2) This Additional Coverage applies to your liability for fire department service charges:

(a) Assumed by contract or agreement prior to loss; or

(b) Required by local ordinance.

(3) The applicable Limit of Insurance is the most we will pay regardless of the number of responding fire departments or fire units, and regardless of the number or type of services performed.

5. Movement of Property

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 5. Coverage Extensions:**

Movement of Property

(1) Your insurance is extended to apply to direct physical loss or damage from a Covered Cause of Loss to your Business Personal Property from an insured location which has been deleted from this policy if:

(a) You moved Covered Property from the deleted location to a new premises;

(b) A Limit of Insurance for the new premises has been added to this policy; and

(c) The direct physical loss or damage occurs to Covered Property at the prior insured location before the movement of property to the new premises is completed.

(2) Insurance under this Coverage Extension will end when any of the following first occurs:

(a) The movement of property to the new premises is completed; or

(b) 30 days after the effective date of the endorsement adding the new premises.

6. Outdoor Property

With respect to your applicable Coverage Form, **A. Coverage, 5. Coverage Extensions, e. Outdoor Property** is replaced by the following:

e. Outdoor Property

(1) Your insurance is extended to apply to direct physical loss of or damage to your fences, radio and television antennas (including satellite dishes), trees, shrubs, plants and lawns (other than trees, shrubs or plants which are “stock” or are a part of a vegetated roof), including debris removal expense, caused by or resulting from any of the following causes of loss:

(a) Fire;

(b) Windstorm;

(c) Ice, snow, sleet and hail;

(d) Lightning;

(e) Explosion;

(f) Riot or Civil Commotion;

(g) Vandalism;

(h) Aircraft or Vehicles;

(i) “Theft”; or

(j) Falling Objects.

(2) This Coverage Extension does not apply:

(a) To property held for sale by you;

(b) In the situation in which you are a tenant and such property is owned by the landlord of the described premises; or

(c) When there is a Building Limit shown in the Declarations for the premises where a loss that involves damage to a fence has occurred.

(3) We will not pay more than \$1,000 for loss or damage to any one tree, shrub or plant under this Coverage Extension.

7. Personal Effects and Property of Others

With respect to your applicable Coverage Form, **A. Coverage, 5. Coverage Extensions, b. Personal Effects and Property of Others** is replaced by the following:

b. Personal Effects and Property of Others

(1) The insurance that applies to Business Personal Property is extended to apply to direct physical loss or damage:

(a) To personal effects owned by you, your officers, your partners or "members", your "managers", your directors, your trustees or your "employees"; and

(b) To personal property of others in your care, custody or control.

when such loss or damage is caused by or resulting from a Covered Cause of Loss.

(2) We will not pay more than \$5,000 for any one person, in any one occurrence. Our payment for loss or damage to personal property of others will only be for the account of the owner of the property.

8. Research and Development Documentation

With respect to your applicable Coverage Form, the following is added to **A. Coverage, 5. Coverage Extensions:**

Research and Development Documentation

(1) The insurance that applies to Business Personal Property is extended to apply to direct physical loss of or damage to "research and development documentation" that you own or that is in your care, custody or control at a described premises. The loss or

damage must be caused by or result from a Covered Cause of Loss.

(2) With respect to CAUSES OF LOSS – SPECIAL FORM CP 10 30, **B. Exclusions** do not apply to this Coverage Extension, except for:

(a) **1.c. Governmental Action;**

(b) **1.d. Nuclear Hazard;**

(c) **1.f. War and Military Action;**

(d) **2.h.;**

(e) **2.i.;** and

(f) **3.**

(3) This Coverage Extension does not apply to loss or damage caused by or resulting from:

(a) Electrical or magnetic injury, disturbance or erasure of electronic recordings that is caused by or results from:

(i) Programming errors or faulty machine instructions; or

(ii) Faulty installation or maintenance of data processing equipment or component parts.

(b) Errors or omissions in processing or copying. But if errors or omissions in processing or copying results in fire or explosion, we will pay for the direct loss or damage caused by the fire or explosion;

(c) Erasure of "research and development documentation"; or

(d) Unauthorized instructions to transfer property to any person or place.

(4) This Coverage Extension does not apply to "research and development documentation" which exist as "electronic data".

(5) We will not pay for loss or damage to "research and development documentation" until you actually replicate such documentation. Repairs or replication must be made as soon as reasonably possible after the loss or damage, but in no event later than two years after the loss or damage unless we grant an extension in writing prior to the expiration of the two-year period.

(6) We will not pay for loss or damage to "research and development documentation" applicable to:

- (a) Products that are obsolete;
- (b) Existing products you have withdrawn from the market; or
- (c) Existing products you have not sold in the last twelve months prior to the loss.

9. Valuable Papers and Records

With respect to your applicable Coverage Form, **A. Coverage, 5. Coverage Extensions, c. Valuable Papers and Records (Other Than Electronic Data)** is replaced by the following:

c. Valuable Papers and Records

- (1) The insurance that applies to Business Personal Property is extended to apply to direct physical loss of or damage to “valuable papers and records” that you own, or that are in your care, custody or control when caused by or resulting from a Covered Cause of Loss. This Coverage Extension includes the cost to research, replace or restore the lost information that previously existed on “valuable papers and records” for which duplicates do not exist.
- (2) This Coverage Extension does not apply:
 - (a) To property held as samples or for delivery after sale; or
 - (b) To property in storage away from the premises shown in the Declarations;
- (3) With respect to CAUSES OF LOSS – SPECIAL FORM CP 10 30, B. Exclusions do not apply to this Coverage Extension except for paragraphs:
 - (a) **1.c. Governmental Action;**
 - (b) **1.d. Nuclear Hazard;**
 - (c) **1.f. War And Military Action;**
 - (d) **2.h.;**
 - (e) **2.i.;**
 - (f) **3.;** and
 - (g) **5. Additional Exclusion**

However, this paragraph, (3), does not include loss or damage to “valuable papers and records” that are “electronic data”, as described in the definition of “valuable papers and records” in **VII. DEFINITIONS** of this endorsement. For such

“electronic data”, CAUSES OF LOSS – SPECIAL FORM CP 10 30, **B. Exclusions, 1.b. Earth Movement** and **1.g. Water** do not apply.

IV. LIMITATIONS

With respect to CAUSES OF LOSS – SPECIAL FORM CP 10 30, **C. Limitations**, paragraph **3.** is replaced by the following:

- 3. The special limits for each category shown below are the total limits for all property in that category. The special limits apply to any one occurrence of “theft”, regardless of the types or number of articles that are lost or damaged in that occurrence. The special limits are:
 - a. \$10,000 for furs, fur garments and garments trimmed in fur.
 - b. \$10,000 for jewelry, watches, watch movements, jewels and pearls. This limit does not apply to jewelry and watches worth \$500 or less per item.
 - c. \$35,000 for precious and semi-precious stones, bullion, gold, silver, platinum and other precious alloys or metals.
 - d. \$5,000 for patterns, dies, molds and forms owned by others. This special limit does not apply to those patterns, dies, molds and forms owned by you or for which you have a written contractual responsibility to insure.
 - e. \$1,000 for tickets, including lottery tickets held for sale, and letters of credit.

These special limits are part of, not in addition to, the Limit of Insurance applicable to the Covered Property.

This limitation, C.3., does not apply to Business Income coverages or to Extra Expense coverages.

V. LIMITS OF INSURANCE

With respect to your applicable Coverage Form, **C. Limits of Insurance** is replaced by the following:

C. Limits of Insurance

- 1. The most we will pay for loss or damage in any one occurrence is the applicable Limit of Insurance.
- 2. Limits of Insurance for Additional Coverages and Coverage Extensions:
 - a. Apply to any one occurrence; and
 - b. Are additional Limits of Insurance; unless stated otherwise.
- 3. **Building Limit Increase**

When a Building Limit of Insurance is shown in the Declarations, we will pay either the actual cash value or the replacement cost value, based on the Valuation method shown in the Declarations, of the damaged portion of the building at the time of loss, but not more than 115% of the Limit of Insurance for Building if:

- a. The amount of loss to a building covered by this policy exceeds the Limit of Insurance shown in the Declarations for Building; and
- b. The repair or replacement is completed within one year of the date of loss.

If damaged buildings are covered under a Blanket Limit of Insurance and the Blanket Limit of Insurance applies to more than one building or item of property, the amount we pay for the damaged portion of the building will be based on the statement of values on file with us at the time of loss.

4. Business Personal Property Limit – Seasonal Increase

- a. The Limit of Insurance for Business Personal Property will increase by 25% to provide for seasonal variations.
- b. This increase will apply only if the Limit of Insurance shown in the Declarations for Business Personal Property is at least 100% of your average monthly values during the lesser of the following:
 - (1) The 12 months immediately preceding the date the loss or damage occurs; or
 - (2) The period of time you have been in business as of the date the loss or damage occurs.

VI. VALUATION

- A. With respect to BUILDING and PERSONAL PROPERTY COVERAGE FORM CP 00 10, **E. Loss Conditions, 7. Valuation**, paragraph b. is replaced by the following:
 - b. If the Limit of Insurance for Building satisfies the Additional Condition, Coinsurance, and the cost to repair or replace the damaged building property is \$2,500 or less, we will pay the cost of building repairs or replacement.

The cost of building repairs or replacement does not include the increased cost attributable to enforcement of any ordinance or law regulating the construction, use or repair of any property.

However, the following property will be valued at the actual cash value even when attached to the building:

- (1) Awnings or floor coverings;
- (2) Appliances for refrigerating, ventilating, cooking, dishwashing or laundering;
- (3) Outdoor equipment or furniture; or
- (4) Retaining walls.

- B. With respect to BUILDING AND PERSONAL PROPERTY COVERAGE FORM CP 00 10, the following is added to **E. Loss Conditions, 7. Valuation** and with respect to CONDOMINIUM UNIT – OWNERS COVERAGE FORM CP 00 18, the following is added to **E. Loss Conditions, 8. Valuation**:

- a. “Valuable papers and records” at the cost of restoration or replacement, including the cost of data entry, re-programming, computer consultation services and the “media” on which the data or programs reside. To the extent that the contents of the “valuable papers and records” are not replaced or restored, the “valuable papers and records” will be valued at the cost of blank materials for reproducing the records and the labor to transcribe or copy the records when there is a duplicate.
- b. “Money” at its face value.
- c. “Securities” at their value at the close of business on the day you become aware of the loss.
- d. Accounts Receivable:
 - (1) If you cannot accurately establish the amount of accounts receivable outstanding as of the time of loss or damage:
 - (a) We will determine the total of the average monthly amounts of accounts receivable for the 12 months preceding the month in which loss or damage occurs; and
 - (b) We will adjust that total for any normal fluctuations in the amount of accounts receivable for the month in which the loss or damage occurred or for any demonstrated variance from the average for that month.
 - (2) The following will be deducted from the total amount of accounts receivable, regardless of how that amount is established:
 - (a) The amount of the accounts for which there is no loss or damage;

- (b) The amount of the accounts that you are able to re-establish or collect;
 - (c) An amount to allow for probable bad debts that you are normally unable to collect; and
 - (d) All unearned interest and service charges.
- e. Property that is being shipped while “in transit” (other than “stock” you have sold) at the amount of invoice, including your prepaid or advanced freight charges and other charges which may have accrued or become legally due since the shipment. If you have no invoice, actual cash value will apply.
- f. “Hardware”:
 - (1) “Hardware” that is replaced will be at the cost of replacing the “hardware” with new equipment that is functionally comparable to the “hardware” that is being replaced.
 - (2) “Hardware” that is not replaced will be at actual cash value at the time of loss.
 - (3) In no event will we pay more than the reasonable cost of restoring partially damaged “hardware” to its condition directly prior to the damage.
- g. “Software”:
 - (1) “Programs and applications” will be at the cost to reinstall the “programs and applications” from the licensed discs that were originally used to install the programs or applications.
If the original licensed discs are lost, damaged, or can no longer be obtained, the value of “programs and applications” will be based on the cost of the most current version of the “programs or applications”.
 - (2) “Proprietary programs” will be at the cost of reproduction from duplicate copies. The cost of reproduction includes, but is not limited to, the cost of labor to copy or transcribe from duplicate copies.
If duplicate copies do not exist, the value of “proprietary programs” will be based on the cost of research or other expenses necessary to reproduce, replace, or restore lost “proprietary programs”.
 - (3) “Electronic data” will be at the cost of reproduction from duplicate copies.

The cost of reproduction includes, but is not limited to, the cost of labor to copy or transcribe from duplicate copies.

If duplicate copies do not exist, the value of “electronic data” will be based on the cost of research or other expenses necessary to reproduce, replace, or restore lost files, documents and records.

- (4) “Media” will be at the cost to repair or replace the “media” with material of the same kind or quality.
- h. “Fine Arts”
We will pay the lesser of:
 - (1) The market value at the time of loss or damage;
 - (2) The reasonable cost of repair or restoration to the condition immediately before the covered loss or damage; or
 - (3) The cost of replacement with substantially identical property.
 For pairs or sets, we will either:
 - (4) Repair or replace any part to restore the value and condition of the pair or set to that immediately before the covered loss or damage; or
 - (5) Pay the difference between the value of the pair or set before and after the covered loss or damage.
- i. Personal property of others will be at replacement cost when Replacement Cost Valuation is shown in the Declarations. Our payment for loss of or damage to personal property of others will only be for the account of the owners of the property. We may adjust losses with the owners of lost or damaged property if other than you. If we pay the owners, such payments will satisfy your claims against us for the owners’ property. With respect to BUILDING AND PERSONAL PROPERTY COVERAGE FORM CP 00 10, **G. Optional Coverages, 3. Replacement Cost, paragraph b.(1)** is deleted.
- j. We may elect to defend you against suits arising from claims of owners or property. We will do this at our expense.
- k. Labor, materials and services that you furnish or arrange on personal property of others are valued based on the actual cost of the labor, materials and services.

- l.** “Finished stock” you manufactured at the selling price less discounts and expenses you otherwise would have had.

m. “Prototypes”

We will not pay more than the lesser of the following amounts:

- (1)** The replacement cost of such property used for the same product, but only if replacement cost is shown as applicable to Personal Property in the Declarations.

However, when replacement with identical property is impossible or unnecessary, the amount of loss will be based on the cost to replace with similar property used to perform the same functions. Property of others will be valued in the same manner, but we will not pay more than the amount for which you are legally liable; or

- (2)** The amount you actually spend to repair or replace lost or damaged “prototypes” used for the same purpose.

n. “Research and development documentation”:

We will not pay more than the least of the following amounts:

- (1)** Your cost actually spent to reproduce lost or damaged “research and development documentation” from back-up files or original source documents;

- (2)** The reasonable cost necessary to research, repair, restore, recreate, reconstitute, reproduce or replace “research and development documentation”, used for the same product, to their condition immediately before the loss or damage;

- (3)** If identical “research and development documentation” cannot be purchased, the cost to purchase such documentation of comparable kind, functionality and quality; or

- (4)** The amount you actually spend to research, repair, restore, recreate, reconstitute, reproduce or replace “research and development documentation”, used for the same-product.

But we will not pay more than the cost to restore “research and development documentation” to its condition immediately prior to the loss.

VII. DEFINITIONS

With respect to this endorsement, the following Definitions are added:

- 1.** “Antique” means an object having value because its:

- a.** Craftsmanship is in the style or fashion of former times; and
b. Age is 100 years or older.

- 2.** “Computer equipment” means:

- a.** “Hardware” and related component parts owned by you or in your care, custody or control. Component parts include but are not limited to modems, routers, printers, keyboards, monitors, and scanners;
b. “Software”; or
c. “Protection and control equipment”.

“Computer equipment” does not mean “computer equipment” used to operate production-type machinery or equipment.

- 3.** “Computer hacking” means an unauthorized intrusion by an individual or group of individuals, whether employed by you or not, into “hardware” or “software”, a Web site, or a computer “network” and that results in but is not limited to the following:

- a.** Deletion, destruction, generation, or modification of “software”;
b. Alteration, contamination, corruption, degradation, or destruction of the integrity, quality or performance of “software”;
c. Observation, scanning, or copying of “electronic data”, “programs and applications”, and “proprietary programs”;
d. Damage, destruction, inadequacy, malfunction, degradation, or corruption of any “hardware” or “media” used with “hardware”; or
e. Denial of access to or denial of services from “hardware”, “software”, computer “network”, or Web site including related “software”.

- 4.** “Computer program” or “computer programs” means a set of related electronic instructions, which direct the operation and function of a computer or devices connected to it, which enable the computer or devices to receive, process, store or send “electronic data”.

- 5.** “Computer virus” means the introduction into “hardware”, “software”, computer “network”, or Web site of any malicious, self-replicating “electronic data” processing code or other code and that is intended to result in, but is not limited to the following:

- a. Deletion, destruction, generation, or modification of “software”;
 - b. Alteration, contamination, corruption, degradation, or destruction of the integrity, quality, or performance of “software”;
 - c. Damage, destruction, inadequacy, malfunction, degradation, or corruption of any “hardware” or “media” used with “hardware”; or
 - d. Denial of access to or denial of services from “hardware”, “software”, computer “network”, or Web site including related “software”.
6. “Counterfeit money” means an imitation of “money” that is intended to deceive and to be taken as genuine.
7. “Denial of service attack” means the malicious direction or a high volume of worthless inquiries to website or e-mail destinations, effectively denying or limiting legitimate access regardless of whether or not damage to “computer equipment” results.
8. “Dependent property” or “dependent properties” means property operated by others whom you depend on:
- a. To deliver materials or services directly to you, or directly to others for your account. However, any property that delivers any of the following services is not a “dependent property”:
 - (1) Water supply services, including wastewater removal services;
 - (2) Power supply services; or
 - (3) Communication supply services, including but not limited to, internet related services or any services related to a “network”;
 - b. To directly accept your products or services;
 - c. To manufacture products for direct delivery to your customers under contract of sale; or
 - d. To attract customers directly to your business.

“Dependent property” or “dependent properties” does not include or extend to any secondary dependencies meaning any properties or locations that a “dependent property” or “dependent properties” depends on in any manner.

9. “Dependent property period of restoration” means the period of time that:

- a. Begins 72 hours after the time of direct physical loss or damage at the premises of the “dependent property”; and
- b. Ends on the date when the property at the premises of the “dependent property” should be repaired, rebuilt or replaced with reasonable speed and similar quality.

“Dependent property period of restoration” does not include any increased period required due to the enforcement of any ordinance or law that:

- c. Regulates the construction, use or repair, or requires the tearing down, of any property; or
- d. Requires any insured or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to or assess the effects of “pollutants”.

The expiration date of this policy will not cut short the “dependent property period of restoration”.

10. “Discover” or “discovered” means:

- a. The time when you first become aware of facts which would cause a reasonable person to assume that a loss of a type covered by this policy has been or will be incurred, regardless of when the act or acts causing or contributing to such loss occurred, even though the exact amount or details may not be known.
- b. “Discover” or “discovered” also means the time when you first receive notice of an actual or potential claim in which it is alleged that you are liable to a third party under circumstances which, if true, would constitute a loss under this insurance.

11. “Electronic data” means information, facts or “computer programs” stored as or on, created or used on, or transmitted to or from computer “software” (including systems and applications “software”), on hard or floppy disks, CD-ROMs, tapes, drives, cells, data processing devices or any other repositories of computer “software”, which are used with electronically controlled equipment.

12. “Electronic vandalism” means “computer hacking”, “computer virus”, “denial of service attacks” or “ransom”. “Electronic vandalism” does not include the “theft” of any property or services.

13. “Employee” or “employees”:

- a. Means:
 - (1) Any natural person:

- (a) While in your service and for the first 30 days immediately after termination of service;
 - (b) Who you compensate directly by salary, wages or commissions; and
 - (c) Who you have the right to direct and control while performing services for you;
- (2) Any natural person who is furnished temporarily to you:
- (a) To substitute for a permanent "employee" as defined in paragraph (1) directly above, who is on leave; or
 - (b) To meet seasonal or short-term workload conditions;
- while that person is subject to your direction and control and performing services for you;
- (3) Any natural person who is leased to you under a written agreement between you and a labor leasing firm, to perform duties related to the conduct of your business, but does not mean a temporary "employee" as defined in paragraph (2) directly above;
- (4) Any natural person who is:
- (a) A trustee, officer, "employee", administrator or "manager", except an administrator or "manager" who is an independent contractor, of any Plan; or
 - (b) Your director or trustee while that person is engaged in handling "funds" or "other property" of any Plan;
- (5) Any natural person who is a former "employee", partner, "member", "manager", director or trustee retained as a consultant while performing services for you;
- (6) Any natural person who is a guest student or intern pursuing studies or duties;
- (7) Any natural person employed by an entity merged or consolidated with you prior to the effective date of this insurance; or
- (8) Any natural person who is your "manager", director or trustee while:
- (a) Performing acts within the scope of the usual duties of an "employee"; or
 - (b) Acting as a "member" of any committee duly elected or appointed by resolution of your board of directors or board of trustees to perform specific, as distinguished from general, directorial acts on your behalf.
- b. Does not mean:
- Any agent, broker, factor, commission merchant, consignee, independent contractor or representative of the same general character not specified in paragraph a. directly above.
14. "Employee benefit plans" means any welfare or pension benefit plan that you sponsor and that is subject to the Employee Retirement Income Security Act of 1974 (ERISA) and any amendments thereto.
15. "Financial institution" means:
- a. With respect to the Additional Coverage for **Money and Securities** of this endorsement:
 - (1) A bank, savings bank, savings and loan association, trust company, credit union or similar depository institution; or
 - (2) An insurance company.
 - b. With respect to the Additional Coverage for **Computer and Funds Transfer Fraud** of this endorsement:
 - (1) A bank, savings bank, savings and loan association, trust company, credit union or similar depository institution;
 - (2) An insurance company; or
 - (3) A stock brokerage firm or investment company.
 - c. Other than the Additional Coverages for **Money and Securities** and **Computer and Funds Transfer Fraud**, any "financial institution" identified in paragraphs a. and b. directly above.
16. "Fine arts" means paintings, etchings, pictures, tapestries, rare art glass, art glass windows, valuable rugs, statuary, sculptures, "antique" furniture, "antique" jewelry, bric-a-brac, porcelains and similar property of rarity, historical value or artistic merit. If you are an Architect or Engineer, "fine arts" also means architectural models.
17. "Finished stock" means "stock" you have manufactured. "Finished stock" also includes whiskey and alcoholic products being aged, unless there is a Coinsurance percentage shown in the Declarations.

"Finished stock" does not include "stock" you have manufactured that is held for sale on the premises of any retail outlet under this Commercial Property Coverage Part.

18. "Flood" means a general and temporary condition of partial or complete inundation of normally dry land areas due to the following:
- a. Surface water or waves, tides, tidal waves, tsunami, overflow of any body of water or their spray, all whether driven by wind or not (including storm surge).
 - b. The unusual or rapid accumulation of runoff of surface waters from any source.
 - c. Mudslides or mudflows which are caused by "flood" water. A mudslide or mudflow involves a river of liquid and flowing mud on the surface of normally dry land areas as when earth is carried by a current of water and deposited along the path of the current.
 - d. The release of water impounded by a dam, levee, dike, seawall or "flood" control device, whether driven by wind or not (including storm surge).

When a "flood" is a continuous or protracted event, it will constitute a single "flood" occurrence.

19. "Food contamination" means an incidence of food poisoning or food-related illness of one or more persons as a result of:
- a. Tainted food you distributed or purchased; or
 - b. Food which has been improperly processed, stored, handled or prepared in the course of your "operations".
20. "Forgery" means the signing of the name of another person or organization with intent to deceive; it does not mean a signature which consists in whole or in part of one's own name signed with or without authority, in any capacity, for any purpose.
21. "Fraudulent instruction" means:
- a. With respect to the Additional Coverage for **Computer and Funds Transfer Fraud**, paragraph (1)(b) of this endorsement:
 - (1) A computer, telefacsimile, telephone or other electronic instruction directing a "financial institution" to debit your "transfer account" and to transfer, pay or deliver "money" or "securities" from the "transfer account", which instruction purports to have been issued by you, but which in fact was fraudulently issued by someone else without your knowledge or consent; or

- (2) A written instruction, other than those covered under the Additional Coverage for **Forgery or Alteration** of this endorsement, issued to a "financial institution" directing the "financial institution" to debit your "transfer account" and to transfer, pay or deliver "money" or "securities" from that "transfer account", through an electronic funds transfer system at specified times or under specified conditions, which instruction purports to have been issued by you, but which in fact was issued, forged or altered by someone else without your knowledge or consent.

- b. With respect to the Additional Coverage for **Computer and Funds Transfer Fraud**, paragraph (2) of this endorsement:

A computer, telefacsimile, telephone or other electronic, written or voice instruction directing an "employee" to enter or change "electronic data" or "computer programs" within "computer equipment", which instruction in fact was fraudulently issued by your computer "software" contractor.

22. "Funds" means "money" and "securities".

23. "Hardware":

- a. Means a system of electronic machine components (microprocessors) capable of accepting instructions and information, processing the information according to the instructions, and producing desired results. "Hardware" includes but is not limited to the following:
 - (1) Mainframe and mid-range computers and servers;
 - (2) Personal computers and workstations;
 - (3) Portable electronic devices. Portable electronic devices include laptops, tablets, readers, smartphones or other lightweight, hand-held or wearable devices capable of storing, retrieving and processing data; and
 - (4) Peripheral data processing equipment, including but not limited to, printers, keyboards, monitors, and modems.
- b. Does not mean:
 - (1) Diagnostic equipment;
 - (2) Electronic items that contain a computer to perform functions other than "hardware"; and

- (3) Peripheral data processing equipment with a value more than the "hardware" itself.
- Electronic items that are not similar to the items described in paragraph **a.** above are not "hardware".
24. "Installation, tools and equipment property" means:
- a. Materials, supplies, machinery, fixtures and equipment that will become a permanent part of your installation while:
 - (1) Located at the site of installation;
 - (2) "In transit" by you to or from the described premises and the job site; or
 - (3) While in temporary storage awaiting installation.
 - b. Commercial tools and equipment usual to your business and used in your installation which are:
 - (1) Your property; or
 - (2) The property of others in your care, custody or control.

Commercial tools and equipment does not include:

 - (3) Aircraft or watercraft;
 - (4) Any property while waterborne, airborne or underground;
 - (5) Property you have loaned, rented or leased to others;
 - (6) Property that is permanently mounted to a vehicle; or
 - (7) Property held for sale.
25. "In transit" means Covered Property being carried by vehicle for the purpose of your business.
- "In transit" includes:
- a. Temporary stops or delays, incidental to the business destination;
 - b. Outgoing shipments that have been rejected, while in due course of transit or while awaiting return shipment; and
 - c. Covered Property while in a vehicle owned, leased or operated:
 - (1) By you; or
 - (2) By a common carrier or contract carrier, to the extent you are legally liable.
26. "Manager" or "managers" means a person or persons serving in a directorial capacity for a limited liability company (LLC).
27. "Media" means an instrument that is used with "hardware" and on which "electronic data", "programs and applications", and "proprietary programs" can be recorded or stored. "Media" includes, but is not limited to, films, tapes, cards, discs, drums, cartridges, cells, DVDs, CD-ROMs or other portable data devices.
28. "Member" or "members" means an owner of a limited liability company (LLC) represented by its membership interest who, if a natural person, may also serve as a "manager".
29. "Messenger" means you, or your relative, or any of your partners or "members", or any "employee".
30. "Money" means:
- a. Currency, coins and bank notes in current use and having a face value;
 - b. Traveler's checks and money orders held for sale to the public; and
 - c. In addition, includes:
 - (1) With respect to the Additional Coverages for **Employee Theft including ERISA Compliance and Forgery or Alteration** of this endorsement, deposits in your account at any "financial institution"; and
 - (2) With respect to the Additional Coverage for **Computer and Funds Transfer Fraud** of this endorsement, deposits in your account at a "financial institution" as defined in paragraph **b.** of the definition for "financial institution".
31. "Network" or "networks" means any services provided by or through the facilities of any electronic or computer communication system, including any shared "networks", internet access facilities or other similar facilities for such systems.
32. "Operations" means:
- a. Your business activities occurring at the described premises; and
 - b. With respect to "Rental Value", the tenantability of the described premises.
33. "Other property" means tangible property other than "money" and "securities" that has intrinsic value. "Other property" does not include "computer programs", "electronic data" or any property specifically excluded under this policy.
34. "Period of restoration":
- a. Means the period of time that:
 - (1) Begins:

- (a) 72 hours after the time of direct physical loss or damage for Business Income Coverage; or
 - (b) Immediately after the time of direct physical loss or damage for Extra Expense Coverage;

caused by or resulting from any Covered Cause of Loss; and
- (2) Ends on the earlier of the following:
 - (a) The date when the property at the described premises should be repaired, rebuilt or replaced with reasonable speed and similar quality; or
 - (b) The date when business is resumed at a new permanent location.
- b. Does not include any increased period required due to the enforcement of or compliance with any ordinance or law:
 - (1) That regulates the construction, use or repair, or requires the tearing down of any property; or
 - (2) That requires any insured or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to or assess the effects of "pollutants".

The expiration date of this policy will not cut short the "period of restoration".
- 35. "Perishable stock" means personal property:
 - a. Maintained under controlled temperature or humidity conditions for preservation; and
 - b. Susceptible to loss or damage if the controlled temperature or humidity conditions change.
- 36. "Power supply disturbance" means interruption of power supply, power surge, blackout, or brownout.
- 37. "Programs and applications" means operating "programs and applications" that you purchase and that are:
 - a. Stored on "media"; or
 - b. Pre-installed and stored in "hardware".

Applications include, but are not limited to, programs for word processing, spreadsheet calculations, and graphic design.
- 38. "Proprietary programs" means proprietary operating "programs and applications" that you developed or that you had developed specifically for use in your "operations" and that are:
 - a. Stored on "media"; or
 - b. Installed and stored in "hardware".
- 39. "Protection and control equipment" means:
 - a. Air conditioning equipment used exclusively in the operation of the "hardware";
 - b. Fire protection equipment used for the protection of the "hardware", including automatic and manual fire suppression equipment and smoke and heat detectors; and
 - c. Uninterruptible power supply system, line conditioner, and voltage regulator.
- 40. "Prototypes" means an original version of a newly designed product that is an outcome of your "research and development operations". "Prototypes" include sample designs, experimental models or displays that are associated with or integral to the manufacture of the original version of a newly designed product.
- 41. "Ransom" means monies extorted from and paid by you because of a threat or connected series of threats to commit an intentional attack on your "computer equipment" that if so committed, would result in direct physical loss of or damage to your "computer equipment".
- 42. "Rental Value" means Business Income that consists of the following:
 - a. Net Income (Net Profit or Loss before income taxes) that would have been earned or incurred as rental income from tenant occupancy of the premises described in the Declarations as furnished and equipped by you, including fair "Rental Value" of any portion of the described premises which is occupied by you; and
 - b. Continuing normal operating expenses incurred in connection with that premises, including:
 - (1) Payroll; and
 - (2) The amount of charges, which are the legal obligation of the tenant but would otherwise be your obligations.
- 43. "Research and development documentation" means written evidence of facts, information, processes, concepts or formulas that are directly related to the development of new products or enhancement of existing products. Written evidence includes written papers, plans, manuscripts, written or inscribed documents or plans. "Research and development documentation" does not include "valuable papers and

records", accounts receivable or "media", software" or "electronic data".

44. "Research and development operations" means your business activities that are directly related to the development of new products or the enhancement of existing products.
45. "Scientific and professional equipment" means medical, engineering, veterinary, measurement, recording, analyzing or similar equipment.
46. "Securities" means negotiable and nonnegotiable instruments or contracts representing either "money" or property and includes:
- a. Tokens, tickets, revenue and other stamps (whether represented by actual stamps or unused value in a meter) in current use; and
 - b. Evidences of debt issued in connection with credit or charge cards, which cards are not issued by you.
- but does not include "money".
47. "Social engineering" means a scheme that intentionally misleads you or an "employee" into voluntarily parting with "money", "securities" and "other property", based on fraudulent information.
48. "Soft cost expenses" means additional:
- a. Realty taxes and other assessments that you incur for the period of time that construction has been extended beyond the projected completion date;
 - b. Interest on money borrowed to finance construction, remodeling, renovation or repair; and
 - c. Advertising, public relations and promotional expenses.
49. "Software" means:
- a. "Media";
 - b. "Electronic data";
 - c. "Programs and applications"; and
 - d. "Proprietary programs".
50. "Suspension" means:

- a. The slowdown or cessation of your business activities; or
- b. With respect to "Rental Value", that part or all of the described premises is rendered untenable.

51. "Theft" means the unlawful taking of property to the deprivation of the insured.
52. "Transfer account" means an account maintained by you at a "financial institution" from which you can initiate the transfer, payment or delivery of "money" and "securities" by means of the following:
- a. Computer, telefacsimile, telephone or other electronic instructions; or
 - b. Written instructions, other than those covered under the Additional Coverage for **Forgery or Alteration** of this endorsement, establishing the conditions under which such transfers are to be initiated by such "financial institution" through an electronic funds transfer system.
53. "Valuable papers and records":
- a. Means tangible property that is inscribed, printed or written:
 - (1) Documents;
 - (2) Manuscripts; and
 - (3) Recordsincluding abstracts, books, deeds, drawings, films, maps or mortgages;
 - b. If you are a printer, publisher or graphic artist by trade, "valuable papers and records" also means tangible property that are negatives, positives, artwork, separations, plates, dies, molds, forms, stock manuscripts and other similar property usual to the graphic arts, printing or publishing industry.
 - c. Means "electronic data" of the items described in paragraphs a. and b. directly above but only if the "electronic data" was originally tangible property and then converted and stored as "electronic data".
 - d. Does not mean "money" or "securities".

ALL OTHER TERMS, CONDITIONS, AND EXCLUSIONS REMAIN UNCHANGED.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

NEW YORK CHANGES – PROPERTY

This endorsement modifies insurance provided under the following:

BRONZE PROPERTY BROADENING ENDORSEMENT
SILVER PROPERTY BROADENING ENDORSEMENT
GOLD PROPERTY BROADENING ENDORSEMENT
PLATINUM PROPERTY BROADENING ENDORSEMENT
CONDOMINIUM PROPERTY BROADENING ENDORSEMENT

- A. With respect to BRONZE PROPERTY BROADENING ENDORSEMENT 411-0791, **III. COVERAGES, A. Scheduled Coverages, 11. Contract Penalties**, with respect to SILVER PROPERTY BROADENING ENDORSEMENT 411-0792, GOLD PROPERTY BROADENING ENDORSEMENT 411-0793 and PLATINUM PROPERTY BROADENING ENDORSEMENT 411-0794, **III. COVERAGES, A. Scheduled Coverages, 14. Contract Penalties**, and with respect to CONDOMINIUM PROPERTY BROADENING ENDORSEMENT 411-0795, **III. COVERED PROPERTY, A. Scheduled Coverages, 17. Contract Penalties** is deleted in its entirety.
- B. With respect to BRONZE PROPERTY BROADENING ENDORSEMENT 411-0791, **III. COVERAGES, A. Scheduled Coverages, 40. Rewards**, with respect to SILVER PROPERTY BROADENING ENDORSEMENT 411-0792, GOLD PROPERTY BROADENING ENDORSEMENT 411-0793 and PLATINUM PROPERTY BROADENING ENDORSEMENT 411-0794, **III. COVERAGES, A. Scheduled Coverages, 45. Rewards**, and with respect to CONDOMINIUM PROPERTY BROADENING ENDORSEMENT 411-0795, **III. COVERED PROPERTY, A. Scheduled Coverages, 51. Rewards** is deleted in its entirety.
- C. With respect to BRONZE PROPERTY BROADENING ENDORSEMENT 411-0791, **III. COVERAGES, A. Scheduled Coverages, 16. Employee Theft including ERISA, (7) Employee Theft Special Exclusions**, paragraph (b), with respect to SILVER PROPERTY BROADENING ENDORSEMENT 411-0792, GOLD PROPERTY BROADENING ENDORSEMENT 411-0793 and PLATINUM PROPERTY BROADENING ENDORSEMENT 411-0794, **III. COVERAGES, A. Scheduled Coverages, 19. Employee Theft including ERISA, (7) Employee Theft Special Exclusions**, paragraph (b), and with respect to CONDOMINIUM PROPERTY BROADENING

ENDORSEMENT 411-0795, **III. COVERED PROPERTY, A. Scheduled Coverages, 23. Employee Theft including ERISA, (7) Employee Theft Special Exclusions**, paragraph (b) is replaced by the following:

- (b) Loss caused by an "employee" if the "employee" has also committed "theft" or any other dishonest act prior to the effective date of this policy and you or any of your partners, "members", "managers", officers, directors or trustees, not in collusion with the "employee", learned of such "theft" or dishonest act prior to the Policy Period shown in the Declarations.

However, this paragraph, **(7)(b)**, does not apply to an "employee" who was convicted of one or more criminal offenses in this state or any other jurisdiction prior to becoming employed by you if, after learning about the "employee's" past criminal conviction or convictions, you made a determination to hire or retain the "employee" utilizing the factors set out in New York Correction Law Article 23-A.

- D. With respect to BRONZE PROPERTY BROADENING ENDORSEMENT 411-0791, SILVER PROPERTY BROADENING ENDORSEMENT 411-0792, GOLD PROPERTY BROADENING ENDORSEMENT 411-0793, PLATINUM PROPERTY BROADENING ENDORSEMENT 411-0794, and CONDOMINIUM PROPERTY BROADENING ENDORSEMENT 411-0795, the following is added to **VII. DEFINITIONS**:
1. "Communicable disease" means a bacterial micro-organism transmitted through human contact with food.
- E. With respect to BRONZE PROPERTY BROADENING ENDORSEMENT 411-0791, **VII. DEFINITIONS, 17. "Food contamination"** is replaced by the following:

17. "Food contamination" means an incidence of food poisoning or food-related illness of one or more persons as a result of:

- a. Tainted food you distributed or purchased; or
- b. Food which has been improperly processed, stored, handled or prepared in the course of your "operations"; or
- c. A "communicable disease" transmitted through one or more of your "employees".

F. With respect to SILVER PROPERTY BROADENING ENDORSEMENT 411-0792, GOLD PROPERTY BROADENING ENDORSEMENT 411-0793, PLATINUM PROPERTY BROADENING ENDORSEMENT

411-0794, and CONDOMINIUM PROPERTY BROADENING ENDORSEMENT 411-0795, **VII. DEFINITIONS**, 19. "Food contamination" is replaced by the following:

19. "Food contamination" means an incidence of food poisoning or food-related illness of one or more persons as a result of:

- a. Tainted food you distributed or purchased; or
- b. Food which has been improperly processed, stored, handled or prepared in the course of your "operations"; or
- c. A "communicable disease" transmitted through one or more of your "employees".

ALL OTHER TERMS, CONDITIONS, AND EXCLUSIONS REMAIN UNCHANGED.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

NEW YORK CHANGES – DATA BREACH COVERAGE FORM

This endorsement modifies insurance under the following:

DATA BREACH COVERAGE FORM

A. SECTION E – CONDITIONS, paragraph 11. is replaced by the following:

11. Cancellation, Non-Renewal And Conditional Renewal

a. Cancellation

You may cancel this Coverage Form at any time by mailing or delivering to us or any of our authorized agents advance written notice of cancellation stating when such cancellation will be effective. We will retain the standard short rate proportion of the premium and refund any excess to you.

We may cancel this Coverage Form if it is not a renewal and has been in effect for less than 60 days by mailing to you and the agent of record at their last known addresses, written notice stating the reason(s) for cancellation not less than 20 days before the effective date of cancellation or not less than 15 days before the effective date of cancellation if the cancellation is for any reason listed in (1) thru (7) below.

If the Coverage Form has been in effect for 60 days or more, we may cancel it by mailing notice of cancellation stating the actual reason(s) for cancellation, by certified mail to the you and the agent of record, with postage fully prepaid, at the address last known to the us not less than 15 days prior to the proposed effective date of cancellation for only one or more of the following reasons:

- (1) Nonpayment of premium, which notice will clearly state the amount due;
- (2) Conviction of a crime arising out of acts increasing the hazard insured against;
- (3) Discovery of fraud or material misrepresentation in the obtaining of the Coverage Form or in the presentation of a claim thereunder;
- (4) Discovery of an act or omission or a violation of any policy condition, that

substantially and materially increases the hazard insured against, and which occurred subsequent to inception of the current "policy period";

- (5) Material change in the nature or extent of the risk, occurring after issuance or last annual renewal anniversary date of the Coverage Form, which causes the risk of loss to be substantially and materially increased beyond that contemplated at the time the Coverage Form was issued or last renewed;
- (6) Determination by the New York State Superintendent of Insurance that continuation of our present premium volume would jeopardize our solvency or be hazardous to the interests of its policyholders, creditors or the public; or
- (7) Determination by the New York State Superintendent of Insurance that the continuation of the Coverage Form would violate, or would place the us in violation of any provision of the New York Insurance Law.

The unearned portion of the premium you paid to us will be calculated on a pro rata basis and paid to you.

b. Nonrenewal

If we decide not to renew this Coverage Form, it will mail written notice stating the reason(s) for nonrenewal to you at the last address known to us and to the agent of record at least 60 days but not more than 120 days before the expiration date. The notice will contain the date of the notice and the policy number, and will state the expiration date of the Coverage Form. Changes in the terms available on renewal will not be considered a nonrenewal of this Coverage Form. The mailing by certified mail will be sufficient proof of notice.

If the notice of nonrenewal is mailed in less than the time required but prior to the Coverage Form expiration date, the

coverage will remain in effect at the same terms and conditions of the expiring Coverage Form and at the lower of the current rates or the prior period's rates until 60 days after such notice has been mailed or delivered, unless you have replaced the coverage or elects to cancel, in which event such cancellation shall be on a pro rata premium basis.

The annual aggregate limit of the expiring Coverage Form will be increased in proportion to the Coverage Form extension resulting from a late notice.

If the notice of nonrenewal is mailed on or after the Coverage Form expiration date, coverage will remain in effect at the same terms and conditions of the expiring Coverage Form for another "policy period", and at the lower of the current rates or the prior period's rates unless you during the additional required "policy period" has replaced the coverage or elects to cancel, in which event such cancellation shall be on a pro rata premium basis.

c. Conditional Renewal

We will send a written notice of conditional renewal indicating its intention to condition the renewal on a change of limits, type of coverage, reduction of coverage, increased deductible or addition of exclusion, or an increase in premiums in excess of 10% (exclusive of any premium increase as a result of increased exposure units). We will provide written notice at least 60 days but not more than 120 days prior to the expiration of the Coverage Form to you at the last address known to us and to the agent of record.

If we cannot determine whether it will renew or conditionally renew this Coverage Form, we will send an alternative notice to you at the last address known to us and to the agent of record. The alternative notice will advise you that as soon as possible we will send a second notice to you indicating its intention and that the coverage under this Coverage Form will continue on the same terms, conditions and rates as the expiring Coverage Form until the later of the expiration date or 60 days after the alternative notice is sent. Such alternative notice will also state the availability of loss information which we will furnish within 20 days of its receipt of such written request.

The annual aggregate limit of the expiring Coverage Form will be increased in

proportion to the Coverage Form extension resulting from a late notice.

If the you elect to renew on the basis of the renewal notice, then terms, conditions and rates shall govern the Coverage Form upon expiration of such 60 day period unless such notice was provided at least 30 days prior to the expiration date of the Coverage Form, in which event the terms, conditions, and rates set forth in the renewal notice shall apply as of the renewal date.

If notice of nonrenewal, conditional renewal or alternative renewal is mailed, proof of mailing will be sufficient proof of notice.

- B.** The following is added with respect to any Condition of this Coverage Form which requires you to notify us of loss or to notify us of a "data breach".

1. Notice given by or on your behalf; or
2. Written notice by or on behalf of any claimant; to any of our agents in New York State, which adequately identifies you, will be the same as notice to us.

- C. SECTION E- CONDITIONS, Paragraph 18.** is replaced by the following:

18. Appraisal

- a. If we and you disagree on the amount of Net Income and operating expense or the amount of loss, either may make written demand for an appraisal of the loss. In this event, each party will select a competent and impartial appraiser and notify the other of the appraiser selected within 20 days of such demand.
- b. If we or you fail to proceed with the appraisal of the covered loss after a written demand is made by either party, then either party may apply to a court having jurisdiction for an order directing the party that failed to proceed with the appraisal to comply with the demand for the appraisal of the loss. In this event, each party will select a competent and impartial appraiser and notify the other of the appraiser selected within 20 days of such order.
- c. The two appraisers will select an umpire. If they cannot agree within 15 days upon such umpire, either may request that selection be made by a judge of a court having jurisdiction. The appraisers will state separately the amount of Net Income and operating expense and the amount of

loss. If they fail to agree, they will submit their differences to the umpire. A decision agreed to by any two will be binding.

If there is an appraisal, we will still retain our right to deny the claim

d. Each party will:

D. SECTION B – EXCLUSION, Paragraph 1., subparagraph r. **Nuclear Hazard** is deleted.

- (1) Pay its chosen appraiser; and
- (2) Bear the other expenses of the appraisal and umpire equally.

ALL OTHER TERMS, CONDITIONS, AND EXCLUSIONS REMAIN UNCHANGED.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

EQUIPMENT BREAKDOWN COVERAGE (INCLUDING ELECTRONIC CIRCUITRY IMPAIRMENT)

This endorsement modifies insurance provided under the following:

BUILDING AND PERSONAL PROPERTY COVERAGE FORM
CONDOMINIUM ASSOCIATION COVERAGE FORM
CONDOMINIUM COMMERCIAL UNIT-OWNERS COVERAGE FORM
CAUSES OF LOSS – BASIC FORM
CAUSES OF LOSS – BROAD FORM
CAUSES OF LOSS – SPECIAL FORM

A. COVERAGE

The following is added as an Additional Coverage to the Causes of Loss – Basic Form, Broad Form and Special Form:

Additional Coverage – Equipment Breakdown

The term Covered Cause of Loss includes the Additional Coverage Equipment Breakdown as described and limited below. Without an “accident” or “electronic circuitry impairment”, there is no Equipment Breakdown Coverage.

1. We will pay for direct physical damage to Covered Property that is the direct result of an “accident” or “electronic circuitry impairment”. We will consider “electronic circuitry impairment” to be physical damage to “covered equipment”.
2. Unless otherwise shown in the “schedule”, the following coverages also apply to the direct result of an “accident” or “electronic circuitry impairment”. However, with respect to coverage **2.i. Service Interruption** below and any Dependent Properties coverage provided by this coverage part, coverage will apply only to the direct result of an “accident” and will not apply to the direct result of “electronic circuitry impairment”. These coverages do not provide additional amounts of insurance.

a. Business Income and Extra Expense

- (1) Any insurance provided under the coverage part for Business Income or Extra Expense is extended to the coverage provided by this endorsement. However, if a deductible is shown in the “schedule”, then with respect to this endorsement only, the “period of restoration” will begin immediately after the “accident” or “electronic circuitry impairment”, and

the deductible shown in the “schedule” will apply.

- (2) The most we will pay for loss or expense under this coverage is the applicable limit for Business Income and Extra Expense, unless otherwise shown in the “schedule”.

b. Data Restoration

- (1) We will pay for your reasonable and necessary cost to research, replace and restore lost “data”.
- (2) The most we will pay for loss or expense under this coverage, including actual loss of Business Income you sustain and necessary Extra Expense you incur, if shown as covered, is \$100,000 unless otherwise shown in the “schedule”.

c. Expediting Expenses

- (1) With respect to your damaged Covered Property, we will pay the reasonable extra cost to:
 - (a) Make temporary repairs; and
 - (b) Expedite permanent repairs or permanent replacement.
- (2) The most we will pay for loss or expense under this coverage is \$100,000 unless otherwise shown in the “schedule”.

d. Fungus, Wet Rot, Dry Rot and Bacteria

- (1) We will pay your additional cost to repair or replace Covered Property because of contamination by “fungus”, wet rot, dry rot or bacteria. This includes the additional costs to clean up or dispose of such property. This does not include spoilage of personal property that is “perishable goods” to

the extent that such spoilage is covered under Spoilage coverage.

- (2) As used in this coverage, additional costs mean those beyond what would have been payable under this Equipment Breakdown Coverage had no "fungus", wet rot, dry rot or bacteria been involved.
- (3) We will also pay the cost of testing performed after repair or replacement of the damaged Covered Property is completed only to the extent that there is reason to believe there is the presence of "fungus", wet rot, dry rot or bacteria.
- (4) This coverage does not apply to lawns, trees, shrubs or plants which are part of a vegetated roof.
- (5) The most we will pay in any "one equipment breakdown" for loss, damage or expense under this coverage, including actual loss of Business Income you sustain and necessary Extra Expense you incur, if shown as covered, is \$15,000 even if the "fungus", wet rot, dry rot or bacteria continues to be present or active or recurs in a later policy period.

e. Hazardous Substances

- (1) We will pay your additional cost to repair or replace Covered Property because of contamination by a "hazardous substance". This includes the additional expenses to clean up or dispose of such property.
- (2) This does not include contamination of "perishable goods" by refrigerant, including but not limited to ammonia, which is addressed in **2.j.(1)(b)** below. As used in this coverage, additional costs mean those beyond what would have been payable under this Equipment Breakdown Coverage had no "hazardous substance" been involved.
- (3) The most we will pay for loss, damage or expense under this coverage, including actual loss of Business Income you sustain and necessary Extra Expense you incur, if shown as covered, is \$100,000 unless otherwise shown in the "schedule".

f. Off Premises Equipment Breakdown

- (1) We will pay for physical damage to transportable "covered equipment" that, at the time of the "accident" or "electronic circuitry impairment", is not at a covered location. As respects this Off Premises Equipment Breakdown coverage only, the "accident" or "electronic circuitry impairment" may occur in any country except one in which the United States has imposed sanctions, embargoes or similar restrictions on the provision of insurance.
- (2) We will also pay for your reasonable and necessary cost to research, replace and restore lost "data" contained within "covered equipment" as described under **f.(1)** above. This amount may not exceed the limit applicable to Data Restoration coverage.
- (3) The most we will pay for loss, damage or expense under this coverage, including actual loss of Business Income you sustain and necessary Extra Expense you incur, if shown as covered, and Data Restoration as described in **f.(2)** above is the limit for Property Off Premises Coverage Extension shown in your policy.

g. Public Relations

- (1) This coverage only applies if you have sustained an actual loss of Business Income covered under this endorsement.
- (2) We will pay for your reasonable costs for professional services to create and disseminate communications, when the need for such communications arises directly from the interruption of your business. This communication must be directed to one or more of the following:
 - (a) The media;
 - (b) The public; or
 - (c) Your customers, clients or members.
- (3) Such costs must be incurred during the "period of restoration" or up to 30 days after the "period of restoration" has ended.
- (4) The most we will pay for loss or expense under this coverage is \$5,000.

h. Scientific Animals

We will pay for loss or damage to “scientific animals” resulting from an “accident” to “covered equipment” when the Life Science Property Broadening Endorsement is included in the policy. The most we will pay for loss, damage or expense under this coverage is the lesser of the limit shown in the Life Science Property Broadening Endorsement or \$100,000, unless otherwise shown in the “schedule”.

i. Service Interruption

- (1) Any insurance provided for Business Income, Extra Expense, Data Restoration or Spoilage is extended to apply to your loss, damage or expense caused by a failure or disruption of service. The failure or disruption of service must be caused by an “accident” to equipment, including overhead transmission lines, that is owned by a utility, landlord, a landlord’s utility or other supplier who provides you with any of the following services: electrical power, waste disposal, air conditioning, refrigeration, heating, natural gas, compressed air, water, steam, internet access, telecommunications services, “cloud computing services”, wide area networks or data transmission. The equipment must meet the definition of “covered equipment” except that it is not Covered Property.
- (2) “Cloud computing services” must be provided by a professional provider with whom you have a contract.
- (3) With respect to the Data Restoration portion of this Service Interruption coverage, coverage will also apply to “data” stored in the equipment of a provider of “cloud computing services”.
- (4) Unless otherwise shown in the “schedule”, Service Interruption coverage will not apply unless the failure or disruption of service exceeds 24 hours immediately following the “accident”. If the interruption exceeds 24 hours, coverage will begin at the time of the disruption, and the applicable deductible will apply.
- (5) The most we will pay in any “one equipment breakdown” for loss, damage or expense under this coverage is the applicable limit for Business Income, Extra Expense,

Data Restoration or Spoilage, except that if a limit is shown in the “schedule” for Service Interruption, that limit will apply to Business Income and Extra Expense loss under this coverage.

j. Spoilage

(1) We will pay for:

- (a) Physical damage to “perishable goods” due to spoilage;
- (b) Physical damage to “perishable goods” due to contamination from the release of refrigerant, including but not limited to ammonia;
- (c) Any necessary expenses you incur to reduce the amount of loss under this coverage to the extent that they do not exceed the amount of loss that otherwise would have been payable under this coverage.

- (2) If you are unable to replace the “perishable goods” before its anticipated sale, the amount of our payment will be determined on the basis of the sales price of the “perishable goods” at the time of the “accident” or “electronic circuitry impairment”, less discounts and expenses you otherwise would have had. Otherwise our payment will be determined in accordance with the Valuation condition.

- (3) The most we will pay for loss, damage or expense under this coverage is \$100,000 unless otherwise shown in the “schedule”.

B. EXCLUSIONS

All exclusions in the applicable Causes of Loss form apply except as modified below and to the extent that coverage is specifically provided by this endorsement.

1. The following exclusions are modified:

- a. If the Causes of Loss – Basic Form or Causes of Loss – Broad Form apply, the following is added to **Exclusion B.2.:**

Depletion, deterioration, corrosion, erosion, wear and tear, or other gradually developing conditions. However, if an “accident” or “electronic circuitry impairment” results, we will pay for the resulting loss, damage or expense caused by that “accident” or “electronic circuitry impairment”.

- b. If the Causes of Loss – Special Form applies, with respect to this endorsement only, the last paragraph of **Exclusion B.2.d.** is replaced by the following:

But if an excluded cause of loss that is listed in **2.d.(1)** through **(7)** results in an “accident” or “electronic circuitry impairment”, we will pay for the loss, damage or expense caused by that “accident” or “electronic circuitry impairment”.

2. The following exclusions are added to the Building and Personal Property Coverage Form, the Condominium Association Coverage Form, the Condominium Commercial Unit-Owners Coverage Form, the Causes Of Loss – Basic Form, the Causes Of Loss – Broad Form, and the Causes Of Loss – Special Form:

- a. We will not pay for loss, damage or expense caused directly or indirectly by any of the following, whether or not caused by or resulting from an “accident” or “electronic circuitry impairment”:

- (1) Fire, including smoke from a fire;
- (2) Explosion of gas or unconsumed fuel within the furnace of any boiler or fired vessel or within the passages from that furnace to the atmosphere;
- (3) Any other explosion, except as specifically covered under this endorsement;
- (4) Any earth movement, including but not limited to earthquake, subsidence, sinkhole collapse, landslide, earth sinking, tsunami or volcanic action;
- (5) Flood, surface water, waves, tides, tidal waves, overflow of any body of water, or their spray, all whether driven by wind or not; mudslide or mudflow; or water that backs up or overflows from a sewer, drain or sump. However, if electrical “covered equipment” requires drying out because of the above, we will pay for the direct expenses of such drying out subject to the applicable Limit of Insurance and deductible for Building or Business Personal Property, whichever applies; or

- (6) Vandalism.

- b. Coverage under this endorsement does not apply to an “accident” or “electronic circuitry impairment” caused by or resulting from:

- (1) Lightning;
 - (2) Windstorm or hail. However this exclusion does not apply when:
 - (a) “Covered equipment” located within a building or structure suffers an “accident” or “electronic circuitry impairment” that results from wind-blown rain, snow, sand or dust; and
 - (b) The building or structure did not first sustain wind or hail damage to its roof or walls through which the rain, snow or dust entered.
 - (3) Smoke; aircraft or vehicles; riot or civil commotion; sprinkler leakage; elevator collision;
 - (4) Breakage of glass; falling objects; weight of snow, ice or sleet; freezing (caused by cold weather); collapse or molten material;
 - (5) A hydrostatic, pneumatic or gas pressure test of any boiler or pressure vessel, or an electrical insulation breakdown test of any type of electrical equipment; or
 - (6) Water or other means used to extinguish a fire.
- c. With respect to Business Income, Extra Expense and Service Interruption coverages, we will also not pay for any increase in loss resulting from an agreement between you and your customer or supplier.
- d. Except as specifically provided under **A.2.d. Fungus, Wet Rot, Dry Rot and Bacteria** coverage we will not pay for loss, damage or expense caused directly or indirectly by the following, whether or not caused by or resulting from an “accident” or “electronic circuitry impairment”: Any “fungus”, wet rot, dry rot or bacteria, including any presence, growth, proliferation, spread or any activity of “fungus”, wet rot, dry rot or bacteria. This includes, but is not limited to, costs arising from clean up, removal, or abatement of such “fungus”, wet rot, dry rot or bacteria. However, this exclusion does not apply to spoilage of personal property that is “perishable goods”, to the extent that such spoilage is covered under Spoilage coverage.
- e. Except as specifically provided under **A.2.h. Scientific Animals** coverage, we

will not pay for any loss or damage to animals.

3. Exclusions 2.b.(1), 2.b.(2), 2.b.(3), and 2.b.(4) above shall not apply if:

- a. The excluded cause of loss occurs away from any covered location and causes an electrical surge or other electrical disturbance;
- b. Such surge or disturbance is transmitted through utility service transmission lines to the covered location and results in an "accident" or "electronic circuitry impairment"; and
- c. The loss, damage or expense caused by such surge or disturbance is not covered elsewhere under the policy.

4. Any cause of loss set forth in Exclusion 2.b.(4) above that is not a Covered Cause of Loss in this coverage part shall be excluded only as respects Service Interruption coverage.

C. DEFINITIONS

For the purpose of this endorsement only, the following definitions are added:

1. "Accident"

- a. "Accident" means a fortuitous event that causes direct physical damage to "covered equipment". The event must be one of the following:

- (1) Mechanical breakdown, including rupture or bursting caused by centrifugal force;
- (2) Artificially generated electrical current, including electric arcing, that disturbs electrical devices, appliances or wires;
- (3) Explosion of steam boilers, steam pipes, steam engines or steam turbines owned or leased by you, or operated under your control;
- (4) Loss or damage to steam boilers, steam pipes, steam engines or steam turbines caused by or resulting from any condition or event inside such equipment; or
- (5) Loss or damage to hot water boilers or other water heating equipment caused by or resulting from any condition or event inside such boilers or equipment.

- b. None of the following is an "accident":

- (1) Defect, programming error, programming limitation, computer virus, malicious code, loss of "data",

loss of access, loss of use, loss of functionality or other condition within or involving "data" or "media" of any kind; or

- (2) Misalignment, miscalibration, tripping off-line, or any condition which can be corrected by resetting, tightening, adjusting or cleaning, or by the performance of maintenance.

However, if an "accident" results, we will pay for the resulting loss, damage or expense caused by that "accident".

2. "Boilers and vessels" means:

- a. Any boiler, including attached steam, condensate and feedwater piping; and
- b. Any fired or unfired pressure vessel subject to vacuum or internal pressure other than the static pressure of its contents.

This term does not appear elsewhere in this endorsement, but may appear in the "schedule".

- 3. "Cloud computing services" means** professional, on-demand, self-service data storage or data processing services provided through the internet or over telecommunications lines. This includes services known as IaaS (infrastructure as a service), PaaS (platform as a service), SaaS (software as a service) and NaaS (network as a service). This includes business models known as public clouds, community clouds and hybrid clouds. "Cloud computing services" include private clouds if such services are owned and operated by a third party.

4. "Covered equipment"

- a. "Covered equipment" means, unless otherwise specified in the "schedule", Covered Property:

- (1) That generates, transmits or utilizes energy; or
- (2) Which, during normal usage, operates under vacuum or pressure, other than the weight of its contents.

"Covered equipment" may utilize conventional design and technology or new or newly commercialized design and technology.

- b. None of the following is "covered equipment":

- (1) Structure, foundation, cabinet or compartment;
- (2) Insulating or refractory material;

- (3) Sewer piping, buried vessels or piping, or piping forming a part of a sprinkler or fire suppression system;
 - (4) Water piping other than boiler feedwater piping, boiler condensate return piping or water piping forming a part of a refrigerating or air conditioning system;
 - (5) "Vehicle" or any equipment mounted on a "vehicle";
 - (6) Satellite, spacecraft or any equipment mounted on a satellite or spacecraft;
 - (7) Dragline, excavation or construction equipment; or
 - (8) Equipment manufactured by you for sale.
5. "Data" means information or instructions stored in digital code capable of being processed by machinery.
6. "Electronic circuitry" means microelectronic components, including but not limited to circuit boards, integrated circuits, computer chips and disk drives.
7. "Electronic circuitry impairment"
- a. "Electronic circuitry impairment" means a fortuitous event involving "electronic circuitry" within "covered equipment" that causes the "covered equipment" to suddenly lose its ability to function as it had been functioning immediately before such event. This definition is subject to the conditions specified in **b.**, **c.** and **d.** below.
 - b. We shall determine that the reasonable and appropriate remedy to restore such "covered equipment's" ability to function is the replacement of one or more "electronic circuitry" components of the "covered equipment".
 - c. The "covered equipment" must be owned or leased by you, or operated under your control.
 - d. None of the following is "electronic circuitry impairment":
 - (1) Any condition that can be reasonably remedied by:
 - (a) Normal maintenance, including but not limited to replacing expendable parts, recharging batteries or cleaning;
 - (b) Rebooting, reloading or updating software or firmware; or
 - (c) Providing necessary power or supply.

- (2) Any condition caused by or related to:
 - (a) Incompatibility of the "covered equipment" with any software or equipment installed, introduced or networked within the prior 30 days;
 - (b) Insufficient size, capability or capacity of the "covered equipment"; or
 - (c) Exposure to adverse environmental conditions, including but not limited to change in temperature or humidity, unless such conditions result in an observable loss of functionality. Loss of warranty shall not be considered an observable loss of functionality.
8. "Hazardous substance" means any substance that is hazardous to health or has been declared to be hazardous to health by a governmental agency.
9. "Media" means material on which "data" is recorded, such as solid state drives, hard disks, optical disks, flash drives, magnetic tapes or floppy disks.
10. "One equipment breakdown" means: If an initial "accident" or "electronic circuitry impairment" causes other "accidents" or "electronic circuitry impairments", all will be considered "one equipment breakdown". All "accidents" or "electronic circuitry impairments" that are the result of the same "accident" or "electronic circuitry impairment" will be considered "one equipment breakdown".
11. "Perishable goods" means personal property maintained under controlled conditions for its preservation, and susceptible to loss or damage if the controlled conditions change.
12. "Production machinery" means any machine or apparatus that processes or produces a product intended for eventual sale. This includes all component parts of such machine or apparatus and any other equipment used exclusively with such machine or apparatus. However, "production machinery" does not mean any boiler, or fired or unfired pressure vessel.
- This term does not appear elsewhere in this endorsement, but may appear in the "schedule".
13. "Schedule" means the Equipment Breakdown Coverage Schedule.

14. "Vehicle" means, as respects this endorsement only, any machine or apparatus that is used for transportation or moves under its own power. "Vehicle" includes, but is not limited to: car, truck, bus, trailer, train, aircraft, watercraft, forklift, bulldozer, tractor or harvester.

However, any property that is stationary, permanently installed at a covered location and that receives electrical power from an external power source will not be considered a "vehicle".

D. DEDUCTIBLE

The Building and Personal Property Coverage Form is modified as follows:

The deductible in the Declarations applies unless a separate Equipment Breakdown deductible is shown in the "schedule". If a separate Equipment Breakdown deductible is shown, the following applies.

Only in regards to Equipment Breakdown Coverage, provision **D. DEDUCTIBLE** in the Building and Personal Property Coverage Form, the Condominium Association Coverage Form, the Condominium Commercial Unit-Owners Coverage Form, the Causes Of Loss – Basic Form, the Causes Of Loss – Broad Form, and the Causes Of Loss – Special Form: is replaced by the following:

1. Deductibles for Each Coverage

- a. Unless the "schedule" indicates that your deductible is combined for all coverages, multiple deductibles may apply to any "one equipment breakdown".
- b. We will not pay for loss, damage or expense under any coverage until the amount of the covered loss, damage or expense exceeds the deductible amount indicated for that coverage in the "schedule". We will then pay the amount of loss, damage or expense in excess of the applicable deductible amount, subject to the applicable limit.
- c. If deductibles vary by type of "covered equipment" and more than one type of "covered equipment" is involved in any "one equipment breakdown", only the highest deductible for each coverage will apply.

2. Direct and Indirect Coverages

- a. Direct Coverages Deductibles and Indirect Coverages Deductibles may be indicated in the "schedule".
- b. Unless more specifically indicated in the "schedule":
 - (1) Indirect Coverages Deductibles apply to Business Income and Extra Expense loss; and
 - (2) Direct Coverages Deductibles apply to all remaining loss, damage or expense covered by this endorsement.

3. Application of Deductibles

a. Dollar Deductibles

We will not pay for loss, damage or expense resulting from any "one equipment breakdown" until the amount of loss, damage or expense exceeds the applicable deductible shown in the "schedule". We will then pay the amount of loss, damage or expense in excess of the applicable deductible or deductibles, up to the applicable Limit of Insurance.

b. Time Deductible

If a time deductible is shown in the "schedule", we will not be liable for any loss occurring during the specified number of hours or days immediately following the "accident" or "electronic circuitry impairment". If a time deductible is expressed in days, each day shall mean twenty-four consecutive hours.

c. Multiple of Average Daily Value (ADV)

If a deductible is expressed as a number times ADV, that amount will be calculated as follows:

The ADV (Average Daily Value) will be the Business Income (as defined in any Business Income coverage that is part of this policy) that would have been earned during the period of interruption of business had no "accident" or "electronic circuitry impairment" occurred, divided by the number of working days in that period. No reduction shall be made for the Business Income not being earned, or in the number of working days, because of the "accident" or "electronic circuitry impairment" or any other scheduled or unscheduled shutdowns during the period of interruption. The ADV applies to the Business Income value of the entire location, whether or not the loss affects the entire location. If more than one location is included in the valuation of the loss, the ADV will be the combined value of all affected locations. For purposes of this calculation, the period of interruption may not extend beyond the "period of restoration". The number indicated in the "schedule" will be multiplied by the ADV as

determined above. The result shall be used as the applicable deductible.

d. Percentage of Loss Deductibles

If a deductible is expressed as a percentage of loss, we will not be liable for the indicated percentage of the gross amount of loss, damage or expense (prior to any applicable deductible or coinsurance) insured under the applicable coverage. If the dollar amount of such percentage is less than the indicated minimum deductible, the minimum deductible will be the applicable deductible.

E. CONDITIONS

1. The following conditions are added to the Conditions in the Building and Personal Property Coverage Form, the Condominium Association Coverage Form, the Condominium Commercial Unit-Owners Coverage Form, the Commercial Property Conditions and the Common Policy Conditions:

a. Suspension

Whenever "covered equipment" is found to be in, or exposed to, a dangerous condition, any of our representatives may immediately suspend the insurance against loss from an "accident" or "electronic circuitry impairment" to that "covered equipment". This can be done by mailing or delivering a written notice of suspension to:

- (1) Your last known address; or
- (2) The address where the "covered equipment" is located.

Once suspended in this way, your insurance can be reinstated only by an endorsement for that "covered equipment". If we suspend your insurance, you will get a pro rata refund of premium for that "covered equipment" for the period of suspension. But the suspension will be effective even if we have not yet made or offered a refund.

b. Jurisdictional Inspections

If any property that is "covered equipment" under this endorsement requires inspection to comply with state or municipal boiler and pressure vessel regulations, we agree to perform such inspection on your behalf. We do not warrant that conditions are safe or healthful.

c. Coinsurance

If a coinsurance percentage is shown in the "schedule" for specified coverages, the following condition applies.

We will not pay for the full amount of your loss if the applicable limit is less than the product of the specified coinsurance percentage times the value of the property subject to the coverage at the time of the loss. Instead, we will determine what percentage this calculated product is compared to the applicable limit and apply that percentage to the gross amount of loss. We will then subtract the applicable deductible. The resulting amount, or the applicable limit, is the most we will pay. We will not pay for the remainder of the loss. Coinsurance applies separately to each insured location.

2. For the purpose of this endorsement only, **E. Loss Conditions, 7. Valuation** in the Building and Personal Property Coverage Form is replaced by the following:

7. Valuation

We will determine the value of Covered Property as follows:

- a. Except as specified otherwise, our payment for damaged Covered Property will be the smallest of:

- (1) The cost to repair the damaged property;
- (2) The cost to replace the damaged property on the same site; or
- (3) The amount you actually spend that is necessary to repair or replace the damaged property.

- b. Except as described in c. below, you must pay the extra cost of replacing damaged property with property of a better kind or quality or of a different size or capacity.

c. Environmental, Safety and Efficiency Improvements

If "covered equipment" requires replacement due to an "accident" or "electronic circuitry impairment", we will pay your additional cost to replace with equipment that is better for the environment, safer for people or more energy or water efficient than the equipment being replaced. However, we will not pay to increase the size or capacity of the equipment and we will not pay more than 150% of what the cost would have been to replace with

like kind and quality. This provision does not apply to the replacement of component parts or to any property to which Actual Cash Value applies and does not increase any of the applicable limits.

d. The following property will be valued on an Actual Cash Value basis:

- (1)** Any property that does not currently serve a useful or necessary function for you;
- (2)** Any Covered Property that you do not repair or replace within 24 months after the date of the "accident" or "electronic circuitry impairment"; and
- (3)** Any Covered Property for which Actual Cash Value coverage is specified in a "schedule", Actual Cash Value includes deductions for depreciation.

e. If any one of the following conditions is met, property held for sale by you will be valued at the sales price as if no loss or damage had occurred, less any discounts and expenses that otherwise would have applied:

- (1)** The property was manufactured by you;

(2) The sales price of the property is less than the replacement cost of the property; or

(3) You are unable to replace the property before its anticipated sale.

f. Except as specifically provided for under Data Restoration coverage, "data" and "media" will be valued on the following basis:

- (1)** For mass-produced and commercially available software, at the replacement cost.
- (2)** For all other "data" and "media", at the cost of blank "media" for reproducing the records. We will not pay for "data" representing financial records based on the face value of such records.

The most we will pay for loss, damage or expense under this endorsement arising from any "one equipment breakdown" is the applicable Limit of Insurance in the Declarations unless otherwise shown in the "schedule". Coverage provided under this endorsement does not provide an additional amount of insurance.

ALL OTHER TERMS, CONDITIONS, AND EXCLUSIONS REMAIN UNCHANGED.

COMMERCIAL PROPERTY COVERAGE PART EQUIPMENT BREAKDOWN COVERAGE SCHEDULE

Equipment Breakdown is subject to the Limits of Insurance shown in the Declarations except as specifically shown below.

These coverages apply to all locations covered on the policy, unless otherwise specified.

Coverages	Limits
Equipment Breakdown Limit	\$159,511
Business Income	\$100,000
Extra Expense	\$Included
Data Restoration	\$100,000
Expediting Expenses	\$100,000
Hazardous Substances	\$100,000
Scientific Animals	\$0
Service Interruption	\$Included in Business Income, Extra Expense and/or Spoilage Limit
Spoilage	\$100,000

	Deductibles
Combined, All Coverages	\$Not Applicable
Direct Coverages	\$100,000
Indirect Coverages	72 hours
Spoilage	\$1,000

Other Conditions

Service Interruption - 24 hour waiting period.
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THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

NEW YORK CHANGES – EQUIPMENT BREAKDOWN

This endorsement modifies insurance provided under the following:

EQUIPMENT BREAKDOWN COVERAGE (INCLUDING ELECTRONIC CIRCUITRY IMPAIRMENT)

Section **A. COVERAGE**, paragraph **2.d. Fungus, Wet Rot, Dry Rot and Bacteria** is deleted.

Section **B. EXCLUSIONS**, paragraph **2.d.** is deleted.

ALL OTHER TERMS, CONDITIONS, AND EXCLUSIONS REMAIN UNCHANGED.

COMMERCIAL PROPERTY
CP 00 10 10 12

BUILDING AND PERSONAL PROPERTY COVERAGE FORM

Various provisions in this policy restrict coverage. Read the entire policy carefully to determine rights, duties and what is and is not covered.

Throughout this policy, the words "you" and "your" refer to the Named Insured shown in the Declarations. The words "we", "us" and "our" refer to the company providing this insurance.

Other words and phrases that appear in quotation marks have special meaning. Refer to Section H. Definitions.

A. Coverage

We will pay for direct physical loss of or damage to Covered Property at the premises described in the Declarations caused by or resulting from any Covered Cause of Loss.

1. Covered Property

Covered Property, as used in this Coverage Part, means the type of property described in this section, **A.1.**, and limited in **A.2.** Property Not Covered, if a Limit Of Insurance is shown in the Declarations for that type of property.

a. Building, meaning the building or structure described in the Declarations, including:

- (1) Completed additions;
- (2) Fixtures, including outdoor fixtures;
- (3) Permanently installed:
 - (a) Machinery; and
 - (b) Equipment;
- (4) Personal property owned by you that is used to maintain or service the building or structure or its premises, including:
 - (a) Fire-extinguishing equipment;
 - (b) Outdoor furniture;
 - (c) Floor coverings; and
 - (d) Appliances used for refrigerating, ventilating, cooking, dishwashing or laundering;
- (5) If not covered by other insurance:
 - (a) Additions under construction, alterations and repairs to the building or structure;
 - (b) Materials, equipment, supplies and temporary structures, on or within 100 feet of the described premises, used for making additions, alterations or repairs to the building or structure.

b. Your Business Personal Property

consists of the following property located in or on the building or structure described in the Declarations or in the open (or in a vehicle) within 100 feet of the building or structure or within 100 feet of the premises described in the Declarations, whichever distance is greater:

- (1) Furniture and fixtures;
- (2) Machinery and equipment;
- (3) "Stock";
- (4) All other personal property owned by you and used in your business;
- (5) Labor, materials or services furnished or arranged by you on personal property of others;
- (6) Your use interest as tenant in improvements and betterments. Improvements and betterments are fixtures, alterations, installations or additions:
 - (a) Made a part of the building or structure you occupy but do not own; and
 - (b) You acquired or made at your expense but cannot legally remove;
- (7) Leased personal property for which you have a contractual responsibility to insure, unless otherwise provided for under Personal Property Of Others.

c. Personal Property Of Others that is:

- (1) In your care, custody or control; and
- (2) Located in or on the building or structure described in the Declarations or in the open (or in a vehicle) within 100 feet of the building or structure or within 100 feet of the premises described in the Declarations, whichever distance is greater.

However, our payment for loss of or damage to personal property of others will only be for the account of the owner of the property.

2. Property Not Covered

Covered Property does not include:

- a. Accounts, bills, currency, food stamps or other evidences of debt, money, notes or securities. Lottery tickets held for sale are not securities;
- b. Animals, unless owned by others and boarded by you, or if owned by you, only as "stock" while inside of buildings;
- c. Automobiles held for sale;
- d. Bridges, roadways, walks, patios or other paved surfaces;
- e. Contraband, or property in the course of illegal transportation or trade;
- f. The cost of excavations, grading, backfilling or filling;
- g. Foundations of buildings, structures, machinery or boilers if their foundations are below:
 - (1) The lowest basement floor; or
 - (2) The surface of the ground, if there is no basement;
- h. Land (including land on which the property is located), water, growing crops or lawns (other than lawns which are part of a vegetated roof);
- i. Personal property while airborne or waterborne;
- j. Bulkheads, pilings, piers, wharves or docks;
- k. Property that is covered under another coverage form of this or any other policy in which it is more specifically described, except for the excess of the amount due (whether you can collect on it or not) from that other insurance;
- l. Retaining walls that are not part of a building;
- m. Underground pipes, flues or drains;
- n. Electronic data, except as provided under the Additional Coverage, Electronic Data. Electronic data means information, facts or computer programs stored as or on, created or used on, or transmitted to or from computer software (including systems and applications software), on hard or floppy disks, CD-ROMs, tapes, drives, cells, data processing devices or any other repositories of computer software which are used with electronically controlled equipment. The term computer programs, referred to in the foregoing description of electronic data, means a set of related electronic instructions which direct the operations and functions of a computer or device connected to it, which enable the computer or device to receive, process, store, retrieve or send data. This paragraph, **n.**, does not apply to your "stock" of prepackaged software, or to electronic data which is integrated in and operates or controls the building's elevator, lighting, heating, ventilation, air conditioning or security system;
- o. The cost to replace or restore the information on valuable papers and records, including those which exist as electronic data. Valuable papers and records include but are not limited to proprietary information, books of account, deeds, manuscripts, abstracts, drawings and card index systems. Refer to the Coverage Extension for Valuable Papers And Records (Other Than Electronic Data) for limited coverage for valuable papers and records other than those which exist as electronic data;
- p. Vehicles or self-propelled machines (including aircraft or watercraft) that:
 - (1) Are licensed for use on public roads; or
 - (2) Are operated principally away from the described premises.

This paragraph does not apply to:

 - (a) Vehicles or self-propelled machines or autos you manufacture, process or warehouse;

- (b) Vehicles or self-propelled machines, other than autos, you hold for sale;
 - (c) Rowboats or canoes out of water at the described premises; or
 - (d) Trailers, but only to the extent provided for in the Coverage Extension for Non-owned Detached Trailers; or
- q. The following property while outside of buildings:
- (1) Grain, hay, straw or other crops;
 - (2) Fences, radio or television antennas (including satellite dishes) and their lead-in wiring, masts or towers, trees, shrubs or plants (other than trees, shrubs or plants which are "stock" or are part of a vegetated roof), all except as provided in the Coverage Extensions.

3. Covered Causes Of Loss

See applicable Causes Of Loss form as shown in the Declarations.

4. Additional Coverages

a. Debris Removal

- (1) Subject to Paragraphs (2), (3) and (4), we will pay your expense to remove debris of Covered Property and other debris that is on the described premises, when such debris is caused by or results from a Covered Cause of Loss that occurs during the policy period. The expenses will be paid only if they are reported to us in writing within 180 days of the date of direct physical loss or damage.
 - (2) Debris Removal does not apply to costs to:
 - (a) Remove debris of property of yours that is not insured under this policy, or property in your possession that is not Covered Property;
 - (b) Remove debris of property owned by or leased to the landlord of the building where your described premises are located, unless you have a contractual responsibility to insure such property and it is insured under this policy;
 - (c) Remove any property that is Property Not Covered, including property addressed under the Outdoor Property Coverage Extension;
 - (d) Remove property of others of a type that would not be Covered Property under this Coverage Form;
 - (e) Remove deposits of mud or earth from the grounds of the described premises;
 - (f) Extract "pollutants" from land or water; or
 - (g) Remove, restore or replace polluted land or water.
- (3) Subject to the exceptions in Paragraph (4), the following provisions apply:
- (a) The most we will pay for the total of direct physical loss or damage plus debris removal expense is the Limit of Insurance applicable to the Covered Property that has sustained loss or damage.
 - (b) Subject to (a) above, the amount we will pay for debris removal expense is limited to 25% of the sum of the deductible plus the amount that we pay for direct physical loss or damage to the Covered Property that has sustained loss or damage. However, if no Covered Property has sustained direct physical loss or damage, the most we will pay for removal of debris of other property (if such removal is covered under this Additional Coverage) is \$5,000 at each location.
- (4) We will pay up to an additional \$25,000 for debris removal expense, for each location, in any one occurrence of physical loss or damage to Covered Property, if one or both of the following circumstances apply:
- (a) The total of the actual debris removal expense plus the amount we pay for direct physical loss or damage exceeds the Limit of Insurance on the Covered Property that has sustained loss or damage.
 - (b) The actual debris removal expense exceeds 25% of the sum of the deductible plus the amount that we pay for direct physical loss or damage to the Covered Property that has sustained loss or damage.

Therefore, if **(4)(a)** and/or **(4)(b)** applies, our total payment for direct physical loss or damage and debris removal expense may reach but will never exceed the Limit of Insurance on the Covered Property that has sustained loss or damage, plus \$25,000.

(5) Examples

The following examples assume that there is no Coinsurance penalty.

Example 1

Limit of Insurance:	\$ 90,000
Amount of Deductible:	\$ 500
Amount of Loss:	\$ 50,000
Amount of Loss Payable:	\$ 49,500
	(\$50,000 – \$500)
Debris Removal Expense:	\$ 10,000
Debris Removal Expense Payable:	\$ 10,000
	(\$10,000 is 20% of \$50,000.)

The debris removal expense is less than 25% of the sum of the loss payable plus the deductible. The sum of the loss payable and the debris removal expense (\$49,500 + \$10,000 = \$59,500) is less than the Limit of Insurance. Therefore, the full amount of debris removal expense is payable in accordance with the terms of Paragraph **(3)**.

Example 2

Limit of Insurance:	\$ 90,000
Amount of Deductible:	\$ 500
Amount of Loss:	\$ 80,000
Amount of Loss Payable:	\$ 79,500
	(\$80,000 – \$500)
Debris Removal Expense:	\$ 40,000
Debris Removal Expense Payable	
Basic Amount:	\$ 10,500
Additional Amount:	\$ 25,000

The basic amount payable for debris removal expense under the terms of Paragraph **(3)** is calculated as follows: \$80,000 (\$79,500 + \$500) x .25 = \$20,000, capped at \$10,500. The cap applies because the sum of the loss payable (\$79,500) and the basic amount payable for debris removal expense (\$10,500) cannot exceed the Limit of Insurance (\$90,000).

The additional amount payable for debris removal expense is provided in accordance with the terms of Paragraph **(4)**, because the debris removal expense (\$40,000) exceeds 25% of the loss payable plus the deductible (\$40,000 is 50% of \$80,000), and because the sum of the loss payable and debris removal expense (\$79,500 + \$40,000 = \$119,500) would exceed the Limit of Insurance (\$90,000). The additional amount of covered debris removal expense is \$25,000, the maximum payable under Paragraph **(4)**. Thus, the total payable for debris removal expense in this example is \$35,500; \$4,500 of the debris removal expense is not covered.

b. Preservation Of Property

If it is necessary to move Covered Property from the described premises to preserve it from loss or damage by a Covered Cause of Loss, we will pay for any direct physical loss or damage to that property:

- (1)** While it is being moved or while temporarily stored at another location; and
- (2)** Only if the loss or damage occurs within 30 days after the property is first moved.

c. Fire Department Service Charge

When the fire department is called to save or protect Covered Property from a Covered Cause of Loss, we will pay up to \$1,000 for service at each premises described in the Declarations, unless a higher limit is shown in the Declarations. Such limit is the most we will pay regardless of the number of responding fire departments or fire units, and regardless of the number or type of services performed.

This Additional Coverage applies to your liability for fire department service charges:

- (1)** Assumed by contract or agreement prior to loss; or
- (2)** Required by local ordinance.

No Deductible applies to this Additional Coverage.

d. Pollutant Clean-up And Removal

We will pay your expense to extract "pollutants" from land or water at the described premises if the discharge, dispersal, seepage, migration, release or escape of the "pollutants" is caused by or results from a Covered Cause of Loss that occurs during the policy period. The expenses will be paid only if they are reported to us in writing within 180 days of the date on which the Covered Cause of Loss occurs.

This Additional Coverage does not apply to costs to test for, monitor or assess the existence, concentration or effects of "pollutants". But we will pay for testing which is performed in the course of extracting the "pollutants" from the land or water.

The most we will pay under this Additional Coverage for each described premises is \$10,000 for the sum of all covered expenses arising out of Covered Causes of Loss occurring during each separate 12-month period of this policy.

e. Increased Cost Of Construction

- (1) This Additional Coverage applies only to buildings to which the Replacement Cost Optional Coverage applies.
- (2) In the event of damage by a Covered Cause of Loss to a building that is Covered Property, we will pay the increased costs incurred to comply with the minimum standards of an ordinance or law in the course of repair, rebuilding or replacement of damaged parts of that property, subject to the limitations stated in **e.(3)** through **e.(9)** of this Additional Coverage.
- (3) The ordinance or law referred to in **e.(2)** of this Additional Coverage is an ordinance or law that regulates the construction or repair of buildings or establishes zoning or land use requirements at the described premises and is in force at the time of loss.
- (4) Under this Additional Coverage, we will not pay any costs due to an ordinance or law that:
 - (a) You were required to comply with before the loss, even when the building was undamaged; and
 - (b) You failed to comply with.

- (5) Under this Additional Coverage, we will not pay for:

- (a) The enforcement of or compliance with any ordinance or law which requires demolition, repair, replacement, reconstruction, remodeling or remediation of property due to contamination by "pollutants" or due to the presence, growth, proliferation, spread or any activity of "fungus", wet or dry rot or bacteria; or
- (b) Any costs associated with the enforcement of or compliance with an ordinance or law which requires any insured or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of "pollutants", "fungus", wet or dry rot or bacteria.

- (6) The most we will pay under this Additional Coverage, for each described building insured under this Coverage Form, is \$10,000 or 5% of the Limit of Insurance applicable to that building, whichever is less. If a damaged building is covered under a blanket Limit of Insurance which applies to more than one building or item of property, then the most we will pay under this Additional Coverage, for that damaged building, is the lesser of \$10,000 or 5% times the value of the damaged building as of the time of loss times the applicable Coinsurance percentage.

The amount payable under this Additional Coverage is additional insurance.

- (7) With respect to this Additional Coverage:

- (a) We will not pay for the Increased Cost of Construction:
 - (i) Until the property is actually repaired or replaced at the same or another premises; and
 - (ii) Unless the repair or replacement is made as soon as reasonably possible after the loss or damage, not to exceed two years. We may extend this period in writing during the two years.

- (b) If the building is repaired or replaced at the same premises, or if you elect to rebuild at another premises, the most we will pay for the Increased Cost of Construction, subject to the provisions of **e.(6)** of this Additional Coverage, is the increased cost of construction at the same premises.
- (c) If the ordinance or law requires relocation to another premises, the most we will pay for the Increased Cost of Construction, subject to the provisions of **e.(6)** of this Additional Coverage, is the increased cost of construction at the new premises.
- (8) This Additional Coverage is not subject to the terms of the Ordinance Or Law Exclusion to the extent that such Exclusion would conflict with the provisions of this Additional Coverage.
- (9) The costs addressed in the Loss Payment and Valuation Conditions and the Replacement Cost Optional Coverage, in this Coverage Form, do not include the increased cost attributable to enforcement of or compliance with an ordinance or law. The amount payable under this Additional Coverage, as stated in **e.(6)** of this Additional Coverage, is not subject to such limitation.

f. Electronic Data

- (1) Under this Additional Coverage, electronic data has the meaning described under Property Not Covered, Electronic Data. This Additional Coverage does not apply to your "stock" of prepackaged software, or to electronic data which is integrated in and operates or controls the building's elevator, lighting, heating, ventilation, air conditioning or security system.
- (2) Subject to the provisions of this Additional Coverage, we will pay for the cost to replace or restore electronic data which has been destroyed or corrupted by a Covered Cause of Loss. To the extent that electronic data is not replaced or restored, the loss will be valued at the cost of replacement of the media on which the electronic data was stored, with blank media of substantially identical type.

- (3) The Covered Causes of Loss applicable to Your Business Personal Property apply to this Additional Coverage, Electronic Data, subject to the following:

- (a) If the Causes Of Loss – Special Form applies, coverage under this Additional Coverage, Electronic Data, is limited to the "specified causes of loss" as defined in that form and Collapse as set forth in that form.
- (b) If the Causes Of Loss – Broad Form applies, coverage under this Additional Coverage, Electronic Data, includes Collapse as set forth in that form.
- (c) If the Causes Of Loss form is endorsed to add a Covered Cause of Loss, the additional Covered Cause of Loss does not apply to the coverage provided under this Additional Coverage, Electronic Data.
- (d) The Covered Causes of Loss include a virus, harmful code or similar instruction introduced into or enacted on a computer system (including electronic data) or a network to which it is connected, designed to damage or destroy any part of the system or disrupt its normal operation. But there is no coverage for loss or damage caused by or resulting from manipulation of a computer system (including electronic data) by any employee, including a temporary or leased employee, or by an entity retained by you or for you to inspect, design, install, modify, maintain, repair or replace that system.

- (4) The most we will pay under this Additional Coverage, Electronic Data, is \$2,500 (unless a higher limit is shown in the Declarations) for all loss or damage sustained in any one policy year, regardless of the number of occurrences of loss or damage or the number of premises, locations or computer systems involved. If loss payment on the first occurrence does not exhaust this amount, then the balance is available for subsequent loss or damage sustained in but not after that policy year. With respect to an occurrence which begins in one policy year and continues or results in additional loss or damage in a subsequent policy year(s), all loss or damage is deemed to be sustained in the policy year in which the occurrence began.

5. Coverage Extensions

Except as otherwise provided, the following Extensions apply to property located in or on the building described in the Declarations or in the open (or in a vehicle) within 100 feet of the described premises.

If a Coinsurance percentage of 80% or more, or a Value Reporting period symbol, is shown in the Declarations, you may extend the insurance provided by this Coverage Part as follows:

a. Newly Acquired Or Constructed Property

(1) Buildings

If this policy covers Building, you may extend that insurance to apply to:

- (a) Your new buildings while being built on the described premises; and
- (b) Buildings you acquire at locations, other than the described premises, intended for:
 - (i) Similar use as the building described in the Declarations; or
 - (ii) Use as a warehouse.

The most we will pay for loss or damage under this Extension is \$250,000 at each building.

(2) Your Business Personal Property

- (a) If this policy covers Your Business Personal Property, you may extend that insurance to apply to:
 - (i) Business personal property, including such property that you newly acquire, at any location you acquire other than at fairs, trade shows or exhibitions; or
 - (ii) Business personal property, including such property that you newly acquire, located at your newly constructed or acquired buildings at the location described in the Declarations.

The most we will pay for loss or damage under this Extension is \$100,000 at each building.

- (b) This Extension does not apply to:
 - (i) Personal property of others that is temporarily in your possession in the course of installing or performing work on such property; or
 - (ii) Personal property of others that is temporarily in your possession in the course of your manufacturing or wholesaling activities.

(3) Period Of Coverage

With respect to insurance provided under this Coverage Extension for Newly Acquired Or Constructed Property, coverage will end when any of the following first occurs:

- (a) This policy expires;
- (b) 30 days expire after you acquire the property or begin construction of that part of the building that would qualify as covered property; or
- (c) You report values to us.

We will charge you additional premium for values reported from the date you acquire the property or begin construction of that part of the building that would qualify as covered property.

b. Personal Effects And Property Of Others

You may extend the insurance that applies to Your Business Personal Property to apply to:

- (1) Personal effects owned by you, your officers, your partners or members, your managers or your employees. This Extension does not apply to loss or damage by theft.
- (2) Personal property of others in your care, custody or control.

The most we will pay for loss or damage under this Extension is \$2,500 at each described premises. Our payment for loss of or damage to personal property of others will only be for the account of the owner of the property.

c. Valuable Papers And Records (Other Than Electronic Data)

- (1) You may extend the insurance that applies to Your Business Personal Property to apply to the cost to replace or restore the lost information on valuable papers and records for which duplicates do not exist. But this Extension does not apply to valuable papers and records which exist as electronic data. Electronic data has the meaning described under Property Not Covered, Electronic Data.
- (2) If the Causes Of Loss – Special Form applies, coverage under this Extension is limited to the "specified causes of loss" as defined in that form and Collapse as set forth in that form.
- (3) If the Causes Of Loss – Broad Form applies, coverage under this Extension includes Collapse as set forth in that form.
- (4) Under this Extension, the most we will pay to replace or restore the lost information is \$2,500 at each described premises, unless a higher limit is shown in the Declarations. Such amount is additional insurance. We will also pay for the cost of blank material for reproducing the records (whether or not duplicates exist) and (when there is a duplicate) for the cost of labor to transcribe or copy the records. The costs of blank material and labor are subject to the applicable Limit of Insurance on Your Business Personal Property and, therefore, coverage of such costs is not additional insurance.

d. Property Off-premises

- (1) You may extend the insurance provided by this Coverage Form to apply to your Covered Property while it is away from the described premises, if it is:
 - (a) Temporarily at a location you do not own, lease or operate;
 - (b) In storage at a location you lease, provided the lease was executed after the beginning of the current policy term; or
 - (c) At any fair, trade show or exhibition.
- (2) This Extension does not apply to property:
 - (a) In or on a vehicle; or
 - (b) In the care, custody or control of your salespersons, unless the property is in such care, custody or control at a fair, trade show or exhibition.
- (3) The most we will pay for loss or damage under this Extension is \$10,000.

e. Outdoor Property

You may extend the insurance provided by this Coverage Form to apply to your outdoor fences, radio and television antennas (including satellite dishes), trees, shrubs and plants (other than trees, shrubs or plants which are "stock" or are part of a vegetated roof), including debris removal expense, caused by or resulting from any of the following causes of loss if they are Covered Causes of Loss:

- (1) Fire;
- (2) Lightning;
- (3) Explosion;
- (4) Riot or Civil Commotion; or
- (5) Aircraft.

The most we will pay for loss or damage under this Extension is \$1,000, but not more than \$250 for any one tree, shrub or plant. These limits apply to any one occurrence, regardless of the types or number of items lost or damaged in that occurrence.

Subject to all aforementioned terms and limitations of coverage, this Coverage Extension includes the expense of removing from the described premises the debris of trees, shrubs and plants which are the property of others, except in the situation in which you are a tenant and such property is owned by the landlord of the described premises.

f. Non-owned Detached Trailers

- (1) You may extend the insurance that applies to Your Business Personal Property to apply to loss or damage to trailers that you do not own, provided that:
 - (a) The trailer is used in your business;
 - (b) The trailer is in your care, custody or control at the premises described in the Declarations; and
 - (c) You have a contractual responsibility to pay for loss or damage to the trailer.
- (2) We will not pay for any loss or damage that occurs:
 - (a) While the trailer is attached to any motor vehicle or motorized conveyance, whether or not the motor vehicle or motorized conveyance is in motion;
 - (b) During hitching or unhitching operations, or when a trailer becomes accidentally unhitched from a motor vehicle or motorized conveyance.
- (3) The most we will pay for loss or damage under this Extension is \$5,000, unless a higher limit is shown in the Declarations.
- (4) This insurance is excess over the amount due (whether you can collect on it or not) from any other insurance covering such property.

g. Business Personal Property Temporarily In Portable Storage Units

- (1) You may extend the insurance that applies to Your Business Personal Property to apply to such property while temporarily stored in a portable storage unit (including a detached trailer) located within 100 feet of the building or structure described in the Declarations or within 100 feet of the premises described in the Declarations, whichever distance is greater.

- (2) If the applicable Covered Causes of Loss form or endorsement contains a limitation or exclusion concerning loss or damage from sand, dust, sleet, snow, ice or rain to property in a structure, such limitation or exclusion also applies to property in a portable storage unit.
- (3) Coverage under this Extension:
 - (a) Will end 90 days after the business personal property has been placed in the storage unit;
 - (b) Does not apply if the storage unit itself has been in use at the described premises for more than 90 consecutive days, even if the business personal property has been stored there for 90 or fewer days as of the time of loss or damage.
- (4) Under this Extension, the most we will pay for the total of all loss or damage to business personal property is \$10,000 (unless a higher limit is indicated in the Declarations for such Extension) regardless of the number of storage units. Such limit is part of, not in addition to, the applicable Limit of Insurance on Your Business Personal Property. Therefore, payment under this Extension will not increase the applicable Limit of Insurance on Your Business Personal Property.
- (5) This Extension does not apply to loss or damage otherwise covered under this Coverage Form or any endorsement to this Coverage Form or policy, and does not apply to loss or damage to the storage unit itself.

Each of these Extensions is additional insurance unless otherwise indicated. The Additional Condition, Coinsurance, does not apply to these Extensions.

B. Exclusions And Limitations

See applicable Causes Of Loss form as shown in the Declarations.

C. Limits Of Insurance

The most we will pay for loss or damage in any one occurrence is the applicable Limit Of Insurance shown in the Declarations.

The most we will pay for loss or damage to outdoor signs, whether or not the sign is attached to a building, is \$2,500 per sign in any one occurrence.

The amounts of insurance stated in the following Additional Coverages apply in accordance with the terms of such coverages and are separate from the Limit(s) Of Insurance shown in the Declarations for any other coverage:

1. Fire Department Service Charge;
2. Pollutant Clean-up And Removal;
3. Increased Cost Of Construction; and
4. Electronic Data.

Payments under the Preservation Of Property Additional Coverage will not increase the applicable Limit of Insurance.

D. Deductible

In any one occurrence of loss or damage (hereinafter referred to as loss), we will first reduce the amount of loss if required by the Coinsurance Condition or the Agreed Value Optional Coverage. If the adjusted amount of loss is less than or equal to the Deductible, we will not pay for that loss. If the adjusted amount of loss exceeds the Deductible, we will then subtract the Deductible from the adjusted amount of loss and will pay the resulting amount or the Limit of Insurance, whichever is less.

When the occurrence involves loss to more than one item of Covered Property and separate Limits of Insurance apply, the losses will not be combined in determining application of the Deductible. But the Deductible will be applied only once per occurrence.

Example 1

(This example assumes there is no Coinsurance penalty.)

Deductible:	\$ 250
Limit of Insurance – Building 1:	\$ 60,000
Limit of Insurance – Building 2:	\$ 80,000
Loss to Building 1:	\$ 60,100
Loss to Building 2:	\$ 90,000

The amount of loss to Building 1 (\$60,100) is less than the sum (\$60,250) of the Limit of Insurance applicable to Building 1 plus the Deductible.

The Deductible will be subtracted from the amount of loss in calculating the loss payable for Building 1:

\$ 60,100
– 250
\$ 59,850 Loss Payable – Building 1

The Deductible applies once per occurrence and therefore is not subtracted in determining the amount of loss payable for Building 2. Loss payable for Building 2 is the Limit of Insurance of \$80,000.

Total amount of loss payable:

$$\$59,850 + \$80,000 = \$139,850$$

Example 2

(This example, too, assumes there is no Coinsurance penalty.)

The Deductible and Limits of Insurance are the same as those in Example 1.

Loss to Building 1:	\$ 70,000
(Exceeds Limit of Insurance plus Deductible)	
Loss to Building 2:	\$ 90,000
(Exceeds Limit of Insurance plus Deductible)	
Loss Payable – Building 1:	\$ 60,000
(Limit of Insurance)	
Loss Payable – Building 2:	\$ 80,000
(Limit of Insurance)	
Total amount of loss payable:	\$ 140,000

E. Loss Conditions

The following conditions apply in addition to the Common Policy Conditions and the Commercial Property Conditions:

1. Abandonment

There can be no abandonment of any property to us.

2. Appraisal

If we and you disagree on the value of the property or the amount of loss, either may make written demand for an appraisal of the loss. In this event, each party will select a competent and impartial appraiser. The two appraisers will select an umpire. If they cannot agree, either may request that selection be made by a judge of a court having jurisdiction. The appraisers will state separately the value of the property and amount of loss. If they fail to agree, they will submit their differences to the umpire. A decision agreed to by any two will be binding. Each party will:

- a. Pay its chosen appraiser; and
- b. Bear the other expenses of the appraisal and umpire equally.

If there is an appraisal, we will still retain our right to deny the claim.

3. Duties In The Event Of Loss Or Damage

- a. You must see that the following are done in the event of loss or damage to Covered Property:

- (1) Notify the police if a law may have been broken.

- (2) Give us prompt notice of the loss or damage. Include a description of the property involved.
 - (3) As soon as possible, give us a description of how, when and where the loss or damage occurred.
 - (4) Take all reasonable steps to protect the Covered Property from further damage, and keep a record of your expenses necessary to protect the Covered Property, for consideration in the settlement of the claim. This will not increase the Limit of Insurance. However, we will not pay for any subsequent loss or damage resulting from a cause of loss that is not a Covered Cause of Loss. Also, if feasible, set the damaged property aside and in the best possible order for examination.
 - (5) At our request, give us complete inventories of the damaged and undamaged property. Include quantities, costs, values and amount of loss claimed.
 - (6) As often as may be reasonably required, permit us to inspect the property proving the loss or damage and examine your books and records.

Also, permit us to take samples of damaged and undamaged property for inspection, testing and analysis, and permit us to make copies from your books and records.
 - (7) Send us a signed, sworn proof of loss containing the information we request to investigate the claim. You must do this within 60 days after our request. We will supply you with the necessary forms.
 - (8) Cooperate with us in the investigation or settlement of the claim.
- b.** We may examine any insured under oath, while not in the presence of any other insured and at such times as may be reasonably required, about any matter relating to this insurance or the claim, including an insured's books and records. In the event of an examination, an insured's answers must be signed.

4. Loss Payment

- a.** In the event of loss or damage covered by this Coverage Form, at our option, we will either:
 - (1) Pay the value of lost or damaged property;
 - (2) Pay the cost of repairing or replacing the lost or damaged property, subject to **b.** below;
 - (3) Take all or any part of the property at an agreed or appraised value; or
 - (4) Repair, rebuild or replace the property with other property of like kind and quality, subject to **b.** below.

We will determine the value of lost or damaged property, or the cost of its repair or replacement, in accordance with the applicable terms of the Valuation Condition in this Coverage Form or any applicable provision which amends or supersedes the Valuation Condition.
- b.** The cost to repair, rebuild or replace does not include the increased cost attributable to enforcement of or compliance with any ordinance or law regulating the construction, use or repair of any property.
- c.** We will give notice of our intentions within 30 days after we receive the sworn proof of loss.
- d.** We will not pay you more than your financial interest in the Covered Property.
- e.** We may adjust losses with the owners of lost or damaged property if other than you. If we pay the owners, such payments will satisfy your claims against us for the owners' property. We will not pay the owners more than their financial interest in the Covered Property.
- f.** We may elect to defend you against suits arising from claims of owners of property. We will do this at our expense.
- g.** We will pay for covered loss or damage within 30 days after we receive the sworn proof of loss, if you have complied with all of the terms of this Coverage Part, and:
 - (1) We have reached agreement with you on the amount of loss; or
 - (2) An appraisal award has been made.

- h.** A party wall is a wall that separates and is common to adjoining buildings that are owned by different parties. In settling covered losses involving a party wall, we will pay a proportion of the loss to the party wall based on your interest in the wall in proportion to the interest of the owner of the adjoining building. However, if you elect to repair or replace your building and the owner of the adjoining building elects not to repair or replace that building, we will pay you the full value of the loss to the party wall, subject to all applicable policy provisions including Limits of Insurance, the Valuation and Coinsurance Conditions and all other provisions of this Loss Payment Condition. Our payment under the provisions of this paragraph does not alter any right of subrogation we may have against any entity, including the owner or insurer of the adjoining building, and does not alter the terms of the Transfer Of Rights Of Recovery Against Others To Us Condition in this policy.

5. Recovered Property

If either you or we recover any property after loss settlement, that party must give the other prompt notice. At your option, the property will be returned to you. You must then return to us the amount we paid to you for the property. We will pay recovery expenses and the expenses to repair the recovered property, subject to the Limit of Insurance.

6. Vacancy

a. Description Of Terms

- (1)** As used in this Vacancy Condition, the term building and the term vacant have the meanings set forth in **(1)(a)** and **(1)(b)** below:
- (a)** When this policy is issued to a tenant, and with respect to that tenant's interest in Covered Property, building means the unit or suite rented or leased to the tenant. Such building is vacant when it does not contain enough business personal property to conduct customary operations.

- (b)** When this policy is issued to the owner or general lessee of a building, building means the entire building. Such building is vacant unless at least 31% of its total square footage is:

- (i)** Rented to a lessee or sublessee and used by the lessee or sublessee to conduct its customary operations; and/or
- (ii)** Used by the building owner to conduct customary operations.

- (2)** Buildings under construction or renovation are not considered vacant.

b. Vacancy Provisions

If the building where loss or damage occurs has been vacant for more than 60 consecutive days before that loss or damage occurs:

- (1)** We will not pay for any loss or damage caused by any of the following, even if they are Covered Causes of Loss:
- (a)** Vandalism;
 - (b)** Sprinkler leakage, unless you have protected the system against freezing;
 - (c)** Building glass breakage;
 - (d)** Water damage;
 - (e)** Theft; or
 - (f)** Attempted theft.
- (2)** With respect to Covered Causes of Loss other than those listed in **b.(1)(a)** through **b.(1)(f)** above, we will reduce the amount we would otherwise pay for the loss or damage by 15%.

7. Valuation

We will determine the value of Covered Property in the event of loss or damage as follows:

- a.** At actual cash value as of the time of loss or damage, except as provided in **b.**, **c.**, **d.** and **e.** below.
- b.** If the Limit of Insurance for Building satisfies the Additional Condition, Coinsurance, and the cost to repair or replace the damaged building property is \$2,500 or less, we will pay the cost of building repairs or replacement.

The cost of building repairs or replacement does not include the increased cost attributable to enforcement of or compliance with any ordinance or law regulating the construction, use or repair of any property.

However, the following property will be valued at the actual cash value, even when attached to the building:

- (1) Awnings or floor coverings;
- (2) Appliances for refrigerating, ventilating, cooking, dishwashing or laundering; or
- (3) Outdoor equipment or furniture.
- c. "Stock" you have sold but not delivered at the selling price less discounts and expenses you otherwise would have had.
- d. Glass at the cost of replacement with safety-glazing material if required by law.
- e. Tenants' Improvements and Betterments at:
 - (1) Actual cash value of the lost or damaged property if you make repairs promptly.
 - (2) A proportion of your original cost if you do not make repairs promptly. We will determine the proportionate value as follows:
 - (a) Multiply the original cost by the number of days from the loss or damage to the expiration of the lease; and
 - (b) Divide the amount determined in (a) above by the number of days from the installation of improvements to the expiration of the lease.

If your lease contains a renewal option, the expiration of the renewal option period will replace the expiration of the lease in this procedure.

- (3) Nothing if others pay for repairs or replacement.

F. Additional Conditions

The following conditions apply in addition to the Common Policy Conditions and the Commercial Property Conditions:

1. Coinsurance

If a Coinsurance percentage is shown in the Declarations, the following condition applies:

- a. We will not pay the full amount of any loss if the value of Covered Property at the time of loss times the Coinsurance percentage shown for it in the Declarations is greater than the Limit of Insurance for the property.

Instead, we will determine the most we will pay using the following steps:

- (1) Multiply the value of Covered Property at the time of loss by the Coinsurance percentage;
- (2) Divide the Limit of Insurance of the property by the figure determined in Step (1);
- (3) Multiply the total amount of loss, before the application of any deductible, by the figure determined in Step (2); and
- (4) Subtract the deductible from the figure determined in Step (3).

We will pay the amount determined in Step (4) or the Limit of Insurance, whichever is less. For the remainder, you will either have to rely on other insurance or absorb the loss yourself.

Example 1 (Underinsurance)

When:	The value of the property is:	\$ 250,000
	The Coinsurance percentage for it is:	80%
	The Limit of Insurance for it is:	\$ 100,000
	The Deductible is:	\$ 250
	The amount of loss is:	\$ 40,000

Step (1): $\$250,000 \times 80\% = \$200,000$
(the minimum amount of insurance to meet your Coinsurance requirements)

Step (2): $\$100,000 \div \$200,000 = .50$

Step (3): $\$40,000 \times .50 = \$20,000$

Step (4): $\$20,000 - \$250 = \$19,750$

We will pay no more than \$19,750. The remaining \$20,250 is not covered.

Example 2 (Adequate Insurance)

When:	The value of the property is:	\$ 250,000
	The Coinsurance percentage for it is:	80%
	The Limit of Insurance for it is:	\$ 200,000
	The Deductible is:	\$ 250
	The amount of loss is:	\$ 40,000

The minimum amount of insurance to meet your Coinsurance requirement is \$200,000 ($\$250,000 \times 80\%$). Therefore, the Limit of Insurance in this example is adequate, and no penalty applies. We will pay no more than \$39,750 (\$40,000 amount of loss minus the deductible of \$250).

- b. If one Limit of Insurance applies to two or more separate items, this condition will apply to the total of all property to which the limit applies.

Example 3

When: The value of the property is:

Building at Location 1:	\$ 75,000
Building at Location 2:	\$ 100,000
Personal Property at Location 2:	<u>\$ 75,000</u>
	\$ 250,000

The Coinsurance percentage for it is: 90%

The Limit of Insurance for Buildings and Personal Property at Locations 1 and 2 is: \$ 180,000

The Deductible is: \$ 1,000

The amount of loss is:

Building at Location 2: \$ 30,000

Personal Property at Location 2:	<u>\$ 20,000</u>
	\$ 50,000

Step (1): $\$250,000 \times 90\% = \$225,000$
(the minimum amount of insurance to meet your Coinsurance requirements and to avoid the penalty shown below)

Step (2): $\$180,000 \div \$225,000 = .80$

Step (3): $\$50,000 \times .80 = \$40,000$

Step (4): $\$40,000 - \$1,000 = \$39,000$

We will pay no more than \$39,000. The remaining \$11,000 is not covered.

2. Mortgageholders

- The term mortgageholder includes trustee.
- We will pay for covered loss of or damage to buildings or structures to each mortgageholder shown in the Declarations in their order of precedence, as interests may appear.
- The mortgageholder has the right to receive loss payment even if the mortgageholder has started foreclosure or similar action on the building or structure.
- If we deny your claim because of your acts or because you have failed to comply with the terms of this Coverage Part, the mortgageholder will still have the right to receive loss payment if the mortgageholder:
 - Pays any premium due under this Coverage Part at our request if you have failed to do so;

- Submits a signed, sworn proof of loss within 60 days after receiving notice from us of your failure to do so; and

- Has notified us of any change in ownership, occupancy or substantial change in risk known to the mortgageholder.

All of the terms of this Coverage Part will then apply directly to the mortgageholder.

- e. If we pay the mortgageholder for any loss or damage and deny payment to you because of your acts or because you have failed to comply with the terms of this Coverage Part:

- The mortgageholder's rights under the mortgage will be transferred to us to the extent of the amount we pay; and

- The mortgageholder's right to recover the full amount of the mortgageholder's claim will not be impaired.

At our option, we may pay to the mortgageholder the whole principal on the mortgage plus any accrued interest. In this event, your mortgage and note will be transferred to us and you will pay your remaining mortgage debt to us.

- f. If we cancel this policy, we will give written notice to the mortgageholder at least:

- 10 days before the effective date of cancellation if we cancel for your nonpayment of premium; or

- 30 days before the effective date of cancellation if we cancel for any other reason.

- g. If we elect not to renew this policy, we will give written notice to the mortgageholder at least 10 days before the expiration date of this policy.

G. Optional Coverages

If shown as applicable in the Declarations, the following Optional Coverages apply separately to each item:

1. Agreed Value

- The Additional Condition, Coinsurance, does not apply to Covered Property to which this Optional Coverage applies. We will pay no more for loss of or damage to that property than the proportion that the Limit of Insurance under this Coverage Part for the property bears to the Agreed Value shown for it in the Declarations.

- b. If the expiration date for this Optional Coverage shown in the Declarations is not extended, the Additional Condition, Coinsurance, is reinstated and this Optional Coverage expires.
- c. The terms of this Optional Coverage apply only to loss or damage that occurs:
 - (1) On or after the effective date of this Optional Coverage; and
 - (2) Before the Agreed Value expiration date shown in the Declarations or the policy expiration date, whichever occurs first.

2. Inflation Guard

- a. The Limit of Insurance for property to which this Optional Coverage applies will automatically increase by the annual percentage shown in the Declarations.
- b. The amount of increase will be:
 - (1) The Limit of Insurance that applied on the most recent of the policy inception date, the policy anniversary date, or any other policy change amending the Limit of Insurance, times
 - (2) The percentage of annual increase shown in the Declarations, expressed as a decimal (example: 8% is .08), times
 - (3) The number of days since the beginning of the current policy year or the effective date of the most recent policy change amending the Limit of Insurance, divided by 365.

Example

If: The applicable Limit of Insurance is: \$ 100,000
 The annual percentage increase is: 8%
 The number of days since the beginning of the policy year (or last policy change) is: 146
 The amount of increase is:
 $\$100,000 \times .08 \times 146 \div 365 =$ \$ 3,200

3. Replacement Cost

- a. Replacement Cost (without deduction for depreciation) replaces Actual Cash Value in the Valuation Loss Condition of this Coverage Form.
- b. This Optional Coverage does not apply to:
 - (1) Personal property of others;
 - (2) Contents of a residence;
 - (3) Works of art, antiques or rare articles, including etchings, pictures, statuary, marbles, bronzes, porcelains and bric-a-brac; or

- (4) "Stock", unless the Including "Stock" option is shown in the Declarations.

Under the terms of this Replacement Cost Optional Coverage, tenants' improvements and betterments are not considered to be the personal property of others.

- c. You may make a claim for loss or damage covered by this insurance on an actual cash value basis instead of on a replacement cost basis. In the event you elect to have loss or damage settled on an actual cash value basis, you may still make a claim for the additional coverage this Optional Coverage provides if you notify us of your intent to do so within 180 days after the loss or damage.
- d. We will not pay on a replacement cost basis for any loss or damage:
 - (1) Until the lost or damaged property is actually repaired or replaced; and
 - (2) Unless the repair or replacement is made as soon as reasonably possible after the loss or damage.

With respect to tenants' improvements and betterments, the following also apply:

- (3) If the conditions in d.(1) and d.(2) above are not met, the value of tenants' improvements and betterments will be determined as a proportion of your original cost, as set forth in the Valuation Loss Condition of this Coverage Form; and
- (4) We will not pay for loss or damage to tenants' improvements and betterments if others pay for repairs or replacement.
- e. We will not pay more for loss or damage on a replacement cost basis than the least of (1), (2) or (3), subject to f. below:
 - (1) The Limit of Insurance applicable to the lost or damaged property;
 - (2) The cost to replace the lost or damaged property with other property:
 - (a) Of comparable material and quality; and
 - (b) Used for the same purpose; or
 - (3) The amount actually spent that is necessary to repair or replace the lost or damaged property.

If a building is rebuilt at a new premises, the cost described in e.(2) above is limited to the cost which would have been incurred if the building had been rebuilt at the original premises.

- f. The cost of repair or replacement does not include the increased cost attributable to enforcement of or compliance with any ordinance or law regulating the construction, use or repair of any property.

4. Extension Of Replacement Cost To Personal Property Of Others

- a. If the Replacement Cost Optional Coverage is shown as applicable in the Declarations, then this Extension may also be shown as applicable. If the Declarations show this Extension as applicable, then Paragraph **3.b.(1)** of the Replacement Cost Optional Coverage is deleted and all other provisions of the Replacement Cost Optional Coverage apply to replacement cost on personal property of others.
- b. With respect to replacement cost on the personal property of others, the following limitation applies:

If an item(s) of personal property of others is subject to a written contract which governs your liability for loss or damage to that item(s), then valuation of that item(s) will be based on the amount for which you are liable under such contract, but not to exceed the lesser of the replacement cost of the property or the applicable Limit of Insurance.

H. Definitions

- 1. "Fungus" means any type or form of fungus, including mold or mildew, and any mycotoxins, spores, scents or by-products produced or released by fungi.
- 2. "Pollutants" means any solid, liquid, gaseous or thermal irritant or contaminant, including smoke, vapor, soot, fumes, acids, alkalis, chemicals and waste. Waste includes materials to be recycled, reconditioned or reclaimed.
- 3. "Stock" means merchandise held in storage or for sale, raw materials and in-process or finished goods, including supplies used in their packing or shipping.

COMMERCIAL PROPERTY
CP 00 30 10 12

BUSINESS INCOME (AND EXTRA EXPENSE) COVERAGE FORM

Various provisions in this policy restrict coverage. Read the entire policy carefully to determine rights, duties and what is and is not covered.

Throughout this policy, the words "you" and "your" refer to the Named Insured shown in the Declarations. The words "we", "us" and "our" refer to the company providing this insurance.

Other words and phrases that appear in quotation marks have special meaning. Refer to Section F. Definitions.

A. Coverage

1. Business Income

Business Income means the:

- a. Net Income (Net Profit or Loss before income taxes) that would have been earned or incurred; and
- b. Continuing normal operating expenses incurred, including payroll.

For manufacturing risks, Net Income includes the net sales value of production.

Coverage is provided as described and limited below for one or more of the following options for which a Limit Of Insurance is shown in the Declarations:

- (1) Business Income Including "Rental Value".
- (2) Business Income Other Than "Rental Value".
- (3) "Rental Value".

If option (1) above is selected, the term Business Income will include "Rental Value". If option (3) above is selected, the term Business Income will mean "Rental Value" only.

If Limits of Insurance are shown under more than one of the above options, the provisions of this Coverage Part apply separately to each.

We will pay for the actual loss of Business Income you sustain due to the necessary "suspension" of your "operations" during the "period of restoration". The "suspension" must be caused by direct physical loss of or damage to property at premises which are described in the Declarations and for which a Business Income Limit Of Insurance is shown in the Declarations. The loss or damage must be caused by or result from a Covered Cause of Loss. With respect to loss of or damage to personal property in the open or personal property in a vehicle, the described premises include the area within 100 feet of such premises.

With respect to the requirements set forth in the preceding paragraph, if you occupy only part of a building, your premises means:

- (a) The portion of the building which you rent, lease or occupy;
- (b) The area within 100 feet of the building or within 100 feet of the premises described in the Declarations, whichever distance is greater (with respect to loss of or damage to personal property in the open or personal property in a vehicle); and
- (c) Any area within the building or at the described premises, if that area services, or is used to gain access to, the portion of the building which you rent, lease or occupy.

2. Extra Expense

- a. Extra Expense Coverage is provided at the premises described in the Declarations only if the Declarations show that Business Income Coverage applies at that premises.
- b. Extra Expense means necessary expenses you incur during the "period of restoration" that you would not have incurred if there had been no direct physical loss or damage to property caused by or resulting from a Covered Cause of Loss.

We will pay Extra Expense (other than the expense to repair or replace property) to:

- (1) Avoid or minimize the "suspension" of business and to continue operations at the described premises or at replacement premises or temporary locations, including relocation expenses and costs to equip and operate the replacement location or temporary location.

- (2) Minimize the "suspension" of business if you cannot continue "operations".

We will also pay Extra Expense to repair or replace property, but only to the extent it reduces the amount of loss that otherwise would have been payable under this Coverage Form.

3. Covered Causes Of Loss, Exclusions And Limitations

See applicable Causes Of Loss form as shown in the Declarations.

4. Additional Limitation – Interruption Of Computer Operations

- a. Coverage for Business Income does not apply when a "suspension" of "operations" is caused by destruction or corruption of electronic data, or any loss or damage to electronic data, except as provided under the Additional Coverage, Interruption Of Computer Operations.
- b. Coverage for Extra Expense does not apply when action is taken to avoid or minimize a "suspension" of "operations" caused by destruction or corruption of electronic data, or any loss or damage to electronic data, except as provided under the Additional Coverage, Interruption Of Computer Operations.
- c. Electronic data means information, facts or computer programs stored as or on, created or used on, or transmitted to or from computer software (including systems and applications software), on hard or floppy disks, CD-ROMs, tapes, drives, cells, data processing devices or any other repositories of computer software which are used with electronically controlled equipment. The term computer programs, referred to in the foregoing description of electronic data, means a set of related electronic instructions which direct the operations and functions of a computer or device connected to it, which enable the computer or device to receive, process, store, retrieve or send data.
- d. This Additional Limitation does not apply when loss or damage to electronic data involves only electronic data which is integrated in and operates or controls a building's elevator, lighting, heating, ventilation, air conditioning or security system.

5. Additional Coverages

a. Civil Authority

In this Additional Coverage, Civil Authority, the described premises are premises to which this Coverage Form applies, as shown in the Declarations.

When a Covered Cause of Loss causes damage to property other than property at the described premises, we will pay for the actual loss of Business Income you sustain and necessary Extra Expense caused by action of civil authority that prohibits access to the described premises, provided that both of the following apply:

- (1) Access to the area immediately surrounding the damaged property is prohibited by civil authority as a result of the damage, and the described premises are within that area but are not more than one mile from the damaged property; and
- (2) The action of civil authority is taken in response to dangerous physical conditions resulting from the damage or continuation of the Covered Cause of Loss that caused the damage, or the action is taken to enable a civil authority to have unimpeded access to the damaged property.

Civil Authority Coverage for Business Income will begin 72 hours after the time of the first action of civil authority that prohibits access to the described premises and will apply for a period of up to four consecutive weeks from the date on which such coverage began.

Civil Authority Coverage for Extra Expense will begin immediately after the time of the first action of civil authority that prohibits access to the described premises and will end:

- (1) Four consecutive weeks after the date of that action; or
 - (2) When your Civil Authority Coverage for Business Income ends;
- whichever is later.

b. Alterations And New Buildings

We will pay for the actual loss of Business Income you sustain and necessary Extra Expense you incur due to direct physical loss or damage at the described premises caused by or resulting from any Covered Cause of Loss to:

- (1) New buildings or structures, whether complete or under construction;
- (2) Alterations or additions to existing buildings or structures; and
- (3) Machinery, equipment, supplies or building materials located on or within 100 feet of the described premises and:
 - (a) Used in the construction, alterations or additions; or
 - (b) Incidental to the occupancy of new buildings.

If such direct physical loss or damage delays the start of "operations", the "period of restoration" for Business Income Coverage will begin on the date "operations" would have begun if the direct physical loss or damage had not occurred.

c. Extended Business Income

(1) Business Income Other Than "Rental Value"

If the necessary "suspension" of your "operations" produces a Business Income loss payable under this policy, we will pay for the actual loss of Business Income you incur during the period that:

- (a) Begins on the date property (except "finished stock") is actually repaired, rebuilt or replaced and "operations" are resumed; and
- (b) Ends on the earlier of:
 - (i) The date you could restore your "operations", with reasonable speed, to the level which would generate the business income amount that would have existed if no direct physical loss or damage had occurred; or
 - (ii) 60 consecutive days after the date determined in (1)(a) above.

However, Extended Business Income does not apply to loss of Business Income incurred as a result of unfavorable business conditions caused by the impact of the Covered Cause of Loss in the area where the described premises are located.

Loss of Business Income must be caused by direct physical loss or damage at the described premises caused by or resulting from any Covered Cause of Loss.

(2) "Rental Value"

If the necessary "suspension" of your "operations" produces a "Rental Value" loss payable under this policy, we will pay for the actual loss of "Rental Value" you incur during the period that:

- (a) Begins on the date property is actually repaired, rebuilt or replaced and tenantability is restored; and
- (b) Ends on the earlier of:
 - (i) The date you could restore tenant occupancy, with reasonable speed, to the level which would generate the "Rental Value" that would have existed if no direct physical loss or damage had occurred; or
 - (ii) 60 consecutive days after the date determined in (2)(a) above.

However, Extended Business Income does not apply to loss of "Rental Value" incurred as a result of unfavorable business conditions caused by the impact of the Covered Cause of Loss in the area where the described premises are located.

Loss of "Rental Value" must be caused by direct physical loss or damage at the described premises caused by or resulting from any Covered Cause of Loss.

d. Interruption Of Computer Operations

- (1) Under this Additional Coverage, electronic data has the meaning described under Additional Limitation – Interruption Of Computer Operations.

- (2) Subject to all provisions of this Additional Coverage, you may extend the insurance that applies to Business Income and Extra Expense to apply to a "suspension" of "operations" caused by an interruption in computer operations due to destruction or corruption of electronic data due to a Covered Cause of Loss. However, we will not provide coverage under this Additional Coverage when the Additional Limitation – Interruption Of Computer Operations does not apply based on Paragraph **A.4.d.** therein.
- (3) With respect to the coverage provided under this Additional Coverage, the Covered Causes of Loss are subject to the following:
 - (a) If the Causes Of Loss – Special Form applies, coverage under this Additional Coverage, Interruption Of Computer Operations, is limited to the "specified causes of loss" as defined in that form and Collapse as set forth in that form.
 - (b) If the Causes Of Loss – Broad Form applies, coverage under this Additional Coverage, Interruption Of Computer Operations, includes Collapse as set forth in that form.
 - (c) If the Causes Of Loss form is endorsed to add a Covered Cause of Loss, the additional Covered Cause of Loss does not apply to the coverage provided under this Additional Coverage, Interruption Of Computer Operations.
 - (d) The Covered Causes of Loss include a virus, harmful code or similar instruction introduced into or enacted on a computer system (including electronic data) or a network to which it is connected, designed to damage or destroy any part of the system or disrupt its normal operation. But there is no coverage for an interruption related to manipulation of a computer system (including electronic data) by any employee, including a temporary or leased employee, or by an entity retained by you or for you to inspect, design, install, maintain, repair or replace that system.

- (4) The most we will pay under this Additional Coverage, Interruption Of Computer Operations, is \$2,500 (unless a higher limit is shown in the Declarations) for all loss sustained and expense incurred in any one policy year, regardless of the number of interruptions or the number of premises, locations or computer systems involved. If loss payment relating to the first interruption does not exhaust this amount, then the balance is available for loss or expense sustained or incurred as a result of subsequent interruptions in that policy year. A balance remaining at the end of a policy year does not increase the amount of insurance in the next policy year. With respect to any interruption which begins in one policy year and continues or results in additional loss or expense in a subsequent policy year(s), all loss and expense is deemed to be sustained or incurred in the policy year in which the interruption began.

- (5) This Additional Coverage, Interruption Of Computer Operations, does not apply to loss sustained or expense incurred after the end of the "period of restoration", even if the amount of insurance stated in (4) above has not been exhausted.

6. Coverage Extension

If a Coinsurance percentage of 50% or more is shown in the Declarations, you may extend the insurance provided by this Coverage Part as follows:

Newly Acquired Locations

- a. You may extend your Business Income and Extra Expense Coverages to apply to property at any location you acquire other than fairs or exhibitions.
- b. The most we will pay under this Extension, for the sum of Business Income loss and Extra Expense incurred, is \$100,000 at each location, unless a higher limit is shown in the Declarations.
- c. Insurance under this Extension for each newly acquired location will end when any of the following first occurs:
 - (1) This policy expires;

(2) 30 days expire after you acquire or begin to construct the property; or

(3) You report values to us.

We will charge you additional premium for values reported from the date you acquire the property.

The Additional Condition, Coinsurance, does not apply to this Extension.

B. Limits Of Insurance

The most we will pay for loss in any one occurrence is the applicable Limit Of Insurance shown in the Declarations.

Payments under the following coverages will not increase the applicable Limit of Insurance:

1. Alterations And New Buildings;
2. Civil Authority;
3. Extra Expense; or
4. Extended Business Income.

The amounts of insurance stated in the Interruption Of Computer Operations Additional Coverage and the Newly Acquired Locations Coverage Extension apply in accordance with the terms of those coverages and are separate from the Limit(s) Of Insurance shown in the Declarations for any other coverage.

C. Loss Conditions

The following conditions apply in addition to the Common Policy Conditions and the Commercial Property Conditions:

1. Appraisal

If we and you disagree on the amount of Net Income and operating expense or the amount of loss, either may make written demand for an appraisal of the loss. In this event, each party will select a competent and impartial appraiser.

The two appraisers will select an umpire. If they cannot agree, either may request that selection be made by a judge of a court having jurisdiction. The appraisers will state separately the amount of Net Income and operating expense or amount of loss. If they fail to agree, they will submit their differences to the umpire. A decision agreed to by any two will be binding. Each party will:

- a. Pay its chosen appraiser; and
- b. Bear the other expenses of the appraisal and umpire equally.

If there is an appraisal, we will still retain our right to deny the claim.

2. Duties In The Event Of Loss

a. You must see that the following are done in the event of loss:

- (1) Notify the police if a law may have been broken.
- (2) Give us prompt notice of the direct physical loss or damage. Include a description of the property involved.
- (3) As soon as possible, give us a description of how, when and where the direct physical loss or damage occurred.
- (4) Take all reasonable steps to protect the Covered Property from further damage, and keep a record of your expenses necessary to protect the Covered Property, for consideration in the settlement of the claim. This will not increase the Limit of Insurance. However, we will not pay for any subsequent loss or damage resulting from a cause of loss that is not a Covered Cause of Loss. Also, if feasible, set the damaged property aside and in the best possible order for examination.
- (5) As often as may be reasonably required, permit us to inspect the property proving the loss or damage and examine your books and records.

Also permit us to take samples of damaged and undamaged property for inspection, testing and analysis, and permit us to make copies from your books and records.
- (6) Send us a signed, sworn proof of loss containing the information we request to investigate the claim. You must do this within 60 days after our request. We will supply you with the necessary forms.
- (7) Cooperate with us in the investigation or settlement of the claim.
- (8) If you intend to continue your business, you must resume all or part of your "operations" as quickly as possible.

b. We may examine any insured under oath, while not in the presence of any other insured and at such times as may be reasonably required, about any matter relating to this insurance or the claim, including an insured's books and records. In the event of an examination, an insured's answers must be signed.

3. Loss Determination

- a. The amount of Business Income loss will be determined based on:
- (1) The Net Income of the business before the direct physical loss or damage occurred;
 - (2) The likely Net Income of the business if no physical loss or damage had occurred, but not including any Net Income that would likely have been earned as a result of an increase in the volume of business due to favorable business conditions caused by the impact of the Covered Cause of Loss on customers or on other businesses;
 - (3) The operating expenses, including payroll expenses, necessary to resume "operations" with the same quality of service that existed just before the direct physical loss or damage; and
 - (4) Other relevant sources of information, including:
 - (a) Your financial records and accounting procedures;
 - (b) Bills, invoices and other vouchers; and
 - (c) Deeds, liens or contracts.
- b. The amount of Extra Expense will be determined based on:
- (1) All expenses that exceed the normal operating expenses that would have been incurred by "operations" during the "period of restoration" if no direct physical loss or damage had occurred. We will deduct from the total of such expenses:
 - (a) The salvage value that remains of any property bought for temporary use during the "period of restoration", once "operations" are resumed; and
 - (b) Any Extra Expense that is paid for by other insurance, except for insurance that is written subject to the same plan, terms, conditions and provisions as this insurance; and
 - (2) Necessary expenses that reduce the Business Income loss that otherwise would have been incurred.

c. Resumption Of Operations

We will reduce the amount of your:

- (1) Business Income loss, other than Extra Expense, to the extent you can resume your "operations", in whole or in part, by using damaged or undamaged property (including merchandise or stock) at the described premises or elsewhere.
 - (2) Extra Expense loss to the extent you can return "operations" to normal and discontinue such Extra Expense.
- d. If you do not resume "operations", or do not resume "operations" as quickly as possible, we will pay based on the length of time it would have taken to resume "operations" as quickly as possible.

4. Loss Payment

We will pay for covered loss within 30 days after we receive the sworn proof of loss, if you have complied with all of the terms of this Coverage Part, and:

- a. We have reached agreement with you on the amount of loss; or
- b. An appraisal award has been made.

D. Additional Condition

COINSURANCE

If a Coinsurance percentage is shown in the Declarations, the following condition applies in addition to the Common Policy Conditions and the Commercial Property Conditions.

We will not pay the full amount of any Business Income loss if the Limit of Insurance for Business Income is less than:

1. The Coinsurance percentage shown for Business Income in the Declarations; times
2. The sum of:
 - a. The Net Income (Net Profit or Loss before income taxes), and
 - b. Operating expenses, including payroll expenses,that would have been earned or incurred (had no loss occurred) by your "operations" at the described premises for the 12 months following the inception, or last previous anniversary date, of this policy (whichever is later).

Instead, we will determine the most we will pay using the following steps:

- Step (1):** Multiply the Net Income and operating expense for the 12 months following the inception, or last previous anniversary date, of this policy by the Coinsurance percentage;
- Step (2):** Divide the Limit of Insurance for the described premises by the figure determined in Step (1); and
- Step (3):** Multiply the total amount of loss by the figure determined in Step (2).

We will pay the amount determined in Step (3) or the limit of insurance, whichever is less. For the remainder, you will either have to rely on other insurance or absorb the loss yourself.

In determining operating expenses for the purpose of applying the Coinsurance condition, the following expenses, if applicable, shall be deducted from the total of all operating expenses:

- (1) Prepaid freight – outgoing;
- (2) Returns and allowances;
- (3) Discounts;
- (4) Bad debts;
- (5) Collection expenses;
- (6) Cost of raw stock and factory supplies consumed (including transportation charges);
- (7) Cost of merchandise sold (including transportation charges);
- (8) Cost of other supplies consumed (including transportation charges);
- (9) Cost of services purchased from outsiders (not employees) to resell, that do not continue under contract;
- (10) Power, heat and refrigeration expenses that do not continue under contract (if Form **CP 15 11** is attached);
- (11) All payroll expenses or the amount of payroll expense excluded (if Form **CP 15 10** is attached); and
- (12) Special deductions for mining properties (royalties unless specifically included in coverage; actual depletion commonly known as unit or cost depletion – not percentage depletion; welfare and retirement fund charges based on tonnage; hired trucks).

Example 1 (Underinsurance)

When: The Net Income and operating expenses for the 12 months following the inception, or last previous anniversary date, of this policy at the described premises would have been: \$ 400,000
The Coinsurance percentage is: 50%
The Limit of Insurance is: \$ 150,000
The amount of loss is: \$ 80,000

Step (1): $\$400,000 \times 50\% = \$200,000$
(the minimum amount of insurance to meet your Coinsurance requirements)

Step (2): $\$150,000 \div \$200,000 = .75$

Step (3): $\$80,000 \times .75 = \$60,000$

We will pay no more than \$60,000. The remaining \$20,000 is not covered.

Example 2 (Adequate Insurance)

When: The Net Income and operating expenses for the 12 months following the inception, or last previous anniversary date, of this policy at the described premises would have been: \$ 400,000
The Coinsurance percentage is: 50%
The Limit of Insurance is: \$ 200,000
The amount of loss is: \$ 80,000

The minimum amount of insurance to meet your Coinsurance requirement is \$200,000 ($\$400,000 \times 50\%$). Therefore, the Limit of Insurance in this example is adequate and no penalty applies. We will pay no more than \$80,000 (amount of loss).

This condition does not apply to Extra Expense Coverage.

E. Optional Coverages

If shown as applicable in the Declarations, the following Optional Coverages apply separately to each item.

1. Maximum Period Of Indemnity

- a. The Additional Condition, Coinsurance, does not apply to this Coverage Form at the described premises to which this Optional Coverage applies.

- b. The most we will pay for the total of Business Income loss and Extra Expense is the lesser of:

- (1) The amount of loss sustained and expenses incurred during the 120 days immediately following the beginning of the "period of restoration"; or
- (2) The Limit Of Insurance shown in the Declarations.

2. Monthly Limit Of Indemnity

- a. The Additional Condition, Coinsurance, does not apply to this Coverage Form at the described premises to which this Optional Coverage applies.
- b. The most we will pay for loss of Business Income in each period of 30 consecutive days after the beginning of the "period of restoration" is:
 - (1) The Limit of Insurance, multiplied by
 - (2) The fraction shown in the Declarations for this Optional Coverage.

Example

When:	The Limit of Insurance is:	\$ 120,000
	The fraction shown in the Declarations for this Optional Coverage is:	1/4
	The most we will pay for loss in each period of 30 consecutive days is:	\$ 30,000
	(\$120,000 x 1/4 = \$30,000)	
	If, in this example, the actual amount of loss is:	
	Days 1–30:	\$ 40,000
	Days 31–60:	\$ 20,000
	Days 61–90:	\$ 30,000
		\$ 90,000
	We will pay:	
	Days 1–30:	\$ 30,000
	Days 31–60:	\$ 20,000
	Days 61–90:	\$ 30,000
		\$ 80,000

The remaining \$10,000 is not covered.

3. Business Income Agreed Value

- a. To activate this Optional Coverage:
 - (1) A Business Income Report/Work Sheet must be submitted to us and must show financial data for your "operations":
 - (a) During the 12 months prior to the date of the Work Sheet; and

- (b) Estimated for the 12 months immediately following the inception of this Optional Coverage.

- (2) The Declarations must indicate that the Business Income Agreed Value Optional Coverage applies, and an Agreed Value must be shown in the Declarations. The Agreed Value should be at least equal to:

- (a) The Coinsurance percentage shown in the Declarations; multiplied by

- (b) The amount of Net Income and operating expenses for the following 12 months you report on the Work Sheet.

- b. The Additional Condition, Coinsurance, is suspended until:

- (1) 12 months after the effective date of this Optional Coverage; or

- (2) The expiration date of this policy; whichever occurs first.

- c. We will reinstate the Additional Condition, Coinsurance, automatically if you do not submit a new Work Sheet and Agreed Value:

- (1) Within 12 months of the effective date of this Optional Coverage; or

- (2) When you request a change in your Business Income Limit of Insurance.

- d. If the Business Income Limit of Insurance is less than the Agreed Value, we will not pay more of any loss than the amount of loss multiplied by:

- (1) The Business Income Limit of Insurance; divided by

- (2) The Agreed Value.

Example

When:	The Limit of Insurance is:	\$ 100,000
	The Agreed Value is:	\$ 200,000
	The amount of loss is:	\$ 80,000

Step (1): $\$100,000 \div \$200,000 = .50$

Step (2): $.50 \times \$80,000 = \$40,000$

We will pay \$40,000. The remaining \$40,000 is not covered.

4. Extended Period Of Indemnity

Under Paragraph A.5.c., **Extended Business Income**, the number 60 in Subparagraphs (1)(b) and (2)(b) is replaced by the number shown in the Declarations for this Optional Coverage.

F. Definitions

1. "Finished stock" means stock you have manufactured.

"Finished stock" also includes whiskey and alcoholic products being aged, unless there is a Coinsurance percentage shown for Business Income in the Declarations.

"Finished stock" does not include stock you have manufactured that is held for sale on the premises of any retail outlet insured under this Coverage Part.

2. "Operations" means:
 - a. Your business activities occurring at the described premises; and
 - b. The tenantability of the described premises, if coverage for Business Income Including "Rental Value" or "Rental Value" applies.
3. "Period of restoration" means the period of time that:
 - a. Begins:
 - (1) 72 hours after the time of direct physical loss or damage for Business Income Coverage; or
 - (2) Immediately after the time of direct physical loss or damage for Extra Expense Coverage;
caused by or resulting from any Covered Cause of Loss at the described premises; and
 - b. Ends on the earlier of:
 - (1) The date when the property at the described premises should be repaired, rebuilt or replaced with reasonable speed and similar quality; or
 - (2) The date when business is resumed at a new permanent location.

"Period of restoration" does not include any increased period required due to the enforcement of or compliance with any ordinance or law that:

- (1) Regulates the construction, use or repair, or requires the tearing down, of any property; or

- (2) Requires any insured or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of "pollutants".

The expiration date of this policy will not cut short the "period of restoration".

4. "Pollutants" means any solid, liquid, gaseous or thermal irritant or contaminant, including smoke, vapor, soot, fumes, acids, alkalis, chemicals and waste. Waste includes materials to be recycled, reconditioned or reclaimed.
5. "Rental Value" means Business Income that consists of:
 - a. Net Income (Net Profit or Loss before income taxes) that would have been earned or incurred as rental income from tenant occupancy of the premises described in the Declarations as furnished and equipped by you, including fair rental value of any portion of the described premises which is occupied by you; and
 - b. Continuing normal operating expenses incurred in connection with that premises, including:
 - (1) Payroll; and
 - (2) The amount of charges which are the legal obligation of the tenant(s) but would otherwise be your obligations.
6. "Suspension" means:
 - a. The slowdown or cessation of your business activities; or
 - b. That a part or all of the described premises is rendered untenable, if coverage for Business Income Including "Rental Value" or "Rental Value" applies.

COMMERCIAL PROPERTY

COMMERCIAL PROPERTY CONDITIONS

This Coverage Part is subject to the following conditions, the Common Policy Conditions and applicable Loss Conditions and Additional Conditions in Commercial Property Coverage Forms.

A. CONCEALMENT, MISREPRESENTATION OR FRAUD

This Coverage Part is void in any case of fraud by you as it relates to this Coverage Part at any time. It is also void if you or any other insured, at any time, intentionally conceal or misrepresent a material fact concerning:

1. This Coverage Part;
2. The Covered Property;
3. Your interest in the Covered Property; or
4. A claim under this Coverage Part.

B. CONTROL OF PROPERTY

Any act or neglect of any person other than you beyond your direction or control will not affect this insurance.

The breach of any condition of this Coverage Part at any one or more locations will not affect coverage at any location where, at the time of loss or damage, the breach of condition does not exist.

C. INSURANCE UNDER TWO OR MORE COVERAGES

If two or more of this policy's coverages apply to the same loss or damage, we will not pay more than the actual amount of the loss or damage.

D. LEGAL ACTION AGAINST US

No one may bring a legal action against us under this Coverage Part unless:

1. There has been full compliance with all of the terms of this Coverage Part; and
2. The action is brought within 2 years after the date on which the direct physical loss or damage occurred.

E. LIBERALIZATION

If we adopt any revision that would broaden the coverage under this Coverage Part without additional premium within 45 days prior to or during the policy period, the broadened coverage will immediately apply to this Coverage Part.

F. NO BENEFIT TO BAILEE

No person or organization, other than you, having custody of Covered Property will benefit from this insurance.

G. OTHER INSURANCE

1. You may have other insurance subject to the same plan, terms, conditions and provisions as the insurance under this Coverage Part. If you do, we will pay our share of the covered loss or damage. Our share is the proportion that the applicable Limit of Insurance under this Coverage Part bears to the Limits of Insurance of all insurance covering on the same basis.
2. If there is other insurance covering the same loss or damage, other than that described in 1. above, we will pay only for the amount of covered loss or damage in excess of the amount due from that other insurance, whether you can collect on it or not. But we will not pay more than the applicable Limit of Insurance.

H. POLICY PERIOD, COVERAGE TERRITORY

Under this Coverage Part:

1. We cover loss or damage commencing:
 - a. During the policy period shown in the Declarations; and
 - b. Within the coverage territory.
2. The coverage territory is:
 - a. The United States of America (including its territories and possessions);
 - b. Puerto Rico; and
 - c. Canada.

**I. TRANSFER OF RIGHTS OF RECOVERY
AGAINST OTHERS TO US**

If any person or organization to or for whom we make payment under this Coverage Part has rights to recover damages from another, those rights are transferred to us to the extent of our payment. That person or organization must do everything necessary to secure our rights and must do nothing after loss to impair them. But you may waive your rights against another party in writing:

1. Prior to a loss to your Covered Property or Covered Income.
2. After a loss to your Covered Property or Covered Income only if, at time of loss, that party is one of the following:
 - a. Someone insured by this insurance;
 - b. A business firm:
 - (1) Owned or controlled by you; or
 - (2) That owns or controls you; or
 - c. Your tenant.

This will not restrict your insurance.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

NEW YORK CHANGES

This endorsement modifies insurance provided under the following:

COMMERCIAL PROPERTY COVERAGE PART

A. If this policy covers the interest of the owner of any of the following types of buildings or structures:

1. Residential, except owner-occupied single-family or owner-occupied two-family buildings or structures;
2. Commercial; or
3. Industrial;

the following provision is added:

Before payment to you for loss or damage to the above buildings or structures caused by or resulting from fire, we will:

- (1) Deduct from your payment the claim of any tax district that issues a certificate of lien in accordance with the Insurance Law; and
- (2) Pay directly to the tax district the amount of the claim.

When we pay that claim, we will have no obligation to pay the amount of that claim to you. Our payment of that claim within 30 days of our receipt of the certificate of lien will be a conclusive presumption that the claim was valid and properly paid.

B. The following is added with respect to any Condition of this Coverage Part which requires you to notify us of loss or to notify us of an accident, claim or "suit":

1. Notice given by or on your behalf; or
2. Written notice by or on behalf of any claimant; to any of our agents in New York State, which adequately identifies you, will be the same as notice to us.

C. Legal Action Against Us

1. The **Legal Action Against Us** Loss Condition in the Legal Liability Coverage Form is replaced by the following:

No person or organization has a right under this Coverage Form:

- a. To join us as a party or otherwise bring us into a "suit" asking for damages from you; or
- b. To sue us on this Coverage Form unless all of its terms have been fully complied with.

A person or organization may sue us to recover on an agreed settlement or on a final judgment against you; but we will not be liable for damages that are not payable under the terms of this Coverage Form or that are in excess of the Limit of Insurance. An agreed settlement means a settlement and release of liability signed by us, you and the claimant or the claimant's legal representative.

2. Paragraph **b.** of Additional Condition **H.5. Legal Action Against Us** in the Mortgageholders Errors And Omissions Coverage Form is replaced by the following:

b. No person or organization has a right under Coverages **C** and **D**:

- (1) To join us as a party or otherwise bring us into a "suit" asking for damages from you; or
- (2) To sue us on this Coverage Form unless all of its terms have been fully complied with.

A person or organization may sue us to recover on an agreed settlement or on a final judgment against you; but we will not be liable for damages that are not payable under the terms of this Coverage Form or that are in excess of the Limit of Insurance. An agreed settlement means a settlement and release of liability signed by us, you and the claimant or the claimant's legal representative.

- D. The Examination Of Your Books And Records**
Common Policy Condition is replaced by the following:

Examination Of Your Books And Records

1. Except as provided in 2. below, we may examine and audit your books and records as they relate to this policy at any time during the policy period and up to three years afterward.
2. We will conduct an audit to determine the final premium due or to be refunded, for coverage for which an advance or deposit premium was paid based on estimated exposure. But the audit may be waived if:
 - a. The total annual premium attributable to the auditable exposure base is not reasonably expected to exceed \$1,500; or
 - b. The policy requires notification to the insurer with the specific identification of any additional exposure units (e.g., buildings) for which coverage is requested.

If the audit is not waived, it must be completed within 180 days after:

- a. The expiration date of the policy; or
- b. The anniversary date, if this is a continuous policy or a policy written for a term longer than one year.

- E. The following sentence is deleted from Paragraph A. in the Legal Liability Coverage Form:**

We will have the right and duty to defend any "suit" seeking those damages.

The following sentence is added to Paragraph A. in the Legal Liability Coverage Form:

We will have the right and duty to defend any "suit" seeking those damages even if the allegations of the "suit" are groundless, false or fraudulent.

- F. The following sentence is deleted from Paragraph A.3. in the Mortgageholders Errors And Omissions Coverage Form:**

We will have the right and duty to defend any "suit" seeking those damages.

The following is added to Paragraph A.3. in the Mortgageholders Errors And Omissions Coverage Form:

We will have the right and duty to defend any "suit" seeking those damages even if the allegations of the "suit" are groundless, false or fraudulent.

- G. The following Condition is added to Paragraph D. of the Legal Liability Coverage Form and Paragraph F.4. of the Mortgageholders Errors And Omissions Coverage Form:**

Transfer Of Duties When A Limit Of Insurance Is Used Up

1. If we conclude that, based on claims or "suits" which have been reported to us and to which this insurance may apply, a Limit of Insurance is likely to be used up in the payment of judgments or settlements, we will notify the first Named Insured, in writing, to that effect.
2. When the Limit of Insurance has actually been used up in the payment of judgments or settlements:
 - a. We will notify the first Named Insured, in writing, as soon as practicable, that:
 - (1) Such a limit has actually been used up; and
 - (2) Our duty to defend "suits" seeking damages subject to that limit has also ended.
 - b. We will initiate, and cooperate in, the transfer of control, to any appropriate insured, of all claims and "suits" seeking damages which are subject to that limit and which are reported to us before that limit is used up. That insured must cooperate in the transfer of control of said claims and "suits".

We agree to take such steps, as we deem appropriate, to avoid a default in, or continue the defense of, such "suits" until such transfer is completed, provided the appropriate insured is cooperating in completing such transfer.

We will take no action whatsoever with respect to any claim or "suit" seeking damages that would have been subject to that limit, had it not been used up, if the claim or "suit" is reported to us after that limit of insurance has been used up.

- c. The first Named Insured, and any other insured involved in a "suit" seeking damages subject to that limit, must arrange for the defense of such "suit" within such time period as agreed to between the appropriate insured and us. Absent any such agreement, arrangements for the defense of such "suit" must be made as soon as practicable.

- 3. The first Named Insured will reimburse us for expenses we incur in taking those steps we deem appropriate in accordance with Paragraph 2.b. above.

The duty of the first Named Insured to reimburse us will begin on:

- a. The date on which the applicable limit of insurance is used up, if we sent notice in accordance with Paragraph 1. above; or
- b. The date on which we sent notice in accordance with Paragraph 2.a. above, if we did not send notice in accordance with Paragraph 1. above.

- 4. The exhaustion of any limit of insurance by the payments of judgments or settlements, and the resulting end of our duty to defend, will not be affected by our failure to comply with any of the provisions of this Condition.

- H. Except as provided in I. below, the **Appraisal** Condition is replaced by the following:

Appraisal

- 1. If we and you disagree on the value of the property, the extent of the loss or damage or the amount of the loss or damage, either may make written demand for an appraisal of the loss. In this event, each party will select a competent and impartial appraiser and notify the other of the appraiser selected within 20 days of such demand.
- 2. If we or you fail to proceed with the appraisal of the covered loss after a written demand is made by either party, then either party may apply to a court having jurisdiction for an order directing the party that failed to proceed with the appraisal to comply with the demand for the appraisal of the loss. In this event, each party will select a competent and impartial appraiser and notify the other of the appraiser selected within 20 days of such order.

- 3. The two appraisers will select an umpire. If they cannot agree within 15 days upon such umpire, either may request that selection be made by a judge of a court having jurisdiction. The appraisers will state separately the value of the property, the extent of the loss or damage and the amount of the loss or damage. If they fail to agree, they will submit their differences to the umpire. A decision agreed to by any two will be binding.

- 4. Each party will:

- a. Pay its chosen appraiser; and
- b. Bear the other expenses of the appraisal and umpire equally.

If there is an appraisal, we will still retain our right to deny the claim.

- I. The **Appraisal** Condition in:

- 1. Business Income (And Extra Expense) Coverage Form **CP 00 30**; and
- 2. Business Income (Without Extra Expense) Coverage Form **CP 00 32**;

is replaced by the following:

Appraisal

- 1. If we and you disagree on the amount of Net Income and operating expense, the extent of the loss or damage or the amount of the loss or damage, either may make written demand for an appraisal of the loss. In this event, each party will select a competent and impartial appraiser and notify the other of the appraiser selected within 20 days of such demand.
- 2. If we or you fail to proceed with the appraisal of the covered loss after a written demand is made by either party, then either party may apply to a court having jurisdiction for an order directing the party that failed to proceed with the appraisal to comply with the demand for the appraisal of the loss. In this event, each party will select a competent and impartial appraiser and notify the other of the appraiser selected within 20 days of such order.
- 3. The two appraisers will select an umpire. If they cannot agree within 15 days upon such umpire, either may request that selection be made by a judge of a court having jurisdiction. The appraisers will state separately the amount of Net Income and operating expense, the extent of the loss or damage and the amount of the loss or damage. If they fail to agree, they will submit their differences to the umpire. A decision agreed to by any two will be binding.

4. Each party will:

- a. Pay its chosen appraiser; and
- b. Bear the other expenses of the appraisal and umpire equally.

If there is an appraisal, we will still retain our right to deny the claim.

J. The following provision is added to the Commercial Property Coverage Part:

Estimation Of Claims

Upon request, we will furnish you or your representative with a written estimate of damages to real property specifying all deductions, provided such an estimate has been prepared by us or has been prepared on our behalf for our own purposes. This estimate will be provided within 30 days after your request or its preparation, whichever is later.

K. The following provision is added to the Legal Liability Coverage Form and supersedes any provision to the contrary:

Failure to give prompt notice to us, as required under this Coverage Form, shall not invalidate any claim made by you or any other claimant, unless the failure to provide such timely notice has prejudiced us. However, no claim made by you or any other claimant will be invalidated if it shall be shown not to have been reasonably possible to give such timely notice and that notice was given as soon as was reasonably possible thereafter.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

NEW YORK CHANGES – FUNGUS, WET ROT AND DRY ROT

This endorsement modifies insurance provided under the following:

COMMERCIAL PROPERTY COVERAGE PART

- A.** In the Causes Of Loss – Basic Form, Causes Of Loss – Broad Form, Causes Of Loss – Special Form, and Mortgageholders Errors And Omissions Coverage Form, the exclusion titled **"Fungus", Wet Rot, Dry Rot And Bacteria** and the **Additional Coverage – Limited Coverage For "Fungus", Wet Rot, Dry Rot And Bacteria** are deleted. Under these forms, the following exclusion is added:
- We will not pay for loss or damage caused by or resulting from "fungus", wet rot or dry rot. However, this exclusion does not apply when "fungus", wet rot or dry rot results from a Covered Cause of Loss.
- B.** In the Building And Personal Property Coverage Form and the Condominium Association Coverage Form, under the Additional Coverage – Increased Cost Of Construction, Paragraph **A.4.e.(5)** is replaced by the following:
- (5) Under this Additional Coverage, we will not pay for:
- (a) The enforcement of or compliance with any ordinance or law which requires demolition, repair, replacement, reconstruction, remodeling or remediation of property due to contamination by "pollutants"; or
- (b) Any costs associated with the enforcement of or compliance with an ordinance or law which requires any insured or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of "pollutants".
- C.** Paragraph **B.6.** of Ordinance Or Law Coverage Endorsement **CP 04 05** is replaced by the following:
6. We will not pay under this endorsement for:
- a. Enforcement of or compliance with any ordinance or law which requires the demolition, repair, replacement, reconstruction, remodeling or remediation of property due to contamination by "pollutants"; or
- b. The costs associated with the enforcement of or compliance with any ordinance or law which requires any insured or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of "pollutants".
- D.** Paragraph **B.6.** of Ordinance Or Law Coverage For Tenant's Interest In Improvements And Betterments (Tenant's Policy) Endorsement **CP 04 26** is replaced by the following:
6. We will not pay under this endorsement for:
- a. Enforcement of or compliance with any ordinance or law which requires the demolition, repair, replacement, reconstruction, remodeling or remediation of property due to contamination by "pollutants"; or
- b. The costs associated with the enforcement of or compliance with any ordinance or law which requires any insured or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of "pollutants".

E. Paragraph **E.3.** of Functional Building Valuation Endorsement **CP 04 38** is replaced by the following:

3. We will not pay under this endorsement for:

- a. Enforcement of or compliance with any ordinance or law which requires the demolition, repair, replacement, reconstruction, remodeling or remediation of property due to contamination by "pollutants"; or

- b. The costs associated with the enforcement of or compliance with any ordinance or law which requires any insured or others to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of "pollutants".

**COMMERCIAL PROPERTY
CP 01 78 08 08**

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

**NEW YORK – EXCLUSION OF LOSS
DUE TO VIRUS OR BACTERIA**

This endorsement modifies insurance provided under the following:

COMMERCIAL PROPERTY COVERAGE PART

- A.** The exclusion set forth in Paragraph **B.** applies to all coverage under all forms and endorsements that comprise this Coverage Part, including but not limited to forms or endorsements that cover property damage to buildings or personal property and forms or endorsements that cover business income, extra expense or action of civil authority.
- B.** We will not pay for loss or damage caused by or resulting from any virus, bacterium or other micro-organism that induces or is capable of inducing physical distress, illness or disease.

However, this exclusion does not apply to loss or damage caused by or resulting from "fungus", wet rot or dry rot. Such loss or damage is addressed in a separate exclusion in this Coverage Part.

- C.** The terms of the exclusion in Paragraph **B.**, or the inapplicability of this exclusion to a particular loss, do not serve to create coverage for any loss that would otherwise be excluded under this Coverage Part.

CAUSES OF LOSS – SPECIAL FORM

Words and phrases that appear in quotation marks have special meaning. Refer to Section **G**. Definitions.

A. Covered Causes Of Loss

When Special is shown in the Declarations, Covered Causes of Loss means direct physical loss unless the loss is excluded or limited in this policy.

B. Exclusions

1. We will not pay for loss or damage caused directly or indirectly by any of the following. Such loss or damage is excluded regardless of any other cause or event that contributes concurrently or in any sequence to the loss.

a. Ordinance Or Law

The enforcement of or compliance with any ordinance or law:

- (1) Regulating the construction, use or repair of any property; or
- (2) Requiring the tearing down of any property, including the cost of removing its debris.

This exclusion, Ordinance Or Law, applies whether the loss results from:

- (a) An ordinance or law that is enforced even if the property has not been damaged; or
- (b) The increased costs incurred to comply with an ordinance or law in the course of construction, repair, renovation, remodeling or demolition of property, or removal of its debris, following a physical loss to that property.

b. Earth Movement

- (1) Earthquake, including tremors and aftershocks and any earth sinking, rising or shifting related to such event;
- (2) Landslide, including any earth sinking, rising or shifting related to such event;
- (3) Mine subsidence, meaning subsidence of a man-made mine, whether or not mining activity has ceased;

- (4) Earth sinking (other than sinkhole collapse), rising or shifting including soil conditions which cause settling, cracking or other disarrangement of foundations or other parts of realty. Soil conditions include contraction, expansion, freezing, thawing, erosion, improperly compacted soil and the action of water under the ground surface.

But if Earth Movement, as described in **b.(1)** through **(4)** above, results in fire or explosion, we will pay for the loss or damage caused by that fire or explosion.

- (5) Volcanic eruption, explosion or effusion. But if volcanic eruption, explosion or effusion results in fire, building glass breakage or Volcanic Action, we will pay for the loss or damage caused by that fire, building glass breakage or Volcanic Action.

Volcanic Action means direct loss or damage resulting from the eruption of a volcano when the loss or damage is caused by:

- (a) Airborne volcanic blast or airborne shock waves;
- (b) Ash, dust or particulate matter; or
- (c) Lava flow.

With respect to coverage for Volcanic Action as set forth in **(5)(a)**, **(5)(b)** and **(5)(c)**, all volcanic eruptions that occur within any 168-hour period will constitute a single occurrence.

Volcanic Action does not include the cost to remove ash, dust or particulate matter that does not cause direct physical loss or damage to the described property.

This exclusion applies regardless of whether any of the above, in Paragraphs **(1)** through **(5)**, is caused by an act of nature or is otherwise caused.

c. Governmental Action

Seizure or destruction of property by order of governmental authority.

But we will pay for loss or damage caused by or resulting from acts of destruction ordered by governmental authority and taken at the time of a fire to prevent its spread, if the fire would be covered under this Coverage Part.

d. Nuclear Hazard

Nuclear reaction or radiation, or radioactive contamination, however caused.

But if nuclear reaction or radiation, or radioactive contamination, results in fire, we will pay for the loss or damage caused by that fire.

e. Utility Services

The failure of power, communication, water or other utility service supplied to the described premises, however caused, if the failure:

- (1) Originates away from the described premises; or
- (2) Originates at the described premises, but only if such failure involves equipment used to supply the utility service to the described premises from a source away from the described premises.

Failure of any utility service includes lack of sufficient capacity and reduction in supply.

Loss or damage caused by a surge of power is also excluded, if the surge would not have occurred but for an event causing a failure of power.

But if the failure or surge of power, or the failure of communication, water or other utility service, results in a Covered Cause of Loss, we will pay for the loss or damage caused by that Covered Cause of Loss.

Communication services include but are not limited to service relating to Internet access or access to any electronic, cellular or satellite network.

f. War And Military Action

- (1) War, including undeclared or civil war;

- (2) Warlike action by a military force, including action in hindering or defending against an actual or expected attack, by any government, sovereign or other authority using military personnel or other agents; or

- (3) Insurrection, rebellion, revolution, usurped power, or action taken by governmental authority in hindering or defending against any of these.

g. Water

- (1) Flood, surface water, waves (including tidal wave and tsunami), tides, tidal water, overflow of any body of water, or spray from any of these, all whether or not driven by wind (including storm surge);

- (2) Mudslide or mudflow;

- (3) Water that backs up or overflows or is otherwise discharged from a sewer, drain, sump, sump pump or related equipment;

- (4) Water under the ground surface pressing on, or flowing or seeping through:

- (a) Foundations, walls, floors or paved surfaces;

- (b) Basements, whether paved or not; or

- (c) Doors, windows or other openings; or

- (5) Waterborne material carried or otherwise moved by any of the water referred to in Paragraph (1), (3) or (4), or material carried or otherwise moved by mudslide or mudflow.

This exclusion applies regardless of whether any of the above, in Paragraphs (1) through (5), is caused by an act of nature or is otherwise caused. An example of a situation to which this exclusion applies is the situation where a dam, levee, seawall or other boundary or containment system fails in whole or in part, for any reason, to contain the water.

But if any of the above, in Paragraphs (1) through (5), results in fire, explosion or sprinkler leakage, we will pay for the loss or damage caused by that fire, explosion or sprinkler leakage (if sprinkler leakage is a Covered Cause of Loss).

h. "Fungus", Wet Rot, Dry Rot And Bacteria

Presence, growth, proliferation, spread or any activity of "fungus", wet or dry rot or bacteria.

But if "fungus", wet or dry rot or bacteria result in a "specified cause of loss", we will pay for the loss or damage caused by that "specified cause of loss".

This exclusion does not apply:

- (1) When "fungus", wet or dry rot or bacteria result from fire or lightning; or
- (2) To the extent that coverage is provided in the Additional Coverage, Limited Coverage For "Fungus", Wet Rot, Dry Rot And Bacteria, with respect to loss or damage by a cause of loss other than fire or lightning.

Exclusions B.1.a. through B.1.h. apply whether or not the loss event results in widespread damage or affects a substantial area.

2. We will not pay for loss or damage caused by or resulting from any of the following:

a. Artificially generated electrical, magnetic or electromagnetic energy that damages, disturbs, disrupts or otherwise interferes with any:

- (1) Electrical or electronic wire, device, appliance, system or network; or
- (2) Device, appliance, system or network utilizing cellular or satellite technology.

For the purpose of this exclusion, electrical, magnetic or electromagnetic energy includes but is not limited to:

- (a) Electrical current, including arcing;
- (b) Electrical charge produced or conducted by a magnetic or electromagnetic field;
- (c) Pulse of electromagnetic energy; or
- (d) Electromagnetic waves or microwaves.

But if fire results, we will pay for the loss or damage caused by that fire.

- b. Delay, loss of use or loss of market.**
- c. Smoke, vapor or gas from agricultural smudging or industrial operations.**

d.(1) Wear and tear;

(2) Rust or other corrosion, decay, deterioration, hidden or latent defect or any quality in property that causes it to damage or destroy itself;

(3) Smog;

(4) Settling, cracking, shrinking or expansion;

(5) Nesting or infestation, or discharge or release of waste products or secretions, by insects, birds, rodents or other animals.

(6) Mechanical breakdown, including rupture or bursting caused by centrifugal force. But if mechanical breakdown results in elevator collision, we will pay for the loss or damage caused by that elevator collision.

(7) The following causes of loss to personal property:

- (a) Dampness or dryness of atmosphere;
- (b) Changes in or extremes of temperature; or
- (c) Marring or scratching.

But if an excluded cause of loss that is listed in 2.d.(1) through (7) results in a "specified cause of loss" or building glass breakage, we will pay for the loss or damage caused by that "specified cause of loss" or building glass breakage.

- e. Explosion of steam boilers, steam pipes, steam engines or steam turbines owned or leased by you, or operated under your control. But if explosion of steam boilers, steam pipes, steam engines or steam turbines results in fire or combustion explosion, we will pay for the loss or damage caused by that fire or combustion explosion. We will also pay for loss or damage caused by or resulting from the explosion of gases or fuel within the furnace of any fired vessel or within the flues or passages through which the gases of combustion pass.**
- f. Continuous or repeated seepage or leakage of water, or the presence or condensation of humidity, moisture or vapor, that occurs over a period of 14 days or more.**

- g.** Water, other liquids, powder or molten material that leaks or flows from plumbing, heating, air conditioning or other equipment (except fire protective systems) caused by or resulting from freezing, unless:
- (1)** You do your best to maintain heat in the building or structure; or
 - (2)** You drain the equipment and shut off the supply if the heat is not maintained.
- h.** Dishonest or criminal act (including theft) by you, any of your partners, members, officers, managers, employees (including temporary employees and leased workers), directors, trustees or authorized representatives, whether acting alone or in collusion with each other or with any other party; or theft by any person to whom you entrust the property for any purpose, whether acting alone or in collusion with any other party.

This exclusion:

- (1)** Applies whether or not an act occurs during your normal hours of operation;
 - (2)** Does not apply to acts of destruction by your employees (including temporary employees and leased workers) or authorized representatives; but theft by your employees (including temporary employees and leased workers) or authorized representatives is not covered.
- i.** Voluntary parting with any property by you or anyone else to whom you have entrusted the property if induced to do so by any fraudulent scheme, trick, device or false pretense.
- j.** Rain, snow, ice or sleet to personal property in the open.
- k.** Collapse, including any of the following conditions of property or any part of the property:
- (1)** An abrupt falling down or caving in;
 - (2)** Loss of structural integrity, including separation of parts of the property or property in danger of falling down or caving in; or
 - (3)** Any cracking, bulging, sagging, bending, leaning, settling, shrinkage or expansion as such condition relates to **(1)** or **(2)** above.

But if collapse results in a Covered Cause of Loss at the described premises, we will pay for the loss or damage caused by that Covered Cause of Loss.

This exclusion, **k.**, does not apply:

- (a)** To the extent that coverage is provided under the Additional Coverage, Collapse; or
 - (b)** To collapse caused by one or more of the following:
 - (i)** The "specified causes of loss";
 - (ii)** Breakage of building glass;
 - (iii)** Weight of rain that collects on a roof; or
 - (iv)** Weight of people or personal property.
 - l.** Discharge, dispersal, seepage, migration, release or escape of "pollutants" unless the discharge, dispersal, seepage, migration, release or escape is itself caused by any of the "specified causes of loss". But if the discharge, dispersal, seepage, migration, release or escape of "pollutants" results in a "specified cause of loss", we will pay for the loss or damage caused by that "specified cause of loss".
- This exclusion, **l.**, does not apply to damage to glass caused by chemicals applied to the glass.
- m.** Neglect of an insured to use all reasonable means to save and preserve property from further damage at and after the time of loss.
- 3.** We will not pay for loss or damage caused by or resulting from any of the following, **3.a.** through **3.c.** But if an excluded cause of loss that is listed in **3.a.** through **3.c.** results in a Covered Cause of Loss, we will pay for the loss or damage caused by that Covered Cause of Loss.
- a.** Weather conditions. But this exclusion only applies if weather conditions contribute in any way with a cause or event excluded in Paragraph **1.** above to produce the loss or damage.
 - b.** Acts or decisions, including the failure to act or decide, of any person, group, organization or governmental body.
 - c.** Faulty, inadequate or defective:
 - (1)** Planning, zoning, development, surveying, siting;
 - (2)** Design, specifications, workmanship, repair, construction, renovation, remodeling, grading, compaction;
 - (3)** Materials used in repair, construction, renovation or remodeling; or
 - (4)** Maintenance;

of part or all of any property on or off the described premises.

4. Special Exclusions

The following provisions apply only to the specified Coverage Forms:

a. Business Income (And Extra Expense) Coverage Form, Business Income (Without Extra Expense) Coverage Form, Or Extra Expense Coverage Form

We will not pay for:

- (1) Any loss caused by or resulting from:
 - (a) Damage or destruction of "finished stock"; or
 - (b) The time required to reproduce "finished stock".

This exclusion does not apply to Extra Expense.
- (2) Any loss caused by or resulting from direct physical loss or damage to radio or television antennas (including satellite dishes) and their lead-in wiring, masts or towers.
- (3) Any increase of loss caused by or resulting from:
 - (a) Delay in rebuilding, repairing or replacing the property or resuming "operations", due to interference at the location of the rebuilding, repair or replacement by strikers or other persons; or
 - (b) Suspension, lapse or cancellation of any license, lease or contract. But if the suspension, lapse or cancellation is directly caused by the "suspension" of "operations", we will cover such loss that affects your Business Income during the "period of restoration" and any extension of the "period of restoration" in accordance with the terms of the Extended Business Income Additional Coverage and the Extended Period Of Indemnity Optional Coverage or any variation of these.
- (4) Any Extra Expense caused by or resulting from suspension, lapse or cancellation of any license, lease or contract beyond the "period of restoration".
- (5) Any other consequential loss.

b. Leasehold Interest Coverage Form

- (1) Paragraph **B.1.a.**, Ordinance Or Law, does not apply to insurance under this Coverage Form.
- (2) We will not pay for any loss caused by:
 - (a) Your cancelling the lease;
 - (b) The suspension, lapse or cancellation of any license; or
 - (c) Any other consequential loss.

c. Legal Liability Coverage Form

- (1) The following exclusions do not apply to insurance under this Coverage Form:
 - (a) Paragraph **B.1.a.** Ordinance Or Law;
 - (b) Paragraph **B.1.c.** Governmental Action;
 - (c) Paragraph **B.1.d.** Nuclear Hazard;
 - (d) Paragraph **B.1.e.** Utility Services; and
 - (e) Paragraph **B.1.f.** War And Military Action.
- (2) The following additional exclusions apply to insurance under this Coverage Form:

(a) Contractual Liability

We will not defend any claim or "suit", or pay damages that you are legally liable to pay, solely by reason of your assumption of liability in a contract or agreement. But this exclusion does not apply to a written lease agreement in which you have assumed liability for building damage resulting from an actual or attempted burglary or robbery, provided that:

- (i) Your assumption of liability was executed prior to the accident; and
- (ii) The building is Covered Property under this Coverage Form.

(b) Nuclear Hazard

We will not defend any claim or "suit", or pay any damages, loss, expense or obligation, resulting from nuclear reaction or radiation, or radioactive contamination, however caused.

5. Additional Exclusion

The following provisions apply only to the specified property:

Loss Or Damage To Products

We will not pay for loss or damage to any merchandise, goods or other product caused by or resulting from error or omission by any person or entity (including those having possession under an arrangement where work or a portion of the work is outsourced) in any stage of the development, production or use of the product, including planning, testing, processing, packaging, installation, maintenance or repair. This exclusion applies to any effect that compromises the form, substance or quality of the product. But if such error or omission results in a Covered Cause of Loss, we will pay for the loss or damage caused by that Covered Cause of Loss.

C. Limitations

The following limitations apply to all policy forms and endorsements, unless otherwise stated:

1. We will not pay for loss of or damage to property, as described and limited in this section. In addition, we will not pay for any loss that is a consequence of loss or damage as described and limited in this section.
 - a. Steam boilers, steam pipes, steam engines or steam turbines caused by or resulting from any condition or event inside such equipment. But we will pay for loss of or damage to such equipment caused by or resulting from an explosion of gases or fuel within the furnace of any fired vessel or within the flues or passages through which the gases of combustion pass.
 - b. Hot water boilers or other water heating equipment caused by or resulting from any condition or event inside such boilers or equipment, other than an explosion.
 - c. The interior of any building or structure, or to personal property in the building or structure, caused by or resulting from rain, snow, sleet, ice, sand or dust, whether driven by wind or not, unless:
 - (1) The building or structure first sustains damage by a Covered Cause of Loss to its roof or walls through which the rain, snow, sleet, ice, sand or dust enters; or
 - (2) The loss or damage is caused by or results from thawing of snow, sleet or ice on the building or structure.
- d. Building materials and supplies not attached as part of the building or structure, caused by or resulting from theft.

However, this limitation does not apply to:

 - (1) Building materials and supplies held for sale by you, unless they are insured under the Builders Risk Coverage Form; or
 - (2) Business Income Coverage or Extra Expense Coverage.
- e. Property that is missing, where the only evidence of the loss or damage is a shortage disclosed on taking inventory, or other instances where there is no physical evidence to show what happened to the property.
- f. Property that has been transferred to a person or to a place outside the described premises on the basis of unauthorized instructions.
- g. Lawns, trees, shrubs or plants which are part of a vegetated roof, caused by or resulting from:
 - (1) Dampness or dryness of atmosphere or of soil supporting the vegetation;
 - (2) Changes in or extremes of temperature;
 - (3) Disease;
 - (4) Frost or hail; or
 - (5) Rain, snow, ice or sleet.
2. We will not pay for loss of or damage to the following types of property unless caused by the "specified causes of loss" or building glass breakage:
 - a. Animals, and then only if they are killed or their destruction is made necessary.
 - b. Fragile articles such as statuary, marbles, chinaware and porcelains, if broken. This restriction does not apply to:
 - (1) Glass; or
 - (2) Containers of property held for sale.
 - c. Builders' machinery, tools and equipment owned by you or entrusted to you, provided such property is Covered Property.

However, this limitation does not apply:

 - (1) If the property is located on or within 100 feet of the described premises, unless the premises is insured under the Builders Risk Coverage Form; or

(2) To Business Income Coverage or to Extra Expense Coverage.

3. The special limit shown for each category, **a.** through **d.**, is the total limit for loss of or damage to all property in that category. The special limit applies to any one occurrence of theft, regardless of the types or number of articles that are lost or damaged in that occurrence. The special limits are (unless a higher limit is shown in the Declarations):

- a.** \$2,500 for furs, fur garments and garments trimmed with fur.
- b.** \$2,500 for jewelry, watches, watch movements, jewels, pearls, precious and semiprecious stones, bullion, gold, silver, platinum and other precious alloys or metals. This limit does not apply to jewelry and watches worth \$100 or less per item.
- c.** \$2,500 for patterns, dies, molds and forms.
- d.** \$250 for stamps, tickets, including lottery tickets held for sale, and letters of credit.

These special limits are part of, not in addition to, the Limit of Insurance applicable to the Covered Property.

This limitation, **C.3.**, does not apply to Business Income Coverage or to Extra Expense Coverage.

4. We will not pay the cost to repair any defect to a system or appliance from which water, other liquid, powder or molten material escapes. But we will pay the cost to repair or replace damaged parts of fire-extinguishing equipment if the damage:

- a.** Results in discharge of any substance from an automatic fire protection system; or
- b.** Is directly caused by freezing.

However, this limitation does not apply to Business Income Coverage or to Extra Expense Coverage.

D. Additional Coverage – Collapse

The coverage provided under this Additional Coverage, Collapse, applies only to an abrupt collapse as described and limited in **D.1.** through **D.7.**

1. For the purpose of this Additional Coverage, Collapse, abrupt collapse means an abrupt falling down or caving in of a building or any part of a building with the result that the building or part of the building cannot be occupied for its intended purpose.

2. We will pay for direct physical loss or damage to Covered Property, caused by abrupt collapse of a building or any part of a building that is insured under this Coverage Form or that contains Covered Property insured under this Coverage Form, if such collapse is caused by one or more of the following:

- a.** Building decay that is hidden from view, unless the presence of such decay is known to an insured prior to collapse;
- b.** Insect or vermin damage that is hidden from view, unless the presence of such damage is known to an insured prior to collapse;
- c.** Use of defective material or methods in construction, remodeling or renovation if the abrupt collapse occurs during the course of the construction, remodeling or renovation.
- d.** Use of defective material or methods in construction, remodeling or renovation if the abrupt collapse occurs after the construction, remodeling or renovation is complete, but only if the collapse is caused in part by:

- (1) A cause of loss listed in **2.a.** or **2.b.**;
- (2) One or more of the "specified causes of loss";
- (3) Breakage of building glass;
- (4) Weight of people or personal property; or
- (5) Weight of rain that collects on a roof.

3. This **Additional Coverage – Collapse** does not apply to:

- a.** A building or any part of a building that is in danger of falling down or caving in;
- b.** A part of a building that is standing, even if it has separated from another part of the building; or
- c.** A building that is standing or any part of a building that is standing, even if it shows evidence of cracking, bulging, sagging, bending, leaning, settling, shrinkage or expansion.

4. With respect to the following property:

- a.** Outdoor radio or television antennas (including satellite dishes) and their lead-in wiring, masts or towers;

- b. Awnings, gutters and downspouts;
 - c. Yard fixtures;
 - d. Outdoor swimming pools;
 - e. Fences;
 - f. Piers, wharves and docks;
 - g. Beach or diving platforms or appurtenances;
 - h. Retaining walls; and
 - i. Walks, roadways and other paved surfaces;
- if an abrupt collapse is caused by a cause of loss listed in **2.a.** through **2.d.**, we will pay for loss or damage to that property only if:

- (1) Such loss or damage is a direct result of the abrupt collapse of a building insured under this Coverage Form; and
- (2) The property is Covered Property under this Coverage Form.

5. If personal property abruptly falls down or caves in and such collapse is **not** the result of abrupt collapse of a building, we will pay for loss or damage to Covered Property caused by such collapse of personal property only if:
- a. The collapse of personal property was caused by a cause of loss listed in **2.a.** through **2.d.**;
 - b. The personal property which collapses is inside a building; and
 - c. The property which collapses is not of a kind listed in **4.**, regardless of whether that kind of property is considered to be personal property or real property.

The coverage stated in this Paragraph **5.** does not apply to personal property if marring and/or scratching is the only damage to that personal property caused by the collapse.

6. This Additional Coverage, Collapse, does not apply to personal property that has not abruptly fallen down or caved in, even if the personal property shows evidence of cracking, bulging, sagging, bending, leaning, settling, shrinkage or expansion.
7. This Additional Coverage, Collapse, will not increase the Limits of Insurance provided in this Coverage Part.
8. The term Covered Cause of Loss includes the Additional Coverage, Collapse, as described and limited in **D.1.** through **D.7.**

E. Additional Coverage – Limited Coverage For "Fungus", Wet Rot, Dry Rot And Bacteria

1. The coverage described in **E.2.** and **E.6.** only applies when the "fungus", wet or dry rot or bacteria are the result of one or more of the following causes that occur during the policy period and only if all reasonable means were used to save and preserve the property from further damage at the time of and after that occurrence:

- a. A "specified cause of loss" other than fire or lightning; or
- b. Flood, if the Flood Coverage Endorsement applies to the affected premises.

This Additional Coverage does not apply to lawns, trees, shrubs or plants which are part of a vegetated roof.

2. We will pay for loss or damage by "fungus", wet or dry rot or bacteria. As used in this Limited Coverage, the term loss or damage means:
- a. Direct physical loss or damage to Covered Property caused by "fungus", wet or dry rot or bacteria, including the cost of removal of the "fungus", wet or dry rot or bacteria;
 - b. The cost to tear out and replace any part of the building or other property as needed to gain access to the "fungus", wet or dry rot or bacteria; and
 - c. The cost of testing performed after removal, repair, replacement or restoration of the damaged property is completed, provided there is a reason to believe that "fungus", wet or dry rot or bacteria are present.

3. The coverage described under **E.2.** of this Limited Coverage is limited to \$15,000. Regardless of the number of claims, this limit is the most we will pay for the total of all loss or damage arising out of all occurrences of "specified causes of loss" (other than fire or lightning) and Flood which take place in a 12-month period (starting with the beginning of the present annual policy period). With respect to a particular occurrence of loss which results in "fungus", wet or dry rot or bacteria, we will not pay more than a total of \$15,000 even if the "fungus", wet or dry rot or bacteria continue to be present or active, or recur, in a later policy period.

4. The coverage provided under this Limited Coverage does not increase the applicable Limit of Insurance on any Covered Property. If a particular occurrence results in loss or damage by "fungus", wet or dry rot or bacteria, and other loss or damage, we will not pay more, for the total of all loss or damage, than the applicable Limit of Insurance on the affected Covered Property.

If there is covered loss or damage to Covered Property, not caused by "fungus", wet or dry rot or bacteria, loss payment will not be limited by the terms of this Limited Coverage, except to the extent that "fungus", wet or dry rot or bacteria cause an increase in the loss. Any such increase in the loss will be subject to the terms of this Limited Coverage.

5. The terms of this Limited Coverage do not increase or reduce the coverage provided under Paragraph F.2. (Water Damage, Other Liquids, Powder Or Molten Material Damage) of this Causes Of Loss form or under the Additional Coverage, Collapse.
6. The following, 6.a. or 6.b., applies only if Business Income and/or Extra Expense Coverage applies to the described premises and only if the "suspension" of "operations" satisfies all terms and conditions of the applicable Business Income and/or Extra Expense Coverage Form:
- a. If the loss which resulted in "fungus", wet or dry rot or bacteria does not in itself necessitate a "suspension" of "operations", but such "suspension" is necessary due to loss or damage to property caused by "fungus", wet or dry rot or bacteria, then our payment under Business Income and/or Extra Expense is limited to the amount of loss and/or expense sustained in a period of not more than 30 days. The days need not be consecutive.
 - b. If a covered "suspension" of "operations" was caused by loss or damage other than "fungus", wet or dry rot or bacteria but remediation of "fungus", wet or dry rot or bacteria prolongs the "period of restoration", we will pay for loss and/or expense sustained during the delay (regardless of when such a delay occurs during the "period of restoration"), but such coverage is limited to 30 days. The days need not be consecutive.

F. Additional Coverage Extensions

1. Property In Transit

This Extension applies only to your personal property to which this form applies.

- a. You may extend the insurance provided by this Coverage Part to apply to your personal property (other than property in the care, custody or control of your salespersons) in transit more than 100 feet from the described premises. Property must be in or on a motor vehicle you own, lease or operate while between points in the coverage territory.
- b. Loss or damage must be caused by or result from one of the following causes of loss:
 - (1) Fire, lightning, explosion, windstorm or hail, riot or civil commotion, or vandalism.
 - (2) Vehicle collision, upset or overturn. Collision means accidental contact of your vehicle with another vehicle or object. It does not mean your vehicle's contact with the roadbed.
 - (3) Theft of an entire bale, case or package by forced entry into a securely locked body or compartment of the vehicle. There must be visible marks of the forced entry.
- c. The most we will pay for loss or damage under this Extension is \$5,000.

This Coverage Extension is additional insurance. The Additional Condition, Coinsurance, does not apply to this Extension.

2. Water Damage, Other Liquids, Powder Or Molten Material Damage

If loss or damage caused by or resulting from covered water or other liquid, powder or molten material damage loss occurs, we will also pay the cost to tear out and replace any part of the building or structure to repair damage to the system or appliance from which the water or other substance escapes. This Coverage Extension does not increase the Limit of Insurance.

3. Glass

- a. We will pay for expenses incurred to put up temporary plates or board up openings if repair or replacement of damaged glass is delayed.
- b. We will pay for expenses incurred to remove or replace obstructions when repairing or replacing glass that is part of a building. This does not include removing or replacing window displays.

This Coverage Extension **F.3.** does not increase the Limit of Insurance.

G. Definitions

1. "Fungus" means any type or form of fungus, including mold or mildew, and any mycotoxins, spores, scents or by-products produced or released by fungi.
2. "Specified causes of loss" means the following: fire; lightning; explosion; windstorm or hail; smoke; aircraft or vehicles; riot or civil commotion; vandalism; leakage from fire-extinguishing equipment; sinkhole collapse; volcanic action; falling objects; weight of snow, ice or sleet; water damage.
 - a. Sinkhole collapse means the sudden sinking or collapse of land into underground empty spaces created by the action of water on limestone or dolomite. This cause of loss does not include:
 - (1) The cost of filling sinkholes; or
 - (2) Sinking or collapse of land into man-made underground cavities.
 - b. Falling objects does not include loss or damage to:
 - (1) Personal property in the open; or
 - (2) The interior of a building or structure, or property inside a building or structure, unless the roof or an outside wall of the building or structure is first damaged by a falling object.
 - c. Water damage means:
 - (1) Accidental discharge or leakage of water or steam as the direct result of the breaking apart or cracking of a plumbing, heating, air conditioning or other system or appliance (other than a sump system including its related equipment and parts), that is located on the described premises and contains water or steam; and

- (2) Accidental discharge or leakage of water or waterborne material as the direct result of the breaking apart or cracking of a water or sewer pipe caused by wear and tear, when the pipe is located off the described premises and is connected to or is part of a potable water supply system or sanitary sewer system operated by a public or private utility service provider pursuant to authority granted by the state or governmental subdivision where the described premises are located.

But water damage does not include loss or damage otherwise excluded under the terms of the Water Exclusion. Therefore, for example, there is no coverage under this policy in the situation in which discharge or leakage of water results from the breaking apart or cracking of a pipe which was caused by or related to weather-induced flooding, even if wear and tear contributed to the breakage or cracking. As another example, and also in accordance with the terms of the Water Exclusion, there is no coverage for loss or damage caused by or related to weather-induced flooding which follows or is exacerbated by pipe breakage or cracking attributable to wear and tear.

To the extent that accidental discharge or leakage of water falls within the criteria set forth in **c.(1)** or **c.(2)** of this definition of "specified causes of loss," such water is not subject to the provisions of the Water Exclusion which preclude coverage for surface water or water under the surface of the ground.

POLICY NUMBER:ZBS D215008 08

COMMERCIAL PROPERTY
CP 12 18 10 12**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.****LOSS PAYABLE PROVISIONS**

This endorsement modifies insurance provided under the following:

BUILDERS' RISK COVERAGE FORM
BUILDING AND PERSONAL PROPERTY COVERAGE FORM
CONDOMINIUM ASSOCIATION COVERAGE FORM
CONDOMINIUM COMMERCIAL UNIT-OWNERS COVERAGE FORM
STANDARD PROPERTY POLICY

SCHEDULE

Location Number:	Building Number:	Applicable Clause (Enter C.1., C.2., C.3. or C.4.):
Description Of Property:		
Loss Payee Name:		
Loss Payee Address:		
Information required to complete this Schedule, if not shown above, will be shown in the Declarations.		

- A.** When this endorsement is attached to the Standard Property Policy **CP 00 99**, the term Coverage Part in this endorsement is replaced by the term Policy.
- B.** Nothing in this endorsement increases the applicable Limit of Insurance. We will not pay any Loss Payee more than their financial interest in the Covered Property, and we will not pay more than the applicable Limit of Insurance on the Covered Property.
- C.** The following is added to the **Loss Payment** Loss Condition, as indicated in the Declarations or in the Schedule:

1. Loss Payable Clause

For Covered Property in which both you and a Loss Payee shown in the Schedule or in the Declarations have an insurable interest, we will:

- a.** Adjust losses with you; and
- b.** Pay any claim for loss or damage jointly to you and the Loss Payee, as interests may appear

2. Lender's Loss Payable Clause

- a.** The Loss Payee shown in the Schedule or in the Declarations is a creditor, including a mortgageholder or trustee, whose interest in Covered Property is established by such written instruments as:

- (1)** Warehouse receipts;
- (2)** A contract for deed;
- (3)** Bills of lading;
- (4)** Financing statements; or
- (5)** Mortgages, deeds of trust, or security agreements.

- b.** For Covered Property in which both you and a Loss Payee have an insurable interest:

- (1)** We will pay for covered loss or damage to each Loss Payee in their order of precedence, as interests may appear.
- (2)** The Loss Payee has the right to receive loss payment even if the Loss Payee has started foreclosure or similar action on the Covered Property.

- (3)** If we deny your claim because of your acts or because you have failed to comply with the terms of the Coverage Part, the Loss Payee will still have the right to receive loss payment if the Loss Payee:

- (a)** Pays any premium due under this Coverage Part at our request if you have failed to do so;
- (b)** Submits a signed, sworn proof of loss within 60 days after receiving notice from us of your failure to do so; and
- (c)** Has notified us of any change in ownership, occupancy or substantial change in risk known to the Loss Payee.

All of the terms of this Coverage Part will then apply directly to the Loss Payee.

- (4)** If we pay the Loss Payee for any loss or damage and deny payment to you because of your acts or because you have failed to comply with the terms of this Coverage Part:

- (a)** The Loss Payee's rights will be transferred to us to the extent of the amount we pay; and
- (b)** The Loss Payee's rights to recover the full amount of the Loss Payee's claim will not be impaired.

At our option, we may pay to the Loss Payee the whole principal on the debt plus any accrued interest. In this event, you will pay your remaining debt to us.

- c.** If we cancel this policy, we will give written notice to the Loss Payee at least:

- (1)** 10 days before the effective date of cancellation if we cancel for your nonpayment of premium; or
- (2)** 30 days before the effective date of cancellation if we cancel for any other reason.

- d.** If we elect not to renew this policy, we will give written notice to the Loss Payee at least 10 days before the expiration date of this policy.

3. Contract Of Sale Clause

- a. The Loss Payee shown in the Schedule or in the Declarations is a person or organization you have entered into a contract with for the sale of Covered Property.
- b. For Covered Property in which both you and the Loss Payee have an insurable interest, we will:
 - (1) Adjust losses with you; and
 - (2) Pay any claim for loss or damage jointly to you and the Loss Payee, as interests may appear.
- c. The following is added to the **Other Insurance** Condition:
For Covered Property that is the subject of a contract of sale, the word "you" includes the Loss Payee.

4. Building Owner Loss Payable Clause

- a. The Loss Payee shown in the Schedule or in the Declarations is the owner of the described building in which you are a tenant.
- b. We will adjust losses to the described building with the Loss Payee. Any loss payment made to the Loss Payee will satisfy your claims against us for the owner's property.
- c. We will adjust losses to tenants' improvements and betterments with you, unless the lease provides otherwise.

POLICY NUMBER: ZBS D215008 08

EMPLOYEE BENEFITS LIABILITY INSURANCE**THIS ENDORSEMENT PROVIDES CLAIMS-MADE
COVERAGE. PLEASE READ IT CAREFULLY.**

**This endorsement modifies insurance provided under the following:
COMMERCIAL GENERAL LIABILITY COVERAGE PART**

LIMITS OF INSURANCE		
Aggregate Limit		\$1,000,000
Each Claim Limit		\$1,000,000
Deductible Amount: \$1,000		
SCHEDULE		
Estimated Number of Employees	Rate per Employee:	Advance Premium
107		496.

A. The following replaces COVERAGE A;
COVERAGE B and COVERAGE C under
SECTION I - COVERAGES.

1. Insuring Agreement

- a. We will pay those sums the insured becomes legally obligated to pay as damages sustained by an employee, former employee or any of their beneficiaries or legal representatives because of any "wrongful acts" committed in the "administration" of the insured's "employee benefit program" by the insured or any other person, if the insured is legally responsible for the conduct of that person and which occur within the "coverage territory". We will have the right and duty to defend any "suit" seeking those damages. But:

- (1) The amount we will pay for damages is limited as described in SECTION III - LIMITS OF INSURANCE;

- (2) We may investigate or settle any claim or "suit" at our discretion; and

- (3) Our right and duty to defend end when we have used up the applicable limit of insurance in the payment of judgments and settlements.

No other obligation or liability to pay sums or perform acts or services is covered unless explicitly provided for under **SUPPLEMENTARY PAYMENTS.**

b. This insurance applies to "wrongful acts" only if:

- (1) The "wrongful act" takes place in the "coverage territory";
- (2) The "wrongful act" did not take place before the effective date or after the expiration date of this endorsement;

and

- (3) A claim for damages because of the “wrongful act” is made against any insured in accordance with paragraph c. below, during the period this endorsement is in effect.

Paragraph (2) does not apply to a “wrongful act” occurring before the effective date if the insured had no knowledge of such act, could not reasonably foresee any circumstances which might result in a claim or “suit” and does not have any other applicable insurance.

The period in which a claim can be made for a “wrongful act” as stated in Paragraph (3) will automatically be extended, if this endorsement is cancelled or non renewed, for a period of one year from the date of the cancellation or non renewal. This extended reporting period does not extend the policy period or change the scope of coverage in any way.

- c. A claim by a person or organization seeking damages will be deemed to have been made when notice of such claim is received by any insured or by us, whichever come first.
- d. Our obligation to pay damages on your behalf applies only to the amount of damages in excess of a \$1,000 deductible which will be applied as follows:
 - 1. The deductible will apply to all damages sustained by one person or organization as the result of any one claim.
 - 2. The limits of insurance applicable to each claim will be reduced by the amount of such deductible.
 - 3. The aggregate limit shall not be reduced by the deductible amount.

2. Exclusions

This insurance does not apply to:

- a. Any dishonest, fraudulent, criminal or malicious act, libel, slander, discrimination or humiliation.

- b. Bodily injury, sickness or disease sustained by any person including death resulting from any of these.
 - c. Physical injury to tangible property, including all resulting loss of use of that property and the loss of use of tangible property that is not physically injured.
 - d. Any claim arising out of the failure of performance of contract by any insurer, group administrator or health maintenance organization including failure of any “employee benefit program”.
 - e. Any obligation of the insured under a workers compensation, disability benefits or unemployment compensation law or similar law.
 - f. Any claim arising out of:
 - (1) Failure of stock to perform as represented by the insured;
 - (2) Advice given by an insured to an employee to participate or not participate in stock subscription plans;
 - (3) The investment or non investment of funds;
 - (4) The payment or non payment of benefits under any “employee benefit program”.
 - g. Any violation(s) of any civil rights law.
 - h. Any violation(s) of any provision(s) of the Employee Retirement Income Security Act of 1974 or any amendments to that act.
 - i. An insufficiency of funds to meet any obligation under any “employee benefit program”.
 - j. Any fiduciary liability imposed by the Employee Retirement Income Security Act of 1974 or any amendments to that act.
- B. SUPPLEMENTARY PAYMENTS under SECTION I - COVERAGE is amended as follows:
- 1. Paragraph 2 is deleted.

C. SECTION II - WHO IS INSURED is amended as follows:

1. Paragraph 2 is replaced by the following
 2. Your employees are also insureds provided those employees are authorized by you to act in the "administration" of your "employee benefit program".
 2. Paragraphs 3 and 4 are deleted.
- D. SECTION III - LIMITS OF INSURANCE is replaced by the following:
1. The limit of insurance shown in the schedule for each claim is the most we will pay for the sum of damages from any one "wrongful act", regardless of the number of:
 - a. Insureds;
 - b. Claims made or "suits" brought; or
 - c. Persons or organizations making claims or bringing "suits".
 2. The aggregate limit is the most we will pay for the sum of all damages from all "wrongful acts".

The limits of this endorsement apply separately to each consecutive policy period as stated in the declarations.

For the purposes of determining limits of insurance if this endorsement is cancelled or nonrenewed the additional reporting period will be deemed to be part of that portion of the last policy period during which this endorsement was in effect for cancellations or the last preceding policy period for nonrenewals.

E. SECTION IV - CONDITIONS is amended as follows:

1. Conditions 2, 4 and 5 are replaced by the following:
2. Duties In The Event Of A Negligent Act, Error, Omission, Breach Of Duty, Claim Or Suit
 - a. You must see to it that we are notified as soon as practicable of any negligent act, error, omission or breach of duty which may result in

a claim. The notice should include:

- (1) How, when and where the act, error, omission or breach of duty took place.
 - (2) The names and addresses of any persons who sustain damages and any witnesses.
- b. If a claim is made or a "suit" is brought against us you must:
- (1) Immediately send us copies of any demands, notices, summonses or legal papers received in connection with the claim or "suit".
 - (2) Authorize us to obtain records and other information;
 - (3) Cooperate with us in the investigation, settlement or defense of the claim or "suit" and;
 - (4) Assist us, upon request, in the enforcement of any right against any person or organization which may be liable to the "insured" because of injury or damage to which this insurance may also apply.
- c. No "insured" will, except at their own cost, voluntarily make a payment, assume any obligation or incur any expense, without our consent.
4. Premiums
- The premium shown on the schedule is an estimated premium only. At the end of the policy period you shall, upon our request, furnish us with a statement of any personnel changes since the effective date of this coverage. We will then compute the earned premium based on our rules and rates. If the earned premium exceeds the estimated premium you shall pay the excess to us; if it is less we will return the difference to you.
5. Other Insurance
- If other valid and collectable insurance is available to the insured our obligations are limited as follows:

- a. The insurance provided by this endorsement is primary except when b. below applies. If this insurance is primary our obligations are not affected unless any of the other insurance is also primary. Then, we will share with all that other insurance by the method described in c. below.
 - b. The insurance provided by this endorsement is excess over any of the other insurance, whether primary, excess, contingent or on any other basis, that is effective prior to our continues after the effective date of this endorsement and that applies on other than a claims-made basis.
 - c. If all the other insurance permits contribution by equal shares, we will follow this method also. Under this approach each insurer contributes equal amounts until it has paid its applicable limit of insurance or none of the loss remains, whichever comes first.

If any of the other insurance does not permit contribution by equal shares we will contribute by limits. Under this method, each insurer's share is based on the ratio of its applicable limit of insurance to the total applicable limits of insurance of all insurers.
- 2. "Coverage territory" means the United States of America (including its territories and possessions), Puerto Rico and Canada.
 - 3. "Employee benefit program" means Group Life Insurance, Group Health Insurance, Profit Sharing Plans, Employee Stock Subscription Plans, Workers Compensation Insurance, Unemployment Compensation Insurance, Disability Benefits Insurance, Pension Plans, Social Security and Travel, Savings or Vacation Plans.
 - 4. "Suit" means a civil proceeding in which damages to which this insurance applies are alleged. "Suit" includes an arbitration proceeding alleging such damages to which you must submit or do submit with our consent or any other alternative dispute resolution proceeding in which such damages are claimed and to which you submit with our consent.
 - 5. "Wrongful act" means any negligent act, error, omission or breach of duty committed by an insured in the "administration" of the insured's "employee benefit program".

F. SECTION V - DEFINITIONS is replaced by the following:

- 1. "Administration" means the following provided these acts are authorized by you:
 - a. Counseling employees with respect to the "employee benefit program".
 - b. Interpreting the "employee benefit program".
 - c. Record-keeping in connection with the "employee benefit program".
 - d. Enrollment, termination or cancellation of employees under the "employee benefit program".

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

ASBESTOS LIABILITY EXCLUSION

This endorsement modifies insurance provided under the following:

BUSINESSOWNERS POLICY COMMERCIAL GENERAL LIABILITY COVERAGE PART

This insurance does not apply to “bodily injury”, “property damage”, “personal injury” or “advertising injury” arising out of any actual or alleged:

1. Inhaling, ingesting or prolonged physical exposure by any person to asbestos or asbestos fibers or goods or products containing asbestos; or
2. Use of asbestos in constructing or manufacturing any good, product or structure; or
3. Intentional or accidental removal including encapsulation, dispersal, sealing or disposal of asbestos or asbestos fibers from any good, product or structure; or
4. Manufacture, transportation, storage or disposal of asbestos or goods or products containing asbestos; or
5. Product manufactured, sold, handled or distributed by or on behalf of the insured which contain asbestos; or
6. Acts or omissions of the insured in connection with the general supervision of any job involving the removal, enclosure, encapsulation, dispersal, sealing or disposal of asbestos, asbestos fibers or products containing asbestos.

General supervision includes the rendering of or failure to render any instructions, recommendations, warnings or advice.

It is hereby understood and agreed that the following forms do not apply to the 04-01-20 through 04-01-21 term:

421-2318 04 20 Professional Liability Coverage Endorsement - Separate Limits Of Insurance (Occurrence)

421-2319 04 20 Professional Services Exclusion, With The Exception Of Medical Professional Liability Endorsements

421-2919 04 20 Commercial General Liability Enhancement Endorsement - Healthcare

421-2922 04 20 Important Notice To Policyholders Durable Medical Equipment Home Health Care Exclusions and Changes

421-4836 04 20 Miscellaneous Medical and Professional Services Definition - Broad Form

421-4928 04 20 New York Changes - Healthcare

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

EXCLUSION – ABUSE OR MOLESTATION

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

The following exclusion is added to **SECTION I – COVERAGES, COVERAGE A – BODILY INJURY AND PROPERTY DAMAGE LIABILITY, 2. Exclusions** and **COVERAGE B – PERSONAL AND ADVERTISING INJURY LIABILITY, 2. Exclusions**:

Abuse or Molestation

This insurance does not apply to "bodily injury", "property damage" or "personal and advertising injury" arising out of:

- (1) The actual or threatened abuse or molestation by anyone of any person, whether or not the abuse or molestation was specifically intended or resulted from negligent conduct, or whether or not any insured subjectively intended the injury or damage for which a claim is made; or
- (2) The negligent:

- (a) Employment;
- (b) Investigation;
- (c) Supervision;
- (d) Reporting to the proper authorities, or failure to so report; or
- (e) Retention;
of a person for whom any insured is or ever was legally responsible and whose conduct would be excluded by Paragraph 1. above.

This exclusion applies except to the extent insurance is available under any endorsement providing physical abuse, sexual misconduct or sexual molestation liability coverage.

ALL OTHER TERMS, CONDITIONS, AND EXCLUSIONS REMAIN UNCHANGED.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

SCOPE OF LICENSURE ENDORSEMENT

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

This insurance does not apply to "bodily injury", "property damage" or "personal and advertising injury" arising out of an "occurrence" when the Named Insured or any insured listed under **Section II – Who Is An Insured:**

1. does not have; or
2. has had revoked; or
3. has had suspended, or

4. has been required to surrender; or
5. has had terminated in any way

the required license needed for the admission and subsequent treatment or care of a patient and/or resident, or the required license needed for the performance of duties within the scope of employment by the Named Insured.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

Punitive Damages Exclusion

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

This insurance does not apply to any sum awarded for punitive damages, exemplary damages, multiplied damages, fines, penalties or liquidated damages. Any adjustments to fees or government payments are also excluded.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

NEW YORK PHYSICAL ABUSE, SEXUAL MISCONDUCT OR SEXUAL MOLESTATION LIABILITY COVERAGE (OCCURRENCE – SUBLIMIT)

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

SCHEDULE

"Physical Abuse, Sexual Misconduct or Sexual Molestation" Each Incident Limit: \$300,000

"Physical Abuse, Sexual Misconduct or Sexual Molestation" Aggregate Limit: \$300,000

(If no entry appears above, information required to complete this endorsement will be shown in the Declarations as applicable to this endorsement.)

Except for the insurance provided by this endorsement, the Coverage Part to which this endorsement is attached does not apply to any claim or "suit" seeking damages arising out of any actual or alleged "physical abuse, sexual misconduct or sexual molestation incident".

A. For the purpose of coverage provided by this endorsement, the following is added to **SECTION I – COVERAGES, COVERAGE A – BODILY INJURY AND PROPERTY DAMAGE LIABILITY**:

PHYSICAL ABUSE, SEXUAL MISCONDUCT AND SEXUAL MOLESTATION

a. We will pay those sums the insured becomes legally obligated to pay as damages because of "injury" arising out of a "physical abuse, sexual misconduct or sexual molestation incident" to which this insurance applies. We will have the right and duty to defend the insured against any "suit" seeking those damages even if the allegations of the "suit" are groundless, false, or fraudulent. However, we will have no duty to defend the insured against any "suit" seeking damages for "injury" to which this insurance does not apply. We may, at our discretion, investigate any "physical abuse, sexual misconduct or sexual molestation incident" and settle any claim or "suit" that may result. But:

(1) The amount we will pay for damages is limited as described in **SECTION III – LIMITS OF INSURANCE** as modified below; and

(2) Our right and duty to defend ends when we have used up the applicable limit of insurance in the payment of judgments or settlements.

No other obligation or liability to pay sums or perform acts or services is covered unless expressly provided for under

SUPPLEMENTARY PAYMENTS – COVERAGES A AND B.

b. This insurance applies to "injury" only if:

- (1) The "injury" arises out of a "physical abuse, sexual misconduct or sexual molestation incident" that takes place in the "coverage territory";
- (2) The first act of a "physical abuse, sexual misconduct or sexual molestation incident" occurs during the policy period; and
- (3) Prior to the policy period no insured listed under **SECTION II – WHO IS AN INSURED** Paragraph 1. and no "employee" authorized by you to give or receive notice of a "physical abuse, sexual misconduct or sexual molestation incident" or claim knew that the "physical abuse, sexual misconduct or sexual molestation incident" had occurred, in whole or in part. If such a listed insured or authorized "employee" knew prior to the policy period that the "physical abuse, sexual misconduct or sexual molestation incident" occurred, then any multiple, continuous, related or repeated acts of such "physical abuse, sexual misconduct or sexual molestation incident" during or after the policy period will be deemed to have been known prior to the policy period.

c. A "physical abuse, sexual misconduct or sexual molestation incident" which occurs during the policy period and was not, prior to the policy period, known to have occurred by any insured listed under **SECTION II – WHO**

IS AN INSURED Paragraph 1. or any "employee" authorized by you to give or receive notice of a "physical abuse, sexual misconduct or sexual molestation incident" or claim, includes any multiple, continuous, related or repeated acts of such "physical abuse, sexual misconduct or sexual molestation incident" after the end of the policy period.

- d. A "physical abuse, sexual misconduct or sexual molestation incident" will be deemed to have been known to have occurred at the earliest time when any insured listed under **SECTION II – WHO IS AN INSURED**, Paragraph 1. or any "employee" authorized by you to give or receive notice of a "physical abuse, sexual misconduct or sexual molestation incident" or claim:

- (1) Reports all or any part of the "physical abuse, sexual misconduct or sexual molestation incident" to us or any other insurer;
- (2) Receives a written or verbal demand or claim for damages because of the "physical abuse, sexual misconduct or sexual molestation incident"; or
- (3) Becomes aware by any other means that the "physical abuse, sexual misconduct or sexual molestation incident" has occurred or has begun to occur.

- B. For the purpose of coverage provided by this endorsement, **SECTION I – COVERAGES, COVERAGE A – BODILY INJURY AND PROPERTY DAMAGE LIABILITY, 2. Exclusions** is replaced by the following:

2. Exclusions

The insurance provided under this endorsement does not apply to:

a. Participating In or Knowingly Allowing "Physical Abuse, Sexual Misconduct or Sexual Molestation"

Any person who participated in, knowingly allowed or directed any "physical abuse, sexual misconduct or sexual molestation incident".

b. Dishonest, Fraudulent, Criminal, Wrongful or Malicious Act

"Injury" arising out of any intentional, dishonest, fraudulent, criminal, wrongful or malicious act committed by, knowingly allowed, or directed by the insured, including the willful or reckless violation of any statute or law.

This exclusion applies even if:

- (1) The insured or the person causing the "injury" lacks the mental capacity to control or govern his or her own conduct; or
- (2) The insured or the person causing the "injury" temporarily lacks the capacity to control or govern his or her own conduct or is temporarily unable to form any intent to cause harm.

This exclusion applies regardless whether the insured or the person causing the "injury" is actually charged with or convicted of a crime.

c. Sex Discrimination

"Injury" arising out of sex discrimination.

d. Contractual

Liability assumed by any insured under any contract or agreement. This exclusion does not apply to liability for damages that the insured would have in the absence of the contract or agreement.

e. Workers Compensation

Any obligation of any insured under a workers' compensation, disability benefits, or unemployment compensation law or any similar law.

f. Employer's Liability

Any claim made by or on behalf of:

- (1) Any "employee" of the insured arising out of and in the course of employment by any insured; or
- (2) Any person as a consequence of (1) above.

This exclusion applies:

- (3) Whether any insured may be liable as an employer or in any other capacity; and
- (4) To any obligation to share damages with or repay someone else who must pay damages because of "injury".

g. Employment-Related Practices

Any "claim" by or on behalf of:

- (1) A person arising out of any:
 - (a) Refusal to employ that person;
 - (b) Termination of that person's employment; or
 - (c) Employment-related practices, policies, acts or omissions, such as coercion, demotion, evaluation, reassignment, discipline, defamation, harassment,

humiliation or discrimination directed at that person; or

- (2) Any person as a consequence of "injury" to that person at whom any of the employment-related practices described in paragraphs (a), (b), or (c) above is directed.

This exclusion applies:

- (3) Whether the insured may be liable as an employer or in any other capacity; and
- (4) To any obligation to share damages with or repay someone else who must pay damages because of the "injury".

h. Punitive or Exemplary Damages

Any sum awarded for punitive, exemplary, or multiplied damages, taxes, fines or penalties arising out of any "physical abuse, sexual misconduct or sexual molestation incident".

i. "Injury", "Property Damage", "Personal and Advertising Injury"

- (1) "Injury" for which insurance is provided by other insurance, or which would have been provided but for the exhaustion of limits; or
- (2) "Property damage"; or
- (3) "Personal and advertising injury", except to the extent provided in this endorsement.

j. Prior Incident

"Injury" that results from a "physical abuse, sexual misconduct or molestation incident" that first commenced prior to the beginning of the policy period for this insurance.

C. For the purpose of coverage provided by this endorsement, the following is added to **SECTION II – WHO IS AN INSURED:**

However, none of the following is an insured for the purpose of coverage provided by this endorsement:

1. Any person who participated in, knowingly allowed or directed a "physical abuse, sexual misconduct or sexual molestation incident"; or
2. Any person who knew of a "physical abuse, sexual misconduct or sexual molestation incident" and failed to comply with any applicable federal, state or local laws, ordinances or regulations which require the reporting of such incident.

D. For the purpose of the coverage provided by this endorsement, **SECTION III – LIMITS OF INSURANCE is replaced by the following:**

SECTION III – LIMITS OF INSURANCE

1. The Limits of Insurance shown in the Schedule above and the rules below fix the most we will pay regardless of the number of:
 - a. Insureds;
 - b. Claims made or "suits" brought; or
 - c. Persons or organizations making claims or bringing "suits".
2. The "Physical Abuse, Sexual Misconduct or Sexual Molestation" Aggregate Limit is the most we will pay for all damages because or arising in any way out of "physical abuse, sexual misconduct or sexual molestation" to which this insurance applies.
3. Subject to the "Physical Abuse, Sexual Misconduct or Sexual Molestation" Aggregate Limit, the "Physical Abuse, Sexual Misconduct or Sexual Molestation" Each Incident Limit is the most we will pay for all damages sustained in any one "physical abuse, sexual misconduct or sexual molestation incident".
4. The "Physical Abuse, Sexual Misconduct or Sexual Molestation" Each Incident Limit is included within and not in addition to the Each Occurrence Limit of the Commercial General Liability Coverage Part. The "Physical Abuse, Sexual Misconduct or Sexual Molestation" Aggregate Limit is included within and not in addition to the General Aggregate Limit of the Commercial General Liability Coverage Part.
5. The Limits of Insurance of this endorsement apply separately to each consecutive annual period and to any remaining period of less than 12 months, starting with the beginning of the policy period shown in the Declarations, unless the policy period is extended after issuance for an additional period of less than 12 months. In that case, the additional period annual Physical Abuse, Sexual Misconduct or Sexual Molestation Aggregate Limit will be increased in proportion to the policy period extension.

E. For the purpose of coverage provided by this endorsement, **SECTION IV – COMMERCIAL GENERAL LIABILITY CONDITIONS, 2. Duties in the Event of an Act, Error, Omission, Claim or "Suit", paragraph a. is replaced by the following:**

2. **Duties in the Event of an Act, Error, Incident, Omission, Claim or "Suit"**
 - a. You must see to it that we are notified as soon as practicable of a "physical abuse, sexual misconduct or sexual molestation

incident" or an act, error, incident, omission, claim or "suit" which may result in a claim. Notice should include:

- (1) How, when and where the "physical abuse, sexual misconduct or sexual molestation incident" or act, error or omission took place;
- (2) The names and addresses of any injured persons and witnesses; and
- (3) The nature of any "injury" arising out of the "physical abuse, sexual misconduct or sexual molestation incident" or act, error or omission.

F. For the purpose of coverage provided by this endorsement, the following is added to **SECTION IV – GENERAL LIABILITY CONDITIONS:**

Transfer of Duties When a Limit of Insurance Is Used Up

- a.** If we conclude that, based on "physical abuse, sexual misconduct or sexual molestation incidents", claims or "suits" which have been reported to us and to which this insurance may apply, the:

- (1) "Physical Abuse, Sexual Misconduct or Sexual Molestation" Aggregate Limit; or
- (2) "Physical Abuse, Sexual Misconduct or Sexual Molestation" Each Incident Limit

is likely to be used up in the payment of judgments or settlements, we will notify the first Named Insured, in writing, to that effect.

- b.** When a limit of insurance described in paragraph **a.** above has actually been used up in the payment of judgments or settlements:

- (1) We will notify the first Named Insured, in writing, as soon as practicable, that:
 - (a) Such a limit has actually been used up; and
 - (b) Our duty to defend "suits" seeking damages subject to that limit has also ended.
- (2) We will initiate, and cooperate in, the transfer of control, to any appropriate insured, of all claims and "suits" seeking damages which are subject to that limit and which are reported to us before that limit is used up. That insured must cooperate in the transfer of control of said claims and "suits".

We agree to take such steps, as we deem appropriate, to avoid a default in, or continue the defense of, such "suits" until such transfer is completed, provided the appropriate insured is cooperating in completing such transfer.

We will take no action whatsoever with respect to any claim or "suit" seeking damages that would have been subject to that limit, had it not been used up, if the claim or "suit" is reported to us after that limit of insurance has been used up.

- (3) The first Named Insured, and any other insured involved in a "suit" seeking damages subject to that limit, must arrange for the defense of such "suit" within such time period as agreed to between the appropriate insured and us. Absent any such agreement, arrangements for the defense of such "suit" must be made as soon as practicable.

- c.** The first Named Insured will reimburse us for expenses we incur in taking those steps we deem appropriate in accordance with paragraph **b.(2)** above.

The duty of the first Named Insured to reimburse us will begin on:

- (1) The date on which the applicable limit of insurance is used up, if we sent notice in accordance with paragraph **a.** above; or
- (2) The date on which we sent notice in accordance with paragraph **b.(1)** above, if we did not send notice in accordance with paragraph **a.** above.

- d.** The exhaustion of any limit of insurance by the payments of judgments or settlements, and the resulting end of our duty to defend, will not be affected by our failure to comply with any of the provisions of this Condition.

G. For the purpose of coverage provided by this endorsement, the following are added to **SECTION V – DEFINITIONS:**

1. "Injury" means

- a.** "Bodily injury";
- b.** Mental anguish or emotional distress;
- c.** Oral, written or electronic publication of material that slanders or libels a person or organization;
- d.** Oral, written or electronic publication of material that violates a person's right of privacy; or
- e.** Wrongful entry into, or invasion of the right of private occupancy of a room, dwelling or premises that a person occupies, committed by or on behalf of its owner, landlord or lessor;

caused by a "physical abuse, sexual misconduct or sexual molestation incident".

2. "Physical abuse, sexual misconduct or sexual molestation" means actual or alleged physical abuse, sexual misconduct or sexual molestation arising out of a single, continuous or repeated exposure of one or more persons to acts of a physical abuse or sexual nature committed by:

- a. One person; or
- b. Two or more persons acting together or in related acts or series of acts.

However, "physical abuse, sexual misconduct or sexual molestation" does not include employment-related sexual harassment.

3. "Physical abuse, sexual misconduct or sexual molestation incident" means an act or multiple, continuous, related or repeated acts of "physical abuse, sexual misconduct or sexual molestation" by one person or two or more persons acting together. All acts of "physical abuse, sexual misconduct or sexual molestation" by any one person, or two or

more persons acting together will be deemed as one incident. The "physical abuse, sexual misconduct or sexual molestation incident" will be deemed to occur when the first "physical abuse, sexual misconduct or sexual molestation incident" takes place regardless of:

- a. The number of persons injured;
- b. The time period over which the "injury" took place;
- c. The number of such acts; or
- d. Whether each such person participated in each act.

All "physical abuse, sexual misconduct or sexual molestation incidents" by one person, or two or more persons acting together will be considered one "physical abuse, sexual misconduct or sexual molestation incident".

ALL OTHER TERMS AND CONDITIONS OF THE POLICY REMAIN UNCHANGED.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

BUILDING CLEANING AND MAINTENANCE CONTRACTORS GENERAL LIABILITY BROAD FORM ENDORSEMENT

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

SUMMARY OF COVERAGES

Coverage	Limit	Deductible
Lost Key Occurrence Limit		
Property in your Care, Custody or Control Occurrence Limit		
Theft of Customer Property Aggregate Limit		

If "none" or no Limit or Deductible is entered in the Schedule, the coverage has not been purchased and is not available.

A. LOST KEY COVERAGE

For the purpose of Lost Key Coverage provided by this endorsement:

1. The following exception is added to exclusion j. **Damage To Property** in Paragraph 2. **Exclusions** of **SECTION I – COVERAGES, COVERAGE A – BODILY INJURY AND PROPERTY DAMAGE LIABILITY**:

Paragraph (3) and (4) do not apply to the legal liability of any insured for the loss of a customer's keys in the course of your building cleaning or maintenance services.

The insurance provided by this provision applies only to:

- a. The actual cost of the keys that are lost;
 - b. The cost to adjust locks to accept new keys; and
 - c. The cost of new locks, including the cost of their installation.
2. The following exclusion is added to Paragraph 2. **Exclusions** of **SECTION I – COVERAGES, COVERAGE A – BODILY INJURY AND PROPERTY DAMAGE LIABILITY**:

Theft by an Insured:

With respect to the insurance provided under **Section A. Lost Key Coverage**, this insurance does not apply to theft committed by, or aided or abetted by, any insured.

3. The following is added to **SECTION II – WHO IS AN INSURED**, Paragraph 2.a.(2):

Your "employees" and "volunteer workers" are insureds, but only with respect to the insurance provided under **Section A. Lost Key Coverage**.

4. The following is added to **SECTION III – LIMITS OF INSURANCE**:

a. Lost Key Occurrence Limit

If a limit is shown in the schedule above for Lost Key Occurrence Limit, the Limit shown is the most we will pay for the sum of damages under **Section A. Lost Key Coverage** arising out of any one "occurrence".

The **Lost Key Occurrence Limit**:

- (1) Is subject to the General Aggregate Limit described in Paragraph 2. General Aggregate Limit of **Section III – Limits of Insurance**; and
- (2) Is not subject to the Each Occurrence Limit described in Paragraph 5. Each Occurrence Limit of **Section III – Limits of Insurance**.

b. Lost Key Deductible

Our obligation under **Section A. Lost Key Coverage** to pay damages on your behalf applies only to the amount of damages in excess of the deductible amount shown in the Schedule above or in the Declarations as applicable to such coverage.

- (1) The deductible amounts stated in the Schedule above or in the Declarations apply to all damages because of

"property damage" resulting from any one "occurrence", regardless of the number of persons or organizations who sustain damages because of that "occurrence".

(2) We may pay any part or all of the deductible amount to effect settlement of any claim or "suit" and, upon notification of the action taken, you shall promptly reimburse us for such part of the deductible amount that as has been paid by us.

(3) The terms of this insurance apply irrespective of the application of the deductible amount, including those terms with respect to:

(a) Our right and duty to defend any "suits" seeking those damages; and

(b) Your duties in the event of an "occurrence", claim or "suit"

B. PROPERTY IN YOUR CARE, CUSTODY OR CONTROL COVERAGE

For the purpose of Property in Your Care, Custody or Control Coverage provided by this endorsement:

1. **SECTION I – COVERAGES, COVERAGE A BODILY INJURY AND PROPERTY DAMAGE LIABILITY**, Paragraph 1. **Insuring Agreement** applies only to "property damage" arising out of your building cleaning and maintenance services operations.

2. The following exceptions are added to **SECTION I – COVERAGES, COVERAGE A – BODILY INJURY AND PROPERTY DAMAGE LIABILITY**, Paragraph 2. **Exclusions**, exclusion j. **Damage To Property**:

a. Paragraph (3) does not apply to property loaned to you, but only while being used in the performance of your building cleaning or maintenance services;

b. Paragraph (4) does not apply to personal property in the care, custody or control of an insured, but only when such insured is acting within the scope of performing your building cleaning or maintenance services;

c. Paragraph (5) does not apply to that particular part of real property on which you or any contractors or subcontractors working directly or indirectly on your behalf are performing building cleaning or

maintenance services, if the "property damage" arises out of such operations; or

d. Paragraph (6) does not apply to that particular part of any property that must be restored, repaired or replaced because "your work" related to your building cleaning or maintenance services was incorrectly performed on it.

3. The following exclusion is added to Paragraph 2. **Exclusions of SECTION I – COVERAGES, COVERAGE A – BODILY INJURY AND PROPERTY DAMAGE LIABILITY**:

This insurance does not apply to:

a. Lost Keys

(1) The actual cost of the keys that are lost;

(2) The cost to adjust locks to accept new keys; and

(3) The cost of new locks, including the cost of their installation.

b. Theft of Customer Property

Loss arising out of the theft of your customer's property.

4. The following is added to **SECTION II – WHO IS AN INSURED**, Paragraph 2.a.(2):

Your "employees" and "volunteer workers" are insureds, but only with respect to the insurance provided under **Section B – Property in your Care Custody or Control Coverage**.

5. The following is added to **SECTION III – LIMITS OF INSURANCE**:

a. Property in Your Care, Custody or Control Occurrence Limit

If a limit is shown in the schedule above for Property in Your Care Custody or Control Occurrence Limit, the Limit shown is the most we will pay for the sum of all damages under **Section B – Property in Your Care, Custody or Control Coverage** arising out of any one "occurrence".

The **Property in Your Care, Custody or Control Occurrence Limit**:

(1) Is subject to, and not in addition to, the General Aggregate Limit described in Paragraph 2. General Aggregate Limit of **Section III – Limits of Insurance**; and

- (2) Is subject to, and not in addition to, the Each Occurrence Limit described in Paragraph 5. Each Occurrence Limit of **Section III – Limits of Insurance.**

b. Property in Your Care, Custody or Control Deductible

Our obligation under **Section B. Property in Your Care Custody or Control Coverage** to pay damages on your behalf applies only to the amount of damages in excess of the deductible amount shown in the Schedule above or in the Declarations as applicable to such coverage.

- (1) The deductible amounts stated in the Schedule above or in the Declarations apply to all damages because of “property damage” as the result of any one “occurrence” regardless of the number of persons or organizations who sustain damages because of that “occurrence”.
- (2) We may pay any part or all of the deductible amount to effect settlement of any claim or “suit” and, upon notification of the action taken, you shall promptly reimburse us for such part of the deductible amount that as has been paid by us.
- (3) The terms of this insurance apply irrespective of the application of the deductible amount, including those terms with respect to:
- (a) Our right and duty to defend any “suits” seeking those damages; and
- (b) Your duties in the event of an “occurrence”, claim or “suit”

C. THEFT OF CUSTOMER PROPERTY – LEGAL LIABILITY COVERAGE

For the purpose of Theft of Customer Property – Legal Liability Coverage provided by this endorsement:

1. **SECTION I – COVERAGES, COVERAGE A BODILY INJURY AND PROPERTY DAMAGE LIABILITY**, Paragraph 1. **Insuring Agreement** applies only to your legal liability for theft of your customer’s tangible property arising out of your building cleaning or maintenance services operations.
2. The definition of “property damage” in **SECTION V – DEFINITIONS** is replaced by the following:

17. “Property Damage” means:

Theft of your customer’s tangible property, including all resulting loss of use of that property. All such loss of use shall be deemed to occur at the time of the “occurrence” that caused it.

As used in this definition, theft includes burglary, robbery and mysterious disappearance. For the purposes of this definition only, theft of your customer’s tangible property is deemed to be caused by an “occurrence”.

3. The following exclusions are added to Paragraph 2. **Exclusions of SECTION I – COVERAGES, COVERAGE A – BODILY INJURY AND PROPERTY DAMAGE LIABILITY:**

This insurance does not apply to:

a. Lost Keys

- (1) the actual cost of the keys that are lost;
- (2) the cost to adjust locks to accept new keys; and
- (3) the cost of new locks, including the cost of their installation.

b. Theft by an Insured

Loss arising out of theft committed by, or aided or abetted by, any insured.

3. The following is added to **SECTION III - LIMITS OF INSURANCE:**

a. Theft of Customer Property Aggregate Limit

If a limit is shown in the Schedule above for Theft of Customer Property Aggregate Limit the Aggregate Limit shown is the most we will pay for the sum of all damages under **Section C. Theft of Customer Property Coverage (Legal Liability).**

The Theft of Customer Property Aggregate Limit:

- (1) Is not subject to the General Aggregate Limit described in Paragraph 2. General Aggregate Limit of **Section III – Limits of Insurance**; and
- (2) Is not subject to the Each Occurrence Limit described in Paragraph 5. Each Occurrence Limit of **Section III – Limits of Insurance**

b. Theft of Customer Property Deductible

Our obligation under **Section C. Theft of Customer Property Coverage (Legal Liability)** to pay damages on your behalf applies only to the amount of damages in excess of the deductible amount shown in the Schedule above or in the Declarations as applicable to such coverage.

- (1) The deductible amounts stated in the Schedule above or in the Declarations apply to all damages because of "property damage" as the result of any one "occurrence" regardless of the number of persons or organizations who sustain damages because of that "occurrence".
- (2) We may pay any part or all of the deductible amount to effect settlement of any claim or "suit" and, upon notification of the action taken, you shall promptly reimburse us for such part of the deductible amount that as has been paid by us.
- (3) The terms of this insurance apply irrespective of the application of the deductible amount, including those terms with respect to:

- (a) Our right and duty to defend any "suits" seeking those damages; and
- (b) Your duties in the event of an "occurrence", claim or "suit"

D. Applicable to each coverage provided by this endorsement, the following is added:

It is our stated intent that the various coverage parts, forms, endorsements or policies issued to the named insured by us, or any company affiliated with us, do not provide any duplication or overlap of coverage for the same claim or "suit". If this endorsement and any other coverage part, form, endorsement or policy issued to the named insured by us, or any company affiliated with us, apply to the same claim, "suit", occurrence, offense, accident, negligent act, error or omission, or loss, the maximum Limit of Insurance under all such coverage parts, forms, endorsements or policies combined shall not exceed the highest applicable Limit of Insurance under any one coverage part, form, endorsement or policy.

This condition does not apply to any Excess or Umbrella Policy issued by us specifically to apply as excess insurance over this policy.

ALL OTHER TERMS, CONDITIONS, AND EXCLUSIONS REMAIN UNCHANGED.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

PROFESSIONAL LIABILITY COVERAGE ENDORSEMENT - SEPARATE LIMITS OF INSURANCE (OCCURRENCE) – BROAD FORM

This endorsement modifies the insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

SCHEDULE – PROFESSIONAL LIABILITY LIMITS OF INSURANCE

Professional Liability Each Occurrence Limit:	\$ 1,000,000
Professional Liability Aggregate Limit:	\$ 3,000,000

(If no entry appears above, information required to complete this endorsement will be shown in the Declarations as applicable to this endorsement.)

A. For the purposes of coverage provided by this endorsement, the following is added to **SECTION I – COVERAGES, COVERAGE A BODILY INJURY AND PROPERTY DAMAGE LIABILITY, Paragraph 1. Insuring Agreement:**

f. “Bodily injury” arising out of providing or failing to provide “Miscellaneous Medical and Professional Services” shall be deemed to be caused by an “occurrence”.

B. For the purposes of coverage provided by this endorsement, the following exclusions are added to **SECTION I – COVERAGES, COVERAGE A BODILY INJURY AND PROPERTY DAMAGE LIABILITY, Paragraph 2. Exclusions:**

This insurance does not apply to:

Medical Professional Services

Any claim arising out of providing or failing to provide medical professional services by any physician, surgeon, physicians assistant, nurse practitioner, medical intern, medical resident, dentist, psychiatrist or chiropractor.

Unlicensed Professional Services

Any medical or professional service performed by any individual who is not properly licensed for such service in the state where such service is performed.

Dishonest or Criminal Acts

Any claim arising out of any dishonest, fraudulent, criminal, or malicious act or omission or any willful violation of law by the insured.

Medical Institution or Business

Liability of the insured as:

a. Owner, superintendent, administrator, director, trustee, or manager of any hospital, sanitarium, medical clinic, nursing home, or surgery center; or

b. Owner, superintendent, administrator, director, trustee, or manager of any other institution or business which provides medical services, except for “Miscellaneous Medical and Professional Services” related to the conduct of your business.

Management or Administration

Any claim arising out of acts, errors or omissions of a managerial or administrative nature.

C. For the purposes of coverage provided by this endorsement, **SECTION II – WHO IS AN INSURED, Paragraph 2.a.(1)(d)** is replaced by the following:

(d) Arising out of his or her providing or failing to provide professional health care services. This exception does not apply to:

1. “Bodily injury” arising out of providing or failing to provide “Miscellaneous Medical and Professional Services”; or
2. “Bodily injury” for which the insured may be held liable arising from supervision of Miscellaneous Medical and Professional Services”.

D. For the purposes of coverage provided by this endorsement, the following is added to **SECTION II – WHO IS AN INSURED:**

No person or organization is an insured for “bodily injury” arising out of providing or failing to provide professional health care services which are not “Miscellaneous Medical and Professional Services” related to the conduct of your business.

E. For the purposes of coverage provided by this endorsement, the following is added to **SECTION III – LIMITS OF INSURANCE:**

Professional Liability Limits of Insurance

1. The Professional Liability Limits of Insurance shown in the Schedule or Declarations and the rules below fix the most that we will pay regardless of the number of:
 - a. Insureds;
 - b. Claims made or "suits" brought; or
 - c. Persons or organizations making claims or bringing "suits".
2. The Professional Liability Each Occurrence Limit is the most that we will pay under the Professional Liability Endorsement for the sum of all damages for all claims arising out of a single "occurrence".
3. The Professional Liability Aggregate Limit is the most that we will pay under the Professional Liability Endorsement for the sum of all damages arising out of all "occurrences" during the policy period.
4. The Professional Liability Limits of Insurance of this endorsement apply separately to each consecutive annual period and to any remaining period of less than 12 months, starting with the beginning of the policy period shown in the Declarations, unless the policy period is extended after issuance for an additional period of less than 12 months. In that case, the additional period will be deemed part of the last preceding period for purposes of determining the Professional Liability Limits of Insurance.
5. For the purpose of determining the limits of insurance for the coverage provided by this endorsement, all claims arising out of a single act or omission, or a series of acts and omissions, in the providing of or failure to provide "Miscellaneous Medical and Professional Services" will be considered one single "occurrence".
6. The General Aggregate Limit, the Products – Completed Operations Aggregate Limit, the Each Occurrence Limit and the Medical Expense Limit do not apply to any damages because of "bodily injury" arising out of providing or failing to provide "Miscellaneous Medical and Professional Services".

- F. For the purposes of coverage provided by this endorsement, the following is added to **SECTION IV – COMMERCIAL GENERAL LIABILITY CONDITIONS**, Paragraph 4. **Other Insurance, b. Excess Insurance (1)**:

This insurance is excess over:

- (c) Any other valid and collectible insurance, whether primary, excess, contingent or on any other basis:
 - (i) That is available to your "employee" or "volunteer worker" who has other insurance covering his or her professional liability; or
 - (ii) That you have purchased from a company other than us or a company affiliated with us which is more specific than this insurance.

- G. For the purposes of coverage provided by this endorsement, the following definition is added to **SECTION V – DEFINITIONS** :

"Miscellaneous Medical and Professional Services" means medical and other professional health care services incidental to:

- a. The sale or rental of medical products and medical gas, including demonstrating, furnishing, installing, adjusting or providing instruction regarding medical or surgical equipment or appliances;
- b. Orthotic and prosthetic services, including design, manufacture, fabrication, supply and practice of orthotic or prosthetic services;
- c. Home health care, hospice, home infusion, physical therapy, occupational therapy, speech therapy or respiratory therapy services;
- d. Pharmacy services, including consultation and administration of flu shots. Pharmacy services include compounding drugs, but do not include manufacturing drugs;
- e. Diagnostic testing and medical laboratory services, including mobile diagnostic testing centers and mobile medical laboratory services;
- f. Sleep study services, excluding interpretation of sleep studies; or
- g. Optometry or optician services.

Except as modified in this endorsement, all other terms and conditions of the policy to which this endorsement is attached will apply.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

PROFESSIONAL SERVICES EXCLUSION, WITH THE EXCEPTION OF MEDICAL PROFESSIONAL LIABILITY ENDORSEMENTS

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART (CLAIMS-MADE)
COMMERCIAL GENERAL LIABILITY COVERAGE PART (OCCURRENCE)

A. The following is added to SECTION I – COVERAGES, COVERAGE A – BODILY INJURY AND PROPERTY DAMAGE LIABILITY, 2. Exclusions:

Miscellaneous Medical and Professional Services

“Bodily injury” arising out of providing or failing to provide “miscellaneous medical and professional services”:

- (1) By any insured;
- (2) On behalf of any insured; or
- (3) For which the insured assumed liability by reason of a contract or agreement.
- (4) For which any insured may be held liable arising from supervision of professional health care services.

This exclusion does not apply to the extent that coverage for “bodily injury” arising out of providing or failing to provide “miscellaneous medical and professional services” is provided under any of the following endorsements:

- (5) A Professional Liability Coverage Endorsement that is applicable to this policy;
- (6) An Additional Insured - Automatic Status for Medical Independent Contractors or Subcontractors endorsement that is applicable to this policy; or
- (7) An Additional Insured - Designated Medical Independent Contractors or Subcontractors endorsement that is applicable to this policy.

Medical Professional Services

“Bodily injury” arising out of providing or failing to provide medical professional services by any physician, surgeon, physician assistant, nurse practitioner, medical intern, medical resident, dentist, psychiatrist or chiropractor or other licensed health care professional.

This exclusion does not apply to the extent that coverage for “bodily injury” arising out of providing or failing to provide “miscellaneous medical and

professional services” is provided under any of the following endorsements:

- (1) A Professional Liability Coverage Endorsement that is applicable to this policy;
- (2) An Additional Insured - Automatic Status for Medical Independent Contractors or Subcontractors endorsement that is applicable to this policy; or
- (3) An Additional Insured - Designated Medical Independent Contractors or Subcontractors endorsement that is applicable to this policy.

B. The following is added to SECTION I – COVERAGES, COVERAGE B – PERSONAL AND ADVERTISING INJURY LIABILITY, 2. Exclusions:

Miscellaneous Medical and Professional Services

“Personal and advertising injury” arising out of providing or failing to provide “miscellaneous medical and professional services”:

- (1) By any insured;
- (2) On behalf of any insured; or
- (3) For which the insured assumed liability by reason of a contract or agreement.
- (4) For which any insured may be held liable arising from supervision of professional health care services.

This exclusion does not apply to the extent that coverage for “personal and advertising injury” arising out of providing or failing to provide “miscellaneous medical and professional services” is provided under any of the following endorsements:

- (5) A Professional Liability Coverage Endorsement that is applicable to this policy;
- (6) An Additional Insured - Automatic Status for Medical Independent Contractors or Subcontractors endorsement that is applicable to this policy; or

- (7) An Additional Insured - Designated Medical Independent Contractors or Subcontractors endorsement that is applicable to this policy.

Medical Professional Services

"Personal and advertising injury" arising out of providing or failing to provide medical professional services by any physician, surgeon, physician assistant, nurse practitioner, medical intern, medical resident, dentist, psychiatrist or chiropractor or other licensed health care professional.

This exclusion does not apply to the extent that coverage for "personal and advertising injury" arising out of providing or failing to provide "miscellaneous medical and professional services" is provided under any of the following endorsements:

- (1) A Professional Liability Coverage Endorsement that is applicable to this policy;
- (2) An Additional Insured - Automatic Status for Medical Independent Contractors or Subcontractors endorsement that is applicable to this policy; or
- (3) An Additional Insured - Designated Medical Independent Contractors or Subcontractors endorsement that is applicable to this policy.

- C. The following is added to **SECTION I - COVERAGES, COVERAGE A – BODILY INJURY AND PROPERTY DAMAGE LIABILITY, 2. Exclusions** and **COVERAGE B – PERSONAL AND ADVERTISING INJURY LIABILITY, 2. Exclusions**:

Professional Services

"Bodily injury", "property damage", or "personal and advertising injury" caused by providing or failing to provide any professional service, advice or instruction:

- (1) By any insured;
- (2) On your behalf; or
- (3) For which the insured assumed liability by reason of a contract or agreement;

Regardless of whether or not such service, advice or instruction is ordinary to any insured's profession, including but not limited to:

- (4) Legal services;
- (5) Accounting services;
- (6) Advertising services;
- (7) Notary services;
- (8) Title abstract services;
- (9) Tax preparation services;
- (10) Real estate services;
- (11) Stockbroker services;
- (12) Publishing services;
- (13) Insurance services;
- (14) Architecture services; or
- (15) Engineering services.

This exclusion does not apply to liability for damages caused by providing or failing to provide professional health care services.

This exclusion applies regardless of whether such service requires certification or licensing.

ALL OTHER TERMS, CONDITIONS, AND EXCLUSIONS REMAIN UNCHANGED.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

NEW YORK CHANGES – COMMERCIAL GENERAL LIABILITY COVERAGE FORM

This endorsement modifies the insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART (OCCURRENCE)

A. Paragraph 1. Insuring Agreement of SECTION I – COVERAGE A BODILY INJURY AND PROPERTY DAMAGE LIABILITY is replaced by the following:

1. Insuring Agreement

a. We will pay those sums that the insured becomes legally obligated to pay as damages because of "bodily injury" or "property damage" to which this insurance applies. We will have the right and duty to defend the insured against any "suit" seeking those damages even if the allegations of the "suit" are groundless, false or fraudulent. However, we will have no duty to defend the insured against any "suit" seeking damages for "bodily injury" or "property damage" to which this insurance does not apply. We may, at our discretion, investigate any "occurrence" and settle any claim or "suit" that may result. But:

- (1) The amount we will pay for damages is limited as described in **SECTION III – LIMITS OF INSURANCE**; and
- (2) Our right and duty to defend end when we have used up the applicable limit of insurance in the payment of judgments or settlements under Coverages **A** or **B** or medical expenses under Coverage **C**.

No other obligation or liability to pay sums or perform acts or services is covered unless explicitly provided for under **SUPPLEMENTARY PAYMENTS – COVERAGES A AND B**.

b. This insurance applies to "bodily injury" and "property damage" only if:

- (1) The "bodily injury" or "property damage" is caused by an "occurrence" that takes place in the "coverage territory";
- (2) The "bodily injury" or "property damage" occurs during the policy period; and
- (3) Prior to the policy period, no insured listed under Paragraph 1. of **SECTION**

II – WHO IS AN INSURED and no "employee" authorized by you to give or receive notice of an "occurrence" or claim, knew that the "bodily injury" or "property damage" had occurred, in whole or in part. If such a listed insured or authorized "employee" knew, prior to the policy period, that the "bodily injury" or "property damage" occurred, then any continuation, change or resumption of such "bodily injury" or "property damage" during or after the policy period will be deemed to have been known prior to the policy period.

- c. "Bodily injury" or "property damage" which occurs during the policy period and was not, prior to the policy period, known to have occurred by any insured listed under Paragraph 1. of **SECTION II – WHO IS AN INSURED** or any "employee" authorized by you to give or receive notice of an "occurrence" or claim, includes any continuation, change or resumption of that "bodily injury" or "property damage" after the end of the policy period.
- d. "Bodily injury" or "property damage" will be deemed to have been known to have occurred at the earliest time when any insured listed under Paragraph 1. of **SECTION II – WHO IS AN INSURED** or any "employee" authorized by you to give or receive notice of an "occurrence" or claim:
 - (1) Reports all, or any part, of the "bodily injury" or "property damage" to us or any other insurer;
 - (2) Receives a written or verbal demand or claim for damages because of the "bodily injury" or "property damage"; or
 - (3) Becomes aware by any other means that "bodily injury" or "property damage" has occurred or has begun to occur.
- e. Damages because of "bodily injury" include damages claimed by any person

or organization for care, loss of services or death resulting at any time from the "bodily injury".

B. Paragraph 1.a. of SECTION I – COVERAGE B PERSONAL AND ADVERTISING INJURY LIABILITY is replaced by the following:

1. Insuring Agreement

a. We will pay those sums that the insured becomes legally obligated to pay as damages because of "personal and advertising injury" to which this insurance applies. We will have the right and duty to defend the insured against any "suit" seeking those damages even if the allegations of the "suit" are groundless, false or fraudulent. However, we will have no duty to defend the insured against any "suit" seeking damages for "personal and advertising injury" to which this insurance does not apply. We may, at our discretion, investigate any offense and settle any claim or "suit" that may result. But:

- (1) The amount we will pay for damages is limited as described in **SECTION III – LIMITS OF INSURANCE**; and
- (2) Our right and duty to defend end when we have used up the applicable limit of insurance in the payment of judgments or settlements under Coverages **A** and **B** or medical expenses under Coverage **C**.

C. The following is added as Paragraph e. to the Duties In The Event Of Occurrence, Offense, Claim Or Suit Condition (Paragraph 2. of SECTION IV – COMMERCIAL GENERAL LIABILITY CONDITIONS):

e. Notice given by or on behalf of the insured, or written notice by or on behalf of the injured person or any other claimant, to any agent of ours in New York State, with particulars sufficient to identify the insured, shall be considered to be notice to us.

D. Paragraph 3. of SECTION IV – COMMERCIAL GENERAL LIABILITY CONDITIONS is replaced by the following:

3. Legal Action Against Us

a. Except as provided in Paragraph 3.b., no person or organization has a right under this Coverage Part:

- (1) To join us as a party or otherwise bring us into a "suit" asking for damages from an insured; or

- (2) To sue us on this Coverage Part unless all of its terms have been fully complied with.

A person or organization may sue us to recover on an agreed settlement or on a final judgment against an insured; but we will not be liable for damages that are not payable under the terms of this Coverage Part or that are in excess of the applicable limit of insurance. An agreed settlement means a settlement and release of liability signed by us, the insured and the claimant or the claimant's legal representative.

- b. With respect to all claims except "property damage" claims, if we deny coverage or do not admit liability because an insured or the injured person, someone acting for the injured person or other claimant fails to give us written notice as soon as practicable, then the injured person, someone acting for the injured person or other claimant may bring an action against us, provided the sole question is whether the denial of coverage or nonadmission of liability is based on the failure to provide timely notice.

However, the injured person, someone acting for the injured person or other claimant may not bring an action if within 60 days after we deny coverage or do not admit liability, we or an insured:

- (1) Brings an action to declare the rights of the parties under the policy; and
- (2) Names the injured person, someone acting for the injured person or other claimant as a party to the action.

E. The following provision is added and supersedes any provision to the contrary:

Failure to give notice to us as required under each Coverage Part shall not invalidate any claim made by the insured, injured person or any other claimant, unless the failure to provide such timely notice has prejudiced us. However, no claim made by the insured, injured person or other claimant will be invalidated if it shall be shown not to have been reasonably possible to give such timely notice and that notice was given as soon as was reasonably possible thereafter.

F. The definition of "loading or unloading" in the DEFINITIONS Section does not apply.

Except as modified in this endorsement, all other terms and conditions of the policy to which this endorsement is attached will apply.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

COMMERCIAL GENERAL LIABILITY BROADENING ENDORSEMENT

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

SUMMARY OF COVERAGES

1.	Additional Insured by Contract, Agreement or Permit	Included
2.	Additional Insured – Primary and Non-Contributory	Included
3.	Blanket Waiver of Subrogation	Included
4.	Bodily Injury Redefined	Included
5.	Broad Form Property Damage – Borrowed Equipment, Customers Goods & Use of Elevators	Included
6.	Knowledge of Occurrence	Included
7.	Liberalization Clause	Included
8.	Medical Payments – Extended Reporting Period	Included
9.	Newly Acquired or Formed Organizations - Covered until end of policy period	Included
10.	Non-owned Watercraft	51 ft.
11.	Supplementary Payments Increased Limits	
	- Bail Bonds	\$2,500
	- Loss of Earnings	\$1000
12.	Unintentional Failure to Disclose Hazards	Included
13.	Unintentional Failure to Notify	Included

This endorsement amends coverages provided under the Commercial General Liability Coverage Part through new coverages, higher limits and broader coverage grants.

1. Additional Insured by Contract, Agreement or Permit

The following is added to **SECTION II – WHO IS AN INSURED**:

Additional Insured by Contract, Agreement or Permit

- a. Any person or organization with whom you agreed in a written contract, written agreement or permit that such person or organization to add an additional insured on your policy is an additional insured only with respect to liability for “bodily injury”, “property damage”, or “personal and advertising injury” caused, in whole or in part, by your acts or omissions, or the acts or omissions of those acting on your behalf, but only with respect to:

- (1) "Your work" for the additional insured(s) designated in the contract, agreement or permit;

- (2) Premises you own, rent, lease or occupy; or

- (3) Your maintenance, operation or use of equipment leased to you.

- b. The insurance afforded to such additional insured described above:

- (1) Only applies to the extent permitted by law; and

- (2) Will not be broader than the insurance which you are required by the contract, agreement or permit to provide for such additional insured.

- (3) Applies on a primary basis if that is required by the written contract, written agreement or permit.
 - (4) Will not be broader than coverage provided to any other insured.
 - (5) Does not apply if the "bodily injury", "property damage" or "personal and advertising injury" is otherwise excluded from coverage under this Coverage Part, including any endorsements thereto.
- c. This provision does not apply:
- (1) Unless the written contract or written agreement was executed or permit was issued prior to the "bodily injury", "property damage", or "personal injury and advertising injury".
 - (2) To any person or organization included as an insured by another endorsement issued by us and made part of this Coverage Part.
 - (3) To any lessor of equipment:
 - (a) After the equipment lease expires; or
 - (b) If the "bodily injury", "property damage", "personal and advertising injury" arises out of sole negligence of the lessor
 - (4) To any:
 - (a) Owners or other interests from whom land has been leased which takes place after the lease for the land expires; or
 - (b) Managers or lessors of premises if:
 - (i) The occurrence takes place after you cease to be a tenant in that premises; or
 - (ii) The "bodily injury", "property damage", "personal injury" or "advertising injury" arises out of structural alterations, new construction or demolition operations performed by or on behalf of the manager or lessor.
 - (5) To "bodily injury", "property damage" or "personal and advertising injury" arising out of the rendering of or the failure to render any professional services.
- This exclusion applies even if the claims against any insured allege negligence or other wrongdoing in the supervision, hiring, employment, training or monitoring of others by that insured, if the "occurrence" which caused the "bodily injury" or "property damage" or the offense which caused the "personal and

advertising injury" involved the rendering of or failure to render any professional services by or for you.

- d. With respect to the insurance afforded to these additional insureds, the following is added to **SECTION III – LIMITS OF INSURANCE**:

The most we will pay on behalf of the additional insured for a covered claim is the lesser of the amount of insurance:

- 1. Required by the contract, agreement or permit described in Paragraph a.; or
- 2. Available under the applicable Limits of Insurance shown in the Declarations.

This endorsement shall not increase the applicable Limits of Insurance shown in the Declarations.

2. Additional Insured – Primary and Non-Contributory

The following is added to **SECTION IV – COMMERCIAL GENERAL LIABILITY CONDITIONS**, Paragraph 4. Other insurance:

Additional Insured – Primary and Non-Contributory

If you agree in a written contract, written agreement or permit that the insurance provided to any person or organization included as an Additional Insured under **SECTION II – WHO IS AN INSURED**, is primary and non-contributory, the following applies:

If other valid and collectible insurance is available to the Additional Insured for a loss covered under Coverages **A** or **B** of this Coverage Part, our obligations are limited as follows:

a. Primary Insurance

This insurance is primary to other insurance that is available to the Additional Insured which covers the

Additional Insured as a Named Insured. We will not seek contribution from any other insurance available to the Additional Insured except:

- (1) For the sole negligence of the Additional Insured;
- (2) When the Additional Insured is an Additional Insured under another primary liability policy; or
- (3) when b. below applies.

If this insurance is primary, our obligations are not affected unless any of the other insurance is also primary. Then, we will share with all that other insurance by the method described in c. below.

b. Excess Insurance

- (1) This insurance is excess over any of the other insurance, whether primary, excess, contingent or on any other basis:
 - (a) That is Fire, Extended Coverage, Builder's Risk, Installation Risk or similar coverage for "your work";
 - (b) That is Fire insurance for premises rented to the Additional Insured or temporarily occupied by the Additional Insured with permission of the owner;
 - (c) That is insurance purchased by the Additional Insured to cover the Additional Insured's liability as a tenant for "property damage" to premises rented to the Additional Insured or temporarily occupied by the Additional Insured with permission of the owner; or
 - (d) If the loss arises out of the maintenance or use of aircraft, "autos" or watercraft to the extent not subject to Exclusion g. of **SECTION I – COVERAGE A – BODILY INJURY AND PROPERTY DAMAGE LIABILITY**.
- (2) When this insurance is excess, we will have no duty under Coverages **A** or **B** to defend the insured against any "suit" if any other insurer has a duty to defend the insured against that "suit". If no other insurer defends, we will undertake to do so, but we will be entitled to the insured's rights against all those other insurers.
- (3) When this insurance is excess over other Insurance, we will pay only our share of the amount of the loss, if any, that exceeds the sum of:
 - (a) The total amount that all such other insurance would pay for the loss in the absence of this insurance; and
 - (b) The total of all deductible and self insured amounts under all that other insurance.

We will share the remaining loss, if any, with any other insurance that is not described in this Excess Insurance provision and was not bought specifically to apply in excess of the Limits of Insurance shown in the Declarations of this Coverage Part.

c. Method Of Sharing

If all of the other insurance permits contribution by equal shares, we will follow this method also. Under this approach each

insurer contributes equal amounts until it has paid its applicable limit of insurance or none of the loss remains, whichever comes first. If any of the other insurance does not permit contribution by equal shares, we will contribute by limits. Under this method, each insurer's share is based on the ratio of its applicable limit of insurance to the total applicable limits of insurance of all insurers

3. Blanket Waiver of Subrogation

The following is added to **SECTION IV – COMMERCIAL GENERAL LIABILITY CONDITIONS**, Paragraph 8. **Transfer Of Rights Of Recovery Against Others To Us:**

We waive any right of recovery we may have against any person or organization with whom you have a written contract that requires such waiver because of payments we make for damage under this coverage form. The damage must arise out of your activities under a written contract with that person or organization. This waiver applies only to the extent that subrogation is waived under a written contract executed prior to the "occurrence" or offense giving rise to such payments.

4. Bodily Injury Redefined

SECTION V – DEFINITIONS, Definition 3. "bodily injury" is replaced by the following:

3. "Bodily injury" means bodily injury, sickness or disease sustained by a person including death resulting from any of these at any time. "Bodily injury" includes mental anguish or other mental injury resulting from "bodily injury".

5. Broad Form Property Damage – Borrowed Equipment, Customers Goods, Use of Elevators

- a. **SECTION I – COVERAGES, COVERAGE A – BODILY INJURY AND PROPERTY DAMAGE LIABILITY**, Paragraph 2. **Exclusions** subparagraph j. is amended as follows:

Paragraph (4) does not apply to "property damage" to borrowed equipment while at a jobsite and not being used to perform operations.

Paragraphs (3), (4) and (6) do not apply to "property damage" to "customers goods" while on your premises nor do they apply to the use of elevators at premises you own, rent, lease or occupy.

- b. The following is added to **SECTION V – DEFINITIONS:**

24. "Customers goods" means property of your customer on your premises for the purpose of being:

- a. worked on; or
- b. used in your manufacturing process.
- c. The insurance afforded under this provision is excess over any other valid and collectible property insurance (including deductible) available to the insured whether primary, excess, contingent

6. Knowledge of Occurrence

The following is added to **SECTION IV – COMMERCIAL GENERAL LIABILITY CONDITIONS**, Paragraph 2. **Duties in the Event of Occurrence, Offense, Claim or Suit:**

- e. Notice of an "occurrence", offense, claim or "suit" will be considered knowledge of the insured if reported to an individual named insured, partner, executive officer or an "employee" designated by you to give us such a notice.

7. Liberalization Clause

The following is added to **SECTION IV – COMMERCIAL GENERAL LIABILITY CONDITIONS:**

Liberalization Clause

If we adopt any revision that would broaden the coverage under this Coverage Form without additional premium, within 45 days prior to or during the policy period, the broadened coverage will immediately apply to this Coverage Part.

8. Medical Payments – Extended Reporting Period

- a. **SECTION I – COVERAGES, COVERAGE C – MEDICAL PAYMENTS**, Paragraph 1. **Insuring Agreement**, subparagraph a.(3)(b) is replaced by the following:
 - (b) The expenses are incurred and reported to us within three years of the date of the accident; and
- b. This coverage does not apply if **COVERAGE C – MEDICAL PAYMENTS** is excluded either by the provisions of the Coverage Part or by endorsement.

9. Newly Acquired Or Formed Organizations

SECTION II – WHO IS AN INSURED, Paragraph 3.a. is replaced by the following:

- a. Coverage under this provision is afforded until the end of the policy period.

10. Non-Owned Watercraft

SECTION I – COVERAGES, COVERAGE A BODILY INJURY AND PROPERTY DAMAGE LIABILITY, Paragraph 2. **Exclusions**, subparagraph g.(2) is replaced by the following:

g. Aircraft, Auto Or Watercraft

- (2) A watercraft you do not own that is:

- (a) Less than 51 feet long; and
- (b) Not being used to carry persons or property for a charge;

This provision applies to any person who, with your consent, either uses or is responsible for the use of a watercraft.

11. Supplementary Payments Increased Limits

SECTION I – SUPPLEMENTARY PAYMENTS COVERAGES A AND B, Paragraphs 1.b. and 1.d. are replaced by the following:

- 1.b. Up to \$2,500 for cost of bail bonds required because of accidents or traffic law violations arising out of the use of any vehicle to which the Bodily Injury Liability Coverage applies. We do not have to furnish these bonds.

- 1.d. All reasonable expenses incurred by the insured at our request to assist us in the investigation or defense of the claim or "suit", including actual loss of earnings up to \$1000 a day because of time off from work.

12. Unintentional Failure to Disclose Hazards

The following is added to **SECTION IV – COMMERCIAL GENERAL LIABILITY CONDITIONS**, Paragraph 6. **Representations:**

We will not disclaim coverage under this Coverage Part if you fail to disclose all hazards existing as of the inception date of the policy provided such failure is not intentional.

13. Unintentional Failure to Notify

The following is added to **SECTION IV – COMMERCIAL GENERAL LIABILITY CONDITIONS**, Paragraph 2. **Duties in the Event of Occurrence, Offense, Claim or Suit:**

Your rights afforded under this policy shall not be prejudiced if you fail to give us notice of an "occurrence", offense, claim or "suit", solely due to your reasonable and documented belief that the "bodily injury" or "property damage" is not covered under this policy.

ALL OTHER TERMS, CONDITIONS, AND EXCLUSIONS REMAIN UNCHANGED.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

COMMERCIAL GENERAL LIABILITY ENHANCEMENT ENDORSEMENT – HEALTHCARE

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART (CLAIMS-MADE)
COMMERCIAL GENERAL LIABILITY COVERAGE PART (OCCURRENCE)

SUMMARY OF COVERAGES

1.	Additional Insured – Broad Form Vendors	Included
2.	Extended Property Damage	Included
3.	Innocent Party Defense Coverage for Employees	\$ 25,000
4.	Medical Director as Insured	Included
5.	Mobile Equipment Redefined	Included
6.	Personal Injury – Abuse of Process	Included
7.	Property Damage Legal Liability – Broad Form - Fire, Lightning, Explosion, Smoke and Leakage from Fire Protective Systems Damage Limit	\$1,000,000
8.	Extended Property Damage for Home Health Care	
	Home Health Care Property Damage Aggregate Limit	\$50,000
	Home Health Care Property Damage Each Occurrence Limit	\$25,000
	Home Health Care Property Damage Deductible	\$500
9.	Public Relations Expenses Coverage	
	Public Relations Expenses Each Incident Limit	\$10,000
	Public Relations Expenses Aggregate Limit	\$10,000
10.	Theft of Clients' Property	
	Clients' Property Aggregate Limit	\$50,000
	Clients' Property Each Occurrence Limit	\$25,000

This endorsement amends coverages provided under the Commercial General Liability Coverage Part through new coverages, higher limits or broader coverage grants.

1. Additional Insured – Broad Form Vendors

The following is added to **SECTION II – WHO IS AN INSURED**:

Additional Insured – Broad Form Vendors

- a. Any person or organization that is a vendor with whom you agreed in a written contract or written agreement to include as an additional insured under this Coverage Part is an insured, but only with respect to liability for “bodily injury” or “property damage” caused in whole or in part by “your products” which are distributed or sold in the regular course of the vendor’s business.

- b. The insurance afforded to such vendor described above:

- (1) Only applies to the extent permitted by law;
- (2) Will not be broader than the insurance which you are required by the contract or agreement to provide for such vendor;
- (3) Will not be broader than coverage provided to any other insured; and
- (4) Does not apply if the “bodily injury”, “property damage” or “personal and advertising injury” is otherwise excluded from coverage under this Coverage Part, including any endorsements thereto.

- c. With respect to insurance afforded to such vendors, the following additional exclusions apply:

The insurance afforded to the vendor does not apply to:

- (1) "Bodily injury" or "property damage" for which the vendor is obligated to pay damages by reasons of the assumption of liability in a contract or agreement. This exclusion does not apply to liability for damages that the insured would have in the absence of the contract or agreement;
- (2) Any express warranty unauthorized by you;
- (3) Any physical or chemical change in the product made intentionally by the vendor;
- (4) Repackaging, unless unpacked solely for the purpose of inspection, demonstration, testing, or the substitution of parts under instruction from the manufacturer, and then repackaged in the original container;
- (5) Any failure to make such inspection, adjustments, tests or servicing as the vendor has agreed to make or normally undertakes to make in the usual course of business in connection with the sale of the product;
- (6) Demonstration, installation, servicing or repair operations, except such operations performed at the vendor's premises in connection with the sale of the product;
- (7) Products which, after distribution or sale by you, have been labeled or relabeled or used as a container, part or ingredient of any other thing or substance by or for the vendor;
- (8) "Bodily injury" or "property damage" arising out of the sole negligence of the vendor for its own acts or omissions or those of its employees or anyone else acting on its behalf. However, this exclusion does not apply to:
 - (a) The exceptions contained within the exclusion in sub-paragraphs (4) or (6) above; or
 - (b) Such inspections, adjustments, tests or servicing as the vendor has agreed to make or normally undertakes to make in the usual course of business, in connection with the distribution or sale of the products.
- (9) "Bodily injury" or "property damage" arising out of an "occurrence" that took place before you have signed the contract or agreement with the vendor.

- (10) To any person or organization included as an insured by another endorsement issued by us and made part of this Coverage Part.

- (11) Any insured person or organization, from whom you have acquired such products, or any ingredient, part or container, entering into, accompanying or containing such products.

- d. With respect to the insurance afforded to these vendors, the following is added to **SECTION III – LIMITS OF INSURANCE:**

The most we will pay on behalf of the vendor for a covered claim is the lesser of the amount of insurance:

1. Required by the contract or agreement described in Paragraph a.; or
2. Available under the applicable Limits of Insurance shown in the Declarations;

This endorsement shall not increase the applicable Limits of Insurance shown in the Declarations.

2. Extended Property Damage

SECTION I – COVERAGES, COVERAGE A – BODILY INJURY AND PROPERTY DAMAGE LIABILITY, Paragraph 2. Exclusions, subparagraph a. is replaced by the following:

a. Expected or intended Injury

"Bodily injury" or "property damage" expected or intended from the standpoint of the insured. This exclusion does not apply to "bodily injury" or "property damage" resulting from the use of reasonable force to protect persons or property.

3. Innocent Party Defense Coverage for Employees

The following is added to **SUPPLEMENTARY PAYMENTS- COVERAGES A AND B:**

Innocent Party Defense Coverage for Employees

- a. At your request, we will reimburse you for the sums that you voluntarily pay to an "employee" of yours for the reasonable and necessary defense costs incurred by that "employee" to defend criminal charges brought against that "employee", but this Supplementary Payment only applies if:
 - (1) The acts out of which such criminal charges arise are alleged to have:
 - (a) Arisen out of and in the course of your employment of the "employee"; and
 - (b) Been committed by your "employee" against your client; and

(c) Taken place during that period of time that the "employee" was employed by you; and

(d) Taken place during the policy period and in the "coverage territory"; and

(2) All the criminal charges are either dismissed with prejudice or your "employee" is found not guilty of all criminal charges by a court of law.

b. We will not reimburse you for any sums that you voluntarily pay to your "employee" for the reasonable and necessary defense costs that employee incurs to defend the criminal charges made against that "employee":

(1) For any criminal charge(s) arising out of the ownership, maintenance, use or entrustment to others of any aircraft, "auto" or watercraft;

(2) For any criminal charge(s) where your "employee" receives anything less than either a complete dismissal with prejudice or a not guilty verdict on all charges, including without limitation, any deferred adjudication or similar finding of guilt that is held in abeyance for any reason, pending the completion of any remedial activity such as community service or counseling; or

(3) For any fines or penalties whatsoever.

The most will pay under this provision is \$25,000 during the policy period regardless of the number of requests for reimbursement made by you.

4. Medical Director as Insured

The following is added to **SECTION II – WHO IS AN INSURED**:

Medical Director as Insured

Your Medical Director is an insured, but only while:

a. Acting within the scope and during the course of his or her duties as your Medical Director; and

b. While maintaining professional liability insurance compliant with all applicable Federal, state and local insurance regulations and requirements.

However, your Medical Director is not an insured for providing or failing to provide professional services as a physician, surgeon, dentist or psychiatrist or other medical professional in the treatment or direction of treatment of any patient.

5. Mobile Equipment Redefined

Definition 12., Paragraph f.(1) "Mobile Equipment" of the **DEFINITIONS** section does not apply to

self-propelled vehicles of less than 1,000 pounds gross vehicle weight.

6. Personal Injury – Abuse of Process

Definition 14., Paragraph b. "Personal and advertising injury" of the **DEFINITIONS** section is replaced by the following:

b. Malicious prosecution or abuse of process;

7. Property Damage Legal Liability- Broad Form

a. **SECTION I – COVERAGES, COVERAGE A – BODILY INJURY AND PROPERTY DAMAGE LIABILITY**, the last paragraph (after the exclusions) is replaced by the following:

Exclusions c. through n. do not apply to damage by fire, lightning, explosion, smoke or leakage from fire protective systems to premises while rented to you or temporarily occupied by you with the permission of the owner. A separate limit of insurance applies to this coverage as described in **SECTION III – LIMITS OF INSURANCE**.

b. **SECTION III – LIMITS OF INSURANCE**, Paragraph 6. is replaced by the following:

6. Subject to Paragraph 5. above, The Damage to Premises Rented to You Limit is the most we will pay under **COVERAGE A** for damages because of "property damage" to any one premises, while rented to you or temporarily occupied by you with permission of the owner, from fire, lightning, explosion, smoke and leakage from fire protective systems.

The Damage to Premises Rented to You Limit is the higher of:

a. \$1,000,000; or

b. The Damage to Premises Rented to You Limit shown in the Declarations.

This limit will apply to all damage caused by the same event, whether such damage results from fire, lightning, explosion, smoke, leakage from fire protective systems or any combination of any of these.

c. **SECTION IV – COMMERCIAL GENERAL LIABILITY CONDITIONS**, Paragraph 4. **Other Insurance**, subparagraph b. **Excess Insurance**, item (1)(a)(ii) is replaced by the following:

(ii) That is fire, lightning, explosion, smoke or leakage from fire protective systems insurance for premises rented to you or temporarily occupied by you with permission of the owner; or

d. Definition 9. "Insured contract", Paragraph a. of the **DEFINITIONS** section is replaced by the following:

a. A contract for a lease of premises. However, that portion of the contract for a lease of premises that indemnifies any person or organization for damage by fire, lightning, explosion, smoke or leakage from fire protective systems to premises while rented to you or temporarily occupied by you with permission of the owner is not an "insured contract".

e. This coverage does not apply if Damage to Premises Rented to You is excluded either by the provisions of the Coverage Part or by endorsement.

8. Extended Property Damage for Home Health Care

a. For the purposes of coverage provided by this endorsement only, **SECTION I – COVERAGES, COVERAGE A – BODILY INJURY AND PROPERTY DAMAGE LIABILITY, 2. Exclusions, j. Damage To Property** is replaced by the following:

j. Damage to Property

"Property damage" to:

- (1) Property you own, rent, or occupy, including any costs or expenses incurred by you, or any other person, organization or entity, for repair, replacement, enhancement, restoration or maintenance of such property for any reason, including prevention of injury to a person or damage to another's property;
- (2) Premises you sell, give away or abandon, if the "property damage" arises out of any part of those premises;
- (3) Property loaned to you;
- (4) Personal property in the care, custody or control of the insured;
- (5) That particular part of real property on which you or any contractors or subcontractors working directly or indirectly on your behalf are performing operations, if the "property damage" arises out of those operations; or
- (6) That particular part of any property that must be restored, repaired or replaced because "your work" was incorrectly performed on it.

Paragraphs (1), (3) and (4) of this exclusion do not apply to "property damage" (other than "property damage" by fire) to premises, including the contents of such premises, rented to you for a period of seven or fewer consecutive days. A separate limit of insurance applies to Damage To Premises Rented To You as described in **SECTION III – LIMITS OF INSURANCE**.

Paragraph (2) of this exclusion does not apply if the premises are "your work" and were never occupied, rented or held for rental by you.

Paragraphs (3), (4), (5) and (6) of this exclusion do not apply to liability assumed under a sidetrack agreement.

Paragraph (4) of this exclusion does not apply to property owned by anyone receiving your home health care services or their family, but only if the "property damage" arises from providing or failing to provide your services.

Paragraph (6) of this exclusion does not apply to "property damage" included in the "products-completed operations hazard".

b. For the purposes of coverage provided by this Paragraph 8. only, the following is added to **SECTION III – LIMITS OF INSURANCE**:

The Home Health Care Property Damage Aggregate Limit of \$50,000 is the most we will pay for all "property damage" to personal property in the care, custody or control of the insured which is owned by anyone receiving your services or their family.

Subject to the Home Health Care Property Damage Aggregate Limit, the Home Health Care Property Damage Each Occurrence Limit of \$25,000 is the most we will pay for all "property damage" to personal property in the care, custody or control of the insured which is owned by anyone receiving your services or their family which arises out of any one "occurrence". The Home Health Care Property Damage Each Occurrence Limit is subject to a \$500 deductible.

The Home Health Care Property Damage Each Incident Limit is included within and not in addition to the Each Occurrence Limit of the Commercial General Liability Coverage Part. The Home Health Care Property Damage Aggregate Limit is included within and not in addition to the General Aggregate Limit of the Commercial General Liability Coverage Part.

9. Public Relations Expenses Coverage

- a. We will reimburse you for reasonable "public relations expenses" resulting from a "public relations incident" that commences and is reported after the policy effective date, and before the end of the policy period.
- b. The insurance provided by this Paragraph 9. does not apply to any expenses for any "public relations incident":
 - (1) Arising out of any conspiracy on your part with another person or organization;
 - (2) Arising out of a criminal investigation, complaint or indictment initiated by any insured, for any reason;
 - (3) Arising out of a formal administrative proceeding initiated by any insured, for any reason;
 - (4) Arising out of:
 - (a) Any access to or disclosure of any person's or organization's confidential or personal information, including:
 - (i) Patents;
 - (ii) Trade secrets;
 - (iii) Processing methods;
 - (iv) Customer lists;
 - (v) Financial information;
 - (vi) Credit card information;
 - (vii) Health information; or
 - (viii) Any other type of nonpublic information; or
 - (b) The loss of, loss of use of, damage to, corruption of, inability to access, or inability to manipulate "electronic data"; or
 - (5) Which is covered by another policy issued by a company that is an affiliate of The Hanover Insurance Group, Inc.
- c. The Public Relations Expenses Aggregate Limit of \$10,000 is the most we will pay for "public relations expenses" for all "public relations incidents" during the policy period.
 Subject to the Public Relations Expenses Aggregate Limit, the Public Relations Expenses Each Incident Limit of \$10,000 is the most we will pay for "public relations expenses" for each "public relations incident".
 If the policy period is extended after issuance so that the policy period is more than 12 months, no additional **Limits of Insurance** will be provided as a result of the extension.
- d. For the purposes of coverage provided under this Paragraph 9. only, **SECTION IV –**

COMMERCIAL GENERAL LIABILITY CONDITIONS, 2. Duties In The Event Of Occurrence, Offense, Claim Or Suit is replaced by the following:

2. Duties In The Event of a "Public Relations Incident"

- a. You must see to it that we are given written notice as soon as practicable of an incident or circumstance which may result in a "public relations incident". To the extent possible, notice should include:
 - (1) The specific act or omission;
 - (2) How, when and where the incident or circumstance took place;
 - (3) The names and addresses of any injured persons and witnesses;
 - (4) The consequences which may have resulted or may result from such incident or circumstance;
 - (5) The nature and location of any injury or damages arising out of the incident or circumstance;
 - (6) The nature of the potential monetary amounts or non-monetary relief which may be sought in consequence of such incident or circumstance; and
 - (7) The method by which the insured first became aware of the possible "public relations incident".
- b. If a "public relations incident" occurs, you must:
 - (1) Immediately record the specifics of the "public relations incident" and the date you became aware of it; and
 - (2) Notify us as soon as practicable.
 You must see to it that we receive written notice of the "public relations incident" as soon as practicable.
- c. You and any other involved insured must:
 - (1) Immediately send us copies of any demands, notices, summonses, legal papers or other documents received in connection with the "public relations incident", incident or circumstance;
 - (2) Authorize us to obtain records and other information;
 - (3) Fully cooperate with us in the investigation of the "public

relations incident", incident or circumstance; and

- (4) Assist us in the enforcement of any right of contribution or indemnity against any person or organization which may be liable to the insured for "public relations expenses" because of the "public relations incident" to which this insurance may also apply.

- d. No insured will, except at that insured's own cost, voluntarily make any payment, assume any obligation, or incur any expense without our consent.
- e. For the purposes of coverage provided under this Paragraph 9. only, the following paragraph is added to **SECTION IV – COMMERCIAL GENERAL LIABILITY CONDITIONS**:

Claim File, Claim Number or Claim Reserve

In order to pay "public relations expenses" under this Paragraph 9., we may establish a claim file or a claim number, or set a claim reserve, in connection with the "public relations incident". The establishment of a claim file or a claim number, or the setting of a claim reserve, does not indicate acceptance of the "public relations incident" as a claim under Coverage A or Coverage B of any Commercial General Liability policy or Professional Liability policy issued to you by us.

- f. For the purposes of coverage provided under this Paragraph 9. only, the following definitions are added to the **DEFINITIONS** section:

"Activities of daily living" are basic self-care activities, including eating, bathing, dressing, toileting, personal hygiene and grooming, transferring (walking) and continence.

"Contaminated" or "contamination" means unfit for use by the introduction of unwholesome or undesirable elements.

"Covered Illness" means only the following:

- (1) Bacterial microorganisms transmitted through human contact with food;
- (2) Hepatitis virus;
- (3) Legionnaire's disease; and
- (4) Noroviruses;

As defined by the United States Center for Disease Control.

"Covered Illness" does not include any other type of illness, bacteria, "microbe", virus or disease.

"Covered Location" means:

- (1) That part of a premises you occupy which is listed on the Common Policy Declarations, including the area within 1,000 feet of that premises.
- (2) If you have more than one "covered location" under Paragraph (1), the term "covered location" means only the location at which the "public relations incident" occurred.
- (3) If you occupy only part of the site at a "covered location", this phrase is further defined as:
 - (a) The portion of the building which you rent, lease or occupy; and
 - (b) Any area within the building or on the site at which the described premises are located, if that area services, or is used to gain access to, the described premises.

"Electronic data" means information, facts or programs stored as or on, created or used on, or transmitted to or from computer software, including systems and applications software, hard or floppy disks, CD-ROMs, tapes, drives, cells, data processing devices or any other media which are used with electronically controlled equipment.

"Fungi" means any type or form of fungus, including but not limited to fungus, mildew, mold or resulting spores and byproducts, including mycotoxins, or allergens. However, "fungi" does not include "fungi" on food for human consumption.

"Home health care services" means health-related services that are provided in a residential setting, including medical services, nursing services and mental health services. "Home health care services" include the furnishing of food, beverages, medications or appliances in connection with such services. "Home health care services" also include providing assistance to your client with the "activities of daily living". "Home health care services" do not include housekeeping services.

"Microbe" means any non-fungal microorganism or non-fungal, colony-form

organism that causes infection or disease. "Microbe" includes any spores, mycotoxins, odors, or any other substances, products, or byproducts produced by, released by, or arising out of the current or past presence of "microbes". However, "microbe" does not mean "microbes" that were transmitted directly from person to person.

"Miscellaneous medical and professional services" is deemed to have the same definition used in the applicable Miscellaneous Medical Professional Services Definition endorsement attached to the policy.

If no Miscellaneous Medical Professional Services Definition endorsement is attached to the policy, then "miscellaneous medical and professional services" means the service, repair and installation of durable medical equipment, or the provision of "home health care services".

"Public relations expenses" means the reasonable and necessary charges and fees incurred by you to manage the "public relations incident", including but not limited to fees and charges for third party consultants. All "public relations expenses" must be incurred within six (6) months of a covered "public relations incident".

"Public relations incident" means:

(1) Contaminated Food or Beverage

- (a) Necessary closure of all or part of your "covered location" by order of the governing Board of Health because of discovery or suspicion that "contaminated" food or beverage has been served to patrons at your "covered location"; or
- (b) Necessary announcement by you or any governmental body warning the public of a health hazard at your "covered location" because "contaminated" food or beverage has been served to your patrons.

(2) Other Emergency Incidents

Any one of the following events occurring at your "covered location":

- (a) Explosion;
- (b) Fire;
- (c) Construction accident;
- (d) Equipment failure; or

(e) Workplace accident;

Which results in injury or damage to person(s) or property, and adverse regional or national news media coverage of your business or operations.

(3) "Miscellaneous medical and professional services" incident:

(a) Includes:

- (i) A criminal investigation, complaint or indictment against an insured arising out of the rendering of or failure to render "miscellaneous medical and professional services";
- (ii) A formal administrative proceeding against an insured arising out of the rendering of or failure to render "miscellaneous medical and professional services"; or
- (iii) A civil complaint or claim arising out of the rendering of or failure to render "miscellaneous medical and professional services" by an insured; and

- (b) Must result from an actual or alleged violation or infringement of any federal, state or local statute or regulation regarding "miscellaneous medical and professional services".

(4) Premises Contamination

- (a) Necessary closure of all or part of your "covered location" due to any sudden and accidental "contamination" or impairment of the "covered location" which results in clear, visible, identifiable, internal or external symptoms of bodily injury, illness, or death of any person(s).
- (b) This includes a "covered location" "contaminated" by "covered illness", but does not include "contamination" of the "covered location", in whole or part, by other "pollutants", "fungi" or "microbes" except as provided under "covered illness".
- (c) Confirmation of both the existence of the "covered illness", and "covered location" that the

"covered illness" has "contaminated" must be confirmed by a qualified expert or experts and reliable laboratory testing.

(5) Specified Felonies

The following felonies, whether committed, attempted, or threatened on your "covered location":

(a) Child Abduction or Kidnapping

The wrongful and illegal seizure of a child under age sixteen (16) at your "covered location" by someone other than the child's biological, adoptive or foster parents or guardians;

(b) Employee or Customer Abduction

Stalking and abduction of one or more of your employees or customers by other than a relative;

(c) Sexual assault;

(d) Felonious use of a firearm, other weapon or device designed to cause significant harm or damage.

(6) Violent Acts

(a) A violent act at your "covered location", committed with malicious intent by one or more individuals against a person(s) or entity(s), which results in physical injury or death to such targeted person(s) or bystanders.

This does not include violent acts committed by you, or any of your partners, directors, officers or trustees.

(b) An attempt or threat of a violent act to be committed at your "covered location", made with malicious intent by one or more individuals against a person(s) or entity(s), which is likely to result in physical injury or death to such targeted person(s) or bystander(s).

(i) This does not include an attempt or threat of a violent act made by you, or any of your partners, directors, officers or trustees.

(ii) For coverage to apply, such attempts or threats must be

credible, plausible and reported to law enforcement.

(c) A violent act at your "covered location", committed with malicious intent by one or more individuals against any person(s) or entity(s), which results in direct physical loss or damage to your premises or the property of others at the "covered location".

This does not include a violent act committed by you, or any of your partners, directors, officers or trustees.

(d) An attempt or threat of a violent act to be committed on your "covered location", made with malicious intent by one or more individuals against any person(s) or entity(s), which is likely to result in direct physical loss or damage to your premises or the property of others at the "covered location".

(i) This does not include an attempt or threat of a violent act made by you, or any of your partners, directors, officers or trustees.

(ii) For coverage to apply, such attempts or threats must be credible, plausible and reported to law enforcement.

10. Theft of Clients' Property

a. We will pay for loss of or damage to "money", "securities" and "other property" sustained by your "client" resulting directly from "theft" committed by an identified "employee", acting alone or in collusion with other persons. This Paragraph 10. only applies if the "theft" is "discovered" and reported during the policy period.

(1) The property covered under this endorsement is limited to property that your "client":

(a) Owns or leases; or

(b) Holds for others whether or not your "client" is legally liable for the loss of such property.

However, this insurance is for your benefit only. It provides no rights or benefits or benefits to any other person or organization, including your "client". Any claim for loss that is covered under this endorsement must be presented by you.

- b. The Clients' Property Aggregate Limit of \$50,000 is the most we will pay for all loss of or damage to "money", "securities" and "other property" sustained by your "client" resulting directly from "theft" committed by an identified "employee".

Subject to the Clients' Property Aggregate Limit, the Clients' Property Each Occurrence Limit of \$25,000 is the most we will pay for all loss under this coverage that arises out of any one "occurrence".

- c. The insurance provided under this Paragraph 10. does not apply to:

(1) Loss of or damage to "money", "securities" and "other property" sustained by your "client" resulting from voluntary parting with any property by you, your "employee" or anyone else to whom you have entrusted the property if induced to do so by any fraudulent scheme, trick, device or false pretense.

(2) Loss caused by an "employee" if the "employee" had also committed "theft" or any other dishonest act prior to the effective date of this insurance and you or any of your partners, members (if you are a partnership or joint venture), managers, officers, directors or trustees, not in collusion with the "employee", learned of that "theft" or dishonest act prior to the Policy Period shown in the Declarations.

- d. For the purposes of coverage provided under this Paragraph 10. only, **SECTION IV – COMMERCIAL GENERAL LIABILITY CONDITIONS, 2. Duties In The Event Of Occurrence, Offense, Claim or Suit** is replaced by the following:

2. Duties in the Event of Loss

- a. You must see that the following are done in the event of loss or damage to Covered Property:

- (1) Notify us as soon as possible.
- (2) Produce for our examination all pertinent records.
- (3) Give us a detailed, sworn proof of loss within 120 days of "discovery" of the "theft".
- (4) Cooperate with us in the investigation and settlement of any claim.

- e. For the purposes of coverage provided under this Paragraph 10. only, the following Paragraph is added to **SECTION IV – COMMERCIAL GENERAL LIABILITY CONDITIONS**:

Valuation – Settlement

The value of any loss for purposes of coverage under this insurance shall be determined as follows:

(1) "Money"

Loss of "money", but only up to and including its face value. We will, at your option, pay for loss of "money" issued by any country other than the United States of America:

- (a) At face value in the "money" issued by that country; or
- (b) In the United States of America dollar equivalent, determined by the rate of exchange published in The Wall Street Journal on the day the "theft" was "discovered".

(2) "Securities"

Loss of "securities" but only up to and including their value at the close of business on the day the "theft" was "discovered". We may, at our option:

- (a) Pay the market value of such "securities" or replace them in kind, in which event you must assign to us all your rights, title and interest in and to those "securities"; or
- (b) Pay the cost of any Lost Securities Bond required in connection with issuing duplicates of the "securities". However, we will be liable only for the payment of so much of the cost of the bond as would be charged for a bond having a penalty not exceeding the lesser of the:
 - (i) Market value of the "securities" at the close of business on the day the "theft" was "discovered"; or
 - (ii) The Limit of Insurance applicable to the "securities".

(3) Property Other Than Money and Securities

- (a) Loss of "other property" for the replacement cost of the "other property" without deduction for depreciation. However, we will not pay more than the least of the following:
 - (i) The Limit of Insurance applicable to the "other property";
 - (ii) The cost to replace the "other property" with property of comparable material and quality and used for the same purpose; or

- (iii) The amount you actually spend that is necessary to repair or replace the lost or damaged property.
 - (b) We will not pay on a replacement cost basis for any loss of "other property" covered under Paragraph (a) above:
 - (i) Until the lost "other property" is actually replaced; and
 - (ii) Unless the replacement is made as soon as reasonably possible after the loss.
 - (c) Any "other property" that we pay for or replace becomes our property.
- f. For the purposes of coverage provided under this Paragraph 10. only, the following definitions are added to the **DEFINITIONS** section:
 - "Client" means any entity for whom you perform services under a contract.
 - "Discovered" means the time when you first become aware of facts which would cause a reasonable person to assume that a loss of a type covered by this insurance has been or will be incurred, regardless of when the act or acts causing or contributing to such loss occurred, even though the exact amount or details of loss may not then be known.
 - "Money" means:
 - (1) Currency, coins and bank notes in current use and having a face value; and
 - (2) Travelers checks, register checks and money orders held for sale to the public.
 - "Money" does not include Bitcoin or other virtual currency.
 - "Other property" means any tangible property other than "money" and "securities" that has

intrinsic value. "Other property" does not include computer programs, electronic data or any property specifically excluded under this policy.

"Other property" does not include Bitcoin or other virtual currency.

"Securities" means negotiable and nonnegotiable instruments or contract representing either "money" or property and includes:

- (1) Tokens, tickets, revenue and other stamps (whether represented by actual stamps or unused value in a meter) in current use; and
- (2) Evidence of debt issued in connection with credit or charge cards, which cards are not issued by you;

But does not include "money", Bitcoin or other virtual currency.

"Theft" means the unlawful taking of property to the deprivation of your "client".

- e. For the purposes of coverage provided under this Paragraph 10. only, Paragraph 13. of the **DEFINITIONS** section is replaced by the following:

13. "Occurrence" means:

- (1) An individual act of "theft";
- (2) The combined total of all separate acts of "theft" whether or not related; or
- (3) A series of acts of "theft" whether or not related;

Committed by an "employee", acting alone or in collusion with other persons, during the Policy Period shown in the Declarations.

ALL OTHER TERMS, CONDITIONS, AND EXCLUSIONS REMAIN UNCHANGED.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

COMMERCIAL GENERAL LIABILITY ENHANCEMENT ENDORSEMENT – MANUFACTURED HOUSING

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

SUMMARY OF COVERAGES

1.	Aggregate Limit per Location	Included
2.	Alienated Premises	Included
3.	Broad Form Named Insured	Included
4.	Extended Property Damage	Included
5.	Incidental Malpractice (Employed Nurses, EMT's & Paramedics)	Included
6.	Property Injury – Broad Form	Included
7.	Property Damage Legal Liability – Broad Form - Fire, Lightning, Explosion, Smoke and Leakage from Fire Protective Systems Damage Limit	\$1,000,000

This endorsement amends coverages provided under the Commercial General Liability Coverage Part through new coverages, higher limits and broader coverage grants.

1. Aggregate Limit Per Location

- a. **SECTION III – LIMITS OF INSURANCE**, the General Aggregate Limit applies separately to each of your "locations" owned by or rented to you.
- b. For purpose of this coverage only, the following is added to **SECTION V – DEFINITIONS**:
"Location" means premises involving the same or connecting lots, or premises whose connection is interrupted only by a street, roadway, waterway or right-of-way of a railroad.

2. Alienated Premises

SECTION I – COVERAGES, COVERAGE A – BODILY INJURY AND PROPERTY DAMAGE LIABILITY, Paragraph 2. **Exclusions**, subparagraph j.(2) is replaced by the following:

- (2) Premises you sell, give away or abandon, if the "property damage" arises out of any part of those premises and occurred from hazards that were known by you, or should have reasonably been known by you, at the time the property was transferred or abandoned.

3. Broad Form Named Insured

If you are designated in the Declarations as anything other than an individual, then any organization:

- a. Over which you maintained a combined ownership interest of more than 50% on the effective date of this policy;
- b. That is not a partnership, joint venture or limited liability company; and
- c. That is not excluded by any endorsement to this policy, will qualify as a Named Insured if there is no other similar insurance available to that organization, or that would be available but for exhaustion of its limits.

Any such organization will cease to qualify as a Named Insured as of the date during the policy period when the combined ownership interest of the Named Insureds in the organization equals or falls below 50%.

4. Extended Property Damage

SECTION I – COVERAGES, COVERAGE A – BODILY INJURY AND PROPERTY DAMAGE LIABILITY, Paragraph 2. **Exclusions**, subparagraph a. is replaced by the following:

a. Expected or Intended Injury

Bodily injury" or "property damage" expected or intended from the standpoint of the insured. This exclusion does not apply to "bodily injury" or "property damage" resulting from the use of reasonable force to protect persons or property.

5. Incidental Malpractice – Employed Nurses, EMT's and Paramedics

Under **SECTION II – WHO IS AN INSURED**, Paragraph **2.a.(1)(d)** does not apply to a nurse, emergency medical technician or paramedic employed by you if you are not engaged in the business or occupation of providing medical, paramedical, surgical, dental, x-ray or nursing services.

6. Personal Injury – Broad Form

a. **SECTION I – COVERAGES, COVERAGE B – PERSONAL AND ADVERTISING INJURY LIABILITY**, Paragraph **2. Exclusions**, subparagraph **e.** is deleted.

b. **SECTION V – DEFINITIONS**, Definition **14**, "Personal and advertising injury" subparagraph **b.** is replaced by the following:

b. Malicious prosecution or abuse of process.

c. The following is added to **SECTION V – DEFINITIONS**, Definition **14**. "Personal and advertising injury":

"Discrimination" (unless insurance thereof is prohibited by law) that results in injury to the feelings or reputation of a natural person, but only if such "discrimination" is:

(1) Not done intentionally by or at the direction of:

(a) The insured;

(b) Any officer of the corporation, director, stockholder, partner or member of the insured; and

(2) Not directly or indirectly related to an "employee", not to the employment, prospective employment or termination of any person or persons by an insured.

d. The following is added to **SECTION V – DEFINITIONS**:

"Discrimination" means the unlawful treatment of individuals based upon race, color, ethnic origin, gender, religion, age, or sexual preference. "Discrimination" does not include the unlawful treatment of individuals based upon developmental, physical, cognitive, mental, sensory or emotional impairment or any combination of these.

e. This coverage does not apply if **COVERAGE B – PERSONAL AND ADVERTISING INJURY LIABILITY** is excluded either by the provisions of the Coverage Form or by endorsement.

7. Property Damage Legal Liability – Broad Form

a. **SECTION I – COVERAGES, COVERAGE A – BODILY INJURY AND PROPERTY DAMAGE LIABILITY**, the last paragraph (after the exclusions) is replaced by the following:

Exclusions **c.** through **n.** do not apply to damage by fire, lightning, explosion, smoke or leakage from fire protective systems to premises while rented to you or temporarily occupied by you with the permission of the owner. A separate limit of insurance applies to this coverage as described in **SECTION III – LIMITS OF INSURANCE**.

b. **SECTION III – LIMITS OF INSURANCE**, Paragraph **6.** is replaced by the following:

6. Subject to Paragraph **5.** above, The Damage to Premises Rented to You Limit is the most we will pay under **COVERAGE A** for damages because of "property damage" to any one premises from fire, lightning, explosion, smoke and leakage from fire protective systems to premises, while rented to you or temporarily occupied by you with permission of the owner.

The Damage to Premises Rented to You Limit is the higher of:

a. \$1,000,000; or

b. The Damage to Premises Rented to You Limit shown in the Declarations.

This limit will apply to all damage caused by the same event, whether such damage results from fire, lightning, explosion, smoke, leakage from fire protective systems or any combination of any of these.

c. **SECTION IV – COMMERCIAL GENERAL LIABILITY CONDITIONS**, Paragraph **4. Other Insurance**, subparagraph **b. Excess Insurance**, item (a)(ii) is replaced by the following:

(ii) That is fire, lightning, explosion, smoke or leakage from fire protective systems insurance for premises rented to you or temporarily occupied by you with permission of the owner; or

d. **SECTION V – DEFINITIONS**, Definition **9**. "Insured contract", Paragraph **a.** is replaced by the following:

a. A contract for a lease of premises. However, that portion of the contract for a lease of premises that indemnifies any person or organization for damage by fire, lightning, explosion, smoke or leakage from fire protective systems to premises while rented to you or temporarily

occupied by you with permission of the owner is not an "insured contract".

- e. This coverage does not apply if Damage to Premises Rented to You is excluded either by the provisions of the Coverage Part or by endorsement.

ALL OTHER TERMS, CONDITIONS, AND EXCLUSIONS REMAIN UNCHANGED.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

NEW YORK AMENDATORY ENDORSEMENT

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY BROADENING ENDORSEMENT
COMMERCIAL GENERAL LIABILITY ENHANCEMENT ENDORSEMENT
COMMERCIAL GENERAL LIABILITY ENHANCEMENT ENDORSEMENT – HEALTHCARE
COMMERCIAL GENERAL LIABILITY ENHANCEMENT ENDORSEMENT – LIFE SCIENCES

**A. The following changes are made to the
COMMERCIAL GENERAL LIABILITY
BROADENING ENDORSEMENT:**

Coverage **13. Unintentional Failure to Notify** is replaced by the following:

13. Unintentional Failure to Notify

The following is added to **SECTION IV – COMMERCIAL GENERAL LIABILITY CONDITIONS**, Paragraph **2. Duties in the Event of Occurrence, Offense, Claim or Suit**:

Your rights afforded under this policy shall not be prejudiced if you fail to give us notice of an "occurrence", offense, claim or "suit", solely due to your reasonable belief that the "bodily injury" or "property damage" is not covered under this policy.

**B. The following changes are made to the
COMMERCIAL GENERAL LIABILITY
ENHANCEMENT ENDORSEMENT or
COMMERCIAL GENERAL LIABILITY
ENHANCEMENT ENDORSEMENT – LIFE
SCIENCES:**

1. If these Coverages are included in the Endorsement, the Coverages are deleted:

- a. **Mobile Equipment Redefined**
- b. **Accidental Death Benefit**
- c. **Innocent Party Defense Coverage for Employees**

2. If this Coverage is included in the Endorsement, the following changes are made to the Coverage **Personal Injury –Broad Form**:

- a. Where it appears in this Coverage the term abuse of process is replaced by abuse of legal process.
- b. The following is added to Paragraph **c.**:
(3) Not prohibited by or held in violation of law, public policy, legislation, court decision or administrative ruling.

With respect to claims, subject to New York Law, we shall not be liable to make any payment for damages in connection with a claim brought against you for harassment, intentional discrimination or civil rights violations of any law, rule or statute of New York, if a final adjudication determines that such harassment, intentional discrimination or civil right violation by you actually occurred; provided, however, that the actions of any insured that are employment related shall not be imputed to any other insured for the purposes of determining the applicability of the foregoing exclusion. Discrimination coverage is only provided for disparate impact and vicarious liability. Coverage is not provided for disparate treatment.

3. If this Coverage is included in the Endorsement, the following changes are made to the Coverage **Product Recall Expense**:

a. Paragraph **c.** is replaced by the following:

c. For the purposes of this endorsement only, the following is added to **SECTION III – LIMITS OF INSURANCE**:

Product Recall Expense Limits of Insurance

- 1. The Limits of Insurance shown in the SUMMARY OF COVERAGES of this endorsement and rules stated below fix the most we will pay under this Product Recall Expense Coverage regardless of the number of:
 - a. Insureds:
 - b. "Covered Recalls" initiated: or
 - c. Number of "your products" withdrawn.

2. The Product Recall Expense Aggregate Limit is the most we will pay for the sum of all "product recall expenses" incurred for all "covered recalls" initiated during the policy period.
3. The Product Recall Expense Each Occurrence Limit is the most we will pay in connection with any one defect or deficiency.
4. All "product recall expenses" in connection with substantially the same general harmful condition will be deemed to arise out of the same defect or deficiency and considered one "occurrence".
5. Any amount we pay for "product recall expenses" in connection with any one "occurrence" will reduce the amount of the Product Recall Expense Aggregate Limit available for payment of "product recall expenses" in connection with any other defect or deficiency.
6. If the Product Recall Expense Aggregate Limit has been reduced by payment of "product recall expenses" to an amount that is less than the Product Recall Expense Each Occurrence Limit, the remaining Product Recall Expense Aggregate Limit is the most that will be available for payment of "product recall expenses" in connection with any other defect or deficiency.
7. **Product Recall Deductible**

We will only pay for the amount of "product recall expenses" which are in excess of the \$500 Product Recall Deductible. The Product Recall Deductible applies separately to each "covered recall". The limits of insurance will not be reduced by the amount of this deductible.

We may, or will if required by law, pay all or any part of any deductible amount, if applicable. Upon notice of our payment of a deductible amount, you shall promptly repay us for the part of the deductible amount we paid.

The Product Recall Expense Limits of Insurance apply separately to each consecutive annual period. However, if

an alternative notice or a late conditional renewal notice results in an extension of this endorsement beyond the expiration date of the policy, the applicable limits of the expiring policy shall be increased in proportion to the policy extension.

- b. Paragraph d., subparagraph (1) is replaced by the following:

(1) As soon as practicable, give us notice of any discovery or notification that "your product" must be withdrawn or recalled, including a description of "your product" and the reason for the withdrawal or recall; and

- c. Paragraph e., subparagraph b. of the definition "product recall expense" is deleted.

4. If the Coverage **Wage Loss** is included in the Endorsement, it is replaced by the following:

12. Wage Loss

The following changes are made under **SECTION I – COVERAGES, COVERAGE C – MEDICAL PAYMENTS:**

- a. The following is added to Paragraph 1. **Insuring Agreement**, subparagraph b.:

We will pay "Wage loss" on behalf on the insured if the "bodily injury" results in time away from work as directed by a physician.

This coverage does not apply if Medical Expenses of **COVERAGE C** is excluded either by the provisions of the Coverage Form or by endorsement.

- b. The following is added to Paragraph 2. **Exclusions:**

The following additional exclusions apply to "wage loss":

- a. **Speculative "Wage Loss"**

That is not documented or which is speculative in nature.

- b. **Return to Work**

For time away from work by an injured person unless required by a physician, or time away from work after a physician has given approval for the injured person to return to work.

- c. **Other Coverage**

For that portion of "wage loss" that is paid or payable by another policy, endorsement, program or plan of any kind.

- d. **Assisted Living and Nursing Homes**

To a resident in a nursing home, assisted living facility, apartment building, condominium, or other similar living facility that is owned by you; or

e. Workers Compensation and Similar Sources

For that portion of "wage loss" that is paid or payable by a workers' compensation policy, unemployment compensation, short or long-term disability plans, sick leave, medical leave, or family leave.

c. The following is added to SECTION III – LIMITS OF INSURANCE:

Wage Loss Limit

1. We will pay two-thirds of the "wage loss" sustained by an injured person. In the event another policy, endorsement, program or plan pays a portion of the "wage loss", but less than two-thirds of the "wage loss", then we will pay the difference between that portion and two-thirds of the "wage loss".
2. The most we will pay for all "wage loss" during the policy period is \$5,000, regardless of the number of accidents or the number of injured persons sustaining "wage loss".
3. The **Wage Loss** is included within and not in addition to the Medical Expense Limit of insurance shown in the Declarations.

d. The following is added to SECTION IV – GENERAL LIABILITY CONDITIONS:

Proof of "wage loss" must be provided in writing by the employer of the person sustaining the "wage loss". If a person to whom coverage applies under this extension is self-employed, then such person must provide tax returns and any other necessary records to document their "wage loss".

e. For the purpose of this coverage only, the following definition is added to SECTION V – DEFINITIONS:

"Wage loss" means loss of actual gross income, but only to the extent that such income was being paid on the date that "bodily injury" caused by an accident occurred. "Wage Loss" does not include potential income that may have been received from bonuses, commission from sales, overtime hours, on-call pay, or other similar types of compensation. "Wage Loss" also does not include compensation

for paid sick leave, paid vacation days, short-term disability days, long-term disability days, or family leave that was used as a result of the "bodily injury."

5. If the Coverage Aircraft – Nonowned Hired, Chartered or Loaned with Paid Crew is included in the Endorsement, it is replaced with the following:

4. Aircraft – Nonowned Hired, Chartered or Loaned with Paid Crew

The following is added to **SECTION I – COVERAGES, COVERAGE A BODILY INJURY AND PROPERTY DAMAGE LIABILITY**, Paragraph 2. Exclusions, subparagraph g.:

This exclusion does not apply to:

g. Aircraft, Auto or Watercraft

An aircraft you do not own that is hired, chartered or loaned with a paid crew.

Insurance provided under this exception will be excess of any other valid or collectible insurance available to the insured for "bodily injury" or "property damage" liability covered under this provision.

C. The following is added to the COMMERCIAL GENERAL LIABILITY ENHANCEMENT ENDORSEMENT – HEALTHCARE, 8. Extended Property Damage for Home Health Care:

The Home Health Care Property Damage Aggregate Limit does not apply in New York.

D. The following changes are made to the COMMERCIAL GENERAL LIABILITY ENHANCEMENT ENDORSEMENT – HEALTHCARE, 9. Public Relations Expenses Coverage:

1. Paragraph a. is replaced by the following:

- a. We pay on your behalf reasonable "public relations expenses" resulting from a "public relations incident" that occurs after the policy effective date, and before the end of the policy period.

2. Paragraph b.(5) is deleted.

3. Paragraph c. is deleted and replaced by:

The Public Relations Expenses Aggregate Limit of \$10,000 is the most we will pay for "public relations expenses" for all "public relations incidents" during the policy period.

Subject to the Public Relations Expenses Aggregate Limit, the Public Relations Expenses Each Incident Limit of \$10,000 is the most we will pay for "public relations expenses" for each "public relations incident".

If the policy period is extended after issuance so that the policy period is more than 12 months, the additional annual Public Relations Aggregate Limit of the expiring policy will be increased in proportion to the policy extension.

4. Paragraph **e.** is deleted and replaced by:
- e.** For the purposes of coverage provided under this Paragraph **9.** only, the following paragraph is added to **SECTION IV – COMMERCIAL GENERAL LIABILITY CONDITIONS:**

Claim File, Claim Number or Claim Reserve

In order to pay “public relations expenses” under this Paragraph **9.**, we will establish a claim file or a claim number, or set a claim reserve, in connection with the “public relations incident”. The establishment of a claim file or a claim number, or the setting of a claim reserve, does not indicate acceptance of the “public relations incident” as a claim under Coverage **A** or Coverage **B** of any Commercial General Liability policy or Professional Liability policy issued to you by us.

5. Paragraph **f.** is amended as follows:

1. The definitions of “fungi” and “microbe” are deleted in their entirety.
2. The following sentence is deleted from the definition of “covered illness”:

“Covered Illness” does not include any type of illness, bacteria, “microve”, virus or disease.

3. Subparagraph (4)(b) is deleted and replaced by:

(b) This includes a “covered location” “contaminated” by “covered illness”, but does not include “contamination” of the “covered location”, in whole or part, by other “pollutants”, except as provided under “covered illness”.

- E.** Paragraph **10. Theft of Clients’ Property of COMMERCIAL GENERAL LIABILITY ENHANCEMENT ENDORSEMENT – HEALTHCARE** is deleted.

ALL OTHER TERMS, CONDITIONS, AND EXCLUSIONS REMAIN UNCHANGED.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

MISCELLANEOUS MEDICAL AND PROFESSIONAL SERVICES DEFINITION – BROAD FORM

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART (CLAIMS-MADE)
COMMERCIAL GENERAL LIABILITY COVERAGE PART (OCCURRENCE)

A. The following definitions are added to the **DEFINITIONS** section:

1. "Activities of daily living" are basic self-care activities, including eating, bathing, dressing, toileting, personal hygiene and grooming, transferring (walking) and continence.
2. "Miscellaneous medical and professional services" means medical and other professional health care services in connection with:
 - a. The sale or rental of medical products and medical gas, including demonstrating, furnishing, installing, adjusting or providing instruction regarding medical or surgical equipment or appliances;
 - b. Orthotic and prosthetic services, including design, manufacture, fabrication, supply and practice of orthotic or prosthetic services;
 - c. Home health care, hospice, home infusion, physical therapy, occupational therapy, speech therapy or respiratory therapy services. Home health care services include the furnishing of food, beverages, medications or appliances in connection with such services. Home health care services also include providing assistance to your client with the "activities of daily living". Home health care services do not include housekeeping services. Hospice services include "religious counseling services";
 - d. Pharmacy services allowed by the state,

including consultations, prescriptions, health screenings and administration of immunizations. Pharmacy services include compounding drugs, but do not include manufacturing drugs;

- e. Diagnostic testing and medical laboratory services, including mobile diagnostic testing centers and mobile medical laboratory services. Diagnostic testing and medical laboratory services include providing instruction or information regarding the laboratory services that you offer;
 - f. Sleep study services, excluding interpretation of sleep studies; or
 - g. Optometry or optician services.
3. "Religious counseling services" means any therapy, guidance, instruction, or direction provided by a "religious counselor" as a part of hospice services.
 4. "Religious counselor" means any:
 - a. Ordained minister;
 - b. Pastor;
 - c. Rabbi;
 - d. Religious or clergy member; or
 - e. Lay person duly authorized by you;Hired or otherwise engaged by you to provide counseling services to an individual or group of individuals, but only while acting within the scope of his or her duties as a counselor.

ALL OTHER TERMS, CONDITIONS, AND EXCLUSIONS REMAIN UNCHANGED.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

NEW YORK CHANGES – HEALTHCARE

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE FORM (CLAIMS-MADE)
COMMERCIAL GENERAL LIABILITY COVERAGE FORM (OCCURRENCE)
PROFESSIONAL LIABILITY COVERAGE ENDORSEMENT (CLAIMS-MADE)
PROFESSIONAL LIABILITY COVERAGE ENDORSEMENT – COMBINED LIMITS OF INSURANCE (OCCURRENCE)
PROFESSIONAL LIABILITY COVERAGE ENDORSEMENT – SEPARATE LIMITS OF INSURANCE (OCCURRENCE)
SUPPLEMENTARY PAYMENTS - ADMINISTRATIVE DEFENSE COVERAGE ENDORSEMENT
HIPAA REGULATORY DEFENSE COVERAGE ENDORSEMENT

A. If the **PROFESSIONAL LIABILITY COVERAGE ENDORSEMENT** is attached to the policy, for the purposes of coverage under the **PROFESSIONAL LIABILITY COVERAGE ENDORSEMENT**, the following exclusion is added to **SECTION I – COVERAGES, COVERAGE A BODILY INJURY AND PROPERTY DAMAGE LIABILITY, 2. Exclusions** and to **SECTION I – COVERAGES, COVERAGE B – PERSONAL AND ADVERTISING INJURY LIABILITY, 2. Exclusions** of the **COMMERCIAL GENERAL LIABILITY COVERAGE FORM**:

Punitive or Exemplary Damages

Any sum awarded for punitive damages, exemplary damages, multiplied damages, fines or penalties arising out of any "miscellaneous medical and professional services".

B. If the **PROFESSIONAL LIABILITY COVERAGE ENDORSEMENT** is attached the policy, for the purposes of coverage under the **PROFESSIONAL LIABILITY COVERAGE ENDORSEMENT**, the following Condition is added to **SECTION IV – COMMERCIAL GENERAL LIABILITY CONDITIONS** of the **COMMERCIAL GENERAL LIABILITY COVERAGE FORM**:

Transfer of Duties When a Limit of Insurance Is Used Up

a. If we conclude that, based on "occurrences," offenses, claims or "suits" which have been reported to us and to which this insurance may apply, the:

- (1) Professional Liability Aggregate Limit; or
- (2) Professional Liability Each Occurrence Limit;

is likely to be used up in the payment of judgments or settlements, we will notify the first Named Insured, in writing, to that effect.

b. When a limit of insurance described in Paragraph **a.** above has actually been used up in the payment of judgments or settlements:

(1) We will notify the first Named Insured, in writing, as soon as practicable, that:

(a) Such a limit has actually been used up; and

(b) Our duty to defend "suits" seeking damages subject to that limit has also ended.

(2) We will initiate, and cooperate in, the transfer of control, to any appropriate insured, of all claims and "suits" seeking damages which are subject to that limit and which are reported to us before that limit is used up. That insured must cooperate in the transfer of control of said claims and "suits".

We agree to take such steps, as we deem appropriate, to avoid a default in, or continue the defense of, such "suits" until such transfer is completed, provided the appropriate insured is cooperating in completing such transfer.

We will take no action whatsoever with respect to any claim or "suit" seeking damages that would have been subject to that limit, had it not been used up, if the claim or "suit" is reported to us after that limit of insurance has been used up.

(3) The first Named Insured, and any other insured involved in a "suit" seeking damages subject to that limit, must arrange for the defense of such "suit" within such time period as agreed to between the appropriate insured and us. Absent any such agreement, arrangements for the

defense of such "suit" must be made as soon as practicable.

- c. The first Named Insured will reimburse us for expenses we incur in taking those steps we deem appropriate in accordance with Paragraph **b.(2)** above.

The duty of the first Named Insured to reimburse us will begin on:

- (1) The date on which the applicable limit of insurance is used up, if we sent notice in accordance with paragraph a. above; or
- (2) The date on which we sent notice in accordance with Paragraph **b.(1)** above, if we did not send notice in accordance with Paragraph a. above.

- d. The exhaustion of any limit of insurance by the payments of judgments or settlements, and the resulting end of our duty to defend, will not be affected by our failure to comply with any of the provisions of this Condition.

C. If the PROFESSIONAL LIABILITY COVERAGE ENDORSEMENT (CLAIMS-MADE) or the PROFESSIONAL LIABILITY COVERAGE ENDORSEMENT – SEPARATE LIMITS OF INSURANCE (OCCURRENCE) is attached to the policy, Paragraph G.4. is replaced by the following:

- 4. The Professional Liability Limits of Insurance of this endorsement apply separately to each consecutive annual period and to any remaining period of less than 12 months, starting with the beginning of the policy period shown in the Declarations, unless the policy period is extended after issuance for an additional period of less than 12 months. In that case, the additional annual Professional Liability Aggregate Limit of the expiring policy shall be increased in proportion to the policy extension.

D. If the PROFESSIONAL LIABILITY COVERAGE ENDORSEMENT (CLAIMS-MADE) is attached to the policy, Paragraph J. is replaced by the following:

- J. For the purposes of coverage provided by this endorsement, the following Section is added:

SECTION VI – EXTENDED REPORTING PERIODS

- 1. We will provide one or more Extended Reporting Periods, as described below, if there is a "termination of coverage". "Termination of coverage" means:
 - a. This Coverage Endorsement is canceled or not renewed, whether done by the insurer or the insured at any time; or

- b. We decrease limits, increase deductibles or self-insured retentions, add new exclusions or make any other changes in coverage that are less favorable to the insured or are a reduction in coverage.

- 2. Extended Reporting Periods do not extend the policy period or change the scope of the coverage provided. They apply only to claims because of damages arising out of providing or failing to provide "miscellaneous medical and professional services" covered by this endorsement occurring prior to "termination of coverage", but not before the Retroactive Date, if any, shown in the Schedule or Declarations.

Once in effect, Extended Reporting Periods may not be canceled.

- 3. During the claims-made relationship and any extended reporting period, a person employed or otherwise affiliated with the Named Insured and covered by this Coverage Endorsement during such affiliation, will continue to be covered by this Coverage Endorsement and any extended reporting period after such affiliation has ceased for such person's acts or omissions during such affiliation.

- 4. Upon "termination of coverage", an Automatic Extended Reporting Period will be provided without an additional premium. This period starts with "termination of coverage" and lasts for 60 days with respect to claims because of damages arising out of providing or failing to provide "miscellaneous medical and professional services" covered by this endorsement occurring prior to "termination of coverage" and not previously reported to us.

The Automatic Extended Reporting Period does not reinstate or increase the Professional Liability Limits of Insurance.

- 5. Upon "termination of coverage", you shall have the right, upon payment of an additional premium, to an Optional Extended Reporting Period. This period starts with "termination of coverage" with respect to claims because of damages arising out of providing or failing to provide "miscellaneous medical and professional services" covered by this endorsement occurring prior to "termination of coverage" and not previously reported to us.

- a. If the Optional Extended Reporting Period is in effect, we will provide the optional aggregate limits of insurance described below, but only for claims

first received and recorded during the Optional Extended Reporting Period.

The optional aggregate limits of insurance will be equal to 100% of the Professional Liability Aggregate Limit in the Schedule for this coverage endorsement.

- b. We will notify you in writing within thirty (30) days after termination of coverage of the required additional premium for the Optional Extended Reporting Period and the importance of purchasing an Optional Extended Reporting Period. If you have been insured with us for less than one year, the Optional Extended Reporting Period shall not apply upon cancellation for nonpayment of premium or fraud.
- c. You must give us a written request and pay the additional premium due for the Optional Extended Reporting Period endorsement within 60 days following the date of "termination of coverage" or thirty (30) days after the date of mailing of the Optional Reporting Period notice by us, whichever is greater. The premium for such Optional Extended Reporting Period must be paid promptly when due. The premium for the Optional Extended Reporting Period will be based on our rates and rules in effect on the date this coverage part was issued or last renewed. It will be fully earned and nonrefundable.
- d. The available Optional Extended Reporting Periods and associated additional premiums are displayed in the table below.

Optional Reporting Period	Percent of Annual Premium
One Year	100%
Two Years	150%
Three Years	200%

- 6. In the event similar insurance is in force covering claims first made during Extended Reporting Period, coverage provided by this Endorsement shall be excess over any part of any other valid and collectable insurance available to the insured, whether primary, excess, and contingent or on any other basis, whose policy period begins or continues after our policy period ends.

- 7. The Optional Extended Reporting Period will be available to any person who has been an insured under this Policy at the end of the policy period if you have been placed in liquidation or bankruptcy or permanently cease operations and you or a designated trustee does not purchase the Optional Extended Reporting Period.

- a. The Optional Extended Reporting Period will be available only if such person requests the Optional Extended Reporting Period Option within one hundred and twenty (120) days after the termination of coverage.
- b. We will have no obligation to provide notice to any such person of the availability of the Optional Extended Reporting Period Option described in this provision.
- c. We may charge the person for whom the Optional Extended Reporting Period Option is provided a premium commensurate with the exposure.

- E. If the **PROFESSIONAL LIABILITY COVERAGE ENDORSEMENT (CLAIMS-MADE)** is attached to the policy, for the purposes of coverage under the **PROFESSIONAL LIABILITY COVERAGE ENDORSEMENT (CLAIMS-MADE)**, the following condition is added:

Your Right To Claim and "Occurrence" Information

We will provide the first Named Insured shown in the Declarations the following information relating to this and any other preceding claims made Professional Liability Coverage Endorsement we have issued to you.

- 1. A list or other record of each "occurrence" of which we were notified in accordance with **SECTION IV – CONDITIONS, Paragraph 2.a. Duties in the Event of Occurrence, Offense, Claim or Suit.** We will include the date and brief description of the "occurrence" if that information was in the notice we received.
- 2. A summary by policy year of open and closed "claims" including the date, the description of the "wrongful act" and the payments made and amounts reserved, stated separately under the applicable Aggregate for Each Annual Policy Year limit.

Amounts reserved are based on our judgment. They are subject to change and should not be regarded as ultimate settlement values.

We will provide this information upon written request by the first-named insured or such insured's authorized agent or broker within 10 days of such request.

You must not disclose this information to any claimant or claimant's representative without our consent.

We compile claim and "occurrence" information for our own business purposes and exercise reasonable care in doing so. In providing this information to the first Named Insured, we make no representations or warranties to insureds, insurers, or others to whom this information is furnished by or on behalf of any insured. Cancellation or nonrenewal will be effective even if we inadvertently provide inaccurate information.

F. If SUPPLEMENTARY PAYMENTS – ADMINISTRATIVE DEFENSE COVERAGE ENDORSEMENT or the HIPAA REGULATORY DEFENSE COVERAGE ENDORSEMENT is attached to the policy, Paragraph 1. is replaced by the following:

1. We will pay on your behalf "defense costs" you may incur in the investigation and "defense" of an "action", if:

Paragraphs 1.a., 1.b. and 1.d. are unchanged.

G. If SUPPLEMENTARY PAYMENTS – ADMINISTRATIVE DEFENSE COVERAGE ENDORSEMENT or the HIPAA REGULATORY DEFENSE COVERAGE ENDORSEMENT is attached to the policy, Paragraph 1.c. is replaced by the following:

- c. The event that is the basis for the "action" occurs during the "policy period".

If the event that is the basis for the "action" started to occur prior to the "policy period", then any continuation, change or resumption of the event during or after the "policy period" will be deemed to have occurred prior to the "policy period".

H. If SUPPLEMENTARY PAYMENTS – ADMINISTRATIVE DEFENSE COVERAGE ENDORSEMENT is attached to the policy, Paragraph 2. is replaced by the following:

2. We will pay on your behalf "defense costs" you may incur as a result of a "discovery request" that you or your "employee" receives, in connection with a legal proceeding in the "coverage territory":

- a. Arising out of providing or failing to provide:

- (1) "Miscellaneous medical and professional services", but only if a Professional Liability Coverage Endorsement is attached to the policy;
 - (2) Billing for "miscellaneous medical and professional services", but only if a Professional Liability Coverage Endorsement is attached to the policy;
- or

- (3) The service, repair and installation of durable medical equipment;

- (4) Billing for the service, repair and installation of durable medical equipment; and

- b. In which you or your "employee" are not parties or expert witnesses;

if the event that is the basis for the "discovery request" occurs during the policy period.

If the event that is the basis for the "discovery request" started to occur prior to the "policy period", then any continuation, change or resumption of the event during or after the "policy period" will be deemed to have occurred prior to the "policy period".

I. If SUPPLEMENTARY PAYMENTS – ADMINISTRATIVE DEFENSE COVERAGE ENDORSEMENT is attached to the policy, Paragraph 3.b. is replaced by the following:

- b. We will not pay on your behalf any "defense costs" for any "action" or "discovery request":

Paragraphs 3.b.(1) through 3.b.(10) are unchanged.

J. If SUPPLEMENTARY PAYMENTS – ADMINISTRATIVE DEFENSE COVERAGE ENDORSEMENT is attached to the policy, Paragraph 4. is replaced by the following:

4. The **Limits of Insurance** shown in the **SCHEDULE** of this Coverage Endorsement or in the Declarations and the rules below fix the most we will pay regardless of the number of:

- a. Insureds;
- b. "Actions" brought;
- c. "Discovery requests" received; or
- d. Persons or organizations bringing "actions" or making "discovery requests".

The Aggregate Limit shown in the **SCHEDULE** above or in the Declarations is the most we will pay for "defense costs" for all "actions" and "discovery requests" combined during the policy period. If an Aggregate Limit is not listed in the **SCHEDULE** or in the Declarations, then the Aggregate Limit is deemed to be \$10,000.

Subject to the Aggregate Limit, the Each Action Limit shown in the **SCHEDULE** above or in the Declarations is the most we will pay under this provision for "defense costs" for each "action" or "discovery request". If an Each Action Limit is not listed in the **SCHEDULE** or in the Declarations, then the Each Action Limit is deemed to be \$10,000.

K. If the HIPAA REGULATORY DEFENSE COVERAGE ENDORSEMENT is attached to the

policy, the first section of Paragraph **2.b.** is replaced by the following:

- b.** We will not pay on your behalf any “defense costs” for any “action”:

Paragraphs **2.b.(1)** through **2.b.(10)** are unchanged.

- L.** If the **HIPAA REGULATORY DEFENSE COVERAGE ENDORSEMENT** is attached to the policy, Paragraph **3.** is replaced by the following:

- 3.** The **Limits of Insurance** shown in the **SCHEDULE** of this Coverage Endorsement or in the Declarations and the rules below fix the most we will pay regardless of the number of:

- a.** Insureds;
- b.** “Actions” brought; or
- c.** Persons or organizations bringing “actions”.

The HIPAA Regulatory Defense Aggregate Limit shown in the **SCHEDULE** above or in the Declarations is the most we will pay for “defense costs” for all “actions” combined during the policy period. If the HIPAA Regulatory Defense Aggregate Limit is not listed in the **SCHEDULE** or in the Declarations, then the HIPAA Regulatory Defense Aggregate Limit is deemed to be \$10,000.

Subject to the HIPAA Regulatory Defense Aggregate Limit, the HIPAA Regulatory Defense Each Action Limit shown in the **SCHEDULE** above or in the Declarations is the most we will pay for “defense costs” for each “action”. If the HIPAA Regulatory Defense Each Action Limit is not listed in the **SCHEDULE** or in the Declarations, then the HIPAA Regulatory Defense Each Action Limit is deemed to be \$10,000.

ALL OTHER TERMS, CONDITIONS, AND EXCLUSIONS REMAIN UNCHANGED.

COMMERCIAL GENERAL LIABILITY COVERAGE FORM

Various provisions in this policy restrict coverage. Read the entire policy carefully to determine rights, duties and what is and is not covered.

Throughout this policy the words "you" and "your" refer to the Named Insured shown in the Declarations, and any other person or organization qualifying as a Named Insured under this policy. The words "we", "us" and "our" refer to the company providing this insurance.

The word "insured" means any person or organization qualifying as such under Section II – Who Is An Insured.

Other words and phrases that appear in quotation marks have special meaning. Refer to Section V – Definitions.

SECTION I – COVERAGES

COVERAGE A – BODILY INJURY AND PROPERTY DAMAGE LIABILITY

1. Insuring Agreement

- a. We will pay those sums that the insured becomes legally obligated to pay as damages because of "bodily injury" or "property damage" to which this insurance applies. We will have the right and duty to defend the insured against any "suit" seeking those damages. However, we will have no duty to defend the insured against any "suit" seeking damages for "bodily injury" or "property damage" to which this insurance does not apply. We may, at our discretion, investigate any "occurrence" and settle any claim or "suit" that may result. But:

- (1) The amount we will pay for damages is limited as described in Section III – Limits Of Insurance; and
- (2) Our right and duty to defend ends when we have used up the applicable limit of insurance in the payment of judgments or settlements under Coverages A or B or medical expenses under Coverage C.

No other obligation or liability to pay sums or perform acts or services is covered unless explicitly provided for under Supplementary Payments – Coverages A and B.

- b. This insurance applies to "bodily injury" and "property damage" only if:

- (1) The "bodily injury" or "property damage" is caused by an "occurrence" that takes place in the "coverage territory";

- (2) The "bodily injury" or "property damage" occurs during the policy period; and

- (3) Prior to the policy period, no insured listed under Paragraph 1. of Section II – Who Is An Insured and no "employee" authorized by you to give or receive notice of an "occurrence" or claim, knew that the "bodily injury" or "property damage" had occurred, in whole or in part. If such a listed insured or authorized "employee" knew, prior to the policy period, that the "bodily injury" or "property damage" occurred, then any continuation, change or resumption of such "bodily injury" or "property damage" during or after the policy period will be deemed to have been known prior to the policy period.

- c. "Bodily injury" or "property damage" which occurs during the policy period and was not, prior to the policy period, known to have occurred by any insured listed under Paragraph 1. of Section II – Who Is An Insured or any "employee" authorized by you to give or receive notice of an "occurrence" or claim, includes any continuation, change or resumption of that "bodily injury" or "property damage" after the end of the policy period.

- d. "Bodily injury" or "property damage" will be deemed to have been known to have occurred at the earliest time when any insured listed under Paragraph 1. of Section II – Who Is An Insured or any "employee" authorized by you to give or receive notice of an "occurrence" or claim:

- (1) Reports all, or any part, of the "bodily injury" or "property damage" to us or any other insurer;
- (2) Receives a written or verbal demand or claim for damages because of the "bodily injury" or "property damage"; or
- (3) Becomes aware by any other means that "bodily injury" or "property damage" has occurred or has begun to occur.

- e. Damages because of "bodily injury" include damages claimed by any person or organization for care, loss of services or death resulting at any time from the "bodily injury".

2. Exclusions

This insurance does not apply to:

a. Expected Or Intended Injury

"Bodily injury" or "property damage" expected or intended from the standpoint of the insured. This exclusion does not apply to "bodily injury" resulting from the use of reasonable force to protect persons or property.

b. Contractual Liability

"Bodily injury" or "property damage" for which the insured is obligated to pay damages by reason of the assumption of liability in a contract or agreement. This exclusion does not apply to liability for damages:

- (1) That the insured would have in the absence of the contract or agreement; or
- (2) Assumed in a contract or agreement that is an "insured contract", provided the "bodily injury" or "property damage" occurs subsequent to the execution of the contract or agreement. Solely for the purposes of liability assumed in an "insured contract", reasonable attorneys' fees and necessary litigation expenses incurred by or for a party other than an insured are deemed to be damages because of "bodily injury" or "property damage", provided:
 - (a) Liability to such party for, or for the cost of, that party's defense has also been assumed in the same "insured contract"; and
 - (b) Such attorneys' fees and litigation expenses are for defense of that party against a civil or alternative dispute resolution proceeding in which damages to which this insurance applies are alleged.

c. Liquor Liability

"Bodily injury" or "property damage" for which any insured may be held liable by reason of:

- (1) Causing or contributing to the intoxication of any person;
- (2) The furnishing of alcoholic beverages to a person under the legal drinking age or under the influence of alcohol; or
- (3) Any statute, ordinance or regulation relating to the sale, gift, distribution or use of alcoholic beverages.

This exclusion applies even if the claims against any insured allege negligence or other wrongdoing in:

- (a) The supervision, hiring, employment, training or monitoring of others by that insured; or
- (b) Providing or failing to provide transportation with respect to any person that may be under the influence of alcohol;

if the "occurrence" which caused the "bodily injury" or "property damage", involved that which is described in Paragraph (1), (2) or (3) above.

However, this exclusion applies only if you are in the business of manufacturing, distributing, selling, serving or furnishing alcoholic beverages. For the purposes of this exclusion, permitting a person to bring alcoholic beverages on your premises, for consumption on your premises, whether or not a fee is charged or a license is required for such activity, is not by itself considered the business of selling, serving or furnishing alcoholic beverages.

d. Workers' Compensation And Similar Laws

Any obligation of the insured under a workers' compensation, disability benefits or unemployment compensation law or any similar law.

e. Employer's Liability

"Bodily injury" to:

- (1) An "employee" of the insured arising out of and in the course of:
 - (a) Employment by the insured; or
 - (b) Performing duties related to the conduct of the insured's business; or
- (2) The spouse, child, parent, brother or sister of that "employee" as a consequence of Paragraph (1) above.

This exclusion applies whether the insured may be liable as an employer or in any other capacity and to any obligation to share damages with or repay someone else who must pay damages because of the injury.

This exclusion does not apply to liability assumed by the insured under an "insured contract".

f. Pollution

- (1)** "Bodily injury" or "property damage" arising out of the actual, alleged or threatened discharge, dispersal, seepage, migration, release or escape of "pollutants":
 - (a)** At or from any premises, site or location which is or was at any time owned or occupied by, or rented or loaned to, any insured. However, this subparagraph does not apply to:
 - (i)** "Bodily injury" if sustained within a building and caused by smoke, fumes, vapor or soot produced by or originating from equipment that is used to heat, cool or dehumidify the building, or equipment that is used to heat water for personal use, by the building's occupants or their guests;
 - (ii)** "Bodily injury" or "property damage" for which you may be held liable, if you are a contractor and the owner or lessee of such premises, site or location has been added to your policy as an additional insured with respect to your ongoing operations performed for that additional insured at that premises, site or location and such premises, site or location is not and never was owned or occupied by, or rented or loaned to, any insured, other than that additional insured; or
 - (iii)** "Bodily injury" or "property damage" arising out of heat, smoke or fumes from a "hostile fire";
 - (b)** At or from any premises, site or location which is or was at any time used by or for any insured or others for the handling, storage, disposal, processing or treatment of waste;
 - (c)** Which are or were at any time transported, handled, stored, treated, disposed of, or processed as waste by or for:
 - (i)** Any insured; or
 - (ii)** Any person or organization for whom you may be legally responsible; or
 - (d)** At or from any premises, site or location on which any insured or any contractors or subcontractors working directly or indirectly on any insured's behalf are performing operations if the "pollutants" are brought on or to the premises, site or location in connection with such operations by such insured, contractor or subcontractor. However, this subparagraph does not apply to:
 - (i)** "Bodily injury" or "property damage" arising out of the escape of fuels, lubricants or other operating fluids which are needed to perform the normal electrical, hydraulic or mechanical functions necessary for the operation of "mobile equipment" or its parts, if such fuels, lubricants or other operating fluids escape from a vehicle part designed to hold, store or receive them. This exception does not apply if the "bodily injury" or "property damage" arises out of the intentional discharge, dispersal or release of the fuels, lubricants or other operating fluids, or if such fuels, lubricants or other operating fluids are brought on or to the premises, site or location with the intent that they be discharged, dispersed or released as part of the operations being performed by such insured, contractor or subcontractor;
 - (ii)** "Bodily injury" or "property damage" sustained within a building and caused by the release of gases, fumes or vapors from materials brought into that building in connection with operations being performed by you or on your behalf by a contractor or subcontractor; or
 - (iii)** "Bodily injury" or "property damage" arising out of heat, smoke or fumes from a "hostile fire".
 - (e)** At or from any premises, site or location on which any insured or any contractors or subcontractors working directly or indirectly on any insured's behalf are performing operations if the operations are to test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of, "pollutants".

(2) Any loss, cost or expense arising out of any:

- (a) Request, demand, order or statutory or regulatory requirement that any insured or others test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of, "pollutants"; or
- (b) Claim or suit by or on behalf of a governmental authority for damages because of testing for, monitoring, cleaning up, removing, containing, treating, detoxifying or neutralizing, or in any way responding to, or assessing the effects of, "pollutants".

However, this paragraph does not apply to liability for damages because of "property damage" that the insured would have in the absence of such request, demand, order or statutory or regulatory requirement, or such claim or "suit" by or on behalf of a governmental authority.

g. Aircraft, Auto Or Watercraft

"Bodily injury" or "property damage" arising out of the ownership, maintenance, use or entrustment to others of any aircraft, "auto" or watercraft owned or operated by or rented or loaned to any insured. Use includes operation and "loading or unloading".

This exclusion applies even if the claims against any insured allege negligence or other wrongdoing in the supervision, hiring, employment, training or monitoring of others by that insured, if the "occurrence" which caused the "bodily injury" or "property damage" involved the ownership, maintenance, use or entrustment to others of any aircraft, "auto" or watercraft that is owned or operated by or rented or loaned to any insured.

This exclusion does not apply to:

- (1) A watercraft while ashore on premises you own or rent;
- (2) A watercraft you do not own that is:
 - (a) Less than 26 feet long; and
 - (b) Not being used to carry persons or property for a charge;
- (3) Parking an "auto" on, or on the ways next to, premises you own or rent, provided the "auto" is not owned by or rented or loaned to you or the insured;
- (4) Liability assumed under any "insured contract" for the ownership, maintenance or use of aircraft or watercraft; or

(5) "Bodily injury" or "property damage" arising out of:

- (a) The operation of machinery or equipment that is attached to, or part of, a land vehicle that would qualify under the definition of "mobile equipment" if it were not subject to a compulsory or financial responsibility law or other motor vehicle insurance law where it is licensed or principally garaged; or
- (b) The operation of any of the machinery or equipment listed in Paragraph f.(2) or f.(3) of the definition of "mobile equipment".

h. Mobile Equipment

"Bodily injury" or "property damage" arising out of:

- (1) The transportation of "mobile equipment" by an "auto" owned or operated by or rented or loaned to any insured; or
- (2) The use of "mobile equipment" in, or while in practice for, or while being prepared for, any prearranged racing, speed, demolition, or stunting activity.

i. War

"Bodily injury" or "property damage", however caused, arising, directly or indirectly, out of:

- (1) War, including undeclared or civil war;
- (2) Warlike action by a military force, including action in hindering or defending against an actual or expected attack, by any government, sovereign or other authority using military personnel or other agents; or
- (3) Insurrection, rebellion, revolution, usurped power, or action taken by governmental authority in hindering or defending against any of these.

j. Damage To Property

"Property damage" to:

- (1) Property you own, rent, or occupy, including any costs or expenses incurred by you, or any other person, organization or entity, for repair, replacement, enhancement, restoration or maintenance of such property for any reason, including prevention of injury to a person or damage to another's property;
- (2) Premises you sell, give away or abandon, if the "property damage" arises out of any part of those premises;
- (3) Property loaned to you;

- (4) Personal property in the care, custody or control of the insured;
- (5) That particular part of real property on which you or any contractors or subcontractors working directly or indirectly on your behalf are performing operations, if the "property damage" arises out of those operations; or
- (6) That particular part of any property that must be restored, repaired or replaced because "your work" was incorrectly performed on it.

Paragraphs (1), (3) and (4) of this exclusion do not apply to "property damage" (other than damage by fire) to premises, including the contents of such premises, rented to you for a period of seven or fewer consecutive days. A separate limit of insurance applies to Damage To Premises Rented To You as described in Section III – Limits Of Insurance.

Paragraph (2) of this exclusion does not apply if the premises are "your work" and were never occupied, rented or held for rental by you.

Paragraphs (3), (4), (5) and (6) of this exclusion do not apply to liability assumed under a sidetrack agreement.

Paragraph (6) of this exclusion does not apply to "property damage" included in the "products-completed operations hazard".

k. Damage To Your Product

"Property damage" to "your product" arising out of it or any part of it.

l. Damage To Your Work

"Property damage" to "your work" arising out of it or any part of it and included in the "products-completed operations hazard".

This exclusion does not apply if the damaged work or the work out of which the damage arises was performed on your behalf by a subcontractor.

m. Damage To Impaired Property Or Property Not Physically Injured

"Property damage" to "impaired property" or property that has not been physically injured, arising out of:

- (1) A defect, deficiency, inadequacy or dangerous condition in "your product" or "your work"; or
- (2) A delay or failure by you or anyone acting on your behalf to perform a contract or agreement in accordance with its terms.

This exclusion does not apply to the loss of use of other property arising out of sudden and accidental physical injury to "your product" or "your work" after it has been put to its intended use.

n. Recall Of Products, Work Or Impaired Property

Damages claimed for any loss, cost or expense incurred by you or others for the loss of use, withdrawal, recall, inspection, repair, replacement, adjustment, removal or disposal of:

- (1) "Your product";
- (2) "Your work"; or
- (3) "Impaired property";

if such product, work, or property is withdrawn or recalled from the market or from use by any person or organization because of a known or suspected defect, deficiency, inadequacy or dangerous condition in it.

o. Personal And Advertising Injury

"Bodily injury" arising out of "personal and advertising injury".

p. Electronic Data

Damages arising out of the loss of, loss of use of, damage to, corruption of, inability to access, or inability to manipulate electronic data.

However, this exclusion does not apply to liability for damages because of "bodily injury".

As used in this exclusion, electronic data means information, facts or programs stored as or on, created or used on, or transmitted to or from computer software, including systems and applications software, hard or floppy disks, CD-ROMs, tapes, drives, cells, data processing devices or any other media which are used with electronically controlled equipment.

q. Recording And Distribution Of Material Or Information In Violation Of Law

"Bodily injury" or "property damage" arising directly or indirectly out of any action or omission that violates or is alleged to violate:

- (1) The Telephone Consumer Protection Act (TCPA), including any amendment of or addition to such law;
- (2) The CAN-SPAM Act of 2003, including any amendment of or addition to such law;
- (3) The Fair Credit Reporting Act (FCRA), and any amendment of or addition to such law, including the Fair and Accurate Credit Transactions Act (FACTA); or

- (4) Any federal, state or local statute, ordinance or regulation, other than the TCPA, CAN-SPAM Act of 2003 or FCRA and their amendments and additions, that addresses, prohibits, or limits the printing, dissemination, disposal, collecting, recording, sending, transmitting, communicating or distribution of material or information.

Exclusions c. through n. do not apply to damage by fire to premises while rented to you or temporarily occupied by you with permission of the owner. A separate limit of insurance applies to this coverage as described in Section III – Limits Of Insurance.

COVERAGE B – PERSONAL AND ADVERTISING INJURY LIABILITY

1. Insuring Agreement

- a. We will pay those sums that the insured becomes legally obligated to pay as damages because of "personal and advertising injury" to which this insurance applies. We will have the right and duty to defend the insured against any "suit" seeking those damages. However, we will have no duty to defend the insured against any "suit" seeking damages for "personal and advertising injury" to which this insurance does not apply. We may, at our discretion, investigate any offense and settle any claim or "suit" that may result. But:

- (1) The amount we will pay for damages is limited as described in Section III – Limits Of Insurance; and
- (2) Our right and duty to defend end when we have used up the applicable limit of insurance in the payment of judgments or settlements under Coverages A or B or medical expenses under Coverage C.

No other obligation or liability to pay sums or perform acts or services is covered unless explicitly provided for under Supplementary Payments – Coverages A and B.

- b. This insurance applies to "personal and advertising injury" caused by an offense arising out of your business but only if the offense was committed in the "coverage territory" during the policy period.

2. Exclusions

This insurance does not apply to:

a. Knowing Violation Of Rights Of Another

"Personal and advertising injury" caused by or at the direction of the insured with the knowledge that the act would violate the rights of another and would inflict "personal and advertising injury".

b. Material Published With Knowledge Of Falsity

"Personal and advertising injury" arising out of oral or written publication, in any manner, of material, if done by or at the direction of the insured with knowledge of its falsity.

c. Material Published Prior To Policy Period

"Personal and advertising injury" arising out of oral or written publication, in any manner, of material whose first publication took place before the beginning of the policy period.

d. Criminal Acts

"Personal and advertising injury" arising out of a criminal act committed by or at the direction of the insured.

e. Contractual Liability

"Personal and advertising injury" for which the insured has assumed liability in a contract or agreement. This exclusion does not apply to liability for damages that the insured would have in the absence of the contract or agreement.

f. Breach Of Contract

"Personal and advertising injury" arising out of a breach of contract, except an implied contract to use another's advertising idea in your "advertisement".

g. Quality Or Performance Of Goods – Failure To Conform To Statements

"Personal and advertising injury" arising out of the failure of goods, products or services to conform with any statement of quality or performance made in your "advertisement".

h. Wrong Description Of Prices

"Personal and advertising injury" arising out of the wrong description of the price of goods, products or services stated in your "advertisement".

i. Infringement Of Copyright, Patent, Trademark Or Trade Secret

"Personal and advertising injury" arising out of the infringement of copyright, patent, trademark, trade secret or other intellectual property rights. Under this exclusion, such other intellectual property rights do not include the use of another's advertising idea in your "advertisement".

However, this exclusion does not apply to infringement, in your "advertisement", of copyright, trade dress or slogan.

j. Insureds In Media And Internet Type Businesses

"Personal and advertising injury" committed by an insured whose business is:

- (1) Advertising, broadcasting, publishing or telecasting;
- (2) Designing or determining content of web sites for others; or
- (3) An Internet search, access, content or service provider.

However, this exclusion does not apply to Paragraphs **14.a.**, **b.** and **c.** of "personal and advertising injury" under the Definitions section.

For the purposes of this exclusion, the placing of frames, borders or links, or advertising, for you or others anywhere on the Internet, is not by itself, considered the business of advertising, broadcasting, publishing or telecasting.

k. Electronic Chatrooms Or Bulletin Boards

"Personal and advertising injury" arising out of an electronic chatroom or bulletin board the insured hosts, owns, or over which the insured exercises control.

l. Unauthorized Use Of Another's Name Or Product

"Personal and advertising injury" arising out of the unauthorized use of another's name or product in your e-mail address, domain name or metatag, or any other similar tactics to mislead another's potential customers.

m. Pollution

"Personal and advertising injury" arising out of the actual, alleged or threatened discharge, dispersal, seepage, migration, release or escape of "pollutants" at any time.

n. Pollution-related

Any loss, cost or expense arising out of any:

- (1) Request, demand, order or statutory or regulatory requirement that any insured or others test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of, "pollutants"; or
- (2) Claim or suit by or on behalf of a governmental authority for damages because of testing for, monitoring, cleaning up, removing, containing, treating, detoxifying or neutralizing, or in any way responding to, or assessing the effects of, "pollutants".

o. War

"Personal and advertising injury", however caused, arising, directly or indirectly, out of:

- (1) War, including undeclared or civil war;
- (2) Warlike action by a military force, including action in hindering or defending against an actual or expected attack, by any government, sovereign or other authority using military personnel or other agents; or
- (3) Insurrection, rebellion, revolution, usurped power, or action taken by governmental authority in hindering or defending against any of these.

p. Recording And Distribution Of Material Or Information In Violation Of Law

"Personal and advertising injury" arising directly or indirectly out of any action or omission that violates or is alleged to violate:

- (1) The Telephone Consumer Protection Act (TCPA), including any amendment of or addition to such law;
- (2) The CAN-SPAM Act of 2003, including any amendment of or addition to such law;
- (3) The Fair Credit Reporting Act (FCRA), and any amendment of or addition to such law, including the Fair and Accurate Credit Transactions Act (FACTA); or
- (4) Any federal, state or local statute, ordinance or regulation, other than the TCPA, CAN-SPAM Act of 2003 or FCRA and their amendments and additions, that addresses, prohibits, or limits the printing, dissemination, disposal, collecting, recording, sending, transmitting, communicating or distribution of material or information.

COVERAGE C – MEDICAL PAYMENTS

1. Insuring Agreement

- a. We will pay medical expenses as described below for "bodily injury" caused by an accident:
 - (1) On premises you own or rent;
 - (2) On ways next to premises you own or rent; or
 - (3) Because of your operations;provided that:
 - (a) The accident takes place in the "coverage territory" and during the policy period;
 - (b) The expenses are incurred and reported to us within one year of the date of the accident; and
 - (c) The injured person submits to examination, at our expense, by physicians of our choice as often as we reasonably require.
- b. We will make these payments regardless of fault. These payments will not exceed the applicable limit of insurance. We will pay reasonable expenses for:
 - (1) First aid administered at the time of an accident;
 - (2) Necessary medical, surgical, X-ray and dental services, including prosthetic devices; and
 - (3) Necessary ambulance, hospital, professional nursing and funeral services.

2. Exclusions

We will not pay expenses for "bodily injury":

a. Any Insured

To any insured, except "volunteer workers".

b. Hired Person

To a person hired to do work for or on behalf of any insured or a tenant of any insured.

c. Injury On Normally Occupied Premises

To a person injured on that part of premises you own or rent that the person normally occupies.

d. Workers' Compensation And Similar Laws

To a person, whether or not an "employee" of any insured, if benefits for the "bodily injury" are payable or must be provided under a workers' compensation or disability benefits law or a similar law.

e. Athletics Activities

To a person injured while practicing, instructing or participating in any physical exercises or games, sports, or athletic contests.

f. Products-Completed Operations Hazard

Included within the "products-completed operations hazard".

g. Coverage A Exclusions

Excluded under Coverage A.

SUPPLEMENTARY PAYMENTS – COVERAGES A AND B

- 1. We will pay, with respect to any claim we investigate or settle, or any "suit" against an insured we defend:
 - a. All expenses we incur.
 - b. Up to \$250 for cost of bail bonds required because of accidents or traffic law violations arising out of the use of any vehicle to which the Bodily Injury Liability Coverage applies. We do not have to furnish these bonds.
 - c. The cost of bonds to release attachments, but only for bond amounts within the applicable limit of insurance. We do not have to furnish these bonds.
 - d. All reasonable expenses incurred by the insured at our request to assist us in the investigation or defense of the claim or "suit", including actual loss of earnings up to \$250 a day because of time off from work.
 - e. All court costs taxed against the insured in the "suit". However, these payments do not include attorneys' fees or attorneys' expenses taxed against the insured.
 - f. Prejudgment interest awarded against the insured on that part of the judgment we pay. If we make an offer to pay the applicable limit of insurance, we will not pay any prejudgment interest based on that period of time after the offer.

- g. All interest on the full amount of any judgment that accrues after entry of the judgment and before we have paid, offered to pay, or deposited in court the part of the judgment that is within the applicable limit of insurance.

These payments will not reduce the limits of insurance.

- 2. If we defend an insured against a "suit" and an indemnitee of the insured is also named as a party to the "suit", we will defend that indemnitee if all of the following conditions are met:
 - a. The "suit" against the indemnitee seeks damages for which the insured has assumed the liability of the indemnitee in a contract or agreement that is an "insured contract";
 - b. This insurance applies to such liability assumed by the insured;
 - c. The obligation to defend, or the cost of the defense of, that indemnitee, has also been assumed by the insured in the same "insured contract";
 - d. The allegations in the "suit" and the information we know about the "occurrence" are such that no conflict appears to exist between the interests of the insured and the interests of the indemnitee;
 - e. The indemnitee and the insured ask us to conduct and control the defense of that indemnitee against such "suit" and agree that we can assign the same counsel to defend the insured and the indemnitee; and
 - f. The indemnitee:
 - (1) Agrees in writing to:
 - (a) Cooperate with us in the investigation, settlement or defense of the "suit";
 - (b) Immediately send us copies of any demands, notices, summonses or legal papers received in connection with the "suit";
 - (c) Notify any other insurer whose coverage is available to the indemnitee; and
 - (d) Cooperate with us with respect to coordinating other applicable insurance available to the indemnitee; and
 - (2) Provides us with written authorization to:
 - (a) Obtain records and other information related to the "suit"; and
 - (b) Conduct and control the defense of the indemnitee in such "suit".

So long as the above conditions are met, attorneys' fees incurred by us in the defense of that indemnitee, necessary litigation expenses incurred by us and necessary litigation expenses incurred by the indemnitee at our request will be paid as Supplementary Payments. Notwithstanding the provisions of Paragraph **2.b.(2)** of Section **I – Coverage A – Bodily Injury And Property Damage Liability**, such payments will not be deemed to be damages for "bodily injury" and "property damage" and will not reduce the limits of insurance.

Our obligation to defend an insured's indemnitee and to pay for attorneys' fees and necessary litigation expenses as Supplementary Payments ends when we have used up the applicable limit of insurance in the payment of judgments or settlements or the conditions set forth above, or the terms of the agreement described in Paragraph **f.** above, are no longer met.

SECTION II – WHO IS AN INSURED

- 1. If you are designated in the Declarations as:
 - a. An individual, you and your spouse are insureds, but only with respect to the conduct of a business of which you are the sole owner.
 - b. A partnership or joint venture, you are an insured. Your members, your partners, and their spouses are also insureds, but only with respect to the conduct of your business.
 - c. A limited liability company, you are an insured. Your members are also insureds, but only with respect to the conduct of your business. Your managers are insureds, but only with respect to their duties as your managers.
 - d. An organization other than a partnership, joint venture or limited liability company, you are an insured. Your "executive officers" and directors are insureds, but only with respect to their duties as your officers or directors. Your stockholders are also insureds, but only with respect to their liability as stockholders.
 - e. A trust, you are an insured. Your trustees are also insureds, but only with respect to their duties as trustees.

2. Each of the following is also an insured:
 - a. Your "volunteer workers" only while performing duties related to the conduct of your business, or your "employees", other than either your "executive officers" (if you are an organization other than a partnership, joint venture or limited liability company) or your managers (if you are a limited liability company), but only for acts within the scope of their employment by you or while performing duties related to the conduct of your business. However, none of these "employees" or "volunteer workers" are insureds for:
 - (1) "Bodily injury" or "personal and advertising injury":
 - (a) To you, to your partners or members (if you are a partnership or joint venture), to your members (if you are a limited liability company), to a co-"employee" while in the course of his or her employment or performing duties related to the conduct of your business, or to your other "volunteer workers" while performing duties related to the conduct of your business;
 - (b) To the spouse, child, parent, brother or sister of that co-"employee" or "volunteer worker" as a consequence of Paragraph (1)(a) above;
 - (c) For which there is any obligation to share damages with or repay someone else who must pay damages because of the injury described in Paragraph (1)(a) or (b) above; or
 - (d) Arising out of his or her providing or failing to provide professional health care services.
 - (2) "Property damage" to property:
 - (a) Owned, occupied or used by;
 - (b) Rented to, in the care, custody or control of, or over which physical control is being exercised for any purpose by; you, any of your "employees", "volunteer workers", any partner or member (if you are a partnership or joint venture), or any member (if you are a limited liability company).
 - b. Any person (other than your "employee" or "volunteer worker"), or any organization while acting as your real estate manager.
 - c. Any person or organization having proper temporary custody of your property if you die, but only:
 - (1) With respect to liability arising out of the maintenance or use of that property; and
 - (2) Until your legal representative has been appointed.
 - d. Your legal representative if you die, but only with respect to duties as such. That representative will have all your rights and duties under this Coverage Part.
 3. Any organization you newly acquire or form, other than a partnership, joint venture or limited liability company, and over which you maintain ownership or majority interest, will qualify as a Named Insured if there is no other similar insurance available to that organization. However:
 - a. Coverage under this provision is afforded only until the 90th day after you acquire or form the organization or the end of the policy period, whichever is earlier;
 - b. Coverage **A** does not apply to "bodily injury" or "property damage" that occurred before you acquired or formed the organization; and
 - c. Coverage **B** does not apply to "personal and advertising injury" arising out of an offense committed before you acquired or formed the organization.
- No person or organization is an insured with respect to the conduct of any current or past partnership, joint venture or limited liability company that is not shown as a Named Insured in the Declarations.

SECTION III – LIMITS OF INSURANCE

1. The Limits of Insurance shown in the Declarations and the rules below fix the most we will pay regardless of the number of:
 - a. Insureds;
 - b. Claims made or "suits" brought; or
 - c. Persons or organizations making claims or bringing "suits".
2. The General Aggregate Limit is the most we will pay for the sum of:
 - a. Medical expenses under Coverage **C**;
 - b. Damages under Coverage **A**, except damages because of "bodily injury" or "property damage" included in the "products-completed operations hazard"; and
 - c. Damages under Coverage **B**.

3. The Products-Completed Operations Aggregate Limit is the most we will pay under Coverage **A** for damages because of "bodily injury" and "property damage" included in the "products-completed operations hazard".
4. Subject to Paragraph 2. above, the Personal And Advertising Injury Limit is the most we will pay under Coverage **B** for the sum of all damages because of all "personal and advertising injury" sustained by any one person or organization.
5. Subject to Paragraph 2. or 3. above, whichever applies, the Each Occurrence Limit is the most we will pay for the sum of:
 - a. Damages under Coverage **A**; and
 - b. Medical expenses under Coverage **C**
 because of all "bodily injury" and "property damage" arising out of any one "occurrence".
6. Subject to Paragraph 5. above, the Damage To Premises Rented To You Limit is the most we will pay under Coverage **A** for damages because of "property damage" to any one premises, while rented to you, or in the case of damage by fire, while rented to you or temporarily occupied by you with permission of the owner.
7. Subject to Paragraph 5. above, the Medical Expense Limit is the most we will pay under Coverage **C** for all medical expenses because of "bodily injury" sustained by any one person.

The Limits of Insurance of this Coverage Part apply separately to each consecutive annual period and to any remaining period of less than 12 months, starting with the beginning of the policy period shown in the Declarations, unless the policy period is extended after issuance for an additional period of less than 12 months. In that case, the additional period will be deemed part of the last preceding period for purposes of determining the Limits of Insurance.

SECTION IV – COMMERCIAL GENERAL LIABILITY CONDITIONS

1. Bankruptcy

Bankruptcy or insolvency of the insured or of the insured's estate will not relieve us of our obligations under this Coverage Part.

2. Duties In The Event Of Occurrence, Offense, Claim Or Suit

- a. You must see to it that we are notified as soon as practicable of an "occurrence" or an offense which may result in a claim. To the extent possible, notice should include:
 - (1) How, when and where the "occurrence" or offense took place;
 - (2) The names and addresses of any injured persons and witnesses; and

- (3) The nature and location of any injury or damage arising out of the "occurrence" or offense.
- b. If a claim is made or "suit" is brought against any insured, you must:
 - (1) Immediately record the specifics of the claim or "suit" and the date received; and
 - (2) Notify us as soon as practicable.
 You must see to it that we receive written notice of the claim or "suit" as soon as practicable.
- c. You and any other involved insured must:
 - (1) Immediately send us copies of any demands, notices, summonses or legal papers received in connection with the claim or "suit";
 - (2) Authorize us to obtain records and other information;
 - (3) Cooperate with us in the investigation or settlement of the claim or defense against the "suit"; and
 - (4) Assist us, upon our request, in the enforcement of any right against any person or organization which may be liable to the insured because of injury or damage to which this insurance may also apply.
- d. No insured will, except at that insured's own cost, voluntarily make a payment, assume any obligation, or incur any expense, other than for first aid, without our consent.

3. Legal Action Against Us

No person or organization has a right under this Coverage Part:

- a. To join us as a party or otherwise bring us into a "suit" asking for damages from an insured; or
- b. To sue us on this Coverage Part unless all of its terms have been fully complied with.

A person or organization may sue us to recover on an agreed settlement or on a final judgment against an insured; but we will not be liable for damages that are not payable under the terms of this Coverage Part or that are in excess of the applicable limit of insurance. An agreed settlement means a settlement and release of liability signed by us, the insured and the claimant or the claimant's legal representative.

4. Other Insurance

If other valid and collectible insurance is available to the insured for a loss we cover under Coverages **A** or **B** of this Coverage Part, our obligations are limited as follows:

a. Primary Insurance

This insurance is primary except when Paragraph **b.** below applies. If this insurance is primary, our obligations are not affected unless any of the other insurance is also primary. Then, we will share with all that other insurance by the method described in Paragraph **c.** below.

b. Excess Insurance

(1) This insurance is excess over:

- (a) Any of the other insurance, whether primary, excess, contingent or on any other basis:
 - (i) That is Fire, Extended Coverage, Builder's Risk, Installation Risk or similar coverage for "your work";
 - (ii) That is Fire insurance for premises rented to you or temporarily occupied by you with permission of the owner;
 - (iii) That is insurance purchased by you to cover your liability as a tenant for "property damage" to premises rented to you or temporarily occupied by you with permission of the owner; or
 - (iv) If the loss arises out of the maintenance or use of aircraft, "autos" or watercraft to the extent not subject to Exclusion **g.** of Section **I** – Coverage **A** – Bodily Injury And Property Damage Liability.
- (b) Any other primary insurance available to you covering liability for damages arising out of the premises or operations, or the products and completed operations, for which you have been added as an additional insured.

(2) When this insurance is excess, we will have no duty under Coverages **A** or **B** to defend the insured against any "suit" if any other insurer has a duty to defend the insured against that "suit". If no other insurer defends, we will undertake to do so, but we will be entitled to the insured's rights against all those other insurers.

(3) When this insurance is excess over other insurance, we will pay only our share of the amount of the loss, if any, that exceeds the sum of:

- (a) The total amount that all such other insurance would pay for the loss in the absence of this insurance; and
- (b) The total of all deductible and self-insured amounts under all that other insurance.

(4) We will share the remaining loss, if any, with any other insurance that is not described in this Excess Insurance provision and was not bought specifically to apply in excess of the Limits of Insurance shown in the Declarations of this Coverage Part.

c. Method Of Sharing

If all of the other insurance permits contribution by equal shares, we will follow this method also. Under this approach each insurer contributes equal amounts until it has paid its applicable limit of insurance or none of the loss remains, whichever comes first.

If any of the other insurance does not permit contribution by equal shares, we will contribute by limits. Under this method, each insurer's share is based on the ratio of its applicable limit of insurance to the total applicable limits of insurance of all insurers.

5. Premium Audit

- a. We will compute all premiums for this Coverage Part in accordance with our rules and rates.
- b. Premium shown in this Coverage Part as advance premium is a deposit premium only. At the close of each audit period we will compute the earned premium for that period and send notice to the first Named Insured. The due date for audit and retrospective premiums is the date shown as the due date on the bill. If the sum of the advance and audit premiums paid for the policy period is greater than the earned premium, we will return the excess to the first Named Insured.
- c. The first Named Insured must keep records of the information we need for premium computation, and send us copies at such times as we may request.

6. Representations

By accepting this policy, you agree:

- a. The statements in the Declarations are accurate and complete;

- b. Those statements are based upon representations you made to us; and
- c. We have issued this policy in reliance upon your representations.

7. Separation Of Insureds

Except with respect to the Limits of Insurance, and any rights or duties specifically assigned in this Coverage Part to the first Named Insured, this insurance applies:

- a. As if each Named Insured were the only Named Insured; and
- b. Separately to each insured against whom claim is made or "suit" is brought.

8. Transfer Of Rights Of Recovery Against Others To Us

If the insured has rights to recover all or part of any payment we have made under this Coverage Part, those rights are transferred to us. The insured must do nothing after loss to impair them. At our request, the insured will bring "suit" or transfer those rights to us and help us enforce them.

9. When We Do Not Renew

If we decide not to renew this Coverage Part, we will mail or deliver to the first Named Insured shown in the Declarations written notice of the nonrenewal not less than 30 days before the expiration date.

If notice is mailed, proof of mailing will be sufficient proof of notice.

SECTION V – DEFINITIONS

1. "Advertisement" means a notice that is broadcast or published to the general public or specific market segments about your goods, products or services for the purpose of attracting customers or supporters. For the purposes of this definition:
 - a. Notices that are published include material placed on the Internet or on similar electronic means of communication; and
 - b. Regarding web sites, only that part of a web site that is about your goods, products or services for the purposes of attracting customers or supporters is considered an advertisement.
2. "Auto" means:
 - a. A land motor vehicle, trailer or semitrailer designed for travel on public roads, including any attached machinery or equipment; or
 - b. Any other land vehicle that is subject to a compulsory or financial responsibility law or other motor vehicle insurance law where it is licensed or principally garaged.

However, "auto" does not include "mobile equipment".

3. "Bodily injury" means bodily injury, sickness or disease sustained by a person, including death resulting from any of these at any time.
4. "Coverage territory" means:
 - a. The United States of America (including its territories and possessions), Puerto Rico and Canada;
 - b. International waters or airspace, but only if the injury or damage occurs in the course of travel or transportation between any places included in Paragraph **a.** above; or
 - c. All other parts of the world if the injury or damage arises out of:
 - (1) Goods or products made or sold by you in the territory described in Paragraph **a.** above;
 - (2) The activities of a person whose home is in the territory described in Paragraph **a.** above, but is away for a short time on your business; or
 - (3) "Personal and advertising injury" offenses that take place through the Internet or similar electronic means of communication;

provided the insured's responsibility to pay damages is determined in a "suit" on the merits, in the territory described in Paragraph **a.** above or in a settlement we agree to.
5. "Employee" includes a "leased worker". "Employee" does not include a "temporary worker".
6. "Executive officer" means a person holding any of the officer positions created by your charter, constitution, bylaws or any other similar governing document.
7. "Hostile fire" means one which becomes uncontrollable or breaks out from where it was intended to be.
8. "Impaired property" means tangible property, other than "your product" or "your work", that cannot be used or is less useful because:
 - a. It incorporates "your product" or "your work" that is known or thought to be defective, deficient, inadequate or dangerous; or
 - b. You have failed to fulfill the terms of a contract or agreement;

if such property can be restored to use by the repair, replacement, adjustment or removal of "your product" or "your work" or your fulfilling the terms of the contract or agreement.

9. "Insured contract" means:

- a. A contract for a lease of premises. However, that portion of the contract for a lease of premises that indemnifies any person or organization for damage by fire to premises while rented to you or temporarily occupied by you with permission of the owner is not an "insured contract";
- b. A sidetrack agreement;
- c. Any easement or license agreement, except in connection with construction or demolition operations on or within 50 feet of a railroad;
- d. An obligation, as required by ordinance, to indemnify a municipality, except in connection with work for a municipality;
- e. An elevator maintenance agreement;
- f. That part of any other contract or agreement pertaining to your business (including an indemnification of a municipality in connection with work performed for a municipality) under which you assume the tort liability of another party to pay for "bodily injury" or "property damage" to a third person or organization. Tort liability means a liability that would be imposed by law in the absence of any contract or agreement.

Paragraph f. does not include that part of any contract or agreement:

- (1) That indemnifies a railroad for "bodily injury" or "property damage" arising out of construction or demolition operations, within 50 feet of any railroad property and affecting any railroad bridge or trestle, tracks, road-beds, tunnel, underpass or crossing;
- (2) That indemnifies an architect, engineer or surveyor for injury or damage arising out of:
 - (a) Preparing, approving, or failing to prepare or approve, maps, shop drawings, opinions, reports, surveys, field orders, change orders or drawings and specifications; or
 - (b) Giving directions or instructions, or failing to give them, if that is the primary cause of the injury or damage; or
- (3) Under which the insured, if an architect, engineer or surveyor, assumes liability for an injury or damage arising out of the insured's rendering or failure to render professional services, including those listed in (2) above and supervisory, inspection, architectural or engineering activities.

10. "Leased worker" means a person leased to you by a labor leasing firm under an agreement between you and the labor leasing firm, to perform duties related to the conduct of your business. "Leased worker" does not include a "temporary worker".

11. "Loading or unloading" means the handling of property:

- a. After it is moved from the place where it is accepted for movement into or onto an aircraft, watercraft or "auto";
- b. While it is in or on an aircraft, watercraft or "auto"; or
- c. While it is being moved from an aircraft, watercraft or "auto" to the place where it is finally delivered;

but "loading or unloading" does not include the movement of property by means of a mechanical device, other than a hand truck, that is not attached to the aircraft, watercraft or "auto".

12. "Mobile equipment" means any of the following types of land vehicles, including any attached machinery or equipment:

- a. Bulldozers, farm machinery, forklifts and other vehicles designed for use principally off public roads;
- b. Vehicles maintained for use solely on or next to premises you own or rent;
- c. Vehicles that travel on crawler treads;
- d. Vehicles, whether self-propelled or not, maintained primarily to provide mobility to permanently mounted:
 - (1) Power cranes, shovels, loaders, diggers or drills; or
 - (2) Road construction or resurfacing equipment such as graders, scrapers or rollers;
- e. Vehicles not described in Paragraph a., b., c. or d. above that are not self-propelled and are maintained primarily to provide mobility to permanently attached equipment of the following types:
 - (1) Air compressors, pumps and generators, including spraying, welding, building cleaning, geophysical exploration, lighting and well servicing equipment; or
 - (2) Cherry pickers and similar devices used to raise or lower workers;
- f. Vehicles not described in Paragraph a., b., c. or d. above maintained primarily for purposes other than the transportation of persons or cargo.

However, self-propelled vehicles with the following types of permanently attached equipment are not "mobile equipment" but will be considered "autos":

- (1) Equipment designed primarily for:
 - (a) Snow removal;
 - (b) Road maintenance, but not construction or resurfacing; or
 - (c) Street cleaning;
- (2) Cherry pickers and similar devices mounted on automobile or truck chassis and used to raise or lower workers; and
- (3) Air compressors, pumps and generators, including spraying, welding, building cleaning, geophysical exploration, lighting and well servicing equipment.

However, "mobile equipment" does not include any land vehicles that are subject to a compulsory or financial responsibility law or other motor vehicle insurance law where it is licensed or principally garaged. Land vehicles subject to a compulsory or financial responsibility law or other motor vehicle insurance law are considered "autos".

13. "Occurrence" means an accident, including continuous or repeated exposure to substantially the same general harmful conditions.

14. "Personal and advertising injury" means injury, including consequential "bodily injury", arising out of one or more of the following offenses:

- a. False arrest, detention or imprisonment;
- b. Malicious prosecution;
- c. The wrongful eviction from, wrongful entry into, or invasion of the right of private occupancy of a room, dwelling or premises that a person occupies, committed by or on behalf of its owner, landlord or lessor;
- d. Oral or written publication, in any manner, of material that slanders or libels a person or organization or disparages a person's or organization's goods, products or services;
- e. Oral or written publication, in any manner, of material that violates a person's right of privacy;
- f. The use of another's advertising idea in your "advertisement"; or
- g. Infringing upon another's copyright, trade dress or slogan in your "advertisement".

15. "Pollutants" mean any solid, liquid, gaseous or thermal irritant or contaminant, including smoke, vapor, soot, fumes, acids, alkalis, chemicals and waste. Waste includes materials to be recycled, reconditioned or reclaimed.

16. "Products-completed operations hazard":

- a. Includes all "bodily injury" and "property damage" occurring away from premises you own or rent and arising out of "your product" or "your work" except:

- (1) Products that are still in your physical possession; or
- (2) Work that has not yet been completed or abandoned. However, "your work" will be deemed completed at the earliest of the following times:
 - (a) When all of the work called for in your contract has been completed.
 - (b) When all of the work to be done at the job site has been completed if your contract calls for work at more than one job site.
 - (c) When that part of the work done at a job site has been put to its intended use by any person or organization other than another contractor or subcontractor working on the same project.

Work that may need service, maintenance, correction, repair or replacement, but which is otherwise complete, will be treated as completed.

- b. Does not include "bodily injury" or "property damage" arising out of:

- (1) The transportation of property, unless the injury or damage arises out of a condition in or on a vehicle not owned or operated by you, and that condition was created by the "loading or unloading" of that vehicle by any insured;
- (2) The existence of tools, uninstalled equipment or abandoned or unused materials; or
- (3) Products or operations for which the classification, listed in the Declarations or in a policy Schedule, states that products-completed operations are subject to the General Aggregate Limit.

17. "Property damage" means:

- a. Physical injury to tangible property, including all resulting loss of use of that property. All such loss of use shall be deemed to occur at the time of the physical injury that caused it; or
- b. Loss of use of tangible property that is not physically injured. All such loss of use shall be deemed to occur at the time of the "occurrence" that caused it.

For the purposes of this insurance, electronic data is not tangible property.

As used in this definition, electronic data means information, facts or programs stored as or on, created or used on, or transmitted to or from computer software, including systems and applications software, hard or floppy disks, CD-ROMs, tapes, drives, cells, data processing devices or any other media which are used with electronically controlled equipment.

18. "Suit" means a civil proceeding in which damages because of "bodily injury", "property damage" or "personal and advertising injury" to which this insurance applies are alleged. "Suit" includes:

- a. An arbitration proceeding in which such damages are claimed and to which the insured must submit or does submit with our consent; or
- b. Any other alternative dispute resolution proceeding in which such damages are claimed and to which the insured submits with our consent.

19. "Temporary worker" means a person who is furnished to you to substitute for a permanent "employee" on leave or to meet seasonal or short-term workload conditions.

20. "Volunteer worker" means a person who is not your "employee", and who donates his or her work and acts at the direction of and within the scope of duties determined by you, and is not paid a fee, salary or other compensation by you or anyone else for their work performed for you.

21. "Your product":

a. Means:

- (1) Any goods or products, other than real property, manufactured, sold, handled, distributed or disposed of by:
 - (a) You;
 - (b) Others trading under your name; or
 - (c) A person or organization whose business or assets you have acquired; and
- (2) Containers (other than vehicles), materials, parts or equipment furnished in connection with such goods or products.

b. Includes:

- (1) Warranties or representations made at any time with respect to the fitness, quality, durability, performance or use of "your product"; and
- (2) The providing of or failure to provide warnings or instructions.

c. Does not include vending machines or other property rented to or located for the use of others but not sold.

22. "Your work":

a. Means:

- (1) Work or operations performed by you or on your behalf; and
- (2) Materials, parts or equipment furnished in connection with such work or operations.

b. Includes:

- (1) Warranties or representations made at any time with respect to the fitness, quality, durability, performance or use of "your work"; and
- (2) The providing of or failure to provide warnings or instructions.

COMMERCIAL GENERAL LIABILITY
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THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

NEW YORK CHANGES – PREMIUM AUDIT

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART
LIQUOR LIABILITY COVERAGE PART
PRODUCT WITHDRAWAL COVERAGE PART
PRODUCTS/COMPLETED OPERATIONS LIABILITY COVERAGE PART

A. Paragraph **b.** of the **Premium Audit** Condition **Section IV** is replaced by the following:

PREMIUM AUDIT

- b.** Premium shown in this Coverage Part as advance premium is a deposit premium only. At the close of each audit period we will compute the earned premium for that period and send notice to the first Named Insured. The due date for audit and retrospective premiums is the date shown as the due date on the bill. An audit to determine the final premium due or to be refunded will be completed within 180 days after the expiration date of the policy. But the audit may be waived if the total annual premium attributable to the auditable exposure base is not reasonably expected to exceed \$1500. If the sum of the advance and audit premiums paid for the policy term is greater than the earned premium, we will return the excess to the first Named Insured.

B. Except as provided in Paragraph **A.** above, the **Examination Of Your Books And Records** Common Policy Condition continues to apply.

POLICY NUMBER:

COMMERCIAL GENERAL LIABILITY
CG 20 29 04 13**THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.****ADDITIONAL INSURED – GRANTOR OF FRANCHISE**

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

SCHEDULE**Name Of Person(s) Or Organization(s):**

Information required to complete this Schedule, if not shown above, will be shown in the Declarations.

A. Section II – Who Is An Insured is amended to include as an additional insured the person(s) or organization(s) shown in the Schedule, but only with respect to their liability as grantor of a franchise to you.

However:

1. The insurance afforded to such additional insured only applies to the extent permitted by law; and
2. If coverage provided to the additional insured is required by a contract or agreement, the insurance afforded to such additional insured will not be broader than that which you are required by the contract or agreement to provide for such additional insured.

B. With respect to the insurance afforded to these additional insureds, the following is added to **Section III – Limits Of Insurance:**

If coverage provided to the additional insured is required by a contract or agreement, the most we will pay on behalf of the additional insured is the amount of insurance:

1. Required by the contract or agreement; or
2. Available under the applicable Limits of Insurance shown in the Declarations;

whichever is less.

This endorsement shall not increase the applicable Limits of Insurance shown in the Declarations.

COMMERCIAL GENERAL LIABILITY
CG 21 06 05 14

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

**EXCLUSION – ACCESS OR DISCLOSURE OF
CONFIDENTIAL OR PERSONAL INFORMATION AND
DATA-RELATED LIABILITY – WITH
LIMITED BODILY INJURY EXCEPTION**

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

A. Exclusion 2.p. of **Section I – Coverage A – Bodily Injury And Property Damage Liability** is replaced by the following:

2. Exclusions

This insurance does not apply to:

p. Access Or Disclosure Of Confidential Or Personal Information And Data-related Liability

Damages arising out of:

- (1) Any access to or disclosure of any person's or organization's confidential or personal information, including patents, trade secrets, processing methods, customer lists, financial information, credit card information, health information or any other type of nonpublic information; or
- (2) The loss of, loss of use of, damage to, corruption of, inability to access, or inability to manipulate electronic data.

This exclusion applies even if damages are claimed for notification costs, credit monitoring expenses, forensic expenses, public relations expenses or any other loss, cost or expense incurred by you or others arising out of that which is described in Paragraph (1) or (2) above.

However, unless Paragraph (1) above applies, this exclusion does not apply to damages because of "bodily injury".

As used in this exclusion, electronic data means information, facts or programs stored as or on, created or used on, or transmitted to or from computer software, including systems and applications software, hard or floppy disks, CD-ROMs, tapes, drives, cells, data processing devices or any other media which are used with electronically controlled equipment.

B. The following is added to Paragraph 2. **Exclusions of Section I – Coverage B – Personal And Advertising Injury Liability:**

2. Exclusions

This insurance does not apply to:

Access Or Disclosure Of Confidential Or Personal Information

"Personal and advertising injury" arising out of any access to or disclosure of any person's or organization's confidential or personal information, including patents, trade secrets, processing methods, customer lists, financial information, credit card information, health information or any other type of nonpublic information.

This exclusion applies even if damages are claimed for notification costs, credit monitoring expenses, forensic expenses, public relations expenses or any other loss, cost or expense incurred by you or others arising out of any access to or disclosure of any person's or organization's confidential or personal information.

COMMERCIAL GENERAL LIABILITY
CG 21 47 12 07

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

EMPLOYMENT-RELATED PRACTICES EXCLUSION

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

A. The following exclusion is added to Paragraph 2., Exclusions of Section I – Coverage A – Bodily Injury And Property Damage Liability:

This insurance does not apply to:

"Bodily injury" to:

- (1) A person arising out of any:
 - (a) Refusal to employ that person;
 - (b) Termination of that person's employment; or
 - (c) Employment-related practices, policies, acts or omissions, such as coercion, demotion, evaluation, reassignment, discipline, defamation, harassment, humiliation, discrimination or malicious prosecution directed at that person; or
- (2) The spouse, child, parent, brother or sister of that person as a consequence of "bodily injury" to that person at whom any of the employment-related practices described in Paragraphs (a), (b), or (c) above is directed.

This exclusion applies:

- (1) Whether the injury-causing event described in Paragraphs (a), (b) or (c) above occurs before employment, during employment or after employment of that person;
- (2) Whether the insured may be liable as an employer or in any other capacity; and
- (3) To any obligation to share damages with or repay someone else who must pay damages because of the injury.

B. The following exclusion is added to Paragraph 2., Exclusions of Section I – Coverage B – Personal And Advertising Injury Liability:

This insurance does not apply to:

"Personal and advertising injury" to:

- (1) A person arising out of any:
 - (a) Refusal to employ that person;
 - (b) Termination of that person's employment; or
 - (c) Employment-related practices, policies, acts or omissions, such as coercion, demotion, evaluation, reassignment, discipline, defamation, harassment, humiliation, discrimination or malicious prosecution directed at that person; or
- (2) The spouse, child, parent, brother or sister of that person as a consequence of "personal and advertising injury" to that person at whom any of the employment-related practices described in Paragraphs (a), (b), or (c) above is directed.

This exclusion applies:

- (1) Whether the injury-causing event described in Paragraphs (a), (b) or (c) above occurs before employment, during employment or after employment of that person;
- (2) Whether the insured may be liable as an employer or in any other capacity; and
- (3) To any obligation to share damages with or repay someone else who must pay damages because of the injury.

COMMERCIAL GENERAL LIABILITY
CG 21 65 12 04

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

**TOTAL POLLUTION EXCLUSION WITH A BUILDING
HEATING, COOLING AND DEHUMIDIFYING EQUIPMENT
EXCEPTION AND A HOSTILE FIRE EXCEPTION**

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

Exclusion f. under Paragraph 2. **Exclusions of Section I – Coverage A – Bodily Injury And Property Damage Liability** is replaced by the following:

This insurance does not apply to:

f. Pollution

- (1) "Bodily injury" or "property damage" which would not have occurred in whole or part but for the actual, alleged or threatened discharge, dispersal, seepage, migration, release or escape of "pollutants" at any time.

This exclusion does not apply to:

- (a) "Bodily injury" if sustained within a building which is or was at any time owned or occupied by, or rented or loaned to, any insured and caused by smoke, fumes, vapor or soot produced by or originating from equipment that is used to heat, cool or dehumidify the building, or equipment that is used to heat water for personal use, by the building's occupants or their guests; or
- (b) "Bodily injury" or "property damage" arising out of heat, smoke or fumes from a "hostile fire" unless that "hostile fire" occurred or originated:
- (i) At any premises, site or location which is or was at any time used by or for any insured or others for the handling, storage, disposal, processing or treatment of waste; or

- (ii) At any premises, site or location on which any insured or any contractors or subcontractors working directly or indirectly on any insured's behalf are performing operations to test for, monitor, clean up, remove, contain, treat, detoxify, neutralize or in any way respond to, or assess the effects of, "pollutants".

- (2) Any loss, cost or expense arising out of any:

- (a) Request, demand, order or statutory or regulatory requirement that any insured or others test for, monitor, clean up, remove, contain, treat, detoxify or neutralize, or in any way respond to, or assess the effects of, "pollutants"; or
- (b) Claim or suit by or on behalf of a governmental authority for damages because of testing for, monitoring, cleaning up, removing, containing, treating, detoxifying or neutralizing, or in any way responding to, or assessing the effects of, "pollutants".

COMMERCIAL GENERAL LIABILITY
CG 21 73 01 15

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

EXCLUSION OF CERTIFIED ACTS OF TERRORISM

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART
LIQUOR LIABILITY COVERAGE PART
OWNERS AND CONTRACTORS PROTECTIVE LIABILITY COVERAGE PART
POLLUTION LIABILITY COVERAGE PART
PRODUCTS/COMPLETED OPERATIONS LIABILITY COVERAGE PART
RAILROAD PROTECTIVE LIABILITY COVERAGE PART
UNDERGROUND STORAGE TANK POLICY

A. The following exclusion is added:

This insurance does not apply to:

TERRORISM

"Any injury or damage" arising, directly or indirectly, out of a "certified act of terrorism".

B. The following definitions are added:

1. For the purposes of this endorsement, "any injury or damage" means any injury or damage covered under any Coverage Part to which this endorsement is applicable, and includes but is not limited to "bodily injury", "property damage", "personal and advertising injury", "injury" or "environmental damage" as may be defined in any applicable Coverage Part.
2. "Certified act of terrorism" means an act that is certified by the Secretary of the Treasury, in accordance with the provisions of the federal Terrorism Risk Insurance Act, to be an act of terrorism pursuant to such Act. The criteria contained in the Terrorism Risk Insurance Act for a "certified act of terrorism" include the following:
 - a. The act resulted in insured losses in excess of \$5 million in the aggregate, attributable to all types of insurance subject to the Terrorism Risk Insurance Act; and

- b. The act is a violent act or an act that is dangerous to human life, property or infrastructure and is committed by an individual or individuals as part of an effort to coerce the civilian population of the United States or to influence the policy or affect the conduct of the United States Government by coercion.

C. The terms and limitations of any terrorism exclusion, or the inapplicability or omission of a terrorism exclusion, do not serve to create coverage for injury or damage that is otherwise excluded under this Coverage Part.

COMMERCIAL GENERAL LIABILITY

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

**NEW YORK CHANGES – TRANSFER OF
DUTIES WHEN A LIMIT OF INSURANCE IS USED UP**

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART

The following Condition is added to COMMERCIAL GENERAL LIABILITY CONDITIONS (Section IV):

Transfer of Duties When a Limit of Insurance Is Used Up.

- a.** If we conclude that, based on "occurrences," offenses, claims or "suits" which have been reported to us and to which this insurance may apply, the:

- (1) General Aggregate Limit (other than the Products/Completed Operations Aggregate Limit);
- (2) Products/Completed Operations Aggregate Limit;
- (3) Personal and Advertising Injury Limit;
- (4) Each Occurrence Limit; or
- (5) Fire Damage Limit

is likely to be used up in the payment of judgments or settlements, we will notify the first Named Insured, in writing, to that effect.

- b.** When a limit of insurance described in paragraph **a.** above has actually been used up in the payment of judgments or settlements:

- (1) We will notify the first Named Insured, in writing, as soon as practicable, that:
 - (a) Such a limit has actually been used up; and
 - (b) Our duty to defend "suits" seeking damages subject to that limit has also ended.
- (2) We will initiate, and cooperate in, the transfer of control, to any appropriate insured, of all claims and "suits" seeking damages which are subject to that limit and which are reported to us before that limit is used up. That insured must cooperate in the transfer of control of said claims and "suits".

We agree to take such steps, as we deem appropriate, to avoid a default in, or continue the defense of, such "suits" until such transfer is completed, provided the appropriate insured is cooperating in completing such transfer.

We will take no action whatsoever with respect to any claim or "suit" seeking damages that would have been subject to that limit, had it not been used up, if the claim or "suit" is reported to us after that limit of insurance has been used up.

- (3) The first Named Insured, and any other insured involved in a "suit" seeking damages subject to that limit, must arrange for the defense of such "suit" within such time period as agreed to between the appropriate insured and us. Absent any such agreement, arrangements for the defense of such "suit" must be made as soon as practicable.

- c.** The first Named Insured will reimburse us for expenses we incur in taking those steps we deem appropriate in accordance with paragraph **b.(2)** above.

The duty of the first Named Insured to reimburse us will begin on:

- (1) The date on which the applicable limit of insurance is used up, if we sent notice in accordance with paragraph **a.** above; or
 - (2) The date on which we sent notice in accordance with paragraph **b.(1)** above, if we did not send notice in accordance with paragraph **a.** above.
- d.** The exhaustion of any limit of insurance by the payments of judgments or settlements, and the resulting end of our duty to defend, will not be affected by our failure to comply with any of the provisions of this Condition.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

NUCLEAR ENERGY LIABILITY EXCLUSION ENDORSEMENT

(Broad Form)

This endorsement modifies insurance provided under the following:

COMMERCIAL GENERAL LIABILITY COVERAGE PART
FARM COVERAGE PART
LIQUOR LIABILITY COVERAGE PART
OWNERS AND CONTRACTORS PROTECTIVE LIABILITY COVERAGE PART
POLLUTION LIABILITY COVERAGE PART
PRODUCTS/COMPLETED OPERATIONS LIABILITY COVERAGE PART
RAILROAD PROTECTIVE LIABILITY COVERAGE PART
SPECIAL PROTECTIVE AND HIGHWAY LIABILITY POLICY NEW YORK DEPARTMENT OF
TRANSPORTATION

1. The insurance does not apply:
 - A. Under any Liability Coverage, to "bodily injury" or "property damage":
 - (1) With respect to which an "insured" under the policy is also an insured under a nuclear energy liability policy issued by Nuclear Energy Liability Insurance Association, Mutual Atomic Energy Liability Underwriters, Nuclear Insurance Association of Canada or any of their successors, or would be an insured under any such policy but for its termination upon exhaustion of its limit of liability; or
 - (2) Resulting from the "hazardous properties" of "nuclear material" and with respect to which (a) any person or organization is required to maintain financial protection pursuant to the Atomic Energy Act of 1954, or any law amendatory thereof, or (b) the "insured" is, or had this policy not been issued would be, entitled to indemnity from the United States of America, or any agency thereof, under any agreement entered into by the United States of America, or any agency thereof, with any person or organization.
 - B. Under any Medical Payments coverage, to expenses incurred with respect to "bodily injury" resulting from the "hazardous properties" of "nuclear material" and arising out of the operation of a "nuclear facility" by any person or organization.
 - C. Under any Liability Coverage, to "bodily injury" or "property damage" resulting from "hazardous properties" of "nuclear material", if:
 - (1) The "nuclear material" (a) is at any "nuclear facility" owned by, or operated by or on behalf of, an "insured" or (b) has been discharged or dispersed therefrom;
 - (2) The "nuclear material" is contained in "spent fuel" or "waste" at any time possessed, handled, used, processed, stored, transported or disposed of, by or on behalf of an "insured"; or
 - (3) The "bodily injury" or "property damage" arises out of the furnishing by an "insured" of services, materials, parts or equipment in connection with the planning, construction, maintenance, operation or use of any "nuclear facility", but if such facility is located within the United States of America, its territories or possessions or Canada, this exclusion (3) applies only to "property damage" to such "nuclear facility" and any property thereat.
2. As used in this endorsement:

"Hazardous properties" includes radioactive, toxic or explosive properties.

"Nuclear material" means "source material", "Special nuclear material" or "by-product material".

"Source material", "special nuclear material", and "by-product material" have the meanings given them in the Atomic Energy Act of 1954 or in any law amendatory thereof.

"Spent fuel" means any fuel element or fuel component, solid or liquid, which has been used or exposed to radiation in a "nuclear reactor".

"Waste" means any waste material **(a)** containing "by-product material" other than the tailings or wastes produced by the extraction or concentration of uranium or thorium from any ore processed primarily for its "source material" content, and **(b)** resulting from the operation by any person or organization of any "nuclear facility" included under the first two paragraphs of the definition of "nuclear facility".

"Nuclear facility" means:

- (a)** Any "nuclear reactor";
- (b)** Any equipment or device designed or used for **(1)** separating the isotopes of uranium or plutonium, **(2)** processing or utilizing "spent fuel", or **(3)** handling, processing or packaging "waste";

- (c)** Any equipment or device used for the processing, fabricating or alloying of "special nuclear material" if at any time the total amount of such material in the custody of the "insured" at the premises where such equipment or device is located consists of or contains more than 25 grams of plutonium or uranium 233 or any combination thereof, or more than 250 grams of uranium 235;

- (d)** Any structure, basin, excavation, premises or place prepared or used for the storage or disposal of "waste";

and includes the site on which any of the foregoing is located, all operations conducted on such site and all premises used for such operations.

"Nuclear reactor" means any apparatus designed or used to sustain nuclear fission in a self-supporting chain reaction or to contain a critical mass of fissionable material.

"Property damage" includes all forms of radioactive contamination of property.